

**HAWAII PUBLIC HOUSING AUTHORITY  
NOTICE OF  
BOARD OF DIRECTORS MEETING  
1002 North School Street, Building A Boardroom  
Honolulu, Hawaii 96817  
Thursday, October 20, 2022  
9:00 a.m.**

**AGENDA**

**THIS MEETING WILL BE HELD VIA ZOOM (INTERACTIVE AUDIO VISUAL  
CONFERENCE TECHNOLOGY) OR TELECONFERENCE CALL (AUDIO-ONLY  
COMMUNICATION) AND AT 1002 NORTH SCHOOL STREET, BUILDING A  
BOARDROOM, HONOLULU, HI 96817**

**Viewing/Participating in the Meeting:**

**Zoom:** The public may participate in the Board meeting as it happens via Zoom (a free video conferencing service to hold virtual meetings online) by clicking on this link:

<https://zoom.us/j/89091973529?pwd=U0EvRDhacVJDdFpHMXphNVJ0T0cydz09>.

When prompted, enter the Meeting ID: 890 9197 3529 and the Password: U9bN5e.

Alternatively, the public may also participate via telephone by calling: 1-669-900-6833. When prompted, callers should enter the Meeting ID: 890 9197 3529 and the Password: 275386. We request that meeting participants change the display on their device to show their first and last name to expedite rollcall. Please keep in mind that many devices will display your cellphone number if not changed.

If the HPHA loses internet or Zoom connection during the meeting where audiovisual communication cannot be maintained with all participating Board members and quorum is lost, the meeting will automatically be recessed for 30 minutes to restore audiovisual communication. **Audio-Only Communication:** If the attempt to restore audiovisual communication is unsuccessful, all Board members, staff, the public may continue to participate in the Board meeting via teleconference call by calling 1-862-799-9759, whereby audio-only communication will be established for all participants and the meeting will continue. When prompted, callers outside of the United States should enter the Access Code: 8232649.

**Physical Meeting Location:**

The public may also attend the meeting at 1002 North School Street, Building A Boardroom, Honolulu, HI 96817, which will be connected via Zoom to the remote meeting. At this time, no Board members are scheduled to be physically present at this location.

## **Providing/Submitting Testimony – Written, Oral, Audiovisual:**

Interested persons can submit written testimony in advance of each meeting that will be distributed to the Board members prior to the meeting. Submit written testimony via email to [jennifer.k.menor@hawaii.gov](mailto:jennifer.k.menor@hawaii.gov) or via postal mail to the Hawaii Public Housing Authority at P.O. Box 17907, Honolulu, HI 96817. We request written testimony be submitted no later than 24 hours prior to the scheduled meeting to ensure time for Board review. Late written testimony will be retained as part of the record and distributed to the Board members as soon as practicable, but we cannot ensure they will receive it with sufficient time for review prior to decision-making on the agenda item in question.

The Board will also consider public testimony given at the meeting on any item relevant to this agenda. Pursuant to section 92-3, Hawaii Revised Statutes, and section 17-2000-18, Hawaii Administrative Rules, the Board may limit public testimony to three minutes per agenda item.

Individuals may submit oral testimony during the meeting by sending an email request to [jennifer.k.menor@hawaii.gov](mailto:jennifer.k.menor@hawaii.gov) no later than Monday, October 17, 2022, or by using the “Raise Hand” feature in Zoom, or by simply announcing/identifying themselves and the item they want to testify about during the public testimony portion of the meeting. Individuals may also provide audiovisual oral testimony by using the “Raise Hand” feature in Zoom, clicking the “Unmute” icon to talk, and clicking the “Start Video” icon to turn camera on.

**Executive Session:** If or when the Board of Directors enter executive session, all non-Board members will be moved to the virtual waiting room by the HPHA. Individuals are welcome to wait in the virtual waiting room and will be readmitted to the meeting at the end of the executive session.

### **I. CALL TO ORDER/ESTABLISHING QUORUM**

### **II. PUBLIC TESTIMONY**

Public testimony on any item relevant to this agenda may be taken at this time, or a testifier may wait to testify at the time the agenda item is called for discussion. Pursuant to section 92-3, Hawaii Revised Statutes, and section 17-2000-18, Hawaii Administrative Rules, the Board may limit public testimony to three minutes per agenda item.

### **III. APPROVAL OF MINUTES**

Regular Meeting Minutes, September 15, 2022

#### IV. DISCUSSION AND/OR DECISION MAKING

- A. To **(1)** Approve Proposed Amendments to the Hawaii Public Housing Authority's (HPHA) Public Housing Agency (PHA) Annual Plan for the Fiscal Year Starting July 1, 2022, and Ending June 30, 2023, to Provide Notice of the HPHA's Intent to:
- a) Change the Method of Conducting Rent Reasonableness for the HPHA's Housing Choice Voucher Program;
  - b) Temporarily or Permanently Close Certain Areas in Public Housing Properties due to Misuse, Drug Activity, or to Mitigate an Emergency Situation;
  - c) Adding and Listing Potential Public Housing Units for Occupancy by Police Officers;
  - d) Revise the Admissions and Continued Occupancy Policy (ACOP) and Hawaii Administrative Rules where Eligibility, Wait List Management, Occupancy, Lease Violations and Terminations are Covered to Ensure Policies are Consistent;
  - e) Revise the Hawaii Administrative Rules (HAR) to Incorporate Existing Policies in the Admissions and Continued Occupancy Policy (ACOP);
  - f) Revise the Hawaii Administrative Rules (HAR) to Incorporate Existing Policies in the Section 8 Administrative Plan;
  - g) Apply for Available HUD Waivers which Provide Benefits to Section 8 Program Participants, such as Increased Payment Standards and New Payment Standard Amounts;
  - h) Apply for Available HUD Waivers and Utilize Funding Flexibilities Under the Moving To Work (MTW) Demonstration Program as Detailed in the HPHA's MTW Supplement; and
- (2)** Authorize the Executive Director to: a) Hold Public Hearings on the Proposed Changes to the HPHA's PHA Annual Plan as Required; b) Undertake All Actions Necessary to Accept, Adopt, or Respond to Comments from the Public and the Resident Advisory Board; and c) Submit the Proposed PHA Annual Plan as Amended Above to the U.S. Department of Housing and Urban Development, if No Substantive Changes are Made to the Amended PHA Annual Plan
- B. To **(1)** Approve Proposed Amendments to the Hawaii Public Housing Authority's (HPHA) Approved Annual Public Housing Agency (PHA) Plan for Fiscal Year 2022-2023 to Include the HPHA's Moving to Work (MTW) Supplement to the Annual PHA Plan; **(2)** Authorize the Executive Director to Hold Public Hearings on the MTW Supplement to the Annual PHA Plan for Fiscal Year 2022-2023; and **(3)** Undertake All Actions Necessary to Accept, Adopt, or Respond to Comments from the Public and the Resident Advisory Board
- C. To **(1)** Adopt Payment Standards for the Hawaii Public Housing Authority's (HPHA) Section 8 Housing Choice Voucher Program for Oahu Zip Codes

Where the U.S. Department of Housing and Urban Development Has Required the Use of Small Area Fair Market Rent (SAFMR) Effective January 1, 2023; and **(2)** Authorize the Executive Director to Implement the Payment Standards, Including Making Adjustments to the Payment Standards Between 90% and 110% in the Event of a Funding Shortfall or Funding Increase, Provided that HPHA Gives Adequate Notice to Program Participants Prior to Adjusting the Payment Standards

- D. To **(1)** Approve Proposed Changes to the Hawaii Public Housing Authority's (HPHA) Chapter 2028 of Title 17, Hawaii Administrative Rules (HAR) as follows:
- a) Create a Section Title for "Section 17-2028-23 [Eligibility for live-in aides]" in the Title and Chapter Analysis and Adjust the Section Numbers for the Remainder of Subchapter 2 Accordingly.
  - b) Section 17-2028-1 [Purpose]: Clarify that the Rules of this Chapter Serve as Some of the Authority's Admissions and Continued Occupancy Policy (ACOP) and that These Rules Shall Supersede Any Other Policies that May Conflict with These Rules.
  - c) Section 17-2028-2 [Definitions]
    - i) Amend the Definition of "Admissions and Continued Occupancy Policy" or "ACOP" to Recognize the Rules of this Chapter and Other Administrative Rules as the Authority's ACOP.
    - ii) Adopt a Definition for "Child".
    - iii) Amend the Definition of "Common areas" to Mean Areas Available for Use by "more than one household" instead of "more than one family". Include "fire escapes", "entrances and exits of the building or buildings", "basements", "yards", "gardens", "recreational facilities", and "other parts of the project in common use or other areas designated by the authority" as Common Areas.
    - iv) Amend the Definition of "Family" to Include Households With Or Without Children. Clarify That Children Temporarily Away from Home Because of Placement in Foster Care are Considered a Family Member. Clarify the Conditions Under Which Foster Children and Hanai Children May Be Considered as Family Members. Expand How a Single Person Qualifies as a "Family".
    - v) Amend the definition of "Hanai child" or "Hanai children" to Remove a Required Minimum Period of Support as well as Any Acknowledgement of Parenthood from an Applicant's or Tenant's Friends, Relatives, and Community. Require That a Hanai Parent(s) Receive Written or Unwritten Permission of Guardianship from a Hanai Child's Natural Parent(s).
    - vi) Adopt a Definition of "Household".
    - vii) Amend the Definition of "Live-in aide" To Include an Age Requirement of 18 Years or Older. Clarify That a Live-in

- Aide Maintains No Rights of Tenancy or of Continued Occupancy After the Family Member(s) for Whom They Are Caring for Are Removed from the Project.
- viii) Adopt a Definition of “Police officer”.
- ix) Amend the Definition of “Refusal of an offer” to Clarify That this Definition Concerns Any Refusal of a “dwelling unit”.
- x) Amend the Definition of “Resident” to Include United States Nationals and Certain Noncitizens.
- xi) Amend the Definition of “Sexual orientation” to Acknowledge Sexual Preferences and Any History of Preferences.
- xii) Amend the Definition of “Smoke” or “smoking” to Include the Use of Electronic Smoking Devices and Any Resulting Fumes.
- xiii) Adopt a Definition of “Spouse”.
- xiv) Amend the Definition of “Staff” to Replace the Term “agents” With “authorized contractors”.
- d) Amend the Chapter to Clarify that a Unit Refers to a Dwelling Unit.
- e) Amend the Chapter to Clarify that References to All Federal Rules Shall be as They Existed on October 20, 2022.
- f) Section 17-2028-9 [Misrepresentation]: Correct a Spelling Error. Extend the Applicability of Rules Regarding Misrepresentation to Live-In Aide Requests and Agreements.
- g) Section 17-2028-21 [Applicants]
  - i) Amend the Section to Reflect That All Public Housing Project Applications Are Submitted Electronically Through the Authority’s Online Application Portal.
  - ii) Clarify That Selection for Placement on the Waiting List is Not a Final Determination of Eligibility or Admission to a Public Housing Project.
  - iii) Extend the Prohibition on Acts of Misrepresentation to All of the Authority’s Programs.
- h) Adopt a Proposed New Section 17-2028-23 [Eligibility for a live-in aide] to Specify All of the Requirements and Screening Criteria the Authority Shall Employ When Determining if a Live-in Aide is Eligible to Live in a Public Housing Project.
- i) Section 17-2028-24 [Notification of eligibility]: Amend the Section to Reflect That All Notifications of Placement on the Waiting List Shall Be Delivered Electronically Via Email. Include Reference to the Use of a Lottery System.
- j) Section 17-2028-34 [Local preferences]: Amend the Section to Allow for the Use of Random Lottery Assortment.
- k) Section 17-2028-36 [Waiting list]
  - i) Amend the Section to Include Reference to the Online Application Process Through the Authority’s Website Application Portal.
  - ii) Include Lottery Selection as an Option for Applicant Placement on the Waiting List.

- iii) Provide Further Clarification Regarding the Information to Be Provided on the Notice to Open the Waiting List as well as How Applicants Will Be Selected from the Waiting List.
  - iv) Specify That Applications Shall Only Be Active for Eighteen Months from the Date of Placement on the Waiting List.
- l) Section 17-2028-37 [Removal from the waiting list]
  - i) Amend the Section to Include Attempted Correspondence Via Email as a Reasonable Effort to Contact an Applicant.
  - ii) Provide Examples in Which There May Be a Good Cause for an Applicant Failing to Keep a Scheduled Interview or Provide Requested Information to the Authority.
  - iii) Include Language to Allow the Authority to Remove Those Applicants from the Waiting List Who Are Unable to Verify Their Qualification for Meeting a Preference After Ten Business Days.
- m) Section 17-2028-38 [Closing the waiting list]: Clarify That Notice of Any Closure or Reopening of the Waiting List Shall Also Be Posted on the Authority's Website.
- n) Section 17-2028-39 [Offers]
  - i) Clarify That this Section Applies to “Dwelling” Units.
  - ii) Include Reference to Offers Being Made Based on Lottery Selection.
  - iii) Include Language Regarding the Percentages of Units to Be Offered to Applicants with and Without Preferences.
- o) Section 17-2028-52 [Eligibility for continued occupancy]:
  - i) Create an Exception for Hanai Children, Foster Children, and Children Placed Within a Parent’s Guardianship by Court-Order as Persons Who May Join or Rejoin a Household.
  - ii) Include Language to Prohibit the Addition of Household Members When it Will Require a Larger Size Dwelling Unit, with Certain Exceptions.
  - iii) Create a Deadline by Which Any Change to Household Composition Must Be Reported to the Authority.
- p) Section 17-2028-58 [Back charges]: Clarify a Reference to a Specific Subsection.
- q) Section 17-2028-59 [Rental agreement termination]: Correct Multiple Spelling Errors.
- r) Section 17-2028-60 [Smoking prohibited]: Remove Reference to the ACOP, Removed Subsections (c) and (d).
- s) Section 17-2028-63 [Security deposit]: Remove Subsection (b) and Adjust the Subsection Letters for the Remainder of the Section Accordingly; and
- (2) Authorize the Executive Director to Conduct a Public Hearing and Undertake All Other Actions Necessary Under Chapter 91, Hawaii Revised Statutes, and Administrative Directive No. 18-02 to Implement the Foregoing Amendments to Chapter 17-2028 “Federally-Assisted Public**

Housing Projects”, Hawaii Administrative Rules, Including Making Non-Substantive Revisions to Formatting as May be Required

- E. To **(1)** Approve the Repeal of Hawaii Public Housing Authority’s (HPHA) Chapter 185 of Title 15, Hawaii Administrative Rules (“HAR”), Entitled “Section 8 – Housing Choice Voucher Program”;

**(2)** Approve to Go Out for Public Hearing Proposed Chapter 2031 of Title 17, HAR, Entitled “Section 8 – Housing Choice Voucher and Project Based Voucher Program”, Which Sets Forth the Rules and Requirements for the Hawaii Public Housing Authority’s (“HPHA”) Section 8 Program and is Substantially Based on Chapter 15-185, HAR, and Includes the Following Changes:

- (a) Changing the Title Numbers from Title 15, HAR, to Title 17, HAR; Changing Subtitle Numbers from Subtitle 14, HAR, to Subtitle 5, HAR, and Changing Chapter Numbers from Chapter 185, HAR, to Chapter 2031, HAR;
- (b) Changing the State Department of to Which HPHA is Administratively Attached from the Department of Business, Economic Development and Tourism to the Department of Human Services;
- (c) Changing the HAR Title Name from “Section 8 – Housing Choice Voucher Program” to “Section 8 – Housing Choice Voucher and Project Based Voucher Program”;
- (d) Section 17-2031-1, HAR [Purpose]: Clarifying that the Rules Set Forth Some of HPHA’s Administrative Plan, Which is a Requirement by the U.S. Department of Housing and Urban Development (“HUD”), and Clarifies the Rules Apply for Both the Tenant Based Housing Choice Voucher and Project Based Voucher Programs;
- (e) Amending the Definitions in Section 17-2031-3 to:
  - i. Specify That the Definitions for "Adjusted income", "Annual income", "Assets", "Drug related criminal activity", "HAP", and "Involuntarily displaced" Meet the HUD Definition as Defined as of October 20, 2022;
  - ii. Adding definitions for "Authority", "Child", "Criminal activity", "Disability", "Drug", "Foster Child", "Foster parent", "Gender identity or expression", "Hanai child", "Household", "Near elderly", "PBRA", "PBV", "RAD", and "Sexual orientation";
  - iii. Removing the definition of "Corporation" and "Certificate" in its entirety;
  - iv. Clarifying the Physical Location of a Families Residence as a Dwelling Unit under "Domestic violence", and "Domiciled";
  - v. Clarifying that "Family" Includes Foster Children and Hanai Children. Further Clarifies that a Child Temporarily Placed in Foster Care is Considered a Member of the Family;

- vi. Expands the Definition of "Live-in aide" to Include Additional Eligibility Requirements;
- vii. Expanding the Definition of "Resident" to Include United States Nationals or Eligible Immigrant Under 42 U.S.C. §1436a(a), as it existed on October 20, 2022;
- (f) Section 17-2031-5, HAR [Participation by owners and others]: Clarify That this Section Applies to "Dwelling" Units;
- (g) Section 17-2031-8, HAR [Subsidy and occupancy standards]: Clarify That this Section Applies to "Dwelling" Units;
- (h) Section 17-2031-9, HAR [Allowances for utilities and other services]: Clarify That Reasonable Accommodations for Utility Allowances are Set in Accordance with 24 C.F.R. Part 8, as it Existed on October 20, 2022;
- (i) Section 17-2031-21, HAR [Applications]: Clarify that misrepresentation of materials in pre-applications, applications, and all Other HPHA Inquiries Shall Make an Applicant Ineligible to Submit an Application for Twelve Months;
- (j) Section 17-2031-22, HAR [Eligibility for admission and participation]: Clarify -
  - i. Applicant and Family Members Must Meet all Application Requirements for Admission;
  - ii. Requirements for Providing a social security number and alternatives for children under six who have not been assigned a social security number at the time of admission;
  - iii. Applicants Shall Not Have Been Evicted Since March 1, 1985 from a Public Housing Program Administered by the Authority or Any of its Predecessors, Unless for Failure to Pay Rent If the Applicant Pays All Amounts in Full to the Authority;
  - iv. Consideration of Rehabilitation Shall be Based on 42 C.F.R. §13661(b)(2)(A)-(C) as it Existed on October 20, 2022;
  - v. Evidence of Eligibility Status Shall be Based on 24 C.F.R. §5.508 as it Existed on October 20, 2022;
- (k) Section 17-2031-25, HAR [Local preferences]:
  - i. Clarify Each First Priority Preference;
  - ii. Establish Each Priority Group is of Equal Weight Regardless of Lottery Position;
  - iii. Delete Section Stating an Elderly, Disabled or Displaced Family With Up to Two Members Shall be Given Preference Over All Other Single Applicants, Regardless of the Other Single Applicant's Local Preference;
- (l) Section 17-2031-26, HAR [Waiting list]: Establishes a Lottery Selection Process;
- (m) Section 17-2031-29, HAR [Final application process – selection and certification]:
  - i. Specify Selection Off the Waiting List May be by Date and Time or Lottery Selection;
  - ii. Clarify Communication May be Through Electronic Contact;



- iii. Clarify That this Section Applies to Dwelling Units;
  - iv. Specify Some Tenancy History May Be Provided to A Prospective Landlord Provided There Has Been a Criminal Conviction;
- (n) Section 17-2031-30, HAR [Special admission and exception for designated programs]: Clarify that this Section Applies to Dwelling Units, and that the Authority Shall Maintain Records Showing a Family was Admitted Through HUD-Targeted Assistance;
- (o) Section 17-2031-31, HAR [Annual Income]:
  - i. Clarify that the Determination of Annual Income is Pursuant to 24 C.F.R. §5.609, as it Existed on October 20, 2022;
  - ii. Specify Dwelling Unit Inspections Will be Conducted Every Other Year, Except Under Certain Circumstances;
- (p) Section 17-2031-42, HAR [Special admission and exception for designated programs]: Clarify that this Section Applies to Dwelling Units;
- (q) Section 17-2031-53, HAR [Total tenant payment]: Specify Minimum Rent at \$50 and Clarify Financial Hardship Shall be Determined Based Upon 24 C.F.R. §5.630, as it Existed on October 20, 2022;
- (r) Section 17-2031-54, HAR [Rent]: Clarify that the Reasonable Accommodations for Fair Market Rents Shall be in Accordance with 24 C.F.R. Part 8, as it Existed on October 20, 2022, and Removal of Reference to Discontinued Certificate Program;
- (s) Section 17-2031-55, HAR [Payment standard]: Specify the Use of Small Area Fair Market Rents and Exceptions to the Payment Standard Range May be Subject to HUD Approval or Waiver;
- (t) Section 17-2031-61, HAR [Inspections]: Clarify that this Section Applies to Dwelling Units;
- (u) Section 17-2031-64, HAR [Transfers]: Remove Reference to Discontinued Certificate Program;
- (v) Section 17-2031-65, HAR [Eviction – termination of tenancy by owner]:
  - i. Clarify Violations of Federal, State or Local Laws;
  - ii. Clarify that this Section Applies to Dwelling Units;
  - iii. Removal out Discontinued Certificate Program;
  - iv. Clarify that Notice of Grounds for Termination Shall Comply with 24 C.F.R. 982.310(e)(1)(ii), as it Existed on October 20, 2022;
- (w) Section 17-2031-66, HAR [Termination of participation]:
  - i. Clarify that Termination Due to Failure to Meet Eligibility Requirements for Higher Education Shall Meet the Specification of 24 C.F.R. §5.612, as it Existed on October 20, 2022;
  - ii. Clarify that this Section Applies to Dwelling Units;
  - iii. Clarify that Consideration of Rehabilitation When Considering Termination for Certain Offenses Shall be Provided under 42 U.S.C. §13661(b)(2)(A)-(C), as it Existed on October 20, 2022;
  - iv. Specify a Lottery System Will be Used to Terminate a Family's Participation if the Authority Must Terminate Housing Assistance

Due to Insufficient Funds, Providing for Specific Participant Exclusions;

- (x) Section 17-2031-71, HAR [Informal review process for applicants]: Clarify that the Opportunity for Informal Review Shall be Pursuant to 24 C.F.R. §982.554, and Informal Hearing Shall be Pursuant to 24 C.F.R. §5.514, as they Existed on October 20, 2022;
- (y) Section 17-2031-72 [Informal hearing process for participants]:
  - i. Clarify that this Section Applies to Dwelling Units;
  - ii. Removal out Discontinued Certificate Program;
  - iii. Clarify the Opportunity for an Informal Hearing Shall be Pursuant to 24 C.F.R. §5.514, as they Existed on October 20, 2022;
  - iv. Sections 17-2031-91 to 17-2031-93, HAR [Purpose; Eligible projects; Notification of project-based assistance]: Clarify That these Sections Apply to Dwelling Units;
  - v. Section 17-2031-94, HAR [Applications for project-based assistance; information required]: Clarify the Applicant to Manage Project-Based Assistance Shall be Referred to as the Housing Provider or Owner;
  - vi. Adding Section 17-2031-99, HAR [Dwelling unit cap on project-based dwelling units by project] to Clarify a Project-Based Assistance Cap and When the Authority May Exceed the Cap;
  - vii. Adding Sections 17-2031-100 to 17-2031-110, HAR to Establish a Rental Assistance Demonstration Program; and

**(3) Authorize the Executive Director to Conduct a Public Hearing and Undertake All Other Actions Necessary Under Chapter 91, Hawaii Revised Statutes (HRS), and Administrative Directive No. 18-02 to Implement the Repeal and Adoption of New Hawaii Administrative Rules (HAR), Including Making Non-Substantive Revisions to Formatting as May be Required**

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The proposed administrative rules listed on this agenda can be viewed at the HPHA's offices and properties listed below, on the HPHA's website at [http://www.hpha.hawaii.gov/referenceinformation/admin\\_rule.htm](http://www.hpha.hawaii.gov/referenceinformation/admin_rule.htm), and through the Resident Advisory Board.

Hawaii Public Housing Authority  
1002 North School Street, Bldg. E  
Honolulu, Hawaii 96817

Palolo Valley Homes  
2129 Ahe Street  
Honolulu, Hawaii 96819

Puuwai Momi  
99-132 Kohomua Street  
Aiea, Hawaii 96701

Kalihi Valley Homes  
2250 Kalena Drive  
Honolulu, Hawaii 96819

Mayor Wright Homes  
521 N. Kukui Street  
Honolulu, Hawaii 96817

Kalakaua Homes  
1545 Kalakaua Ave.  
Honolulu, Hawaii 96826

Kalanihua  
1220 Aala Street  
Honolulu, Hawaii 96817

Lanakila Homes  
600 Wailoa Street  
Hilo, Hawaii 96720

Kapaa  
4726 Malu Road  
Kapaa, Hawaii 96746

Kahekili Terrace  
2015 Holowai Place  
Wailuku, Hawaii 96793

Kuhio Homes  
1410 Ahonui Street  
Honolulu, Hawaii 96819

Ka Hale Kahaluu  
78-6725 Makolea Street  
Kailua-Kona, Hawaii 96740

Waimaha-Sunflower  
85-186 McArthur Street  
Waianae, Hawaii 96792

Koolau Village  
45-1027 Kamau Place  
Kaneohe, Hawaii 96744

Noelani II  
65-1191 Opelo Road  
Kamuela, Hawaii 96743

Kauhale Nani  
310 North Cane Street  
Wahiawa, Hawaii 96786

Copies of the proposed amended administrative rules can also be requested from the HPHA by emailing a request to [hpha@hawaii.gov](mailto:hpha@hawaii.gov).

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- F. To Authorize the Executive Director to Execute a Termination for Convenience Compensation Agreement and Release Between the Hawaii Public Housing Authority and MWH Partners, LLC, a Delaware Limited Liability Company and to Undertake All Actions Necessary, including but not Limited to Reimbursement of Reasonable and Proper Costs, to Effectuate the Agreement and Release Between the Hawaii Public Housing Authority and MWH Partners, LLC, Relating to the Redevelopment and Revitalization of Mayor Wright Homes (Tax Map Key: 1-7-029-003-0000)

(The Board may go into executive session pursuant to Hawaii Revised Statutes sections 92-4 and 92-5(a)(4) to consult with the Board's attorneys on questions and issues pertaining to the Board's powers, duties, privileges, immunities, and liabilities related to this agenda item.)

## V. REPORTS

- A. Executive Director's Report: Monthly reports are included in the Board packet.
- Financial Report for the Month of August 2022
  - Report on Contracts Executed During September 2022 and Planned Solicitations for October 2022. No formal report is planned.
  - Update on Redevelopment Projects: Affordable Senior Housing at School Street and Kuhio Park Terrace/Kuhio Homes
  - Redevelopment Tracker
  - Public Housing Occupancy/Vacancy Report; Federal Public Housing; for the Month of August 2022
  - Obligation and Expenditure Status for Design and Construction Projects Funded Under the Federal Capital Fund Program (CFP) and the State Capital Improvement Program (CIP). Report on closed contracts.
  - Section 8 Subsidy Programs Voucher: Voucher Lease-up and Pending Placements; Update on Rent Supplement Program

The Board agenda for this meeting is available for inspection on the HPHA's website: <http://www.hpha.hawaii.gov/boardinfo/packets.htm>.

If you need an auxiliary aid/service or other accommodation due to a disability, contact Ms. Jennifer Menor by telephone at (808) 832-4694 or by email at [jennifer.k.menor@hawaii.gov](mailto:jennifer.k.menor@hawaii.gov) as soon as possible, preferably by close of business three days prior to the meeting date. If a response is received after October 17, 2022, we will try to obtain the auxiliary aid/service or accommodation, but we cannot guarantee that the request will be fulfilled. Upon request, this notice is available in alternate formats such as large print, Braille, or electronic copy.

HAWAII PUBLIC HOUSING AUTHORITY  
MINUTES OF THE REGULAR MEETING  
HELD AT 1002 NORTH SCHOOL STREET, BUILDING A  
HONOLULU, HAWAII 96817  
ON THURSDAY, SEPTEMBER 15, 2022  
IN THE CITY AND COUNTY OF HONOLULU, STATE OF HAWAII

The Board of Directors of the Hawaii Public Housing Authority held their Regular Board Meeting at 1002 North School Street, on Thursday, September 15, 2022. The Board meeting was conducted by video conference via Zoom.

The public was able to participate in the meeting via Zoom or telephone by calling in. The meeting was also open to the public for in person participation at 1002 N. School Street, Building A, Honolulu, HI 96817. No Board members were physically present at this location. It was announced that if the HPHA lost internet or Zoom connection during the meeting, the meeting would be recessed and reconvened pursuant to instructions in the posted agenda.

Chairperson Hall stated that, in compliance with the Office of Information Practices, the Board would accept public testimony on any item relevant to the agenda during the public testimony portion of the meeting and at the time the agenda item is called for discussion.

At approximately 9:05 a.m., Chairperson Hall called the meeting to order, held a roll call and declared a quorum present. Those present were as follows:

|                                     |                                                                                                                                                                                                                                                                                                                                                                                                    |
|-------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>PRESENT:</b><br>(Via Zoom)       | Director Robert Hall, Chairperson<br>Director Leilani Pulmano, Vice Chairperson<br>Director Roy Katsuda, Secretary<br>Designee Joseph Campos II<br>Director George De Mello<br>Director Susan Kunz<br>Director Betty Lou Larson<br>Director Christyl Nagao<br>Director Sabrina Nasir<br>Director Todd Taniguchi<br><br>Deputy Attorney General Linda Chow<br>Deputy Attorney General Klemen Urbanc |
| <b>STAFF PRESENT:</b><br>(Via Zoom) | Hakim Ouansafi, Executive Director<br>Barbara Arashiro, Executive Assistant<br>Kevin Auger, Redevelopment Officer<br>Bennett Liu, Chief Financial Officer<br>Rick Sogawa, Contracts and Procurement Officer                                                                                                                                                                                        |

Becky Choi, State Housing Development Administrator  
Dylan Fujitani, Hearings Officer  
Shirley Befitel, Human Resources Supervisor  
Sarah Beamer, Program Specialist  
Sharon Espejo, Assistant Chief Financial Officer  
Gary Nakatsu, Program Specialist  
Jennifer Menor, Secretary to the Board

**OTHERS PRESENT** (via Zoom/teleconference):  
None

**Director Katsuda moved,**

**To Amend the Order of the Agenda Items to Open with Discussion and Decision Making Item B Before the Approval of the Minutes and Item A**

**The motion was unanimously approved.**

### **Public Testimony**

Individuals were allowed to submit written testimony no later than 24 hours prior to the scheduled meeting, which would be distributed to the Board members. The public was instructed to submit written testimony via email to [jennifer.k.menor@hawaii.gov](mailto:jennifer.k.menor@hawaii.gov) or by U.S. mail to P.O. Box 17907, Honolulu, HI 96817. The public was also allowed to participate via Zoom or teleconference by using the “Raise Hand” feature in Zoom, or by simply announcing/identifying themselves and the item they want to testify about during the public testimony portion of the meeting. Individuals were also allowed to provide audiovisual oral testimony by using the “Raise Hand” feature in Zoom, clicking the “Unmute” icon to talk, and clicking the “Start Video” icon to turn the camera on.

Chairperson Hall stated that the Board would accept public testimony on any item relevant to the agenda at this time or at the time the agenda item is called for discussion. Pursuant to section 92-3, Hawaii Revised Statutes, and section 17-2000-18, Hawaii Administrative Rules, the Board may limit public testimony to three minutes per agenda item.

Chairperson Hall acknowledged that written testimony was received from Lieutenant Governor Josh Green in support of Executive Director Ouansafi and his many efforts, which was distributed to the Board members prior to the meeting.

### **Discussion and Decision Making**

**Director Katsuda moved,**

**To Approve Addendum to the Employment Agreement of the Hawaii Public Housing Authority's Executive Director to Extend the Employment Agreement from the Current End Date of November 21, 2023 to December 31, 2027**

Executive Assistant Arashiro reported that the requested addendum will extend the Executive Director's Employment Agreement to December 31, 2027. Any additional extensions must be approved by the Board.

Extension to the Executive Director's contract will provide for much needed continuity and allow the HPHA to continue to improve and build on its current successes.

Executive Assistant Arashiro stated that Executive Director Ouansafi recently celebrated his tenth year with HPHA and continues to be the agency's visionary continuing to bring affordable housing to Hawaii's needing families. Executive Director Ouansafi works with the highest standard of excellence and ethics, while watching out for his staff and the families that HPHA serves. Executive Assistant Arashiro acknowledged that a letter of support from Lieutenant Governor Josh Green was received that strongly encouraged the Board to support Executive Director Ouansafi for continued service as the Executive Director for HPHA.

Director De Mello spoke on behalf of the tenants and himself who have worked with Executive Director Ouansafi for many years. He expressed his support and acknowledged Executive Director Ouansafi's hard work.

Director Pulmano sought more information on the employment agreement in 2014, such as the reason the employment agreement was drafted and if this was a typical process.

Director Nasir requested to go into executive session.

**Director Nasir moved,**

**The Board to go into executive session pursuant to Hawaii Revised Statutes sections 92-4 and 92-5(a)(4) to consult with Board's attorney on questions and issues pertaining to the Board's powers, duties, privileges, immunities, and liabilities as related to this motion and to consider personnel matters and matters affecting privacy will be involved**

**The motion to go into executive session was unanimously approved.**

The Board entered Executive Session at approximately 9:18 a.m.

The Board reconvened at approximately 10:16 a.m.

Chairperson Hall reported that the Board consulted with its attorneys on issues pertaining to the Board's powers, duties, privileges, immunities, and liabilities related to this matter.

**Director De Mello withdrew his Second of the Motion.**

**Director Katsuda withdrew his Motion.**

Chairperson Hall stated that the Board fully supports this motion and the Executive Director. He commented that the withdrawal of the motion is not a reflection of the Board's support for the Executive Director and the good work he has done, but was to allow time for the Board to be more familiar with the contract and to be presented again at a future Board meeting.

### **Approval of Minutes**

**Director Pulmano moved,**

**To Approve the Annual Meeting Minutes of July 21, 2022**

Chairperson Hall stated that the Board would accept public testimony on this item. No public testimony was given.

**The minutes were approved as presented.**

**Director Pulmano moved,**

**To Approve the Regular Meeting Minutes of July 21, 2022**

Chairperson Hall stated that the Board would accept public testimony on this item. No public testimony was given.

**The minutes were approved as presented.**

### **Discussion and Decision Making**

**Director Pulmano moved,**

**To (1) Reappoint Mr. Douglas Kaya to the Hawaii Public Housing Authority's (HPHA) State Eviction Board as a Regular Board Member, for a Four-Year Term Retroactive Beginning September 1, 2022 and Ending August 31, 2026; and (2) Reappoint Mr. George Smith to the HPHA State**



**Eviction Board as a Regular Board Member, for a Four-Year Term  
Retroactive Beginning September 1, 2022 and Ending August 31, 2026**

Executive Director Ouansafi reported that Mr. Douglas Kaya has a background as a professor of speech at Leeward Community College. He has held several elected positions within the LCC system including Chair of the LCC Faculty Senate and Chair of the Arts and Humanities Division.

Mr. George Smith has been a resident of public housing for the past 44 years. As a tenant in state public housing, he is familiar with the HPHA rental agreement, HPHA rules and policies, as well as the issues of concern to public housing tenants.

HPHA is grateful to both Mr. Kaya and Mr. Smith, who have expressed a willingness to serve another term.

Director Larson thanked Mr. Kaya and Mr. Smith for their past service and willingness to continue to serve.

Chairperson Hall stated that the Board would accept public testimony on this item. No public testimony was given.

**The motion was unanimously approved.**

**Executive Director's Report**

Executive Director Ouansafi reported on the following in the month of August:

**Moving To Work (MTW) Designation**

- HPHA has established the five incentives it plans to utilize in its inaugural year as an MTW agency:
  - o Front-End Vacancy Loss Payments
  - o Continues Vacancy Loss Payments
  - o First Time bonus payments
  - o Local, Non-Traditional Activities
  - o Alternative Accommodation Transfer (Agency-Specific Waiver)
- On August 24, 2022, the MTW ACC Amendment was fully executed by HUD, thereby establishing HPHA as part of the MTW Demonstration program.
- In preparation of amending the PHA Annual Plan, the HPHA successfully held a series of meetings via telecommunication to discuss each incentive and receive feedback from interested parties to include in the MTW Supplement of the PHA Plan.

## Yes In My Backyard Statewide Working Group

- HB 1837, HD1, SD2, CD1 was signed into law by Governor David Y. Ige as Act 305 on July 12, 2022. The law establishes the Yes In My Backyard (YIMBY) statewide working group on affordable housing to foster increased inter-agency coordination on housing and zoning issues, raise public awareness of ongoing state and county efforts to reduce barriers to affordable housing development, and propose legislation.
- The HPHA and HHFDC are co-chairs of the YIMBY statewide working group and are working together to determine meeting dates with the members, which include the following:
  - o Executive Director of the Hawaii Housing Finance Development Corporation, or designee;
  - o Executive Director of the Hawaii Public Housing Authority, or designee;
  - o State Senate Housing Committee Chair, or designee;
  - o State House Housing Committee Chair, or designee;
  - o Executive Director of the Land Use Commission, or designee;
  - o Executive Director of the Office of Planning and Sustainable Development, or designee;
  - o Executive Director of the Hawaii Community Development Authority, or designee;
  - o Representatives from each county agency having authority over zoning; and
  - o Relevant stakeholders, as recommended by the working group.
- Discussion topics include, but are not limited to:
  - o Opportunities to reduce zoning, regulatory, and statutory barriers to affordable housing development;
  - o Statutory or regulatory measures adopted in the previous year by the State or counties that have successfully increased opportunities to develop housing for residents at all income levels;
  - o Opportunities for public outreach to inform residents of the ongoing efforts by the State and counties to reduce barriers to affordable housing development;
  - o The feasibility of:
    - Allowing multi-family housing development in retail and commercial zones;
    - Converting office units and commercial spaces into apartments and other multi-family residential spaces;
    - Promoting a range of housing types in areas zoned for single-family homes;
    - Reducing the minimum lot size for housing uses;
    - Streamlining the housing permitting process and timelines;
    - Establishing density bonuses;
    - Utilizing vacant or underutilized county land for affordable housing development; and
    - Utilizing financing programs to develop affordable housing more efficiently; and
  - o Any other topics requested by the Legislature.

(At approximately 10:29 a.m., the meeting no longer had quorum. The remaining Board members included Chairperson Hall, Director Pulmano, Director Katsuda, Director De Mello and Designee Campos.)

Deputy Attorney General Linda Chow confirmed that the meeting could continue without quorum as the remaining items were for informational purposes only.

Director Pulmano referred to page 80 of the Board packet and sought more information on the 2021-2025 environmental reviews.

Executive Director Ouansafi stated that the eight federal sites in the HPHA inventory are required to undergo Section 106 review with the State Historic Preservation Department in order to receive federal funding.

Director Pulmano congratulated Executive Assistant Arashiro on being selected as the HPHA's Sustained Superior Performance Awardee.

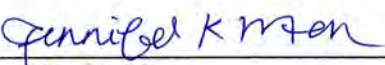
Director Pulmano then referred to page 87 of the Board packet and asked for more details on the penalty and citation letter from DLIR that the Kahekili Terrace Maintenance baseyard received.

Executive Director Ouansafi stated that HPHA was cited for having equipment which was determined to be not safe (i.e., frayed cord) and for improper use of extension cords with appliances. HPHA did not dispute the claim, but requested a reduction of fees.

With no quorum present, the meeting ended at 10:37 a.m.

#### MINUTES CERTIFICATION:

Minutes Prepared by:

  
\_\_\_\_\_  
Jennifer K. Menor  
Secretary to the Board

OCT 20 2022

\_\_\_\_\_  
Date

Approved by the Hawaii Public Housing Authority Board of Directors at their Regular Meeting on October 20, 2022 [ ☒ ] As Presented [ ☐ ] As Amended

  
\_\_\_\_\_  
Director Roy Katsuda  
Board Secretary

Oct 20, 2022

\_\_\_\_\_  
Date

## FOR ACTION

- MOTION:** To (1) Approve Proposed Amendments to the Hawaii Public Housing Authority's (HPHA) Public Housing Agency (PHA) Annual Plan for the Fiscal Year Starting July 1, 2022 and Ending June 30, 2023, to Provide Notice of the HPHA's Intent to:
- a) Change the Method of Conducting Rent Reasonableness for the HPHA's Housing Choice Voucher Program;
  - b) Temporarily or Permanently Close Certain Areas in Public Housing Properties due to Misuse, Drug Activity, or to Mitigate an Emergency Situation;
  - c) Adding and Listing Potential Public Housing Units for Occupancy by Police Officers;
  - d) Revise the Admissions and Continued Occupancy Policy (ACOP) and Hawaii Administrative Rules where Eligibility, Wait List Management, Occupancy, Lease Violations and Terminations are Covered to Ensure Policies are Consistent;
  - e) Revise the Hawaii Administrative Rules (HAR) to Incorporate Existing Policies in the Admissions and Continued Occupancy Policy (ACOP);
  - f) Revise the Hawaii Administrative Rules (HAR) to Incorporate Existing Policies in the Section 8 Administrative Plan;
  - g) Apply for Available HUD Waivers which Provide Benefit to Section 8 Program Participants, such as Increased Payment Standards and New Payment Standard Amounts;
  - h) Apply for Available HUD Waivers and Utilize Funding Flexibilities Under the Moving To Work (MTW) Demonstration Program as Detailed in the HPHA's MTW Supplement; and
- (2) Authorize the Executive Director to: a) Hold Public Hearings on the Proposed Changes to the HPHA's PHA Annual Plan as Required; b) Undertake All Actions Necessary to Accept, Adopt, or Respond to Comments from the Public and the Resident Advisory Board; and c) Submit the Proposed PHA Annual Plan as Amended Above to the U.S. Department of Housing and Urban Development, if No Substantive Changes are Made to the Amended PHA Annual Plan

## I. FACTS

- A. The Public Housing Agency (PHA) Five-Year and Annual Plan is a requirement of the Quality Housing and Work Responsibility Act of 1998 (QHWRA) and the Housing and Economic Recovery Act (HERA) of 2008. All public housing agencies administering federal public housing and

Section 8 tenant-based Housing Choice Voucher (HCV) assistance programs must submit their plans to the U.S. Department of Housing and Urban Development (HUD) to be eligible to receive administrative, operating, Capital Fund Program, and Section 8 HCV assistance monies.

- B. The PHA Plan is a comprehensive guide to PHA policies, programs, operations, and strategies for meeting local housing needs and goals. There are two parts to the PHA Plan: the 5-Year Plan, which each PHA submits to HUD once every 5th PHA fiscal year, and the Annual Plan, which is submitted to HUD every year by non-qualified agencies. (Qualified agencies have a combined unit total of 550 or less public housing units and Section 8 vouchers. The HPHA is considered a large housing authority by HUD's criteria.)
- C. The PHA Annual Plan does not govern or apply to the State public housing programs, or any other State assisted programs that are administered and managed by the HPHA.
- D. The HPHA's PHA Annual Plan for Fiscal Year 2022-2023 was approved by the U.S. Department of Housing and Urban Development on May 4, 2022.
- E. Pursuant to the HPHA's rules and as stated in the HPHA's PHA Annual Plan for Fiscal Year 2022-2023, a significant amendment or modification to the Annual PHA Plan is the 1) adding or eliminating of major strategies to address housing needs and to major policies or programs; or 2) modifying a major strategy such that a substantial transfer of resources away from others is necessary in order to carry it out.
- F. Pursuant to 24 CFR 903.21, each significant amendment or modification to a plan submitted to HUD is subject to the requirements of 24 CFR sections 903.13, 903.15, and 903.17.
- G. As a Moving To Work (MTW) agency, the HPHA is still required to submit an Annual Plan and a Five-Year Plan.

## **II. DISCUSSION**

- A. The HPHA's PHA Annual Plan of Fiscal Year 2022-2023 is being amended to provide public notice and to inform HUD that the HPHA intends to add major programs to address housing needs and improve living conditions for the low-income community by: 1) Changing the Method of Conducting Rent Reasonableness for the HPHA's Housing Choice Voucher Program; 2) Temporarily or Permanently Closing Certain Areas in Public Housing Properties due to Misuse, Drug Activity, or to



Mitigate an Emergency Situation; 3) Adding and Listing Potential Public Housing Units for Occupancy by Police Officers; 4) Revising the ACOP and HAR where Eligibility, Wait List Management, Occupancy, Lease Violations and Terminations are Covered to Ensure Policies are Consistent, 5) Revising the Public Housing ACOP to Incorporate Existing Policies into the HAR; 6) Revising the Section 8 Administrative Plan to Incorporate Existing Policies into the HAR; 7) Applying for Available HUD Waivers which Provide Benefit to Section 8 Program Participants, such as Increased Payment Standards and New Payment Standard Amounts; and 8) Applying for HUD waivers and utilizing Funding Flexibility as detailed in the MTW Supplement to the Annual Plan.

B. Rent Reasonableness

1. No Housing Assistance Payment (HAP) contract can be approved until the HPHA has determined that the rent for the unit to be leased is reasonable. The purpose of conducting a test of rent reasonableness is to ensure that a fair rent is paid for each unit rented under the Housing Choice Voucher (HCV) Program.
2. The U.S. Department of Housing and Urban Development (HUD) regulations define a reasonable rent as one that does not exceed the rent charged for comparable, unassisted units in the same market area. HUD also requires that owners not charge more for assisted units than for comparable units on the premises.
3. Currently, the rent for a unit proposed for HCV assistance will be compared to the rent charged for comparable units in the same market area. The HPHA develops a range of prices for comparable units by bedroom size within defined market areas. At least three comparable units are used for each rent determination and of which at least two must have a gross rent that exceeds the subject gross contract rent and one must have a gross rent that is lower than the subject contract rent.
4. The HPHA will amend the Housing Choice Voucher Rent Reasonableness policy to better meet the needs of HPHA participants.

C. Public Housing Property – Safety and Security

1. From time to time certain areas of the HPHA's public housing properties are in need of immediate capital repairs which make those areas dangerous for anyone in the public housing community to venture into, or are areas that are being misused by individuals to perform illegal acts such as drinking or using drugs, or are areas

that need to be closed to the public housing community to mitigate emergency situations.

2. The HPHA intends to create a policy that will temporarily or permanently close certain areas in public housing properties to include, but not be limited to, addressing the aforementioned scenarios that would be detrimental to the health and safety of our public housing communities.

D. Public Housing Occupancy by Police Officers

1. Under 24 CFR 960.505, the HPHA is required to provide the HUD Field Office with a statement indicating that occupancy by Police Officers is necessary to increase security for public housing residents.
2. Police Officers that occupy public housing units must actively provide security to (including patrolling) the property(s) as a condition of tenancy. If the community conditions that created the need to house Police Officers in the public housing property cease to exist, the HPHA must make these units available to eligible program participants.
3. The HPHA is in the process of obtaining HUD approval for public housing occupancy for a Police Officer at the HPHA's Nani Olu property. Additionally, the HPHA intends to request HUD approval for public housing occupancy for Police Officers at the Makua Alii and Hookipa Kahaluu properties.

E. ACOP and HAR

1. Portions of the Admissions and Continued Occupancy Policy (ACOP) and the Hawaii Administrative Rules (HAR) are inconsistent. Although it is widely understood that the ACOP is subordinate to the HAR, the HPHA intends to incorporate all policies into the HAR. This will provide for more consistency, efficiency, and reduce confusion for the tenant population and the public.
2. More specifically, public housing rental agreement terminations are addressed in Chapter 12 of the HPHA's Admissions and Continued Occupancy Policy (ACOP) and was adopted by the Hawaii Community Development Corporation of Hawaii in 2005.
3. Since ACOP Chapter 12 was adopted before the HPHA's creation, it is largely out of sync with the Hawaii Revised Statutes (HRS) and

Hawaii Administrative Rules (HAR) that regulate the HPHA's public housing evictions, and imposes numerous actions not required by the HRS and HAR.

4. The HPHA has determined that it must immediately work on the necessary revisions needed to mirror the relevant HRS and HAR to avoid any challenges in court on the basis that the HPHA's ACOP Chapter 12 is inconsistent with the HRS and HAR.

F. Section 8 Administrative Plan and HAR

1. Portions of the Section 8 Administrative Plan and the Hawaii Administrative Rules (HAR) are inconsistent. Although it is widely understood that the Section 8 Administrative Plan is subordinate to the HAR, the HPHA intends to incorporate all policies into the HAR. This will provide for more consistency, efficiency, and reduce confusion for the tenant population and the public.

G. HUD Waivers

1. During the COVID-19 pandemic, the Coronavirus Aid, Relief, and Economic Security (CARES) Act provided HUD with the authority to make waivers available to Public Housing Agencies (PHA) for the operation of the public housing and Section 8 programs.
2. These waivers provided PHAs with the flexibility to adjust program practices where necessary so that they could prioritize mission critical functions.
3. HUD has determined that the housing market continues to experience instability and has extended several waivers of program requirements. The HPHA is reviewing available waivers and proposes to extend the use of waivers to payment standards to allow tenants greater flexibility in their housing search.
4. HPHA is designated as a MTW agency and will utilize HUD waivers and funding flexibilities available to MTW agencies under the Demonstration Program.

- H. Meetings will be held with the Resident Advisory Board (RAB) members and the HPHA staff to discuss the proposed amendments in the draft Amended PHA Annual Plan for Fiscal Year 2022-2023. The RAB will provide preliminary comments and recommendations, and the HPHA will respond to those recommendations.

- I. The following schedule has been established:



| <u>Action</u>                             | <u>Timeframe</u>       |
|-------------------------------------------|------------------------|
| Input from RAB                            | October-November, 2022 |
| Board – “For Action” (set Public Hearing) | October 20, 2022       |
| Publish Hearing Notice (45 Day Notice)    | October 21, 2022       |
| Public Hearing                            | December 5, 2022       |
| Meet with RAB for Final Comments          | December 6, 2022       |
| Board – “For Action” (To Approve Plan)    | December 15, 2022      |
| Transmit Approved PHA Plan to HUD         | December 15, 2022      |

- J. Information regarding the draft Amended PHA Annual Plan for Fiscal Year 2022-2023 and the public hearings will be sent to all RAB members, Resident Associations and Asset Management Project (AMP) property offices, the Section 8 office, and will be included in the November monthly rent billing statement mailed to all public housing households.
- K. To notify the public of the hearings, notices will be published in the Honolulu Star-Advertiser, The Garden Island (Kauai), The Maui News, West Hawaii Today (Kailua-Kona), and the Hawaii Tribune Herald (Hilo) upon Board Approval.
- L. The draft Amended PHA Annual Plan for Fiscal Year 2022-2023 is attached for review. For easy reference, the highlighted portions indicate the proposed changes to the draft Amended PHA Annual Plan for the Fiscal Year 2022-2023 that will be submitted to HUD.
- M. Copies of the plan can be viewed by the public on the HPHA’s website at <http://www.hpha.hawaii.gov/housingplans/index.htm>, HPHA’s offices and properties listed below, through the Resident Advisory Board, and the Section 8 office:

|                                                                                                |                                                                             |
|------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------|
| Hawaii Public Housing Authority<br>1002 North School Street, Bldg. E<br>Honolulu, Hawaii 96817 | HPHA Section 8 Office<br>1002 North School Street<br>Honolulu, Hawaii 96817 |
| Puuwai Momi<br>99-132 Kohomua Street<br>Aiea, Hawaii 96701                                     | Kalihi Valley Homes<br>2250 Kalena Drive<br>Honolulu, Hawaii 96819          |
| Mayor Wright Homes<br>521 N. Kukui Street<br>Honolulu, Hawaii 96817                            | Kalakaua Homes<br>1545 Kalakaua Ave.<br>Honolulu, Hawaii 96826              |
| Kalaniihuia<br>1220 Aala Street<br>Honolulu, Hawaii 96817                                      | Lanakila Homes<br>600 Wailoa Street<br>Hilo, Hawaii 96720                   |

Kapaa  
4726 Malu Road  
Kapaa, Hawaii 96746  
Kuhio Homes  
1410 Ahonui Street  
Honolulu, Hawaii 96819

Kahekili Terrace  
2015 Holowai Place  
Wailuku, Hawaii 96793  
Ka Hale Kahaluu  
78-6725 Makolea Street  
Kailua-Kona, Hawaii 96740

Waimaha-Sunflower  
85-186 McArthur Street  
Waianae, Hawaii 96792

Koolau Village  
45-1027 Kamau Place  
Kaneohe, Hawaii 96744

Noelani II  
65-1191 Opelo Road  
Kamuela, Hawaii 96743

Kauhale Nani  
310 North Cane Street  
Wahiawa, Hawaii 96786

Palolo Valley Homes  
2129 Ahe Street  
Honolulu, Hawaii 96819

- N. Copies of the plan can also be requested from the HPHA by calling (808) 832-4696 or emailing a request to [hpha@hawaii.gov](mailto:hpha@hawaii.gov).

### III. RECOMMENDATION

That the Board of Directors **(1)** Approve Proposed Amendments to the Hawaii Public Housing Authority's (HPHA) Public Housing Agency (PHA) Annual Plan for the Fiscal Year Starting July 1, 2022 and Ending June 30, 2023, to Provide Notice of the HPHA's Intent to:

- a) Change the Method of Conducting Rent Reasonableness for the HPHA's Housing Choice Voucher Program;
- b) Temporarily or Permanently Close Certain Areas in Public Housing Properties due to Misuse, Drug Activity, or to Mitigate an Emergency Situation;
- c) Adding and Listing Potential Public Housing Units for Occupancy by Police Officers;
- d) Revise the Admissions and Continued Occupancy Policy (ACOP) and Hawaii Administrative Rules where Eligibility, Wait List Management, Occupancy, Lease Violations and Terminations are Covered to Ensure Policies are Consistent;
- e) Revise the Hawaii Administrative Rules (HAR) to Incorporate Existing Policies in the Admissions and Continued Occupancy Policy (ACOP);
- f) Revise the Hawaii Administrative Rules (HAR) to Incorporate Existing Policies in the Section 8 Administrative Plan;

- g) Apply for Available HUD Waivers which Provide Benefit to Section 8 Program Participants, such as Increased Payment Standards and New Payment Standard Amounts;
- h) Apply for Available HUD Waivers and Utilize Funding Flexibilities Under the Moving To Work (MTW) Demonstration Program as Detailed in the HPHA's MTW Supplement; and
- (2) Authorize the Executive Director to: a) Hold Public Hearings on the Proposed Changes to the HPHA's PHA Annual Plan as Required; b) Undertake All Actions Necessary to Accept, Adopt, or Respond to Comments from the Public and the Resident Advisory Board; and c) Submit the Proposed PHA Annual Plan as Amended Above to the U.S. Department of Housing and Urban Development, if No Substantive Changes are Made to the Amended PHA Annual Plan

Attachment A: Proposed Draft Amended PHA Annual Plan for FY 2022-2023

Prepared by: Benjamin Park, Chief Planner BP

Approved by the Board of Directors  
on the date set forth above  
☒ As Presented [ ] As Amended



Robert J. Hall  
Chairperson

|                                                                  |                                                                                                 |                                                  |
|------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|--------------------------------------------------|
| <b>Annual PHA Plan<br/>(Standard PHAs and<br/>Troubled PHAs)</b> | <b>U.S. Department of Housing and Urban Development<br/>Office of Public and Indian Housing</b> | <b>OMB No. 2577-0226<br/>Expires: 03/31/2024</b> |
|------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|--------------------------------------------------|

**Purpose.** The 5-Year and Annual PHA Plans provide a ready source for interested parties to locate basic PHA policies, rules, and requirements concerning the PHA's operations, programs, and services, including changes to these policies, and informs HUD, families served by the PHA, and members of the public of the PHA's mission, goals and objectives for serving the needs of low- income, very low- income, and extremely low- income families.

**Applicability.** The Form HUD-50075-ST is to be completed annually by **STANDARD PHAs or TROUBLED PHAs**. PHAs that meet the definition of a High Performer PHA, Small PHA, HCV-Only PHA or Qualified PHA do not need to submit this form.

**Definitions.**

- (1) **High-Performer PHA** – A PHA that owns or manages more than 550 combined public housing units and housing choice vouchers, and was designated as a high performer on both the most recent Public Housing Assessment System (PHAS) and Section Eight Management Assessment Program (SEMAP) assessments if administering both programs, or PHAS if only administering public housing.
- (2) **Small PHA** - A PHA that is not designated as PHAS or SEMAP troubled, that owns or manages less than 250 public housing units and any number of vouchers where the total combined units exceed 550.
- (3) **Housing Choice Voucher (HCV) Only PHA** - A PHA that administers more than 550 HCVs, was not designated as troubled in its most recent SEMAP assessment and does not own or manage public housing.
- (4) **Standard PHA** - A PHA that owns or manages 250 or more public housing units and any number of vouchers where the total combined units exceed 550, and that was designated as a standard performer in the most recent PHAS or SEMAP assessments.
- (5) **Troubled PHA** - A PHA that achieves an overall PHAS or SEMAP score of less than 60 percent.
- (6) **Qualified PHA** - A PHA with 550 or fewer public housing dwelling units and/or housing choice vouchers combined and is not PHAS or SEMAP troubled.

| A.  | PHA Information.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
|-----|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| A.1 | <p><b>PHA Name:</b> <u>Hawaii Public Housing Authority</u> <b>PHA Code:</b> <u>HI001</u></p> <p><b>PHA Type:</b> <input checked="" type="checkbox"/> Standard PHA <input type="checkbox"/> Troubled PHA</p> <p><b>PHA Plan for Fiscal Year Beginning:</b> (MM/YYYY): <u>07/2022</u></p> <p><b>PHA Inventory</b> (Based on Annual Contributions Contract (ACC) units at time of FY beginning, above)</p> <p><b>Number of Public Housing (PH) Units</b> <u>5,406</u> <b>Number of Housing Choice Vouchers (HCVs)</b> <u>3,929</u></p> <p><b>Total Combined Units/Vouchers</b> <u>9,335</u></p> <p><b>PHA Plan Submission Type:</b> <input checked="" type="checkbox"/> Annual Submission <input type="checkbox"/> Revised Annual Submission</p> <p><b>Availability of Information.</b> PHAs must have the elements listed below readily available to the public. A PHA must identify the specific location(s) where the proposed PHA Plan, PHA Plan Elements, and all information relevant to the public hearing and proposed PHA Plan are available for inspection by the public. At a minimum, PHAs must post PHA Plans, including updates, at each Asset Management Project (AMP) and main office or central office of the PHA. PHAs are strongly encouraged to post complete PHA Plans on their official website. PHAs are also encouraged to provide each resident council a copy of their PHA Plans.</p> <p>The PHA Plan and all supporting documents are available on the internet:<br/> <a href="http://www.hpha.hawaii.gov/housingplans/index.htm">http://www.hpha.hawaii.gov/housingplans/index.htm</a></p> <p>Hard copies of the plan are available at the following locations:</p> <div style="display: flex; justify-content: space-between;"> <div style="width: 45%;"> <p>Hawaii Public Housing Authority<br/>1002 North School Street, Bldg. E<br/>Honolulu, Hawaii 96817</p> <p>Lanakila Homes<br/>600 Wailoa Street<br/>Hilo, Hawaii 96720</p> <p>Kapaa<br/>4726 Malu Road<br/>Kapaa, Hawaii 96746</p> </div> <div style="width: 45%;"> <p>Ka Hale Kahaluu<br/>78-6725 Makolea Street<br/>Kailua-Kona, Hawaii 96740</p> <p>Kahekili Terrace<br/>2015 Holowai Place<br/>Wailuku, Hawaii 96793</p> </div> </div> |

| <input type="checkbox"/> <b>PHA Consortia:</b> (Check box if submitting a Joint PHA Plan and complete table below) |          |                             |                                 |                              |     |
|--------------------------------------------------------------------------------------------------------------------|----------|-----------------------------|---------------------------------|------------------------------|-----|
| Participating PHAs                                                                                                 | PHA Code | Program(s) in the Consortia | Program(s) not in the Consortia | No. of Units in Each Program |     |
|                                                                                                                    |          |                             |                                 | PH                           | HCV |
| Lead PHA:                                                                                                          |          |                             |                                 |                              |     |
|                                                                                                                    |          |                             |                                 |                              |     |
|                                                                                                                    |          |                             |                                 |                              |     |
|                                                                                                                    |          |                             |                                 |                              |     |

|           |                      |
|-----------|----------------------|
| <b>B.</b> | <b>Plan Elements</b> |
|-----------|----------------------|

|                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                               |                      |                            |                      |  |  |                                |       |        |                                      |     |       |                                |    |       |                        |     |        |                  |     |        |                            |     |        |                            |  |  |                              |       |        |       |     |        |          |     |        |
|-----------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------|----------------------|----------------------------|----------------------|--|--|--------------------------------|-------|--------|--------------------------------------|-----|-------|--------------------------------|----|-------|------------------------|-----|--------|------------------|-----|--------|----------------------------|-----|--------|----------------------------|--|--|------------------------------|-------|--------|-------|-----|--------|----------|-----|--------|
| <b>B.1</b>                                    | <p><b>Revision of Existing PHA Plan Elements.</b></p> <p>(a) Have the following PHA Plan elements been revised by the PHA?</p> <p>Y    N</p> <p><input checked="" type="checkbox"/> <input type="checkbox"/> Statement of Housing Needs and Strategy for Addressing Housing Needs</p> <p><input type="checkbox"/> <input checked="" type="checkbox"/> Deconcentration and Other Policies that Govern Eligibility, Selection, and Admissions.</p> <p><input checked="" type="checkbox"/> <input type="checkbox"/> Financial Resources.</p> <p><input type="checkbox"/> <input checked="" type="checkbox"/> Rent Determination.</p> <p><input checked="" type="checkbox"/> <input type="checkbox"/> Operation and Management.</p> <p><input type="checkbox"/> <input checked="" type="checkbox"/> Grievance Procedures.</p> <p><input type="checkbox"/> <input checked="" type="checkbox"/> Homeownership Programs.</p> <p><input type="checkbox"/> <input checked="" type="checkbox"/> Community Service and Self-Sufficiency Programs.</p> <p><input type="checkbox"/> <input checked="" type="checkbox"/> Safety and Crime Prevention.</p> <p><input type="checkbox"/> <input checked="" type="checkbox"/> Pet Policy.</p> <p><input type="checkbox"/> <input checked="" type="checkbox"/> Asset Management.</p> <p><input type="checkbox"/> <input checked="" type="checkbox"/> Substantial Deviation.</p> <p><input checked="" type="checkbox"/> <input type="checkbox"/> Significant Amendment/Modification</p> <p>(b) If the PHA answered yes for any element, describe the revisions for each revised element(s):</p> <p><b>1.        <u>Statement of Housing Needs and Strategy for Addressing Housing Needs</u></b></p> <p><b>Housing Needs: Housing Needs of Families on the Public Housing Waiting List as of July 1, 2021</b></p> <table border="1"> <tr> <td><b>Total Families on Waiting List = 1,860</b></td> <td><b># of families</b></td> <td><b>% of total families</b></td> </tr> <tr> <td colspan="3"><b>Income Levels</b></td> </tr> <tr> <td>Extremely low income &lt;=30% AMI</td> <td>1,719</td> <td>92.42%</td> </tr> <tr> <td>Very low income (&gt;30% but &lt;=50% AMI)</td> <td>119</td> <td>6.40%</td> </tr> <tr> <td>Low income (&gt;50% but &lt;80% AMI)</td> <td>13</td> <td>0.70%</td> </tr> <tr> <td>Families with children</td> <td>412</td> <td>22.15%</td> </tr> <tr> <td>Elderly families</td> <td>566</td> <td>30.43%</td> </tr> <tr> <td>Families with Disabilities</td> <td>542</td> <td>29.14%</td> </tr> <tr> <td colspan="3"><b>Racial Distribution</b></td> </tr> <tr> <td>Asian/Pacific Islander/Other</td> <td>1,500</td> <td>80.65%</td> </tr> <tr> <td>White</td> <td>574</td> <td>30.86%</td> </tr> <tr> <td>Hispanic</td> <td>239</td> <td>12.85%</td> </tr> </table> | <b>Total Families on Waiting List = 1,860</b> | <b># of families</b> | <b>% of total families</b> | <b>Income Levels</b> |  |  | Extremely low income <=30% AMI | 1,719 | 92.42% | Very low income (>30% but <=50% AMI) | 119 | 6.40% | Low income (>50% but <80% AMI) | 13 | 0.70% | Families with children | 412 | 22.15% | Elderly families | 566 | 30.43% | Families with Disabilities | 542 | 29.14% | <b>Racial Distribution</b> |  |  | Asian/Pacific Islander/Other | 1,500 | 80.65% | White | 574 | 30.86% | Hispanic | 239 | 12.85% |
| <b>Total Families on Waiting List = 1,860</b> | <b># of families</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | <b>% of total families</b>                    |                      |                            |                      |  |  |                                |       |        |                                      |     |       |                                |    |       |                        |     |        |                  |     |        |                            |     |        |                            |  |  |                              |       |        |       |     |        |          |     |        |
| <b>Income Levels</b>                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                               |                      |                            |                      |  |  |                                |       |        |                                      |     |       |                                |    |       |                        |     |        |                  |     |        |                            |     |        |                            |  |  |                              |       |        |       |     |        |          |     |        |
| Extremely low income <=30% AMI                | 1,719                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | 92.42%                                        |                      |                            |                      |  |  |                                |       |        |                                      |     |       |                                |    |       |                        |     |        |                  |     |        |                            |     |        |                            |  |  |                              |       |        |       |     |        |          |     |        |
| Very low income (>30% but <=50% AMI)          | 119                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 6.40%                                         |                      |                            |                      |  |  |                                |       |        |                                      |     |       |                                |    |       |                        |     |        |                  |     |        |                            |     |        |                            |  |  |                              |       |        |       |     |        |          |     |        |
| Low income (>50% but <80% AMI)                | 13                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | 0.70%                                         |                      |                            |                      |  |  |                                |       |        |                                      |     |       |                                |    |       |                        |     |        |                  |     |        |                            |     |        |                            |  |  |                              |       |        |       |     |        |          |     |        |
| Families with children                        | 412                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 22.15%                                        |                      |                            |                      |  |  |                                |       |        |                                      |     |       |                                |    |       |                        |     |        |                  |     |        |                            |     |        |                            |  |  |                              |       |        |       |     |        |          |     |        |
| Elderly families                              | 566                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 30.43%                                        |                      |                            |                      |  |  |                                |       |        |                                      |     |       |                                |    |       |                        |     |        |                  |     |        |                            |     |        |                            |  |  |                              |       |        |       |     |        |          |     |        |
| Families with Disabilities                    | 542                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 29.14%                                        |                      |                            |                      |  |  |                                |       |        |                                      |     |       |                                |    |       |                        |     |        |                  |     |        |                            |     |        |                            |  |  |                              |       |        |       |     |        |          |     |        |
| <b>Racial Distribution</b>                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                               |                      |                            |                      |  |  |                                |       |        |                                      |     |       |                                |    |       |                        |     |        |                  |     |        |                            |     |        |                            |  |  |                              |       |        |       |     |        |          |     |        |
| Asian/Pacific Islander/Other                  | 1,500                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | 80.65%                                        |                      |                            |                      |  |  |                                |       |        |                                      |     |       |                                |    |       |                        |     |        |                  |     |        |                            |     |        |                            |  |  |                              |       |        |       |     |        |          |     |        |
| White                                         | 574                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 30.86%                                        |                      |                            |                      |  |  |                                |       |        |                                      |     |       |                                |    |       |                        |     |        |                  |     |        |                            |     |        |                            |  |  |                              |       |        |       |     |        |          |     |        |
| Hispanic                                      | 239                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 12.85%                                        |                      |                            |                      |  |  |                                |       |        |                                      |     |       |                                |    |       |                        |     |        |                  |     |        |                            |     |        |                            |  |  |                              |       |        |       |     |        |          |     |        |

|                       |       |        |
|-----------------------|-------|--------|
| Black                 | 82    | 4.41%  |
| American Indian, etc. | 73    | 3.92%  |
| Bedrooms Needed       |       |        |
| 1BR and Studio        | 1,291 | 69.41% |
| 2 BR                  | 314   | 16.88% |
| 3 BR                  | 147   | 7.90%  |
| 4 BR                  | 119   | 6.40%  |
| 5 BR                  | 10    | 0.54%  |

**Housing Needs of Families on the Section 8 Waiting List as of July 1, 2021**

| <b>Total Families on Waiting List = 2,372</b> | <b># of families</b> | <b>% of total families</b> |
|-----------------------------------------------|----------------------|----------------------------|
| Income Levels                                 |                      |                            |
| Extremely low income <=30% AMI                | 2,204                | 94.10%                     |
| Very low income (>30% but <=50% AMI)          | 148                  | 5.56%                      |
| Low income (>50% but <80% AMI)                | 15                   | 0.24%                      |
| Families with children                        | 849                  | 36.31%                     |
| Elderly families                              | 336                  | 14.41%                     |
| Families with Disabilities                    | 887                  | 35.73%                     |
| Racial Distribution                           |                      |                            |
| Asian/Pacific Islander/Other                  | 1,833                | 82.47%                     |
| White                                         | 508                  | 17.55%                     |
| Hispanic                                      | 294                  | 14.23%                     |
| Black                                         | 261                  | 10.87%                     |
| American Indian, etc.                         | 46                   | 2.01%                      |
| Bedrooms Needed                               |                      |                            |
| 1BR and Studio                                | 1,484                | 83.84%                     |
| 2 BR                                          | 747                  | 15.01%                     |
| 3 BR                                          | 70                   | 2.54%                      |
| 4 BR                                          | 55                   | 0.93%                      |
| 5 BR                                          | 22                   | 0.26%                      |
| 5+ BR                                         | 1                    | 0.02%                      |

**Housing Market Area**

The Hawaii Housing Market Area (HMA) is defined as the State of Hawaii which is comprised of the City & County of Honolulu and Counties of Hawai'i, Kaua'i, and Maui.

The following housing market analysis is based primarily on information from the following sources: 2019 Hawaii Housing Planning Study, Hawaii State Department of Business, Economic Development and Tourism (DBEDT), "4<sup>th</sup> Quarter 2019 Report" and U.S. Census.

**The 2019 Hawaii Housing Planning Study:****Current Housing Situation in Hawai'i – Current Housing Stock**

According to the Census, there were 535,543 housing units in Hawaii in 2017, up about 2.0 percent from 524,852 units in 2014.

Total Housing Units (Table 1) are units that are available for occupancy as residential owned or long-term rental accommodations. The definition excludes group quarters (prisons, dormitories, nursing homes, shelters, etc.) and commercial residential properties (hotels, condominium hotels, hostels, timeshare units, etc.), which are available only on a short-term rental basis.

Total housing units are further defined as either occupied or vacant. By Census convention, the number of occupied housing units is always equal to the number of households in the State. The total housing stock includes all occupied housing units plus vacant housing units available to the market (Table 1).

Residential housing construction fell after the Great Recession began in Hawaii in 2008. Total housing units grew by about 5,600 units per year (2.2%) between 2009 and 2011. Between 2011 and 2014, growth slowed to 2,800 units per year – half what it was in the previous five years. Between 2014 and 2017, growth slowed further to about 2,675 units per year.

**Table 1. Housing Unit Types by County, 2017**

| Housing Unit Types                 | Honolulu | Hawai'i | Maui   | Kaua'i | State   |
|------------------------------------|----------|---------|--------|--------|---------|
| Total Housing Units                | 346,374  | 84,750  | 71,467 | 30,289 | 532,880 |
| Occupied Housing Units             | 311,451  | 67,054  | 54,381 | 22,563 | 455,449 |
| Vacant Housing Units               | 34,923   | 19,956  | 17,712 | 7,670  | 45,373  |
| Vacant and Available               | 11,214   | 5,994   | 6,700  | 2,488  | 26,396  |
| Vacant and Unavailable             | 23,709   | 13,962  | 9,242  | 5,732  | 52,645  |
| Vacant for agricultural use        | 61       | 38      | 5      | 32     | 136     |
| Vacant for seasonal use            | 14,358   | 9,708   | 6,937  | 4,301  | 35,304  |
| Other Vacant                       | 9,290    | 4,216   | 2,300  | 1,399  | 17,205  |
| Housing Stock                      | 322,665  | 73,048  | 61,081 | 25,051 | 481,845 |
| Pct. available (occupied & vacant) | 93.2%    | 86.2%   | 85.5%  | 82.8%  | 90.4%   |
| Percent unavailable units          | 6.8%     | 16.5%   | 12.9%  | 18.9%  | 9.9%    |
| Percent vacant for seasonal units  | 4.2%     | 11.5%   | 9.7%   | 14.2%  | 6.6%    |
| Percent other vacant               | 2.7%     | 5.0%    | 3.2%   | 4.6%   | 3.2%    |

Source: ACS 2017 5-yr Estimates, Table B25004 and DP04.



### Housing Stock Size

Among the 535,543 housing units in Hawai'i in 2017, 482,864 housing units were available to the resident housing market (Table 2). We refer to this number as the housing stock. Within the housing stock, 455,502 were occupied units and 27,362 were available vacant units.

About 52,679 housing units (9.8%) were not part of the housing stock in 2017. Of those, over 67 percent were vacant for seasonal, recreational, or occasional use. A small number of units (138) were vacant and held off the market for use by migrant agricultural workers.

Units that were vacant for seasonal, recreational, or occasional use (seasonal) are the most significant component of Hawai'i's unavailable housing units. There were 35,324 of them in 2017, up 6.9 percent from 2014. That was 44.1 percent of vacant housing units and 6.6 percent of all housing units in the State.

There were 17,217 housing units classified as "other vacant." The definition includes housing units that are held off the market while a decision is made regarding their status. Types of decisions include litigation, settling estates, involvement in other legal proceedings, units held while they are being refurbished or rebuilt, or while owners are deciding what to do with their vacant property. In 2017, Hawai'i's other vacant units made up one-third of vacant and unavailable units and 3.2 percent of total housing units.

Hawai'i has typically been in the top 15 percent of states losing housing units to vacancies. We ranked 12th for percent of total housing units held for seasonal, recreational, and occasional use in 2017. Only two states ranked higher than the counties of Hawai'i, Kaua'i, and Maui with respect to the percent of total units held off the market for seasonal use.

Across the State, there were differences in the percent of total housing units counted as housing stock. In Honolulu, 6.8 percent of all units were unavailable. In the other counties, that figure was significantly higher as in 19 percent for Kaua'i County, 16 percent in the County of Hawai'i, and 13 percent for Maui County.

**Table 2. State of Hawai'i, Changes in Housing Stock, 2014-2017**

|                                      | 2014           |               | 2017           |               | Change 2014-2017 |             |
|--------------------------------------|----------------|---------------|----------------|---------------|------------------|-------------|
|                                      | Number         | Percent       | Number         | Percent       | Number           | Percent     |
| <b>Total Housing Units</b>           | <b>524,852</b> | <b>100.0%</b> | <b>532,880</b> | <b>100.0%</b> | <b>8,028</b>     | <b>1.5%</b> |
| Single Family                        | 282,060        | 53.7%         | 286,873        | 53.8%         | 4,813            | 1.7%        |
| Multi-Family                         | 242,792        | 46.3%         | 246,007        | 46.2%         | 3,215            | 1.3%        |
| <b>Total Available Housing Stock</b> | <b>477,520</b> | <b>91.0%</b>  | <b>482,803</b> | <b>90.6%</b>  | <b>5,283</b>     | <b>1.1%</b> |
| <b>Total Occupied Housing Units</b>  | <b>450,299</b> | <b>85.8%</b>  | <b>455,449</b> | <b>85.5%</b>  | <b>5,150</b>     | <b>1.1%</b> |
| Owner Occupied Units                 | 257,121        | 49.0%         | 264,622        | 49.7%         | 7,501            | 2.9%        |
| Renter Occupied Units                | 193,178        | 36.8%         | 190,827        | 35.8%         | -2,351           | -1.2%       |
| <b>Total Vacant Units</b>            | <b>74,553</b>  | <b>14.2%</b>  | <b>79,999</b>  | <b>15.0%</b>  | <b>5,446</b>     | <b>7.3%</b> |
| Vacant Available                     | 27,221         | 5.2%          | 27,354         | 5.1%          | 133              | 0.5%        |
| For Rent                             | 18,704         | 3.6%          | 20,026         | 3.8%          | 1,322            | 7.1%        |
| Rented, not occupied                 | 2,418          | 0.5%          | 2,134          | 0.4%          | -284             | -11.7%      |
| For Sale only                        | 4,085          | 0.8%          | 3,193          | 0.6%          | -892             | -21.8%      |
| Sold, not occupied                   | 2,014          | 0.4%          | 2,001          | 0.4%          | -13              | -0.6%       |
| Vacant Unavailable                   | 47,332         | 9.0%          | 52,645         | 9.9%          | 5,313            | 11.2%       |
| Seasonal Use                         | 33,054         | 6.3%          | 35,304         | 6.6%          | 2,250            | 6.8%        |
| For Migrant Workers / Ag. Use        | 93             | 0.0%          | 136            | 0.0%          | 43               | 46.2%       |
| Other Vacant                         | 14,185         | 2.7%          | 17,205         | 3.2%          | 3,020            | 21.3%       |

Source: ACS 2014 and 2017 5-yr. Estimates, Tables B25004, S2504, and S1101.



**Total New Units Needed – HUD Income Classification:**

Tables 32 and 33 reflect the demand for housing units by county, tenure and unit type for the next five years. They have been estimated for each of eight market levels following U.S. Department of Housing and Urban Development (HUD) income guidelines.

The distribution of needed units by tenure, type, and market-level was developed from Housing Demand Survey data. The analysis employs the assumption that needed units are distributed according to the effective demand estimates from the survey. It also excludes households deemed highly qualified to purchase or rent their next home, as these units will likely be developed by the private sector. The detail produced in this analysis will be useful in a variety of housing planning efforts in the next five years. It is relevant, reliable, and utilitarian.

Effective demand includes only Hawai'i residents who are planning to move to a unit in the State of Hawai'i in the next five years. The analysis for Tables 32 and 33 did not account for people who are currently doubled-up for economic reasons.

The lion's share of the needed units is concentrated at the lowest HUD income levels. This finding suggests that the market is more effective in producing high-end units than low-end units. Inefficiencies are exacerbated in periods of rapid market expansion when fewer low-end units are built. More middle-market and low-end units are built during periods of market adjustment.

Needed units are also concentrated in the rental market rather than the ownership market. Again, the current housing market produces units for sale more efficiently than units for rent.

The estimates in the two tables above reflect the preferences of Hawai'i's likely movers, but do not account for their willingness to accept alternatives or their financial qualifications to make their preferred move. As was noted in the prior section on qualified demand, not every household is financially prepared to pursue their preferred housing situation.

A portion of demand survey respondents who indicated their preference to purchase their next residence conceded that they might have to rent instead. Similarly, several households that intend to buy a single-family home when they move noted that they would consider buying a multi-family dwelling if they could not find a single-family unit they could afford. Finally, a percentage of the survey respondents who indicated that they would be purchasing their next unit also reported that their current financial situation was incompatible with that goal (currently living in public housing, receiving Section 8 assistance, or with no money for a down payment).

The report did not explicitly include nearly 60,000 respondent households that were doubled up. Many of those households were, however, included because one or both families in the households were unqualified to buy or rent another unit on their own.

Housing units needed to accommodate homeless persons re-entering the housing market were included in Tables 32 or 33. Households entering the affordable housing market from Special Needs housing have not been included in those tables. Most are in group quarters (prisons, dormitories, nursing homes, etc.) but some are located outside the market (homeless persons, for example) and some, like youths exiting foster care, are living with their foster families in occupied housing units. The data on this group, along with the process by which they enter the marketplace, are not yet clear enough to speculate on the number of units they might require in any given year. It is certain, however that including them would increase the number of needed units in Table 32 and 33.

Applying any one of these possible adjustments to the needed units' tables will result in a shift in the total number and type of housing units needed to accommodate Hawai'i's residents by 2025.

**Table 32. Needed Housing Units by HUD Income Classification, Counties & State of Hawai'i, 2020-2025**

|                 |               | Total Units Needed, 2020 through 2025 |          |          |          |           |            |            |       |        |
|-----------------|---------------|---------------------------------------|----------|----------|----------|-----------|------------|------------|-------|--------|
|                 |               | HUD Income Classification             |          |          |          |           |            |            |       | Total  |
|                 |               | LT 30                                 | 30 to 50 | 50 to 60 | 60 to 80 | 80 to 120 | 120 to 140 | 140 to 180 | 180+  |        |
|                 |               |                                       |          |          |          |           |            |            |       |        |
| State of Hawaii |               | 10,457                                | 5,730    | 3,141    | 6,910    | 6,055     | 4,011      | 5,854      | 7,997 | 50,156 |
| Ownership Units |               | 2,135                                 | 1,158    | 1,352    | 3,755    | 3,320     | 2,156      | 3,982      | 5,734 | 23,590 |
|                 | Single-Family | 1,719                                 | 764      | 805      | 2,981    | 1,866     | 1,470      | 2,623      | 4,593 | 16,822 |
|                 | Multi-Family  | 415                                   | 393      | 547      | 773      | 1,454     | 685        | 1,359      | 1,141 | 6,768  |
| Rental Units    |               | 8,322                                 | 4,573    | 1,789    | 3,155    | 2,735     | 1,855      | 1,872      | 2,263 | 26,566 |
|                 | Single-Family | 3,257                                 | 1,871    | 471      | 1,724    | 986       | 1,047      | 851        | 1,149 | 11,355 |
|                 | Multi-Family  | 5,065                                 | 2,702    | 1,319    | 1,432    | 1,749     | 808        | 1,022      | 1,114 | 15,211 |
|                 |               |                                       |          |          |          |           |            |            |       |        |
| Honolulu        |               | 4,200                                 | 2,923    | 1,979    | 2,944    | 3,037     | 1,710      | 2,405      | 2,970 | 22,168 |
| Ownership Units |               | 543                                   | 520      | 860      | 1,772    | 1,553     | 1,198      | 1,622      | 2,243 | 10,311 |
|                 | Single-Family | 392                                   | 190      | 412      | 1,271    | 628       | 675        | 866        | 1,484 | 5,918  |
|                 | Multi-Family  | 151                                   | 329      | 448      | 501      | 925       | 523        | 756        | 759   | 4,393  |
| Rental Units    |               | 3,657                                 | 2,403    | 1,119    | 1,172    | 1,484     | 512        | 783        | 727   | 11,857 |
|                 | Single-Family | 1,070                                 | 682      | 165      | 513      | 271       | 99         | 156        | 292   | 3,249  |
|                 | Multi-Family  | 2,587                                 | 1,721    | 954      | 658      | 1,213     | 413        | 627        | 435   | 8,608  |
|                 |               |                                       |          |          |          |           |            |            |       |        |
| Maui            |               | 1,721                                 | 777      | 492      | 1,272    | 740       | 647        | 1,800      | 2,955 | 10,404 |
| Ownership Units |               | 351                                   | 253      | 126      | 464      | 211       | 257        | 1,104      | 1,839 | 4,605  |
|                 | Single-Family | 351                                   | 230      | 33       | 365      | 157       | 258        | 881        | 1,620 | 3,894  |
|                 | Multi-Family  | 0                                     | 23       | 93       | 99       | 55        | -1         | 222        | 219   | 711    |
| Rental Units    |               | 1,370                                 | 524      | 366      | 808      | 528       | 390        | 696        | 1,116 | 5,799  |
|                 | Single-Family | 594                                   | 418      | 132      | 393      | 333       | 284        | 377        | 561   | 3,092  |
|                 | Multi-Family  | 776                                   | 106      | 234      | 415      | 195       | 105        | 319        | 555   | 2,706  |
|                 |               |                                       |          |          |          |           |            |            |       |        |
| Hawaii          |               | 3,475                                 | 1,356    | 373      | 2,285    | 2,143     | 1,163      | 1,198      | 1,309 | 13,303 |
| Ownership Units |               | 756                                   | 285      | 196      | 1,413    | 1,556     | 561        | 924        | 1,012 | 6,703  |
|                 | Single-Family | 687                                   | 264      | 196      | 1,249    | 1,081     | 398        | 635        | 911   | 5,420  |
|                 | Multi-Family  | 69                                    | 21       | 0        | 164      | 474       | 164        | 289        | 102   | 1,283  |
| Rental Units    |               | 2,719                                 | 1,071    | 178      | 872      | 587       | 601        | 274        | 297   | 6,600  |
|                 | Single-Family | 1,225                                 | 443      | 49       | 514      | 307       | 384        | 251        | 215   | 3,389  |
|                 | Multi-Family  | 1,494                                 | 628      | 129      | 358      | 280       | 217        | 24         | 82    | 3,211  |
|                 |               |                                       |          |          |          |           |            |            |       |        |
| Kauai           |               | 1,060                                 | 674      | 297      | 408      | 136       | 492        | 451        | 763   | 4,281  |
| Ownership Units |               | 484                                   | 100      | 170      | 105      | 0         | 139        | 333        | 640   | 1,971  |
|                 | Single-Family | 289                                   | 80       | 164      | 97       | 0         | 140        | 242        | 579   | 1,590  |
|                 | Multi-Family  | 195                                   | 20       | 6        | 8        | 0         | 0          | 91         | 62    | 381    |
| Rental Units    |               | 576                                   | 574      | 127      | 304      | 136       | 352        | 119        | 123   | 2,310  |
|                 | Single-Family | 367                                   | 328      | 124      | 303      | 75        | 279        | 67         | 81    | 1,625  |
|                 | Multi-Family  | 208                                   | 246      | 3        | 1        | 61        | 73         | 51         | 42    | 685    |

Source: Housing Demand Survey and Hawai'i Housing Model, 2019. Housing units needed to eliminate pent-up demand and accommodate new household formation between 2020 and 2025 for the State of Hawai'i and its counties by preferred tenancy and unit type.

**Total New Units Needed Continued:**

**Table 33. Needed Housing Units by Income Classification, Counties and State of Hawai'i, 2020-2025**

|                        | Total Units Needed, 2020 through 2025 |                |                |                |                 |                  |                  |        |
|------------------------|---------------------------------------|----------------|----------------|----------------|-----------------|------------------|------------------|--------|
|                        | Income Classification                 |                |                |                |                 |                  |                  | Total  |
|                        | Less than \$30k                       | \$30k to \$45k | \$45k to \$60k | \$60k to \$75k | \$75k to \$100k | \$100k to \$150k | More than \$150k |        |
| <b>State of Hawaii</b> | 11,289                                | 5,595          | 6,009          | 6,106          | 6,610           | 8,303            | 6,244            | 50,156 |
| Ownership Units        | 2,376                                 | 1,321          | 2,732          | 2,922          | 4,227           | 5,529            | 4,484            | 23,590 |
| Single-Family          | 1,832                                 | 897            | 1,927          | 1,952          | 2,915           | 3,859            | 3,439            | 16,822 |
| Multi-Family           | 544                                   | 424            | 805            | 970            | 1,312           | 1,670            | 1,045            | 6,768  |
| Rental Units           | 8,913                                 | 4,274          | 3,277          | 3,184          | 2,383           | 2,774            | 1,761            | 26,566 |
| Single-Family          | 4,246                                 | 1,771          | 1,433          | 2,040          | 569             | 816              | 480              | 11,355 |
| Multi-Family           | 4,667                                 | 2,503          | 1,845          | 1,144          | 1,814           | 1,958            | 1,281            | 15,211 |
| <b>Honolulu</b>        | 3,979                                 | 2,539          | 2,241          | 2,368          | 3,439           | 4,077            | 3,526            | 22,168 |
| Ownership Units        | 515                                   | 370            | 778            | 1,197          | 2,174           | 2,731            | 2,545            | 10,311 |
| Single-Family          | 363                                   | 119            | 356            | 605            | 1,273           | 1,463            | 1,740            | 5,918  |
| Multi-Family           | 152                                   | 251            | 423            | 592            | 901             | 1,268            | 805              | 4,393  |
| Rental Units           | 3,464                                 | 2,168          | 1,462          | 1,171          | 1,265           | 1,346            | 980              | 11,857 |
| Single-Family          | 1,284                                 | 347            | 489            | 425            | 378             | 178              | 148              | 3,249  |
| Multi-Family           | 2,180                                 | 1,821          | 974            | 746            | 887             | 1,169            | 832              | 8,608  |
| <b>Maui</b>            | 2,039                                 | 1,174          | 1,279          | 1,143          | 1,734           | 1,822            | 1,213            | 10,404 |
| Ownership Units        | 460                                   | 316            | 376            | 490            | 929             | 1,224            | 810              | 4,605  |
| Single-Family          | 407                                   | 205            | 282            | 391            | 849             | 1,023            | 736              | 3,894  |
| Multi-Family           | 52                                    | 111            | 94             | 98             | 81              | 201              | 74               | 711    |
| Rental Units           | 1,579                                 | 858            | 903            | 653            | 804             | 598              | 403              | 5,799  |
| Single-Family          | 915                                   | 633            | 451            | 509            | 161             | 255              | 169              | 3,092  |
| Multi-Family           | 664                                   | 225            | 452            | 145            | 643             | 343              | 234              | 2,706  |
| <b>Hawaii</b>          | 3,904                                 | 1,497          | 2,285          | 1,982          | 943             | 1,774            | 918              | 13,303 |
| Ownership Units        | 887                                   | 509            | 1,461          | 1,209          | 774             | 1,129            | 734              | 6,703  |
| Single-Family          | 761                                   | 475            | 1,188          | 932            | 472             | 993              | 600              | 5,420  |
| Multi-Family           | 126                                   | 34             | 273            | 277            | 302             | 136              | 134              | 1,283  |
| Rental Units           | 3,017                                 | 988            | 825            | 773            | 169             | 645              | 184              | 6,600  |
| Single-Family          | 1,555                                 | 581            | 409            | 377            | 30              | 384              | 54               | 3,389  |
| Multi-Family           | 1,462                                 | 407            | 415            | 396            | 139             | 261              | 130              | 3,211  |
| <b>Kauai</b>           | 1,367                                 | 385            | 204            | 613            | 494             | 630              | 588              | 4,281  |
| Ownership Units        | 514                                   | 125            | 117            | 27             | 349             | 445              | 394              | 1,971  |
| Single-Family          | 301                                   | 98             | 102            | 24             | 322             | 381              | 363              | 1,590  |
| Multi-Family           | 213                                   | 27             | 15             | 2              | 28              | 65               | 31               | 381    |
| Rental Units           | 852                                   | 260            | 87             | 587            | 145             | 185              | 194              | 2,310  |
| Single-Family          | 492                                   | 210            | 84             | 730            | 0               | 0                | 109              | 1,625  |
| Multi-Family           | 360                                   | 50             | 4              | -143           | 145             | 185              | 85               | 685    |

Source: Housing Demand Survey and Hawai'i Housing Model, 2019. Housing units needed to eliminate pent-up demand and accommodate new household formation between 2020 and 2025 for the State of Hawai'i and its four counties, by preferred tenancy and unit type.



### Total New Units Needed – Elderly Housing

Analysis was also conducted to identify the subset of total needed units that would be required to accommodate elderly households, that is, households with one or more persons 60 years of age or older, no children under the age of 18, and no persons other than immediate family. Of the 50,156 units needed for households between 2020 and 2025, 13 percent were for elderly households statewide (6,714 units; Table 34). This is up from 9 percent in 2016. All other needed units referenced here as “family units”, would be for the use of all other types of households.

Considering just the units needed for elderly households, about 29 percent (1,967 units) are needed for low- and moderate-income households (80% AMI or less). The demand for single-family versus multi-family units was almost evenly distributed among elderly households. Of the 6,714 needed elderly units, there was demand for 3,129 (47%) single-family dwellings.

**Table 34. Needed Housing Units by HUD Income Classification, Elderly Persons, Counties and State of Hawai'i, 2020-2025**

|                        | Total Units Needed, 2020 through 2025 |          |          |          |           |            |            |       |       |
|------------------------|---------------------------------------|----------|----------|----------|-----------|------------|------------|-------|-------|
|                        | HUD Income Classification             |          |          |          |           |            |            |       | Total |
|                        | LT 30                                 | 30 to 50 | 50 to 60 | 60 to 80 | 80 to 120 | 120 to 140 | 140 to 180 | 180+  |       |
| <b>State of Hawaii</b> | 400                                   | 751      | 113      | 704      | 1,273     | 678        | 901        | 1,894 | 6,714 |
| Ownership Units        | 358                                   | 190      | 64       | 400      | 772       | 349        | 653        | 1,723 | 4,509 |
| Single-Family          | 282                                   | 0        | 14       | 354      | 363       | 152        | 423        | 1,229 | 2,818 |
| Multi-Family           | 78                                    | 190      | 50       | 52       | 412       | 177        | 229        | 503   | 1,691 |
| Rental Units           | 23                                    | 542      | 39       | 308      | 506       | 354        | 250        | 183   | 2,205 |
| Single-Family          | 0                                     | 0        | 0        | 39       | 44        | 100        | 96         | 32    | 312   |
| Multi-Family           | 23                                    | 542      | 39       | 269      | 462       | 253        | 154        | 151   | 1,894 |
| <b>Honolulu</b>        | 288                                   | 714      | 72       | 538      | 1,159     | 436        | 486        | 1,330 | 5,022 |
| Ownership Units        | 288                                   | 185      | 50       | 273      | 703       | 193        | 331        | 1,237 | 3,261 |
| Single-Family          | 211                                   | 0        | 0        | 223      | 291       | 96         | 198        | 764   | 1,783 |
| Multi-Family           | 78                                    | 185      | 50       | 50       | 412       | 97         | 133        | 473   | 1,478 |
| Rental Units           | 0                                     | 529      | 22       | 265      | 456       | 243        | 154        | 93    | 1,762 |
| Single-Family          | 0                                     | 0        | 0        | 0        | 0         | 0          | 0          | 0     | 0     |
| Multi-Family           | 0                                     | 529      | 22       | 265      | 456       | 243        | 154        | 93    | 1,762 |
| <b>Maui</b>            | 62                                    | 6        | 16       | 21       | 26        | 75         | 208        | 275   | 689   |
| Ownership Units        | 43                                    | 0        | 0        | 16       | 10        | 29         | 197        | 233   | 528   |
| Single-Family          | 43                                    | 0        | 0        | 16       | 10        | 29         | 146        | 203   | 447   |
| Multi-Family           | 0                                     | 0        | 0        | 0        | 0         | 0          | 51         | 30    | 81    |
| Rental Units           | 13                                    | 4        | 11       | 4        | 25        | 58         | 16         | 30    | 162   |
| Single-Family          | 0                                     | 0        | 0        | 0        | 25        | 47         | 16         | 0     | 89    |
| Multi-Family           | 13                                    | 4        | 11       | 4        | 0         | 10         | 0          | 30    | 73    |
| <b>Hawaii</b>          | 49                                    | 22       | 15       | 132      | 88        | 167        | 160        | 155   | 787   |
| Ownership Units        | 27                                    | 0        | 0        | 109      | 59        | 127        | 99         | 155   | 576   |
| Single-Family          | 29                                    | 0        | 0        | 116      | 62        | 27         | 79         | 164   | 476   |
| Multi-Family           | 0                                     | 0        | 0        | 0        | 0         | 81         | 20         | 0     | 100   |
| Rental Units           | 9                                     | 9        | 6        | 29       | 25        | 53         | 80         | 0     | 211   |
| Single-Family          | 0                                     | 0        | 0        | 29       | 19        | 53         | 80         | 0     | 180   |
| Multi-Family           | 9                                     | 9        | 6        | 0        | 6         | 0          | 0          | 0     | 31    |
| <b>Kauai</b>           | 0                                     | 9        | 11       | 13       | 0         | 0          | 48         | 134   | 215   |
| Ownership Units        | 0                                     | 5        | 14       | 2        | 0         | 0          | 26         | 98    | 144   |
| Single-Family          | 0                                     | 0        | 14       | 0        | 0         | 0          | 0          | 98    | 112   |
| Multi-Family           | 0                                     | 5        | 0        | 2        | 0         | 0          | 26         | 0     | 32    |
| Rental Units           | 0                                     | 0        | 0        | 10       | 0         | 0          | 0          | 60    | 70    |
| Single-Family          | 0                                     | 0        | 0        | 10       | 0         | 0          | 0          | 32    | 42    |
| Multi-Family           | 0                                     | 0        | 0        | 0        | 0         | 0          | 0          | 28    | 28    |

Source: Housing Demand Survey and Hawai'i Housing Model, 2019.

**Housing Demand:**

Housing demand is impacted by population growth, high cost of housing, the military presence, domestic migration and immigration, and foreign investment in Hawai'i real estate. Since the release of the 2015 housing demand study, population growth has slowed. The new long-range population projection released in June 2018, updates the historical population and economic trend up to 2016. The new release revised the long-term population projection downward for all the years up to 2040 and added the projection for 2045. Furthermore, according to the estimates by the U.S. Census Bureau, Hawaii lost resident population two years in a row in 2017 and 2018, for the first time since statehood.

The forecast yielded a total resident population of 1,455,686 by 2030 under the assumption that future population growth will start a new trend which is influenced by the 2017-2018 population decline (Low Scenario). Under this scenario, population growth will be at an annual rate of 0.25 percent. Under the assumption that population will continue to grow at the pre-2017 trend starting in 2019 (High Scenario), total population is projected to be 1,556,843 by 2030. This represents an annual average growth rate of 0.6 percent.

The difference between 2020 and 2030 are the additional units demanded (consumers want them and able to afford either for rent or purchase). The average annual growth of the housing units between 2020 and 2030 is projected to be 0.6 percent.

Vacancy for other units will be heavier on the neighbor island counties. This is consistent with the home sales experienced during the last 10 years. Of the total residential homes sold between January 2008 and September 2019, 44.5 percent of the homes sold on the neighbor island counties were to out-of-state residents: 42.2 percent of homes sold in Hawaii County were to out-of-state residents, 48.0 percent in Maui County, and 42.9 percent in Kauai County. In contrast, only 14.7 percent of the home sold on Oahu were to nonresidents during the same period. Many of the homes owned by non-residents were left vacant for most of the year, with the owner only staying during the holidays.

Honolulu County will need as many as 21,392 units in the next 10 years if population growth follows the pre-2016 trend. If population growth slows down to 0.25 percent per year, then the demand for housing would be 10,402 units for the next 10 years. In the average of the two scenarios, 15,897 units will be needed over the next 10 years, accounting for 44.0 percent of the total state demand.

On average, Hawaii County will need about 10,672 units for the next 10 years, accounting for 29.5 percent of the state total. Maui County will need an average of 7,000 units, accounting for 19.5 percent of the state total. Kauai will need about 2,500 units between 2020-2030, accounting for 7.0 percent of the state total demand.

**2. Deconcentration and Other Policies that Govern Eligibility, Selection, and Admissions**

The HPHA is proposing the following amendments/revisions/updates under the Housing Choice Voucher and Public Housing programs in order to prevent circumventing the waiting lists and promote efficiency:

- Adopt a policy that sets a date of the end of the participant's annual reexamination (AR) month in which allowable deductions may be considered for the annual reexam. All additional deduction information provided following the end of the participant's AR month will be applied as an interim reexam.
- Update policy on additions to the household after admission into the Housing Choice Voucher program to allow additions of more than one family member as a spouse, significant other, partner and minors through birth, adoption, court awarded custody, or hanai. (982.402, 982.401(d), 982.4. [24 CFR 982.551(h)(2)])
- Adopt policy on changes to household composition when a family member who is 18 and over remove themselves from the household; and to establish the following policies when such family members seek readmission to the household: [24 CFR 982.551(h)(2)]
  - A. They are prohibited from readmission to the household.
  - B. They are required to apply as new applicants for placement on the waitlist.
  - C. The HPHA may consider medical hardship or other extenuating circumstances, and if determined necessary as a reasonable accommodation, may allow such family members to be added to the household as a live-in-aide only.

- Update policy regarding the designation of the head of household, spouse, and co-head of the family in the event of marriage of the head or co-head individuals who may not be related by blood, marriage, adoption, or other operation of law, subsequent to admission to the program, to clarify as follows: [HUD 50058 Instruction Booklet]
  - A. If the head marries, the head's spouse automatically replaces the original co-head as the spouse. The original co-head automatically becomes an authorized family member.
  - B. If the co-head marries, as a family can only have a spouse or co-head, but not both, the family determines whether the co-head's spouse will become the head of household, or an authorized household member.
- Adopt revisions to the Housing Choice Voucher policy and Hawaii Administrative Rules to shorten the length of time the entire family can be absent from the subsidized unit from 180 days to 60 days, allowing for specific exceptions as allowed under the CFR. [24 CFR 982.312] Adopt a policy which allows for a tenant with a live-in aide who is lawfully present or admitted to the United States to receive subsidy for an additional bedroom in the Housing Choice Voucher program, or to occupy a unit in the public housing program. [24 CFR Section 982.402(a), 24 CFR Section 982.402(b)(8), § 982.402(b)(6), 24 CFR Section 5.403, 24 CFR Section 982.316]
- Adopt policy to include special unit types including single room occupancy to expand lease up options for voucher holders and ensure that the program is readily accessible to and usable by persons with disabilities in accordance with 24 CFR part 8. [24 CFR 982.601.b]
- Adopt a policy to pay landlords via electronic deposit into their account.
- Adopt a policy that does not allow the owner to keep the housing assistance payment for the remainder of the month when the family moves out of the unit. Housing assistance payments end the date HPHA determines the family has vacated the unit. Amounts overpaid to the owner must be returned to HPHA. [HUD HCV Guidebook 22-13, 24 CFR 792.103 and 982.311 Housing Assistance Payment 10-6]
- Amend policy to state that when a family is requesting to downsize, the voucher size will be changed at the end of the lease term.
- Update HPHA's Administrative Rules and Administrative Plan with policies regarding VASH vouchers, including conversion of a VASH voucher to a Section 8 Housing Choice Voucher when the qualifying veteran or veteran's no longer needs the VASH voucher or qualifies for the VASH voucher. [24 CFR 982]
- Update policy for repayment agreements to terminated families who fail to make 2 consecutive payments from 3 notices in 12 months. [24 CFR 982.551 and 552]
- Adopt Administrative Rules to implement Hawaii Revised Statutes §356D-13.5 regarding remaining members of assisted family to allow only the original household members at the time of voucher issuance to retain the voucher where other members of the family have left the unit; and to provide for the automatic return of the voucher to the HPHA once all original household members are no longer in the household; and to provide an exception for families where the original parents in the household are survived by minors who were subsequently added to the household, until the youngest minor reaches the age of 21 years, or reaches the age of 23 if the youngest minor is a full-time student at a business school, technical school, college, community college, or university.
- Adopt Administrative Rules to allow the HPHA to implement a lottery system to:
  - A. Randomly choose families (excluding the elderly, disabled, victims of domestic violence and VASH) to terminate from the Housing Choice Voucher Program if the HPHA must terminate Housing Assistance Payments contracts due to insufficient funding; and
  - B. Randomly choose applicant families (considering all adopted preferences) to place on the waiting lists process for participation in the Housing Choice Voucher Program.
- Adopt rules which allows the HPHA to conduct Home Quality Standards (HQS) inspections every other year for units that passed inspection on the first attempt, except in circumstances where the HPHA determines a need for an annual inspection (e.g. tenant complaint), then the HPHA will do an annual inspection instead of biennial.

- Adopt Administrative Rules where the HPHA may award Housing Choice Vouchers to public housing residents for the following reasons in the following order and not equal priority:
  - a) Existing public housing tenants who are involuntarily displaced for reasons such as for relocation due to modernization activity, or based on an emergency where conditions of the public housing dwelling unit, building, or project pose an immediate, verifiable threat to life, health or safety of the family, and the family cannot be relocated to another public housing unit in the same program, meeting their needs.
  - b) Approved for a transfer as a reasonable accommodation for a unit with special features based on need and availability.
  - c) Victims of domestic violence, or stalking, or reprisals, or hate crime, and cannot be safely transferred to another public housing unit in the same program.
  - d) Homeless families, provided “Homeless” is defined by HUD.
- Establish a policy to allow for the use of Special Purpose Vouchers, including but not limited to mainstream vouchers, VASH, mobility vouchers, and Family Unification Program vouchers, and provides that recipients of SPVs are exempt from being terminated from the program when there is insufficient program funding.
- Amend family break-up policy to award the voucher to the family member who is awarded custody of the majority of minor children or who has the majority of days of custody. [24 CFR 982.315]
- Amend Housing Choice Voucher policy to require applicants with a criminal history to include latest conviction date or arrest date.

The HPHA plans to adopt changes to its Administrative Rules, Admissions and Continued Occupancy Policy, and Administrative Plan as follows:

- Adopt Administrative Rules to allow the HPHA to implement a lottery system to randomly choose applicant families (considering all adopted preferences) to place on the waiting lists process for participation in the public housing program if feasible.
- Update preference policy to remove from definition of “involuntarily displaced”, applicants who are displaced by action of the housing owner for reasons beyond the applicant’s control and despite the applicant meeting all previously imposed conditions of occupancy.
- Update preference policy to redefine Homeless individuals as those in a transitional shelter who are verified to be in compliance with a social service plan or other former transitional homeless individuals and families who are verified to be “housing ready” as defined by the Hawaii Administrative Rules.
- Establish definition for “Housing Ready”.
- Expand local preferences to include veterans and their surviving spouses for the federal public housing program.
- Amend applicant waitlist policy from geographic waiting lists to site-based waiting lists for the federal public housing program.
- Update Federal Housing acceptance policy relating to “good cause” refusal, to eliminate existing rental agreements that cannot be breached without causing undue financial hardship, and “the applicant’s acceptance of the offer would result in undue hardship not related to consideration of race, color, national origin, or language and the applicant presents evidence which substantiates this to the authority’s satisfaction.
- Amend continued occupancy reexamination results policy to not renew a lease if a family who has not complied with the community service requirement one year, does not become compliant by the end of the second year.
- Amend initial occupancy guidelines to assign one bedroom for every two-family members only, with consideration for infant children, disability-related reasons and the presence of a live-in aide.

- Update “schedule of charges” policy by having the maintenance work-order system record the actual cost of materials and time spent by maintenance workers to charge tenants the actual cost of intentional, careless or negligent damages beyond normal wear and tear. (24 CFR part 966.4)
- Amend Hawaii Administrative Rules to include updated Violence Against Women Act (VAWA) policy for federal public housing and the Housing Choice Voucher program.
- Update policy on individual relief from excess utilities in the Hawaii Administrative Rules.
- Adopt and incorporate future changes determined to be required under applicable state or federal law, rule, or regulation.
- Establish an external storage policy that adheres to all rules, requirements and laws.
- Establish policies for the implementation and use of new Emergency Housing Vouchers, allowing for various HUD exceptions and waivers. Policies to include, but are not be limited to, admission, continued occupancy and termination.
- Establish policies for the implementation and use of any additional offering or allocation of special purpose vouchers, including any mandatory, alternative or discretionary policies issued under the program guidance. •
- Establish policies which support operational efficiencies, increase participation, or increase program flexibilities, including policies which may be required or proposed under programs such as the MTW Expansion Program.
- Change the method of conducting “Rent Reasonableness” for the HPHA’s Housing Choice Voucher program.
- Revise the Admissions and Continued Occupancy Policy (ACOP) and Hawaii Administrative Rules where eligibility, waitlist management, occupancy, lease violations and terminations are covered to ensure policies are consistent.
- Revise the Hawaii Administrative Rules (HAR) to incorporate existing policies in the Admissions and Continued Occupancy Policy (ACOP).
- Revise the Hawaii Administrative Rules (HAR) to incorporate existing policies in the Section 8 Administrative Plan.

### 3. Financial Resources

| Sources                                      | Planned \$ | Planned Uses                                                               |
|----------------------------------------------|------------|----------------------------------------------------------------------------|
| <b>Federal Grants</b>                        |            |                                                                            |
| a. Public Housing Operating Fund             | 30,591,000 | Operations and maintenance of public housing                               |
| b. Public Housing Capital Fund               | 13,900,000 | Capital repairs, management improvements, operations, administrative costs |
| c. Section 8 Tenant-Based Assistance         | 42,855,000 | Housing Assistance Payments and Administrative costs                       |
| d. Family Self Sufficiency Program           | 72,000     | FSS Coordinator expenses                                                   |
| <b>Public Housing Dwelling Rental Income</b> | 21,780,000 | Operations and maintenance of public housing                               |
| <b>State Capital Improvement Program</b>     | 10,000,000 | Capital repairs and associated administrative costs                        |



|                                                                             |                    |                                                                                                               |
|-----------------------------------------------------------------------------|--------------------|---------------------------------------------------------------------------------------------------------------|
| <b>State General Fund</b>                                                   | 6,000,000          | Operations, State Rent Supplement Program, maintenance, security and vacant unit turnaround of public housing |
| <b>Total Resources for Public Housing or Tenant-Based Assistance</b>        | <b>125,198,000</b> |                                                                                                               |
| Other Project-Based Resources:<br>Performance Based Contract Administration | 41,500,000         | PBCA payments to landlords;<br>administrative costs                                                           |
| Public Housing Non-Rental Income                                            | 410,000            | Management improvements,<br>operations for site location                                                      |

#### 4. Rent Determination Policies

The HPHA is proposing the following amendments/revisions/updates to its rent determination policies under the Housing Choice Voucher program:

- Adopt a policy to determine the amount of allowances for purposes of rent and subsidy determination in the Housing Choice Voucher program, and establish policy to cap the amount of child care expenses that can be claimed at the amount of the lower wage earned by working family members. [24 CFR 982.402 and 24 CFR 5.603]
- Adopt policy in the Section 8 program to determine which household will include a minor's unearned income into the household's income, in determining unit size, and eligible deductions where two households in the assisted housing programs share custody of minors. [24 CFR 5.609]
- Adopt a policy when determining income from assets for purposes of eligibility and subsidy determination in the Public Housing program and the Section 8 Housing Choice Voucher program. Update the policy determining the value of a checking account to be consistent with the policy determining the value of a savings account, by using the current balance, to reduce administrative burden and excessive paperwork and added expense for the applicant. [24 CFR 5.609, 24 CFR part 5.603]
- Update the HCV minimum rent policy to institute a minimum rent of \$50. [24 CFR 5.630]
- Create a hardship exemption policy in the HCV program.
- Amend Housing Choice Voucher policy relating to interim increases. Interim increases will only occur if 1) the client misrepresented or failed to report facts upon which rent is based, 2) when income increases after a client was granted an interim decrease, 3) the client reported zero income and has verified an increase, including a non-monetary contribution, 4) a person with income joins the family, or 5) a family member has an increase of earned or unearned income greater than \$200 per month unless meet CFR qualification for exemption.
- Amend Housing Choice Voucher policy relating to interim decreases. A decrease in income for any reason will prompt a rent reduction, except for a decrease that lasts less than 30 days or is subject to imputed welfare income rules; a decrease must be reported to the HPHA by the 15<sup>th</sup> of the month in order for it to take effect the following month.
- Adopt a policy to hold HCV families in affected payment standard tiers harmless for the difference in gross rent if there is a drop in the tier's payment standard resulting in the gross rent exceeding the payment standard.

#### 5. Operations and Management

The HPHA plans to undertake the following activities:

- Amend HCV and public housing policies to allow for the virtual inspection of housing units using technology solutions, accept electronic documents and hold electronic tenant briefings, subject to availability under HUD rules or waivers.
- Open and close the wait list in 2021 for a limited time, if necessary, to ensure an adequate pool of applicants.
- Continue the use of the Hawaii State Landlord Incentive Program to incentivize landlords to participate in the housing choice voucher program, subject to the availability of funds. The incentives that the HPHA will seek to implement are:
  - a) Reimbursement for costs to repair tenant-caused damages to the dwelling unit when repair costs exceed the tenant's security deposit, up to \$3,000.
  - b) Vacancy Loss Payments.
  - c) Front-end Vacancy Loss Payments.
  - d) Other Landlord Incentives – Signing Bonuses.
- Adopt new administrative rules and changes to the Admissions and Continued Occupancy Policy to provide for individual relief from surcharges for excess consumption of HPHA purchased utilities or from payment of utility supplier billings in excess of the allowances for resident-purchased utilities.
- Implement public housing security improvements, including establish quiet times, utilize and require tenant ID cards, install video cameras and security features.
- Enforce no trespassing legislation, Act 31, Session Laws of Hawaii (SLH) 2018, passed June 7, 2018.
- Update and strengthen rules and policies related to drug use and serious criminal activities that threaten the health and safety of the public housing projects, including threats to staff, stealing of HPHA funds and destruction of property per Act 206, Session Laws of Hawaii (SLH) 2019.
- Adopt rules allowing families that exceed the largest public housing unit size to receive a Section 8 Housing Choice Voucher, rather than splitting the household to fit into existing unit sizes.
- Evaluate the current administration of HPHA's Section 8 Housing Choice Voucher Program (Due to the recent change in funding levels for the Section 8 HCV Program by HUD, HPHA will be exploring options to maximize the number of voucher participants within the current HUD funding level):
- Increase the current number of active vouchers by leveraging HPHA's "High Performer" status to participate in any current or future HUD programs and /or create and implement new programs in conjunction with the local HUD office.
- Update Utility Allowance schedules for the public housing and voucher programs as required.
- Conduct a utility usage study to determine whether the utility allowance is more efficiently used based in the unit size or the voucher size.
- Establish a verification policy to ensure potential live-in aides meet the three elements within the definition of Live-In Aide for the HCV program and public housing.
- Evaluate and assess internal procedures and policies to better ensure fraud protection in the HPHA programs.
- Revise the Admissions and Continued Occupancy Policy and applicable administrative rules to allow additions of no more than one family member as long as the addition does not require the family to be transferred to a larger unit and as long as the addition would not cause overcrowding of the unit in accordance with county occupancy standards. Adopt policy to allow adults, who have been removed from the lease for at least 6 months, back onto the lease.
- Adopt rules for tenants that enter public housing by way of citizen sponsorship into the State of Hawaii, to state that when the tenant does not have another source of income, the income of the sponsor will be included when calculating the rent for the tenants.

- Make available not less than fifty per cent of available federal and state low-income housing units for applicants without preference and up to fifty per cent of available federal and state low-income housing units for applicants with preference as mandated by ACT148-2013.
- Enforce smoking policies, implement newly adopted Act 127, SLH 2018, prohibiting smoking within twenty-five feet of any public housing building, and provide tenants with revised lease addenda outlining enforcement strategies for the “No Smoking” policy.
- Amend the HCV Homeownership requirements to require applicants to be in full compliance with the Family Self Sufficiency program prior to applying for the program.
- Amend the HCV policy to state that when a family requests to be issued a new voucher, the household composition and income will be evaluated before a new voucher is issued.
- Amend the HCV policy to state that when a family composition is reduced, a voucher will occur at the end of the lease or the next annual recertification, whichever comes first.
- Adopt Hawaii Administrative Rules regarding the establishment and recognition of resident associations. HPHA will require that resident associations have duly elected board members.
- Establish program(s) to incentivize owners/landlords to participate in the Section 8 Housing Choice Voucher Program, such as a program to reimburse owners/landlords for repair costs of tenant-caused property damage when the repair costs exceed the tenant’s security deposit, direct deposit for Housing Assistance Payments or other on-time methods of payment, etc.
- Seek to become a Moving-to-Work (MTW) agency, or its successor program, to receive relief from rigid HUD regulations, allowing local approaches and solutions to offering Low-Income Public Housing and Housing Choice Vouchers in a more streamlined manner, and gain more flexibility in the use of federal funding for the Housing Choice Voucher and Low-Income Public Housing programs, where currently none exists.
- Explore opportunities for low-income public housing residents to have access to free or low cost broadband internet services to be used for improving job skills, accessing tele-health and increasing educational opportunities.
- Adopt Administrative Rules allowing for the use of biennial reexaminations across all Housing Choice Voucher related programs, including Emergency Housing Vouchers.
- Establish a policy to transition Foster Youth to Independence (FYI) Voucher participants to Housing Choice Vouchers once the participant has reached their maximum allowed time in the FYI program.
- Temporarily or permanently close certain areas in public housing properties due to misuse, drug activity, or to mitigate an emergency situation.
- Apply for available HUD waivers which provide benefit to Section 8 program participants, such as increased payment standards and new payment standard amounts.
- Apply for available HUD waivers and utilize funding flexibilities under the Moving To Work (MTW) Demonstration program as detailed in the HPHA’s MTW supplement.

#### 6. Significant Amendment/Modification

Significant Amendment/Modification: Adding or eliminating major strategies to address housing needs and to major policies (e.g., policies governing eligibility, selection or admissions and rent determination) or programs (e.g., demolition or disposition, designation, homeownership programs or conversion activities); or modifying a strategy such that a substantial transfer of resources away from others is necessary in order to carry it out. Under this PHA Annual Plan, the HPHA is clarifying that any change required to comply with state or federal rule, law, or regulation, where the HPHA is not able to adopt discretionary policy, would not be considered a significant amendment.

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|                   | <p>However, the HPHA would continue to work with the Resident Advisory Board, Resident Associations, and staff for comments.</p> <p>For Capital Fund Program projects that deviate from the Capital Fund Program Five-Year Action Plan and the Capital Fund Program Annual State/Performance and Evaluation Reports, only projects that meet the following criteria shall require 5-Year and Annual Plan Amendment: the amount of funds being required exceeds \$10 Million and/or the number of units being worked on comprises more than 15% of a developments ACC unit count. For major modernization projects, to adopt the most current year Total Development Cost (TDC) Limits published by HUD if for only one location (ie. Hilo) to be used for the entire state of Hawai'i.</p> <p>As part of the Rental Assistance Demonstration (RAD) Program, the definition of a substantial deviation from the agency's annual plan will exclude the following RAD-specific items, provided that the adjustments to the RAD plans are authorized by HPHA's Board of Directors in the normal course of business:</p> <ul style="list-style-type: none"> <li>• Changes to the Capital Fund Budget produced as a result of each approved RAD conversion, regardless of whether the proposed conversion will include use of additional Capital Funds;</li> <li>• Changes to the construction and rehabilitation plan for each approved RAD conversion;</li> <li>• Changes to the financing structure for each approved RAD conversion;</li> <li>• The date the significant amendment is submitted to the PHA Plan website;</li> <li>• Decisions to dedicate a portion of the agency's existing capital funds budget and/or public housing reserves as a source of funds for purposes of a RAD conversion and recapitalization transaction;</li> </ul> <p>(c) The PHA must submit its Deconcentration Policy for Field Office review.</p> <p>See Attachment A: Deconcentration Policy.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| <p><b>B.2</b></p> | <p><b>New Activities.</b></p> <p>(a) Does the PHA intend to undertake any new activities related to the following in the PHA's current Fiscal Year?</p> <p>Y   N</p> <p><input type="checkbox"/> <input checked="" type="checkbox"/> Hope VI or Choice Neighborhoods.</p> <p><input type="checkbox"/> <input checked="" type="checkbox"/> Mixed Finance Modernization or Development.</p> <p><input type="checkbox"/> <input checked="" type="checkbox"/> Demolition and/or Disposition.</p> <p><input type="checkbox"/> <input checked="" type="checkbox"/> Designated Housing for Elderly and/or Disabled Families.</p> <p><input type="checkbox"/> <input checked="" type="checkbox"/> Conversion of Public Housing to Tenant-Based Assistance.</p> <p><input checked="" type="checkbox"/> <input type="checkbox"/> Conversion of Public Housing to Project-Based Rental Assistance or Project-Based Vouchers under RAD.</p> <p><input checked="" type="checkbox"/> <input type="checkbox"/> Occupancy by Over-Income Families.</p> <p><input checked="" type="checkbox"/> <input type="checkbox"/> <b>Occupancy by Police Officers.</b></p> <p><input type="checkbox"/> <input checked="" type="checkbox"/> Non-Smoking Policies.</p> <p><input type="checkbox"/> <input checked="" type="checkbox"/> Project-Based Vouchers.</p> <p><input checked="" type="checkbox"/> <input type="checkbox"/> Units with Approved Vacancies for Modernization.</p> <p><input checked="" type="checkbox"/> <input type="checkbox"/> Other Capital Grant Programs (i.e., Capital Fund Community Facilities Grants or Emergency Safety and Security Grants).</p> <p>(b) If any of these activities are planned for the current Fiscal Year, describe the activities. For new demolition activities, describe any public housing development or portion thereof, owned by the PHA for which the PHA has applied or will apply for demolition and/or disposition approval under section 18 of the 1937 Act under the separate demolition/disposition approval process. If using Project-Based Vouchers (PBVs), provide the projected number of project-based units and general locations, and describe how project basing would be consistent with the PHA Plan.</p> <p><b><u>HOPE VI or Choice Neighborhoods</u></b></p> <p>The HPHA will assess the feasibility of pursuing all means of financing, including the RAD or Choice Neighborhoods programs, if appropriate for its redevelopment efforts at Mayor Wright Homes, Kuhio Park Terrace and potential future developments at AMP 30, AMP 31, AMP 32, AMP 33, AMP 37, AMP 38, AMP 39 and AMP 40.</p> <p><b><u>Mixed Finance Modernization or Development</u></b></p> <p><b>Mayor Wright Homes redevelopment (AMP 32, Project #1003; 364 units)</b></p> <p>HPHA issued a Request for Qualifications (RFQ) on July 11, 2014 for a developer/partner to compete in a mixed-income, mixed-finance, mixed-use redevelopment project at Mayor Wright Homes. MWH Partners, LLC was</p> |

selected as the Master Developer team leader, and a Predevelopment Agreement was executed on March 24, 2016. The Predevelopment Agreement terminated upon the execution of a fully negotiated Master Development Agreement with MWH Partners, LLC on December 29, 2017.

Preparation of an Environmental Impact Statement (EIS) is required pursuant to Chapter 343, Hawai‘i Revised Statutes and Chapter 200, Title 11, State of Hawai‘i Department of Health Administrative Rules. HPHA submitted the EISPN to the State of Hawai‘i Office of Environmental Quality Control (OEQC) on September 13, 2016. A Draft EIS was submitted to the OEQC on August 28, 2017 and a Final EIS was accepted by, The Honorable David Y. Ige, Governor, State of Hawai‘i (the “Accepting Authority”) April 24, 2018. A Request for Release of Funds and Certification (HUD Form 7015.15) was signed by the Accepting Authority on June 19, 2020.

A Draft Environmental Assessment, as required under 24 CFR Part 58, National Environmental Protection Act (“NEPA”) has been prepared with an initial determination of Finding of No Significant Impact on the NEPA DEA signed by the Honorable David Y. Ige, Governor, State of Hawai‘i and Certifying Officer for the Responsible Entity February 3, 2020. A NEPA Final Environmental Assessment (FEA) and Notice of Intent to Request Release of Funds was submitted to the Hawaii Office of Environment and Quality Control (“OEQC”) on April 30, 2020 and was published in the OEQC’s The Environmental Notice on May 8, 2020.

However, due to a lack of meaningful progress with respect to the redevelopment plan of Mayor Wright Homes, and the developer’s failure to meet certain milestones as required under the Master Development Agreement, HPHA’s Board of Directors elected to terminate the Master Development Agreement with MWH Partners, LLC for convenience on July 20, 2020. The HPHA terminated the developer, but is committed to the Mayor Wright Homes redevelopment project, and is now seeking another developer(s) and assessing its options for moving the Mayor Wright Homes redevelopment forward.

HPHA has been working with an architectural firm to complete several potential gross massing designs based for the project based on the existing Master Plan. The gross massing design will inform the final 201H-38 zoning and entitlement application for the project and will also be presented for comment during public engagement once the new development partner has been selected and COVID-19 protocols allow. Procurement for a new development partner for phase 1 of the project is now underway.

**Kuhio Park Terrace, Kuhio Homes and Kuhio Park Terrace Low-Rise Redevelopment (AMP 40, Project #s 1007, 1010; 174 units)**

HPHA received a \$300,000 Choice Neighborhoods Initiative (CNI) planning grant in 2012, which resulted in a comprehensive Transformation Plan with input from community members, stakeholders and partners to revitalize the Kuhio Park Terrace, Kuhio Homes, Kuhio Park Terrace Low-Rise and Kalihi neighborhood area. The HPHA Board approved a Restated and Amended Master Development Agreement with the Michaels Development Group for the second phase of the mixed finance redevelopment at Kuhio Park Terrace Low-Rise and Kuhio Homes on June 25, 2020. Contracts have been finalized and executed with the primary consulting team including a project architect, planner, and civil engineer. The updated Master Planning and Environmental Review efforts are now underway.

**Puuwai Momi Redevelopment (AMP 30, Project #1026)**

The HPHA is exploring a potential mixed-use, mixed-income redevelopment of its Puuwai Momi property, an aging, 260-unit, public housing community located in Halawa. The site is comprised of three land parcels totaling 11.74 acres and is considered an especially attractive redevelopment candidate due to the higher site density available under the City’s Halawa Area TOD Plan recently adopted in December 2020, its proximity immediately south of the Aloha Stadium HART station and the redevelopment of Aloha Stadium which anticipates a new sports stadium surrounded by entertainment venues, retail, restaurants, residential, hotels, recreational and green space areas. The HPHA has participated in several meetings with the state Department of Accounting and General Services and the Stadium Authority to discuss potential coordination of these projects. HPHA prepared and submitted a competitive proposal to the Office of Planning and Sustainable Development (“OPSD”), State of Hawai‘i for a State TOD Planning Grant for its Pu’uwai Momi Project which has been awarded \$400,000 in State TOD CIP Planning funds in Fiscal Year 2022, which were appropriated by the State Legislature in 2021. The funding will be utilized to develop a preliminary Master Plan to guide the redevelopment of the project that has been approved by the State TOD Council for inclusion in the State Strategic Plan for Transit-Oriented Development. HPHA is exploring a mixed-use, mixed-income redevelopment of the property’s 260 public housing units which were originally built in 1969. The site is comprised of three land parcels totaling 11.74 acres and is considered an especially attractive redevelopment candidate due to the higher density housing available under the City’s Halawa Area Transit-Oriented Development (TOD) Plan recently adopted in December 2020 and its proximity immediately south of the Aloha Stadium and HART station. The objective of the

preliminary master plan will examine redevelopment of the site to maximize delivery of additional affordable housing units to alleviate the City and the State's severe affordable housing shortage.

#### **Lanakila Homes (AMP 37, Project #1014)**

On October 8, 2020, the HPHA was informed by The State of Hawaii Office of Planning that its Lanakila project on the Island of Hawai'i had been selected for funding under its FY21 \$1.5 million CIP (GO) appropriation (Act 6, SLH 2020, Section 3, Item K, Capital Project No. 0.1). Four projects out of nine submitted were selected for funding. HPHA's Lanakila project was granted the largest award at \$550,000. The award was publicly announced at the TOD Council's October 13, 2020 meeting.

The requested grant will provide funding for a new master plan for the site to address updated site conditions and streets that will need to be constructed to recently revised County of Hawai'i Standards. The new master plan will also examine how additional density could deliver additional affordable housing units to the community, the appropriate demographic mix of those units and determine what infrastructure may be required to support them.

Additionally, as the County of Hawai'i moves forward with its Complete Streets and a multi-modal transportation system, it is important to create adjacent streetscapes that provides "first and last mile" walking and bicycling opportunities. This can facilitate ease of access to future nearby bus facilities along Moho'uli and Kino'ole Streets. Improvements may include sidewalk infill, installation of bike lanes, curb extensions, safe crossings, and potential bus stops.

#### **Kahekili Terrace (AMP 39, Project 1017)**

HPHA prepared and submitted a competitive proposal to the Office of Planning and Sustainable Development ("OPSD"), State of Hawai'i for a State TOD Planning Grant for its Kahekili Terrace project which has been awarded \$225,000 in State TOD CIP Planning funds in Fiscal Year 2022, which were appropriated by the State Legislature in 2021. The project has been included in the State Strategic Plan for Transit-Oriented Development and the HPHA will use these funds to prepare a preliminary master development plan for the 3.9-acre parcel which is currently occupied by ten two- and three-story buildings providing approximately 60 units. The property is located within Maui County's Wailuku Redevelopment Area and the preliminary master plan will identify redevelopment opportunities that would result in additional affordable housing units onsite, streetscape and multi-modal transportation improvements to enhance connectivity with the Wailuku Redevelopment Area and Wailuku Market Street corridor. The Project area includes an area with contaminated soils, which will also be studied.

#### **Kapa`a and `Ele`ele Homes (AMP 38, Project #1018 and #1020)**

HPHA is exploring a potential partnership with the County of Kauai to possibly redevelop public housing properties on Kauai.

#### **Mixed Finance Redevelopment**

The HPHA continues to evaluate and identify additional properties within its existing portfolio and on all islands that have potential for public-private, mixed-finance, mixed income, mixed-use redevelopment opportunities through Section 18 of the Housing Act of 1937 and various HUD programs including, but not limited to, the Rental Assistance Demonstration program (RAD), Choice Neighborhoods Initiative, VASH and any other federal, state, or local source, such as the issuance of PHA bonds pursuant to Chapter 356D, Hawaii Revised Statutes. Potential properties currently under review for their redevelopment potential include properties at AMP 30, AMP 31, AMP 32, AMP 33, AMP 37, AMP 38, AMP 39 and AMP 40.

HPHA believes the redevelopment of public housing and other properties through public/private partnerships has the potential to transform communities and improve the living conditions of its residents with updated or new amenities, open public spaces, accessibility and walkability.

The HPHA is currently working on a mixed finance redevelopment of its School Street Administrative Offices. The current proposed project does not presently contemplate the use of federal subsidies. However, the proposed project may change over time and, as such, the HPHA is providing notices of the potential for this public-private mixed-finance redevelopment to consider the use of various subsidies, including federal sources. The redevelopment project will focus on providing 800 senior rental housing units over multiple phases over the next 10-12 years.

Approval of the project's 201H zoning and entitlement application was granted by the Honolulu City Council on November 5, 2020 as Resolution 20- 251, CD1, FD1. The Resolution granted the project approximately \$9.9 million in fee and other exemptions from statutes, ordinances, charter provisions, and rules relating to planning, zoning, construction standards for subdivision and development pursuant to HRS Sections 46-15.1 and 201H-38.

On July 9, 2021, School Street RHF Partners, Phase One, LP, ("RHF") submitted a consolidated application on behalf of the HPHA School Street Redevelopment Phase 1A to HHFDC as a non-competitive application. The HHFDC approved the application at its October 14, 2021 Directors meeting as Resolution No. 163, which provides for official Intent with respect to the issuance of Hula Mae Multi-Family ("HHMF") Tax-Exempt Revenue Bonds; and reservation of Low Income Housing Tax Credits for Phase 1 of the School Street Redevelopment.

The HHFDC resolution provides tax-exempt issuance of up to \$71,500,000 from the HHMF Bond Program, \$5,257,493 in annual Federal LIHTC over a 10-year period and \$5,257,493 in annual State LIHTC over a 5-year period from the non-volume cap pool (4% LIHTC).

A separate For Action was also presented to the HHFDC Board requesting approval of a Rental Housing Revolving Fund (RHRF) Loan of up to \$40,000,000 for the project was also approved at the October 14, 2021 meeting.

It should be noted that Resolution 163 is considered an "*Inducement Resolution*", a non-binding resolution, which states HHFDC's intent to possibly issue tax-exempt revenue bonds for a project.

One of the reasons for requesting the approval of the Inducement Resolution deals with recognizing the expenditures made by the developer. Pursuant to the Federal guidelines that govern tax-exempt bond financing, bond proceeds can reimburse eligible expenditures made 60 days prior to Inducement Resolution approval. Thus, the Developer is requesting the approval of the Inducement Resolution in order to be eligible for reimbursements on current expenditures for the Project.

The approval of the Inducement Resolution by HHFDC's Board may be viewed as "Official Action" being undertaken by the issuer (HHFDC), one of the requirements of the multi-family housing bond program. However, the approval of the resolution does not authorize the sale of tax-exempt bonds for the project. Section 147(f) of the Internal Revenue Code requires that the "applicable elected representative of the affected governmental units" approve all private activity bond obligations after a public hearing.

The approval of Resolution No. 163 only facilitates further discussions and negotiations between HHFDC staff, developer, underwriter, bond counsel, and other appropriate parties to determine the feasibility of the contemplated project. Approval of Resolution No.163 neither commits nor obligates HHFDC to issue bonds for the School Street project. HHFDC Board final approval for the issuance, sale, and delivery of bonds is still required and final bond issuance is subject to approval by the Department of Budget and Finance and the Governor. The HPHA does not currently plan to include public housing or HCV project-based voucher units.

### **Demolition/Disposition**

The HPHA plans to request HUD approval for non-exclusive easements for reasons such as utility access over the federal public housing properties, or for other public benefit oftentimes related to its construction modernization activities. Such easement requests will not affect the ACC units count. The HPHA is exploring the dedication of streets and sidewalks to the City and County of Honolulu at Hale Laulima to allow fire trucks to enter a potential fire station from the rear, and to the County of Hawaii at Lanakila Homes. The dedicated areas will be owned and maintained by the City and County of Honolulu and County of Hawaii, respectively, with HPHA retaining the carved out parking areas for tenant parking assignments for the latter.

If an easement or street dedication is determined to be necessary, HPHA will follow HUD's Demolition/Disposition protocol to apply for and obtain the necessary approvals to proceed with rights of entry or granting of non-exclusive easement. The HPHA will pursue disposition of Mayor Wright Homes as part of a larger mixed finance redevelopment project.

HPHA may also request HUD approval for possible demolition and disposition of the Community Center at Kalihi Valley Homes. The elevated building is currently closed and is not in use. The HPHA has contracted with a consultant to study the alternatives of rehabilitating the structure or demolishing and replacing it with a new



structure. If it is determined that demolition and disposition is necessary, HPHA will follow HUD's Demolition/Disposition protocol to apply for and obtain the necessary approvals to proceed with demolishing the community center. There will be no impact to the ACC units count.

HPHA may also request HUD approval for the possible demolition and disposition of the project at Pahala in AMP 37, Nanakuli Homes in AMP 44 and Kupuna Home O Waialua in AMP 49. These projects are not built to current code and the cost to modernize these projects and bring them to code is close to the cost to demolish and rebuild to current standards, codes and ordinances. If it is determined that demolition and disposition is necessary, HPHA will follow HUD's Demolition/Disposition protocol to apply for and obtain the necessary approvals to proceed with the demolition and disposition of units at Pahala.

HPHA is exploring a potential partnership with the County of Hawaii to provide the HPHA with HUD Community Development Block Grant Disaster Relief (CDBG-DR) funding to rebuild to current standards, codes and ordinances. There will cause a temporary affect to the ACC units count in AMP 37.

The construction of Phase IIb at the Lanakila Homes property in East Hawaii to bring back 16 public housing units completed in March 2019, just as the COVID-19 pandemic was exploding, and the modernization of Salt Lake Apartments on Oahu to bring back 28 public housing units were completed and brought back online in September 2020.

#### **Conversion of Public Housing to Project-Based Assistance under RAD.**

HPHA will identify, analyze and evaluate all properties on all islands within its existing portfolio that have potential for conversion of public housing units to project based vouchers under HUD's RAD/Section 18 program. All, a portion, or none of the two subject properties may be submitted in an application to HUD. Kuhio Homes and Kuhio Park Terrace Low-Rise are currently being reviewed and analyzed to evaluate their feasibility for RAD conversion. A Letter of Interest under the RAD program was submitted to HUD in June 2017 for Mayor Wright Homes, Kuhio Homes and Kuhio Park Terrace. Applications were submitted to HUD on September 4, 2018 for participation in the RAD program in coordination with the HPHA's redevelopment partners. Commitments to Enter into a Housing Assistance Payments (CHAP) were issued to the HPHA in October of 2018 for Kuhio Park Towers, Kuhio Homes, Kuhio Park Terrace Low-Rise. The Financing Plan for KPT Towers was submitted in December 2020 and a RAD Conversion Commitment (RCC) was issued by HUD on May 16, 2021, closing documents were submitted to HUD in October of 2021 and the RAD conversion continues to move toward closing. Due to the lack of meaningful progress with respect to the redevelopment plan of Mayor Wright Homes, the RAD CHAP for this project was revoked by HUD on 9/16/20. The HPHA may resubmit a RAD application for this project as the redevelopment plans for this project continue to evolve and are further defined.

#### **Occupancy by Over-Income Families**

HPHA will implement an over-income tenant policy within the ACOP, in accordance with HUD's September 24, 2018 Notice in the Federal Register, "Housing Opportunity Through Modernization Act of 2016: Final Implementation of Public Housing Income Limit." Docket No. FR-5976-N-07.

HOTMA was signed into law on July 29, 2016 (Public Law 114-201, 130 Stat. 782); section 103 of HOTMA amends section 16(a) of the United States Housing Act of 1937 (42 U.S.C. 1437n(a)) (1937 Act) and establishes an income limitation for continued occupancy in public housing.

The law requires that after a family's income has exceeded 120 percent of the area median income (AMI) (or a different limitation as may be established by the Secretary) for two consecutive years (the "grace period"), a PHA must terminate the family's tenancy within 6 months of the third income determination or charge the family a monthly rent equal to the greater of:

- (1) The applicable Fair Market Rent (FMR); or
- (2) The amount of monthly subsidy for the unit, including amounts from the operating and capital fund, as determined by regulations.

The income limit established by HOTMA will be referred to as the "over-income limit." HOTMA requires HUD to determine the alternative rent options for families that remain in public housing through formal rulemaking. However, HUD has not published a final rule that implements this requirement, and PHAs are therefore not yet able to calculate alternative rents.

Through an annual reexamination or an interim reexamination, when the HPHA discovers that a family's income exceeds the applicable over-income limit, the HPHA must document that the family exceeds the threshold and make a note in the tenant file to compare it with the family's income a year later.

If one year after the initial over-income finding by the HPHA, the family's income continues to exceed the over-income limit, the HPHA must provide written notification to the family. This notification must inform the family that their income has exceeded the over-income limit for one year, and if the family's income continues to exceed the over-income limit for the next 12 consecutive months, the family will be subject to the fair market rent according to island, zip code, and bedroom size.

If the initial over-income determination was made during an interim reexamination, the HPHA must conduct a second interim income reexamination on that date one year later.

However, if the HPHA discovers through an annual or interim reexamination that a previously over-income family has income that is now below the over-income limit, the family is no longer subject to these provisions. A previously over-income family would be entitled to a new two-year grace period if the family's income once again exceeds the over-income limit.

HPHA must ensure that all notices and communications are provided in a manner that is effective for persons with limited English proficiency, hearing, visual, and other disabilities. The HPHA must ensure effective communication using appropriate auxiliary aids and services, such as interpreters, transcription services, brailled materials, large print, and accessible electronic communications, in accordance with Section 504 and ADA requirements. 24 C.F.R. § 8.6 and § 8.28; 28 CFR part 35, Subpart E. This includes the availability, free of charge, of sign language or other types of interpretation. For persons with vision impairments, upon request, this may include materials in braille or on tape.

#### **Higher Rent Payments – Fair Market Rent (FMR)**

Within 6 months of the third income determination, if the family is still over-income, the family is subject to eviction or higher rental payments. The family will have to pay the current Fair Market Rent amount for their, island, zip code and unit size, following all HUD rules and guidance.

#### **Occupancy by Police Officers**

The HPHA reserves the right to place Police Officers who would not otherwise be eligible in the HPHA's units rent free, if it is determined that their presence would contribute to the safety and security of residents. In exchange for this housing opportunity, the Police Officers agree to provide services to the residents including weekly office hours, "meet and greet" visits, and wellness checks. The following table lists the unit numbers to be occupied by Police Officers:

| AMP | Project                          | Address                 | Designation in PIC |
|-----|----------------------------------|-------------------------|--------------------|
| 37  | 1097-A4401<br>Kauhale O Hanakahi | 19 Pamala St.           | Police Officer     |
| 37  | 1004-0017B<br>Lanakila Homes I   | 600 Wailoa St.          | Police Officer     |
| 43  | 1061-0003L<br>Ka Hale Kahaluu    | 78-6725 Makolea St.     | Police Officer     |
| 43  | 1070-A101<br>Kealakehe           | 74-991 Manawale'a St.   | Police Officer     |
| 43  | 1063-4E<br>Nani Olu              | 81-1011 Nani Kupuna Pl. | Police Officer     |
| 46  | 1097-B2208<br>Ke Kumu `Ekolu     | 68-3385 Ke Kumu Pl.     | Police Officer     |

The following properties are working to pursue occupancy by Police Officers:

| AMP | Project   | Address            | Designation in PIC |
|-----|-----------|--------------------|--------------------|
| 34  | 1012-1205 | 1541 Kalakaua Ave. | Police Officer     |

|    |                        |                     |                |
|----|------------------------|---------------------|----------------|
|    | Makua Alii             |                     |                |
| 45 | TBD<br>Hookipa Kahaluu | 47-330 Ahuimanu Rd. | Police Officer |

*\*Unit number is subject to change and dependent on HUD approval\**

### **Project-Based Vouchers**

HPHA plans to identify, analyze and evaluate all properties on islands within its existing portfolio for potential sites that might benefit from the use of project-based vouchers in addition to the properties listed below. The agency will also evaluate potential application for participation in the HUD Rental Assistance Demonstration program (RAD). Should space become available on a RAD waiting list in the future, the HPHA intends to submit a letter of intent for participation for properties where conversion is feasible and in the best interests of the State, the HPHA, and its tenants.

150 Project-based vouchers are part of the Kuhio Park Terrace Towers redevelopment, and the HPHA may consider adding additional Project-based vouchers for the Mayor Wright redevelopment and Kuhio Homes and Kuhio Park Terrace Low-Rise redevelopment. (HPHA is seeking additional replacement housing vouchers for public housing units that will be temporarily removed from inventory while the Kuhio Homes and Kuhio Park Terrace Low-Rise are redeveloped. Those units will be restored in future phases when redevelopment has been completed.)

305 units at Palolo Homes I and II: The Palolo Homes I and II site-based waiting list was closed by the Section 8 Branch in 2015, except for 4 bedroom units. The list was reopened on June 7-9, 2021. The waiting list will be reopened as needed. The HPHA will provide adequate public notice prior to reopening the waiting list.

Consistent with the HPHA's efforts to sustain and increase the availability of decent, safe, and affordable housing, the HPHA plans to continue its utilization of rent subsidy vouchers through the Federal Project-Based Certificate/Voucher Program. The HPHA will earmark up to the maximum allowable vouchers as specified in 24 CFR 983 and will utilize projects based on the counties of Oahu, Kauai, Maui, and Hawaii in accordance with program guidelines and objectives.

To maximize utilization and to encourage tenant development, HPHA applied for and received HUD approval on August 8, 2001, to exceed the 25 percent cap for dwelling units in any building to be assisted under a housing assistance payment (HAP) by requiring owners to offer supportive services. To minimize the loss of existing housing inventories, HPHA applied for and received HUD approval on October 4, 2001 to attach Project Based Assistance to State-owned public housing projects in areas, which exceed the 20 percent poverty rate limitation.

The HPHA is currently working on a mixed finance redevelopment of its School Street Administrative Offices. The current proposed project is contemplating the use of various forms of financing. The HPHA acknowledges that the proposed project may change over time and as such, the HPHA is providing notices of the potential for this public-private mixed-finance redevelopment to consider the use of various subsidies, including all eligible forms of federal funding sources that the project qualifies for such as project-based vouchers, low income housing tax credits, and public housing subsidies.

### **Units with Approved Vacancies for Modernization.**

The HPHA continues to consider different ways to decrease unit turnaround time, improve occupancy, increase staff efficiencies. HPHA plans to permanently implement a multi-skilled worker program and establish a qualified force account to perform capital repairs on vacant units. By establishing a force account, HPHA will have more flexibility and the ability to utilize its skilled labor and resources more efficiently. Additionally, HPHA has entered into a Memorandum of Agreement with the nonprofit, Kahau`iki Village Development to repair vacant units on O`ahu at an approximate value of \$9,000,000 at no cost to HPHA through the nonprofits' missional fundraising efforts to provide low-income housing. HPHA is also exploring the use of Indefinite Delivery Indefinite Quantity (IDIQ) procurement methods with the assistance of a consultant to expedite capital improvements. Under the Emergency Proclamation by Governor Ige, HPHA has also been able to modernize vacant units using an expedited procurement process in response to COVID-19 and will continue to do so as long as an Emergency Proclamation is in effect.

### **Other Capital Grant Programs (i.e., Capital Fund Community Facilities Grants or Emergency Safety and Security Grants).**

The HPHA will continue to review and determine the appropriateness of submitting competitive grant applications for other capital grant programs. If a grant is determined to be appropriate and a suitable target site can be identified, the HPHA plans to apply for grant programs for community facilities, emergency safety and security grants, HazMat testing and abatement grants, etc. The HPHA's AMPs on the Leeward Coast, Windward Oahu, Central Oahu, Honolulu, and Maui are potential sites for emergency safety and security grants. AMPs on Honolulu and Hawaii are potential sites for grants for community facilities.

#### **Free or Low Cost Broadband**

The HPHA is collaboratively working with the Hawaii Department of Transportation (HDOT) to participate in their Broadband Pilot Project, which aims to connect rural communities statewide and provide broadband opportunities for Hawaii residents in rural and traditionally underserved communities to empower HPHA public housing families in education, healthcare, workforce development, and economic recovery through and following the COVID-19 pandemic.

The following properties are located within the HDOT's Broadband Pilot Project areas:

| Island | Development No./<br>Development Name       | Project No. and Name                |
|--------|--------------------------------------------|-------------------------------------|
| Oahu   | HI001000031<br>Kalihi Valley Homes         | 1005<br>Kalihi Valley Homes         |
| Oahu   | HI001000032<br>Mayor Wright Homes          | 1003<br>Mayor Wright Homes          |
| Oahu   | HI001000033<br>Kaahumanu Homes             | 1009<br>Kaahumanu Homes             |
| Oahu   | HI001000033<br>Kamehameha Homes            | 1099<br>Kamehameha Homes            |
| Oahu   | HI001000035<br>Kalanihua                   | 1024<br>Kalanihua                   |
| Oahu   | HI001000040<br>Kuhio Homes                 | 1007<br>Kuhio Homes                 |
| Oahu   | HI001000040<br>Kuhio Park Terrace Low-Rise | 1010<br>Kuhio Park Terrace Low-Rise |
| Oahu   | HI001000044<br>Waimaha-Sunflower           | 1057<br>Waimaha-Sunflower           |
| Oahu   | HI001000044<br>Kauikalanani                | 1091<br>Kauikalanani                |
| Oahu   | HI001000044<br>Nanakuli Homes              | 1035<br>Nanakuli Homes              |
| Oahu   | HI001000045<br>Waimanalo Homes I           | 1025<br>Waimanalo Homes I           |
| Oahu   | HI001000045<br>Waimanalo Homes II          | 1107<br>Waimanalo Homes II          |
| Oahu   | HI001000045<br>Kauhale Hohana              | 1090<br>Kauhale Ohana               |
| Hawaii | HI001000037<br>Pahala                      | 1045<br>Pahala                      |
| Hawaii | HI001000037<br>Hale Aloha O Puna           | 1051<br>Hale Aloha O Puna           |
| Kauai  | HI001000038<br>Kapaa                       | 1018<br>Kapaa                       |
| Kauai  | HI001000038<br>Hale Nana Kai O Kea         | 1054<br>Hale Nana Kai O Kea         |

**B.3**

#### **Progress Report.**

Provide a description of the PHA's progress in meeting its Mission and Goals described in the PHA 5-Year and Annual Plan.

#### **A. Expand the supply of assisted housing:**

- The occupancy rate continued to fluctuate during FY 2021. HPHA’s Multi-Skilled Worker (MSW) team, Memorandum of Agreement with the nonprofit, Kehau’iki Village Development to repair vacant units on O’ahu and HPHA’s Construction Management Branch expedited repairs on vacant units. Additionally, due to the COVID-19 pandemic the Governor issued Emergency Proclamations that suspended state procurement rules to allow for faster procurements for COVID related activities. Under the Emergency Proclamation, repairs to safe, decent and sanitary conditions to an additional 96 vacant units were expedited to be able to house the most vulnerable population. As of June 30, 2021, the HPHA’s adjusted occupancy rate was 96.065%.
- HPHA and the Michaels Development Company continue to move forward with the Rental Assistance Demonstration (RAD) conversion for Kuhio Park Towers. This project will convert the remaining 347 public housing units in this development to a Project Based Voucher (PBV) subsidy program to best serve our residents. The United States Department of Housing and Urban Development (HUD) issued Commitments to Enter into a Housing Assistance Payment (CHAP) to HPHA in October 2018 for Kuhio Park Towers, Kuhio Homes, and Kuhio Park Terrace Low-Rise. A Financing Plan for the conversion for Kuhio Park Towers was submitted to HUD in December 2020. HUD’s Office of Multifamily Housing issued a RAD Conversion Commitment (RCC) for the conversion of the remaining public housing units at Kuhio Park Towers to PBV under the RAD program in May 2021. The RAD conversion successfully closed on November 30, 2021 with a Housing Assistance Payment effective contract date of December 1, 2021.
- HPHA continues to assess and pursue various TOD and non-TOD the mixed income/mixed use/mixed finance/project based and higher density redevelopment projects, such as Mayor Wright Homes and other HPHA public housing properties, and continues to explore possibilities for creating mutually beneficial public/private partnerships by utilizing various HUD programs including but not limited to Rental Assistance Demonstration and Choice Neighborhood Initiative (CNI), and will utilize various financing tools including but not limited to federal grants, state appropriations and low-income housing tax credits to rehabilitate and redevelop federal and state low-income housing and other properties.
- HPHA’s Lanakila project on the Island of Hawai’i has been selected by the state Office of Planning and Sustainable Development (OPSD) for funding under its FY21 \$1.5 million CIP (GO) appropriation (Act 6, SLH 2020, Section 3, Item K, Capital Project No. 0.1). Four projects out of nine submitted were selected for funding. HPHA’s Lanakila project was granted the largest award at \$550,000.
- HPHA has assessed the need to establish policies to minimize the number of over-income families in public housing, including possible termination of tenancy for such families. There are currently 2 AMPs where the minimum income falls below the 85% level.
- During the 2021 Legislative Session, the Hawaii State Legislature appropriated \$10,000,000 in a lump sum of capital improvement project bond funding that will be used to repair and maintain federal and state low-income public housing properties.
- HPHA assisted 846 families through Emergency Hawaii Administrative Rules through the creation of a “lease in place” preference to combat and prevent homelessness and eliminate the need for applicants to risk exposure of COVID-19 by searching for housing, and to provide Housing Choice Vouchers to those who are currently in a lease and income qualify for the program, along with a “landlord incentive program” that provides a \$500 gift card to assist landlords who need to address non-life threatening Housing Quality Standard inspection deficiencies in order to participate in the HCV program.
- HPHA created Emergency Hawaii Administrative Rules to select Section 8 applicants who apply for the “lease in place” preference through a lottery system.
- In the previous period, HPHA adopted several HUD waivers allowed under PIH Notice 2020-05 and PIH 2020-33(HA), Rev-2 to keep its federal public housing and voucher programs operational to the extent practical.
- HPHA continues to work with its consultant and development partners to pursue development at targeted properties including AMP 32 Mayor Wright Homes, AMP 40 Kuhio Homes and Kuhio Park Terrace Low-Rise. HPHA continues to consider additional redevelopment options including AMP 30 Puuwai Momi, AMP 37 Lanakila Homes, AMP 38 Eleele Homes and Kapaa, and AMP 39 Kahekili Terrace.

- HPHA continues to assess the feasibility of acquiring or developing more properties to create additional housing opportunities on all islands.

**B. Improve the quality of assisted housing:**

1. Improve public housing management: (PHAS score)

- HPHA is currently a standard performer with a score of 86.
- PHAS Financial Condition – Maintain rent collection rate of 97% or better at all properties. Due to the COVID-19 pandemic, the HPHA is working with our County partners to assist our public housing tenants address their delinquent rent balances through their Emergency Rental Assistance programs.
- HPHA established a multi-skilled worker program to promptly repair and maintain units that become vacant on a regular basis for faster and more efficient turnover of units, including establishment of a highly skilled force account for capital repairs. HPHA's Multi-Skilled Worker (MSW) team, Memorandum of Agreement with the nonprofit, Kahau'iki Village Development to repair vacant units on O'ahu and HPHA's Construction Management Branch expedited repairs on vacant units and utilizing the Governor issued Emergency Proclamation.
- HPHA implemented online banking services to allow tenants to pay their rent electronically rather than physically going into the bank.
- HPHA staff is utilizing mobile electronic technology (e.g., tablets and smart phones) to conduct pre-inspections for REAC inspections. Management staff is expected to transition to web based and mobile technology within their AMPs once the HPHA has established procedures and procured the necessary equipment to properly implement this task.
- HPHA implemented new procedures whereby the Hearings Office tracks rent collections in order to assist AMPs early in the delinquency process. HPHA will continue its efforts to improve the tenant collection system.
- HPHA maintains agreements with DHS to access and verify welfare information maintained by DHS to reduce incidence of fraud.
- HPHA is drafting policy updates related to policies requiring occupants to establish legal residency in the United States to receive subsidy for an additional bedroom in the Section 8 program.

2. Improve voucher management: (SEMAP score)

- HPHA was designated a High Performer.
- HPHA utilized funds received to exceed 98% HPHA is looking to hire a landlord liaison to assist in performing landlord outreach and identifying available units for lease up.
- HPHA will absorb veterans that have completed their service plans.
- HPHA is currently drafting updates to the policy on additions to the household after admission into the Housing Choice Voucher program to deny additions of an additional household consisting of more than one member to the Housing Choice Voucher except by birth, adoption, or court-awarded custody, or marriage, when the addition would increase the subsidy to the family.
- HPHA is rewriting the payment standard using the small area fair market rent as required by Federal requirements for the Housing Choice Voucher program.

3. Increase customer satisfaction:

- HPHA has created Emergency Hawaii Administrative Rules to prevent face-to-face meetings with tenants and applicants of the public housing and Section 8 programs to ensure appropriate communication while staying safer at home due to the COVID-19 pandemic.
- HPHA has created Emergency Hawaii Administrative Rules to provide for interim rent adjustments for the Section 8 program to reflecting a lower rent to be effective as of the date the participant's income decreased due to the COVID-19 pandemic.
- HPHA has implemented automated applicant waiting list portal and has brought the applicant portal on line. The applicant portal allows applicants to check on their applications and update information directly to their electronic application.

4. Concentrate on efforts to improve specific management functions:

- HPHA continues to revise and implement plans to have Tenant Monitors or other resident participation programs to address issues when managers are not available.

5. Continue to renovate or modernize public housing units with priority to health, safety, accessibility, end of useful life and energy conservation.

- HPHA has completed a thorough testing of all projects built before 1978 utilizing the XFR testing method and additional full Lead Risk Assessment where there are positive results for Lead Based Paint, HPHA continues to completely remove or encapsulate all lead-based paint hazards from all its properties. All affected property maintenance staff will be required to be certified in lead-based paint.
- Due to changes in the Fire Code, HPHA will be upgrading its tower buildings to have sprinklers where indicated by code at Pumehana.
- All Capital Improvement Projects completed in FY21:

8/24/2020 – **Waipahu I** – Structural Assessment; Des: \$15,971 CFP

8/24/2020 – **Waipahu II** – Structural Assessment; Des: \$15,971 CFP

9/5/2020 – **Salt Lake Apartments** – Major Modernization Ph II; Des: \$94,935 CIP; Const: \$7,869,905 (\$5,384,375 CIP, \$2,485,530 CFP)

10/21/2020 – **Hale Laulima** – ADA Modifications; Des: \$0; Const: \$123,400 CIP

11/6/2020 – **Punchbowl Homes** – Call for Aid Upgrade; Des: \$134,425 CIP; Const: \$2,004,248 CFP

12/8/2020 – **AMP 38 (Kaua`i)** – Emergency Proclamation Vacant Units Repairs; Des: In-House; Const: \$1,522,016 AMP Federal Operating Funds

1/12/2021 – **Hui O Hanamaulu** – AMP 38 Infrastructure Improvements; Des: \$87,317 CIP; Const: \$556,250 CIP

1/12/2021 – **Hale Nana Kai O Kea** – AMP 38 Infrastructure Improvements; Des: \$130,757 CIP; Const: \$365,075 CIP

1/12/2021 – **Hale Ho`olulu** – AMP 38 Infrastructure Improvements; Des: \$30,124 CIP; Const: \$31,140 CIP

1/26/2021 – **Hale Aloha O Puna** – Emergency Proclamation Vacant Units Repairs; Des: In-House; Const: \$361,891 AMP Federal Operating Funds

3/12/2021 – **15 Vacant Units Various O`ahu Sites** – Emergency Proclamation Vacant Units Repairs; Des: In-House; Const: \$1,078,263 AMP Federal Operating Funds

3/29/2021 – **34 Vacant Units Various O`ahu Sites** – Emergency Proclamation Vacant Units Repairs; Des: In-House; Const: \$2,311,167 AMP Federal Operating Funds

5/4/2021 – **Lanakila Homes** – Burnt Unit Repairs; Des: In-House; Const: \$391,464 CIP

5/25/2021 – **Makamae** – Ventilation System Upgrade; Des: \$8,000 CIP; Const: \$95,476 CIP

5/25/2021 – **Kalanihuia** – Ventilation System Upgrade; Des: \$7,725 CIP; Const: \$63,716 CIP

- HPHA is completing a systematic assessment and upgrade of all major building systems for its high-rises, including elevators, fire prevention systems, generators, exhaust systems, call-for-aid systems, and fire alarm systems.
- HPHA contracted with EMG to address barriers to accessibility at HPHA properties. Site assessments for mobility and visual/hearing accessibility were completed at all HPHA properties, management offices and administrative offices. A Needs Assessment report was created with input from advocacy groups and the public, and a Transition Plan will be submitted to HUD at the end of 2022.

6. Demolish or dispose of obsolete public housing and provide replacement housing.

- The HPHA will assess the need to demolish or dispose of obsolete public housing and provide replacement housing at Nanakuli Homes and Kupuna Home O Waialua on O`ahu.
- HPHA seeks to partner with the County of Hawaii to provide the HPHA with HUD Community Development Block Grant for Disaster Recovery (CDBG-DR) funding to rebuild streets at Lanakila Homes to current standards, codes and ordinances.
- HPHA seeks to partner with the County of Kauai to redevelop and increase density at existing public housing properties.
- HPHA seeks to partner with the County of Maui to redevelop and increase density at existing public housing properties.

### C. Increase assisted housing choices:

- HPHA has entered into a Memorandum of Agreement with the Child Welfare Services Branch, Social Services Division of the Hawaii State Department of Human Services in relation to their assistance to pursue the Foster Youth to Independence initiative. As of June 30, 2021, the HPHA has 5 participants.



- The HPHA adopts a payment standard every year for the HCV program for Oahu zip codes to use Small Area Fair Market Rent (SAFMR) and adjusted the payment standards between 90% and 110% based on projected housing assistance funding shortfall, with adequate notice to program participants.
- HPHA will continue to consider the establishment/implementation of designated elderly only housing.
- HPHA has established a Landlord Incentive Program and has hired a Landlord Liaison to administer the program. The Landlord Liaison will look to increase the availability of safe, decent and sanitary housing by conducting outreach to unit owners throughout the City and County of Honolulu for its Housing Choice Voucher Section 8 program, per available funding.
- HPHA was awarded funds from the Mainstream Voucher Program Fiscal Year 2019 Notice of Funding Availability (NOFA) (FR-6300-N-43). The HPHA has contacted the Financial Management Center (FMC) to select an effective date of July 1, 2020 to distribute the 60 units with a budget authority of \$850,040 for a term of 12 months. As of June 30, 2021, the HPHA has 26 participants.
- HPHA submitted its Moving To Work (MTW) Plan and Application Package to HUD's MTW Demonstration Program Expansion for fiscal year 2021: Cohort #4 – Landlord Incentives. Based on an assessment of the local rental housing market conditions and feedback from the landlords, the HPHA selected three landlord incentives to implement if selected for the MTW Demonstration Program. They are: Vacancy Loss Payments, Front-end Vacancy Loss Payments, and Other Landlord Incentives – Signing Bonuses. On January 27, 2022, the HPHA received an award letter from HUD indicating that the HPHA was selected for admission to HUD's Landlord Incentives Cohort of the MTW Demonstration Program.

**D. Provide an improved living environment:**

- HPHA implements measures to de-concentrate poverty by bringing higher income public housing households into lower income developments. Currently, there are two AMPs where incomes fall below the 85% mark.
- Created health and safety policies through Emergency Hawaii Administrative Rules in response to the COVID-19 pandemic that include the required wearing of facial coverings, restricting visitors, HPHA staff rules when entering a tenant's unit and penalties for the low-income public housing program.
- HPHA distributed tens of thousands of facial coverings, worked expeditiously to focus on repairing vacant units and moved in hundreds of families into available public housing units, distributed cleaning supplies to staff and residents when they test positive for COVID-19, distributed hand sanitizer, and launched free Wi-Fi at ten of its public housing communities throughout the State in response to the COVID-19 pandemic.
- To better inform our community about what the HPHA is doing to assist our Public Housing residents, Section 8 program participants, applicants and HPHA staff, the Agency created the following website: <https://www.hphaishereforyou.org/>. The website entails what the HPHA is doing to slow the spread of COVID-19 by severely limiting face-to-face interaction by fostering communication through U.S. mail, email, phone or video conference, implementing social distancing, housing safeguards and health measures to the disadvantaged populations that we serve.
- HPHA worked, and continues to work, hand-in-hand with the Hawaii State Department of Health Public Health Nurses and the Hawaii National Guard to conduct COVID-19 outreach and education events at the Agency's larger public housing properties. Teams of nurses, doctors, guard members, and interpreters canvassed the properties and talked to residents, and handed out flyers in English and other translated languages to educate the community about the COVID-19 virus. Mainly educational in nature, the teams showed people how they could stay safe and healthy, but also tested anyone in the household that had flu-like symptoms. Outreach events covered 23 properties and over 2,400 units.
- HPHA continues to collaborate with the State Department of Health, State Executive Office on Aging, City and County of Honolulu Department of Community Services Elderly Affairs Division, American Association of Retired Persons (AARP), Hawaii Public Health Institute, Project Vision, Hawaii Pacific Health Medical Group, Kaiser Permanente, Queens Medical Center, 5 Minute Pharmacy, Pharmacare, Times Pharmacy, Papa Ola Lokahi, Kamehameha Schools, and other non-profit health groups to conduct safe and convenient COVID-19 vaccination and booster shot clinics at our public housing properties. Over 2,000 vaccinations have been administered, and we are anticipating that over 2,000 public housing tenants will receive booster shots.
- HPHA administered the Aloha Cares Emergency Feeding Program (ACEFP). This emergency feeding program protected public housing tenants and the general public from the spread of COVID-19 by ensuring people affected by State and local COVID-19 stay at home orders and the homebound to receive meals and access to food (e.g., food boxes) as appropriate. From July to October of 2020, the ACEFP served approximately 500,000 meals to the elderly, disabled and COVID-19 exposed participants.

- HPHA continues to implement public housing security improvements, such as increased lighting, video surveillance, resident identification cards, tenant participation with Resident Associations, and crime prevention through environmental design features.
- HPHA continues to pursue statutory authority to adopt rules to provide greater security for tenants and staff. Legislation to institute no trespassing 24 hours a day was passed and signed into law as Act 31 on June 9, 2018.
- Act 206 Session Laws of Hawaii 2019 provides HPHA the statutory authority to evict tenants who are convicted of a felony related to the HPHA's property or funds or its employees on HPHA property.
- Adopt rules to efficiently remove abandoned property from HPHA units to provide quicker turnaround of units.
- HPHA has contracted with the University of Hawaii to conduct a study on the livability of public housing and Section 8, and how to improve the lives of its residents.

**E. Promote self-sufficiency and asset development of assisted households:**

- HPHA will continue to strengthen opportunities for its Family Self-Sufficiency program through its continued involvement in network practices with private businesses, corporations, financial institutions and local agencies to promote education, homeownership and employment opportunities.
- HPHA conducts a job fair every year and participates as a vendor in other local job fairs such as Workforce Job Fair 2021, and posts notices at each of our projects (AMPs) inviting tenant attendance and participation.
- HPHA has engaged in individual counseling, assistance and mentoring in-house and encourages volunteers to work in any branch of our main office, to enable them obtain skills and experience to enhance employability. Our recently recruited resident services specialists will advance and expand this effort to secure outside service providers.
- HPHA continues to seek out programs and service providers to partner with. Further, we are involved in an initiative from Washington, DC to provide more caseworkers for the elderly and disabled and have recently recruited new resident services specialists to advance this effort.
- HPHA has a Tenant Aide program for residents to be hired on a part-time basis for up to 19-hours compensation, to gain experience and upward mobility, as has happened successfully in the past. However, residents need to be willing to take the opportunity to apply.
- HPHA has established the Tenant Hire program which allows tenants to apply for designed positions to obtain on-the job training, learn different skill sets, gain working experience in daily interaction with staff and general public at the property management offices, and apply for civil service positions after the training period. The property management offices frequently attempt to recruit low-income residents through local advertising media, signs prominently displayed at the property, contacts with community organizations and public or private agencies operating within the area in which the Section 3 covered program or project is located. HPHA also provides recruitment information to managers to distribute to their residents. HPHA holds several job fairs at local community places and at universities. Fliers are also posted at local community colleges to target college graduates. HPHA continue to recruit residents to Section 3 which includes the Tenant Aide Program for upward mobility, and be able to assist the properties in maintenance and administrative duties. The HPHA is working on a Section 3 business registry.

**F. Ensure equal opportunity and affirmatively further fair housing:**

- The Compliance Office worked with EMG to address barriers to accessibility at HPHA properties. Site assessments for mobility and visual/hearing accessibility were completed at all HPHA federal and state public housing properties, management offices and administrative offices. HPHA's DRAFT Title II Transition Plan was approved by the HPHA Board of Directors in October of 2019, and a public hearing was held in December; on-site staff training re: ADA-compliance was held for all of HPHA and privately managed staff, and we continue to work with consultant EMG to finalize HPHA's Section 504 Transition Plans.
- As of June 30, 2021, out of a total of 5,926 (5,064 Federal and 864 State) units, 338 units or 5.70% were accessible for mobility and 178 units or 3.0% were accessible for the sensory impaired. With another 42 units for mobility and 30 units for the sensory impaired currently under construction, when completed HPHA will be at 6.41% accessible for mobility and 3.51% accessible for the sensory impaired.
- Affirmative measures taken to ensure access to assisted housing includes intensive employee training, self-monitoring for quality assurance and progressively accomplishing the goals identified by the Analysis of

Impediments to Fair Housing Choice. The HPHA is committed to planned affirmative measures to ensure access to assisted housing regardless of race, color, religion, national origin, sexual orientation, gender identity, marital status, familial status, and disability

- HPHA continues its on-going efforts to educate and provide information to the general population and to landlords.
- HPHA is conducting on-going training to educate staff, including Limited English Proficiency (LEP) training.
- Implementation of Section 504 and ADA transition plans for HPHA properties are continuous and consistent.
- HPHA will adhere to the three (3) year Voluntary Compliance Agreement through the HUD's Office of Fair Housing and Equal Opportunity for the purposes of executing HPHA's Accessibility Surveys, Needs Assessments, Self-Evaluations and Transition Plans; complete the transition plan, continue to engage in meaningful discussions with applicants and tenants with disabilities, advocacy groups and HUD during the implementation phase; pursue the HPHA's goal to exceed the minimum 5% ADA and 2% sensory (vision and hearing-impaired) requirement for accessible units, striving to meet the census data indication of need for this area of 6.8% mobility and 4.1% sensory units.
- Maintain the Limited English Proficiency (LEP) Provide training to non-English speaking and/or Limited English Proficiency speaking groups with an interpreter available on federal and state fair housing laws. HPHA continues to provide LEP individuals with free interpretation and translation services.
- HPHA continues to review policies to ensure compliance with HUD's equal access rule.

**G. Improve the housing delivery system through cost-effective management of federal government programs and resources:**

- Due to COVID-19, HPHA has supported teleconferencing infrastructure to allow for compliance with social distancing and used technology to achieve it. The purchase and setting of laptops, webcams, access points and implementation of Quality of Service (QOS) to allow for video and voicing to broadcast in parallel with data traffic has allowed a higher quality of service delivery.
- Updated our core application (Emphasys Elite) to version 2.0 increased performance and compliance with HUD mandated changes. Various offices were affected and training and changes to SOP were conducted. The implementation and opening of the MyHousing shifted traditional methods of application (physical presence and queues) into a streamlined online presence where applications can be done in rapid succession, in bulk and removing many operational layers involving staff labor and presence.
- HPHA in conjunction of Enterprise Technology Services (SOH|ETS) implemented various security upgrades. The most significant one being the replacement of Norton AV to Sentinel, to secure communication transmissions, detect and prevent viruses and other malicious applications, and customized to work with O365 products.
- HPHA's Palolo Project Based Voucher wait list remains closed except for four bedroom units.
- HPHA opened the KPT 3-bedroom waitlist through a lottery system.
- HPHA implements project based budgeting, project based accounting and management for federal public housing as required under Asset Management.
- HPHA has made significant progress in the timely evictions for non-payment of rent and timely write off of uncollectable accounts. The HPHA worked with the Department of the Attorney General to streamline the procedures for write off of bad debt.
- HPHA continues to require that all appliance purchases and capital repairs utilize energy star fixtures and implement energy saving features where possible.
- HPHA continues to automate major operation components of the PHA computer software such as work order processing and tracking, materials, inventory, and fixed assets to improve the efficiency and accuracy of financial accounting and reporting.
- HPHA continues to upgrade computers, servers and devices with newer models to provide faster response time for users, and standardize all versions of business and office software. This upgrade simultaneously provides more efficient use of electricity (for hardware), and provides better security from malicious software via updated firmware.
- HPHA continues its research and analysis of various content management systems for more efficient retrieval of documents stored electronically on the HPHA network.
- HPHA continuously and successfully expands the use of video conferencing technology to further better communication between all HPHA properties on all islands. Additionally, a welcome consequence of the introduction of video conference technology is its increased use by various offices to accommodate and

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|            | <p>increase the pool of potential candidates for interviews by providing more flexibility in scheduling and mobility issues.</p> <ul style="list-style-type: none"> <li>• HPHA continues to grow its workflow automation with the implementation of web applications and digital signatures to provide a more consistent, faster and environmentally friendlier processing of business operations.</li> <li>• HPHA implemented Hawaii Administrative Rule (HAR) revisions to prohibit smoking in public housing, and provide tenants with revised lease addendum outlining enforcement strategies for the “No Smoking” policy.</li> <li>• Significant improvements have been made to strengthen internal controls, as results, quality of data integrity is increased, Comprehensive Annual Financial Reports (CAFR) and Financial Data Schedule (FDS) are generated in-house, audit findings decreased from 4 for FY14 to 2 for FY15, and to zero finding in FY17.</li> <li>• Per HUD notice PIH 2017-24 (HA), the HPHA has had third-party agreements for the use of cell phones towers.</li> <li>• HPHA is actively exploring and moving toward a paperless environment.</li> <li>• Evaluate the current administration of HPHA’s Section 8 Housing Choice Voucher Program (Due to the recent change in funding levels for the Section 8 HCV Program by HUD, HPHA will be exploring options to maximize the number of voucher participants within the current HUD funding level)</li> <li>• The HPHA continues its efforts to increase the current number of active vouchers by leveraging HPHA’s “High Performer” status to participate in any current or future HUD programs and/or create and implement new programs in conjunction with the local HUD office.</li> </ul> |
| <b>B.4</b> | <p><b>Capital Improvements.</b></p> <p>The HPHA’s most recently approved 5-Year Action Plan was approved in EPIC on May 25, 2021.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| <b>B.5</b> | <p><b>Most Recent Fiscal Year Audit.</b></p> <p>(a) Were there any findings in the most recent FY Audit?</p> <p>Y    N<br/> <input type="checkbox"/>   <input checked="" type="checkbox"/></p> <p>(b) If yes, please describe:</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| <b>C.</b>  | <p><b>Other Document and/or Certification Requirements.</b></p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| <b>C.1</b> | <p><b>Resident Advisory Board (RAB) Comments.</b></p> <p>(a) Did the RAB(s) have comments to the PHA Plan?</p> <p>Y    N<br/> <input checked="" type="checkbox"/>   <input type="checkbox"/></p> <p>(b) If yes, comments must be submitted by the PHA as an attachment to the PHA Plan. PHAs must also include a narrative describing their analysis of the RAB recommendations and the decisions made on these recommendations.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| <b>C.2</b> | <p><b>Certification by State or Local Officials.</b></p> <p><a href="#">Form HUD 50077-SL</a>, <i>Certification by State or Local Officials of PHA Plans Consistency with the Consolidated Plan</i>, must be submitted by the PHA as an electronic attachment to the PHA Plan.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| <b>C.3</b> | <p><b>Civil Rights Certification/ Certification Listing Policies and Programs that the PHA has Revised since Submission of its Last Annual Plan.</b></p> <p>Form HUD-50077-ST-HCV-HP, <i>PHA Certifications of Compliance with PHA Plan, Civil Rights, and Related Laws and Regulations Including PHA Plan Elements that Have Changed</i>, must be submitted by the PHA as an electronic attachment to the PHA Plan.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |

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| C.4 | <p><b>Challenged Elements.</b> If any element of the PHA Plan is challenged, a PHA must include such information as an attachment with a description of any challenges to Plan elements, the source of the challenge, and the PHA's response to the public.</p> <p>(a) Did the public challenge any elements of the Plan?</p> <p>Y    N<br/> <input type="checkbox"/> <input checked="" type="checkbox"/></p> <p>If yes, include Challenged Elements.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| C.5 | <p><b>Troubled PHA.</b></p> <p>(a) Does the PHA have any current Memorandum of Agreement, Performance Improvement Plan, or Recovery Plan in place?</p> <p>Y    N    N/A<br/> <input type="checkbox"/> <input checked="" type="checkbox"/> <input type="checkbox"/></p> <p>(b) If yes, please describe:</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| D.  | <p><b>Affirmatively Furthering Fair Housing (AFFH).</b></p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| D.1 | <p><b>Affirmatively Furthering Fair Housing (AFFH).</b></p> <p><b>Provide a statement of the PHA's strategies and actions to achieve fair housing goals outlined in an accepted Assessment of Fair Housing (AFH) consistent with 24 CFR § 5.154(d)(5). Use the chart provided below. (PHAs should add as many goals as necessary to overcome fair housing issues and contributing factors.) Until such time as the PHA is required to submit an AFH, the PHA is not obligated to complete this chart. The PHA will fulfill, nevertheless, the requirements at 24 CFR § 903.7(o) enacted prior to August 17, 2015. See Instructions for further detail on completing this item.</b></p> <p>The HPHA adopted a policy of non-discrimination and prohibiting discriminatory practices in the operations, procedures, or programs it administers, to ensure that residents, program participants, and applicants for services or programs provided by HPHA are given equal opportunity in the provision of services.</p> <p>All complaints of discrimination received shall be processed fairly and promptly in accordance with the procedures the HPHA has established with respect to such complaints to assure HPHA's residents, participants, and applicants for programs and services who allege unlawful discrimination or other violation in programs, services, activities, or benefits provided by the HPHA their substantive and due process rights under Federal, State, and local nondiscrimination laws and with rules and regulations governing Fair Housing and Equal Opportunity in housing.</p> <p>There shall be no retaliation against an applicant, potential applicant, tenant, or other program beneficiary who has complained of discrimination. Retaliatory conduct is illegal and constitutes a separate violation of laws and rules.</p> <p>The PHA will comply with all laws relating to Civil Rights including:</p> <ul style="list-style-type: none"> <li>• Fair Housing Act</li> <li>• Section 515-3, Hawaii Revised Statutes</li> <li>• Equal Access to Housing in HUD Programs Regardless of Sexual Orientation or Gender Identity, 77 FR 5662</li> <li>• Title VI of the Civil Rights Act</li> <li>• Section 504 of the Rehabilitation Act</li> <li>• Title II of the Americans with Disabilities Act</li> <li>• Age Discrimination Act</li> <li>• Executive Order 13166, August 11, 2000</li> <li>• Chapter 321C, Hawaii Revised Statutes</li> <li>• Final Guidance to Federal Financial Assistance Recipients Regarding Title VI Prohibition Against National Origin Discrimination Affecting Limited English Proficient Persons, January 22, 2007</li> <li>• </li> <li>• Title VI of the Civil Rights Act of 1964</li> </ul> |

- Title VIII of the Civil Rights Act of 1968 (as amended by the Community Development Act of 1974 and the Fair Housing Amendments Act of 1988)
- Executive Order 13166 – Improving Access to Services for Persons with Limited English Proficiency
- The Age Discrimination Act of 1975
- Title II of the Americans with Disabilities Act (to the extent that it applies, otherwise Section 504 and the Fair Housing Amendments govern)
- Violence Against Women Act (VAWA), 42 U.S.C. §1432d
- Hawaii Revised Statutes (HRS) Chapter 515 and Chapter 321C
- Hawaii Administrative Rules (HAR) Title 12, Chapter 46, Subchapter 20

Any applicable State laws or local ordinances and any legislation protecting individual rights of tenants, applicants or staff that may subsequently be enacted.

The PHA shall not discriminate because of race, color, sex, religion, marital status, creed, national or ethnic origin, age, familial status, history of domestic violence or stalking, gender identity or expression, sexual orientation, handicap or disability or HIV infection in the leasing, rental, or other disposition of housing or related facilities, including land, that is part of any project or projects under the HPHA's jurisdiction covered by a contract for annual contributions under the United States Housing Act of 1937, as amended, or in the use or occupancy thereof.

Posters and housing information are displayed in locations throughout the HPHA's office in such a manner as to be easily readable from a wheelchair.

To further its commitment to full compliance with applicable Civil Rights laws, the PHA will provide Federal/State/local information to public housing residents regarding "discrimination" and any recourse available to them if they believe they are victims of discrimination. Such information will be made available to them during the resident orientation session.

The PHA's Compliance Office is accessible to persons with disabilities. Accessibility for the hearing impaired is provided by the TDD telephone service provider.

The PHA shall not, on account of race, color, sex, religion, marital status, creed, national or ethnic origin, age, familial status, history of domestic violence or stalking, gender identity or expression, sexual orientation, handicap or disability, or HIV infection:

- Deny to any family the opportunity to apply for housing, nor deny to any qualified applicant the opportunity to lease housing suitable to its needs;
- Provide housing that is different from that provided to others;
- Subject a person to segregation or disparate treatment;
- Restrict a person's access to any benefit enjoyed by others in connection with the housing program;
- Treat a person differently in determining eligibility or other requirements for admission; or
- Deny a person access to the same level of services.

The HPHA shall not automatically deny admission to a particular group or category of otherwise qualified applicants (e.g., families with children born to unmarried parents, elderly families with pets).

## **Fair Housing Goal: ADDRESSING DISCRIMINATION COMPLAINTS: PROCEDURES FOR PROGRAMS AND SERVICES**

### **A. Grievance Procedure for Tenants and Program Participants**

For residents and participants of HPHA's programs and services, the HPHA has established grievance procedures to address complaints regarding, among other things, discrimination or discriminatory practices, including the failure to provide language access.

1. HPHA's federal public housing residents may avail themselves of the grievance procedure if the HPHA's action or inaction in any way causes them to be adversely affected in a discriminatory way. (Chapter 17-2021, Hawaii Administrative Rules and Chapter 13 of the Admissions and Continued Occupancy Policy for the Federally Assisted Low-income Public Housing Program).

2. Tenant-based Section 8 participants may avail themselves of the informal review and hearing procedure if the HPHA's action or inaction in any way causes them to be adversely affected in a discriminatory way. (Informal Reviews and Hearings, Chapter 16, Part III, Administrative Plan for Section 8 – Housing Choice Voucher Program). In addition, an applicant or participant may submit a discrimination complaint to the HPHA in accordance with Section 2-I.B. of the Administrative Plan.

### **B. Complaint Procedure for Applicants and Participants of Programs and Services**

This complaint procedure is established to meet the requirements of the Americans with Disability Act (ADA), Section 504 of the Rehabilitation Act, the Fair Housing Act, and to address language access. This complaint procedure may be used by anyone who wishes to file a complaint alleging discrimination, including the provision of language assistance service to Limited English Proficient individuals, or other violation in policies or the provision of services, activities, programs, or benefits by the HPHA.

1. Applicants and potential applicants for programs and services who believe they have been discriminated against, may file a formal complaint with the HPHA Compliance Office. The complaint should be in writing and contain information about the alleged discrimination and/or violation with the complainant's name, address, and phone number. Alternative means of filing complaints, such as personal interviews will be made available to persons with disabilities upon request.

2. The complainant should submit the complaint as soon as possible but no later than 30 working days using the “Discrimination Complaint Form” (Appendix A), after the most recent incident of alleged violation to the Chief Compliance Officer, along with a completed consent form (Appendix B).

This form replaces Department of Human Service Discrimination Complaint Form. Complaint forms not filed on a timely basis may be considered on a case-by-case basis with good cause. A “Notice to Persons Filing Complaints” shall be given to each complainant (Appendix E).

Upon receipt of the completed consent form, the Chief Compliance Officer or designee will provide written notice of the complaint to those individuals alleged to have taken discriminatory action against the complainant, and will notify the complainant that such notice was made.

3. Within 15 working days after receipt of the complaint, the Chief Compliance Officer or a designee will meet with the complainant either in person or over the phone to discuss the complaint and possible resolutions. The Chief Compliance Officer or designee may obtain information from other individuals with apparent knowledge or information about the Complainant’s allegations, if consent is given.

Within 15 working days after the meeting, the Chief Compliance Officer or a designee will respond in writing, and where appropriate, in a format accessible to the complainant, such as large print, Braille, or audiotape. The response will explain the position of HPHA and offer options for substantive resolution of the complaint. If the investigation confirms that discrimination occurred, HPHA will take immediate corrective action.

4. If the response of the Chief Compliance Officer or a designee does not satisfactorily resolve the issue, the complainant may appeal the decision within 15 working days after receipt of the response, in writing to the Executive Director of HPHA. The appeal must state the reason(s) for dissatisfaction with the response given to the complainant.

Within 15 working days after receipt of the appeal, the HPHA Executive Director will meet with the complainant in person or by phone to discuss the complaint and possible resolutions. Within 15 working days after the meeting the HPHA Executive Director will respond in writing, and where appropriate, in a format accessible to the complainant, with a final resolution of the complaint. The Executive Director’s decision shall be final and binding within HPHA’s purview.

5. The Executive Director or a designee, Chief Compliance Officer or designee may change the time limits stated in the Complaint Procedure after consultation with the complainant or for good cause as determined by the Executive Director or Designee, Chief Compliance Officer or Designee.

6. The complainant may withdraw their complaint at any time by completing the Complaint Withdrawal Form (Appendix C).

#### **C. Non-Retaliation for Exercising Right to Complain**

1. Any retaliation or discriminatory action should be reported by the complainant to the Compliance Office. The Executive Director is responsible for ensuring that there is no retaliation for making a complaint. Any allegations of retaliation will be investigated by appropriate personnel staff under the direction of the Executive Director.

### **Fair Housing Goal: OTHER AVENUES OF REDRESS FOR DISCRIMINATION COMPLAINTS**

A. The complainant retains the right to other avenues of redress and may file a complaint by contacting the appropriate agency listed below. The complainant is responsible for meeting the agency’s filing procedures and time requirements for filing the complaint.

Hawaii Civil Rights Commission  
Keelikolani Building  
830 Punchbowl Street, Room 411  
Honolulu, Hawaii 96813

U.S. Department of Housing and Urban Development, Honolulu Field Office  
1132 Bishop St., Suite 1400  
Honolulu, Hawaii 96813

B. The Chief Compliance Officer is the State Fair Housing Officer, HPHA Section 504 Coordinator, HPHA Language Access coordinator, and HPHA ADA Coordinator. If anyone has questions or requires additional information, call the HPHA Compliance Office.

### **Fair Housing Goal: CONFIDENTIALITY**

All written documents, evidence and discussions relating to the informal or formal complaint shall be kept confidential, unless otherwise stated. Witnesses and others involved in the investigation shall be directed to maintain the confidentiality of the allegation and investigation.

## Instructions for Preparation of Form HUD-50075-ST Annual PHA Plan for Standard and Troubled PHAs

### A. PHA Information. All PHAs must complete this section. (24 CFR §903.4)

A.1 Include the full **PHA Name, PHA Code, PHA Type, PHA Fiscal Year Beginning (MM/YYYY), PHA Inventory, Number of Public Housing Units and or Housing Choice Vouchers (HCVs), PHA Plan Submission Type**, and the **Availability of Information**, specific location(s) of all information relevant to the public hearing and proposed PHA Plan. (24 CFR §903.23(4)(e))

**PHA Consortia:** Check box if submitting a Joint PHA Plan and complete the table. (24 CFR §943.128(a))

### B. Plan Elements. All PHAs must complete this section.

#### B.1 Revision of Existing PHA Plan Elements. PHAs must:

Identify specifically which plan elements listed below that have been revised by the PHA. To specify which elements have been revised, mark the “yes” box. If an element has not been revised, mark “no.” (24 CFR §903.7)

☐ **Statement of Housing Needs and Strategy for Addressing Housing Needs.** Provide a statement addressing the housing needs of low-income, very low-income and extremely low-income families and a brief description of the PHA’s strategy for addressing the housing needs of families who reside in the jurisdiction served by the PHA and other families who are on the public housing and Section 8 tenant-based assistance waiting lists. The statement must identify the housing needs of (i) families with incomes below 30 percent of area median income (extremely low-income); (ii) elderly families (iii) households with individuals with disabilities, and households of various races and ethnic groups residing in the jurisdiction or on the public housing and Section 8 tenant-based assistance waiting lists based on information provided by the applicable Consolidated Plan, information provided by HUD, and other generally available data. The statement of housing needs shall be based on information provided by the applicable Consolidated Plan, information provided by HUD, and generally available data. The identification of housing needs must address issues of affordability, supply, quality, accessibility, size of units, and location. Once the PHA has submitted an Assessment of Fair Housing (AFH), which includes an assessment of disproportionate housing needs in accordance with 24 CFR §5.154(d)(2)(iv), information on households with individuals with disabilities and households of various races and ethnic groups residing in the jurisdiction or on the waiting lists no longer needs to be included in the Statement of Housing Needs and Strategy for Addressing Housing Needs. (24 CFR §903.7(a)).

The identification of housing needs must address issues of affordability, supply, quality, accessibility, size of units, and location. (24 CFR §903.7(a)(2)(i)) Provide a description of the ways in which the PHA intends, to the maximum extent practicable, to address those housing needs in the upcoming year and the PHA’s reasons for choosing its strategy. (24 CFR §903.7(a)(2)(ii))

☐ **Deconcentration and Other Policies that Govern Eligibility, Selection, and Admissions.** PHAs must submit a Deconcentration Policy for Field Office review. For additional guidance on what a PHA must do to deconcentrate poverty in its development and comply with fair housing requirements, see 24 CFR 903.2. (24 CFR §903.23(b)) Describe the PHA’s admissions policy for deconcentration of poverty and income mixing of lower-income families in public housing. The Deconcentration Policy must describe the PHA’s policy for bringing higher income tenants into lower income developments and lower income tenants into higher income developments. The deconcentration requirements apply to general occupancy and family public housing developments. Refer to 24 CFR §903.2(b)(2) for developments not subject to deconcentration of poverty and income mixing requirements. (24 CFR §903.7(b)) Describe the PHA’s procedures for maintain waiting lists for admission to public housing and address any site-based waiting lists. (24 CFR §903.7(b)). A statement of the PHA’s policies that govern resident or tenant eligibility, selection and admission including admission preferences for both public housing and HCV. (24 CFR §903.7(b)) Describe the unit assignment policies for public housing. (24 CFR §903.7(b))

☐ **Financial Resources.** A statement of financial resources, including a listing by general categories, of the PHA’s anticipated resources, such as PHA operating, capital and other anticipated Federal resources available to the PHA, as well as tenant rents and other income available to support public housing or tenant-based assistance. The statement also should include the non-Federal sources of funds supporting each Federal program, and state the planned use for the resources. (24 CFR §903.7(c))



☐ **Rent Determination.** A statement of the policies of the PHA governing rents charged for public housing and HCV dwelling units, including applicable public housing flat rents, minimum rents, voucher family rent contributions, and payment standard policies. (24 CFR §903.7(d))

☐ **Operation and Management.** A statement of the rules, standards, and policies of the PHA governing maintenance and management of housing owned, assisted, or operated by the public housing agency (which shall include measures necessary for the prevention or eradication of pest infestation, including cockroaches), and management of the PHA and programs of the PHA. (24 CFR §903.7(e))

☐ **Grievance Procedures.** A description of the grievance and informal hearing and review procedures that the PHA makes available to its residents and applicants. (24 CFR §903.7(f))

☐ **Homeownership Programs.** A description of any Section 5h, Section 32, Section 8y, or HOPE I public housing or Housing Choice Voucher (HCV) homeownership programs (including project number and unit count) administered by the agency or for which the PHA has applied or will apply for approval. (24 CFR §903.7(k))

☐ **Community Service and Self Sufficiency Programs.** Describe how the PHA will comply with the requirements of (24 CFR §903.7(l)). Provide a description of: **1)** Any programs relating to services and amenities provided or offered to assisted families; and **2)** Any policies or programs of the PHA for the enhancement of the economic and social self-sufficiency of assisted families, including programs subject to Section 3 of the Housing and Urban Development Act of 1968 (24 CFR Part 135) and FSS. (24 CFR §903.7(l))

☐ **Safety and Crime Prevention (VAWA).** Describe the PHA's plan for safety and crime prevention to ensure the safety of the public housing residents. The statement must provide development-by-development or jurisdiction wide-basis: (i) A description of the need for measures to ensure the safety of public housing residents; (ii) A description of any crime prevention activities conducted or to be conducted by the PHA; and (iii) A description of the coordination between the PHA and the appropriate police precincts for carrying out crime prevention measures and activities. (24 CFR §903.7(m)) A description of: **1)** Any activities, services, or programs provided or offered by an agency, either directly or in partnership with other service providers, to child or adult victims of domestic violence, dating violence, sexual assault, or stalking; **2)** Any activities, services, or programs provided or offered by a PHA that helps child and adult victims of domestic violence, dating violence, sexual assault, or stalking, to obtain or maintain housing; and **3)** Any activities, services, or programs provided or offered by a public housing agency to prevent domestic violence, dating violence, sexual assault, and stalking, or to enhance victim safety in assisted families. (24 CFR §903.7(m)(5))

☐ **Pet Policy.** Describe the PHA's policies and requirements pertaining to the ownership of pets in public housing. (24 CFR §903.7(n))

☐ **Asset Management.** State how the agency will carry out its asset management functions with respect to the public housing inventory of the agency, including how the agency will plan for the long-term operating, capital investment, rehabilitation, modernization, disposition, and other needs for such inventory. (24 CFR §903.7(q))

☐ **Substantial Deviation.** PHA must provide its criteria for determining a "substantial deviation" to its 5-Year Plan. (24 CFR §903.7(r)(2)(i))

☐ **Significant Amendment/Modification.** PHA must provide its criteria for determining a "Significant Amendment or Modification" to its 5-Year and Annual Plan. For modifications resulting from the Rental Assistance Demonstration (RAD) program, refer to the 'Sample PHA Plan Amendment' found in Notice PIH-2012-32 REV-3, successor RAD Implementation Notices, or other RAD Notices.

If any boxes are marked "yes", describe the revision(s) to those element(s) in the space provided.

PHAs must submit a Deconcentration Policy for Field Office review. For additional guidance on what a PHA must do to deconcentrate poverty in its development and comply with fair housing requirements, see 24 CFR 903.2. (24 CFR §903.23(b))

**B.2 New Activities.** If the PHA intends to undertake any new activities related to these elements in the current Fiscal Year, mark "yes" for those elements, and describe the activities to be undertaken in the space provided. If the PHA does not plan to undertake these activities, mark "no."

☐ **HOPE VI or Choice Neighborhoods.** **1)** A description of any housing (including project number (if known) and unit count) for which the PHA will apply for HOPE VI or Choice Neighborhoods; and **2)** A timetable for the submission of applications or proposals. The application and approval process for HOPE VI or Choice Neighborhoods is a separate process. See guidance on HUD's website at:

[https://www.hud.gov/program\\_offices/public\\_indian\\_housing/programs/ph/hope6](https://www.hud.gov/program_offices/public_indian_housing/programs/ph/hope6) . (Notice PIH 2011-47)

☐ **Mixed Finance Modernization or Development.** **1)** A description of any housing (including project number (if known) and unit count) for which the PHA will apply for Mixed Finance Modernization or Development; and **2)** A timetable for the submission of applications or proposals. The application and approval process for Mixed Finance Modernization or Development is a separate process. See guidance on HUD's website at:

[https://www.hud.gov/program\\_offices/public\\_indian\\_housing/programs/ph/hope6/mfph#4](https://www.hud.gov/program_offices/public_indian_housing/programs/ph/hope6/mfph#4)

☐ **Demolition and/or Disposition.** With respect to public housing only, describe any public housing development(s), or portion of a public housing development projects, owned by the PHA and subject to ACCs (including project number and unit numbers [or addresses]), and the number of affected units along with their sizes and accessibility features) for which the PHA will apply or is currently pending for demolition or disposition approval under section 18 of the 1937 Act (42 U.S.C. 1437p); and (2) A timetable for the demolition or disposition. This statement must be submitted to the extent that approved and/or pending demolition and/or disposition has changed as described in the PHA's last Annual and/or 5-Year PHA Plan submission. The application and approval process for demolition and/or disposition is a separate process. Approval of the PHA Plan does not constitute approval of these activities. See guidance on HUD's website at: [http://www.hud.gov/offices/pih/centers/sac/demo\\_dispo/index.cfm](http://www.hud.gov/offices/pih/centers/sac/demo_dispo/index.cfm). (24 CFR §903.7(h))

☐ **Designated Housing for Elderly and Disabled Families.** Describe any public housing projects owned, assisted or operated by the PHA (or portions thereof), in the upcoming fiscal year, that the PHA has continually operated as, has designated, or will apply for designation for occupancy by elderly and/or disabled families only. Include the following information: **1)** development name and number; **2)** designation type; **3)** application status; **4)** date the designation was approved, submitted, or planned for submission; **5)** the number of units affected and; **6)** expiration date of the designation of any HUD approved plan. **Note:** The application and approval process for such designations is separate from the PHA Plan process, and PHA Plan approval does not constitute HUD approval of any designation. (24 CFR §903.7(i)(C))

☐ **Conversion of Public Housing under the Voluntary or Mandatory Conversion programs.** Describe any public housing building(s) (including project number and unit count) owned by the PHA that the PHA is required to convert or plans to voluntarily convert to tenant-based assistance; 2) An analysis of the projects or buildings required to be converted; and 3) A statement of the amount of assistance received to be used for rental assistance or other housing assistance in connection with such conversion. See guidance on HUD's website at:

<http://www.hud.gov/offices/pih/centers/sac/conversion.cfm>. (24 CFR §903.7(j))

☐ **Conversion of Public Housing under the Rental Assistance Demonstration (RAD) program.** Describe any public housing building(s) (including project number and unit count) owned by the PHA that the PHA plans to voluntarily convert to Project-Based Rental Assistance or Project-Based Vouchers under RAD. See additional guidance on HUD's website at: [Notice PIH 2012-32 REV-3, successor RAD Implementation Notices, and other RAD notices](#).

☐ **Occupancy by Over-Income Families.** A PHA that owns or operates fewer than two hundred fifty (250) public housing units, may lease a unit in a public housing development to an over-income family (a family whose annual income exceeds the limit for a low income family at the time of initial occupancy), if all the following conditions are satisfied: (1) There are no eligible low income families on the PHA waiting list or applying for public housing assistance when the unit is leased to an over-income family; (2) The PHA has publicized availability of the unit for rental to eligible low income families, including publishing public notice of such availability in a newspaper of general circulation in the jurisdiction at least thirty days before offering the unit to an over-income family; (3) The over-income family rents the unit on a month-to-month basis for a rent that is not less than the PHA's cost to operate the unit; (4) The lease to the over-income family provides that the family agrees to vacate the unit when needed for rental to an eligible family; and (5) The PHA gives the over-income family at least thirty days notice to vacate the unit when the unit is needed for rental to an eligible family. The PHA may incorporate information on occupancy by over-income families into its PHA Plan statement of deconcentration and other policies that govern eligibility, selection, and admissions. See additional guidance on HUD's website at: [Notice PIH 2011-7](#). (24 CFR 960.503) (24 CFR 903.7(b))

☐ **Occupancy by Police Officers.** The PHA may allow police officers who would not otherwise be eligible for occupancy in public housing, to reside in a public housing dwelling unit. The PHA must include the number and location of the units to be occupied by police officers, and the terms and conditions of their tenancies; and a statement that such occupancy is needed to increase security for public housing residents. A "police officer" means a person determined by the PHA to be, during the period of residence of that person in public housing, employed on a full-time basis as a duly licensed professional police officer by a Federal, State or local government or by any agency of these governments. An officer of an accredited police force of a housing agency may qualify. The PHA may incorporate information on occupancy by police officers into its PHA Plan statement of deconcentration and other policies that govern eligibility, selection, and admissions. See additional guidance on HUD's website at: [Notice PIH 2011-7](#). (24 CFR 960.505) (24 CFR 903.7(b))

☐ **Non-Smoking Policies.** The PHA may implement non-smoking policies in its public housing program and incorporate this into its PHA Plan statement of operation and management and the rules and standards that will apply to its projects. See additional guidance on HUD's website at: [Notice PIH 2009-21 and Notice PIH-2017-03](#). (24 CFR §903.7(e))

☐ **Project-Based Vouchers.** Describe any plans to use Housing Choice Vouchers (HCVs) for new project-based vouchers, which must comply with PBV goals, civil rights requirements, Housing Quality Standards (HQS) and deconcentration standards, as stated in 983.57(b)(1) and set forth in the PHA Plan statement of deconcentration and other policies that govern eligibility, selection, and admissions. If using project-based vouchers, provide the projected number of project-based units and general locations, and describe how project-basing would be consistent with the PHA Plan (24 CFR §903.7(b)).

☐ **Units with Approved Vacancies for Modernization.** The PHA must include a statement related to units with approved vacancies that are undergoing modernization in accordance with [24 CFR §990.145\(a\)\(1\)](#).

☐ **Other Capital Grant Programs** (i.e., Capital Fund Community Facilities Grants or Emergency Safety and Security Grants).

For all activities that the PHA plans to undertake in the current Fiscal Year, provide a description of the activity in the space provided.

**B.3 Progress Report.** For all Annual Plans following submission of the first Annual Plan, a PHA must include a brief statement of the PHA's progress in meeting the mission and goals described in the 5-Year PHA Plan. (24 CFR §903.7(r)(1))

**B.4 Capital Improvements.** PHAs that receive funding from the Capital Fund Program (CFP) must complete this section (24 CFR §903.7(g)). To comply with this requirement, the PHA must reference the most recent HUD approved Capital Fund 5 Year Action Plan in EPIC and the date that it was approved. PHAs can reference the form by including the following language in the Capital Improvement section of the appropriate Annual or Streamlined PHA Plan Template: "See Capital Fund 5 Year Action Plan in EPIC approved by HUD on XX/XX/XXXX."

**B.5 Most Recent Fiscal Year Audit.** If the results of the most recent fiscal year audit for the PHA included any findings, mark "yes" and describe those findings in the space provided. (24 CFR §903.7(p))

## **C. Other Document and/or Certification Requirements.**

**C.1 Resident Advisory Board (RAB) comments.** If the RAB had comments on the annual plan, mark "yes," submit the comments as an attachment to the Plan and describe the analysis of the comments and the PHA's decision made on these recommendations. (24 CFR §903.13(c), 24 CFR §903.19)

**C.2 Certification by State or Local Officials.** Form HUD-50077-SL, *Certification by State or Local Officials of PHA Plans Consistency with the Consolidated Plan*, must be submitted by the PHA as an electronic attachment to the PHA Plan. (24 CFR §903.15). Note: A PHA may request to change its fiscal year to better coordinate its planning with planning done under the Consolidated Plan process by State or local officials as applicable.

**C.3 Civil Rights Certification/ Certification Listing Policies and Programs that the PHA has Revised since Submission of its Last Annual Plan.** Provide a certification that the following plan elements have been revised, provided to the RAB for comment before implementation, approved by the PHA board, and made available for review and inspection by the public. This requirement is satisfied by completing and submitting form HUD-50077 ST-HCV-HP, *PHA Certifications of Compliance with PHA Plan, Civil Rights, and Related Laws and Regulations Including PHA Plan Elements that Have Changed*. Form HUD-50077-ST-HCV-HP, *PHA Certifications of Compliance with PHA Plan, Civil Rights, and Related Laws and Regulations Including PHA Plan Elements that Have Changed* must be submitted by the PHA as an electronic attachment to the PHA Plan. This includes all certifications relating to Civil Rights and related regulations. A PHA will be considered in compliance with the certification requirement to affirmatively further fair housing if the PHA

fulfills the requirements of §§ 903.7(o)(1) and 903.15(d) and: (i) examines its programs or proposed programs; (ii) identifies any fair housing issues and contributing factors within those programs, in accordance with 24 CFR 5.154 or 24 CFR 5.160(a)(3) as applicable; (iii) specifies actions and strategies designed to address contributing factors, related fair housing issues, and goals in the applicable Assessment of Fair Housing consistent with 24 CFR 5.154 in a reasonable manner in view of the resources available; (iv) works with jurisdictions to implement any of the jurisdiction's initiatives to affirmatively further fair housing that require the PHA's involvement; (v) operates programs in a manner consistent with any applicable consolidated plan under 24 CFR part 91, and with any order or agreement, to comply with the authorities specified in paragraph (o)(1) of this section; (vi) complies with any contribution or consultation requirement with respect to any applicable AFH, in accordance with 24 CFR 5.150 through 5.180; (vii) maintains records reflecting these analyses, actions, and the results of these actions; and (viii) takes steps acceptable to HUD to remedy known fair housing or civil rights violations. impediments to fair housing choice within those programs; addresses those impediments in a reasonable fashion in view of the resources available; works with the local jurisdiction to implement any of the jurisdiction's initiatives to affirmatively further fair housing; and assures that the annual plan is consistent with any applicable Consolidated Plan for its jurisdiction. (24 CFR §903.7(o)).

**C.4 Challenged Elements.** If any element of the Annual PHA Plan or 5-Year PHA Plan is challenged, a PHA must include such information as an attachment to the Annual PHA Plan or 5-Year PHA Plan with a description of any challenges to Plan elements, the source of the challenge, and the PHA's response to the public.

**C.5 Troubled PHA.** If the PHA is designated troubled, and has a current MOA, improvement plan, or recovery plan in place, mark "yes," and describe that plan. Include dates in the description and most recent revisions of these documents as attachments. If the PHA is troubled, but does not have any of these items, mark "no." If the PHA is not troubled, mark "N/A." (24 CFR §903.9)

#### **D. Affirmatively Furthering Fair Housing (AFFH).**

**D.1 Affirmatively Furthering Fair Housing.** The PHA will use the answer blocks in item D.1 to provide a statement of its strategies and actions to implement each fair housing goal outlined in its accepted Assessment of Fair Housing (AFH) consistent with 24 CFR § 5.154(d)(5) that states, in relevant part: "To implement goals and priorities in an AFH, strategies and actions shall be included in program participants' ... PHA Plans (including any plans incorporated therein) .... Strategies and actions must affirmatively further fair housing ...." Use the chart provided to specify each fair housing goal from the PHA's AFH for which the PHA is the responsible program participant – whether the AFH was prepared solely by the PHA, jointly with one or more other PHAs, or in collaboration with a state or local jurisdiction – and specify the fair housing strategies and actions to be implemented by the PHA during the period covered by this PHA Plan. If there are more than three fair housing goals, add answer blocks as necessary.

Until such time as the PHA is required to submit an AFH, the PHA will not have to complete section D., nevertheless, the PHA will address its obligation to affirmatively further fair housing in part by fulfilling the requirements at 24 CFR 903.7(o)(3) enacted prior to August 17, 2015, which means that it examines its own programs or proposed programs; identifies any impediments to fair housing choice within those programs; addresses those impediments in a reasonable fashion in view of the resources available; works with local jurisdictions to implement any of the jurisdiction's initiatives to affirmatively further fair housing that require the PHA's involvement; and maintain records reflecting these analyses and actions. Furthermore, under Section 5A(d)(15) of the U.S. Housing Act of 1937, as amended, a PHA must submit a civil rights certification with its Annual PHA Plan, which is described at 24 CFR 903.7(o)(1) except for qualified PHAs who submit the Form HUD-50077-CR as a standalone document.

This information collection is authorized by Section 511 of the Quality Housing and Work Responsibility Act, which added a new section 5A to the U.S. Housing Act of 1937, as amended, which introduced the 5-Year and Annual PHA Plan.

Public reporting burden for this information collection is estimated to average 7.52 hours per response, including the time for reviewing instructions, searching existing data sources, gathering and maintaining the data needed, and completing and reviewing the collection of information. HUD may not collect this information, and respondents are not required to complete this form, unless it displays a currently valid OMB Control Number.

**Privacy Act Notice.** The United States Department of Housing and Urban Development is authorized to solicit the information requested in this form by virtue of Title 12, U.S. Code, Section 1701 et seq., and regulations promulgated thereunder at Title 12, Code of Federal Regulations. Responses to the collection of information are required to obtain a benefit or to retain a benefit. The information requested does not lend itself to confidentiality.

## FOR ACTION

**MOTION:** To **(1)** Approve Proposed Amendments to the Hawaii Public Housing Authority's (HPHA) Approved Annual Public Housing Agency (PHA) Plan for Fiscal Year 2022-2023 to Include the HPHA's Moving to Work (MTW) Supplement to the Annual PHA Plan; **(2)** Authorize the Executive Director to Hold Public Hearings on the MTW Supplement to the Annual PHA Plan for Fiscal Year 2022-2023; and **(3)** Undertake All Actions Necessary to Accept, Adopt, or Respond to Comments from the Public and the Resident Advisory Board

### I. FACTS

- A. The Annual Public Housing Agency (PHA) Plan is a requirement of the Quality Housing and Work Responsibility Act of 1998 (QHWRA) and the Housing and Economic Recovery Act (HERA) of 2008. All public housing agencies administering federal public housing and Section 8 tenant-based Housing Choice Voucher (HCV) assistance programs must submit their plans to the U.S. Department of Housing and Urban Development (HUD) to be eligible to receive administrative, operating, Capital Fund Program, and Section 8 HCV assistance monies.
- B. The Annual PHA Plan for Fiscal Year 2022-2023 states the mission of serving the needs of low-income and very low-income families, and sets out the goals, objectives, and policy changes of the HPHA for a one-year period.
- C. The Annual PHA Plan for Fiscal Year 2022-2023 was approved by HUD on May 4, 2022.
- D. Pursuant to the HPHA's rules and as stated in the Annual PHA Plan for Fiscal Year 2022-2023, a significant amendment to the Annual PHA Plan is considered 1) the addition or elimination of major strategies, policies, or programs that address housing needs; or 2) the modification of any strategy such that a substantial transfer of resources away from others is required in order to carry it out.
- E. Pursuant to 24 CFR 903.21, each significant amendment or modification to a plan submitted to HUD is subject to the requirements of 24 CFR sections 903.13, 903.15, and 903.17.



- F. On August 24, 2022, HUD approved the full execution of the MTW ACC Amendment which marked the HPHA's official entry date into the MTW Demonstration Program.
- G. As an official MTW expansion agency, the HPHA is required under the MTW Operations Notice (PIH 2021-03) to submit an MTW Supplement as a separate addendum to its PHA Plan on an annual basis.
- H. MTW expansion agencies use their MTW Supplements to report information on any and all MTW-related policies being implemented, communicate plans with resident and community stakeholders through public comment processes, and enable HUD to monitor and evaluate the MTW Demonstration Program.

## **II. DISCUSSION**

- A. The Annual PHA Plan for Fiscal Year 2022-2023 is being amended to add major programs through the addition of an MTW Supplement to the Annual PHA Plan (Form HUD-50075-MTW) ("MTW Supplement").
- B. The draft of the HPHA's Fiscal Year 2022-2023 MTW Supplement is provided in this packet for review. This draft MTW Supplement requests approval from HUD for three Landlord Incentive waivers; and one Agency-Specific waiver under the Section 8 Housing Choice Voucher Program.
  - 1. Front-end Vacancy Loss Payment (Cohort-Specific Waiver 4.2.). Under this activity, the HPHA would compensate a landlord for time that a unit was vacant where the previous tenant was not an HCV participant.
  - 2. Vacancy Loss Payment (MTW Waiver 4.a.). Under this activity, the HPHA would compensate a landlord for time that a unit was vacant between HCV participant tenants.
  - 3. Other Landlord Incentives (MTW Waiver 4.c.). Under this activity, the HPHA would provide an additional incentive payment to a landlord that leases a unit in a high-opportunity neighborhood and/or in areas where vouchers are difficult to use, all of which is to be defined in the Administrative Plan.
  - 4. Waiver of Mandatory Initial Inspection (Cohort-Specific Waiver 4.1.). Under this activity, the HPHA would eliminate or defer the initial inspection under certain circumstances (e.g., a unit is less than five years old; a unit passed HQS inspection within the

previous three years; or a unit that is located in a census tract with a poverty rate below 10 percent).

5. Alternative Accommodations Transfer Program (Agency-Specific). Under this activity, the HPHA would offer Housing Choice Vouchers to federal Low-Income Public Housing families on the transfer waitlist due to 1) Reasonable Accommodation, after 6 months; or 2) domestic violence, dating violence, sexual assault, and/or stalking (i.e., any transfer request based on occupancy rights under the Violence Against Women Act), on an immediate basis.
- C. The landlord incentive waivers were previously approved by the Board when HPHA applied for the MTW program.
- D. Per the MTW Operations Notice, HPHA was required to hold at least two public meetings to solicit feedback on its selected MTW waivers prior to requesting the Board to amend the PHA Plan. If an Agency-Specific Waiver is being requested, an additional meeting must be held. HPHA has held a series of internal and public meetings, including two public meetings to specifically discuss the agency-specific waiver.

| <u>Meeting</u>                       | <u>Date</u>       |
|--------------------------------------|-------------------|
| HPHA Branch Chiefs                   | June 28, 2022     |
| HPHA Section 8 Staff                 | June 29, 2022     |
| Resident Advisory Board              | August 9, 2022    |
| HPHA Public Housing Staff            | August 10, 2022   |
| Landlords and Realtors               | August 23, 2022   |
| Community Stakeholder and Nonprofits | August 25, 2022   |
| Section 8 Tenants                    | August 30, 2022   |
| Agency-Specific Waiver               | August 30, 2022   |
| Public Housing Residents             | September 7, 2022 |
| Agency-Specific Waiver               | September 7, 2022 |
- E. Comments from each meeting were considered and incorporated appropriately into the design and planned implementation of each MTW activity and initiative. Any pertinent feedback that was gathered during these preliminary meetings was incorporated into the draft MTW Supplement.
- F. Upon approval by the Board of Directors, the HPHA will publish the proposed MTW Supplement to the Annual Plan for public review and comment. The HPHA will schedule a public hearing, providing a 45-day review period.
- G. Meetings will continue to be held with the Resident Advisory Board (RAB) members and the HPHA staff to discuss the proposed amendments to the

PHA Annual Plan for Fiscal Year 2022-2023. The RAB will provide comments and recommendations, and the HPHA will respond to those recommendations.

H. The following schedule has been established

| <u>Action</u>                          | <u>Timeframe</u>   |
|----------------------------------------|--------------------|
| Board – “For Action”                   | September 15, 2022 |
| Publish Hearing Notice (45 Day Notice) | September 16, 2022 |
| Public Hearings                        | October 31, 2022   |
| Meet with RAB for Final Comments       | November 8, 2022   |
| Board – “For Action” (To Approve Plan) | November 17, 2022  |
| Transmit Approved PHA Plan to HUD      | November 18, 2022  |

I. Information regarding the draft MTW Supplement and the public hearing will be sent to all RAB members, Resident Associations, Asset Management Project (AMP) property offices, the Section 8 Office, and will be included in the October monthly rent billing statement mailed to all public housing households.

J. To notify the public of the hearings, notices will be published in the Honolulu Star-Advertiser, The Garden Isle (Kauai), The Maui News, West Hawaii Today (Kailua-Kona), and the Hawaii Tribune-Herald (Hilo) upon Board approval.

K. Upon approval of the Board, copies of the plan will be available and can be viewed by the public on the HPHA’s website at <http://www.hpha.hawaii.gov/housingplans/index.htm>, all AMP offices listed below, through the Resident Advisory Board, and the Section 8 office:

|                                                                                                |                                                                             |
|------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------|
| Hawaii Public Housing Authority<br>1002 North School Street, Bldg. E<br>Honolulu, Hawaii 96817 | HPHA Section 8 Office<br>1002 North School Street<br>Honolulu, Hawaii 96817 |
| Puuwai Momi<br>99-132 Kohomua Street<br>Aiea, Hawaii 96701                                     | Kalihi Valley Homes<br>2250 Kalena Drive<br>Honolulu, Hawaii 96819          |
| Mayor Wright Homes<br>521 N. Kukui Street<br>Honolulu, Hawaii 96817                            | Kalakaua Homes<br>1545 Kalakaua Ave.<br>Honolulu, Hawaii 96826              |
| Kalanihuia<br>1220 Aala Street<br>Honolulu, Hawaii 96817                                       | Lanakila Homes<br>600 Wailoa Street<br>Hilo, Hawaii 96720                   |

Kapaa  
4726 Malu Road  
Kapaa, Hawaii 96746

Kahekili Terrace  
2015 Holowai Place  
Wailuku, Hawaii 96793

Kuhio Homes  
1410 Ahonui Street  
Honolulu, Hawaii 96819

Ka Hale Kahaluu  
78-6725 Makolea Street  
Kailua-Kona, Hawaii 96740

Waimaha-Sunflower  
85-186 McArthur Street  
Waianae, Hawaii 96792

Koolau Village  
45-1027 Kamau Place  
Kaneohe, Hawaii 96744

Noelani II  
65-1191 Opelo Road  
Kamuela, Hawaii 96743

Kauhale Nani  
310 North Cane Street  
Wahiawa, Hawaii 96786

Palolo Valley Homes  
2129 Ahe Street  
Honolulu, Hawaii 96819

- L. Copies of the plan can also be requested from the HPHA by calling (808) 832-4696 or emailing a request to [hpha@hawaii.gov](mailto:hpha@hawaii.gov).
- M. The HPHA will consider, in consultation with the RAB, as applicable, all comments received at the public hearings. The comments and a narrative describing an analysis of any recommendations or decisions made based on recommendations will be included as an attachment to the final draft of the MTW Supplement, as required by the Operations Notice.
- N. The final draft of the MTW Supplement will be presented to the Board of Directors for review and approval to submit to HUD. After submission and while awaiting HUD final approval, the HPHA will begin the process of amending and drafting formal rules to implement the activities described in the MTW Supplement.
- O. The HPHA will only begin implementation of its planned MTW activities upon the receipt of written approval of the amended Fiscal Year 2022-2023 Annual Plan and the MTW Supplement from the HUD Honolulu Field Office and after all formal rules are amended and adopted.

### III. RECOMMENDATION

That the Board of Directors **(1)** Approve Proposed Amendments to the Hawaii Public Housing Authority's (HPHA) Approved Annual Public Housing Agency (PHA) Plan for Fiscal Year 2022-2023 to Include the HPHA's Moving to Work



(MTW) Supplement to the Annual PHA Plan; **(2)** Authorize the Executive Director to Hold Public Hearings on the MTW Supplement to the Annual PHA Plan for Fiscal Year 2022-2023; and **(3)** Undertake All Actions Necessary to Accept, Adopt, or Respond to Comments from the Public and the Resident Advisory Board

Attachment A: Form HUD-50075-MTW, MTW Supplement to the Annual PHA Plan

Prepared by: Sarah Beamer, MTW Coordinator SB

Approved by the Board of Directors  
on the date set forth above  
☒ As Presented [ ] As Amended



Robert J. Hall  
Chairperson

## Explanatory Note to Public Reviewers of the Proposed Moving to Work Supplement Fillable Form

The Moving to Work (MTW) Supplement collects information about policies implemented by MTW expansion agencies. MTW agencies use it to communicate their plans with residents and community stakeholders through required public comment processes, and HUD uses the information collected to monitor and evaluate the MTW demonstration program. MTW agencies will submit the MTW Supplement to HUD annually, and amend as needed. HUD plans to make the MTW Supplement into a fillable form so as to reduce respondent burden and make the information collected more useful to HUD. When the MTW Supplement is available through the fillable form, it will include skip patterns<sup>1</sup> that prompt the user to populate only the sections relevant to what they are currently implementing. It will also include screening questions that will ask which waivers and associated activities they are currently implementing, plan to implement in the upcoming year, or will be discontinued in the submission year. The MTW Agency will be able to print the information from the MTW Supplement in a reader-friendly format in order to inform the public of its plans for the upcoming year. The purposes of the MTW Supplement are two-fold: it reports to HUD what is happening at the local level in a way that the Department can monitor and evaluate; and, more importantly, it informs the public about what the agency is planning and gives the public the ability to provide comment.

The MTW Supplement asks for information about each of the MTW Waivers and associated activities that are made possible by the MTW Operations Notice, Safe Harbor Waivers and Agency-Specific Waivers, and a few other types of information. MTW agencies will fill in information/data through a fillable form and the information collected will be stored in a database so that it can be analyzed by HUD. The approved forms will be posted to the MTW website for viewing by the public. For instance, it will be simple to find out how many MTW agencies and which MTW agencies are implementing each type of activity. It will also simplify reporting for the MTW agency since information will carry over year-to-year in the fillable form so that information that does not change from year to year will be pre-populated, thereby reducing respondent burden.

This document lists the sections of the MTW Supplement and then presents the proposed questions to be included in the MTW Supplement for MTW agencies to answer annually. Throughout the online version, there will be a dropdown menu option that makes it clear as to which activities an agency is permitted to do within the safe harbors of the MTW Operations Notice, Appendix I, MTW Waivers.

### Sections of the MTW Supplement:

- A. PHA Information
- B. Narrative
- C. MTW Waivers and Associated MTW Activities
- D. Safe Harbor Waivers
- E. Agency-Specific Waivers
- F. Public Housing Operating Subsidy Grant Reporting
- G. MTW Statutory Requirements
- H. Public Comments
- I. Evaluations
- J. MTW Certifications of Compliance

### Information to be Collected for MTW Activities

There are many MTW activities, subject to limitations as outlined in the MTW Operations Notice, that an MTW agency may implement. Each MTW agency will likely only engage in a subset of these MTW activities. The MTW Supplement will first ask MTW agencies to identify which MTW activities they are proposing to implement and which of those MTW activities they are already implementing. MTW agencies will subsequently be asked to provide information only about the MTW activities they are proposing to implement or are already implementing. This feature will reduce respondent burden. MTW waivers have associated MTW activities. MTW agencies are also able to combine MTW activities into their own initiatives.

MTW agencies will be asked for specific information about each MTW activity they are proposing to implement or are already implementing. There are six types of questions that could be asked about each MTW activity. The exact mix of questions will depend partly upon the MTW activity and partly upon the requirements for that MTW activity listed in the MTW Operations Notice. The six types of questions are:

- (1) Core—questions applicable to most MTW activities
- (2) Custom—questions specific to an individual MTW activity
- (3) Safe Harbor Waiver—questions asked when the MTW activity requires a Safe Harbor Waiver
- (4) Hardship Policy—questions asked when the MTW Operations Notice requires a hardship policy for the MTW activity
- (5) Impact Analysis—questions asked when the MTW Operations Notice requires an impact analysis for the MTW activity
- (6) Agency-Specific Waiver—questions asked when the MTW activity requires an Agency-Specific Waiver

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<sup>1</sup> A skip pattern is a question or series of questions associated with a conditional response.

## Questions

The questions are presented below by type, beginning with the core questions. In the final online version of the MTW Supplement, the relevant questions from each type will be asked together in relation to each MTW activity the MTW agency is proposing to implement or is already implementing. The final online version of the MTW Supplement will be set up to allow for different versions of the same MTW activity—for instance, a different minimum rent for the non-elderly/non-disabled than for the elderly/disabled. The final online version of the MTW Supplement will also be able to autofill items with information from previous years. This feature will reduce respondent burden.

Table 1, at the end of this document, lists the MTW activities and indicates which types of questions need to be asked about each one.

|                                              |                                                                                                 |                                                  |
|----------------------------------------------|-------------------------------------------------------------------------------------------------|--------------------------------------------------|
| <b>MTW Supplement to the Annual PHA Plan</b> | <b>U.S. Department of Housing and Urban Development<br/>Office of Public and Indian Housing</b> | <b>OMB No. 2577-0226<br/>Expires: 03/31/2024</b> |
|----------------------------------------------|-------------------------------------------------------------------------------------------------|--------------------------------------------------|

**Purpose.** The Moving to Work (MTW) Supplement to the Annual PHA Plan informs HUD, families served by the PHA, and members of the public, about the MTW Waivers and associated activities that the MTW agency seeks to implement in the coming Fiscal Year and updates the status of MTW activities that have been previously approved. It also provides information about Safe Harbor Waivers, Agency-Specific Waivers, compliance with MTW statutory requirements, and evaluations. The MTW Supplement does not replace the PHA Plan. MTW agencies must continue to submit the applicable PHA Plan. MTW agencies that are not required to submit annual PHA Plans under the Housing and Economic Recovery Act of 2008 (HERA) must submit the MTW Supplement annually, in addition to holding public hearings, obtaining board approval, and consulting with Resident Advisory Boards (RABs) and tenant associations, as applicable, on planned MTW activities.

**Applicability.** Form HUD-50075-MTW is to be completed annually by all MTW agencies brought onto the MTW Demonstration Program pursuant to Section 239 of the Fiscal Year 2016 Appropriations Act, P.L. 114-113 (2016 MTW Expansion Statute) or legacy MTW agencies<sup>2</sup> that chose to follow the requirements of the MTW Operations Notice.

**Definitions.** All terms used in this MTW Supplement are consistent with the definitions stated in the MTW Operations Notice, including:

- (1) **Local, Non-Traditional Activities (LNT)** – Those MTW activities that use MTW funding flexibility outside of the Housing Choice Voucher (HCV) and public housing programs established in Sections 8 and 9 of the U.S. Housing Act of 1937.
- (2) **Safe Harbors** – The additional parameters or requirements, beyond those specified in the MTW activity description itself found in the MTW Operations Notice, following each activity description, that the MTW agency must follow in implementing MTW activities.
- (3) **Substantially the Same Requirement** – A statutory MTW requirement that MTW agencies must continue to assist substantially the same total number of eligible low-income families as would have been served absent the MTW demonstration.

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| <b>A.</b>  | <b>PHA Information.</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| <b>A.1</b> | <b>PHA Name:</b> <u>Hawaii Public Housing Authority</u><br><b>PHA Code:</b> <u>HI001</u><br><b>MTW Supplement for PHA Fiscal Year Beginning:</b> (MM/DD/YYYY): <u>07/01/2022</u><br><b>PHA Program Type:</b> <input type="checkbox"/> Public Housing (PH) only <input type="checkbox"/> Housing Choice Voucher (HCV) only <input checked="" type="checkbox"/> Combined<br><b>MTW Cohort Number:</b> <u>3</u><br><b>MTW Supplement Submission Type:</b> <input type="checkbox"/> Annual Submission <input checked="" type="checkbox"/> Amended Annual Submission                                                                                                                                                                                                                                                                                  |
| <b>B.</b>  | <b>Narrative.</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
| <b>B.1</b> | <b>MTW Supplement Narrative.</b><br><br>The narrative provides the MTW agency with an opportunity to explain to the public, including the families that it serves, its MTW plans for the fiscal year and its short and long-term goals.<br><br>The MTW agency should provide a description of how it seeks to further the three MTW statutory objectives during the coming Fiscal Year. Those three MTW statutory objectives are: (1) to reduce cost and achieve greater cost effectiveness in federal expenditures; (2) to give incentives to families with children whose heads of household are either working, seeking work, or are participating in job training, educational or other programs that assist in obtaining employment and becoming economically self-sufficient; and (3) to increase housing choices for low-income families. |

<sup>2</sup> Legacy MTW Agencies are agencies that were designated as MTW as of December 15, 2015

| C.             | MTW Waivers and Associated Activities.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
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|                | <p><b>NOTE: MTW agencies are reminded that all MTW Waivers and associated activities must be implemented in accordance with the MTW Operations Notice and within its safe harbors unless a Safe Harbor or Agency-Specific Waiver approval is provided by HUD, in which case, the activity utilizing the Safe Harbor or Agency-Specific Waiver must be implemented in accordance with the terms of the approval.</b></p>                                                                                                                                                                                                                                                                                   |
| Screener       | <p>For all MTW Waivers and Activities in Section C, the screening question listed below will be presented in the fillable form. This will allow the form to only display those waivers that input where is required.</p> <p>Each waiver and activity will be listed with the following choices. If “Not Currently Implemented” is selected, the agency will not be shown any further questions for the activity.</p> <ul style="list-style-type: none"> <li>• Currently Implementing</li> <li>• Plan to Implement in the Submission Year</li> <li>• Will be Discontinued in the Submission Year</li> <li>• Was Discontinued in a previous Submission Year</li> <li>• Not Currently Implemented</li> </ul> |
| Core Questions | <p>The following core questions apply to all of the MTW Waivers and associated activities listed in the MTW Operations Notice. The core questions collect basic information about any MTW activity proposed or implemented by MTW agencies.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                           |

| Text                                                                                                                                                                            | Input options and instructions                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
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| <p><b>Narrative.</b> Describe the MTW activity, the MTW agency’s goal(s) for the MTW activity, and, if applicable, how the MTW activity contributes to a larger initiative.</p> | <p>The Hawaii Public Housing Authority’s (HPHA) vision for the Moving to Work (MTW) designation is to become a more proactive, innovative agency that identifies, develops, and implements housing policies that address local needs; increases self-sufficiency outcomes for participants; provides greater mobility and access to housing options; and promotes efficiency and efficacy throughout service delivery and operations.</p> <p>MTW participation will allow HPHA to better adapt to change and develop local solutions to address unmet housing needs, economic self-sufficiency, and program cost effectiveness. The HPHA is proposing six new MTW activities. These new initiatives will allow HPHA to provide landlord incentives, waive initial unit inspections, enable victims of domestic violence and disabled families to find units in the voucher program, and engage in housing development programs.</p> <p>The HPHA plans to implement four landlord incentive programs that will encourage landlord involvement through monetary and efficiency incentives. Increased landlord participation and retention will improve the overall cost effectiveness of the HCV program.</p> <ul style="list-style-type: none"> <li>• Front-End Vacancy Loss payments: This activity would allow the HPHA to provide financial incentives to landlords to cover the cost of an unoccupied unit where the landlord has a history of renting to an HCV participant, but the unit was not previously occupied by an HCV tenant. Eligible landlords would receive a financial incentive equal to one month’s rent if a vacancy occurred between tenants. The HPHA believes this incentive could encourage former landlords to return to the HCV program, increase housing options, and decrease average participant search times.</li> <li>• Vacancy Loss Payments: This activity would allow the</li> </ul> |

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|                                                                                                             | <p>HPHA to provide financial incentives to a landlord for their continued participation in the program. Eligible landlords would receive a financial incentive equal to one month's rent for the time that a unit was vacant between HCV tenants. The HPHA believes this incentive could improve the agency's ability to incentivize landlords to remain in the HCV program, increase housing options, and decrease average participant search times.</p> <ul style="list-style-type: none"> <li>• Other Landlord Incentives: This activity would allow HPHA to provide financial incentives to recruit new landlords to join the HCV program (i.e., "signing bonuses"). The HPHA would provide an incentive payment equal to one month's rent for new landlords who leased properties in "high opportunity areas" or in "areas located where vouchers are difficult to use". The HPHA will initially define these terms broadly, but eligibility criteria may evolve based on testing results. The HPHA believes this incentive could improve the agency's ability to recruit landlords to the HCV program, increase housing options, and decrease average participant search times.</li> <li>• Waiver of Mandatory Initial Inspections: This activity would allow HPHA to eliminate the requirement of initial inspections and decrease the time it takes to lease-up families into new units. The HPHA would waive initial inspections for units that 1) were less than five years old, 2) had recently passed an HQS or equivalent inspection within the previous three years, or 3) were located in a census tract with a poverty rate below ten percent provided the landlord certified that their unit is free from any life-threatening deficiencies. The HPHA believe this incentive could shorten the time it takes a participant to move into a unit, improve landlord recruitment to the HCV program, increase housing options, and decrease average participant search times.</li> </ul> <p>The HPHA is seeking an Agency-Specific Waiver to implement an accommodation transfer program that will increase housing choice solutions for at-risk public housing families.</p> <ul style="list-style-type: none"> <li>• This proposed activity would enable public housing families to receive housing choice vouchers or project-based vouchers when 1) they previously received an approved reasonable accommodation request to transfer units due to a disability, and they were not placed within six months; or 2) they received an approved VAWA transfer request. The HPHA has found that its current inventory of public housing units does not meet the array of housing needs of its tenants. The HPHA believes that this activity will support disabled families and domestic violence victims by meeting their physical or safety needs, reduce the average wait time to transfer these families to suitable units, and increase housing options.</li> </ul> |
| <p><b>MTW Statutory Objectives.</b> Which of the MTW statutory objectives does this MTW activity serve?</p> | <p>(Check at least one)</p> <p>Cost effectiveness</p> <p>Self-sufficiency</p> <p>Housing choice X</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |

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| <p><b>Cost implications.</b> What are the cost implications of this MTW activity? Pick the best description of the cost implications based on what you know today.</p>                                 | <p>(Check at least one)</p> <p>Neutral (no cost implications)</p> <p>Increased revenue</p> <p>Decreased revenue</p> <p>Increased expenditures X</p> <p>Decreased expenditures</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| <p><b>Different policy by household status/family types/sites?</b> Does the MTW activity under this waiver apply to all assisted households or only to a subset or subsets of assisted households?</p> | <p>The MTW activity applies to all assisted households</p> <p>The MTW activity applies only to a subset or subsets of assisted households</p> <ul style="list-style-type: none"> <li>• Landlord Incentives: All new admission or current Section 8 households;</li> <li>• Agency-Specific waiver: Current public housing families who are disabled with an approved reasonable accommodation to move to a unit that meets their needs, or for families with an approved transfer due to VAWA.</li> </ul> <p><i>If the agency selects “The MTW activity applies only to a subset or subsets of assisted households” then the agency will receive the following three questions:</i></p> |
| <p><b>Household Status.</b> Does the MTW activity apply only to new admissions, only to currently assisted households, or to both new admissions and currently assisted households?</p>                | <p>(Check one)</p> <p>New admissions (i.e., applicants) only</p> <p>Currently assisted households only</p> <p>New admissions and currently assisted households</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |



| Text                                                                                                                                                                                                                                                                                                                                                                                                                             | Input options and instructions                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
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| <p><b>Family Types.</b> Does the MTW activity apply to all family types or only to selected family types?</p>                                                                                                                                                                                                                                                                                                                    | <p>The MTW activity applies to all family types<br/> <b>The MTW activity applies only to selected family types</b><br/> <i>If the agency selects “The MTW activity applies to all family types” it does not get any further questions about family types. If the agency selects “The MTW activity applies only to selected family types” it is presented the following question and options:</i></p> <p>Please select the family types subject to this MTW activity:<br/> Non-elderly, non-disabled families<br/> Elderly families<br/> Disabled families (to the extent those families are not exempt via a reasonable accommodation)<br/> <b>Other – another specifically defined target population or populations.</b> Please describe this target population in the text box.<br/> Landlord incentives shall apply to all family types.<br/> <b>The agency-specific waiver shall apply to public housing families who are disabled with an approved reasonable accommodation to move to a unit that meets their needs, or for families with an approved transfer due to VAWA.</b></p> |
| <p><b>Location.</b> Depending on if responses are being provided for a public housing (PH) or HCV activity, the agency will either see questions applicable to PH or HCV.</p> <p><b>For PH activities:</b><br/> Does the MTW activity apply to all public housing developments?</p> <p><b>For HCV activities:</b><br/> Does the MTW activity apply to all HCV tenant-based units and properties with project-based vouchers?</p> | <p><b>For PH activities:</b><br/> <b>The MTW activity applies to all developments</b><br/> The MTW activity applies to specific developments<br/> <i>If the agency selects “The MTW activity applies to specific developments” then it is presented the follow up question:</i></p> <p>Which developments participate in the MTW activity? [agencies choose the applicable development number(s) from a list of their public housing developments]</p> <p><b>For HCV activities:</b><br/> <b>The MTW activity applies to all tenant-based units</b><br/> The MTW activity applies to all properties with project-based vouchers<br/> The MTW activity applies to specific tenant-based units and/or properties with project-based vouchers<br/> <i>If the agency selects “The MTW activity applies to specific tenant-based units and/or properties with project-based vouchers” then it is presented the follow up question:</i></p> <p>Please describe which tenant-based units and/or properties with project-based vouchers participate in the MTW activity. [Text box]</p>           |
| <p>Does the MTW agency need a Safe Harbor Waiver to implement this MTW activity as described?</p>                                                                                                                                                                                                                                                                                                                                | <p>Yes/<b>No</b> [If Yes]:<br/> What is the status of the Safe Harbor Waiver request?<br/> The waiver request is being submitted for review with this submission of the MTW Supplement (see Section D).<br/> The waiver was previously approved. [If checked]: Please describe the extent to which the Safe Harbor Waiver is supporting the MTW agency’s goal in implementing this MTW activity. [Text box]</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| <p>Does this MTW activity require a hardship policy?</p>                                                                                                                                                                                                                                                                                                                                                                         | <p><b>Yes</b>/No/Already provided – Agency-Specific Waiver<br/> [If Yes]: Upload Hardship Policy<br/> [If No, skip below Hardship Policy questions]<br/> [If Already provided, the agency has already provided the Hardship Policy under another activity and indicated that the policy is also applicable to this activity.]</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |

Does the hardship policy apply to more than this MTW activity?  
If yes, then please list all of the applicable MTW activities. (Only  
upload hardship policy once when said policy applies to multiple  
MTW activities.)

Yes/**No** – Agency-Specific Waiver  
[If yes, a list will be presented to select the applicable MTW  
activities]

| Text                                                                                                                                                                                                                           | Input options and instructions                                                                                                                                                                                                                                                                                                                   |
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| Has the MTW agency modified the hardship policy since the last submission of the MTW Supplement?                                                                                                                               | Yes/No [If Yes, then a further question pops up.]: What considerations led the MTW agency to modify the hardship policy? [Text box]                                                                                                                                                                                                              |
| How many hardship requests have been received associated with this activity in the most recently completed PHA fiscal year?                                                                                                    | <input type="text"/> 0 [Numerical entry only] [if number > 0, further questions pop up]:<br><input type="text"/> 0How many hardship requests were approved? [Numerical entry only]<br><input type="text"/> 0How many hardship requests were denied? [Numerical entry only]<br><input type="text"/> 0How many are pending? [numerical entry only] |
| Does the MTW activity require an impact analysis?                                                                                                                                                                              | Yes/No/Already provided<br>[If Yes]: Upload Impact Analysis<br>[If No, skip the below Impact Analysis questions]<br>[If Already provided, the agency has already provided the impact analysis under another activity and indicated that the policy is also applicable to this activity.]                                                         |
| Does the impact analysis apply to more than this MTW activity? If yes, then please list all of the applicable MTW activities. (Only upload impact analysis once when said impact analysis applies to multiple MTW activities.) | Yes/No Applicable for Agency-Specific Waiver only<br>[If yes, a list will be presented to select the applicable MTW activities]                                                                                                                                                                                                                  |
| Based on the Fiscal Year goals listed in the activity's previous Fiscal Year's narrative, provide a description about what has been accomplished or changed during the implementation.                                         | HPHA is a new MTW Agency and has no prior year MTW goals or activities.                                                                                                                                                                                                                                                                          |
| Please provide an explanation as to why the activity was discontinued or will be discontinued.                                                                                                                                 | [Will only apply if "Will be Discontinued in the Submission Year" or "Was Discontinued in a previous Submission Year" is selected in the screener.]<br>[Text box] Not Applicable                                                                                                                                                                 |

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| <b>Custom Questions</b> | Custom questions are tailored to each MTW activity. In what follows, the MTW activities are listed with their custom questions. The final online version of the MTW Supplement will be set up so that if an MTW activity is the same in the HCV and/or public housing programs, the MTW agency fills in the information for public housing, then the information is auto populated for the HCV program. MTW agencies are asked to fill in answers only to questions that are relevant to the MTW activities they propose to implement or are already implementing. |
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| <b>C.1</b> | <b>Tenant Rent Policies – N/A</b> |
|------------|-----------------------------------|

| 1.a., 1.b. – Tiered Rent (PH & HCV)                                     | Input options and instructions                                                                                                                                                                                                                                                                                                                                                                                                                                   |
|-------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Please describe how the income bands are structured.                    | [Text box]                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| Please upload the tiered rent policy table that shows the income bands. | [Upload document]                                                                                                                                                                                                                                                                                                                                                                                                                                                |
| What is the income basis for assigning households to income bands?      | This activity uses adjusted annual income as defined in 24 CFR 5.611 (as required for non-MTW PHAs)<br>This activity uses a different definition of income because we are using the following MTW waivers (check all that apply)<br><input type="checkbox"/> 1.r. and/or 1.s. "elimination of deductions"<br><input type="checkbox"/> 1.t. and/or 1.u. "standard deductions"<br><input type="checkbox"/> 1.v. and/or 1.w "alternative inclusions and exclusions" |

| 1.c., 1.d. – Stepped Rent (PH & HCV)                                                                                                                                                                                                                           | Input options and instructions                                    |
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| Describe how the stepped rent is structured, including the following: how each household's rent will be set in the first year; how frequently rents will change and by what amount; and how the stepped rent will end (i.e., what is the maximum rent). Please | Description [Text box]<br>Stepped rent schedule [Upload document] |

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| <b>1.c., 1.d. – Stepped Rent (PH &amp; HCV)</b>                                                                                                                                                                                                                         | <b>Input options and instructions</b>                                                                                                                                                                                                                                                                                                                                                 |
| upload a document that presents the stepped rent schedule in the form of a table.                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                                                                                                                       |
| If a household progresses all the way through the stepped rent schedule, what will their status be?                                                                                                                                                                     | They will no longer receive a subsidy<br>They will continue to receive a shallow subsidy<br>Other\Not Applicable. [If checked]: Please explain [Text box]                                                                                                                                                                                                                             |
| <b>1.e., 1.f. – Minimum Rent (PH &amp; HCV)</b>                                                                                                                                                                                                                         | <b>Input options and instructions</b>                                                                                                                                                                                                                                                                                                                                                 |
| How much is the minimum rent or minimum Total Tenant Payment (TTP)?                                                                                                                                                                                                     | \$ _____<br>[Note: If the MTW agency indicates they have a minimum rent that applies only to particular subgroups, as determined by responses to core questions, the question gets asked for each subgroup.]                                                                                                                                                                          |
| <b>1.g., 1.h. – Tenant Payment as a Modified Percentage of Income (PH &amp; HCV)</b>                                                                                                                                                                                    | <b>Input options and instructions</b>                                                                                                                                                                                                                                                                                                                                                 |
| What percentage of income will equal the Total Tenant Payment (TTP)?                                                                                                                                                                                                    | _____ %                                                                                                                                                                                                                                                                                                                                                                               |
| What is the income basis for calculating Total Tenant Payment?                                                                                                                                                                                                          | This activity uses adjusted annual income as defined in 24 CFR 5.611 (as required for non-MTW PHAs)<br>This activity uses a different definition of income because we are using the following MTW waivers (check all that apply)<br>1.r. and/or 1.s. “elimination of deductions”<br>1.t. and/or 1.u. “standard deductions”<br>1.v. and/or 1.w “alternative inclusions and exclusions” |
| <b>1.i., 1.j. – Alternative Utility Allowance (PH &amp; HCV)</b>                                                                                                                                                                                                        | <b>Input options and instructions</b>                                                                                                                                                                                                                                                                                                                                                 |
| Please describe the alternative method of calculating the utility allowances. Please explain how the method of calculating utility allowances is different from the standard method and what objective the MTW agency aims to achieve by using this alternative method. | [Text box]                                                                                                                                                                                                                                                                                                                                                                            |
| <b>1.k., 1.l. – Fixed Rents/Subsidy (PH &amp; HCV)</b>                                                                                                                                                                                                                  | <b>Input options and instructions</b>                                                                                                                                                                                                                                                                                                                                                 |
| Describe the method used to establish the fixed rents.                                                                                                                                                                                                                  | [Text box]                                                                                                                                                                                                                                                                                                                                                                            |
| How many households are currently subject to this policy?                                                                                                                                                                                                               | [Text box]                                                                                                                                                                                                                                                                                                                                                                            |

Table 1.k.1, 1.l.1 – What is the fixed rent/subsidy for each of the following unit sizes?

| Unit Size             | Rent Amount – PH | Subsidy Amount – HCV |
|-----------------------|------------------|----------------------|
| Studio/Efficiency     | \$ _____         | \$ _____             |
| One-bedroom           | \$ _____         | \$ _____             |
| Two-bedroom           | \$ _____         | \$ _____             |
| Three-bedroom         | \$ _____         | \$ _____             |
| Four or more bedrooms | \$ _____         | \$ _____             |

|                                                                                                                                                     |                                                                        |
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| <b>1.m., 1.n. – Utility Reimbursements (PH &amp; HCV)</b>                                                                                           | [No custom questions for this activity.]                               |
| <b>1.o. – Initial Rent Burden (HCV)</b>                                                                                                             | <b>Input options and instructions</b>                                  |
| If the MTW agency plans to implement a new maximum income-based rent percentage (higher than 40% of adjusted monthly income), what is that maximum? | _____ %                                                                |
| <b>1.p., 1.q. – Imputed Income (PH &amp; HCV)</b>                                                                                                   | <b>Input options and instructions</b>                                  |
| Does the imputed income policy assume a set number of hours worked per individual or per household?                                                 | (Check one)      Per individual      Per household                     |
| How many hours per week are assumed?                                                                                                                | [Number entries between 0 and 15 or 0 and 30, as appropriate, allowed] |
| What is the assumed wage rate?                                                                                                                      | [Must be a number less than or equal to the federal minimum wage]      |

|                                                                             |                                                                                                         |
|-----------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------|
| <b>1.p., 1.q. – Imputed Income (PH &amp; HCV)</b>                           | <b>Input options and instructions</b>                                                                   |
| How many households are currently subject to this policy?                   | _____ [number]                                                                                          |
| <b>1.r., 1.s. – Elimination of Deduction(s) (PH &amp; HCV)</b>              | <b>Input options and instructions</b>                                                                   |
| Which deduction(s) will be eliminated, modified, or added?                  | (Check all that apply)<br>Dependent allowance<br>Unreimbursed childcare costs<br>Other (please explain) |
| <b>1.t., 1.u. – Standard Deductions (PH &amp; HCV)</b>                      | <b>Input options and instructions</b>                                                                   |
| How much will the single standard deduction be in the Fiscal Year?          | \$ _____                                                                                                |
| <b>1.v., 1.w. – Alternative Income Inclusions/Exclusions (PH &amp; HCV)</b> | <b>Input options and instructions</b>                                                                   |
| What inclusions or exclusions will be eliminated, modified, or added?       | [Text Box]                                                                                              |

|                                                                                                                                      |                                                        |
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| <b>C.2</b>                                                                                                                           | <b>Payment Standards and Rent Reasonableness – N/A</b> |
| <b>2.a. – Payment Standards – Small Area Fair Market Rents (FMR) (HCV)</b>                                                           | <b>Input options and instructions</b>                  |
| Please explain the payment standards by ZIP code or “grouped” ZIP codes.                                                             | [Text box]                                             |
| <b>2.b. – Payment Standards – Fair Market Rents (HCV)</b>                                                                            | <b>Input options and instructions</b>                  |
| Please explain the payment standards by FMR.                                                                                         | [Text box]                                             |
| <b>2.c. – Rent Reasonableness – Process (HCV)</b>                                                                                    |                                                        |
| Describe the method used to determine rent reasonableness and the motivations for using a method different from the standard method. | [Text box]                                             |
| <b>2.d. – Rent Reasonableness – Third-Party Requirement (HCV)</b>                                                                    | <b>Input options and instructions</b>                  |
| Please explain or upload a description of the quality assurance method.                                                              | [Text box] and [Upload file] options                   |
| Please explain or upload a description of the rent reasonableness determination method.                                              | [Text box] and [Upload file] options                   |

|                                                                                                                                                     |                                                                                                                  |
|-----------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------|
| <b>C.3</b>                                                                                                                                          | <b>Reexaminations – N/A</b>                                                                                      |
| <b>3.a., 3.b. – Alternative Reexamination Schedule for Households (PH &amp; HCV)</b>                                                                | <b>Input options and instructions</b>                                                                            |
| What is the recertification schedule?                                                                                                               | (Check one)<br>Once every two years<br>Once every three years<br>Other [If checked]: Please describe. [Text box] |
| How many interim recertifications per year may a household request?                                                                                 | 0<br>1<br>2 or more                                                                                              |
| Please describe briefly how the MTW agency plans to address changes in family/household circumstances under the alternative reexamination schedule. | [Text box]                                                                                                       |
| <b>3.c., 3.d. – Self-Certification of Assets (PH &amp; HCV)</b>                                                                                     | <b>Input options and instructions</b>                                                                            |
| Please state the dollar threshold for the self-certification of assets.                                                                             | \$ _____                                                                                                         |

|                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>C.4</b>                                                                                                                                                                                                                     | <b>Landlord Leasing Incentives</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| <b>4.a., 4.b., 4.c. – Vacancy Loss, Damage Claims, and Other Landlord Incentives (HCV)</b>                                                                                                                                     | <b>Input options and instructions</b><br>(The same custom questions are asked for each of these activities.)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| Does this policy apply to certain types of units or to all units all HCV units or only certain types of units (for example, accessible units, units in a low-poverty neighborhood, or units/landlords new to the HCV program)? | <p>To all units [No follow-up questions]</p> <p><b>Certain types of units only</b> [if checked, there are follow up questions]:</p> <p>What types of units does this policy apply to?</p> <p>Accessible units</p> <p><b>Units in particular types of areas or neighborhoods</b> [if checked]: Please describe these areas briefly: [Text box]</p> <p><b>4.c Bonus payments will be provided for landlords renting a unit for the first time in high opportunity neighborhoods or areas where vouchers are difficult to use.</b></p> <p><b>Units/landlords new to the HCV program –</b></p> <p>4.c bonus payments will be eligible for new HCV landlords/units.</p> <p><b>Other</b> [if checked]: Please describe briefly [Text box]</p> <p><b>4.a. Shall apply to landlords whose unit was vacated by an HCV participant and experienced a vacancy period while leasing to a new HCV participant.</b></p> <p><b>4.1 Waiver of Mandatory Inspections shall apply to all units that meet one of the three eligibility requirements: 1) unit is less than 5 years old, 2) unit recently passed an HQS or equivalent inspection, or 3) unit is located in a census tract with a poverty rate that is below ten percent.</b></p> <p><b>4.2 Front-End Vacancy Loss Payments shall be eligible one time for all units that have rented to an HCV participant, but the most recent renter was not an HCV participant.</b></p> |
| What is the maximum payment that can be made to a landlord under this policy?                                                                                                                                                  | [Text box]All incentive payments will equal one month of rent                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| How many payments were issued under this policy in the most recently completed PHA fiscal year?                                                                                                                                | 0 [number of payments]                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
| What is the total dollar value of payments issued under this policy in the most recently completed PHA fiscal year?                                                                                                            | \$0 _____                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| <b>C.5</b>                                                                                                                                                                                                                     | <b>Housing Quality Standards (HQS) – N/A</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| <b>5.a. – Pre-Qualifying Unit Inspections (HCV)</b>                                                                                                                                                                            | <b>Input options and instructions</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| How long is the pre-inspection valid for?                                                                                                                                                                                      | ____ [number of days]                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| <b>5.b. – Reasonable Penalty Payments for Landlords (HCV)</b>                                                                                                                                                                  | <b>Input options and instructions</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| What is the maximum penalty payment that can be made to a landlord under this policy?                                                                                                                                          | [Text box]                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| How many penalty payments were charged under this policy in the most recently completed PHA fiscal year?                                                                                                                       | ____ [number]                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| <b>5.c. – Third-Party Requirement (HCV)</b>                                                                                                                                                                                    | <b>Input options and instructions</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| Please explain or upload a description of the quality assurance method.                                                                                                                                                        | [Text box] and [Upload file] options                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| <b>5.d. – Alternative Inspection Schedule (HCV)</b>                                                                                                                                                                            | [No custom questions for this activity.]                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| <b>C.6</b>                                                                                                                                                                                                                     | <b>Short-Term Assistance – N/A</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |

| 6.a., 6.b. – Short-Term Assistance (PH & HCV)                                                                                                                                       | Input options and instructions     |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------|
| What is the term of assistance?                                                                                                                                                     | ____[number of months]             |
| How is the tenant contribution established for this program?                                                                                                                        | [Text box]                         |
| How many households do you expect to serve in this program in the Fiscal Year?                                                                                                      | ____[Numerical entry only allowed] |
| How do you fulfill the obligation to offer participants in this program the opportunity to transition to the HCV or public housing (as applicable) program subject to availability? | [Text box]                         |
| Please list any partner organizations and briefly note the services that each provides.                                                                                             | [Text box]                         |

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|------------|--------------------------------------|
| <b>C.7</b> | <b>Term-Limited Assistance – N/A</b> |
|------------|--------------------------------------|

| <b>7.a., 7.b. – Term-Limited Assistance (PH &amp; HCV)</b>                                                                                       | <b>Input options and instructions</b>                                        |
|--------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------|
| Does the term-limited assistance MTW activity exempt any type of household or individual other than the elderly or individuals with disabilities | Yes/No [If Yes]: Please describe the conditions for exemption.<br>[text box] |
| Please describe how the MTW agency supports households to prepare for the end of assistance.                                                     | [Text box]                                                                   |
| How many households are currently subject to this policy?                                                                                        | _____ [number]                                                               |

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|------------|-----------------------------------|
| <b>C.8</b> | <b>Increase Elderly Age – N/A</b> |
|------------|-----------------------------------|

| <b>8. – Increase Elderly Age (PH &amp; HCV)</b> | <b>Input options and instructions</b>                    |
|-------------------------------------------------|----------------------------------------------------------|
| What is the new definition of elderly?          | ____ Years old [Numerical entry allowed between 62 – 65] |

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|------------|----------------------------------------------------------------|
| <b>C.9</b> | <b>Project-Based Voucher Program Flexibilities (PBV) – N/A</b> |
|------------|----------------------------------------------------------------|

| <b>9.a. – Increase PBV Program Cap (HCV)</b>                                         | <b>Input options and instructions</b> |
|--------------------------------------------------------------------------------------|---------------------------------------|
| What percentage of total authorized HCV units will be authorized for project-basing? | _____ %                               |

|                                              |                                          |
|----------------------------------------------|------------------------------------------|
| <b>9.b. – Increase PBV Project Cap (HCV)</b> | [No custom questions for this activity.] |
|----------------------------------------------|------------------------------------------|

|                                                                                                                                  |                                          |
|----------------------------------------------------------------------------------------------------------------------------------|------------------------------------------|
| <b>9.c. – Elimination of PBV Selection Process for PHA-owned Projects without Improvement, Development, or Replacement (HCV)</b> | [No custom questions for this activity.] |
|----------------------------------------------------------------------------------------------------------------------------------|------------------------------------------|

|                                                       |                                          |
|-------------------------------------------------------|------------------------------------------|
| <b>9.d. – Alternative PBV Selection Process (HCV)</b> | [No custom questions for this activity.] |
|-------------------------------------------------------|------------------------------------------|

| <b>9.e. – Alternative PBV Unit Types (Shared Housing and Manufactured Housing) (HCV)</b>                      | <b>Input options and instructions</b> |
|---------------------------------------------------------------------------------------------------------------|---------------------------------------|
| How many shared housing units does the MTW agency anticipate assisting in the Fiscal Year?                    | _____ Units                           |
| How many shared housing units did the MTW agency assist in the most recently completed PHA Fiscal Year?       | _____ Units                           |
| How many manufactured housing units does the MTW agency anticipate assisting in the Fiscal Year?              | _____ Units                           |
| How many manufactured housing units did the MTW agency assist in the most recently completed PHA Fiscal Year? | _____ Units                           |

|                                                                                   |                                          |
|-----------------------------------------------------------------------------------|------------------------------------------|
| <b>9.f. – Increase PBV Housing Assistance Payment (HAP) Contract Length (HCV)</b> | [No custom questions for this activity.] |
|-----------------------------------------------------------------------------------|------------------------------------------|

|                                                |                                          |
|------------------------------------------------|------------------------------------------|
| <b>9.g. – Increase PBV Rent to Owner (HCV)</b> | [No custom questions for this activity.] |
|------------------------------------------------|------------------------------------------|

|                                                     |                                          |
|-----------------------------------------------------|------------------------------------------|
| <b>9.h. – Limit Portability for PBV Units (HCV)</b> | [No custom questions for this activity.] |
|-----------------------------------------------------|------------------------------------------|

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| <b>C.10</b> | <b>Family Self-Sufficiency Program with MTW Flexibility (Traditional) – N/A</b> |
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|                                                                      |                                          |
|----------------------------------------------------------------------|------------------------------------------|
| <b>10.a. – Waive Operating a Required FSS Program (PH &amp; HCV)</b> | [No custom questions for this activity.] |
|----------------------------------------------------------------------|------------------------------------------|



| <b>10.b. – Alternative Structure for Establishing Program Coordinating Committee (PH &amp; HCV)</b>                                                                                | <b>Input options and instructions</b>    |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------|
| Please describe the alternative structure and how it is designed to secure local resources to support an MTW Self-Sufficiency program.                                             | [Text box]                               |
| <b>10.c. – Alternative Family Selection Procedures (PH &amp; HCV)</b>                                                                                                              | <b>Input options and instructions</b>    |
| Please describe the purpose and goals of the alternative contract or locally developed agreement, and/or the MTW agency's motivation for developing its own contract or agreement. | [Text box]                               |
| <b>10.d. – Modify or Eliminate the Contract of Participation (PH &amp; HCV)</b>                                                                                                    | [No custom questions for this activity.] |
| <b>10.e. – Policies for Addressing Increases in Family Income (PH &amp; HCV)</b>                                                                                                   | <b>Input options and instructions</b>    |
| How will the MTW agency treat increased earnings for families participating in the FSS Program with MTW flexibility?                                                               | [Text box]                               |

|             |                                           |
|-------------|-------------------------------------------|
| <b>C.11</b> | <b>MTW Self-Sufficiency Program – N/A</b> |
|-------------|-------------------------------------------|

| <b>11.a. – Alternative Family Selection Procedures (PH &amp; HCV)</b>                                         | <b>Input options and instructions</b>                                                                                                        |
|---------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------|
| Will the MTW agency's MTW Self-Sufficiency policy make the program mandatory for anyone?                      | Yes/No [If Yes]: Please describe the population group for whom participation in the MTW Self-Sufficiency program is mandatory.<br>[Text box] |
| <b>11.b. – Policies for Addressing Increases in Family Income (PH &amp; HCV)</b>                              | <b>Input options and instructions</b>                                                                                                        |
| What is the policy for the increased earnings for families participating in the MTW Self-Sufficiency program? | [Text box]                                                                                                                                   |

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|-------------|-------------------------------|
| <b>C.12</b> | <b>Work Requirement – N/A</b> |
|-------------|-------------------------------|

| <b>12.a., 12.b. – Work Requirement (PH &amp; HCV)</b>                                                                                                                                                         | <b>Input options and instructions</b>                                        |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------|
| Does the work requirement MTW activity exempt any type of household or individual other than those required to be excluded through the MTW Operations Notice or those excluded as a reasonable accommodation? | Yes/No [If Yes]: Please describe the conditions for exemption.<br>[Text box] |
| What counts as "work" under this the work requirement MTW activity?                                                                                                                                           | [Text box]                                                                   |
| How will the MTW agency monitor compliance with the work requirement MTW activity?                                                                                                                            | [Text box]                                                                   |
| What supportive services are offered to support households to comply with the work requirement?                                                                                                               | [Text box]                                                                   |
| How does the agency address noncompliance with the work requirement policy?                                                                                                                                   | [Text box]                                                                   |
| How many households are currently subject to the policy?                                                                                                                                                      | _____ [number]                                                               |
| How many households in the most recently completed PHA fiscal year were sanctioned for non-compliance with the work requirement?                                                                              | _____ [number]                                                               |

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|-------------|-------------------------------------------------------------------|
| <b>C.13</b> | <b>Public Housing as an Incentive for Economic Progress – N/A</b> |
|-------------|-------------------------------------------------------------------|

|                                                                                |                                       |
|--------------------------------------------------------------------------------|---------------------------------------|
| <b>13. – Public Housing as an Incentive for Economic Progress (PH)</b>         | <b>Input options and instructions</b> |
| How many months will households be able to remain in a unit while over income? | _____ [number]                        |

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| <b>C.14</b> | <b>Moving On Policy – N/A</b> |
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|---------------------------------------------------------------|------------------------------------------|
| <b>14.a. – Waive Initial HQS Inspection Requirement (HCV)</b> | [No custom questions for this activity.] |
|---------------------------------------------------------------|------------------------------------------|

|                                                                             |                                          |
|-----------------------------------------------------------------------------|------------------------------------------|
| <b>14.b. – Allow Income Calculations from Partner Agencies (PH and HCV)</b> | [No custom questions for this activity.] |
|-----------------------------------------------------------------------------|------------------------------------------|

|                                                                                                   |                                          |
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| <b>14.c. – Aligning Tenant Rents and Utility Payments Between Partner Agencies (PH &amp; HCV)</b> | [No custom questions for this activity.] |
|---------------------------------------------------------------------------------------------------|------------------------------------------|

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|-------------|-----------------------------------------------------|
| <b>C.15</b> | <b>Acquisition without Prior HUD Approval – N/A</b> |
|-------------|-----------------------------------------------------|

|                                                          |                                          |
|----------------------------------------------------------|------------------------------------------|
| <b>15. – Acquisition without Prior HUD Approval (PH)</b> | [No custom questions for this activity.] |
|----------------------------------------------------------|------------------------------------------|

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|-------------|------------------------------------------------------------------|
| <b>C.16</b> | <b>Deconcentration of Poverty in Public Housing Policy – N/A</b> |
|-------------|------------------------------------------------------------------|

|                                                                |                                          |
|----------------------------------------------------------------|------------------------------------------|
| <b>16. – Deconcentration of Poverty in Public Housing (PH)</b> | [No custom questions for this activity.] |
|----------------------------------------------------------------|------------------------------------------|

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|-------------|------------------------------------------------|
| <b>C.17</b> | <b>Local, Non-Traditional (LNT) Activities</b> |
|-------------|------------------------------------------------|

|                                                          |                                                                                                                                                                                                                                                                                                                                                      |
|----------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>17.a. – Rental Subsidy Programs</b>                   | <b>Input options and instructions</b>                                                                                                                                                                                                                                                                                                                |
| Does the MTW activity apply to all LNT units/properties? | <p>The MTW activity applies to all units/properties<br/> The MTW activity applies to specific units/properties<br/> <i>If the agency selects “The MTW activity applies to specific LNT units/properties” then it is presented the follow up question:</i></p> <p>Describe which LNT units/properties participate in the MTW activity? [Text box]</p> |

**Table 17.a.1 – For each third-party partner, please complete the information in the following table.**

| Third-party Partner | Type of Services the Partner Provides | # of Units Allocated to that Partner for the Fiscal Year |
|---------------------|---------------------------------------|----------------------------------------------------------|
|                     |                                       |                                                          |
|                     |                                       |                                                          |
|                     |                                       |                                                          |
|                     |                                       |                                                          |
|                     |                                       |                                                          |

|                                                                                                                           |                                       |
|---------------------------------------------------------------------------------------------------------------------------|---------------------------------------|
| <b>17.b. – Service Provision</b>                                                                                          | <b>Input options and instructions</b> |
| What types of services is the MTW agency providing?                                                                       | [Text box]                            |
| How many households did the PHA provide services to in the most recently completed PHA Fiscal Year through this activity? | _____ [number]                        |

| 17.b. – Service Provision                                                                                     | Input options and instructions                                                                                                                                                                                                                                                                                                                       |
|---------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Does the MTW activity apply to all LNT units/properties?                                                      | <p>The MTW activity applies to all units/properties<br/> The MTW activity applies to specific units/properties<br/> <i>If the agency selects “The MTW activity applies to specific LNT units/properties” then it is presented the follow up question:</i></p> <p>Describe which LNT units/properties participate in the MTW activity? [Text box]</p> |
| Are any families receiving services only (i.e., services only and no housing assistance provided by the PHA)? | <p>Yes/No [If yes, answer question below.]<br/> ____# of persons receiving LNT services only in the most recently completed PHA fiscal year.</p>                                                                                                                                                                                                     |

**17.c. – Housing Development Programs**

For each LNT housing development that the MTW agency will commit funds to or spend funds on in this Fiscal Year, in Table 17.c.1 below please add the name of the development to one column heading and then provide the requested information, including the MTW agency role (Acquisition, Rehabilitation, or New Construction), the type of MTW agency financing (Gap Financing, Tax Credit Partnership, Other), and the total number of affordable units in the development. If possible, please provide a breakdown of the number of affordable units by level of affordability.

**Table 17.c.1 – Housing Development Programs that the MTW Agency plans to commit Funds to in Fiscal Year [autofill upcoming year]**

| Question                                                                   | [add name of development and address] | [add name of development and address] | [add name of development and address] | [add name of development and address] |
|----------------------------------------------------------------------------|---------------------------------------|---------------------------------------|---------------------------------------|---------------------------------------|
| MTW Role: Acquisition, Rehabilitation, New Construction?                   |                                       |                                       |                                       |                                       |
| Type of MTW Agency Financing: Gap Financing, Tax Credit Partnership, Other |                                       |                                       |                                       |                                       |
| Number of Affordable Units                                                 |                                       |                                       |                                       |                                       |
| Total Number of Units                                                      |                                       |                                       |                                       |                                       |
| Number of Units by Affordability                                           |                                       |                                       |                                       |                                       |
| • 80% of AMI                                                               |                                       |                                       |                                       |                                       |
| • 60% of AMI                                                               |                                       |                                       |                                       |                                       |
| • 30% of AMI                                                               |                                       |                                       |                                       |                                       |
| • Other                                                                    |                                       |                                       |                                       |                                       |

**Housing Development Programs that the MTW Agency plans to spend funds on in the Fiscal Year [autofill upcoming year]**

| Question                                                                   | [add name of development and address] | [add name of development and address] | [add name of development and address] | [add name of development and address] |
|----------------------------------------------------------------------------|---------------------------------------|---------------------------------------|---------------------------------------|---------------------------------------|
| MTW Role: Acquisition, Rehabilitation, New Construction?                   |                                       |                                       |                                       |                                       |
| Type of MTW Agency Financing: Gap Financing, Tax Credit Partnership, Other |                                       |                                       |                                       |                                       |
| Number of Affordable Units                                                 |                                       |                                       |                                       |                                       |
| Total Number of Units                                                      |                                       |                                       |                                       |                                       |
| Number of Units by Affordability                                           |                                       |                                       |                                       |                                       |
| • 80% of AMI                                                               |                                       |                                       |                                       |                                       |
| • 60% of AMI                                                               |                                       |                                       |                                       |                                       |
| • 30% of AMI                                                               |                                       |                                       |                                       |                                       |
| • Other                                                                    |                                       |                                       |                                       |                                       |

For each LNT housing development that the MTW agency committed funds to or spent funds on in the most recently completed Fiscal Year, please add the name of the development to one column in Table 17.c.2 below heading and then provide the requested information, including the MTW agency role (Acquisition, Rehabilitation, or New Construction), the type of MTW agency financing (Gap Financing, Tax Credit Partnership, Other), and the total number of affordable units in the development. If possible, please provide a breakdown of the number of affordable units by level of affordability.

**Table 17.c.2 – Housing Development Programs that the MTW Agency committed funds to in prior Fiscal Year [autofill previous year]**

| Question                                                                   | [add name of development and address] | [add name of development and address] | [add name of development and address] | [add name of development and address] |
|----------------------------------------------------------------------------|---------------------------------------|---------------------------------------|---------------------------------------|---------------------------------------|
| MTW Role: Acquisition, Rehabilitation, New Construction?                   |                                       |                                       |                                       |                                       |
| Type of MTW Agency Financing: Gap Financing, Tax Credit Partnership, Other |                                       |                                       |                                       |                                       |
| Number of Affordable Units                                                 |                                       |                                       |                                       |                                       |
| Total Number of Units                                                      |                                       |                                       |                                       |                                       |
| Number of Units by Affordability                                           |                                       |                                       |                                       |                                       |
| • 80% of AMI                                                               |                                       |                                       |                                       |                                       |
| • 60% of AMI                                                               |                                       |                                       |                                       |                                       |
| • 30% of AMI                                                               |                                       |                                       |                                       |                                       |
| • Other                                                                    |                                       |                                       |                                       |                                       |

**Housing Development Programs that the MTW Agency spent funds on in prior Fiscal Year [autofill previous year]**

| Question                                                                   | [add name of development and address] | [add name of development and address] | [add name of development and address] | [add name of development and address] |
|----------------------------------------------------------------------------|---------------------------------------|---------------------------------------|---------------------------------------|---------------------------------------|
| MTW Role: Acquisition, Rehabilitation, New Construction?                   |                                       |                                       |                                       |                                       |
| Type of MTW Agency Financing: Gap Financing, Tax Credit Partnership, Other |                                       |                                       |                                       |                                       |
| Number of Affordable Units                                                 |                                       |                                       |                                       |                                       |
| Total Number of Units                                                      |                                       |                                       |                                       |                                       |
| Number of Units by Affordability                                           |                                       |                                       |                                       |                                       |
| • 80% of AMI                                                               |                                       |                                       |                                       |                                       |
| • 60% of AMI                                                               |                                       |                                       |                                       |                                       |
| • 30% of AMI                                                               |                                       |                                       |                                       |                                       |
| • Other                                                                    |                                       |                                       |                                       |                                       |

|            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
|------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>D.</b>  | <b>Safe Harbor Waivers.</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| <b>D.1</b> | <p><b>Safe Harbor Waivers seeking HUD Approval:</b></p> <p>The MTW Operations Notice describes a simplified process for MTW agencies to implement MTW activities outside of the safe harbors described in Appendix I. For each Safe Harbor Waiver request, a document that includes the following information must be provided: (a) the name and number of the MTW Waiver and associated activity for which the MTW agency is seeking to expand the safe harbor, (b) the specific safe harbor and its implementing regulation, (c) the proposed MTW activity the MTW agency wishes to implement via this Safe Harbor Waiver, (d) a description of the local issue and why such an expansion is needed to implement the MTW activity, (e) an impact analysis, (f) a description of the hardship policy for the MTW activity, if applicable, and (g) a copy of all comments received at the public hearing along with the MTW agency's description of how the comments were considered, as a required attachment to the MTW Supplement.</p> <p>Will the MTW agency submit request for approval of a Safe Harbor Waiver this year?</p> <p><b>No</b></p> <p>Yes [If yes, upload required information in a-g above for each Safe Harbor Waiver request]</p>                                                                                                                                                                                                                                                                        |
| <b>E.</b>  | <b>Agency-Specific Waivers.</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| <b>E.1</b> | <p><b>Agency-Specific Waivers for HUD Approval:</b></p> <p>The MTW demonstration program is intended to foster innovation and HUD encourages MTW agencies, in consultation with their residents and stakeholders, to be creative in their approach to solving affordable housing issues facing their local communities. For this reason, flexibilities beyond those provided for in Appendix I may be needed. Agency-Specific Waivers may be requested if an MTW agency wishes to implement additional activities, or waive a statutory and/or regulatory requirement not included in Appendix I.</p> <p>In order to pursue an Agency-Specific Waiver, an MTW agency must include an Agency-Specific Waiver request, an impact analysis, and a hardship policy (as applicable), and respond to all of the mandatory core questions as applicable.</p> <p>For each Agency-Specific Waiver(s) request, please upload supporting documentation, that includes: a) a full description of the activity, including what the agency is proposing to waive (i.e., statute, regulation, and/or Operations Notice), b) how the initiative achieves one or more of the 3 MTW statutory objectives, c) a description of which population groups and household types that will be impacted by this activity, d) any cost implications associated with the activity, e) an implementation timeline for the initiative, f) an impact analysis, g) a description of the hardship policy for the initiative, and h) a copy of all comments</p> |

|            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
|------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|            | <p>received at the public hearing along with the MTW agency's description of how the comments were considered, as a required attachment to the MTW Supplement.</p> <p>Will the MTW agency submit a request for approval of an Agency-Specific Waiver this year?</p> <p>No [If no, skip to E.2]<br/> <b>Yes</b> [If yes, please provide a title and upload required information in a-h above for each Agency-Specific Waiver request]</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| <b>E.2</b> | <p><b>Agency-Specific Waiver(s) for which HUD Approval has been Received: - N/A</b><br/>         For each previously approved Agency-Specific Waiver(s), a set of questions will populate.</p> <p>Does the MTW agency have any approved Agency-Specific Waivers?</p> <p>Yes [If yes, then the following questions will pop up for each Agency-Specific Waiver approved in Section E.1 in a previous submission; the titles will be prepopulated]<br/>         [Yes/No/Discontinued] Has there been a change in how the waiver is being implemented from when it was originally approved?<br/>         [If Yes]: If there has been a change, please provide a description of what has changed.<br/>         [If Discontinued]: 1) If this waiver has been discontinued, please provide a description of the final outcomes and lessons learned from implementing this Activity at your PHA. 2) If the MTW Agency was previously required to prepare an impact analysis, was a final impact analysis prepared at the time of discontinuation.</p> <p>___No [If no, question set concludes]</p> |

|            |                                                                                                                                                                                                  |
|------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>F.</b>  | <b>Public Housing Operating Subsidy Grant Reporting.</b>                                                                                                                                         |
| <b>F.1</b> | Please provide the public housing Operating Subsidy grant information in the table below for Operating Subsidy grants appropriated in each Federal Fiscal Year the PHA is designated an MTW PHA. |

| Federal Fiscal Year (FFY) | Total Operating Subsidy Authorized Amount | How Much PHA Disbursed by the 9/30 Reporting Period | Remaining Not Yet Disbursed | Deadline  |
|---------------------------|-------------------------------------------|-----------------------------------------------------|-----------------------------|-----------|
| 2021                      | \$ 29,585,170                             | \$ 29,585,170                                       | \$                          | 9/30/2029 |
| 2022                      | \$ 27,406,287                             | \$ 21,406,287                                       | \$ 5,962,561                | 9/30/2030 |
| 2023                      | \$NA                                      | \$NA                                                | \$NA                        | 9/30/2031 |
|                           |                                           |                                                     |                             |           |
|                           |                                           |                                                     |                             |           |

|            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
|------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>G.</b>  | <b>MTW Statutory Requirements. – N/A - No LNT families housed</b>                                                                                                                                                                                                                                                                                                                                                                                                  |
| <b>G.1</b> | <p><b>75% Very Low Income – Local, Non-Traditional.</b></p> <p>HUD will verify compliance with the statutory requirement that at least 75% of the households assisted by the MTW agency are very low-income for MTW public housing units and MTW HCVs through HUD systems. The MTW PHA must provide data for the actual families housed upon admission during the PHA's most recently completed Fiscal Year for its Local, Non-Traditional program households.</p> |

| Income Level                                   | Number of Local, Non-Traditional Households Admitted in the Fiscal Year* |
|------------------------------------------------|--------------------------------------------------------------------------|
| 80%-50% Area Median Income                     | 0#                                                                       |
| 49%-30% Area Median Income                     | #0                                                                       |
| Below 30% Area Median Income                   | #0                                                                       |
| <b>Total Local, Non-Traditional Households</b> | <b>#0</b>                                                                |

\*Local, non-traditional income data must be provided in the MTW Supplement form until such time that it can be submitted in IMS-PIC or other HUD system.

|            |                                             |
|------------|---------------------------------------------|
| <b>G.2</b> | <b>Establishing Reasonable Rent Policy.</b> |
|------------|---------------------------------------------|

| Question                                                                                          | Input options and instructions                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
|---------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Has the MTW agency established a rent reform policy to encourage employment and self-sufficiency? | <p><b>Yes/No [If Yes]:</b> please describe the MTW agency's plans for its future rent reform activity and the implementation timeline. [Text box]</p> <p>The HPHA uses a variety of factors to analyze adjustments to voucher payment standards in order to respond effectively to the local housing market. The HPHA employs seven Small Area Fair Market Rent (SAFMR) payment standard tiers across the Island of Oahu that currently range from 97% to 120% of the Fair Market Rent (FMR). The HPHA annually reevaluates the FMRs in each zip code to determine how high or low to set each payment tier, per the allowable range permitted by HUD, and to determine if it is reasonable and necessary to create additional payment tiers.</p> <p>As the local rental market rates continue to rise, HPHA believes increased support for voucher holders in the private market is needed. The HPHA is planning to increase payment standards for all tier levels. The HPHA may adopt hold harmless policies to alleviate an increased burden on families impacted by lower FMRs. The HPHA may adopt MTW SAFMR payment standard waivers to allow a greater range of payment standard flexibilities. The HPHA may also adopt a local process to determine rent reasonableness that differs from the currently mandated program requirements.</p> <p>The HPHA is considering alternative reexamination schedules for both its Public Housing and HCV programs.</p> <p>The HPHA's ongoing policies enable families to move to higher-income/higher-opportunity areas, provide greater employment opportunities, and promote self-sufficiency. The Agency's intended reexamination schedule changes will continue the agency's progress towards accomplishing these goals.</p> |

|            |                                                                    |
|------------|--------------------------------------------------------------------|
| <b>G.3</b> | <b>Substantially the Same (STS) – Local, Non-Traditional. - NA</b> |
|------------|--------------------------------------------------------------------|

| Questions                                                                                                                                                          | Input options and instructions |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------|
| Please provide the total number of unit months that families were housed in a local, non-traditional rental subsidy for the prior full calendar year.              | ___0# of unit months           |
| Please provide the total number of unit months that families were housed in a local, non-traditional housing development program for the prior full calendar year. | 0___# of unit months           |

How many units, developed under the local, non-traditional housing development activity, were available for occupancy during the prior full calendar year (by bedroom size)?

Please include only those units that serve households **at or below 80% of AMI** in the table provided. 0

| PROPERTY NAME/ADDRESS | 0/1 BR | 2 BR | 3 BR | 4 BR | 5 BR | 6+ BR | TOTAL UNITS | POPULATION TYPE* | # of Section 504 Accessible (Mobility)** | # of Section 504 Accessible (Hearing/Vision) | Was this Property Made Available for Initial Occupancy during the Prior Full Calendar Year? | What was the Total Amount of MTW Funds Invested into the Property? |
|-----------------------|--------|------|------|------|------|-------|-------------|------------------|------------------------------------------|----------------------------------------------|---------------------------------------------------------------------------------------------|--------------------------------------------------------------------|
| Name/Address          | #      | #    | #    | #    | #    | #     | #           | Type (below)     | #                                        | #                                            | Y/N                                                                                         | \$                                                                 |
| Name/Address          | #      | #    | #    | #    | #    | #     | #           | Type (below)     | #                                        | #                                            | Y/N                                                                                         | \$                                                                 |
| Name/Address          | #      | #    | #    | #    | #    | #     | #           | Type (below)     | #                                        | #                                            | Y/N                                                                                         | \$                                                                 |
| <b>Totals</b>         | #0     | #0   | #0   | #0   | #0   | #0    | #0          |                  | #0                                       | #0                                           |                                                                                             |                                                                    |

\* User will select one of the following from the “Population Type” dropdown box: General, Elderly, Disabled, Elderly/Disabled, Other

If the “Population Type” of is Other is selected, please state the Property Name/Address and describe the population type. [Text box]

\*\* The federal accessibility standard under HUD’s Section 504 regulation is the Uniform Federal Accessibility Standards (UFAS) for purposes of Section 504 compliance. HUD recipients may alternatively use the 2010 ADA Standards for Accessible Design under Title II of the ADA, except for certain specific identified provisions, as detailed in HUD’s Notice on “Instructions for use of alternative accessibility standard,” published in the Federal Register on May 23, 2014 (“Deeming Notice”) for purposes of Section 504 compliance, <https://www.govinfo.gov/content/pkg/FR-2014-05-23/pdf/2014-11844.pdf>. This would also include adaptable units as defined by HUD’s Section 504 regulation (See 24 CFR § 8.3 and § 8.22).



**G.4 Comparable Mix (by Family Size) – Local, Non-Traditional. - NA**

In order to demonstrate that the MTW statutory requirement of “maintaining a comparable mix of families (by family size) are served, as would have been provided had the amounts not been used under the demonstration” is being achieved, the MTW agency will provide information for its most recently completed Fiscal Year in the following table.

Local, non-traditional family size data must be provided in the MTW Supplement form until such time that it can be submitted in IMS-PIC or other HUD system.

| Family Size:  | Occupied Number of Local, Non-Traditional units by Household Size |
|---------------|-------------------------------------------------------------------|
| 1 Person      | 0#                                                                |
| 2 Person      | #0                                                                |
| 3 Person      | #0                                                                |
| 4 Person      | #0                                                                |
| 5 Person      | #0                                                                |
| 6+ Person     | #0                                                                |
| <b>Totals</b> | <b>#0</b>                                                         |

**G.5 Housing Quality Standards.**

Certification is included in MTW Certifications of Compliance for HCV and local, non-traditional program. The public housing program is monitored through physical inspections performed by the Real Estate Assessment Center (REAC).

**H. Public Comments.**

| H.1                                                                                                                            | Input options and instructions |
|--------------------------------------------------------------------------------------------------------------------------------|--------------------------------|
| Please provide copy of all comments received by the public, Resident Advisory Board, and tenant associations.                  | Upload Attachment              |
| Please attach a narrative describing the MTW agency’s analysis of the comments and any decisions made based on these comments. | Upload Attachment              |
| If applicable, was an additional public hearing held for an Agency-Specific Waiver and/or Safe Harbor waiver?                  | Yes<br>No<br>N/A               |
| If yes, please attach the comments received along with the MTW agency’s description of how comments were considered.           | Upload Attachment              |

**I. Evaluations.**

**I.1** Please list any ongoing and completed evaluations of the MTW agency’s MTW policies, that the PHA is aware of, including the information requested in the table below. In the box “title and short description,” please write the title of the evaluation and a brief description of the focus of the evaluation.

| Question                                          | Input options and instructions                    |
|---------------------------------------------------|---------------------------------------------------|
| Does the PHA have an agency-sponsored evaluation? | Yes/No [If Yes]: Please complete the table below. |

**Table I.1 - Evaluations of MTW Policies**

| Title and short description | Evaluator name and contact information | Time period | Reports available |
|-----------------------------|----------------------------------------|-------------|-------------------|
|                             |                                        |             |                   |
|                             |                                        |             |                   |
|                             |                                        |             |                   |

|            |                                                                                                                                                                    |
|------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>J</b>   | <b>MTW Certifications of Compliance.</b>                                                                                                                           |
| <b>J.1</b> | The MTW agency must execute the MTW Certifications of Compliance form and submit as part of the MTW Supplement submission to HUD. Certification is provided below. |

**MTW CERTIFICATIONS OF COMPLIANCE****U.S. DEPARTMENT OF HOUSING AND URBAN DEVELOPMENT  
OFFICE OF PUBLIC AND INDIAN HOUSING****Certifications of Compliance with Regulations:  
Board Resolution to Accompany the MTW Supplement to the Annual PHA Plan**

Acting on behalf of the Board of Commissioners of the Moving to Work Public Housing Agency (MTW PHA) listed below, as its Chairperson or other authorized MTW PHA official if there is no Board of Commissioners, I approve the submission of the MTW Supplement to the Annual PHA Plan for the MTW PHA Fiscal Year beginning (01/07/2022), hereinafter referred to as "the MTW Supplement", of which this document is a part and make the following certifications and agreements with the Department of Housing and Urban Development (HUD) in connection with the submission of the MTW Supplement and implementation thereof:

- (1) The PHA made the proposed MTW Supplement and all information relevant to the public hearing available for public inspection at least 45 days before the hearing, published a notice that a hearing would be held and conducted a hearing to discuss the MTW Supplement and invited public comment.
- (2) The MTW PHA took into consideration public and resident comments (including those of its Resident Advisory Board(s) or tenant associations, as applicable) before approval of the MTW Supplement by the Board of Commissioners or Board of Directors in order to incorporate any public comments into the annual MTW Supplement.
- (3) The MTW PHA certifies that the Board of Directors has reviewed and approved the budget for the Capital Fund Program grants contained in the Capital Fund Program Annual Statement/Performance and Evaluation Report, form HUD-50075.1 (or successor form as required by HUD).
- (4) The MTW PHA will carry out the MTW Supplement in conformity with Title VI of the Civil Rights Act of 1964 (42 U.S.C. 2000d-2000d-4), the Fair Housing Act (42 U.S.C. 3601-19), section 504 of the Rehabilitation Act of 1973 (29 U.S.C. 794), and title II of the Americans with Disabilities Act of 1990 (42 U.S.C. 12101 et seq.) all regulations implementing these authorities; and other applicable Federal, State, and local civil rights laws.
- (5) The MTW Supplement is consistent with the applicable comprehensive housing affordability strategy (or any plan incorporating such strategy) for the jurisdiction in which the PHA is located.
- (6) The MTW Supplement contains a certification by the appropriate state or local officials that the Plan is consistent with the applicable Consolidated Plan, which includes a certification that requires the preparation of an Analysis of Impediments to Fair Housing Choice, for the MTW PHA's jurisdiction and a description of the manner in which the MTW Supplement is consistent with the applicable Consolidated Plan.
- (7) The MTW PHA will affirmatively further fair housing, which means that it will: (i) take meaningful actions to further the goals identified by the Assessment of Fair Housing (AFH) conducted in accordance with the requirements of 24 CFR 5.150-5.180 and 903.15; (ii) take no action that is materially inconsistent with its obligation to affirmatively further fair housing; and (iii) address fair housing issues and contributing factors in its programs, in accordance with 24 CFR 903.7(o)(3) and 903.15(d). Note: Until the PHA is required to submit an AFH, and that AFH has been accepted by HUD, the PHA must follow the certification requirements of 24 CFR 903.7(o) in effect prior to August 17, 2015. Under these requirements, the PHA will be considered in compliance with the certification requirements of 24 CFR 903.7(o)(1)-(3) and 903.15(d) if it: (i) examines its programs or proposed programs; (ii) identifies any impediments to fair housing choice within those programs; (iii) addresses those impediments in a reasonable fashion in view of the resources available; (iv) works with local jurisdictions to implement any of the jurisdiction's initiatives to affirmatively further fair housing that require the PHA's involvement; and (v) maintains records reflecting these analyses and actions.
- (8) The MTW PHA will comply with the prohibitions against discrimination on the basis of age pursuant to the Age Discrimination Act of 1975 and HUD's implementing regulations at 24 C.F.R. Part 146.
- (9) In accordance with 24 CFR 5.105(a)(2), HUD's Equal Access Rule, the MTW PHA will not make a determination of eligibility for housing based on sexual orientation, gender identify, or marital status and will make no inquiries concerning the gender identification or sexual orientation of an applicant for or occupant of HUD-assisted housing.
- (10) The MTW PHA will comply with the Architectural Barriers Act of 1968 and 24 CFR Part 41, Policies and Procedures for the Enforcement of Standards and Requirements for Accessibility by the Physically Handicapped.
- (11) The MTW PHA will comply with the requirements of section 3 of the Housing and Urban Development Act of 1968, Employment Opportunities for Low- or Very-Low Income Persons, and with its implementing regulation at 24 CFR Part 135.
- (12) The MTW PHA will comply with requirements with regard to a drug free workplace required by 24 CFR Part 24, Subpart F.
- (13) The MTW PHA will comply with requirements with regard to compliance with restrictions on lobbying required by 24 CFR Part 87, together with disclosure forms if required by this Part, and with restrictions on payments to influence Federal Transactions, in accordance with the Byrd Amendment.
- (14) The MTW PHA will comply with acquisition and relocation requirements of the Uniform Relocation Assistance and Real Property Acquisition Policies Act of 1970 and implementing regulations at 49 CFR Part 24 as applicable.

- (15) The MTW PHA will take appropriate affirmative action to award contracts to minority and women's business enterprises under 24 CFR 5.105(a).
- (16) The MTW PHA will provide HUD or the responsible entity any documentation needed to carry out its review under the National Environmental Policy Act and other related authorities in accordance with 24 CFR Part 58. Regardless of who acts as the responsible entity, the MTW PHA will maintain documentation that verifies compliance with environmental requirements pursuant to 24 Part 58 and 24 CFR Part 50 and will make this documentation available to HUD upon its request.
- (17) With respect to public housing and applicable local, non-traditional development the MTW PHA will comply with Davis-Bacon or HUD determined wage rate requirements under section 12 of the United States Housing Act of 1937 and the Contract Work Hours and Safety Standards Act.
- (18) The MTW PHA will keep records in accordance with 2 CFR 200.333-200.337 and facilitate an effective audit to determine compliance with program requirements.
- (19) The MTW PHA will comply with the Lead-Based Paint Poisoning Prevention Act and 24 CFR Part 35.
- (20) The MTW PHA will comply with the policies, guidelines, and requirements of 2 CFR Part 200.
- (21) The MTW PHA must fulfill its responsibilities to comply with and ensure enforcement of housing quality standards as required in PIH Notice 2011-45, or successor notice, for any local, non-traditional program units. The MTW PHA must fulfill its responsibilities to comply with and ensure enforcement of Housing Quality Standards, as defined in 24 CFR Part 982, for any Housing Choice Voucher units under administration.
- (22) The MTW PHA will undertake only activities and programs covered by the Moving to Work Operations Notice in a manner consistent with its MTW Supplement and will utilize covered grant funds only for activities that are approvable under the Moving to Work Operations Notice and included in its MTW Supplement. MTW Waivers activities being implemented by the agency must fall within the safe harbors outlined in Appendix I of the Moving to Work Operations Notice and/or HUD approved Agency-Specific or Safe Harbor Waivers.
- (23) All attachments to the MTW Supplement have been and will continue to be available at all times and all locations that the MTW Supplement is available for public inspection. All required supporting documents have been made available for public inspection along with the MTW Supplement and additional requirements at the primary business office of the PHA and at all other times and locations identified by the MTW PHA in its MTW Supplement and will continue to be made available at least at the primary business office of the MTW PHA.

**Hawaii Public Housing Authority****HI001****MTW PHA NAME****MTW PHA NUMBER/HA CODE**

*I hereby certify that all the information stated herein, as well as any information provided in the accompaniment herewith, is true and accurate. Warning: HUD will prosecute false claims and statements. Conviction may result in criminal and/or civil penalties. (18 U.S.C. 1001, 1010, 1012; 31 U.S.C. 3729, 3802).*

**Hakim Ouansafi****Executive Director****NAME OF AUTHORIZED OFFICIAL****TITLE****SIGNATURE****DATE**

**\* Must be signed by either the Chairperson or Secretary of the Board of the MTW PHA's legislative body. This certification cannot be signed by an employee unless authorized by the MTW PHA Board to do so. If this document is not signed by the Chairperson or Secretary, documentation such as the by-laws or authorizing board resolution must accompany this certification.**

**TABLE 1. GUIDE**

- Core questions - An "X" in this column means that these are the set of core questions that are relevant for every waiver/activity.
- Custom questions - An "X" in this column means that these are questions that are specific to a particular activity. Not every activity will have custom questions.
- Safe Harbor - An "X" in this column means that the activity as described in Appendix 1 of the MTW Operations Notice includes a set of Safe Harbor provisions.
- Impact Analysis - An "X" in this column means that the activity as described in Appendix 1 of the MTW Operations Notice requires the PHA to conduct an impact analysis. This impact analysis must be submitted to HUD via the MTW Supplement; thus, the Supplement should include some statement regarding the requirement and an opportunity for the PHA to upload the impact analysis. The Operations Notice also states that an updated impact analysis must be attached to the MTW Supplement in each subsequent year.
- Hardship Policy - An "X" in this column means that the activity as described in Appendix 1 of the MTW Operations Notice requires the PHA to establish a hardship policy. The hardship policy must be submitted to HUD via the MTW Supplement; thus, the Supplement should include some statement regarding the requirement and an opportunity for the PHA to upload the hardship policy. PHA must still grant reasonable accommodation requests related to all activities even if the hardship policy is not in place.

**TABLE 1. MTW ACTIVITIES QUESTIONS FOR THE MTW SUPPLEMENT**

| Section/Question                                              | Core Questions | Custom Questions | Safe Harbor | Impact Analysis | Hardship Policy |
|---------------------------------------------------------------|----------------|------------------|-------------|-----------------|-----------------|
| <b>1. Tenant Rent Policies</b>                                |                |                  |             |                 |                 |
| a. Tiered Rent (PH)                                           | X              | X                | X           |                 |                 |
| b. Tiered Rent (HCV)                                          | X              | X                | X           |                 |                 |
| c. Stepped Rent (PH)                                          | X              | X                | X           | X               | X               |
| d. Stepped Rent (HCV)                                         | X              | X                | X           | X               | X               |
| e. Minimum Rent (PH)                                          | X              | X                | X           | X               | X               |
| f. Minimum Rent (HCV)                                         | X              | X                | X           | X               | X               |
| g. Total Tenant Payment as a Percentage of Gross Income (PH)  | X              | X                | X           | X               | X               |
| h. Total Tenant Payment as a Percentage of Gross Income (HCV) | X              | X                | X           | X               | X               |
| i. Alternative Utility Allowance (PH)                         | X              | X                | X           |                 |                 |
| j. Alternative Utility Allowance (HCV)                        | X              | X                | X           |                 |                 |
| k. Fixed Rents (PH)                                           | X              | X                | X           |                 |                 |
| l. Fixed Subsidy (HCV)                                        | X              | X                | X           |                 |                 |
| m. Utility Reimbursements (PH)                                | X              |                  |             |                 |                 |
| n. Utility Reimbursements (HCV)                               | X              |                  |             |                 |                 |
| o. Initial Rent Burden (HCV)                                  | X              | X                | X           | X               |                 |
| p. Imputed Income (PH)                                        | X              | X                | X           | X               | X               |
| q. Imputed Income (HCV)                                       | X              | X                | X           | X               | X               |
| r. Elimination of Deduction(s) (PH)                           | X              | X                | X           | X               | X               |
| s. Elimination of Deduction(s) (HCV)                          | X              | X                | X           | X               | X               |
| t. Standard Deductions (PH)                                   | X              | X                | X           | X               | X               |
| u. Standard Deductions (HCV)                                  | X              | X                | X           | X               | X               |
| v. Alternative Income Inclusions/Exclusions (PH)              | X              | X                | X           |                 |                 |
| w. Alternative Income Inclusions/Exclusions (HCV)             | X              | X                | X           |                 |                 |
| <b>2. Payment Standards and Rent Reasonableness</b>           |                |                  |             |                 |                 |
| a. Payment Standards- Small Area Fair Market Rents (HCV)      | X              | X                | X           | X               | X               |
| b. Payment Standards- Fair Market Rents (HCV)                 | X              | X                | X           | X               | X               |

| Section/Question                                                                                                      | Core Questions | Custom Questions | Safe Harbor | Impact Analysis | Hardship Policy |
|-----------------------------------------------------------------------------------------------------------------------|----------------|------------------|-------------|-----------------|-----------------|
| c. Rent Reasonableness – Process (HCV)                                                                                | X              | X                | X           |                 |                 |
| d. Rent Reasonableness – Third-Party Requirement (HCV)                                                                | X              | X                | X           |                 |                 |
| <b>3. Reexaminations</b>                                                                                              |                |                  |             |                 |                 |
| a. Alternative Reexamination Schedule for Households (PH)                                                             | X              | X                | X           | X               | X               |
| b. Alternative Reexamination Schedule for Households (HCV)                                                            | X              | X                | X           | X               | X               |
| c. Self-Certification of Assets (PH)                                                                                  | X              | X                | X           |                 |                 |
| d. Self-Certification of Assets (HCV)                                                                                 | X              | X                | X           |                 |                 |
| <b>4. Landlord Leasing Incentives</b>                                                                                 |                |                  |             |                 |                 |
| a. Vacancy Loss (HCV-Tenant-based Assistance)                                                                         | X              | X                | X           |                 |                 |
| b. Damage Claims (HCV-Tenant-based Assistance)                                                                        | X              | X                | X           |                 |                 |
| c. Other Landlord Incentives (HCV-Tenant-based Assistance)                                                            | X              | X                | X           |                 |                 |
| <b>5. Housing Quality Standards (HQS)</b>                                                                             |                |                  |             |                 |                 |
| a. Pre-Qualifying Unit Inspections (HCV)                                                                              | X              | X                | X           |                 |                 |
| b. Reasonable Penalty Payments for Landlords (HCV)                                                                    | X              | X                | X           |                 |                 |
| c. Third-Party Requirement (HCV)                                                                                      | X              | X                | X           |                 |                 |
| d. Alternative Inspection Schedule (HCV)                                                                              | X              |                  | X           |                 |                 |
| <b>6. Short-Term Assistance</b>                                                                                       |                |                  |             |                 |                 |
| a. Short-Term Assistance (PH)                                                                                         | X              | X                | X           | X               | X               |
| b. Short-Term Assistance (HCV)                                                                                        | X              | X                | X           | X               | X               |
| <b>7. Term-Limited Assistance</b>                                                                                     |                |                  |             |                 |                 |
| Term-Limited Assistance (PH)                                                                                          | X              | X                | X           | X               | X               |
| Term-Limited Assistance (HCV)                                                                                         | X              | X                | X           | X               | X               |
| <b>8. Increase Elderly Age (PH &amp; HCV)</b>                                                                         | X              | X                | X           |                 |                 |
| <b>9. Project-Based Voucher Program Flexibilities</b>                                                                 |                |                  |             |                 |                 |
| a. Increase PBV Program Cap (HCV)                                                                                     | X              | X                | X           |                 |                 |
| b. Increase PBV Project Cap (HCV)                                                                                     | X              |                  | X           |                 |                 |
| c. Elimination of PBV Selection Process for PHA-owned Projects Without Improvement, Development, or Replacement (HCV) | X              |                  | X           |                 |                 |
| d. Alternative PBV Selection Process (HCV)                                                                            | X              |                  | X           |                 |                 |
| e. Alternative PBV Unit Types (Shared Housing and Manufactured Housing) (HCV)                                         | X              | X                | X           |                 |                 |
| f. Increase PBV HAP Contract Length (HCV)                                                                             | X              |                  | X           |                 |                 |
| g. Increase PBV Rent to Owner (HCV)                                                                                   | X              |                  | X           |                 |                 |
| h. Limit Portability for PBV Units (HCV)                                                                              | X              |                  | X           |                 |                 |
| <b>10. Family Self-Sufficiency Program with MTW Flexibility</b>                                                       |                |                  |             |                 |                 |
| a. Waive Operating a Required FSS Program (PH & HCV)                                                                  | X              |                  | X           | X               | X               |

| Section/Question                                                                    | Core Questions | Custom Questions | Safe Harbor | Impact Analysis | Hardship Policy |
|-------------------------------------------------------------------------------------|----------------|------------------|-------------|-----------------|-----------------|
| b. Alternative Structure for Establishing Program Coordinating Committee (PH & HCV) | X              | X                | X           | X               | X               |
| c. Alternative Family Selection Procedures (PH & HCV)                               | X              | X                | X           | X               | X               |
| d. Modify or Eliminate the Contract of Participation (PH & HCV)                     | X              |                  | X           | X               | X               |
| e. Policies for Addressing Increases in Family Income (PH & HCV)                    | X              | X                | X           | X               | X               |
| <b>11. MTW Self-Sufficiency Program</b>                                             |                |                  |             |                 |                 |
| a. Alternative Family Selection Procedures (PH & HCV)                               | X              | X                | X           | X               | X               |
| b. Policies for Addressing Increases in Family Income (PH & HCV)                    | X              | X                | X           | X               | X               |
| <b>12. Work Requirement</b>                                                         |                |                  |             |                 |                 |
| a. Work Requirement (PH)                                                            | X              | X                | X           | X               | X               |
| b. Work Requirement (HCV)                                                           | X              | X                | X           | X               | X               |
| <b>13. Use of Public Housing as an Incentive for Economic Progress (PH)</b>         | X              | X                | X           |                 |                 |
| <b>14. Moving on Policy</b>                                                         |                |                  |             |                 |                 |
| a. Waive Initial HQS Inspection Requirement (HCV)                                   | X              |                  | X           |                 |                 |
| b. Allow Income Calculations from Partner Agencies (PH & HCV)                       | X              |                  | X           |                 |                 |
| c. Aligning Tenant Rents and Utility Payments Between Partner Agencies (PH & HCV)   | X              |                  | X           |                 |                 |
| <b>15. Acquisition without Prior HUD Approval (PH)</b>                              | X              |                  | X           |                 |                 |
| <b>16. Deconcentration of Poverty in Public Housing Policy (PH)</b>                 | X              |                  | X           |                 |                 |
| <b>17. Local, Non-Traditional Activities</b>                                        |                |                  |             |                 |                 |
| a. Rental Subsidy Programs                                                          | X              | X                | X           |                 |                 |
| b. Service Provision                                                                | X              | X                | X           |                 |                 |
| c. Housing Development Programs                                                     | X              | X                | X           |                 |                 |

## Instructions for Preparation of Form HUD-50075-MTW, MTW Supplement to the Annual PHA Plan

The instructions below detail how to complete the MTW Supplement. These instructions will not appear in the fillable form.

**Note about file uploads:** PHAs can upload PDF or Word documents. Files should be named with the following naming convention: PHA code, Fiscal Year (FY), and short name for the policy/item. Some examples would be CA789FY21RentHardship for a rent hardship policy, CA789FY21ImpactAnalysis for an impact analysis that is applicable to multiple MTW activities, and CA789FY21MTWCertofCompliance for the MTW Certifications of Compliance.

### A. PHA Information. All PHAs must complete this section.

**A.1** Include the full **PHA Name**, **PHA Code**, **PHA Fiscal Year Beginning** (MM/DD/YYYY), **MTW Cohort Number**, and **MTW Supplement Submission Type**.

### B. Narrative. All MTW agencies must complete this section.

#### B.1 MTW Supplement Narrative.

Provide a written description of how the MTW agency seeks to address the three statutory objectives during the coming year. Those three statutory objectives are: (1) to reduce cost and achieve greater cost effectiveness in federal expenditures; (2) to give incentives to families with children whose heads of household are either working, seeking work, or are participating in job training, educational or other programs that assist in obtaining employment and becoming economically self-sufficient; (3) and to increase housing choices for low-income families.

The narrative provides the PHA an opportunity to explain to the public, and the families that it serves, its MTW plans and goals for the coming Fiscal Year.

### C. MTW Waivers.

**Core Questions.** All MTW activities found in Section C require responses to the same common questions.

*Narrative.* Describe the activity, the agency's goals for this activity, and, if applicable, how this activity contributes to a larger initiative.

*Statutory Objective.* Indicate which of the MTW statutory objectives this activity serves; each activity may serve one or more objectives. The three statutory objectives are housing choice, self-sufficiency, and cost effectiveness. Check all that apply.

*Cost Implications.* State the cost implications of each activity. Choose the best description of the cost implications based on what is known at the time of completing the MTW Supplement. Indicate which categories best describe the cost implications of the activity from among the following choices: neutral (no cost implications), increased revenue, decreased revenue, increased costs, decreased costs. Check all that apply. For instance, an activity may increase revenue, increase costs, and therefore be cost neutral. Alternatively, an activity may simply increase costs.

*Different versions.* Indicate whether there will be different policies for different household statuses, family types, or locations (public housing developments or HCV properties). If [Yes] is checked, questions will pop up which allow the MTW agency to explain which household statuses, family types, and/or locations will be affected. If [No] is checked, the respondent will move on to the next question. The agency will be able to indicate if a policy is different for one or more of these areas.

For example, if an MTW agency chooses to apply a Tenant Rent Policy to only non-elderly, non-disabled families, and not to the elderly or disabled, then it would check [Yes] and then receive the subsequent items that allow the agency to indicate what types of households and family types are affected by the activity.

*Household status.* MTW Agency's must indicate what type of household to which the activity applies. Household types means the following types: new admissions only, currently assisted households only, or new admissions and currently assisted households.



*Family Types:* Family types mean the following: non-elderly, non-disabled families; elderly families; disabled families; or other specifically defined target populations.

*Location.* The MTW agency indicates if the activity is or will be implemented at all or only at certain locations. Depending on if responses are being provided for a public housing (PH) or HCV activity, the agency will either see questions applicable to PH or HCV. For PH, the questions will be about developments and for HCV the questions will be about tenant-based units and properties with project-based vouchers. The agency must check the applicable response for all or specific. If the response is for specific locations, then the agency will be asked to provide the details.

PHAs may develop one comprehensive hardship policy to cover all MTW activities requiring a hardship policy, which would only need to be uploaded once.

*Safe Harbor Waiver.* PHAs must indicate if a Safe Harbor Waiver is needed to implement this policy as described. If yes, then the MTW Agency is asked the following: what is the status of the Safe Harbor Waiver Request? PHAs must indicate if the waiver request is being submitted for review with this submission of the MTW Supplement (see Section D), or if the waiver was previously approved. If the latter is checked (the waiver was previously approved), then the PHA must describe the extent to which the Safe Harbor Waiver is supporting the PHA's goal in implementing this activity.

*Hardship policy.* The MTW Operations Notice requires agencies to adopt written policies for determining when a requirement or provision of the MTW activity constitutes a financial or other hardship for the family. If applicable for the activity, please upload the hardship policy associated with this activity. Hardship policies may be applicable to multiple MTW Activities. Only upload Hardship Policy once if said Hardship Policy applies to multiple Activities. Reference Table 1 for specificity on when a hardship policy is required.

*Modification of hardship policy.* PHAs must indicate if the hardship policy has been modified since the last submission of the MTW Supplement. PHAs must check yes or no. If yes, then the respondent is asked: why has the MTW agency modified the hardship policy? The PHA will use the provided text box to describe the modifications.

Number of hardship requests. PHAs must indicate the number of hardship requests that have been received for each applicable activity in the most recently completed PHA fiscal year.

PHAs are legally required to provide reasonable accommodations to their MTW requirements, provisions, or policies, or any component of those requirements, provisions, and policies, following the same standards and processes that generally apply to reasonable accommodations.

*Impact analysis.* The MTW Operations Notice requires agencies to analyze and put into writing the various impacts of the MTW activity if it is required for the MTW activity. Please upload the impact analysis that has been prepared related to this activity, if applicable. An impact analysis may be applicable to multiple MTW Activities. Only upload Impact Analysis once if said Impact Analysis applies to multiple Activities. Reference Table 1 for specificity on when an impact analysis is required.

*Description of accomplishments or changes in implementation.* Provide a description, based on the Fiscal Year goals as listed in the activity's previous Fiscal Year's narrative, about what has been accomplished or changed during the implementation.

*Discontinuation of activity.* If the PHA selects "Will be Discontinued in the Submission Year" or "Was Discontinued in a previous Submission Year" in the screener, a question will be displayed that asks for an explanation as to why the activity was discontinued or will be discontinued. The PHA should explain why the activity was or will be discontinued. If the activity has already been discontinued, the PHA should include the final outcomes and lessons learned. If the activity was discontinued in a previous submission year, the PHA should state which year the activity was discontinued in.

**Custom Questions.** Some MTW activities require responses to custom questions that are specific only to that activity. Some MTW activities contain no custom questions. Respondents must answer each of the custom questions, which will only appear if the PHA is opting to implement the MTW activity in the coming Fiscal Year.

Information for how to answer each custom question is included in the 'input options and instructions' column for each MTW activity.

## D. Safe Harbor Waivers.

**D.1: Safe Harbor Waivers seeking HUD Approval.** The MTW Operations Notice describes a simplified process for MTW agencies to implement MTW activities outside of the safe harbors described in Appendix I. For each Safe Harbor Waiver request, a document that includes the following must be provided: a) the name and activity number of the MTW Waiver for which the PHA is seeking to expand the safe harbor, b) the specific safe harbor and its implementing regulation, c) the proposed policy the PHA wishes to implement via this waiver, d) a description of the local issue and why such an expansion is needed to implement the activity, e) an impact analysis, f) a description of the hardship policy for the initiative, and g) a copy of all comments received at the public hearing a copy of all comments received at the public hearing along with the MTW agency's description of how the comments were considered, as a required attachment to the MTW Supplement.

## E. Agency-Specific Waivers.

**E.1: Agency-Specific Waivers Submitted for HUD Approval.** The MTW demonstration program is intended to foster innovation and HUD encourages MTW agencies, in consultation with their residents and stakeholders, to be creative in their approach to solving affordable housing issues facing their local communities. For this reason, flexibilities beyond those provided for in Appendix I may be needed. Agency-Specific Waivers may be requested if an MTW agency wishes to implement additional activities, waive a statutory or regulatory requirement not included in Appendix I.

In order to pursue an Agency-Specific Waiver, an MTW agency must include an Agency-Specific Waiver request, an impact analysis, and a hardship policy (as applicable).

For each Agency-Specific Waiver(s) request, please provide a title and upload supporting documentation, that includes: a) a full description of the activity, including what the agency is proposing to waive (i.e., statute, regulation, and/or MTW Operations Notice), b) how the initiative achieves one or more of the 3 MTW statutory objectives, c) a description of which population groups and household types that will be impacted by this activity, d) any cost implications associated with the activity, e) an implementation timeline for the initiative; f) an impact analysis, g) a description of the hardship policy for the initiative, and h) a copy of all comments received at the public hearing along with the MTW agency's description of how the comments were considered, as a required attachment to the MTW Supplement.

A PHA planning to pursue an Agency-Specific Waiver is encouraged to read Section 4.c. of the MTW Operations Notice prior to filling out this section of the MTW Supplement.

**E.2: Agency-Specific Waiver(s) for which HUD Approval has been Received.** For each previously approved Agency-Specific Waiver(s), a set of questions will populate. Does the agency have any approved agency-specific waivers? If yes, the title previously provided in Section E.1 will prepopulate and ask if there has been a change in how the Agency-Specific Waivers is being implemented from when it was originally approved or if it has been discontinued. For changes, the PHA will need to provide a description of what has changed. If it has been discontinued, the PHA will need to provide a description about the final outcomes and lessons learned, as well as whether a final impact analysis was prepared at the time of discontinuation if one was previously required.

## F. Public Housing Operating Subsidy Grant Reporting

**F.1: Public Housing Operating Subsidy Grant Reporting.** PHAs must fill out this table if it receives public housing Operating Subsidy grant funding from HUD. Only public housing Operating Subsidy grant funding awarded in the year the PHA is designated an MTW agency and beyond must be reported in this table. Additional rows must be added for Federal Fiscal Years beyond 2023, as applicable.

The federal account closing law applies to time-limited funds appropriated by Congress during the annual appropriations act process. For the public housing Operating Fund, PHAs must expend federal funds no more than five (5) years after the period of availability for obligation expires. After this 5-year period, the account closes, and the funds are no longer available for any purpose. For public housing Operating Subsidy grant funding, the period of availability for obligation ends at the end of the fourth Federal Fiscal Year (i.e., the period of availability for obligation of FY 2021 funds ends 9/30/2024). Pursuant to the account closing law, PHAs must expend all Operating Subsidy grant amounts within five years of this date (i.e., for FY 2021 funds, the account will close, and funds will no longer be legally available for any purpose on 9/30/2029).

## G. MTW Statutory Requirements.

**General.** HUD will verify compliance with the statutory requirements G.1, G.3, and G.4 for public housing units and HCV units through HUD systems. In addition, agencies are to report compliance with the same requirements for Local, Non-Traditional

Households in the tables provided in this section. Once HUD systems are capable of capturing this data then this will no longer need to be reported through the MTW Supplement.

**G.1: 75% Very Low Income.** All PHAs must fill out the table in G.1. The MTW PHA must provide data for the actual families housed upon admission during the PHA's most recently completed Fiscal Year for its local, non-traditional program households. For instance, a PHA submitting its MTW Supplement to the FY2020 Annual PHA Plan should include its Fiscal Year (FY) 2018 local, non-traditional data since this is the most recently completed Fiscal year. Only local, non-traditional new admissions should be included in the table. If a PHA houses no local, non-traditional households, then zeros must be inputted into the table.

HUD will verify compliance with the statutory requirement that at least 75% of the households assisted by the MTW PHA are very low income for public housing and HCV programs through existing HUD systems.

**G.2: Establishing Reasonable Rent Policy.** All PHAs must fill out section G.2. Per the MTW Operations Notice, all activities falling under the Tenant Rent Policies category (Section C.1 of the MTW Supplement) or the Alternative Reexamination Schedule category (Section C.3 of the MTW Supplement), detailed in the Appendix of the MTW Operations Notice, meet the definition of a reasonable rent policy.

MTW agencies are reminded that the Rent Determination section of the PHA Plan should be reflective of MTW reasonable rent policies where applicable. From the PHA Plan: "Rent Determination. A statement of the policies of the PHA governing rents charged for public housing and HCV dwelling units, including applicable public housing flat rents, minimum rents, voucher family rent contributions, and payment standard policies. ([24 CFR §903.7\(d\)](#)).

**G.3: Substantially the Same (STS).** All PHAs must fill out section G.3. The number of local, non-traditional families served must be provided by month for the most recently completed Calendar Year. If a PHA houses no local, non-traditional families, then zeros must be inputted into the table. The additional information on Local, Non-Traditional development units must be provided for each development.

HUD will verify compliance with the STS statutory requirement for public housing and HCV programs through existing HUD systems.

**G.4: Comparable Mix (by Family Size).** All PHAs must fill out section G.4. In order to demonstrate that the statutory objective of "maintaining a comparable mix of families (by family size) are served, as would have been provided had the amounts not been used under the demonstration" is being achieved, the PHA will provide family size (i.e., not bedroom size) data in the table for the most recently completed Fiscal Year. For instance, a PHA submitting its MTW Supplement to the FY2021 Annual PHA Plan should include its FY 2019 local, non-traditional data since this is the most recently completed Fiscal Year. If a PHA houses no local, non-traditional household, then zeros must be inputted into the table.

HUD will verify compliance with the comparable mix statutory requirement for public housing and HCV programs through existing HUD systems.

**G.5: Housing Quality Standards.** PHAs are not required to enter any information into section G.5. This statutory requirement is certified to in the MTW Certifications of Compliance form for the HCV and local, non-traditional housing programs. The public housing program is monitored by HUD through the Public Housing Assessment System (PHAS) Physical Subsystem, or successor, despite the MTW PHA being exempt from an overall designation.

## H. Public Comments.

**H.1: Public Comments.** All PHAs are required, per the Annual PHA Plan regulations, to go through a public process prior to submitting the MTW Supplement to HUD. The MTW agency must consider, in consultation with the Resident Advisory Board (RAB) and tenant association, as applicable, all of the comments received at the public hearing. The comments received by the public, RABs, and tenant associations must be submitted by the MTW agency, along with the MTW agency's description of how the comments were considered, as a required attachment to the MTW Supplement.

As described above, PHAs must submit comments and responses for all Safe Harbor and Agency-Specific Waivers, which are to be held in an additional public meeting.

The public comment process must include the Supplement and all uploaded attachments.

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**I. Evaluations**

**I.1: Evaluations.** The MTW agency should fill in Table I.1, listing each evaluation of the MTW policies and providing contact information for the evaluator, the time period of the evaluation, and the names of available reports. The MTW agency should list internal evaluations that result in reports that could be shared upon request but may leave off evaluations meant for internal use only. The MTW agency should list all third-party evaluations, as applicable.

**J. MTW Certifications of Compliance.**

**J.1: MTW Certifications of Compliance Form.** The format for submission of the required MTW Certifications of Compliance is provided in this Form MTW Supplement. The preamble to the MTW Certifications of Compliance directs the MTW PHA to fill in the beginning of the Fiscal Year for which the certification is being made. This should be provided as the first day of the Fiscal Year to be covered by the Annual PHA Plan (for example, a FY2021 Annual PHA Plan for an MTW PHA with a Fiscal Year of January 1 – December 31, this would be January 1, 2021).

The MTW Certifications of Compliance must be signed by either the Chairperson or Secretary of the Board of the MTW PHA's legislative body. This certification cannot be signed by an employee unless authorized by the MTW PHA Board to do so. If this document is not signed by the Chairperson or Secretary, documentation such as the by-laws or authorizing board resolution must accompany this certification.

The MTW Certifications of Compliance must be submitted to HUD as part of the MTW Supplement for each annual submission and each revised annual submission.

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Public reporting burden for this information collection is estimated to average 6.5 hours per response, including the time for reviewing instructions, searching existing data sources, gathering, and maintaining the data needed, and completing and reviewing the collection of information. HUD may not collect this information, and respondents are not required to complete this form, unless it displays a currently valid OMB control number. The information collected is required to obtain or retain benefits. The information collected will not be held confidential.

**Agency-Specific Waiver:**  
**Alternative Accommodation Transfer Program**

**A. Description of Activity:**

The Hawaii Public Housing Authority (HPHA) is seeking an Agency-Specific Waiver to enable public housing families to receive Housing Choice Vouchers (HCV) or Project-Based Vouchers (PBV) in certain circumstances. Eligible households would include: (1) families with approved reasonable accommodation requests to transfer to mobility accessible, ground floor or other units that meet their disability needs if they are not placed/transferred to an acceptable unit within six months; or (2) families with approved Violence Against Women Act (VAWA) emergency transfer requests. For the purposes of this initiative, the HPHA is proposing to waive statutory requirements under 24 CFR §§982.204, 982.207, and 983.251.

The HPHA currently exceeds the federal requirement that four percent of its public housing units be accessible to persons with mobility disabilities. Although the HPHA is actively working to increase its inventory of accessible units, the need for such units still exceeds what is available. Demand is expected only to increase as Hawaii's overall population continues to age. There has been a continued increase in the number of elderly residents in public housing statewide. Given the structure and age of the HPHA's public housing portfolio, many of its buildings are two- or three-story walk-ups scattered across large properties, or possess features that effectively prevent aging in place. This creates difficulties for residents that may not need the features of a mobility accessible unit but still struggle to use internal/external stairways, enter/exit tubs or showers, or with walking significant distances. Several families on the HPHA's accessibility transfer wait list have been offered units on at least one occasion, but refused because of the geographic location of the property or the unit's location within a property. It is not uncommon for these households to remain on the transfer wait list in excess of a year.

Domestic violence is prevalent in every community, and affects all people regardless of age, socio-economic status, sexual orientation, gender, race, religion, or nationality. While domestic violence is often an under-reported crime, the HPHA is actively encourages its participants to come forward when an incident occurs. VAWA claims do arise =sometime necessitate that a family move to a new public housing unit. The HPHA cannot determine which unit a family will feel completely safe in. There may also be times when a family cannot move to a desired property or neighborhood because there are no available units or friends/family members of the abuser live in other properties.

In an effort to reduce the time it takes to place families into units that meets their physical or safety needs, the HPHA would like to be able to offer eligible families

vouchers to search for a suitable unit on the private rental market. Unlike a family with an approved transfer for reasonable accommodation who may request a voucher if they are not placed in an accessible public housing unit after six months, a family with an approved VAWA transfer may request a voucher immediately. This initiative would waive all statutory requirements prohibiting circumvention of the waiting list for these two specific purposes.

An eligible family would be permitted to request either an HCV or a PBV voucher. A family that requests a voucher will maintain their position on the public housing transfer list. However, once the voucher is accepted, they will not be considered if a public housing unit becomes available at that time. A family that receives a voucher will be permitted to remain in their public housing unit while searching for a new unit. A family would receive an initial 120 days to search for a unit. Vouchers could be returned at any time. A participating family may return its voucher at any time to reactivate their place on the public housing transfer list. A family residing in a public housing unit in a county that the HPHA does not administer a Section 8 program will be eligible to port their voucher upon request to their county PHA that administers a Section 8 program. All other participants will be permitted to port their voucher after leasing up into the HPHA Section 8 program for 12 months.

#### **B. How the Initiative Achieves an MTW Statutory Objective:**

Allowing an eligible public housing family to receive a voucher would provide greater opportunities for the family to search for a unit that best meets their need, without the limitation of location, inventory, or structure, and would thereby increase housing choice. By allowing a family to remain in their public housing unit while searching for a new unit on the private market, they retain the flexibility to return to the public housing program without violating program rules or putting themselves at risk of homelessness. Voucher holders may also access market rentals in locations where the HPHA does not have available public housing units.

This initiative will increase the cost efficiency of the public housing program by reducing the number of families on the transfer wait list and reducing the time it takes to transfer them to a suitable unit.

#### **C. Description of Population Groups and Household Types Impacted:**

Public Housing families with an approved Reasonable Accommodation Request to transfer units due to a disability, who have not been placed within six months.

Public Housing families with an approved VAWA transfer request.

#### **D. Cost Implications:**

Families that opt to receive a voucher and successfully lease up would impact the HPHA's HAP expenditures. Any increase is anticipated to be minimal and not expected to prevent or impact regular issuance from the waitlist. Lease up into the voucher

program would result in a public housing vacancy. This would result in maintenance expenses to prepare the vacant unit for occupancy. The HPHA does not anticipate more than a handful of families vacating public housing annually for this purpose and therefore does not expect any major impacts due to unit vacancies or increased costs in order to prepare units for occupancy.

**E. Implementation Timeline:**

The HPHA anticipates this initiative to be implemented soon after final approval of the Agency-Specific Waiver is given by HUD and amendments to the ACOP and Section 8 Administrative Plan are adopted. Families who meet the requirements of this initiative would be contacted and informed of their eligibility to request a voucher after the adoption of the program's rules.

**Hawaii Public Housing Authority**  
**Alternative Accommodation Transfer Program**  
**Impact Analysis**

The Alternative Accommodation Transfer (AAT) Program would benefit public housing households with physical disabilities or a history of domestic violence that are residing in unsuitable units. The AAT Program would reduce the time it takes for eligible families to be rehoused while also enabling them to find homes that better fit their needs. This program would achieve the MTW statutory goal of increasing housing choice for low-income families. Through the AAT Program, the HPHA would offer Housing Choice Vouchers (HCV) or Project-Based Vouchers (PBV) to public housing residents in certain protected classes, thereby allowing them to move into housing that would have otherwise been inaccessible. Vacated units would also become available to families on the public housing wait list. As of September 1, 2022, there are 105 families with approved transfer requests due to reasonable accommodation that are waiting to be rehoused. There are no families waiting to be rehoused due to VAWA.

The financial cost to HPHA is estimated to be approximately \$1,452,679 in HAP expense to serve all families currently on the transfer list. Simultaneously, those households vacating from their public housing unit would result in a loss of subsidy and rental income for the agency until a new family moves in. In 2021, the average rent paid at the HPHA's federal family properties was \$310 per month, and the average rent paid at the HPHA's federal elderly or disabled properties was \$251 per month. Assuming all 105 families currently on the transfer list moved into housing outside of the public housing program, this would result in a loss of \$316,000 to \$390,600 in rental income on an annualized basis. Subsidies for a unit would be halted for the duration of its vacancy. AAT Program participants could be impacted financially if their transition to the HCV program increases their rent portion to an amount of up to 40 percent of their adjusted income, as would be permitted at lease-up depending on the total rent amount.

The HPHA leases up approximately 200 new families off the HCV waiting list each year. An average of 116 public housing families are approved for reasonable accommodation transfers each year. In 2021, the HPHA approved 78 transfer requests for public housing families, 56 of which resulted in a successful placement into a new unit; 16 transfers were completed within 6 months of the requests' approval. Although there may be an immediate impact on how many families are served from the HCV waiting list during the AAT Program's initial year, the HPHA does not foresee these effects being severe or long-lasting. The HPHA expects usage of the AAT Program to dampen slightly after its initial year. As the transfer list shortens, the HPHA anticipates that those who choose to remain in public housing will receive more frequent opportunities to be rehoused and be placed faster.

The HPHA does not expect any large impacts to housing availability in the private market. Vouchers are expected to be issued to AAT Program families intermittently throughout a year. The HPHA also anticipates that the implementation of its MTW landlord incentive activities will increase the success rate of voucher holders in finding a unit and decreasing search times.

The HPHA does not anticipate any impacts to the termination rate of the HCV program. Participating families who receive vouchers would be required to attend a voucher orientation



and would be permitted to remain in their public housing units while searching. If their vouchers expire, the HPHA will allow them to remain in their public housing units and request an extension. Households that vacate their units while searching could be impacted as they would not be able to immediately return to the public housing program. In such cases, the HPHA would still allow these households to request voucher extensions. The HPHA believes that participating families will succeed in the HCV program given that certain tenancy requirements are similar to public housing (e.g., recertifications, obligations to pay rent). Additionally, when a family is able to select a unit that meets their needs, they are likely to be more satisfied with their living accommodations.

Because this proposed activity is to the benefit of public housing families, the HPHA anticipates few unintended consequences or minimal negative impacts. However, the HPHA will monitor metrics for the activity to ensure that it is on track and effective. Positive or negative results will guide future annual discussions to reevaluate whether the activity needs to be adjusted.

## Hawaii Public Housing Authority

### Hardship Policy

#### MTW Hardship Policy

If HPHA verifies a financial impact or other reduction in benefit, the family may request a hardship review. HPHA staff will review and assess whether the hardship is the result of a personal circumstance of the family (ex: new employment, additional household member), or if the hardship is due to an MTW activity being instituted. If the hardship is due to a MTW activity, HPHA may provide an extension to address the concern. If the hardship is the result of personal circumstances, the PHA's general hardship policies will apply.

#### General HPHA Hardship Policy

If HPHA verifies an upcoming increase or decrease in income will take effect, the family may present information that demonstrates that implementing a change before its effective date, would create a hardship for the family. In such cases, HPHA will calculate annual income using current circumstances and then require an interim reexamination when the change actually occurs. This requirement will be imposed even if the PHA's policy does not require interim reexaminations for other types of changes.

If HPHA establishes a minimum rent greater than zero, HPHA must grant an exemption from the minimum rent if a family is unable to pay the minimum rent because of financial hardship.

The financial hardship exemption applies only to families required to pay the minimum rent. If a family's TTP is higher than the minimum rent, the family is not eligible for a hardship exemption. If HPHA determines that a hardship exists, the family share is the highest of the remaining components of the family's calculated TTP.

#### **HUD-Defined Financial Hardship**

Financial hardship includes the following situations:

- (1) The family has lost eligibility for or is awaiting an eligibility determination for a federal, state, or local assistance program. This includes a family member who is a noncitizen lawfully admitted for permanent residence under the Immigration and Nationality Act who would be entitled to public benefits but for Title IV of the Personal Responsibility and Work Opportunity Act of 1996.

#### PHA Policy

A hardship will be considered to exist only if the loss of eligibility has an impact on the family's ability to pay the minimum rent.

For a family waiting for a determination of eligibility, the hardship period will end as of the first of the month following (1) implementation of assistance, if approved, or (2) the decision to deny assistance. A family whose request for assistance is denied may request a hardship exemption based upon one of the other allowable hardship circumstances.

- (2) The family would be evicted because it is unable to pay the minimum rent.

PHA Policy

For a family to qualify under this provision, the cause of the potential eviction must be the family's failure to pay rent to the owner or tenant-paid utilities.

- (3) Family income has decreased because of changed family circumstances, including the loss of employment.

- (4) A death has occurred in the family.

PHA Policy

In order to qualify under this provision, a family must describe how the death has created a financial hardship (e.g., because of funeral-related expenses or the loss of the family member's income).

- (5) The family has experienced other circumstances determined by the PHA.

**Implementation of Hardship Exemption**

***Determination of Hardship***

When a family requests a financial hardship exemption, the PHA must suspend the minimum rent requirement beginning the first of the month following the family's request.

The PHA then determines whether the financial hardship exists and whether the hardship is temporary or long-term.

PHA Policy

The PHA defines temporary hardship as a hardship expected to last 90 days or less. Long term hardship is defined as a hardship expected to last more than 90 days.

When the minimum rent is suspended, the family share reverts to the highest of the remaining components of the calculated TTP. The example below demonstrates the effect of the minimum rent exemption.

| <b>Example: Impact of Minimum Rent Exemption</b><br>Assume the PHA has established a minimum rent of \$35.         |                                                                                                                    |
|--------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------|
| <b>Family Share – No Hardship</b>                                                                                  | <b>Family Share – With Hardship</b>                                                                                |
| \$0 30% of monthly adjusted income<br>\$15<br>N/A 10% of monthly gross income<br>Welfare rent<br>\$35 Minimum rent | \$0 30% of monthly adjusted income<br>\$15<br>N/A 10% of monthly gross income<br>Welfare rent<br>\$35 Minimum rent |
| Minimum rent applies.<br>TTP = \$35                                                                                | Hardship exemption granted.<br>TTP = \$15                                                                          |

#### PHA Policy

To qualify for a hardship exemption, a family must submit a request for a hardship exemption in writing. The request must explain the nature of the hardship and how the hardship has affected the family's ability to pay the minimum rent.

The PHA will make the determination of hardship within 30 calendar days.

### ***No Financial Hardship***

If the PHA determines there is no financial hardship, the PHA will reinstate the minimum rent and require the family to repay the amounts suspended.

#### PHA Policy

The PHA will require the family to repay the suspended amount within 30 calendar days of the PHA's notice that a hardship exemption has not been granted.

### ***Temporary Hardship***

If the PHA determines that a qualifying financial hardship is temporary, the PHA must suspend the minimum rent for the 90-day period beginning the first of the month following the date of the family's request for a hardship exemption.

At the end of the 90-day suspension period, the family must resume payment of the minimum rent and must repay the PHA the amounts suspended. HUD requires the PHA to offer a reasonable repayment agreement, on terms and conditions established by the PHA. The PHA also may determine that circumstances have changed and the hardship is now a long-term hardship.

#### PHA Policy

The PHA will enter into a repayment agreement in accordance with the procedures found in the program administration section of its plan.

### ***Long-Term Hardship***

If the PHA determines that the financial hardship is long-term, the PHA must exempt the family from the minimum rent requirement for so long as the hardship continues. The exemption will apply from the first of the month following the family's request until the end of the qualifying hardship. When the financial hardship has been determined to be long-term, the family is not required to repay the minimum rent.

#### PHA Policy

The hardship period ends when any of the following circumstances apply:

- (1) At an interim or annual reexamination, the family's calculated TTP is greater than the minimum rent.
- (2) For hardship conditions based on loss of income, the hardship condition will continue to be recognized until new sources of income are received that are at least equal to the amount lost. For example, if a hardship is approved because a family no longer receives a \$60/month child support payment, the hardship will continue to exist until the family receives at least \$60/month in income from another source or once again begins to receive the child support.

- (3) For hardship conditions based upon hardship-related expenses, the minimum rent exemption will continue to be recognized until the cumulative amount exempted is equal to the expense incurred.



## **SUMMARY OF PUBLIC COMMENTS**

Public comments on the FY 2022-2023 Draft MTW Supplement of the PHA Plan were received following public meetings held online on August 9, 23, 25, 30, 2022 and September 7, 2022. Additional public meetings for an Agency-Specific waiver were held on August 30 and September 7, 2022. The following is a summary of testimony on provisions of the draft PHA Plans.

### **Vacancy loss payments (Cohort 4.2, Operations Notice 4.a)**

One person provided oral comments asking if the vacancy payments can be applied retroactively. The individual expressed that they currently have a unit that is vacant and waiting for an inspection.

HPHA Response: The HPHA is prohibited from implementing the program before all regulatory procedures have concluded and rules are enacted. The HPHA intends to provide a landlord 30 days from submittal of the Request for Tenancy Approval documents to submit their vacancy loss payment request, following the adoption of rules and procedures.

One person provided oral comments asking if the landlord could request a vacancy loss payment now for a unit that will become vacant in late 2023.

HPHA Response: HPHA is unable to provide an incentive payment unless the HPHA can verify the landlord qualifies for a payment and a HAP contract is signed between the landlord and PHA.

One person provided oral comments asking if the landlord incentives can be applied to participants with Special Purpose Vouchers (SPV).

HPHA Response: The HPHA clarified that landlords who rent to a SPV participant may be eligible for an incentive payment, subject to funding availability and HUD approval. The HPHA further clarifies that it will not utilize any SPV HAP funding for the landlord incentive payments.

One person provided oral comments asking how landlords who have never rented to a Section 8 tenant before find out about these new programs.

HPHA Response: The HPHA has been working closely with the Hawaii Association of Realtors to educate new and potential landlords. The HPHA also recently held a public informational meeting to inform our existing landlords of these new incentive programs. The HPHA will continue to update all of its various stakeholders regarding these and any other MTW activities as they develop. The HPHA also plans to educate its



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HCV participants regarding its incentives so they can help to inform new landlords.

**Other Landlord Incentives (Operations Notice 4.c)**

One person provided oral comments asking if the incentives are only for new tenants.

HPHA Response: The signing bonus under Operations Notice 4.c are paid out for each new unit that a landlord rents to a voucher holder in the targeted area. If the landlord has multiple qualifying units that have never been rented to an HCV participant, they could be eligible to receive signing bonuses for each new unit they bring into the program. The vacancy payments and initial inspection flexibility can be applied multiple times for a unit so long as it qualifies.

One person provided oral comments asking if the signing bonus or vacancy loss payment conflict with the state landlord-tenant code? The person expressed concern that landlords are currently not able to receive as a security deposit any amount in excess of one month's rent.

HPHA Response: The payments would not violate landlord-tenant code as they are not fees required to be held by the landlord to remedy defaults or compensation for damages, such as a security deposit, nor are they fees that would/could also be returned to the tenant. The proposed incentives are additional payments provided outside of the landlord-tenant contract for the landlord's use. Although the occupancy of the unit is what qualifies the landlord for the incentive(s), the tenant does not have any rights to the incentives.

One person provided oral comments asking if the signing bonus or vacancy loss payment will be given to the owner or managing agent.

HPHA Response: The HPHA will provide payment to the name listed on both the IRS Form 1099-Misc and W-9 documents provided in the Request for Tenancy Approval packet, completed by the Owner or Managing Agent. However, the HPHA acknowledges that a Managing Agent should request confirmation from the property Owner on the acceptance and ownership of incentives.

One person provided oral comments asking if additional funding was allocated by HUD to manage any new incentives and added program requirements?

HPHA Response: Through the MTW Program, the HPHA is able to use its public housing Capital Funds, Operating Funds, and HCV assistance flexibly to manage its MTW programs, but will not receive additional





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funding from the HUD. The HPHA may use additional funding provide by the State of Hawaii to assist in funding the programs.

One person provided oral comments requesting clarification between the signing bonus and vacancy loss payment incentives.

HPHA Response: As the HPHA has drafted its program policies, a landlord may qualify for a signing bonus only when it is the first time their unit is rented to a voucher holder. The signing bonuses are limited to one payment per new unit enrolled. With regard to the front-end vacancy payments, the HPHA does not want to exclude landlords that rented to non-participating tenants before coming back to the HCV program. There may be instances in which a landlord no longer rents to voucher holders because of past experience or the lease-up process would have taken too long. The intent of the front-end vacancy loss payments is to incentivize these landlords to return to the HCV program. The front-end vacancy loss payments are limited to one payment per unit. There is no limit to the number of vacancy loss payments that a landlord may receive for vacancies that occur between renting to voucher holders.

**Waiver of Mandatory Initial Inception (Cohort 4.1)**

Three people provided oral comments asking if more staff will be hired for inspections?

HPHA Response: The HPHA believes the implementation of this waiver will assist participants to move into housing faster, but do intend to hire additional inspector positions to ensure that units remain safe, decent, and sanitary.

One person provided oral comments asking if HPHA plans to change other features of the HCV program, such as inspection requirements.

HPHA Response: The HPHA's MTW designation will allow the agency to apply several waivers that impact how the HCV program operates. The HPHA is considering how it can improve all aspects of the program to better suit the specific, local needs of landlords and HCV participants, and is open to the public's suggestions on how to improve the experience.

One person provided oral comments stating that the passing of Act 287 at the State Legislature required inspections to be completed within fifteen days after receiving an inspection request. The testifier asked if this will be an issue.



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HPHA Response: The HPHA appreciates the testifiers comments and anticipates that the Initial Inspection Waivers will significantly reduce the average wait time for an initial inspection.

One person provided oral comments expressing concern about the Initial Inspection Flexibility allowance for units located in low poverty areas. The commentor was concerned that allowing waivers of units in these areas would incentivize landlords to not take care of their unit.

HPHA Response: The HPHA appreciates the testifiers comments and understands that this program would not preclude a qualifying landlord from attempting to rent a unit that would fall short of the Housing Quality Standards. There are two features in the program rules meant to prevent this. First, the HPHA requires that any qualifying landlord must submit a signed attestation form to certify that the unit is free from any life-threatening deficiencies. Any found misrepresentations may be considered fraud and in violation of Title 18, Section 1001 of the United States Code. Second, the HPHA would still require an inspection to occur within the first four months of tenancy.

One person provided oral comments asking if other conditions should be attached to units in low poverty neighborhoods.

HPHA Response: The HPHA appreciates the testifiers comments and will take into consideration whether additional conditions may need to be attached to units located in these areas. The HPHA is considering whether to pursue an MTW waiver for pre-inspections (i.e., inspections prior to the submittal of a Request for Tenancy Approval form) to supplement or possibly replace this qualification. Two of the main goals for the Landlord Incentive Programs are to develop a more streamlined move-in process and to lessen the administrative burden of HPHA staff.

**Local, Non-Traditional Activities (Operations Notice 17.c)**

Two people provided oral comments asking what specific housing projects will receive funding under the Local, non-traditional (LNT) activity waiver. The testifier further asked how much the HPHA expects to use for such developments and for general information about LNTs.

HPHA Response: The HPHA appreciates the testifiers comments and will be providing more information about LNTs on its website for review. The HPHA plans to use LNT activities for pre-development work, where allowed, on its planned mixed-income or low-income (non-public housing) projects at Mayor Wright Homes, Kuhio Park Terrace, Kuhio Homes, and



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its senior housing on the administrative campus site. The LNT waiver simply allows the HPHA an additional flexibility with its MTW Block Grant funds. The HPHA would still need to seek public comment and receive HUD approval of its MTW Supplement before any funds can be used in this manner. As further clarification, no state funding may be used under this activity. The HPHA is also unable to shift more than 10 percent of its total HAP budget towards affordable housing development without a separate HUD-established Safe Harbor waiver. The HPHA is not seeking the Safe Harbor waiver at this time.

**Agency-Specific Waiver – Alternative Accommodation Transfer**

One person provided oral comments asking if the agency-specific waiver or other potential waivers would make it harder to port-out or, in some instances, completely restrict participants from porting, except for certain cases. The commentor stated that they were aware of other MTW Agencies enforcing stricter port-out rules.

HPHA Response: The HPHA is not considering implementing regulations that would prevent a participant's right to port to another jurisdiction at this time. The HPHA will continue to allow port-outs as long as the voucher holder is qualified.

One person provided oral comments asking if HPHA would consider a transfer program that would allow Section 8 participants to move into Public Housing. The allowable income limit is higher in Public Housing. A family that has too high of an income for Section 8 could find a transition option useful so as to not be cut off from housing assistance completely.

HPHA Response: The HPHA considered allowing transfers from Section 8 to Public Housing due to an approved Reasonable Accommodation Request or VAWA. However, the HPHA is not pursuing that option currently. The HPHA will consider the suggestion of allowing a broader transfer program. Section 8 voucher holders are advised that HUD issued a new over-income limit policy as set forth in PIH Notice 2019-11 and the Housing Opportunity Through Modernization Act of 2016.

**Other Comments**

One person commented that incentive payments should be provided for vacating tenants to leave their unit in good condition.

HPHA Response: The HPHA appreciates the testifiers comments and will take it into consideration for a future MTW waiver. However, it is unlikely



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that the HPHA would utilize housing assistance funds to pay program participants.

Multiple people commented on the Rent Reasonable and Affordability procedures for new move-ins. As the program works, landlords are sometimes asked to accept a monthly amount that is lower than a comparable rent.

HPHA Response: The HPHA appreciates the testifiers comments but is currently required to determine the rents reasonableness compared to other unit rents in the area, and the ability for a participant to afford a unit. The HPHA may consider allowable alternatives provided under MTW to change these rules. The HPHA is open to discussing related MTW alternatives with the public in the future.

Multiple people commented that initiatives provided to assist and recruit landlords will not be sufficient to alleviate the issues within the program or incentivize new landlords. The commenters addressed multiple issues they have with the administration of the program, including staff response times and loss of rental income due to the rent reasonable and affordability requirements.

HPHA Response: The HPHA appreciates the testifiers comments and concerns and agrees that landlord and tenant assistance is very important for the overall success of the HCV program.

One person provided oral comments asking if administrative rules for the landlord incentive programs have to be established, and if so, when those rules are expected to be approved and the programs to be in effect.

HPHA Response: New rules will need to be established and adopted prior to implementation of the incentive programs. To enact MTW incentives, the HPHA will be required to amend its PHA Plan to include the MTW Supplement, hold a forty-five day review period and public hearing, submit the Supplement to HUD, and amend the Section 8 Administrative Rules prior before the programs may go into effect. If the HPHA may establish the payment incentive program earlier if the program is funded exclusively through non-federal funds, subject to the establishment of program rules.

Two people provided oral comments asking there are any MTW programs to assist Section 8 tenants to get off the program or to provide training or work services, such as the Hawaii Division of Vocational Rehabilitation (DVR).

HPHA Response: The HPHA appreciates the testifiers comments and is considering coordinating with potential MTW programs that may assist



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families toward economic self-sufficiency. The HPHA would not likely fund training programs with housing assistance funds as that will limit the number of families able to be served with a voucher. Individuals are encouraged to contact existing job training programs through the Department of Human Services or the Department of Labor and Industrial Relations.

One person provided oral comments asking if HPHA was planning any MTW-related activities that will help with staff responsiveness for questions and concerns.

HPHA Response: One of the long-term goals of the HPHA's MTW designation is to improve cost efficiency and decrease administrative burden so that staff can be more responsive and work more directly with tenants on a regular basis. Going forward, the HPHA will implement future MTW waivers that help to accomplish this goal.



## FOR ACTION

**MOTION:** To **(1)** Adopt Payment Standards for the Hawaii Public Housing Authority's (HPHA) Section 8 Housing Choice Voucher Program for Oahu Zip Codes Where the U.S. Department of Housing and Urban Development Has Required the Use of Small Area Fair Market Rent (SAFMR) Effective January 1, 2023; and **(2)** Authorize the Executive Director to Implement the Payment Standards, Including Making Adjustments to the Payment Standards Between 90% and 110% in the Event of a Funding Shortfall or Funding Increase, Provided that HPHA Gives Adequate Notice to Program Participants Prior to Adjusting the Payment Standards

### I. FACTS

- A. The U.S. Department of Housing and Urban Development (HUD) annually estimates fair market rents (FMR) for Office of Management and Budget (OMB) defined metropolitan areas, some HUD defined subdivisions of OMB metropolitan areas and each nonmetropolitan county.
- B. In the administration of the Housing Choice Voucher (HCV) program, SAFMRs (i.e., FMRs established at the ZIP code–area level) replace the 50th percentile FMRs previously required in metropolitan areas with high concentrations of voucher families. SAFMRs are intended to provide families residing in such areas with access to low-poverty areas by providing rental assistance at a level that makes the higher rents in such areas affordable to them.
- C. For HCV-assisted families who reside in designated SAFMR metropolitan areas, PHAs are required to use SAFMRs in establishing families' payment standards. The HPHA's Section 8 HCV program is operated in the City & County of Honolulu and is considered a "Designated SAFMR PHA".
- D. 42 USC 1437f requires FMRs be posted at least 30 days before they are effective and states that they are effective at the start of the federal fiscal year (generally October 1).

## II. DISCUSSION

- A. As required by the Federal program regulations, HPHA reviews and adjusts the Payment Standards as HUD publishes the new zip code based FMR. The payment standard was last updated at the start of the federal fiscal year and the HPHA must adjust its payment standard no later than 3 months following the effective date of the change in the FMR. As such, the HPHA must make proposed changes no later than January 1, 2023 as some zip codes were impacted.
- B. The SAFMR rule establishes zip code-based FMR instead of FMR covering an entire metropolitan area. This means in high-rent areas, the FMR is higher thus creating an incentive for families to move to a neighborhood with better schools, amenities, or more job opportunities. It also means that in low-rent areas, the voucher payment standard is lower because rents are not comparable to the high-rent areas within the larger metropolitan area.
- C. An analysis of the SAFMR issued by HUD indicates that average rents have increased and decreased as much as 10%, depending on the zip code, with most increases and decreases changing about 3% in each direction. HPHA groups the zip codes into 13 different tiers to establish the payment standards. By grouping the zip codes into tiers, applicants, tenants, and staff are able to efficiently check which tier their unit falls into, rather than having to check 60 different payment standards.
- D. HPHA elected to increase its tier groupings from 7 tiers to 13 tiers in 2023. Researching the past few payment standard years, it was found that the SAFMR often varies significantly between each zip code. By grouping too many zip codes together, areas where many of our participants reside are negatively impacted by significant decreases in the SAFMR for those tiers. Creating additional tiers would allow a fairer SAFMR balance without significantly affecting any other tier group.
- E. Each tier group has the same payment standard for all of the zip codes within that tier. Payment standards range between 90% to 100% of the SAFMR for that particular zip code. The payment standard establishes the amount of rent that a tenant can generally look for in a particular zip code.

The payment standard is the first limitation on allowable rents. The second limitation on allowable rents is the test of rent reasonableness. Once a unit is identified by the tenant, the unit must then also meet tests of rent reasonableness. HPHA must ensure that rents charged by owners to HCV program participants are reasonable and comparable to other rents for similar unassisted units in the marketplace.

If a public housing agency approves rents that are too high, government funds are wasted, and limited housing subsidies are squandered. Alternatively, if rents are approved at levels lower than comparable units in the private market, better owners and higher quality units are discouraged from participating in the program. In addition, families may be inappropriately restricted in where they can live. Determining rent reasonableness is especially critical when an agency uses its authority to set a payment standard higher than the FMR for all or a portion of its jurisdiction. Some owners will apply pressure to increase their rents to, or closer to, the payment standard. PHAs should be careful to not overpay, or the effect will be to inflate rents in a portion of the market.

- F. On December 9, 2021, HUD published PIH Notice 2021-34, providing PHA's access to and expedited regulatory waiver to establish payment standards from 111 to 120 percent of the FMR. On March 9, 2022, HUD granted HPHA a waiver to increase the payment standard up to 120% of SAFMR.

An increased payment standard chart went into effect April 1, 2022, with payment tiers ranging from 90-120%. On September 26, 2022, HUD released PIH Notice 2022-30, providing for the extension of this regulatory waiver. HPHA applied for an extension to the waiver for payment standards and is awaiting HUD review/approval. If approved, the Agency will provide the Board with a new payment standard chart for review and approval.

- G. Attached for consideration are the proposed payment standards for zip codes in the City and County of Honolulu for the HPHA's Housing Choice Voucher Program, effective January 1, 2023.

### III. RECOMMENDATION

That the Board of Directors **(1)** Adopt Payment Standards for the Hawaii Public Housing Authority's (HPHA) Section 8 Housing Choice Voucher Program for Oahu Zip Codes Where the U.S. Department of Housing and Urban Development Has Required the Use of Small Area Fair Market Rent (SAFMR) Effective January 1, 2023; and **(2)** Authorize the Executive Director to Implement the Payment Standards, Including Making Adjustments to the Payment Standards Between 90% and 110% in the Event of a Funding Shortfall or Funding Increase, Provided that HPHA Gives Adequate Notice to Program Participants Prior to Adjusting the Payment Standards



Attachment A: Urban Honolulu, HI MSA Small Area FY 2023 Fair Market Rents,  
issued by HUD, Effective at the start of the federal fiscal year  
(generally October 1)  
Attachment B: Summary of Proposed Payment Standards, effective January 1, 2023  
and Current Payment Standards, effective January 1, 2022  
Attachment C: Detailed Payment Standard by zip codes  
Prepared by: Sarah Beamer, Acting Section 8 Subsidy Programs Branch Chief SB

Approved by the Board of Directors  
on the date set forth above  
[ ☒ ] As Proposed [ ☐ ] As Amended

  
\_\_\_\_\_  
Robert J. Hall  
Chairperson

# ATTACHMENT A

## Urban Honolulu, HI MSA Small Area FY 2023 Fair Market Rents

In metropolitan areas, HUD defines Small Areas using ZIP Codes within the metropolitan area. Using ZIP codes as the basis for FMRs provides tenants with greater ability to move into "Opportunity Neighborhoods" with jobs, public transportation, and good schools. They also provide for multiple payment standards within a metropolitan area, and they are likely to reduce need for extensive market area rent reasonableness studies. Lastly, HUD hopes that setting FMRs for each ZIP code will reduce overpayment in lower-rent areas.

NOTE: ZIP Code areas are defined by the postal service to facilitate the efficient delivery of mail. Because of this, ZIP code areas may cross city, county, and in some limited instances, state lines. Consequently, ZIP codes which cross county lines may lie within more than one metropolitan area, or cover parts of one or more nonmetropolitan counties and part of a metropolitan area.

| ZIP Code | Efficiency | One-Bedroom | Two-Bedroom | Three-Bedroom | Four-Bedroom | Five-Bedroom | Six-Bedroom | Seven-Bedroom | Eight-Bedroom |
|----------|------------|-------------|-------------|---------------|--------------|--------------|-------------|---------------|---------------|
| 96701    | \$1,630    | \$1,790     | \$2,340     | \$3,330       | \$3,990      | \$4,589      | \$5,187     | 5,786         | \$6,384       |
| 96706    | \$1,930    | \$2,120     | \$2,780     | \$3,950       | \$4,740      | \$5,451      | \$6,162     | 6,873         | \$7,584       |
| 96707    | \$1,650    | \$1,810     | \$2,370     | \$3,370       | \$4,040      | \$4,646      | \$5,252     | 5,858         | \$6,464       |
| 96709    | \$1,570    | \$1,720     | \$2,250     | \$3,200       | \$3,830      | \$4,405      | \$4,979     | 5,554         | \$6,128       |
| 96712    | \$1,430    | \$1,570     | \$2,050     | \$2,910       | \$3,490      | \$4,014      | \$4,537     | 5,061         | \$5,584       |
| 96717    | \$1,520    | \$1,660     | \$2,180     | \$3,100       | \$3,710      | \$4,267      | \$4,823     | 5,380         | \$5,936       |
| 96730    | \$1,300    | \$1,430     | \$1,870     | \$2,660       | \$3,190      | \$3,669      | \$4,147     | 4,626         | \$5,104       |
| 96731    | \$1,470    | \$1,610     | \$2,110     | \$3,000       | \$3,590      | \$4,129      | \$4,667     | 5,206         | \$5,744       |
| 96734    | \$2,230    | \$2,450     | \$3,210     | \$4,560       | \$5,470      | \$6,291      | \$7,111     | 7,932         | \$8,752       |
| 96744    | \$1,630    | \$1,790     | \$2,350     | \$3,340       | \$4,000      | \$4,600      | \$5,200     | 5,800         | \$6,400       |
| 96759    | \$1,700    | \$1,860     | \$2,440     | \$3,470       | \$4,160      | \$4,784      | \$5,408     | 6,032         | \$6,656       |
| 96762    | \$1,600    | \$1,760     | \$2,300     | \$3,270       | \$3,920      | \$4,508      | \$5,096     | 5,684         | \$6,272       |
| 96782    | \$1,690    | \$1,860     | \$2,430     | \$3,450       | \$4,140      | \$4,761      | \$5,382     | 6,003         | \$6,624       |
| 96786    | \$1,790    | \$1,960     | \$2,570     | \$3,650       | \$4,380      | \$5,037      | \$5,694     | 6,351         | \$7,008       |
| 96789    | \$1,680    | \$1,850     | \$2,420     | \$3,440       | \$4,120      | \$4,738      | \$5,356     | 5,974         | \$6,592       |
| 96791    | \$1,750    | \$1,920     | \$2,510     | \$3,570       | \$4,280      | \$4,922      | \$5,564     | 6,206         | \$6,848       |
| 96792    | \$1,110    | \$1,220     | \$1,600     | \$2,270       | \$2,730      | \$3,140      | \$3,549     | 3,959         | \$4,368       |
| 96795    | \$1,120    | \$1,230     | \$1,610     | \$2,290       | \$2,740      | \$3,151      | \$3,562     | 3,973         | \$4,384       |
| 96797    | \$1,440    | \$1,580     | \$2,070     | \$2,940       | \$3,530      | \$4,060      | \$4,589     | 5,119         | \$5,648       |
| 96801    | \$1,570    | \$1,720     | \$2,250     | \$3,200       | \$3,830      | \$4,405      | \$4,979     | 5,554         | \$6,128       |
| 96802    | \$1,570    | \$1,720     | \$2,250     | \$3,200       | \$3,830      | \$4,405      | \$4,979     | 5,554         | \$6,128       |
| 96803    | \$1,570    | \$1,720     | \$2,250     | \$3,200       | \$3,830      | \$4,405      | \$4,979     | 5,554         | \$6,128       |
| 96804    | \$1,570    | \$1,720     | \$2,250     | \$3,200       | \$3,830      | \$4,405      | \$4,979     | 5,554         | \$6,128       |
| 96805    | \$1,570    | \$1,720     | \$2,250     | \$3,200       | \$3,830      | \$4,405      | \$4,979     | 5,554         | \$6,128       |
| 96806    | \$1,570    | \$1,720     | \$2,250     | \$3,200       | \$3,830      | \$4,405      | \$4,979     | 5,554         | \$6,128       |
| 96807    | \$1,570    | \$1,720     | \$2,250     | \$3,200       | \$3,830      | \$4,405      | \$4,979     | 5,554         | \$6,128       |
| 96808    | \$1,570    | \$1,720     | \$2,250     | \$3,200       | \$3,830      | \$4,405      | \$4,979     | 5,554         | \$6,128       |
| 96809    | \$1,570    | \$1,720     | \$2,250     | \$3,200       | \$3,830      | \$4,405      | \$4,979     | 5,554         | \$6,128       |
| 96810    | \$1,570    | \$1,720     | \$2,250     | \$3,200       | \$3,830      | \$4,405      | \$4,979     | 5,554         | \$6,128       |
| 96811    | \$1,570    | \$1,720     | \$2,250     | \$3,200       | \$3,830      | \$4,405      | \$4,979     | 5,554         | \$6,128       |
| 96812    | \$1,570    | \$1,720     | \$2,250     | \$3,200       | \$3,830      | \$4,405      | \$4,979     | 5,554         | \$6,128       |
| 96813    | \$1,420    | \$1,560     | \$2,050     | \$2,900       | \$3,510      | \$4,037      | \$4,563     | 5,090         | \$5,616       |
| 96814    | \$1,680    | \$1,850     | \$2,420     | \$3,440       | \$4,120      | \$4,738      | \$5,356     | 5,974         | \$6,592       |
| 96815    | \$1,900    | \$2,080     | \$2,730     | \$3,880       | \$4,650      | \$5,348      | \$6,045     | 6,743         | \$7,440       |
| 96816    | \$1,510    | \$1,660     | \$2,170     | \$3,080       | \$3,700      | \$4,255      | \$4,810     | 5,365         | \$5,920       |
| 96817    | \$1,240    | \$1,360     | \$1,780     | \$2,530       | \$3,030      | \$3,485      | \$3,939     | 4,394         | \$4,848       |
| 96818    | \$2,110    | \$2,310     | \$3,030     | \$4,310       | \$5,160      | \$5,934      | \$6,708     | 7,482         | \$8,256       |
| 96819    | \$1,350    | \$1,480     | \$1,940     | \$2,760       | \$3,300      | \$3,795      | \$4,290     | 4,785         | \$5,280       |
| 96820    | \$1,570    | \$1,720     | \$2,250     | \$3,200       | \$3,830      | \$4,405      | \$4,979     | 5,554         | \$6,128       |
| 96821    | \$2,250    | \$2,470     | \$3,230     | \$4,590       | \$5,500      | \$6,325      | \$7,150     | 7,975         | \$8,800       |
| 96822    | \$1,470    | \$1,610     | \$2,110     | \$3,000       | \$3,590      | \$4,129      | \$4,667     | 5,206         | \$5,744       |
| 96823    | \$1,570    | \$1,720     | \$2,250     | \$3,200       | \$3,830      | \$4,405      | \$4,979     | 5,554         | \$6,128       |
| 96824    | \$1,570    | \$1,720     | \$2,250     | \$3,200       | \$3,830      | \$4,405      | \$4,979     | 5,554         | \$6,128       |
| 96825    | \$2,340    | \$2,570     | \$3,370     | \$4,790       | \$5,740      | \$6,601      | \$7,462     | 8,323         | \$9,184       |
| 96826    | \$1,480    | \$1,630     | \$2,130     | \$3,030       | \$3,630      | \$4,175      | \$4,719     | 5,264         | \$5,808       |
| 96828    | \$1,570    | \$1,720     | \$2,250     | \$3,200       | \$3,830      | \$4,405      | \$4,979     | 5,554         | \$6,128       |
| 96830    | \$1,570    | \$1,720     | \$2,250     | \$3,200       | \$3,830      | \$4,405      | \$4,979     | 5,554         | \$6,128       |
| 96836    | \$1,570    | \$1,720     | \$2,250     | \$3,200       | \$3,830      | \$4,405      | \$4,979     | 5,554         | \$6,128       |
| 96837    | \$1,570    | \$1,720     | \$2,250     | \$3,200       | \$3,830      | \$4,405      | \$4,979     | 5,554         | \$6,128       |
| 96839    | \$1,570    | \$1,720     | \$2,250     | \$3,200       | \$3,830      | \$4,405      | \$4,979     | 5,554         | \$6,128       |
| 96848    | \$1,570    | \$1,720     | \$2,250     | \$3,200       | \$3,830      | \$4,405      | \$4,979     | 5,554         | \$6,128       |
| 96850    | \$1,570    | \$1,720     | \$2,250     | \$3,200       | \$3,830      | \$4,405      | \$4,979     | 5,554         | \$6,128       |
| 96853    | \$1,740    | \$1,910     | \$2,510     | \$3,560       | \$4,290      | \$4,934      | \$5,577     | 6,221         | \$6,864       |
| 96854    | \$1,570    | \$1,720     | \$2,250     | \$3,200       | \$3,830      | \$4,405      | \$4,979     | 5,554         | \$6,128       |
| 96857    | \$1,580    | \$1,730     | \$2,270     | \$3,230       | \$3,880      | \$4,462      | \$5,044     | 5,626         | \$6,208       |
| 96858    | \$1,570    | \$1,720     | \$2,250     | \$3,200       | \$3,830      | \$4,405      | \$4,979     | 5,554         | \$6,128       |
| 96859    | \$1,570    | \$1,720     | \$2,250     | \$3,200       | \$3,830      | \$4,405      | \$4,979     | 5,554         | \$6,128       |
| 96860    | \$1,880    | \$2,060     | \$2,700     | \$3,840       | \$4,620      | \$5,313      | \$6,006     | 6,699         | \$7,392       |
| 96861    | \$1,570    | \$1,720     | \$2,250     | \$3,200       | \$3,830      | \$4,405      | \$4,979     | 5,554         | \$6,128       |
| 96863    | \$1,640    | \$1,800     | \$2,360     | \$3,350       | \$4,040      | \$4,646      | \$5,252     | 5,858         | \$6,464       |

ATTACHMENT B

**Payment Standards Based on SAFMR  
Effective January 1, 2023**

| TIER    | ZIP CODES      |       |       |       | BEDROOM SIZE |         |         |         |         |         |         |         |         |
|---------|----------------|-------|-------|-------|--------------|---------|---------|---------|---------|---------|---------|---------|---------|
|         |                |       |       |       | 0            | 1       | 2       | 3       | 4       | 5       | 6       | 7       | 8       |
| Tier 1  | 96825          |       |       |       | \$2,360      | \$2,570 | \$3,370 | \$4,790 | \$5,740 | \$6,600 | \$7,460 | \$8,300 | \$9,000 |
| Tier 2  | 96821    96734 |       |       |       | \$2,350      | \$2,470 | \$3,230 | \$4,590 | \$5,500 | \$6,325 | \$7,150 | \$7,900 | \$8,800 |
| Tier 3  | 96818          |       |       |       | \$2,155      | \$2,365 | \$3,100 | \$4,415 | \$5,315 | \$6,115 | \$6,900 | \$7,700 | \$8,500 |
| Tier 4  | 96706          |       |       |       | \$2,120      | \$2,330 | \$3,050 | \$4,340 | \$5,210 | \$5,990 | \$6,700 | \$7,550 | \$8,300 |
| Tier 5  | 96815          |       |       |       | \$2,080      | \$2,280 | \$3,000 | \$4,250 | \$5,100 | \$5,850 | \$6,620 | \$7,400 | \$8,150 |
| Tier 6  | 96860          |       |       |       | \$2,060      | \$2,260 | \$2,970 | \$4,220 | \$5,050 | \$5,800 | \$6,600 | \$7,360 | \$8,130 |
| Tier 7  | 96759          | 96786 | 96791 | 96853 | \$1,750      | \$1,950 | \$2,530 | \$3,620 | \$4,380 | \$5,000 | \$5,670 | \$6,350 | \$7,100 |
| Tier 8  | 96701          | 96707 | 96744 | 96762 | \$1,650      | \$1,930 | \$2,520 | \$3,590 | \$4,310 | \$4,950 | \$5,600 | \$6,250 | \$6,850 |
|         | 96782          | 96789 | 96814 | 96863 |              |         |         |         |         |         |         |         |         |
| Tier 9  | 96709          | 96717 | 96801 | 96802 | \$1,580      | \$1,720 | \$2,250 | \$3,250 | \$3,890 | \$4,500 | \$5,050 | \$5,650 | \$6,200 |
|         | 96803          | 96804 | 96805 | 96806 |              |         |         |         |         |         |         |         |         |
|         | 96807          | 96808 | 96809 | 96810 |              |         |         |         |         |         |         |         |         |
|         | 96811          | 96812 | 96816 | 96820 |              |         |         |         |         |         |         |         |         |
|         | 96823          | 96824 | 96828 | 96830 |              |         |         |         |         |         |         |         |         |
|         | 96836          | 96837 | 96839 | 96848 |              |         |         |         |         |         |         |         |         |
|         | 96850          | 96854 | 96857 | 96858 |              |         |         |         |         |         |         |         |         |
| 96859   | 96861          |       |       |       |              |         |         |         |         |         |         |         |         |
| Tier 10 | 96712          | 96731 | 96797 | 96813 | \$1,560      | \$1,710 | \$2,200 | \$3,100 | \$3,850 | \$4,400 | \$4,950 | \$5,550 | \$6,100 |
|         | 96822          | 96826 |       |       |              |         |         |         |         |         |         |         |         |
| Tier 11 | 96730    96819 |       |       |       | \$1,430      | \$1,570 | \$2,050 | \$2,920 | \$3,500 | \$4,030 | \$4,560 | \$5,080 | \$5,600 |
| Tier 12 | 96817          |       |       |       | \$1,360      | \$1,485 | \$1,950 | \$2,780 | \$3,330 | \$3,830 | \$4,330 | \$4,830 | \$5,330 |
| Tier 13 | 96792    96795 |       |       |       | \$1,220      | \$1,330 | \$1,750 | \$2,490 | \$3,000 | \$3,450 | \$3,900 | \$4,350 | \$4,800 |

ATTACHMENT C

| TIER | ZIP Code | Studio  |                  |            | One-Bedroom |                  |            | Two-Bedroom |                  |            | Three-Bedroom |                  |            | Four-Bedroom |                  |            |
|------|----------|---------|------------------|------------|-------------|------------------|------------|-------------|------------------|------------|---------------|------------------|------------|--------------|------------------|------------|
|      |          | SAFMR   | Payment Standard | % of SAFMR | SAFMR       | Payment Standard | % of SAFMR | SAFMR       | Payment Standard | % of SAFMR | SAFMR         | Payment Standard | % of SAFMR | SAFMR        | Payment Standard | % of SAFMR |
| 1    | 96825    | \$2,340 | \$2,360          | 100.85%    | \$2,570     | \$2,570          | 100.0%     | \$3,370     | \$3,370          | 100.0%     | \$4,790       | \$4,790          | 100.0%     | \$5,740      | \$5,740          | 100.0%     |
| 2    | 96821    | \$2,250 | \$2,350          | 104.44%    | \$2,470     | \$2,470          | 100.0%     | \$3,230     | \$3,230          | 100.0%     | \$4,590       | \$4,590          | 100.0%     | \$5,500      | \$5,500          | 100.0%     |
| 2    | 96734    | \$2,230 | \$2,350          | 105.38%    | \$2,450     | \$2,470          | 100.8%     | \$3,210     | \$3,230          | 100.6%     | \$4,560       | \$4,590          | 100.7%     | \$5,470      | \$5,500          | 100.5%     |
| 3    | 96818    | \$2,110 | \$2,155          | 102.13%    | \$2,310     | \$2,365          | 102.4%     | \$3,030     | \$3,100          | 102.3%     | \$4,310       | \$4,415          | 102.4%     | \$5,160      | \$5,315          | 103.0%     |
| 4    | 96706    | \$1,930 | \$2,120          | 109.84%    | \$2,120     | \$2,330          | 109.9%     | \$2,780     | \$3,050          | 109.7%     | \$3,950       | \$4,340          | 109.9%     | \$4,740      | \$5,210          | 109.9%     |
| 5    | 96815    | \$1,900 | \$2,080          | 109.47%    | \$2,080     | \$2,280          | 109.6%     | \$2,730     | \$3,000          | 109.9%     | \$3,880       | \$4,250          | 109.5%     | \$4,650      | \$5,100          | 109.7%     |
| 6    | 96860    | \$1,880 | \$2,060          | 109.57%    | \$2,060     | \$2,260          | 109.7%     | \$2,700     | \$2,970          | 110.0%     | \$3,840       | \$4,220          | 109.9%     | \$4,620      | \$5,050          | 109.3%     |
| 7    | 96786    | \$1,790 | \$1,750          | 97.77%     | \$1,960     | \$1,950          | 99.5%      | \$2,570     | \$2,530          | 98.4%      | \$3,650       | \$3,620          | 99.2%      | \$4,380      | \$4,380          | 100.0%     |
| 7    | 96791    | \$1,750 | \$1,750          | 100.00%    | \$1,920     | \$1,950          | 101.6%     | \$2,510     | \$2,530          | 100.8%     | \$3,570       | \$3,620          | 101.4%     | \$4,280      | \$4,380          | 102.3%     |
| 7    | 96853    | \$1,740 | \$1,750          | 100.57%    | \$1,910     | \$1,950          | 102.1%     | \$2,510     | \$2,530          | 100.8%     | \$3,560       | \$3,620          | 101.7%     | \$4,290      | \$4,380          | 102.1%     |
| 7    | 96759    | \$1,700 | \$1,750          | 102.94%    | \$1,860     | \$1,950          | 104.8%     | \$2,440     | \$2,530          | 103.7%     | \$3,470       | \$3,620          | 104.3%     | \$4,160      | \$4,380          | 105.3%     |
| 8    | 96782    | \$1,690 | \$1,650          | 97.63%     | \$1,860     | \$1,930          | 103.8%     | \$2,430     | \$2,520          | 103.7%     | \$3,450       | \$3,590          | 104.1%     | \$4,140      | \$4,310          | 104.1%     |
| 8    | 96789    | \$1,680 | \$1,650          | 98.21%     | \$1,850     | \$1,930          | 104.3%     | \$2,420     | \$2,520          | 104.1%     | \$3,440       | \$3,590          | 104.4%     | \$4,120      | \$4,310          | 104.6%     |
| 8    | 96814    | \$1,680 | \$1,650          | 98.21%     | \$1,850     | \$1,930          | 104.3%     | \$2,420     | \$2,520          | 104.1%     | \$3,440       | \$3,590          | 104.4%     | \$4,120      | \$4,310          | 104.6%     |
| 8    | 96707    | \$1,650 | \$1,650          | 100.00%    | \$1,810     | \$1,930          | 106.6%     | \$2,370     | \$2,520          | 106.3%     | \$3,370       | \$3,590          | 106.5%     | \$4,040      | \$4,310          | 106.7%     |
| 8    | 96863    | \$1,640 | \$1,650          | 100.61%    | \$1,800     | \$1,930          | 107.2%     | \$2,360     | \$2,520          | 106.8%     | \$3,350       | \$3,590          | 107.2%     | \$4,040      | \$4,310          | 106.7%     |
| 8    | 96701    | \$1,630 | \$1,650          | 101.23%    | \$1,790     | \$1,930          | 107.8%     | \$2,340     | \$2,520          | 107.7%     | \$3,330       | \$3,590          | 107.8%     | \$3,990      | \$4,310          | 108.0%     |
| 8    | 96744    | \$1,630 | \$1,650          | 101.23%    | \$1,790     | \$1,930          | 107.8%     | \$2,350     | \$2,520          | 107.2%     | \$3,340       | \$3,590          | 107.5%     | \$4,000      | \$4,310          | 107.8%     |
| 8    | 96762    | \$1,600 | \$1,650          | 103.13%    | \$1,760     | \$1,930          | 109.7%     | \$2,300     | \$2,520          | 109.6%     | \$3,270       | \$3,590          | 109.8%     | \$3,920      | \$4,310          | 109.9%     |
| 9    | 96709    | \$1,570 | \$1,580          | 100.64%    | \$1,720     | \$1,720          | 100.0%     | \$2,250     | \$2,250          | 100.0%     | \$3,200       | \$3,250          | 101.6%     | \$3,830      | \$3,890          | 101.6%     |
| 9    | 96717    | \$1,520 | \$1,580          | 103.95%    | \$1,660     | \$1,720          | 103.6%     | \$2,180     | \$2,250          | 103.2%     | \$3,100       | \$3,250          | 104.8%     | \$3,710      | \$3,890          | 104.9%     |
| 9    | 96801    | \$1,570 | \$1,580          | 100.64%    | \$1,720     | \$1,720          | 100.0%     | \$2,250     | \$2,250          | 100.0%     | \$3,200       | \$3,250          | 101.6%     | \$3,830      | \$3,890          | 101.6%     |
| 9    | 96802    | \$1,570 | \$1,580          | 100.64%    | \$1,720     | \$1,720          | 100.0%     | \$2,250     | \$2,250          | 100.0%     | \$3,200       | \$3,250          | 101.6%     | \$3,830      | \$3,890          | 101.6%     |
| 9    | 96803    | \$1,570 | \$1,580          | 100.64%    | \$1,720     | \$1,720          | 100.0%     | \$2,250     | \$2,250          | 100.0%     | \$3,200       | \$3,250          | 101.6%     | \$3,830      | \$3,890          | 101.6%     |
| 9    | 96804    | \$1,570 | \$1,580          | 100.64%    | \$1,720     | \$1,720          | 100.0%     | \$2,250     | \$2,250          | 100.0%     | \$3,200       | \$3,250          | 101.6%     | \$3,830      | \$3,890          | 101.6%     |
| 9    | 96805    | \$1,570 | \$1,580          | 100.64%    | \$1,720     | \$1,720          | 100.0%     | \$2,250     | \$2,250          | 100.0%     | \$3,200       | \$3,250          | 101.6%     | \$3,830      | \$3,890          | 101.6%     |
| 9    | 96806    | \$1,570 | \$1,580          | 100.64%    | \$1,720     | \$1,720          | 100.0%     | \$2,250     | \$2,250          | 100.0%     | \$3,200       | \$3,250          | 101.6%     | \$3,830      | \$3,890          | 101.6%     |
| 9    | 96807    | \$1,570 | \$1,580          | 100.64%    | \$1,720     | \$1,720          | 100.0%     | \$2,250     | \$2,250          | 100.0%     | \$3,200       | \$3,250          | 101.6%     | \$3,830      | \$3,890          | 101.6%     |
| 9    | 96808    | \$1,570 | \$1,580          | 100.64%    | \$1,720     | \$1,720          | 100.0%     | \$2,250     | \$2,250          | 100.0%     | \$3,200       | \$3,250          | 101.6%     | \$3,830      | \$3,890          | 101.6%     |
| 9    | 96809    | \$1,570 | \$1,580          | 100.64%    | \$1,720     | \$1,720          | 100.0%     | \$2,250     | \$2,250          | 100.0%     | \$3,200       | \$3,250          | 101.6%     | \$3,830      | \$3,890          | 101.6%     |
| 9    | 96810    | \$1,570 | \$1,580          | 100.64%    | \$1,720     | \$1,720          | 100.0%     | \$2,250     | \$2,250          | 100.0%     | \$3,200       | \$3,250          | 101.6%     | \$3,830      | \$3,890          | 101.6%     |
| 9    | 96811    | \$1,570 | \$1,580          | 100.64%    | \$1,720     | \$1,720          | 100.0%     | \$2,250     | \$2,250          | 100.0%     | \$3,200       | \$3,250          | 101.6%     | \$3,830      | \$3,890          | 101.6%     |
| 9    | 96812    | \$1,570 | \$1,580          | 100.64%    | \$1,720     | \$1,720          | 100.0%     | \$2,250     | \$2,250          | 100.0%     | \$3,200       | \$3,250          | 101.6%     | \$3,830      | \$3,890          | 101.6%     |
| 9    | 96816    | \$1,510 | \$1,580          | 104.64%    | \$1,660     | \$1,720          | 103.6%     | \$2,170     | \$2,250          | 103.7%     | \$3,080       | \$3,250          | 105.5%     | \$3,700      | \$3,890          | 105.1%     |

Detailed SAFMR and Payment Standards by Zip Code  
Effective January 1, 2023

| TIER | ZIP Code | Studio  |                  |            | One-Bedroom |                  |            | Two-Bedroom |                  |            | Three-Bedroom |                  |            | Four-Bedroom |                  |            |
|------|----------|---------|------------------|------------|-------------|------------------|------------|-------------|------------------|------------|---------------|------------------|------------|--------------|------------------|------------|
|      |          | SAFMR   | Payment Standard | % of SAFMR | SAFMR       | Payment Standard | % of SAFMR | SAFMR       | Payment Standard | % of SAFMR | SAFMR         | Payment Standard | % of SAFMR | SAFMR        | Payment Standard | % of SAFMR |
| 9    | 96820    | \$1,570 | \$1,580          | 100.64%    | \$1,720     | \$1,720          | 100.0%     | \$2,250     | \$2,250          | 100.0%     | \$3,200       | \$3,250          | 101.6%     | \$3,830      | \$3,890          | 101.6%     |
| 9    | 96823    | \$1,570 | \$1,580          | 100.64%    | \$1,720     | \$1,720          | 100.0%     | \$2,250     | \$2,250          | 100.0%     | \$3,200       | \$3,250          | 101.6%     | \$3,830      | \$3,890          | 101.6%     |
| 9    | 96824    | \$1,570 | \$1,580          | 100.64%    | \$1,720     | \$1,720          | 100.0%     | \$2,250     | \$2,250          | 100.0%     | \$3,200       | \$3,250          | 101.6%     | \$3,830      | \$3,890          | 101.6%     |
| 9    | 96828    | \$1,570 | \$1,580          | 100.64%    | \$1,720     | \$1,720          | 100.0%     | \$2,250     | \$2,250          | 100.0%     | \$3,200       | \$3,250          | 101.6%     | \$3,830      | \$3,890          | 101.6%     |
| 9    | 96830    | \$1,570 | \$1,580          | 100.64%    | \$1,720     | \$1,720          | 100.0%     | \$2,250     | \$2,250          | 100.0%     | \$3,200       | \$3,250          | 101.6%     | \$3,830      | \$3,890          | 101.6%     |
| 9    | 96836    | \$1,570 | \$1,580          | 100.64%    | \$1,720     | \$1,720          | 100.0%     | \$2,250     | \$2,250          | 100.0%     | \$3,200       | \$3,250          | 101.6%     | \$3,830      | \$3,890          | 101.6%     |
| 9    | 96837    | \$1,570 | \$1,580          | 100.64%    | \$1,720     | \$1,720          | 100.0%     | \$2,250     | \$2,250          | 100.0%     | \$3,200       | \$3,250          | 101.6%     | \$3,830      | \$3,890          | 101.6%     |
| 9    | 96839    | \$1,570 | \$1,580          | 100.64%    | \$1,720     | \$1,720          | 100.0%     | \$2,250     | \$2,250          | 100.0%     | \$3,200       | \$3,250          | 101.6%     | \$3,830      | \$3,890          | 101.6%     |
| 9    | 96848    | \$1,570 | \$1,580          | 100.64%    | \$1,720     | \$1,720          | 100.0%     | \$2,250     | \$2,250          | 100.0%     | \$3,200       | \$3,250          | 101.6%     | \$3,830      | \$3,890          | 101.6%     |
| 9    | 96850    | \$1,570 | \$1,580          | 100.64%    | \$1,720     | \$1,720          | 100.0%     | \$2,250     | \$2,250          | 100.0%     | \$3,200       | \$3,250          | 101.6%     | \$3,830      | \$3,890          | 101.6%     |
| 9    | 96854    | \$1,570 | \$1,580          | 100.64%    | \$1,720     | \$1,720          | 100.0%     | \$2,250     | \$2,250          | 100.0%     | \$3,200       | \$3,250          | 101.6%     | \$3,830      | \$3,890          | 101.6%     |
| 9    | 96857    | \$1,580 | \$1,580          | 100.00%    | \$1,730     | \$1,720          | 99.4%      | \$2,270     | \$2,250          | 99.1%      | \$3,230       | \$3,250          | 100.6%     | \$3,880      | \$3,890          | 100.3%     |
| 9    | 96858    | \$1,570 | \$1,580          | 100.64%    | \$1,720     | \$1,720          | 100.0%     | \$2,250     | \$2,250          | 100.0%     | \$3,200       | \$3,250          | 101.6%     | \$3,830      | \$3,890          | 101.6%     |
| 9    | 96859    | \$1,570 | \$1,580          | 100.64%    | \$1,720     | \$1,720          | 100.0%     | \$2,250     | \$2,250          | 100.0%     | \$3,200       | \$3,250          | 101.6%     | \$3,830      | \$3,890          | 101.6%     |
| 9    | 96861    | \$1,570 | \$1,580          | 100.64%    | \$1,720     | \$1,720          | 100.0%     | \$2,250     | \$2,250          | 100.0%     | \$3,200       | \$3,250          | 101.6%     | \$3,830      | \$3,890          | 101.6%     |
| 10   | 96712    | \$1,430 | \$1,560          | 109.09%    | \$1,570     | \$1,710          | 108.9%     | \$2,050     | \$2,200          | 107.3%     | \$2,910       | \$3,100          | 106.5%     | \$3,490      | \$3,850          | 110.3%     |
| 10   | 96731    | \$1,470 | \$1,560          | 106.12%    | \$1,610     | \$1,710          | 106.2%     | \$2,110     | \$2,200          | 104.3%     | \$3,000       | \$3,100          | 103.3%     | \$3,590      | \$3,850          | 107.2%     |
| 10   | 96797    | \$1,440 | \$1,560          | 108.33%    | \$1,580     | \$1,710          | 108.2%     | \$2,070     | \$2,200          | 106.3%     | \$2,940       | \$3,100          | 105.4%     | \$3,530      | \$3,850          | 109.1%     |
| 10   | 96813    | \$1,420 | \$1,560          | 109.86%    | \$1,560     | \$1,710          | 109.6%     | \$2,050     | \$2,200          | 107.3%     | \$2,900       | \$3,100          | 106.9%     | \$3,510      | \$3,850          | 109.7%     |
| 10   | 96822    | \$1,470 | \$1,560          | 106.12%    | \$1,610     | \$1,710          | 106.2%     | \$2,110     | \$2,200          | 104.3%     | \$3,000       | \$3,100          | 103.3%     | \$3,590      | \$3,850          | 107.2%     |
| 10   | 96826    | \$1,480 | \$1,560          | 105.41%    | \$1,630     | \$1,710          | 104.9%     | \$2,130     | \$2,200          | 103.3%     | \$3,030       | \$3,100          | 102.3%     | \$3,630      | \$3,850          | 106.1%     |
| 11   | 96730    | \$1,300 | \$1,430          | 110.00%    | \$1,430     | \$1,570          | 109.8%     | \$1,870     | \$2,050          | 109.6%     | \$2,660       | \$2,920          | 109.8%     | \$3,190      | \$3,500          | 109.7%     |
| 11   | 96819    | \$1,350 | \$1,430          | 105.93%    | \$1,480     | \$1,570          | 106.1%     | \$1,940     | \$2,050          | 105.7%     | \$2,760       | \$2,920          | 105.8%     | \$3,300      | \$3,500          | 106.1%     |
| 12   | 96817    | \$1,240 | \$1,360          | 109.68%    | \$1,360     | \$1,485          | 109.2%     | \$1,780     | \$1,950          | 109.6%     | \$2,530       | \$2,780          | 109.9%     | \$3,030      | \$3,330          | 109.9%     |
| 13   | 96792    | \$1,110 | \$1,220          | 109.91%    | \$1,220     | \$1,330          | 109.0%     | \$1,600     | \$1,750          | 109.4%     | \$2,270       | \$2,490          | 109.7%     | \$2,730      | \$3,000          | 109.9%     |
| 13   | 96795    | \$1,120 | \$1,220          | 108.93%    | \$1,230     | \$1,330          | 108.1%     | \$1,610     | \$1,750          | 108.7%     | \$2,290       | \$2,490          | 108.7%     | \$2,740      | \$3,000          | 109.5%     |

Detailed SAFMR and Payment Standards by Zip Code  
Effective January 1, 2023

| TIER | ZIP Code | Five-Bedroom |                  |            | Six-Bedroom |                  |            | Seven-Bedroom |                  |            | Eight-Bedroom |                  |            |
|------|----------|--------------|------------------|------------|-------------|------------------|------------|---------------|------------------|------------|---------------|------------------|------------|
|      |          | SAFMR        | Payment Standard | % of SAFMR | SAFMR       | Payment Standard | % of SAFMR | SAFMR         | Payment Standard | % of SAFMR | SAFMR         | Payment Standard | % of SAFMR |
| 1    | 96825    | \$6,601      | \$6,600          | 100.0%     | \$7,462     | \$7,460          | 100.0%     | \$8,323       | \$8,300          | 99.7%      | \$9,184       | \$9,000          | 98.0%      |
| 2    | 96821    | \$6,325      | \$6,325          | 100.0%     | \$7,150     | \$7,150          | 100.0%     | \$7,975       | \$7,900          | 99.1%      | \$8,800       | \$8,800          | 100.0%     |
| 2    | 96734    | \$6,291      | \$6,325          | 100.5%     | \$7,111     | \$7,150          | 100.5%     | \$7,932       | \$7,900          | 99.6%      | \$8,752       | \$8,800          | 100.5%     |
| 3    | 96818    | \$5,934      | \$6,115          | 103.1%     | \$6,708     | \$6,900          | 102.9%     | \$7,482       | \$7,700          | 102.9%     | \$8,256       | \$8,500          | 103.0%     |
| 4    | 96706    | \$5,451      | \$5,990          | 109.9%     | \$6,162     | \$6,700          | 108.7%     | \$6,873       | \$7,550          | 109.9%     | \$7,584       | \$8,300          | 109.4%     |
| 5    | 96815    | \$5,348      | \$5,850          | 109.4%     | \$6,045     | \$6,620          | 109.5%     | \$6,743       | \$7,400          | 109.8%     | \$7,440       | \$8,150          | 109.5%     |
| 6    | 96860    | \$5,313      | \$5,800          | 109.2%     | \$6,006     | \$6,600          | 109.9%     | \$6,699       | \$7,360          | 109.9%     | \$7,392       | \$8,130          | 110.0%     |
| 7    | 96786    | \$5,037      | \$5,000          | 99.3%      | \$5,694     | \$5,670          | 99.6%      | \$6,351       | \$6,350          | 100.0%     | \$7,008       | \$7,100          | 101.3%     |
| 7    | 96791    | \$4,922      | \$5,000          | 101.6%     | \$5,564     | \$5,670          | 101.9%     | \$6,206       | \$6,350          | 102.3%     | \$6,848       | \$7,100          | 103.7%     |
| 7    | 96853    | \$4,934      | \$5,000          | 101.3%     | \$5,577     | \$5,670          | 101.7%     | \$6,221       | \$6,350          | 102.1%     | \$6,864       | \$7,100          | 103.4%     |
| 7    | 96759    | \$4,784      | \$5,000          | 104.5%     | \$5,408     | \$5,670          | 104.8%     | \$6,032       | \$6,350          | 105.3%     | \$6,656       | \$7,100          | 106.7%     |
| 8    | 96782    | \$4,761      | \$4,950          | 104.0%     | \$5,382     | \$5,600          | 104.1%     | \$6,003       | \$6,250          | 104.1%     | \$6,624       | \$6,850          | 103.4%     |
| 8    | 96789    | \$4,738      | \$4,950          | 104.5%     | \$5,356     | \$5,600          | 104.6%     | \$5,974       | \$6,250          | 104.6%     | \$6,592       | \$6,850          | 103.9%     |
| 8    | 96814    | \$4,738      | \$4,950          | 104.5%     | \$5,356     | \$5,600          | 104.6%     | \$5,974       | \$6,250          | 104.6%     | \$6,592       | \$6,850          | 103.9%     |
| 8    | 96707    | \$4,646      | \$4,950          | 106.5%     | \$5,252     | \$5,600          | 106.6%     | \$5,858       | \$6,250          | 106.7%     | \$6,464       | \$6,850          | 106.0%     |
| 8    | 96863    | \$4,646      | \$4,950          | 106.5%     | \$5,252     | \$5,600          | 106.6%     | \$5,858       | \$6,250          | 106.7%     | \$6,464       | \$6,850          | 106.0%     |
| 8    | 96701    | \$4,589      | \$4,950          | 107.9%     | \$5,187     | \$5,600          | 108.0%     | \$5,786       | \$6,250          | 108.0%     | \$6,384       | \$6,850          | 107.3%     |
| 8    | 96744    | \$4,600      | \$4,950          | 107.6%     | \$5,200     | \$5,600          | 107.7%     | \$5,800       | \$6,250          | 107.8%     | \$6,400       | \$6,850          | 107.0%     |
| 8    | 96762    | \$4,508      | \$4,950          | 109.8%     | \$5,096     | \$5,600          | 109.9%     | \$5,684       | \$6,250          | 110.0%     | \$6,272       | \$6,850          | 109.2%     |
| 9    | 96709    | \$4,405      | \$4,500          | 102.2%     | \$4,979     | \$5,050          | 101.4%     | \$5,554       | \$5,650          | 101.7%     | \$6,128       | \$6,200          | 101.2%     |
| 9    | 96717    | \$4,267      | \$4,500          | 105.5%     | \$4,823     | \$5,050          | 104.7%     | \$5,380       | \$5,650          | 105.0%     | \$5,936       | \$6,200          | 104.4%     |
| 9    | 96801    | \$4,405      | \$4,500          | 102.2%     | \$4,979     | \$5,050          | 101.4%     | \$5,554       | \$5,650          | 101.7%     | \$6,128       | \$6,200          | 101.2%     |
| 9    | 96802    | \$4,405      | \$4,500          | 102.2%     | \$4,979     | \$5,050          | 101.4%     | \$5,554       | \$5,650          | 101.7%     | \$6,128       | \$6,200          | 101.2%     |
| 9    | 96803    | \$4,405      | \$4,500          | 102.2%     | \$4,979     | \$5,050          | 101.4%     | \$5,554       | \$5,650          | 101.7%     | \$6,128       | \$6,200          | 101.2%     |
| 9    | 96804    | \$4,405      | \$4,500          | 102.2%     | \$4,979     | \$5,050          | 101.4%     | \$5,554       | \$5,650          | 101.7%     | \$6,128       | \$6,200          | 101.2%     |
| 9    | 96805    | \$4,405      | \$4,500          | 102.2%     | \$4,979     | \$5,050          | 101.4%     | \$5,554       | \$5,650          | 101.7%     | \$6,128       | \$6,200          | 101.2%     |
| 9    | 96806    | \$4,405      | \$4,500          | 102.2%     | \$4,979     | \$5,050          | 101.4%     | \$5,554       | \$5,650          | 101.7%     | \$6,128       | \$6,200          | 101.2%     |
| 9    | 96807    | \$4,405      | \$4,500          | 102.2%     | \$4,979     | \$5,050          | 101.4%     | \$5,554       | \$5,650          | 101.7%     | \$6,128       | \$6,200          | 101.2%     |
| 9    | 96808    | \$4,405      | \$4,500          | 102.2%     | \$4,979     | \$5,050          | 101.4%     | \$5,554       | \$5,650          | 101.7%     | \$6,128       | \$6,200          | 101.2%     |
| 9    | 96809    | \$4,405      | \$4,500          | 102.2%     | \$4,979     | \$5,050          | 101.4%     | \$5,554       | \$5,650          | 101.7%     | \$6,128       | \$6,200          | 101.2%     |
| 9    | 96810    | \$4,405      | \$4,500          | 102.2%     | \$4,979     | \$5,050          | 101.4%     | \$5,554       | \$5,650          | 101.7%     | \$6,128       | \$6,200          | 101.2%     |
| 9    | 96811    | \$4,405      | \$4,500          | 102.2%     | \$4,979     | \$5,050          | 101.4%     | \$5,554       | \$5,650          | 101.7%     | \$6,128       | \$6,200          | 101.2%     |
| 9    | 96812    | \$4,405      | \$4,500          | 102.2%     | \$4,979     | \$5,050          | 101.4%     | \$5,554       | \$5,650          | 101.7%     | \$6,128       | \$6,200          | 101.2%     |
| 9    | 96816    | \$4,255      | \$4,500          | 105.8%     | \$4,810     | \$5,050          | 105.0%     | \$5,365       | \$5,650          | 105.3%     | \$5,920       | \$6,200          | 104.7%     |

Detailed SAFMR and Payment Standards by Zip Code  
Effective January 1, 2023

| TIER | ZIP Code | Five-Bedroom |                  |            | Six-Bedroom |                  |            | Seven-Bedroom |                  |            | Eight-Bedroom |                  |            |
|------|----------|--------------|------------------|------------|-------------|------------------|------------|---------------|------------------|------------|---------------|------------------|------------|
|      |          | SAFMR        | Payment Standard | % of SAFMR | SAFMR       | Payment Standard | % of SAFMR | SAFMR         | Payment Standard | % of SAFMR | SAFMR         | Payment Standard | % of SAFMR |
| 9    | 96820    | \$4,405      | \$4,500          | 102.2%     | \$4,979     | \$5,050          | 101.4%     | \$5,554       | \$5,650          | 101.7%     | \$6,128       | \$6,200          | 101.2%     |
| 9    | 96823    | \$4,405      | \$4,500          | 102.2%     | \$4,979     | \$5,050          | 101.4%     | \$5,554       | \$5,650          | 101.7%     | \$6,128       | \$6,200          | 101.2%     |
| 9    | 96824    | \$4,405      | \$4,500          | 102.2%     | \$4,979     | \$5,050          | 101.4%     | \$5,554       | \$5,650          | 101.7%     | \$6,128       | \$6,200          | 101.2%     |
| 9    | 96828    | \$4,405      | \$4,500          | 102.2%     | \$4,979     | \$5,050          | 101.4%     | \$5,554       | \$5,650          | 101.7%     | \$6,128       | \$6,200          | 101.2%     |
| 9    | 96830    | \$4,405      | \$4,500          | 102.2%     | \$4,979     | \$5,050          | 101.4%     | \$5,554       | \$5,650          | 101.7%     | \$6,128       | \$6,200          | 101.2%     |
| 9    | 96836    | \$4,405      | \$4,500          | 102.2%     | \$4,979     | \$5,050          | 101.4%     | \$5,554       | \$5,650          | 101.7%     | \$6,128       | \$6,200          | 101.2%     |
| 9    | 96837    | \$4,405      | \$4,500          | 102.2%     | \$4,979     | \$5,050          | 101.4%     | \$5,554       | \$5,650          | 101.7%     | \$6,128       | \$6,200          | 101.2%     |
| 9    | 96839    | \$4,405      | \$4,500          | 102.2%     | \$4,979     | \$5,050          | 101.4%     | \$5,554       | \$5,650          | 101.7%     | \$6,128       | \$6,200          | 101.2%     |
| 9    | 96848    | \$4,405      | \$4,500          | 102.2%     | \$4,979     | \$5,050          | 101.4%     | \$5,554       | \$5,650          | 101.7%     | \$6,128       | \$6,200          | 101.2%     |
| 9    | 96850    | \$4,405      | \$4,500          | 102.2%     | \$4,979     | \$5,050          | 101.4%     | \$5,554       | \$5,650          | 101.7%     | \$6,128       | \$6,200          | 101.2%     |
| 9    | 96854    | \$4,405      | \$4,500          | 102.2%     | \$4,979     | \$5,050          | 101.4%     | \$5,554       | \$5,650          | 101.7%     | \$6,128       | \$6,200          | 101.2%     |
| 9    | 96857    | \$4,462      | \$4,500          | 100.9%     | \$5,044     | \$5,050          | 100.1%     | \$5,626       | \$5,650          | 100.4%     | \$6,208       | \$6,200          | 99.9%      |
| 9    | 96858    | \$4,405      | \$4,500          | 102.2%     | \$4,979     | \$5,050          | 101.4%     | \$5,554       | \$5,650          | 101.7%     | \$6,128       | \$6,200          | 101.2%     |
| 9    | 96859    | \$4,405      | \$4,500          | 102.2%     | \$4,979     | \$5,050          | 101.4%     | \$5,554       | \$5,650          | 101.7%     | \$6,128       | \$6,200          | 101.2%     |
| 9    | 96861    | \$4,405      | \$4,500          | 102.2%     | \$4,979     | \$5,050          | 101.4%     | \$5,554       | \$5,650          | 101.7%     | \$6,128       | \$6,200          | 101.2%     |
| 10   | 96712    | \$4,014      | \$4,400          | 109.6%     | \$4,537     | \$4,950          | 109.1%     | \$5,061       | \$5,550          | 109.7%     | \$5,584       | \$6,100          | 109.2%     |
| 10   | 96731    | \$4,129      | \$4,400          | 106.6%     | \$4,667     | \$4,950          | 106.1%     | \$5,206       | \$5,550          | 106.6%     | \$5,744       | \$6,100          | 106.2%     |
| 10   | 96797    | \$4,060      | \$4,400          | 108.4%     | \$4,589     | \$4,950          | 107.9%     | \$5,119       | \$5,550          | 108.4%     | \$5,648       | \$6,100          | 108.0%     |
| 10   | 96813    | \$4,037      | \$4,400          | 109.0%     | \$4,563     | \$4,950          | 108.5%     | \$5,090       | \$5,550          | 109.0%     | \$5,616       | \$6,100          | 108.6%     |
| 10   | 96822    | \$4,129      | \$4,400          | 106.6%     | \$4,667     | \$4,950          | 106.1%     | \$5,206       | \$5,550          | 106.6%     | \$5,744       | \$6,100          | 106.2%     |
| 10   | 96826    | \$4,175      | \$4,400          | 105.4%     | \$4,719     | \$4,950          | 104.9%     | \$5,264       | \$5,550          | 105.4%     | \$5,808       | \$6,100          | 105.0%     |
| 11   | 96730    | \$3,669      | \$4,030          | 109.9%     | \$4,147     | \$4,560          | 110.0%     | \$4,626       | \$5,080          | 109.8%     | \$5,104       | \$5,600          | 109.7%     |
| 11   | 96819    | \$3,795      | \$4,030          | 106.2%     | \$4,290     | \$4,560          | 106.3%     | \$4,785       | \$5,080          | 106.2%     | \$5,280       | \$5,600          | 106.1%     |
| 12   | 96817    | \$3,485      | \$3,830          | 109.9%     | \$3,939     | \$4,330          | 109.9%     | \$4,394       | \$4,830          | 109.9%     | \$4,848       | \$5,330          | 109.9%     |
| 13   | 96792    | \$3,140      | \$3,450          | 109.9%     | \$3,549     | \$3,900          | 109.9%     | \$3,959       | \$4,350          | 109.9%     | \$4,368       | \$4,800          | 109.9%     |
| 13   | 96795    | \$3,151      | \$3,450          | 109.5%     | \$3,562     | \$3,900          | 109.5%     | \$3,973       | \$4,350          | 109.5%     | \$4,384       | \$4,800          | 109.5%     |



## FOR ACTION

**MOTION:** To (1) Approve Proposed Changes to the Hawaii Public Housing Authority's (HPHA) Chapter 2028 of Title 17, Hawaii Administrative Rules (HAR) as follows:

- a) Create a Section Title for "Section 17-2028-23 [Eligibility for live-in aides]" in the Title and Chapter Analysis and Adjust the Section Numbers for the Remainder of Subchapter 2 Accordingly.
- b) Section 17-2028-1 [Purpose]: Clarify that the Rules of this Chapter Serve as Some of the Authority's Admissions and Continued Occupancy Policy (ACOP) and that These Rules Shall Supersede Any Other Policies that May Conflict with These Rules.
- c) Section 17-2028-2 [Definitions]
  - i) Amend the Definition of "Admissions and Continued Occupancy Policy" or "ACOP" to Recognize the Rules of this Chapter and Other Administrative Rules as the Authority's ACOP.
  - ii) Adopt a Definition for "Child".
  - iii) Amend the Definition of "Common areas" to Mean Areas Available for Use by "more than one household" instead of "more than one family". Include "fire escapes", "entrances and exits of the building or buildings", "basements", "yards", "gardens", "recreational facilities", and "other parts of the project in common use or other areas designated by the authority" as Common Areas.
  - iv) Amend the Definition of "Family" to Include Households With Or Without Children. Clarify That Children Temporarily Away from Home Because of Placement in Foster Care are Considered a Family Member. Clarify the Conditions Under Which Foster Children and Hanai Children May Be Considered as Family Members. Expand How a Single Person Qualifies as a "Family".
  - v) Amend the definition of "Hanai child" or "Hanai children" to Remove a Required Minimum Period of Support as well as Any Acknowledgement of Parenthood from an Applicant's or Tenant's Friends, Relatives, and Community. Require That a Hanai Parent(s) Receive Written or Unwritten Permission of Guardianship from a Hanai Child's Natural Parent(s).
  - vi) Adopt a Definition of "Household".
  - vii) Amend the Definition of "Live-in aide" To Include an Age Requirement of 18 Years or Older. Clarify That a Live-in Aide Maintains No Rights of Tenancy or of Continued



- Occupancy After the Family Member(s) for Whom They Are Caring for Are Removed from the Project.
- viii) Adopt a Definition of “Police officer”.
  - ix) Amend the Definition of “Refusal of an offer” to Clarify That this Definition Concerns Any Refusal of a “dwelling unit”.
  - x) Amend the Definition of “Resident” to Include United States Nationals and Certain Noncitizens.
  - xi) Amend the Definition of “Sexual orientation” to Acknowledge Sexual Preferences and Any History of Preferences.
  - xii) Amend the Definition of “Smoke” or “smoking” to Include the Use of Electronic Smoking Devices and Any Resulting Fumes.
  - xiii) Adopt a Definition of “Spouse”.
  - xiv) Amend the Definition of “Staff” to Replace the Term “agents” With “authorized contractors”.
- d) Amend the Chapter to Clarify that a Unit Refers to a Dwelling Unit.
  - e) Amend the Chapter to Clarify that References to All Federal Rules Shall be as They Existed on October 20, 2022.
  - f) Section 17-2028-9 [Misrepresentation]: Correct a Spelling Error. Extend the Applicability of Rules Regarding Misrepresentation to Live-In Aide Requests and Agreements.
  - g) Section 17-2028-21 [Applicants]
    - i) Amend the Section to Reflect That All Public Housing Project Applications Are Submitted Electronically Through the Authority’s Online Application Portal.
    - ii) Clarify That Selection for Placement on the Waiting List is Not a Final Determination of Eligibility or Admission to a Public Housing Project.
    - iii) Extend the Prohibition on Acts of Misrepresentation to All of the Authority’s Programs.
  - h) Adopt a Proposed New Section 17-2028-23 [Eligibility for a live-in aide] to Specify All of the Requirements and Screening Criteria the Authority Shall Employ When Determining if a Live-in Aide is Eligible to Live in a Public Housing Project.
  - i) Section 17-2028-24 [Notification of eligibility]: Amend the Section to Reflect That All Notifications of Placement on the Waiting List Shall Be Delivered Electronically Via Email. Include Reference to the Use of a Lottery System.
  - j) Section 17-2028-34 [Local preferences]: Amend the Section to Allow for the Use of Random Lottery Assortment.
  - k) Section 17-2028-36 [Waiting list]
    - i) Amend the Section to Include Reference to the Online Application Process Through the Authority’s Website Application Portal.
    - ii) Include Lottery Selection as an Option for Applicant Placement on the Waiting List.

- iii) Provide Further Clarification Regarding the Information to Be Provided on the Notice to Open the Waiting List as well as How Applicants Will Be Selected from the Waiting List.
  - iv) Specify That Applications Shall Only Be Active for Eighteen Months from the Date of Placement on the Waiting List.
- l) Section 17-2028-37 [Removal from the waiting list]
  - i) Amend the Section to Include Attempted Correspondence Via Email as a Reasonable Effort to Contact an Applicant.
  - ii) Provide Examples in Which There May Be a Good Cause for an Applicant Failing to Keep a Scheduled Interview or Provide Requested Information to the Authority.
  - iii) Include Language to Allow the Authority to Remove Those Applicants from the Waiting List Who Are Unable to Verify Their Qualification for Meeting a Preference After Ten Business Days.
- m) Section 17-2028-38 [Closing the waiting list]: Clarify That Notice of Any Closure or Reopening of the Waiting List Shall Also Be Posted on the Authority's Website.
- n) Section 17-2028-39 [Offers]
  - i) Clarify That this Section Applies to “Dwelling” Units.
  - ii) Include Reference to Offers Being Made Based on Lottery Selection.
  - iii) Include Language Regarding the Percentages of Units to Be Offered to Applicants with and Without Preferences.
- o) Section 17-2028-52 [Eligibility for continued occupancy]:
  - i) Create an Exception for Hanai Children, Foster Children, and Children Placed Within a Parent’s Guardianship by Court-Order as Persons Who May Join or Rejoin a Household.
  - ii) Include Language to Prohibit the Addition of Household Members When it Will Require a Larger Size Dwelling Unit, with Certain Exceptions.
  - iii) Create a Deadline by Which Any Change to Household Composition Must Be Reported to the Authority.
- p) Section 17-2028-58 [Back charges]: Clarify a Reference to a Specific Subsection.
- q) Section 17-2028-59 [Rental agreement termination]: Correct Multiple Spelling Errors.
- r) Section 17-2028-60 [Smoking prohibited]: Remove Reference to the ACOP, Removed Subsections (c) and (d).
- s) Section 17-2028-63 [Security deposit]: Remove Subsection (b) and Adjust the Subsection Letters for the Remainder of the Section Accordingly; and
- (2) Authorize the Executive Director to Conduct a Public Hearing and Undertake All Other Actions Necessary Under Chapter 91, Hawaii Revised Statutes, and Administrative Directive No. 18-02 to Implement the**

Foregoing Amendments to Chapter 17-2028 “Federally-Assisted Public Housing Projects”, Hawaii Administrative Rules, Including Making Non-Substantive Revisions to Formatting as May be Required

**I. FACTS**

- A. The Hawaii Public Housing Authority’s (HPHA) programs are governed by a variety of federal, state, and agency statutes and rules, such as the United States Code, the Code of Federal Regulations (CFR), and Chapter 365D, Hawaii Revised Statutes (HRS).
- B. Section 356D-4 and 356D-13, HRS, authorize the HPHA to adopt administrative rules with the force and effect of law to govern its federal programs.
- C. The HPHA has consistently managed the Federal Low Income Public Housing (LIPH) program in accordance with Chapter 17-2028, Hawaii administrative Rules (HAR), “Federally-Assisted Public Housing Projects”.

**II. DISCUSSION**

- A. Federal regulations provide for the use of a drawing or other random choice technique, also known as a “lottery”, as an alternative selection method to select among applicants on the Low Income Public Housing (LIPH) waiting list with the same priority for admission, and enables the PHA to adopt policies to implement a lottery system.
- B. The proposed amendment would establish a lottery system by which applicants may be placed on the waiting list. It would allow the HPHA to select applicants from the waiting list using either a randomly-assigned number or by the date-and-time of an application’s submittal (so long as all adopted preferences are considered). Use of a lottery system would allow the Authority to issue federally-assisted public housing units to applicants at a faster rate than at present.
- C. The proposed draft would also further align Chapter 17-2028 with the HPHA’s ACOP. If approved, Chapter 17-2028 will be designated henceforth as the Authority’s official ACOP.
- D. The specific amendments being proposed are as follows:
  - 1. Create a section title for Section 17-2028-23 [Eligibility for live-in aides] in the title and chapter analysis and adjust the section numbers for the remainder of Subchapter 2 accordingly.

2. Section 17-2028-1 [Purpose]: Clarify that the Rules of this Chapter Serve as Some of the Authority's Admissions and Continued Occupancy Policy (ACOP) and that These Rules Shall Supersede Any Other Policies that May Conflict with These Rules.
3. Section 17-2028-2 [Definitions]
  - a. Amend the definition of "Admissions and Continued Occupancy Policy" or "ACOP" to Recognize the Rules of this Chapter and Other Administrative Rules as the Authority's ACOP.
  - b. Adopt a Definition for "Child".
  - c. Amend the definition of "Common areas" to mean areas available for use by more than one household instead of more than one family. Include "fire escapes", "entrances and exits of the building or buildings", "basements", "yards", "gardens", "recreational facilities", and "other parts of the project in common use or other areas designated by the authority" as common areas.
  - d. Amend the definition of "Family" to include households with or without children. Clarify that children temporarily away from home because of placement in foster care are considered a family member. Clarify the conditions under which foster children and hanai children may be considered as family members. Clarify that any single person, regardless of circumstances, is included under the definition of "Family".
  - e. Amend the definition of "Hanai child" or "Hanai children" to remove a required minimum period of support as well as any acknowledgement of parenthood from an applicant's or tenant's friends, relatives, and community. Require that a hanai parent(s) receive written or unwritten permission of guardianship from a hanai child's natural parent(s).
  - f. Adopt a definition of "Household".
  - g. Amend the definition of "Live-in aide" to include an age requirement of 18 years or older. Clarify that a live-in aide maintains no rights of tenancy or of continued occupancy after the family member(s) for whom they are caring for are removed from the project.
  - h. Adopt a definition of "police officer".
  - i. Amend the definition of "Refusal of an offer" to clarify that this definition concerns any refusal of a "dwelling" unit.
  - j. Amend the definition of "Resident" to include United States nationals and certain noncitizens.
  - k. Amend the definition of "Sexual orientation" to acknowledge sexual preferences and any history of preferences.

- l. Amend the definition of “Smoke” or “smoking” to include the use of electronic smoking devices and any resulting fumes.
  - m. Adopt a definition of “Spouse”.
  - n. Amend the definition of “Staff” to replace the term “agents” with “authorized contractors”.
- 4. Amend the Chapter to Clarify that a Unit Refers to a Dwelling Unit.
- 5. Amend the Chapter to Clarify that References to All Federal Rules Shall be as They Existed on October 20, 2022.
- 6. Section 17-2028-9 [Misrepresentation]: Correct a spelling error. Extend the applicability of rules regarding misrepresentation to live-in aide requests and agreements.
- 7. Section 17-2028-21 [Applicants]
  - a. Amend the section to reflect that all public housing project applications are submitted electronically through the Authority’s online application portal.
  - b. Clarify that selection for placement on the waiting list is not a final determination of eligibility or admission to a public housing project.
  - c. Extend the prohibition on acts of misrepresentation to all of the Authority’s programs.
- 8. Adopt a proposed new Section 17-2028-23 [Eligibility for a live-in aide] to specify all of the requirements and screening criteria the Authority shall employ when determining if a live-in aide is eligible to live in a public housing project.
- 9. Section 17-2028-24 [Notification of eligibility]: Amend the section to reflect that all notifications of placement on the waiting list shall be delivered electronically via email. Include reference to the use of a lottery system.
- 10. Section 17-2028-34 [Local preferences]: Amend the section to allow for the use of random lottery assortment.
- 11. Section 17-2028-36 [Waiting list]
  - a. Amend the section to include reference to the online application process through the Authority’s website application portal.
  - b. Include lottery selection as an option for applicant placement on the waiting list.

- c. Provide further clarification regarding the information to be provided on the notice to open the waiting list as well as how applicants will be selected from the waiting list.
  - d. Specify that applications shall only be active for eighteen months from the date of placement on the waiting list.
- 12. Section 17-2028-37 [Removal from the waiting list]
  - a. Amend the section to include attempted correspondence via email as a reasonable effort to contact an applicant.
  - b. Provide examples in which there may be a good cause for an applicant failing to keep a scheduled interview or provide requested information to the Authority.
  - c. Include language to allow the Authority to remove those applicants from the waiting list who are unable to verify their qualification for meeting a preference after seven business days.
- 13. Section 17-2028-38 [Closing the waiting list]: Clarify that notice of any closure or reopening of the waiting list shall also be posted on the Authority's website.
- 14. Section 17-2028-39 [Offers]
  - a. Clarify that this section applies to "dwelling" units.
  - b. Include reference to offers being made based on lottery selection.
  - c. Include language regarding the percentages of units to be offered to applicants with and without preferences.
- 15. Section 17-2028-52 [Eligibility for continued occupancy]:
  - a. Create an exception for hanai children, foster children, and children placed within a parent's guardianship by court-order as persons who may join or rejoin a household.
  - b. Include language to prohibit the addition of household members will require a larger size dwelling unit with certain exceptions.
  - c. Create a deadline by which any change to household composition must be reported to the Authority.
- 16. Section 17-2028-58 [Backcharges]: Clarify a reference to a specific subsection.
- 17. Section 17-2028-59 [Rental agreement termination]: Correct multiple spelling errors.
- 18. Section 17-2028-60 [Smoking prohibited]: Remove Reference to the ACOP, Removed Subsections (c) and (d).

19. Section 17-2028-63 [Security deposit]: Remove Subsection (b) and adjust the subsection letters for the remainder of the section accordingly.
- 
- E. Once approved by the HPHA Board of Directors, the agency must request permission from the Governor to take the proposed Rules to a public hearing. The HPHA must give 30-day notice to the public that a public hearing will be held.
  - F. Following approval from the Governor to hold a public hearing on the proposed rules, the Executive Director will hold a public hearing at a date and online location to be determined.
  - G. The HPHA is required to comply 91-4.2 HRS when formatting, drafting, and processing administrative rules and must follow the Legislative Reference Bureau's (LRB) Hawaii Administrative Rules Drafting Manual as a guide. The Executive Director may make technical, non-substantive amendments to either draft prior to or following the public hearing to comply with LRB requirements.
  - H. After the public hearing, the Executive Director will bring the final rules to the Board of Directors for adoption. Upon adoption by the Board, the Executive Director will transmit the proposed rules to the Governor for final approval, provided that no substantive amendments are made based on comments at the public hearing.
  - I. Staff anticipate the following schedule for the draft's approval:

| <u>Action</u>                          | <u>Timeframe</u> |
|----------------------------------------|------------------|
| Board for Action (adopt amendments)    | October 20, 2022 |
| Request to Governor for public hearing | October 21, 2022 |
| Receive Governor authorization         | October 27, 2022 |
| Publish hearing notice (30-day notice) | November 3, 2022 |
| Public Hearing                         | December 5, 2022 |
| Finalize rules & transmit to Governor  | December 8, 2022 |
| Rules effective                        | January 7, 2023  |
  - J. Information regarding the proposed administrative rules and the public hearings will be sent to all RAB members, Resident Associations and Asset Management Project (AMP) property offices and will be included in the November monthly rent bill mailed to all public housing households.
  - K. To notify the public of the hearings, notices will be published in the Honolulu Star-Advertiser, The Garden Island (Kauai), The Maui News, West Hawaii Today (Kailua-Kona), and the Hawaii Tribune Herald (Hilo) upon Board Approval.

- L. The proposed administrative rules can be viewed on the HPHA's website at [http://www.hpha.hawaii.gov/referenceinformation/admin\\_rule.htm](http://www.hpha.hawaii.gov/referenceinformation/admin_rule.htm), through the Resident Advisory Board, and at the HPHA's offices and properties listed below:

Hawaii Public Housing Authority  
1002 North School Street, Bldg. E  
Honolulu, Hawaii 96817

Palolo Valley Homes  
2129 Ahe Street  
Honolulu, Hawaii 96819

Puuwai Momi  
99-132 Kohomua Street  
Aiea, Hawaii 96701

Kalihi Valley Homes  
2250 Kalena Drive  
Honolulu, Hawaii 96819

Mayor Wright Homes  
521 N. Kukui Street  
Honolulu, Hawaii 96817

Kalakaua Homes  
1545 Kalakaua Ave.  
Honolulu, Hawaii 96826

Kalanihua  
1220 Aala Street  
Honolulu, Hawaii 96817

Lanakila Homes  
600 Wailoa Street  
Hilo, Hawaii 96720

Kapaa  
4726 Malu Road  
Kapaa, Hawaii 96746

Kahekili Terrace  
2015 Holowai Place  
Wailuku, Hawaii 96793

Kuhio Homes  
1410 Ahonui Street  
Honolulu, Hawaii 96819

Ka Hale Kahaluu  
78-6725 Makolea Street  
Kailua-Kona, Hawaii 96740

Waimaha-Sunflower  
85-186 McArthur Street  
Waianae, Hawaii 96792

Koolau Village  
45-1027 Kamau Place  
Kaneohe, Hawaii 96744

Noelani II  
65-1191 Opelo Road  
Kamuela, Hawaii 96743

Kauhale Nani  
310 North Cane Street  
Wahiawa, Hawaii 96786

- M. Copies of the amended administrative rules can also be requested from the HPHA by emailing a request to [hpha@hawaii.gov](mailto:hpha@hawaii.gov).

### III. RECOMMENDATION

That the Board of Directors **(1)** Approve Proposed Changes to the Hawaii Public Housing Authority's (HPHA) Chapter 2028 of Title 17, Hawaii Administrative Rules (HAR) as follows:



- a) Create a Section Title for “Section 17-2028-23 [Eligibility for live-in aides]” in the Title and Chapter Analysis and Adjust the Section Numbers for the Remainder of Subchapter 2 Accordingly.
- b) Section 17-2028-1 [Purpose]: Clarify that the Rules of this Chapter Serve as Some of the Authority’s Admissions and Continued Occupancy Policy (ACOP) and that These Rules Shall Supersede Any Other Policies that May Conflict with These Rules.
- c) Section 17-2028-2 [Definitions]
  - i) Amend the Definition of “Admissions and Continued Occupancy Policy” or “ACOP” to Recognize the Rules of this Chapter and Other Administrative Rules as the Authority’s ACOP.
  - ii) Adopt a Definition for “Child”.
  - iii) Amend the Definition of “Common areas” to Mean Areas Available for Use by “more than one household” instead of “more than one family”. Include “fire escapes”, “entrances and exits of the building or buildings”, “basements”, “yards”, “gardens”, “recreational facilities”, and “other parts of the project in common use or other areas designated by the authority” as Common Areas.
  - iv) Amend the Definition of “Family” to Include Households With Or Without Children. Clarify That Children Temporarily Away from Home Because of Placement in Foster Care are Considered a Family Member. Clarify the Conditions Under Which Foster Children and Hanai Children May Be Considered as Family Members. Expand How a Single Person Qualifies as a “Family”.
  - v) Amend the definition of “Hanai child” or “Hanai children” to Remove a Required Minimum Period of Support as well as Any Acknowledgement of Parenthood from an Applicant’s or Tenant’s Friends, Relatives, and Community. Require That a Hanai Parent(s) Receive Written or Unwritten Permission of Guardianship from a Hanai Child’s Natural Parent(s).
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  - vii) Amend the Definition of “Live-in aide” To Include an Age Requirement of 18 Years or Older. Clarify That a Live-in Aide Maintains No Rights of Tenancy or of Continued Occupancy After the Family Member(s) for Whom They Are Caring for Are Removed from the Project.
  - viii) Adopt a Definition of “Police officer”.
  - ix) Amend the Definition of “Refusal of an offer” to Clarify That this Definition Concerns Any Refusal of a “dwelling unit”.
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  - xii) Amend the Definition of “Smoke” or “smoking” to Include the Use of Electronic Smoking Devices and Any Resulting Fumes.
  - xiii) Adopt a Definition of “Spouse”.

- xiv) Amend the Definition of “Staff” to Replace the Term “agents” With “authorized contractors”.
- d) Amend the Chapter to Clarify that a Unit Refers to a Dwelling Unit.
- e) Amend the Chapter to Clarify that References to All Federal Rules Shall be as They Existed on October 20, 2022.
- f) Section 17-2028-9 [Misrepresentation]: Correct a Spelling Error. Extend the Applicability of Rules Regarding Misrepresentation to Live-In Aide Requests and Agreements.
- g) Section 17-2028-21 [Applicants]
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- h) Adopt a Proposed New Section 17-2028-23 [Eligibility for a live-in aide] to Specify All of the Requirements and Screening Criteria the Authority Shall Employ When Determining if a Live-in Aide is Eligible to Live in a Public Housing Project.
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  - iii) Provide Further Clarification Regarding the Information to Be Provided on the Notice to Open the Waiting List as well as How Applicants Will Be Selected from the Waiting List.
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- p) Section 17-2028-58 [Back charges]: Clarify a Reference to a Specific Subsection.
- q) Section 17-2028-59 [Rental agreement termination]: Correct Multiple Spelling Errors.
- r) Section 17-2028-60 [Smoking prohibited]: Remove Reference to the ACOP, Removed Subsections (c) and (d).
- s) Section 17-2028-63 [Security deposit]: Remove Subsection (b) and Adjust the Subsection Letters for the Remainder of the Section Accordingly; and
- (2) Authorize the Executive Director to Conduct a Public Hearing and Undertake All Other Actions Necessary Under Chapter 91, Hawaii Revised Statutes, and Administrative Directive No. 18-02 to Implement the Foregoing Amendments to Chapter 17-2028 "Federally-Assisted Public Housing Projects", Hawaii Administrative Rules, Including Making Non-Substantive Revisions to Formatting as May be Required**

Attachment A: Standard format draft of Chapter 17-2028, HAR  
 Attachment B: Ramseyer format draft of Chapter 17, 2028, HAR

Prepared by: Sarah Beamer, Compliance Specialist 

Approved by the Board of Directors  
 on the date set forth above  
☒ As Presented ☐ As Amended

  
 Robert J. Hall  
 Chairperson

DEPARTMENT OF HUMAN SERVICES

Amendment and Compilation of Chapter 17-2028  
Hawaii Administrative Rules

(date)

SUMMARY

1. §§17-2028-1 to 17-2028-3 are amended
2. §§17-2028-5 to 17-2028-7 are amended
3. §17-2028-9 is amended
4. §§17-2028-21 to 17-2028-24 are amended
5. §17-2028-25 is adopted
6. §§17-2028-32 to 17-2028-40 are amended
7. §§17-2028-51 to 17-2028-52 are amended
8. §17-2028-54 is amended
9. §§17-2028-57 to 17-2028-60 are amended
10. §§17-2028-62 to 17-2028-63 are amended
11. §§17-2028-82 to 17-2028-83 are amended
12. Chapter 2028 is amended and compiled.

HAWAII ADMINISTRATIVE RULES

TITLE 17

DEPARTMENT OF HUMAN SERVICES

SUBTITLE 5

HAWAII PUBLIC HOUSING AUTHORITY

CHAPTER 2028

FEDERALLY-ASSISTED PUBLIC HOUSING PROJECTS

Subchapter 1 General Provisions

|                            |                             |
|----------------------------|-----------------------------|
| §17-2028-1                 | Purpose                     |
| §17-2028-2                 | Definitions                 |
| §17-2028-3                 | Income limits               |
| §17-2028-4                 | Asset transfers             |
| §17-2028-5                 | Occupancy guidelines        |
| §17-2028-6                 | Occupancy standards         |
| §17-2028-7                 | Utility allowances          |
| §17-2028-8                 | Verification of information |
| §17-2028-9                 | Misrepresentation           |
| §§17-2028-10 to 17-2028-20 | (Reserved)                  |

Subchapter 2 Eligibility

|             |                                             |
|-------------|---------------------------------------------|
| §17-2028-21 | Applicants                                  |
| §17-2028-22 | Eligibility for admission and participation |
| §17-2028-23 | Eligibility for live-in aides               |

§17-2028-[23]24 Notification of eligibility  
§17-2028-[24]25 Informal hearing for applicants  
determined to be ineligible for  
admission  
§§17-2028-26 to 17-2028-30 (Reserved)

### Subchapter 3 Tenant Selection

§17-2028-31 Nondiscrimination  
§17-2028-32 Income targeting  
§17-2028-33 Deconcentration  
§17-2028-34 Local preferences  
§17-2028-35 Loss of preference  
§17-2028-36 Waiting list  
§17-2028-37 Removal from waiting list  
§17-2028-38 Closing the waiting list  
§17-2028-39 Offers  
§17-2028-40 Occupancy of accessible dwelling units  
§§17-2028-41 to 17-2028-50 (Reserved)

### Subchapter 4 Occupancy and Rental Agreement

§17-2028-51 Rental agreement  
§17-2028-52 Eligibility for continued occupancy  
§17-2028-53 Reexamination  
§17-2028-54 Reexamination results  
§17-2028-55 Special reexamination  
§17-2028-56 Interim rent adjustment  
§17-2028-57 Tenant transfers  
§17-2028-58 Back charges  
§17-2028-59 Rental agreement termination  
§17-2028-60 Smoking prohibited

### Subchapter 5 Rents, Security Deposits, and Other Charges

§17-2028-61 Minimum rents  
§17-2028-62 Choice of rent  
§17-2028-63 Security deposits

§17-2028-64 Other Charges  
§§17-2028-65 to 17-2028-70 (Reserved)

#### Subchapter 6 Family Self-Sufficiency Program

§17-2028-71 Family self-sufficiency program  
§17-2028-72 Eligibility  
§17-2028-73 Recruitment and outreach  
§17-2028-74 Selection  
§17-2028-75 Termination or withholding of service  
§§17-2028-76 to 17-2028-80 (Reserved)

#### Subchapter 7 Special Programs

§17-2028-81 Special programs  
§17-2028-82 Occupancy by police officers  
§17-2028-83 Designated housing  
§§17-2028-84 to 17-2028-90 (Reserved)

#### Subchapter 8 Household Pets

§17-2028-91 Pet ownership  
§17-2028-92 Conditions for pet ownership  
§§17-2028-93 to 17-2028-100 (Reserved)

#### Subchapter 9 Miscellaneous Provisions

§17-2028-101 Severability  
§17-2028-102 Number and gender  
§§17-2028-103 to 17-2028-110 (Reserved)

Historical Note: Chapter 2028 of Title 17,  
Hawaii Administrative Rules, is substantially based  
upon Chapter 17-535, Hawaii Administrative Rules, [Eff  
1/1/81; am and comp 2/11/85; am and comp 5/26/98; R

12/03/01], and Chapter 15-190, Hawaii Administrative  
Rules [Eff 12/03/01; R 9/04/07]



SUBCHAPTER 1

GENERAL PROVISIONS

**§17-2028-1 Purpose.** These rules are adopted under chapter 91, HRS, and shall govern the administration of federal public housing programs designated to be carried out by a public housing agency, including admission to and the continued occupancy of federally-assisted public housing projects owned or operated by the authority. These rules set forth some of the authority's admission and continued occupancy policies that a public housing authority is required to adopt pursuant to the U.S. Department of Housing and Urban Development federal public housing regulations in 24 C.F.R. Chapter IX ("ACOP"). These rules shall be used in conjunction with other public housing policies, but shall supersede any other policy that may conflict with these rules [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. Parts 5, 903, 960, 965, 966; HRS §§356D-4, 356D-13)

**§17-2028-2 Definitions.** Whenever used in this chapter, unless specifically defined:

"Accessible dwelling unit" means a dwelling unit that is located on an accessible route and when designed, constructed, altered, or adapted can be approached, entered, and used by individuals with physical disabilities or a dwelling unit being made accessible as a result of alterations and is intended for use by a specific qualified individual with disabilities which meets the requirements of applicable standards that address the particular disability or impairment of an individual.

"Adjusted income" means "annual income" of the members of the family residing or intending to reside in the dwelling unit minus any HUD allowable expenses and deductions as defined in 24 C.F.R. §5.611 as it existed on March 28, 2013.

"Admissions and Continued Occupancy Policy" or "ACOP" means these administrative rules and other administrative rules containing the policies by which the authority determines eligibility for admission, prospective tenant selection, dwelling unit assignment, fair and nondiscriminatory transfers, rental agreement terminations, pet policies, and other property-specific guidelines that a public housing authority is required to adopt pursuant to the U.S. Department of Housing and Urban Development federal public housing regulations in 24 C.F.R. Chapter IX.

"Annual income" means the gross amount of income anticipated to be received by the family during the twelve months after admission or reexamination. Gross income is the amount of income prior to any HUD allowable expenses or deductions, and does not include income which has been excluded by HUD, as defined in 24 C.F.R. §5.609 as it existed on March 28, 2013.

"Applicant" means an individual or family that submits an application for admission to the program but is not yet a participant in the program.

"Assets" or "net family assets" means net cash value after deducting reasonable costs that would be incurred in disposing of real property, savings, stocks, bonds, and other forms of capital investment as defined in 24 C.F.R. §5.603 as it existed on October 20, 2022, and excludes the value of necessary items of personal property such as furniture and automobiles.

"Assisted housing" means the same as "federally-assisted housing".

"Authority" means the Hawaii public housing authority.

"Back charge" means the amount of arrears in rent or other charges owed to the authority.

"C.F.R." means the United States Code of Federal Regulations.

"Child" means a person who is born alive and is less than eighteen years of age.

"Common areas" means areas which are available for use by more than one household, including lobbies, corridors, hallways, stairways, parking lots, spots, ramps, washing machine or laundry room, rooftops, elevators, washrooms and lobby areas, driveways, storerooms, fire escapes, entrances and exits of the building or buildings, basements, yards, gardens, recreational facilities, other parts of the project in common use or other areas designated by the authority, and shared ventilation ducts that service more than one dwelling unit.

"Community facilities" means real and personal property; buildings, equipment, lands, and grounds for recreational or social assemblies, and for educational, health, or welfare purposes; and necessary or convenient utilities, when designed primarily for the benefit and use of the authority or the occupants of the dwelling units.

"Community service" means the performance of voluntary work or duties that are a public benefit and that serve to improve the quality of life, enhance resident self-sufficiency, or increase resident self-responsibility in the community. Community service is not employment and may not include political activities.

"Community wide" means inclusive of any location that is under the jurisdiction of the authority.

"Continuously assisted" means that the applicant is currently receiving assistance under any program of the United States Housing Act of 1937, as amended, and there is no break in assistance to the family.

"Covered families" means families who receive welfare assistance or other public assistance benefits ("welfare benefits") from a State or other public agency ("welfare agency") under a program for which federal, State, or local law requires that a member of the family must participate in an economic self-sufficiency program as a condition for such assistance.

"Criminal activity" means the tenant, any member of the tenant's household, a guest or another person under the tenant's control has engaged in any conduct constituting a criminal violation of federal law, HRS, or local ordinances regardless of whether there has been an arrest or conviction for such activity and without satisfying the standard of proof used for a criminal conviction.

"Designated housing" or "designated project" means a property (or properties), or a portion thereof that has been designated for occupancy by disabled families, elderly families, or mixed populations of disabled families and elderly families.

"Disabled family" means a family whose head, spouse, or sole member is a person with disabilities; or two or more persons with disabilities living together; or one or more persons with disabilities living with one or more live-in aides.

"Domestic violence" means the actual or threatened physical violence directed against a family member by a spouse, former spouse, or other member of the family who is living or has lived with the family.

"Drug" means a controlled substance as defined in section 102 of the Controlled Substances Act (21 U.S.C. §802) as it existed on October 20, 2022.

"Drug related criminal activity" means the illegal manufacture, sale, distribution, or use of a drug, or possession of a drug with intent to manufacture, sell, distribute, or use the drug.

"Dwelling unit" means a residential unit in a public housing project.

"Economic self-sufficiency program" means any program designed to encourage, assist, train, or facilitate the economic independence of HUD-assisted families or to provide work for such families.

"Elderly" or "elderly family" means a family whose head, spouse, or sole member is a person who is at least sixty-two years of age; or two or more persons who are at least sixty-two years of age living together; or one or more persons who are at least sixty-two years of age living with one or more live-in aides.

"Eligible family" means a family that meets the qualifications and requirements of the program for admission into federally-assisted public housing.

"Enclosed or partially enclosed" means closed in by a roof or overhang and at least one wall. Enclosed or partially enclosed areas include but are not limited to areas commonly described as public lobbies, lanais, interior courtyards, patios, and covered walkways.

"Exempt individual" means an individual who is exempt from complying with community service or self-sufficiency activities and which is further defined in 24 C.F.R. §960.601(b) as it existed on October 20, 2022.

"Extremely low-income family" means a family whose annual income does not exceed thirty per cent of the median income for the area, as determined by HUD with adjustments for smaller and larger families, except that HUD may establish income ceilings higher or lower than thirty per cent of the median income for the area if HUD finds that such variations are necessary because of unusually high or low family incomes.

"Family" means regardless of actual or perceived sexual orientation, gender identity, or marital status:

- (1) Two or more persons who live or intend to live together as a unit and whose income and resources are available to meet the family's needs and whose head of family has reached the age of majority. A child who is temporarily away from the home because of placement in foster care is considered a member of the family. Family may include foster children and hanai children or a child who is domiciled with, and for whom an adult member of the current household is caring for with written or unwritten permission from the legal parent or other

person having legal custody, or child domiciled with, and for whom an adult member of the current household is in the process of securing custody;

- (2) An elderly family;
- (3) A disabled family;
- (4) A displaced family;
- (5) The remaining member of a tenant family who is recorded as an authorized occupant on the current list of household members and who has reached the age of majority; or
- (6) A single person who is not may be an elderly or displaced person, or a person with disabilities, or the remaining member of a tenant family.

"Family self-sufficiency program" or "FSS program" means the program established by the authority in accordance with 24 C.F.R. Part 984 to promote self-sufficiency of assisted families, including the coordination of supportive services.

"Federally-assisted housing" means housing assisted under any of the following HUD programs:

- (1) Public housing;
- (2) Housing receiving project-based or tenant-based assistance under Section 8 of the United States Housing Act of 1937 (42 U.S.C. §1437f) as it existed on October 20, 2022;
- (3) Housing that is assisted under section 202 of the Housing Act of 1959, as amended by section 801 of the National Affordable Housing Act (12 U.S.C. §1701q) as it existed on October 20, 2022;
- (4) Housing that is assisted under section 202 of the Housing Act of 1959, as such section existed before the enactment of the National Affordable Housing Act as it existed on October 20, 2022;
- (5) Housing that is assisted under section 811 of the National Affordable Housing Act (42 U.S.C. §8013) as it existed on October 20, 2022;

- (6) Housing financed by a loan or mortgage insured under section 221(d)(3) of the National Housing Act (12 U.S.C. §1715l (d)(3)) that bears interest at a rate determined under the proviso of section 221(d)(5) of such Act (12 U.S.C. §1715l (d)(5)) as it existed on October 20, 2022;
- (7) Housing insured, assisted, or held by HUD or by a State or local agency under section 236 of the National Housing Act (12 U.S.C. §1715z-1) as it existed on October 20, 2022; or
- (8) Housing assisted by the Rural Development Administration under section 514 or section 515 of the Housing Act of 1949 (42 U.S.C. §§1483, 1484) as it existed on October 20, 2022.

"Foster children" means a person or persons, under eighteen years of age who is or are not related to the foster parent by blood, marriage, or adoption and who is or are in need of parenting care.

"Foster parent" means any adult person who gives parenting care and maintenance to a foster child pursuant to placement by an authorized agency.

"Gender identity" means actual or perceived gender-related characteristics.

"Hanai child" or "Hanai children" means a child who is taken permanently to reside, be educated, and reared by someone other than the natural parents, traditionally a grandparent or other relative, with the written or unwritten permission of the natural parents.

"Household" means the family and the authority-approved live-in aide.

"HRS" means the Hawaii Revised Statutes.

"HUD" means the United States Department of Housing and Urban Development.

"Imputed welfare income" means the amount of annual income not actually received by a family, as a result of a specified welfare benefit reduction, that is nonetheless included in the family's annual income for purposes of determining rent.

"Individual relief" means relief from surcharges for excess consumption of agency purchased utilities due to special factors affecting utility usage not within the control of the resident, as the agency shall deem appropriate.

"Involuntarily displaced" means an applicant who has vacated or will have to vacate the dwelling unit where the applicant lives because of one or more of the following:

- (1) Displacement by disaster;
- (2) Displacement by governmental action; or
- (3) Displacement by action of housing owner for reasons beyond the applicant's control and despite the applicant meeting all previously imposed conditions of occupancy. The action taken by the owner shall be for reasons other than an increase in rent.

"Live-in aide" means a person who resides with one or more elderly persons, or near elderly persons, or persons with disabilities, and who:

- (1) Is eighteen years of age or older;
- (2) Is determined by the authority to be essential to the care and well-being of the elder or elderly family member or the family member with disabilities;
- (3) Is not obligated for the support of the elder or the elderly family member or family member with disabilities;
- (4) Would not be living in the dwelling unit except to provide the necessary support services;
- (5) Is not a tenant; and
- (6) Notwithstanding any other rule, has no rights of tenancy, continued occupancy of dwelling unit, and is not a remaining member of the household and shall cease to be an occupant therein upon the recovery of the dwelling unit by the authority, or removal from the project of the elder or elderly family member or a family member with disabilities who required the live-in aide.



"Location" means any site comprising a common geographic area undivided by natural or man-made barriers (such as rivers, highways, railroads, or other major obstructions) that block or impede normal pedestrian traffic and which may contain more than one project.

"Low-income family" means a family whose annual income does not exceed eighty per cent of the median income for the area, as determined by HUD with adjustments for smaller and larger families, except that HUD may establish income ceilings higher or lower than eighty per cent of the median income for the area if HUD finds that such variations are necessary because of unusually high or low family incomes.

"Multifamily dwelling" means a building containing more than two dwelling units.

"Near elderly family" means a family whose head, spouse, or sole member is at least fifty years of age but below the age of sixty two, or two or more persons, who are at least fifty years of age but below the age of sixty two, living with one or more live-in aides.

"PHA plan" means the authority's public housing agency plan that is prepared pursuant to 24 C.F.R. Part 903.

"Projects" means those rental properties owned or operated by the authority.

"Public housing" or "federally-assisted public housing" means housing assisted under the United States Housing Act of 1937, other than under Section 8 of that Act, and includes dwelling units in a mixed finance project that are assisted by the authority with capital or operating assistance.

"Police officer" means a person determined by the authority to be, during the period of residence of that person in public housing, employed on a full-time basis as a duly licensed professional police officer by a federal, State or local government or by any agency of these governments.

"Refusal of an offer" means an applicant declines an offer made by the authority for a specific dwelling unit from any waiting list or an applicant's failure

to respond to a written offer from the authority for a specific dwelling unit within the time specified in the offer.

"Rental agreement" means the agreement or contract containing the terms and conditions of occupancy of a dwelling unit entered into by the tenant and authority.

"Resident" means a United States citizen or national, or an eligible immigrant under one of the categories set forth in 42 U.S.C. §1436a(a) (also known as "noncitizen") who is able to demonstrate his or her intent to reside in Hawaii. Under one of these categories, an eligible immigrant is an alien who is lawfully residing in the United States and its territories and possessions under section 141 of the Compacts of Free Association between the government of the Republic of the Marshall Islands, the Federal States of Micronesia (48 U.S.C. 18901 note), and the Republic of Palau (48 U.S.C. 1931 note) while the applicable section is in effect, also known as "COFA" resident. Intent to reside in Hawaii may be demonstrated by the following: length of time spent in Hawaii; leasing or renting of a home in Hawaii; filing of personal Hawaii income tax returns; registering to vote in Hawaii; Hawaii driver's license; record of Hawaii motor vehicle registration; notification of hire to work in Hawaii; records of employment in Hawaii; military records substantiating Hawaii residency; enrollment of minor children in Hawaii schools; establishment of bank accounts and other accounts in Hawaii; written reference from Hawaii residents, relatives, or social agencies; and any other indicia which could substantiate a claim of an intent to reside in Hawaii.

"Security deposit" means a monetary deposit required prior to admission to federally-assisted public housing or use of community facilities that is applied against the cost of loss or damage to the authority's property (reasonable wear and tear excepted) and non-payment of rent.

"Serviceman" means a person active in the Army, Navy, Air Force, Marine Corps or Coast Guard of the

United States, and since July 29, 1945, the Commissioned Corps of the U.S. Public Health Service who has served therein at any time:

- (1) On or after April 6, 1917, and prior to November 11, 1918;
- (2) On or after September 16, 1940, and prior to July 26, 1947;
- (3) On or after June 27, 1950, and prior to February 1, 1955; or
- (4) On or after August 6, 1964 and prior to May 7, 1975.

"Sexual orientation" means having a preference for homosexuality, heterosexuality, or bisexuality, having a history of any one or more of these preferences, having a history of any one or more of these preferences, or being identified with any one or more of these preferences. Sexual orientation shall not be construed to protect conduct otherwise proscribed by law.

"Smoke" or "smoking" means inhaling, exhaling, burning, or carrying any lighted smoking or heated tobacco product or plant product intended for inhalation in any manner or in any form, including electronic smoking devices.

"Spouse" means the marriage partner of the head of household.

"Staff" means the employees or authorized contractors of the authority.

"Tenant" means the person or persons who enter into a rental agreement with the authority to reside in a dwelling unit.

"U.S.C." means the United States Code.

"Utility allowance" means the value of utilities such as electricity, gas, and water costs that are included in the gross rent of the tenant. This does not include telephone or cable television services.

"Utility reimbursement" means the amount, if any, by which the utility allowance for the dwelling unit exceeds the total tenant payment of the family occupying the dwelling unit.

"Very low-income family" means a family whose annual income does not exceed fifty per cent of the

median income for the area, as determined by HUD with adjustments for smaller and larger families, except that HUD may establish income ceilings higher or lower than fifty per cent of the median income for the area if HUD finds that such variations are necessary because of unusually high or low family incomes.

"Veteran" means any person who served in the military or naval forces of the United States who has been discharged or released from active service under conditions other than dishonorable.

"Violent criminal activity" means any criminal activity that has as one of its elements the use, attempted use, or threatened use of physical force substantial enough to cause, or be reasonably likely to cause, serious bodily injury or property damage. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; am and comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. Parts 5, 903, 960, 965, 966; HRS §§356D-4, 356D-13)

**§17-2028-3 Income limits.** (a) Income limits for an applicant's admission to a public housing project shall be as prescribed by HUD annual income limit guidelines.

(b) The authority shall adjust the income limits as established and required by HUD.

(c) Because the HUD income limits are mandatory and the authority has no discretion to amend or change the income limits, the income limits shall be established without a public hearing as provided in Chapter 91-3, HRS, as it existed on October 20, 2022. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §5.601; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-4 Asset transfers.** (a) All assets transferred or assigned from an applicant or tenant to another person, within a two year period prior to submitting an application for the program or reexamination shall be included in determining an applicant's assets.

(b) In determining assets, the authority shall include the value of any business or assets disposed of by an applicant or tenant for less than fair market value (including a disposition in trust, but not in a foreclosure or a bankruptcy sale) during the two years preceding the date of the application for the program or reexamination, as applicable, in excess of the consideration received therefore. In the case of a disposition as part of a separation or divorce settlement, the disposition will not be considered to be for less than fair market value if the applicant or tenant receives important consideration not measurable in dollar terms. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §5.603; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-5 Occupancy guidelines.** (a) The authority shall establish occupancy guidelines to maintain the maximum usefulness of the dwelling units, while preventing excessive wear and tear or underutilization. The occupancy guidelines are incorporated by reference and attached as exhibit A.

(b) The occupancy guidelines shall provide for minimum and maximum dwelling unit sizes depending on the number of persons in a household for purposes of determining dwelling unit size for the wait list. The occupancy guidelines are not to be confused with the authority's occupancy standards, which are based on prevailing county building codes. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22;

§17-2028-5

am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 63 Fed. Reg. 70982-70987; 63 Fed. Reg. 70256-70257; HRS §§356D-4, 356D-13, 356D-31).

**§17-2028-6 Occupancy standards.** The authority and families shall abide by the occupancy standards for the admission and continued occupancy in housing projects as prescribed by the housing codes of the county in which the dwelling units are located. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 63 Fed. Reg. 70982 - 70987; 63 Fed. Reg. 70256-70257; HRS §§356D-4, 356D-13, 356D-31).

**§17-2028-7 Utility allowances.** (a) The monthly rent for a family residing in a federally-assisted public housing project shall include utility allowances established in accordance with HUD's standards for utility allowances as described in 24 C.F.R. §965.505 as it existed on October 20, 2022.

(b) Utility allowances shall be calculated by determining the utility rate then multiplying it by the applicable quantity allowance. A schedule of applicable quantity allowances for lighting, electric domestic hot water heaters, miscellaneous electrical, gas domestic hot water heaters shall be developed annually and shall take into account relevant factors affecting consumption requirements, including:

- (1) The equipment and functions intended to be covered by the allowance for which the utility will be used;
- (2) The size of the dwelling units and the number of occupants per dwelling unit;
- (3) Type of construction and design of the housing project;

- (4) The energy efficiency of authority-supplied appliances and equipment;
- (5) The utility consumption requirements of appliances and equipment whose reasonable consumption is intended to be covered by the total tenant payment; and
- (6) Temperature of domestic hot water.

(c) The authority shall conduct a review of utility rates in January of each year as required by 24 C.F.R. §965.507 as it existed on October 20, 2022. Electric and gas rate schedules for all providers shall be collected and reviewed for each month from the preceding January through December of the calendar year prior to the fiscal year beginning July 1. These monthly rates shall be averaged over the year period.

(d) The new utility allowances shall be posted and noticed to tenants at least sixty days prior to the implementation date, during which time tenants shall have the opportunity to present written or oral comments. The applicable schedules shall be publicly posted in a conspicuous manner at the authority's project offices and shall be furnished upon request. The implementation date for new allowances shall be July 1.

(e) Implementation of all new allowances or components of allowances, by utility, shall be required when there is more than a ten per cent change in the resulting allowance due to a rate change since the last change was effective. In cases when a utility is granted a substantial rate increase in between the annual review, a mid-year allowance adjustment may be required.

(f) The authority may update the quantity allowances. To update the quantity allowance, dwelling units of various sizes in a sampling of different types of developments shall be surveyed to determine the types of existing equipment as well as to identify any factors affecting energy efficiency. If there is a variance in energy consumption factors within housing projects, the worst case scenario shall be identified and utilized for calculating the

quantity allowances. The authority may, at its option, develop property specific allowances for its properties.

- (1) Allowances for lighting shall be developed by conducting a field survey of a representative sample of dwelling units to determine the number and type of fixtures. The following factors shall be used to determine the kilowatt hour per month allowance for each dwelling unit size:
  - (A) The number of fixtures;
  - (B) Watts per fixture; and
  - (C) Estimated hours of use per day.
- (2) Allowances for miscellaneous electric equipment shall be based upon usage of a television, radio, miscellaneous small appliances, and a fan.
- (3) The allowance for refrigerators is based on the equipment in place at the time of survey.
- (4) Allowances for cooking shall be based on the equipment in place at the time of survey.
- (5) Allowances for electric domestic hot water heating shall be based on engineering calculations for each bedroom size assuming a certain number of occupants. The data used in the calculations include estimated consumption per occupant per day, temperature of incoming water, temperature of hot water supply, efficiency of heater, and energy required to heat water to supply temperature.
- (6) Allowance for solar domestic hot water shall be based on a cost analysis of a domestic hot water heating system.
- (7) Gas consumption allowances shall be developed using the same methodology as the electric consumption allowance.
- (g) The authority shall provide medical disability allowances for tenants who have provided proof of medical necessity to the authority. The initial quantity allowances for medical equipment



shall be determined by taking the equipment's average energy consumption multiplied by the normal frequency of usage. A family may request a utility allowance in excess of the medical disability allowance which, based on need may be approved on a case by case basis. Requests for additional allowances based on medical disability may be made to management verbally or in writing, but shall also be subject to verification from a qualified individual. The authority will evaluate the request and respond to the family within 30 days of the completed request.

(h) A Family may also request individual relief from surcharges for excess consumption of agency-purchased utilities. Requests may be granted on reasonable grounds for utility usage incurred by factors beyond the family's control. Factors to be considered and procedures to be used when evaluating such requests include:

- (1) Evidence that the family's consumption is mistakenly portrayed as excessive due to defects in the meter or errors in the meter reading;
- (2) Evidence that the family's consumption is caused by a characteristic of the dwelling unit or equipment supplied by the authority that is beyond the control of the tenant;
- (3) Evidence that the family's consumption is caused by equipment supplied by the authority that is faulty or otherwise not working properly and causing excessive usage that is beyond the control of the tenant; and
- (4) Any other evidence the authority deems relevant in evaluating requests to increase the utility expense based on any factor that is beyond the control of the tenant.
- (5) Request for any other type of individual relief, including a justification for the request and evidence to support the request, must be made to management in writing. The authority will evaluate the request and

provide the family with a response within 30 days of the completed request.

(i) A family shall pay for utility usage in excess of the applicable utility allowance.

(j) A family shall receive a utility reimbursement when the utility allowance exceeds the total family payment except where:

(1) The family is paying a flat rent;

(2) The utility reimbursement would result in a rent due to the authority below the minimum rent as established in section 17-2028-61; or

(3) The family has received a financial hardship exemption pursuant to section 17-2028-61(b) from the minimum rent payment and reimbursement would result in a balance due from the authority to the household.

(k) If a family resides in a dwelling unit served by authority-furnished utilities and must pay for utility usage in excess of the applicable utility allowance pursuant to subsection (h), where:

(1) A checkmeter has been installed, the family must pay the excess dwelling unit cost of the relevant utility amount based on the authority's average utility rate as described in subsection (b).

(2) A checkmeter has not been installed, the family must pay for excess usage resulting from estimated utility consumption attributable to tenant-owned major appliances or to optional functions of authority-furnished equipment according to the schedule described in subsection (b).

[Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; am and comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §§5.603, 5.632, 960.253, Part 965 Subpart E, §966.4; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-8 Verification of information.** An applicant or tenant shall provide documentation to verify information upon request of the staff. [Eff 7/21/05; am and comp 9/4/07; comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. Part 5, Subpart B; 24 C.F.R. §§960.203, 960.259; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-9 Misrepresentation.** An applicant may be denied admission to a housing project if the applicant has submitted false information, withheld information, or made willful misstatements. A tenant who does the same may be denied continued eligibility and have the rental agreement terminated. A live-in aide may be denied approval by the authority or a live-in aide agreement may be terminated if the live-in aide has submitted false information, withheld information, or made willful misstatements. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §966.4; HRS §§356D-4, 356D-13, 356D-31)

SUBCHAPTER 2

ELIGIBILITY

**§17-2028-21 Applicants.** (a) A person seeking admission to a public housing project shall electronically submit a pre-application form to the authority's prescribed online application portal.

(b) Selection for placement on the waiting list shall not be deemed a determination on eligibility or admission.

(c) An applicant who has misrepresented material information in an application for any of the authority's programs shall not be eligible to file an application with the authority for twelve months from the date of written notification from the authority.

[Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ]

(Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §§960.202, 960.203; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-22 Eligibility for admission and participation.** (a) To be eligible for participation in the program, applicant and family members shall meet all of the requirements of the pre-application and final application phases as set forth below:

- (1) During the pre-application phase, the applicant and adult family members shall:
  - (A) Qualify as a family;
  - (B) Be income eligible as determined under section 17-2028-3;
  - (C) Not have an outstanding debt owed to the authority as a participant in any of its programs;
  - (D) Not have an outstanding liability for unpaid rent or damages incurred while previously participating in any section

- 8 rental subsidy program or any HUD rental assistance program;
- (E) Provide a social security number for all family members or certify that the person does not have a social security number;
  - (F) Not have been evicted since March 1, 1985, from a public housing program administered by the authority or any of its predecessors, the housing and community development corporation of Hawaii or Hawaii housing authority with the exception of evictions solely due to failure to pay rent, in which case, the applicant can be admitted upon payment in full of the unpaid amounts due to the agency;
  - (G) Not have been evicted from assisted housing by reason of drug-related criminal activity for a three-year period beginning on the date of the eviction unless the evicted tenant successfully completes a supervised drug rehabilitation program approved by the authority;
  - (H) Not have committed fraud, bribery, or any other corrupt or criminal act in connection with any federal or state housing program;
  - (I) Not be currently engaging in illegal use of a drug or give the authority reasonable cause to believe that a household member's illegal use (or pattern of illegal use) of a drug or abuse (or pattern of abuse) of alcohol may interfere with the health, safety, or right to peaceful enjoyment of the premises by other tenants. For the purposes of this subsection:
    - (i) "Currently engaged in" means the person has engaged in the behavior recently enough to justify a

- reasonable belief that the behavior is current; and
  - (ii) In determining whether to deny eligibility based on a pattern of illegal use of a drug or a pattern of abuse of alcohol by a household member, the authority may consider rehabilitation as provided for under 42 U.S.C. §13661(b)(2)(A)-(C) as it existed on October 20, 2022.
- (J) Not currently or during a three year period preceding the date when the applicant household would otherwise be selected for admission be engaged in any drug-related criminal activity or violent criminal activity or other criminal activity involving assault, terroristic threatening, firearms, dangerous weapons, harassment, kidnapping, sexual assault, extortion, forgery, burglary, unauthorized entry into a dwelling, unauthorized entry into motor vehicle, criminal property damage, criminal trespass on public housing property, disorderly conduct, child pornography, and consuming liquor on public housing property, which is considered as reasonably likely to adversely affect the health, safety, right to peaceful enjoyment of the premises by other tenants, the authority, or staff;
- (K) Not have been convicted of drug-related criminal activity for the manufacture, production, or distribution of methamphetamines;
- (L) Not subject to lifetime registration requirements under any state sex offender's registration program;
- (M) Disclose tobacco use of all family members within the household.

- (2) During the final application phase, the applicant and all adult household members shall meet the requirements as set forth in (1), above, as well as the following requirements:
  - (A) Not engage in or threaten abusive or violent behavior toward the authority's staff. For purposes of this subsection, "threaten" means an oral or written threat or physical gestures that communicate intent to abuse or commit violence. Abusive or violent behavior may be verbal or physical and include use of expletives that are generally considered insulting, racial epithets, or other language, written or oral, that is customarily used to insult or intimidate; and
  - (B) Furnish evidence of citizenship or eligible immigrant status as provided for in 24 C.F.R. §5.508 as it existed on October 20, 2022.

(b) An applicant's past performance in meeting financial obligations, especially rent, may be considered by the authority in its selection of families for admission into its federally-assisted public housing program.

(c) An applicant who is continuously assisted under the United States Housing Act of 1937, as amended, shall be admitted to the program as though the applicant was already a program participant. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; am 3/15/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 42 U.S.C. §13661; 24 C.F.R. §§5.216, 960.201, 960.202, 960.203, 960.204, 960.205; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-23 Eligibility for a live-in aide.**

(a) For a person to be eligible to live in a public housing project as a live-in aide solely to

assist a family member with disabilities in daily living activities, such as bathing, meal preparation and delivery, medicinal care, transportation, and physical activities, an applicant or family member must have a request for a live-in aide approved by the authority. The proposed live-in aide shall meet the requirements set forth below:

- (1) The proposed live-in aide shall:
  - (A) Not have an outstanding debt owed to the authority;
  - (B) Not have been evicted from a public housing program administered by the authority. If the proposed live-in aide was evicted solely due to failure to pay rent, the proposed live-in aide can only be added to the household upon payment in full of the unpaid amount owed to the authority;
  - (C) Not have committed fraud, bribery, or any other corrupt or criminal act in connection with any federal or state housing program;
  - (D) Not have been convicted of drug-related criminal activity for the manufacture, production, or distribution of methamphetamines;
  - (E) Not currently or during a three-year period preceding the date when the household requested approval for the proposed live-in aide, be engaged in criminal activity involving crimes against persons or property that is a threat to the health, safety, or property of others. For purposes of this subsection, in determining eligibility, the authority shall consider whether a person convicted for such a crime has successfully completed a rehabilitation program approved by the authority, or whether the circumstances leading to the criminal conviction no longer exist;



- (F) Not have been evicted from assisted housing by reason of drug-related criminal activity for a three-year period beginning on the date of the eviction unless the evicted proposed live-in aide successfully completes a supervised drug rehabilitation program approved by the authority.
- (G) Not currently or during a three-year period preceding the date of the request for a live-in aide engage in any drug-related criminal activity or violent criminal activity or other criminal activity involving assault, terroristic threatening, firearms, dangerous weapons, harassment, kidnapping, sexual assault, extortion, forgery, burglary, unauthorized entry into a dwelling, unauthorized entry into a motor vehicle, criminal property damage, criminal trespass on public housing property, disorderly conduct, child pornography, and consuming liquor on public housing property, which is considered as reasonably likely to adversely affect the health, safety, right to peaceful enjoyment of the premises by other tenants, the authority, or staff;
- (H) Not be currently engaging in the illegal use of a drug or give the authority reasonable cause to believe that the proposed live-in aide's illegal use or pattern of illegal use of a drug or abuse of alcohol may interfere with the health, safety or right to peaceful enjoyment of the premises by other tenants. For purposes of this subsection:
  - (i) "Currently engaging in" means the person has engaged in the behavior recently enough to justify a

- reasonable belief that the behavior is present and ongoing; and
- (ii) In determining whether to deny eligibility based on a pattern of illegal use of a drug or a pattern of abuse of alcohol, the authority may consider rehabilitation as provided for under 42 U.S.C. §13661(b)(2)(A)-(C)
  - (I) Not be subject to any lifetime requirement in any state for any state sex offender's program.
  - (J) Provide a social security number or certify that the proposed live-in aide does not have a social security number;
  - (K) Disclose the proposed live-in aide's tobacco use;
  - (L) Not engage in or threaten abusive or violent behavior toward the authority's staff. For purpose of this subsection, "threaten" means an oral or written threat or physical gestures that communicate intent to abuse or commit violence. Abusive or violent behavior may be verbal or physical and include use of expletives that are generally considered insulting, racial epithets, or other language, written or oral, that is customarily used to insult, intimidate, or threaten;
  - (M) Furnish evidence that the proposed live-in aide is a resident as defined in section 17-2035-2; and
  - (N) Not have or bring any pet or animal, into the dwelling unit on a temporary or permanent basis. [Eff  
] (Auth: HRS §§356D-4, 356D-13) (Imp: 42 U.S.C. §13661; 24 C.F.R.

**§17-2028-24 Notification of eligibility.**

(a) Applicants who are selected for placement on the waiting list shall be notified by e-mail at the e-mail address provided in the application that the applicant has been selected and placed on the waiting list within ten business days of the date the lottery occurs. Applicants who are not selected by the lottery shall be informed by e-mail at the e-mail address provided in the application that the applicant has not been selected for placement on the waiting list within fifteen business days of the date the lottery occurs.

(b) Applicants who were either not selected to participate in the lottery, or whose application has expired, do not qualify for an informal hearing.

(c) All other determinations of eligibility shall be made in writing by the authority and shall state the reason for the determination.

(d) An applicant determined to be ineligible for admission or participation in the program shall be provided an opportunity for an informal hearing pursuant to section 17-2028-24. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §960.208; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-25 Informal hearing for applicants determined to be ineligible for admission.** (a) An applicant determined to be ineligible for admission or participation in the program may request an informal hearing by submitting a written request within fourteen calendar days from the date of notification of ineligibility.

(b) The informal hearing shall be scheduled within twenty-one calendar days from the date the written request is received and shall be conducted by any person or persons designated by the authority, but shall not be a person who made or approved the

determination of ineligibility or a subordinate of such person.

(c) The applicant shall be given the opportunity to present evidence, which shall be considered by the hearing officer, along with the data compiled by the authority.

(d) A written notice of the hearing officer's decision shall be mailed to the applicant within twenty-one calendar days after the hearing. The notice shall include an explanation of the reasons for decision. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §960.208; HRS §§356D-4, 356D-13, 356D-31)

SUBCHAPTER 3

TENANT SELECTION

**§17-2028-31 Nondiscrimination.** Tenant selection and assignment shall be made without regard to race, color, sex, religion, marital status, creed, national or ethnic origin, age, familial status, gender identity, sexual orientation, handicap or disability or HIV infection. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §960.103; HRS §§356D-4, 356D-13, 356D-31, 515-3)

**§17-2028-32 Income targeting.** (a) Not less than forty per cent of families admitted to the program during the fiscal year from the waiting list shall be extremely low income families.

(b) To the extent allowed by 24 C.F.R. §960.202(b)(2) as it existed on October 20, 2022, admission of extremely low income families to the authority's Section 8 voucher program during the authority's fiscal year shall be credited against the targeting requirement in subsection (a). [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §960.202; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-33 Deconcentration.** (a) For federally-assisted public housing projects, the authority shall give priority to applicants to ensure that, to the maximum extent feasible, the housing

projects will include families with a broad range of income generally representative of low income families in the authority's area of operation. The authority shall not allow dwelling units to remain vacant awaiting an applicant who meets the appropriate income range.

(b) The authority may not concentrate very low-income families in dwelling units in certain public housing projects or certain buildings within projects. Additionally, the authority may not concentrate higher income families in dwelling units in certain housing projects or certain buildings within projects.

(c) In order to effectuate the policies stated in this section, the authority may reserve a certain percentage of dwelling units for applicant placement for applicants who do not qualify for a preference as described in section 17-2028-34. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §§5.607, 903.1, 903.2, 960.204, 960.205, 960.206; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-34 Local preferences.** (a) Subject to section 17-2028-33(c), eligible applicants shall be given preference for admission in the program in the applicable order assigned during random selection of the lottery if, at the time they are seeking housing assistance, they fall within the following preference priority groups:

- (1) Involuntarily displaced;
- (2) Victims of domestic violence who are participating in a program with case management through a domestic violence shelter, program, or clearinghouse; or
- (3) Homeless persons who are participating in a federally or state funded homeless transitional shelter or program, and who are in compliance with a social service plan.

(b) Subject to section 17-2028-33(c), each preference in each priority group is of equal weight and an applicant who qualifies for any of the preferences shall receive assistance before any other applicant who is not so qualified regardless of:

- (1) Place on the waiting list; [~~or~~]
- (2) Date or time of submission of an application[~~-~~]or
- (3) Order placement in the lottery.

(c) A single applicant who is elderly, disabled or displaced shall be given preference over all other single applicants, regardless of the other single applicant's local preference.

(d) An applicant shall not receive preference if any adult member of the applicant family is a person who was evicted or terminated from any federally-assisted housing or state-aided public housing program operated by the authority for a three-year period beginning on the date of eviction because of drug-related criminal activities unless the adult member has successfully completed a rehabilitation program approved by the authority. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4; 356D-13) (Imp: 24 C.F.R. §960.204, 960.206; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-35 Loss of preference.** An applicant who declines one offer of a dwelling unit, without good cause, or who voluntarily requests cancellation of the application, shall lose all preferences for a period of twelve months from the date the offer was declined or from the date of the request for cancellation. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: 24 C.F.R. §960.206; HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §960.206; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-36 Waiting list.** (a) The authority shall maintain fifteen geographical waiting lists, which are community wide in scope and consist of all eligible applicants as follows:

- (1) City and County of Honolulu
  - (A) Honolulu waiting list which is comprised of Ka'ahumanu Homes, Kalakaua Homes, Kalihi Valley Homes, Kamehameha Homes, Kuhio Homes, Mayor Wright Homes, Palolo Valley Homes, Punchbowl Homes, Pu'uwai Momi, Salt Lake Apartments, Spencer House, Kalanihuia, Makamae, Makua Ali'i, Paoakalani, and Pumehana;
  - (B) Central Oahu waitlist which is comprised of Kauhale Nani, Wahiawa Terrace, and Kupuna Home O'Waialua;
  - (C) Windward Oahu waitlist which is comprised of Ho'okipa Kahalu'u, Kaneohe Apartments, Kauhale O'hana, Ko'olau Village, and Waimanalo Homes; and
  - (D) Leeward Oahu waitlist which is comprised of Hale Laulima, Kau'iokalani, Maili I & II, Nanakuli Homes, Waimaha - Sunflower, and Waipahu I & II.
- (2) County of Hawaii
  - (A) Hilo waitlist which is comprised of Lanakila Homes, Punahale Homes, Pomaikai Homes, Hale Aloha O Puna, Hale Olaloa, Kauhale O'Hanakahi;
  - (B) Honoka'a waitlist which is comprised of Hale Hauoli;
  - (C) Ka'u waitlist which is comprised of Pahala;
  - (D) Kona waitlist which is comprised of Ka Hale Kahalu'u, Hale Ho'okipa, Kaimalino, Kealakehe, and Nani Olu;
  - (E) Waikoloa waitlist which is comprised of Ke Kumu 'Eku; and
  - (F) Waimea waitlist which is comprised of Noelani I & II.



(3) County of Maui(A) East Maui waitlist which is comprised of Kahekili Terrace and Makani Kai Hale;

(B) West Maui waitlist which is comprised of Pi'ilani Homes and David Malo Circle; and

(C) Molokai waitlist which is comprised of Kahale Mua.

(4) County of Kauai

(A) East Kauai waitlist which is comprised of Hui O Hanama'ulu, Kapa'a, Hale Nana Kai O Kea, and Hale Ho'olulu; and

(B) West Kauai waitlist which is comprised of Ele'ele Homes, Hale Ho'onanea, Kalaheo Homes, Kekaha Ha'aheo, Kawailehua, and Home Nani.

(b) Applicants shall be notified of the opportunity to apply online to be placed on one of the waiting lists through notices posted in a conspicuous place at the authority's offices that accept applications, the authority's website, and printed statements in the authority's informational material on its application process.

(c) Placement on the waiting list may be based upon the following:

(1) Size of dwelling unit required based on occupancy standards;

(2) Type of dwelling unit required (e.g., accessible for persons with disabilities);

(3) Local preference subject to income targeting and deconcentration policies and goals; and

(4) Date and time of receipt of application[-]; or

(5) Lottery selection, so long as all adopted preferences are considered.

(d) An applicant cannot remain on a waiting list if they are currently a tenant in any federal public housing program.

(e) The notice to open the waiting list shall include information on what procedures shall be used to place applicants on the waiting list, how to apply,

the date and time of the application and selection process. If lottery selection is used, the notice will also include the number of applicants who will be selected by the lottery.

(f) The authority may accept applications from applicants with a preference, without a preference, or a combination of both, which will be specified in the notice of opening of the wait list.

(g) Selection of applicants from the waiting list shall be based upon:

- (1) Date and time; or
- (2) A randomly assigned number based on the number of applicants who were selected by the lottery; and
- (3) Applicable local preference.

(h) An applicant shall update on the authority's portal electronically, at least once a year, any change that may affect the applicant's place on the waiting list and the authority's ability to contact the applicant. Changes include, but are not limited to, family status, financial status, preference status, mailing address, phone number, and current residence.

(i) Applications will be active for eighteen months from the date of placement on the waiting list and will then expire. Applicants still on the waitlist at eighteen months will receive a letter informing them that their application has expired. [Eff 7/21/05; am and comp 9/4/07; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: 24 C.F.R. §§960.206; HRS §§356D-4; 356D-13) (Imp: 24 C.F.R. §960.206; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-37 Removal from waiting list.** An applicant shall not be removed from the waiting list unless:

(a) The applicant requests that applicant's name be removed;

(b) The applicant fails to notify the authority of applicant's continued interest for housing at least once every twelve months;

(c) The applicant no longer meets the eligibility criteria set forth in section 17-2028-22;

(d) The applicant fails to respond to the authority's reasonable contact efforts. Correspondence to either the last known address or last known email address will constitute reasonable effort to contact;

(e) The applicant fails without good cause to keep a scheduled interview or to provide requested information necessary to determine eligibility. Good cause may include, but is not limited to, the following:

(1) The applicant is unable to obtain transportation or childcare and notified the authority prior to the start of the scheduled interview;

(2) The applicant is sick and requests to reschedule the interview prior to the start of the scheduled interview; or

(3) A court verifies that the applicant is serving on a jury which has been sequestered;

(f) The applicant misrepresents any material information to the authority in the application or otherwise; or

(g) An applicant, who applied for a local preference, is unable to verify their qualification for meeting a preference within ten business days may be removed from the waiting list. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §§960.206, 960.208; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-38 Closing the waiting list.** (a) The authority, at its discretion, may restrict acceptance of applications, and close the waiting list in whole

or in part, when it determines that it will be unable to assist all the applicants on the waiting list within a reasonable period of time.

(b) The authority shall announce any closure and reopening of the application process through notices posted in a conspicuous place at the authority's offices that accept applications and on the authority's website.

(c) During periods when application acceptance is closed and until it is reopened, the authority shall not maintain a list of persons to be notified when application acceptance is reopened. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/40/14; comp 1/20/19; comp 2/17/22; am and comp ]  
(Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §960.202, 960.206; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-39 Offers.** (a) An applicant shall be afforded one offer to rent a suitable dwelling unit.

(b) The offer to eligible applicants shall be made in sequence based upon the following:

- (1) Size of dwelling unit required;
- (2) Type of dwelling unit required (e.g. accessible dwelling units for the mobility, hearing or visually impaired);
- (3) Local preferences, subject to income targeting and deconcentration policies and goals; and
- (4) Date and time the application was received; or
- (5) Lottery selection, so long as all adopted preferences are considered.

(c) Upon refusal of one offer, without good cause, the applicant's name will be removed from the waiting list on which the applicant's name has been placed.

(d) An applicant shall not be considered to have been offered a dwelling unit if an offer has been declined for good cause. Good cause may include, but is not limited to the following:

- (1) The dwelling unit is not of the proper size or type and the applicant would be able to reside there only temporarily (e.g., a specially designed dwelling unit that is awaiting a person with a disability needing such a dwelling unit);
- (2) The dwelling unit offered is unsuitable for health or safety reasons for the applicant;
- (3) The applicant is unable to move at the time of the offer and presents clear evidence which substantiates this to the authority's satisfaction, including, but not limited to:
  - (A) A doctor verifies that the applicant has just undergone major surgery and needs a period of time to recuperate;
  - (B) A court verifies that the applicant is serving on a jury which has been sequestered; or
  - (C) A landlord verifies that the applicant has an existing rental agreement that cannot be breached without causing undue financial hardship.
- (4) The applicant's acceptance of the offer would result in undue hardship not related to consideration of race, color, national origin, or language and the applicant presents evidence which substantiates this to the authority's satisfaction (e.g., inaccessibility to source of current employment or day care facilities).
- (e) Not less than fifty per cent of all available dwelling units shall be for applicants without preference and up to fifty per cent of available dwelling units shall be for applicants with preference. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §§960.202, 960.203, 960.206, 960.208; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-40 Occupancy of accessible dwelling units.** (a) The authority shall take the following nondiscriminatory steps to maximize the utilization of accessible dwelling units by eligible individuals whose disability requires the accessibility features of the particular dwelling unit. When an accessible dwelling unit becomes vacant the authority shall, before offering such dwelling units to an applicant without a disability, offer such dwelling unit:

- (1) First, to a current occupant of another dwelling unit of the same project or other projects within the same housing program, having disabilities requiring the accessibility features of the vacant dwelling unit and occupying a dwelling unit not having such features, or, if no such occupant exists, then
- (2) To an eligible qualified applicant on the waiting list having a disability requiring the accessibility features of the vacant dwelling unit.

(b) When an applicant accepts an accessible dwelling unit, and the applicant does not have a disability that requires the accessibility features of the dwelling unit, the applicant shall be required to agree to move to a non-accessible dwelling unit when one becomes available. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: §§356D-4, 356D-13) (Imp: 24 C.F.R. §8.27, ; HRS §§356D-4, 356D-13, 356D-31)

## SUBCHAPTER 4

### OCCUPANCY AND RENTAL AGREEMENT

**§17-2028-51 Rental agreement.** (a) A tenant shall enter into a rental agreement with the authority that sets forth the conditions of occupancy for the tenant including, but not limited to, the rental terms, security deposit, smoking prohibitions, eligibility reexaminations and rental adjustments, and for welfare recipients, authorization for the authority to draw rental payments directly from their EBT or bank accounts.

(b) No tenant shall be permitted to remain in a housing project without a valid rental agreement.  
[Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ]

(Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §966.4; HRS §§356D-4, 356D-13, 356D-31)

### **§17-2028-52 Eligibility for continued occupancy.**

(a) To be eligible for continued occupancy in a housing project, the tenant shall:

- (1) Qualify as a family;
- (2) Conform to the occupancy standards;
- (3) Abide by smoking prohibitions pursuant to section 17-2028-60;
- (4) Not have a record of conduct or behavior which may be detrimental to the project, its tenants or employees of the authority; and
- (5) Except for an exempt individual, conform to the following community service and economic self-sufficiency requirements:
  - (A) Contribute eight hours per month of community service (not including political activities);

- (B) Participate in an economic self-sufficiency program for eight hours per month; or
- (C) Perform eight hours per month of combined activities as described in paragraphs (A) and (B), above.

(b) Except for a newborn child of a tenant or family member, adopted minor child, a minor child who is domiciled with the tenant or family member because tenant or family member was awarded custody by the court or is the legal guardian of the child, foster children, hanai children, or a child who is domiciled with, and for whom an adult member of the current household is caring for with written or unwritten permission from the legal parent or other person having legal custody, or child domiciled with, and for whom an adult member of the current family is in the process of securing custody, [a] no person, including live-in aides, shall be permitted to join or rejoin the household until:

- (1) The authority verifies that the person joining or rejoining the household meets the eligibility requirements set forth in section 17-2028-21 or 17-2028-22, and that household meets the eligibility requirements set forth in section 17-2028-52(a); and
- (2) The authority approves of the tenant's request to add a household member as an occupant of the dwelling unit.

(c) The authority will not approve the addition of household members where the occupancy standards would require a larger size dwelling unit with the exception of adding a new spouse or partner or live-in aide.

(d) All changes to a household composition must be reported to the authority within ten business days. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ]  
(Auth: HRS §§356D-4, 356D-13) (Imp: C.F.R. §§960.603, 966.4; HRS §§356D-4, 356D-6.5, 356D-13, 356D-31)



**§17-2028-53 Reexamination.** (a) For families who pay an income-based rent, the authority shall reexamine a tenant's annual income, assets, family composition, and any other matter necessary to determine a tenant's rent and eligibility for continued occupancy at least once every twelve months.

(b) For families who pay a flat rent pursuant to section 17-2028-62, the authority shall conduct reexaminations as follows:

- (1) At least once every twelve months, the authority shall reexamine the family's composition and any other matter necessary to determine the family's eligibility for continued occupancy; and
- (2) At least once every three years, the authority shall reexamine the family's annual income, assets and any other matter necessary to determine the family's eligibility for continued occupancy.

(c) For all families who include non-exempt individuals, the authority shall also annually reexamine compliance with community service and economic self-sufficiency requirements. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §§960.257, 966.4; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-54 Reexamination results.** (a) A family shall be given written notification within a reasonable time, after determination by the staff, of both the family's eligibility for continued occupancy and rent schedule.

(b) A family found ineligible for continued occupancy by the staff shall be required to vacate the dwelling unit unless the ineligibility is due to noncompliance with community service requirements pursuant to 24 C.F.R. Part 960, Subpart F as it existed on October 20, 2022. In such cases of noncompliance with community service requirements, the

rental agreement shall not be renewed at the end of the twelve month term unless:

- (1) The tenant, and any other noncompliant family member, enter into a written agreement with the authority, in the form and manner required by the authority, to cure such noncompliance in accordance with such agreement; or
  - (2) The family provides written assurance satisfactory to the authority that the tenant or other noncompliant family member no longer resides in the dwelling unit.
- (c) A family aggrieved by the reexamination results may request a hearing pursuant to the authority's grievance procedure as provided in chapter 17-2021. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §§960.257, 960.607, 966.4, 966.51; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-55 Special reexamination.** If at the time of admission or reexamination, a family's income cannot be reasonably anticipated for the next twelve month period, the authority may schedule a special reexamination at any time prior to the next annual reexamination when deemed necessary. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §5.609; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-56 Interim rent adjustment.** (a) The authority may adjust a family's rent between reexamination if a tenant reports a change in family income. However, adjustments to rent shall not be made for covered families with reduced welfare benefit payments resulting from welfare sanctions for

noncompliance with welfare self-sufficiency and work activity requirements. Adjustments, reflecting a lower rent, shall be made effective on the first of the month following the month the report was made. The authority will not process the rent adjustment if it confirms that the decrease in income will last less than thirty calendar days.

(b) A tenant who has obtained a decrease in rent under this section shall report all income increases to the authority which occur prior to the next reexamination within ten business days of when tenant knows the increase will occur, and rent shall be readjusted accordingly. Any increase in rent shall be effective on the first day of the second month following the month in which the change occurred.

(c) A tenant who fails to report any increase in income after obtaining a decrease in rent under this section shall be subject to a back rent charge retroactive to the month in which the rent increase should have been made pursuant to section 17-2028-58.

(d) A tenant shall report to the authority any changes in family composition. Rent adjustment shall be made between reexaminations when a person with income is added to the family and the rent adjustment shall be effective on the first of the second month following the approved inclusion. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §§5.615, 960.257, 966.4; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-57 Tenant transfers.** (a) Tenant transfers shall be made without regard to race, sex, color, creed, age, religion, gender identity, sexual orientation, handicap, national origin, or familial status.

(b) The authority may transfer a family to another dwelling unit:

- (1) To prevent overcrowding or underutilization of a dwelling unit as determined by the

authority at the time of the annual or interim reexamination;

- (2) To preserve the purpose for which a project or dwelling unit was specifically developed or designed such as to meet the needs of the elderly or persons with disabilities;
- (3) Based on an emergency where conditions of the dwelling unit, building or project pose an immediate, verifiable threat to life, health or safety of the family;
- (4) For economic reasons affecting the tenant or the authority;
- (5) For administrative reasons determined by the authority including, but not limited to, permitting modernization, renovation, or rehabilitation work and transferring eligible tenants with disabilities from State-aided public housing projects to federally-assisted public housing projects; or
- (6) As a reasonable accommodation.

(c) Tenant transfers may take priority over new admissions.

(d) A family shall be afforded one offer to transfer to a dwelling unit that meets the criteria set forth in subsection (b) above within the same housing project in which the family resides. If such dwelling unit is not available, the family may then be offered a dwelling unit in another housing project under the control of the management unit. If such a dwelling unit is not available, the family may then be offered a suitable dwelling unit on the island on which the family resides. Declining an offer to transfer for good cause as determined by the authority shall not be considered a refusal.

(e) A family requesting a transfer shall not be transferred during periods when eviction proceedings have been initiated or are in process against such family, which includes the issuance of a notice of violation of the rental agreement by the authority for which the authority is seeking eviction, or scheduling a grievance hearing related to same or during any

periods of conditional deferment of eviction action against such family.

(f) A family requesting a transfer, who is not current with rent or other charges, and who does not have an approved payment arrangement shall not be transferred until the situation is resolved to the satisfaction of the authority.

(g) A family shall not be transferred between any federally-assisted housing programs.

(h) The authority may terminate the rental agreement of a family who refuses to transfer as required by the authority. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §966.4; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-58 Back charges.** (a) A family shall pay in full any back charges within ninety days from the date of notification of the back charge; provided that where the family timely reports a change in income to the authority and a back charge results from an increase in income, payment for any back charges shall not be due until ninety days from the date of a completed reexamination or interim rent adjustment. Failure to do so shall result in the termination of the rental agreement.

(b) The authority may, in its discretion, elect to negotiate a reasonable payment arrangement with a family to ensure payment in full of any back charges. When the authority determines not to exercise this discretion, the family shall be responsible for the full balance of back charges as stated in subsection (a) above. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §966.4; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-59 Rental agreement termination.**

(a) A family shall give the authority at least twenty-eight days written notice that the family will vacate the family's dwelling unit prior to the vacate date.

(b) The authority may terminate a rental agreement when the tenant, any member of the tenant's household, or any guest or other person under the tenant's control:

- (1) Fails to observe or perform any covenant or obligation of the rental agreement, or rule of the authority or housing project, or law or ordinance of a governmental agency that pertains to or establishes standards of occupancy. This includes but is not limited to the following:
  - (A) Serious or repeated violation of the material terms of the rental agreement, including failure to make payments due or fulfill household obligations set forth in the rental agreement;
  - (B) Failure to provide family income, assets, employment and composition information and documentation to enable the authority to determine the family's rental rate and eligibility for continued occupancy;
  - (C) Family no longer conforms to the occupancy limits as established by the authority for the dwelling unit occupied by the family and the family refuses to move to the first appropriate size dwelling unit offered;
  - (D) When requested by the authority due to health and safety, repair, abatement, construction or renovation of the dwelling unit, the family refuses to move;
  - (E) Family is ineligible for continued occupancy;
  - (F) Failure of a family member to comply with community service requirement

- provisions of 24 C.F.R. part 960, subpart F as it existed October 20, 2022, provided that such failure shall result in non-renewal of rental agreement and termination of tenancy at the end of the twelve-month rental agreement term;
- (G) At the time of admission, reexamination, interim or at any other time, the family has submitted false information or has withheld valuable information or has made willful misstatements; and
  - (H) Family fails to accept the authority's offer of a revision to the existing rental agreement.
- (2) Engages in the illegal use of a drug or gives the authority reasonable cause to believe that the illegal use (or pattern of illegal use) of a drug or abuse (or pattern of abuse) of alcohol may interfere with the health, safety, or right to peaceful enjoyment of the premises by other tenants;
  - (3) Who the authority determines engages in any criminal activity that threatens the health, safety, or right to peaceful enjoyment of the premises by other tenants;
  - (4) Who the authority determines engages in any drug-related criminal activity on or near the authority's premises;
  - (5) Threatens the health or safety of an employee, contractor or agent of the authority or State;
  - (6) Violates the smoking prohibitions pursuant to section 17-2028-60 on more than three occasions and receives written notice of said violations; provided that if tenant, any member of the tenant's household, or any guest or other person under the tenant's control receives only one violation of section 17-2028-60 in one year, and participates in and completes a smoking

cessation service program within the same year, the authority will clear the one violation and shall not deem the incident as a violation for the following year;

- (7) Fails to maintain utility services;
- (8) Has been convicted of a felony during the term of the tenancy, and the felony is related to the authority's property or funds, the resident association or tenant association's property or funds, homicide, assault, terroristic threatening, firearms, dangerous weapons, kidnapping, sexual assault, extortion, burglary, unauthorized control of propelled vehicle, and criminal property damage. This subsection does not apply to tenant's guest or other person under tenant's control;
- (9) Flees to avoid prosecution, or custody or confinement after conviction, for a crime, or attempt to commit a crime, that is a felony under the laws of the place from which the individual flees;
- (10) Violates a condition of probation or parole imposed under federal or state law; or
- (11) Engages in willful damage to the authority's property.

(c) The authority shall give a tenant written notice of the proposed termination of the rental agreement that conforms to 24 C.F.R. §966.4 as it existed on October 20, 2022, such as:

- (1) Fourteen days in the case of failure to pay rent except for nonpayment of minimum rent during the ninetyday period beginning the month following the family's request for a financial hardship exemption pursuant to section 17-2028-61(b);
- (2) A reasonable time commensurate with the exigencies of the situation in the case of creation or maintenance of a threat to the health or safety of other tenants or project employees; or



(3) Thirty days in all other cases. The authority shall terminate a rental agreement in accordance with chapter 356D, HRS.

(d) The authority may terminate a rental agreement if any member of the family engages in the use of marijuana, even if pursuant to a lawful prescription under part IX of the Hawaii uniform controlled substances act as it existed on October 20, 2022. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: 24 C.F.R. §966.4; §§356D-4, 356D-13; 356D-98) (Imp: 24 C.F.R. §966.4; HRS §§356D-4, 356D-13, 356D-31, 356D-92)

**§17-2028-60 Smoking prohibited.** (a) Smoking is prohibited in all public housing projects, or portions of public housing projects, including inside dwelling units, unless specifically exempted by the authority in the ACOP, including:

- (1) In all common areas, community facilities, administrative offices or maintenance areas in and around the authority's public housing projects, including vehicles owned or leased by the authority. The authority may designate additional common areas; and
- (2) Within a presumptively reasonable minimum distance of twenty five feet from entrances, exits, and windows that open to common areas, community facilities, and dwelling units, and ventilation intakes that serve common areas, community facilities, and dwelling units, including enclosed or partially enclosed areas where smoking is prohibited.

(b) This prohibition applies to the use of marijuana, even if its use is pursuant to a lawful prescription under part IX of the Hawaii uniform controlled substances act as it existed on October 20, 2022 that was given subsequent to tenant placement in the dwelling unit.

§17-2028-60

[Eff and comp 5/24/14, am and comp 1/20/19; comp  
2/17/22; am and comp ] (Auth: §§356D-  
4, 356D-6.5, 356D-13, 328J-2) (Imp: 24 C.F.R.  
§§903.7, 966.3; HRS §§356D-4, 356D-6.5, SLH 2018, Act  
127, §1, 356D-13, 356D-31)

SUBCHAPTER 5

RENTS, SECURITY DEPOSITS, and OTHER CHARGES

**§17-2028-61 Minimum rents.** (a) There is established a minimum rent of \$50.00 per month.

(b) The authority shall grant an exemption from payment of minimum rent if the family is unable to pay the minimum rent because of financial hardship attributable only to the following situations:

- (1) The family has lost eligibility for or is awaiting an eligibility determination for a Federal, State, or local assistance program;
- (2) The family would be evicted because it is unable to pay the minimum rent;
- (3) The income of the family has decreased because of changed circumstances, including loss of employment;
- (4) A death has occurred in the family; and
- (5) Other circumstances determined by the authority or HUD.

(c) If a family requests a financial hardship exemption, the authority shall suspend the minimum rent requirement beginning the month following the family's request for a hardship exemption, and continuing until the authority determines whether there is a qualifying financial hardship and whether it is temporary or long term.

(d) When the authority determines that a qualifying financial hardship is temporary, the authority shall reinstate the minimum rent from the beginning of the suspension of the minimum rent ninety days after receiving the exemption request. The authority shall offer a reasonable payment arrangement to the family to ensure payment in full of any back charges.

(e) When the authority determines a qualifying financial hardship is long term, the authority shall exempt the family from the minimum rent requirements

so long as such hardship continues. Such exemption shall apply from the beginning of the month following the family's request for a hardship exemption until the end of the qualifying financial hardship.

(f) When the authority determines that there is no qualifying financial hardship exemption, the authority shall reinstate the minimum rent, including back rent owed from the beginning of the suspension. The family shall be responsible for back charges as established in section 17-2028-58 and shall not be eligible for payment arrangements as provided under section 17-2028-58(b). [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. 5.630; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-62 Choice of rent.** Once a year, the authority shall give each family the opportunity to choose between two methods of determining the monthly tenant rent. The family may choose to pay either a flat rent or income-based rent.

(a) The flat rent shall be the fair market rents ("FMRs") that are determined by HUD, at least annually, pursuant to 24 C.F.R. §888.113 as it existed on October 20, 2022. These FMRs, which include utilities (exclusive of telephone and cable television), are established for dwelling units of various bedroom sizes. Because the FMRs are determined by HUD and the authority has no discretion to amend or change the FMRs, the FMRs shall be established without a public hearing as provided in Section 91-3(d), HRS.

(b) The income-based rent is based on thirty per cent of the family's monthly adjusted income or ten per cent of the family's monthly income, or the minimum rent set forth in section 17-2028-61, whichever is greater.

(1) The income-based rent does not include charges for excess utility consumption or other charges.

- (2) The income-based rent shall not exceed the total tenant payment pursuant to 24 C.F.R. §5.628 as it existed on October 20, 2022, for the family minus any applicable utility allowance for tenant-paid utilities. If the utility allowance exceeds the total tenant payment, the authority shall pay such excess amount (the utility reimbursement) either to the family or directly to the utility supplier to pay the utility bill on behalf of the family. If the authority pays the utility supplier, the authority shall notify the family of the amount of the utility reimbursement paid to the supplier.
- (3) For purposes of establishing the income-based rent, the authority shall exclude from annual income the earned income of previously unemployed family members and increases in earnings of a family member during participation in any economic self-sufficiency or other job training program as provided for in 24 C.F.R. §960.255 as it existed on October 20, 2022 and the PHA plan.

(c) If a family is unable to pay the flat rent because of financial hardship, the family may at any time request a switch to payment of income-based rent prior to the next annual option to select the type of rent. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §356D-15) (Imp: HRS §§356D-4, 356D-13; 24 C.F.R. §§5.628, 960.253, 960.255; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-63 Security deposits.** (a) Prior to admission to a housing project, a family shall pay a security deposit in an amount not to exceed one month's rent. The security deposit may be applied to rent or used to repay charges owed to the authority upon the termination of the rental agreement.

(b) The authority may charge a non-refundable community facilities maintenance fee of not less than one per cent of the community facilities expenses for rental and use for private functions. Resident associations that are duly recognized by the authority shall be exempt from the payment of this deposit.  
[Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ]  
(Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §966.4; HRS §§356D-4, 356D-13, 356D-31).

**§17-2028-64 Other Charges.** The authority may charge a family, in addition to monthly rent and applicable utility charges, the following:

(a) A late fee of \$25.00 if the monthly rent is paid after the seventh business day of that month;

(b) A dishonored check fee of \$25.00 for every check made payable to the authority that is returned for insufficient funds; and

(c) Maintenance costs which includes repair costs related to damages to the dwelling unit or appliances or equipment furnished by the authority, in excess of ordinary wear and tear, and for any repairs to project buildings, facilities, or common areas required because of the wrongful act or negligence of the family or the family's guest or visitor.  
[Eff 5/24/14; comp 1/20/19; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13)  
(Imp: 24 C.F.R. §966.4; HRS §§356D-4, 356D-13, 356D-31).

SUBCHAPTER 6

FAMILY SELF-SUFFICIENCY PROGRAM

**§17-2028-71 Family self-sufficiency program.**

The objective of the authority's family self-sufficiency (FSS) program is to reduce the dependency of low-income families on welfare assistance, section 8, public housing, or any federal, state, or local rent or homeownership subsidies. Under the family self-sufficiency program, low-income families are provided opportunities for education, job training, counseling, and other forms of social service assistance, while living in assisted housing, so that they may obtain the education, employment, and business and social skills necessary to achieve self-sufficiency. [Eff 7/21/05; am and comp 9/4/07; comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. Part 984; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-72 Eligibility.** (a) Tenants in the authority's federal public housing program are eligible to participate in the family self-sufficiency program.

(b) Preference shall be given to applicants who already receive family self-sufficiency-related support services for fifty per cent or less of the allocations. [Eff 7/21/05; am and comp 9/4/07; comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. Part 984; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-73 Recruitment and outreach.** (a) The authority shall conduct outreach programs to recruit participants for the family self-sufficiency program.

(b) Outreach efforts may include the following:

- (1) Sending informational brochures to each family participating in the authority federal public housing program;
- (2) Conducting orientation sessions for families who express an interest in participating in the family self-sufficiency program; and
- (3) Identifying and targeting potential families in the authority's caseloads.

[Eff 7/21/05; am and comp 9/4/07; comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. Part 984; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-74 Selection.** (a) Families will be selected without regard to race, color, religion, sex, disability, gender identity, sexual orientation, familial status, or national origin.

(b) Families will be selected by date of receipt of the family self-sufficiency application.

(c) In the event there are more applicants than family self-sufficiency allocations available, the authority shall conduct a lottery to determine placement on the waiting list.

(d) Initially, up to twenty-five tenants may be selected to participate in the family self-sufficiency program. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. Part 984; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-75 Termination or withholding of service.** (a) The authority shall monitor and assess the family self-sufficiency participant's progress and



compliance with the goals set forth in the contract of participation. When the authority determines that the family self-sufficiency participant is not making progress or complying with the goals of the contract of participation, the authority shall notify the family self-sufficiency participant of such determination and provide the family self-sufficiency participant six months to demonstrate compliance with the plan of the contract of participation.

(b) If no progress has been made or the family self-sufficiency participant is still not complying with the contract of participation after the six-month period, the authority shall provide the family self-sufficiency participant with a written notice of intent to terminate or withhold services and of the opportunity to request an informal hearing.

[Eff 7/21/05; am and comp 9/4/07; comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. Part 984; HRS §§356D-4, 356D-13, 356D-31)

SUBCHAPTER 7

SPECIAL PROGRAMS

**§17-2028-81 Special programs.** The authority may administer programs that are created for special or specific purposes to benefit specific categories of persons pursuant to HUD regulations governing those programs. This may include selection from wait lists and lists of participants using criteria that are different from those provided in this chapter. [Eff 7/21/05; am and comp 9/4/07; comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. 960.505; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-82 Occupancy by police officers.**

(a) For the purpose of increasing security for tenants of a public housing project, the authority may allow police officers that would not otherwise be eligible for occupancy in public housing, to reside in a public housing dwelling unit.

(c) The authority shall include in the PHA annual plan or supporting documents the number and location of the dwelling units to be occupied by police officers, and the terms and conditions of their tenancies; and a statement that such occupancy is needed to increase security for public housing tenants.

(d) Occupancy by police officers shall be carried out pursuant to 24 C.F.R. §960.505, as it existed on October 20, 2022. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §960.505; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-83 Designated housing.** (a) The authority may designate public housing projects, or portions of public housing projects, for occupancy by disabled families, elderly families, or mixed populations of disabled and elderly families.

(b) The authority shall designate public housing projects, or portions of public housing projects in accordance with 24 C.F.R. Part 945 as it existed on October 20, 2022. The authority shall also include a description of the designation activity in the PHA plan. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. Part 945; HRS §§356D-4, 356D-13, 356D-31)

SUBCHAPTER 8

HOUSEHOLD PETS

**§17-2028-91 Pet ownership.** (a) The authority may permit pet ownership by tenants of public housing, subject to compliance with the authority's pet policy established in the PHA plan.

(b) This subchapter does not apply to animals that assist, support or provide service to persons with disabilities. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §§960.705, 960.707; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-92 Conditions for pet ownership.**

(a) A tenant shall comply with the authority's reasonable conditions for pet ownership that include, but are not limited to, the following:

- (1) Obtaining a permit from the authority to own a pet pursuant to the requirements set forth in the authority's pet policy established in the PHA plan; and
- (2) Complying with the authority's rules for pet ownership.

(b) The authority may revoke a pet permit for the following reasons:

- (1) The authority determines that the pet is not properly cared for;
- (2) The pet presents a threat to the safety and security of other tenants, employees of the authority, contractors and others on the premises;
- (3) The pet is destructive or causes an infestation;

- (4) The pet disturbs other tenants for reasons including, but not limited to, noise, odor, cleanliness, sanitation, and allergic reactions;
- (5) The pet owner fails to provide an annual update on the pet as required in the pet rules;
- (6) The resident association or project pet committee, which consists of tenants with and without a pet, recommends to the authority that the pet permit be revoked due to a demonstrated lack of cooperation and responsibility in maintaining the pet; or
- (7) Tenant fails to pay on a timely basis the following applicable pet fees:
  - (A) An initial pet deposit of \$75.00 or an amount equal to the total tenant payment, whichever is lower; and
  - (B) For owners of a dog or cat, a non-refundable monthly fee of \$5.00. This fee shall not apply to residents of projects for the elderly and persons with disabilities.

[Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ]

(Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §§5.318, 960.705, 960.707; HRS §§356D-4, 356D-13, 356D-31)

SUBCHAPTER 9

MISCELLANEOUS PROVISIONS

**§17-2028-101 Severability.** If any part, section, sentence, clause, or phrase of this chapter, or its application to any person or transaction or other circumstances, is for any reason held to be unconstitutional or invalid, the remaining parts, sections, sentences, clauses, and phrases of this chapter, or the application of this chapter to other persons or transactions or circumstances, shall not be affected. [Eff 7/21/05; am and comp 9/4/07; comp 5/24/14; comp 1/20/19; comp 2/17/22; comp                   ] (Auth: HRS §§356D-4, 356D-13) (Imp: HRS §1-23)

**§17-2028-102 Number and gender.** Words in the singular or plural number and masculine gender shall have the same meaning as defined in section 1-17, HRS. [Eff 7/21/05; am and comp 9/4/07; comp 5/24/14; comp 1/20/19; comp 2/17/22; comp                   ] (Auth: HRS §356D-4, 356D-13) (Imp: HRS §1-17)

DEPARTMENT OF HUMAN SERVICES

Amendments to and compilation of chapter 2028,  
title 17, Hawaii Administrative Rules, on the Summary  
Page dated \_\_\_\_\_ were adopted on \_\_\_\_\_  
following a public hearing held on \_\_\_\_\_,  
after public notice was given in the Honolulu Star-  
Advertiser, the Maui News, the Garden Island, West  
Hawaii Today, and the Hawaii Tribune-Herald on  
\_\_\_\_\_.

They shall take effect ten days after filing with  
the Office of the Lieutenant Governor.

\_\_\_\_\_  
Robert J. Hall, Chairperson  
Board of Directors  
Hawaii Public Housing Authority

\_\_\_\_\_  
DAVID Y. IGE  
Governor  
State of Hawaii

Dated: \_\_\_\_\_

APPROVED AS TO FORM:

\_\_\_\_\_  
Deputy Attorney General

Filed: \_\_\_\_\_

## EXHIBIT A

### OCCUPANCY GUIDELINES

The authority does not determine who shares a bedroom/sleeping room, but there must be at least one person per bedroom. The Occupancy Guidelines for determining dwelling unit size shall be applied in a manner consistent with Fair Housing guidelines.

For occupancy guidelines, an adult is a person 18 years or older.

All guidelines relate to the number of bedrooms in the dwelling unit. Dwelling units will be so assigned that:

One bedroom will be generally assigned for every two family members. The authority shall consider factors such as family characteristics including sex, age, or relationship, the number of bedrooms and the size of sleeping areas or bedrooms and the overall size of the dwelling unit. Consideration shall also be given for medical reasons and the presence of a live-in aide.

Single person families shall be allocated one bedroom.

#### GUIDELINES FOR DETERMINING BEDROOM SIZE FOR WAIT LIST

| Bedroom Size | Persons in Household:<br><u>(Minimum #)</u> | Persons in Household:<br><u>(Maximum #)</u> |
|--------------|---------------------------------------------|---------------------------------------------|
| 0 Bedroom    | 1                                           | 1                                           |
| 1 Bedroom    | 1                                           | 2                                           |
| 2 Bedrooms   | 2                                           | 4                                           |
| 3 Bedrooms   | 3                                           | 6                                           |
| 4 Bedrooms   | 4                                           | 8                                           |
| 5 Bedrooms   | 6                                           | 10                                          |



DEPARTMENT OF HUMAN SERVICES

Amendment and Compilation of Chapter 17-2028  
Hawaii Administrative Rules

(date)

SUMMARY

1. Chapter 17-2028, Hawaii Administrative Rules, entitled "Federally-Assisted Public Housing Projects", is amended and compiled to read as follows:

"HAWAII ADMINISTRATIVE RULES

TITLE 17

DEPARTMENT OF HUMAN SERVICES

SUBTITLE 5

HAWAII PUBLIC HOUSING AUTHORITY

CHAPTER 2028

FEDERALLY-ASSISTED PUBLIC HOUSING PROJECTS

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Subchapter 2 Eligibility

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§17-2028-[23]24 Notification of eligibility  
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determined to be ineligible for  
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### Subchapter 3 Tenant Selection

§17-2028-31 Nondiscrimination  
§17-2028-32 Income targeting  
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§17-2028-34 Local preferences  
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§17-2028-36 Waiting list  
§17-2028-37 Removal from waiting list  
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### Subchapter 4 Occupancy and Rental Agreement

§17-2028-51 Rental agreement  
§17-2028-52 Eligibility for continued occupancy  
§17-2028-53 Reexamination  
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### Subchapter 5 Rents, Security Deposits, and Other Charges

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#### Subchapter 6 Family Self-Sufficiency Program

§17-2028-71 Family self-sufficiency program  
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§17-2028-75 Termination or withholding of service  
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#### Subchapter 7 Special Programs

§17-2028-81 Special programs  
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#### Subchapter 8 Household Pets

§17-2028-91 Pet ownership  
§17-2028-92 Conditions for pet ownership  
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#### Subchapter 9 Miscellaneous Provisions

§17-2028-101 Severability  
§17-2028-102 Number and gender  
§§17-2028-103 to 17-2028-110 (Reserved)

Historical Note: Chapter 2028 of Title 17,  
Hawaii Administrative Rules, is substantially based  
upon Chapter 17-535, Hawaii Administrative Rules, [Eff  
1/1/81; am and comp 2/11/85; am and comp 5/26/98; R

12/03/01], and Chapter 15-190, Hawaii Administrative  
Rules [Eff 12/03/01; R 9/04/07]

## SUBCHAPTER 1

## GENERAL PROVISIONS

**§17-2028-1 Purpose.** These rules are adopted under chapter 91, HRS, and shall govern the administration of federal public housing programs designated to be carried out by a public housing agency, including admission to and the continued occupancy of federally-assisted public housing projects owned or operated by the authority. These rules set forth some of the authority's admission and continued occupancy policies that a public housing authority is required to adopt pursuant to the U.S. Department of Housing and Urban Development federal public housing regulations in 24 C.F.R. Chapter IX ("ACOP"). These rules shall be used in conjunction with other public housing policies, but shall supersede any other policy that may conflict with these rules. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. Parts 5, 903, 960, 965, 966; HRS §§356D-4, 356D-13)

**§17-2028-2 Definitions.** Whenever used in this chapter, unless specifically defined:

"Accessible dwelling unit" means a dwelling unit that is located on an accessible route and when designed, constructed, altered, or adapted can be approached, entered, and used by individuals with physical disabilities or a dwelling unit being made accessible as a result of alterations and is intended for use by a specific qualified individual with disabilities which meets the requirements of applicable standards that address the particular disability or impairment of an individual.

"Adjusted income" means "annual income" of the members of the family residing or intending to reside in the dwelling unit minus any HUD allowable expenses and deductions as defined in 24 C.F.R. §5.611 as it existed on March 28, 2013.

"Admissions and Continued Occupancy Policy" or "ACOP" means these administrative rules and other administrative rules containing the policies by which the authority determines eligibility for admission, prospective tenant selection, dwelling unit assignment, fair and nondiscriminatory transfers, rental agreement terminations, pet policies, and other property-specific guidelines~~[as required pursuant to these rules]~~ that a public housing authority is required to adopt pursuant to the U.S. Department of Housing and Urban Development federal public housing regulations in 24 C.F.R. Chapter IX.

"Annual income" means the gross amount of income anticipated to be received by the family during the twelve months after admission or reexamination. Gross income is the amount of income prior to any HUD allowable expenses or deductions, and does not include income which has been excluded by HUD, as defined in 24 C.F.R. §5.609 as it existed on March 28, 2013.

"Applicant" means an individual or family that submits an application for admission to the program but is not yet a participant in the program.

"Assets" or "net family assets" means net cash value after deducting reasonable costs that would be incurred in disposing of real property, savings, stocks, bonds, and other forms of capital investment as defined in 24 C.F.R. §5.603 as it existed on ~~[March 28, 2013]~~ October 20, 2022, and excludes the value of necessary items of personal property such as furniture and automobiles.

"Assisted housing" means the same as "federally-assisted housing".

"Authority" means the Hawaii public housing authority.

"Back charge" means the amount of arrears in rent or other charges owed to the authority.

"C.F.R." means the United States Code of Federal Regulations.

"Child" means a person who is born alive and is less than eighteen years of age.

"Common areas" means areas which are available for use by more than one [family] household, including lobbies, corridors, hallways, stairways, parking lots, spots, ramps, washing machine or laundry room, rooftops, elevators, washrooms and lobby areas, driveways, storerooms, fire escapes, entrances and exits of the building or buildings, basements, yards, gardens, recreational facilities, other parts of the project in common use or other areas designated by the authority, and shared ventilation ducts that service more than one dwelling unit.

"Community facilities" means real and personal property; buildings, equipment, lands, and grounds for recreational or social assemblies, and for educational, health, or welfare purposes; and necessary or convenient utilities, when designed primarily for the benefit and use of the authority or the occupants of the dwelling units.

"Community service" means the performance of voluntary work or duties that are a public benefit and that serve to improve the quality of life, enhance resident self-sufficiency, or increase resident self-responsibility in the community. Community service is not employment and may not include political activities.

"Community wide" means inclusive of any location that is under the jurisdiction of the authority.

"Continuously assisted" means that the applicant is currently receiving assistance under any program of the United States Housing Act of 1937, as amended, and there is no break in assistance to the family.

"Covered families" means families who receive welfare assistance or other public assistance benefits ("welfare benefits") from a State or other public agency ("welfare agency") under a program for which federal, State, or local law requires that a member of the family must participate in an economic self-



sufficiency program as a condition for such assistance.

"Criminal activity" means the tenant, any member of the tenant's household, a guest or another person under the tenant's control has engaged in any conduct constituting a criminal violation of federal law, HRS, or local ordinances regardless of whether there has been an arrest or conviction for such activity and without satisfying the standard of proof used for a criminal conviction.

"Designated housing" or "designated project" means a property (or properties), or a portion thereof that has been designated for occupancy by disabled families, elderly families, or mixed populations of disabled families and elderly families.

"Disabled family" means a family whose head, spouse, or sole member is a person with disabilities; or two or more persons with disabilities living together; or one or more persons with disabilities living with one or more live-in aides.

"Domestic violence" means the actual or threatened physical violence directed against a family member by a spouse, former spouse, or other member of the family who is living or has lived with the family.

"Drug" means a controlled substance as defined in section 102 of the Controlled Substances Act (21 U.S.C. §802) as it existed on [~~March 28, 2013~~]October 20, 2022.

"Drug related criminal activity" means the illegal manufacture, sale, distribution, or use of a drug, or possession of a drug with intent to manufacture, sell, distribute, or use the drug.

"Dwelling unit" means a residential unit in a public housing project.

"Economic self-sufficiency program" means any program designed to encourage, assist, train, or facilitate the economic independence of HUD-assisted families or to provide work for such families.

"Elderly" or "elderly family" means a family whose head, spouse, or sole member is a person who is at least sixty-two years of age; or two or more persons who are at least sixty-two years of age living

together; or one or more persons who are at least sixty-two years of age living with one or more live-in aides.

"Eligible family" means a family that meets the qualifications and requirements of the program for admission into federally-assisted public housing.

"Enclosed or partially enclosed" means closed in by a roof or overhang and at least one wall. Enclosed or partially enclosed areas include but are not limited to areas commonly described as public lobbies, lanais, interior courtyards, patios, and covered walkways.

"Exempt individual" means an individual who is exempt from complying with community service or self-sufficiency activities and which is further defined in 24 C.F.R. §960.601(b) as it existed on ~~[March 28, 2013]~~October 20, 2022.

"Extremely low-income family" means a family whose annual income does not exceed thirty per cent of the median income for the area, as determined by HUD with adjustments for smaller and larger families, except that HUD may establish income ceilings higher or lower than thirty per cent of the median income for the area if HUD finds that such variations are necessary because of unusually high or low family incomes.

"Family" means regardless of actual or perceived sexual orientation, gender identity, or marital status:

- (1) Two or more persons who live or intend to live together as a unit and whose income and resources are available to meet the family's needs and ~~[who may be related by blood, marriage, or operation of law and]~~ whose head of family has reached the age of majority. [Family may include foster children and hanai children] A child who is temporarily away from the home because of placement in foster care is considered a member of the family. Family may include foster children and hanai children or a child who is domiciled with, and for whom an

adult member of the current household is caring for with written or unwritten permission from the legal parent or other person having legal custody, or child domiciled with, and for whom an adult member of the current household is in the process of securing custody;

- (2) An elderly family;
- (3) A disabled family;
- (4) A displaced family;
- (5) The remaining member of a tenant family who is recorded as an authorized occupant on the current list of household members and who has reached the age of majority; or
- (6) A single person who is not—an elderly or displaced person, or a person with disabilities, or the remaining member of a tenant family.

"Family self-sufficiency program" or "FSS program" means the program established by the authority in accordance with 24 C.F.R. Part 984 to promote self-sufficiency of assisted families, including the coordination of supportive services.

"Federally-assisted housing" means housing assisted under any of the following HUD programs:

- (1) Public housing;
- (2) Housing receiving project-based or tenant-based assistance under Section 8 of the United States Housing Act of 1937 (42 U.S.C. §1437f) as it existed on ~~[March 28, 2013]~~October 20, 2022;
- (3) Housing that is assisted under section 202 of the Housing Act of 1959, as amended by section 801 of the National Affordable Housing Act (12 U.S.C. §1701q) as it existed on ~~[March 28, 2013]~~October 20, 2022;
- (4) Housing that is assisted under section 202 of the Housing Act of 1959, as such section existed before the enactment of the National Affordable Housing Act as it existed on ~~[March 28, 2013]~~October 20, 2022;

- (5) Housing that is assisted under section 811 of the National Affordable Housing Act (42 U.S.C. §8013) as it existed on [~~March 28, 2013~~]October 20, 2022;
- (6) Housing financed by a loan or mortgage insured under section 221(d)(3) of the National Housing Act (12 U.S.C. §1715l (d)(3)) that bears interest at a rate determined under the proviso of section 221(d)(5) of such Act (12 U.S.C. §1715l (d)(5)) as it existed on [~~March 28, 2013~~]October 20, 2022;
- (7) Housing insured, assisted, or held by HUD or by a State or local agency under section 236 of the National Housing Act (12 U.S.C. §1715z-1) as it existed on [~~March 28, 2013~~]October 20, 2022; or
- (8) Housing assisted by the Rural Development Administration under section 514 or section 515 of the Housing Act of 1949 (42 U.S.C. §§1483, 1484) as it existed on [~~March 28, 2013~~]October 20, 2022.

"Foster children" means a person or persons, under eighteen years of age who is or are not related to the foster parent by blood, marriage, or adoption and who is or are in need of parenting care.

"Foster parent" means any adult person who gives parenting care and maintenance to a foster child pursuant to placement by an authorized agency.

"Gender identity" means actual or perceived gender-related characteristics.

"Hanai child" or "Hanai children" means a [person or persons, under eighteen years of age, for whom an applicant or tenant provides food, nourishment and support for a minimum period of at least a year or has been recognized in the household for support by the department of human services and who is acknowledged as the applicant's or tenant's child among friends, relatives and the community.]child who is taken permanently to reside, be educated, and reared by someone other than the natural parents, traditionally a grandparent or other relative, with the written or

unwritten permission of the natural parents. "Household" means the family and the authority-approved live-in aide.

"HRS" means the Hawaii Revised Statutes.

"HUD" means the United States Department of Housing and Urban Development.

"Imputed welfare income" means the amount of annual income not actually received by a family, as a result of a specified welfare benefit reduction, that is nonetheless included in the family's annual income for purposes of determining rent.

"Individual relief" means relief from surcharges for excess consumption of agency purchased utilities due to special factors affecting utility usage not within the control of the resident, as the agency shall deem appropriate.

"Involuntarily displaced" means an applicant who has vacated or will have to vacate the dwelling unit where the applicant lives because of one or more of the following:

- (1) Displacement by disaster;
- (2) Displacement by governmental action; or
- (3) Displacement by action of housing owner for reasons beyond the applicant's control and despite the applicant meeting all previously imposed conditions of occupancy. The action taken by the owner shall be for reasons other than an increase in rent.

"Live-in aide" means a person who resides with one or more elderly persons, or near elderly persons, or persons with disabilities, and who:

- ~~[(1) Is determined to be essential to the care and well-being of the persons;~~
- ~~(2) Is not obligated for the support of the persons;~~
- ~~(3) Would not be living in the unit except to provide the necessary support services; and~~
- ~~(4) Is not a tenant.]~~
- (1) Is eighteen years of age or older;
- (2) Is determined by the authority to be essential to the care and well-being of the

- elder or elderly family member or the family member with disabilities;
- (3) Is not obligated for the support of the elder or the elderly family member or family member with disabilities;
- (4) Would not be living in the dwelling unit except to provide the necessary support services;
- (5) Is not a tenant; and
- (6) Notwithstanding any other rule, has no rights of tenancy, continued occupancy of dwelling unit, and is not a remaining member of the household and shall cease to be an occupant therein upon the recovery of the dwelling unit by the authority, or removal from the project of the elder or elderly family member or a family member with disabilities who required the live-in aide.

"Location" means any site comprising a common geographic area undivided by natural or man-made barriers (such as rivers, highways, railroads, or other major obstructions) that block or impede normal pedestrian traffic and which may contain more than one project.

"Low-income family" means a family whose annual income does not exceed eighty per cent of the median income for the area, as determined by HUD with adjustments for smaller and larger families, except that HUD may establish income ceilings higher or lower than eighty per cent of the median income for the area if HUD finds that such variations are necessary because of unusually high or low family incomes.

"Multifamily dwelling" means a building containing more than two dwelling units.

"Near elderly family" means a family whose head, spouse, or sole member is at least fifty years of age but below the age of sixty two, or two or more persons, who are at least fifty years of age but below the age of sixty two, living with one or more live-in aides.

"PHA plan" means the authority's public housing agency plan that is prepared pursuant to 24 C.F.R. Part 903.

"Projects" means those rental properties owned or operated by the authority.

"Public housing" or "federally-assisted public housing" means housing assisted under the United States Housing Act of 1937, other than under Section 8 of that Act, and includes dwelling units in a mixed finance project that are assisted by the authority with capital or operating assistance.

"Police officer" means a person determined by the authority to be, during the period of residence of that person in public housing, employed on a full-time basis as a duly licensed professional police officer by a federal, State or local government or by any agency of these governments.

"Refusal of an offer" means an applicant declines an offer made by the authority for a specific dwelling unit from any waiting list or an applicant's failure to respond to a written offer from the authority for a specific dwelling unit within the time specified in the offer.

"Rental agreement" means the agreement or contract containing the terms and conditions of occupancy of a dwelling unit entered into by the tenant and authority.

"Resident" means a United States citizen or [a permanent United States resident] national, or an eligible immigrant under one of the categories set forth in 42 U.S.C. §1436a(a) (also known as "noncitizen") who is able to demonstrate his or her intent to reside in Hawaii. Under one of these categories, an eligible immigrant is an alien who is lawfully residing in the United States and its territories and possessions under section 141 of the Compacts of Free Association between the government of the Republic of the Marshall Islands, the Federal States of Micronesia (48 U.S.C. 18901 note), and the Republic of Palau (48 U.S.C. 1931 note) while the applicable section is in effect, also known as "COFA" resident. Intent to reside in Hawaii may be

demonstrated by the following: length of time spent in Hawaii; leasing or renting of a home in Hawaii; filing of personal Hawaii income tax returns; registering to vote in Hawaii[-]; Hawaii driver's license; record of Hawaii motor vehicle registration; notification of hire to work in Hawaii; records of employment in Hawaii; military records substantiating Hawaii residency; enrollment of minor children in Hawaii schools; establishment of bank accounts and other accounts in Hawaii; written reference from Hawaii residents, relatives, or social agencies; and any other indicia which could substantiate a claim of an intent to reside in Hawaii.

"Security deposit" means a monetary deposit required prior to admission to federally-assisted public housing or use of community facilities that is applied against the cost of loss or damage to the authority's property (reasonable wear and tear excepted) and non-payment of rent.

"Serviceman" means a person active in the Army, Navy, Air Force, Marine Corps or Coast Guard of the United States, and since July 29, 1945, the Commissioned Corps of the U.S. Public Health Service who has served therein at any time:

- (1) On or after April 6, 1917, and prior to November 11, 1918;
- (2) On or after September 16, 1940, and prior to July 26, 1947;
- (3) On or after June 27, 1950, and prior to February 1, 1955; or
- (4) On or after August 6, 1964 and prior to May 7, 1975.

"Sexual orientation" means having a preference for homosexuality, heterosexuality, or bisexuality, having a history of any one or more of these preferences, having a history of any one or more of these preferences, or being identified with any one or more of these preferences. Sexual orientation shall not be construed to protect conduct otherwise proscribed by law.

"Smoke" or "smoking" means ~~[inhaling or exhaling the fumes of tobacco or any other plant material, or~~



~~burning or carrying any lighted smoking equipment for tobacco or any other plant material.] inhaling,~~  
exhaling, burning, or carrying any lighted smoking or heated tobacco product or plant product intended for inhalation in any manner or in any form, including electronic smoking devices.

"Spouse" means the marriage partner of the head of household.

"Staff" means the employees or [agents] authorized contractors of the authority.

"Tenant" means the person or persons who enter into a rental agreement with the authority to reside in a dwelling unit.

"U.S.C." means the United States Code.

"Utility allowance" means the value of utilities such as electricity, gas, and water costs that are included in the gross rent of the tenant. This does not include telephone or cable television services.

"Utility reimbursement" means the amount, if any, by which the utility allowance for the dwelling unit exceeds the total tenant payment of the family occupying the dwelling unit.

"Very low-income family" means a family whose annual income does not exceed fifty per cent of the median income for the area, as determined by HUD with adjustments for smaller and larger families, except that HUD may establish income ceilings higher or lower than fifty per cent of the median income for the area if HUD finds that such variations are necessary because of unusually high or low family incomes.

"Veteran" means any person who served in the military or naval forces of the United States who has been discharged or released from active service under conditions other than dishonorable.

"Violent criminal activity" means any criminal activity that has as one of its elements the use, attempted use, or threatened use of physical force substantial enough to cause, or be reasonably likely to cause, serious bodily injury or property damage.

[Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; am and comp 2/17/22;

am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. Parts 5, 903, 960, 965, 966; HRS §§356D-4, 356D-13)

**§17-2028-3 Income limits.** (a) Income limits for an applicant's admission to a public housing project shall be as prescribed by HUD annual income limit guidelines.

(b) The authority shall adjust the income limits as established and required by HUD.

(c) Because the HUD income limits are mandatory and the authority has no discretion to amend or change the income limits, the income limits shall be established without a public hearing as provided in Chapter ~~[91-3(d)]~~91-3, HRS, as it existed on ~~[March 28, 2013]~~October 20, 2022. [Eff 7/21/05; am and comp 9/4/07; am and

comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §5.601; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-4 Asset transfers.** (a) All assets transferred or assigned from an applicant or tenant to another person, within a two year period prior to submitting an application for the program or reexamination shall be included in determining an applicant's assets.

(b) In determining assets, the authority shall include the value of any business or assets disposed of by an applicant or tenant for less than fair market value (including a disposition in trust, but not in a foreclosure or a bankruptcy sale) during the two years preceding the date of the application for the program or reexamination, as applicable, in excess of the consideration received therefore. In the case of a disposition as part of a separation or divorce settlement, the disposition will not be considered to

§17-2028-4

be for less than fair market value if the applicant or tenant receives important consideration not measurable in dollar terms. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §5.603; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-5 Occupancy guidelines.** (a) The authority shall establish occupancy guidelines to maintain the maximum usefulness of the dwelling units, while preventing excessive wear and tear or underutilization. The occupancy guidelines are incorporated by reference and attached as exhibit A.

(b) The occupancy guidelines shall provide for minimum and maximum dwelling unit sizes depending on the number of persons in a household for purposes of determining dwelling unit size for the wait list. The occupancy guidelines are not to be confused with the authority's occupancy standards, which are based on prevailing county building codes. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 63 Fed. Reg. 70982-70987; 63 Fed. Reg. 70256-70257; HRS §§356D-4, 356D-13, 356D-31).

**§17-2028-6 Occupancy standards.** The authority and families shall abide by the occupancy standards for the admission and continued occupancy in housing projects as prescribed by the housing codes of the county in which the dwelling units are located. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 63 Fed. Reg. 70982 - 70987; 63 Fed. Reg. 70256-70257; HRS §§356D-4, 356D-13, 356D-31).

**§17-2028-7 Utility allowances.** (a) The monthly rent for a family residing in a federally-assisted public housing project shall include utility allowances established in accordance with HUD's standards for utility allowances as described in 24 C.F.R. §965.505 as it existed on ~~[March 28, 2013]~~ October 20, 2022.

(b) Utility allowances shall be calculated by determining the utility rate then multiplying it by the applicable quantity allowance. A schedule of applicable quantity allowances for lighting, electric domestic hot water heaters, miscellaneous electrical, gas domestic hot water heaters shall be developed annually and shall take into account relevant factors affecting consumption requirements, including:

- (1) The equipment and functions intended to be covered by the allowance for which the utility will be used;
- (2) The size of the dwelling units and the number of occupants per dwelling unit;
- (3) Type of construction and design of the housing project;
- (4) The energy efficiency of authority-supplied appliances and equipment;
- (5) The utility consumption requirements of appliances and equipment whose reasonable consumption is intended to be covered by the total tenant payment; and
- (6) Temperature of domestic hot water.

(c) The authority shall conduct a review of utility rates in January of each year as required by 24 C.F.R. §965.507 as it existed on ~~[March 28, 2013]~~ October 20, 2022. Electric and gas rate schedules for all providers shall be collected and reviewed for each month from the preceding January through December of the calendar year prior to the fiscal year beginning July 1. These monthly rates shall be averaged over the year period.

(d) The new utility allowances shall be posted and noticed to tenants at least sixty days prior to the implementation date, during which time tenants shall have the opportunity to present written or oral

comments. The applicable schedules shall be publicly posted in a conspicuous manner at the authority's project offices and shall be furnished upon request. The implementation date for new allowances shall be July 1.

(e) Implementation of all new allowances or components of allowances, by utility, shall be required when there is more than a ten per cent change in the resulting allowance due to a rate change since the last change was effective. In cases when a utility is granted a substantial rate increase in between the annual review, a mid-year allowance adjustment may be required.

(f) The authority may update the quantity allowances. To update the quantity allowance, dwelling units of various sizes in a sampling of different types of developments shall be surveyed to determine the types of existing equipment as well as to identify any factors affecting energy efficiency. If there is a variance in energy consumption factors within housing projects, the worst case scenario shall be identified and utilized for calculating the quantity allowances. The authority may, at its option, develop property specific allowances for its properties.

- (1) Allowances for lighting shall be developed by conducting a field survey of a representative sample of dwelling units to determine the number and type of fixtures. The following factors shall be used to determine the kilowatt hour per month allowance for each dwelling unit size:
  - (A) The number of fixtures;
  - (B) Watts per fixture; and
  - (C) Estimated hours of use per day.
- (2) Allowances for miscellaneous electric equipment shall be based upon usage of a television, radio, miscellaneous small appliances, and a fan.
- (3) The allowance for refrigerators is based on the equipment in place at the time of survey.

- (4) Allowances for cooking shall be based on the equipment in place at the time of survey.
- (5) Allowances for electric domestic hot water heating shall be based on engineering calculations for each bedroom size assuming a certain number of occupants. The data used in the calculations include estimated consumption per occupant per day, temperature of incoming water, temperature of hot water supply, efficiency of heater, and energy required to heat water to supply temperature.
- (6) Allowance for solar domestic hot water shall be based on a cost analysis of a domestic hot water heating system.
- (7) Gas consumption allowances shall be developed using the same methodology as the electric consumption allowance.

(g) The authority shall provide medical disability allowances for tenants who have provided proof of medical necessity to the authority. The initial quantity allowances for medical equipment shall be determined by taking the equipment's average energy consumption multiplied by the normal frequency of usage. A family may request a utility allowance in excess of the medical disability allowance which, based on need may be approved on a case by case basis. Requests for additional allowances based on medical disability may be made to management verbally or in writing, but shall also be subject to verification from a qualified individual. The authority will evaluate the request and respond to the family within 30 days of the completed request.

(h) A Family may also request individual relief from surcharges for excess consumption of agency-purchased utilities. Requests may be granted on reasonable grounds for utility usage incurred by factors beyond the family's control. Factors to be considered and procedures to be used when evaluating such requests include:

- (1) Evidence that the family's consumption is mistakenly portrayed as excessive due to

- defects in the meter or errors in the meter reading;
- (2) Evidence that the family's consumption is caused by a characteristic of the dwelling unit or equipment supplied by the authority that is beyond the control of the tenant;
- (3) Evidence that the family's consumption is caused by equipment supplied by the authority that is faulty or otherwise not working properly and causing excessive usage that is beyond the control of the tenant; and
- (4) Any other evidence the authority deems relevant in evaluating requests to increase the utility expense based on any factor that is beyond the control of the tenant.
- (5) Request for any other type of individual relief, including a justification for the request and evidence to support the request, must be made to management in writing. The authority will evaluate the request and provide the family with a response within 30 days of the completed request.
  - (i) A family shall pay for utility usage in excess of the applicable utility allowance.
  - (j) A family shall receive a utility reimbursement when the utility allowance exceeds the total family payment except where:
    - (1) The family is paying a flat rent;
    - (2) The utility reimbursement would result in a rent due to the authority below the minimum rent as established in section 17-2028-61; or
    - (3) The family has received a financial hardship exemption pursuant to section 17-2028-61(b) from the minimum rent payment and reimbursement would result in a balance due from the authority to the household.
  - (k) If a family resides in a dwelling unit served by authority-furnished utilities and must pay for utility usage in excess of the applicable utility allowance pursuant to subsection (h), where:

- (1) A checkmeter has been installed, the family must pay the excess dwelling unit cost of the relevant utility amount based on the authority's average utility rate as described in subsection (b).
- (2) A checkmeter has not been installed, the family must pay for excess usage resulting from estimated utility consumption attributable to tenant-owned major appliances or to optional functions of authority-furnished equipment according to the schedule described in subsection (b).  
[Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; am and comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §§5.603, 5.632, 960.253, Part 965 Subpart E, §966.4; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-8 Verification of information.** An applicant or tenant shall provide documentation to verify information upon request of the staff. [Eff 7/21/05; am and comp 9/4/07; comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. Part 5, Subpart B; 24 C.F.R. §§960.203, 960.259; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-9 Misrepresentation.** An applicant may be denied admission to a housing project if the applicant has submitted false information, withheld information, or made [wilful] willful misstatements. A tenant who does the same may be denied continued eligibility and have the rental agreement terminated. A live-in aide may be denied approval by the authority or a live-in aide agreement may be terminated if the live-in aide has submitted false information, withheld information, or made willful misstatements. [Eff



§17-2028-9

7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp  
1/20/19; comp 2/17/22; am and comp ]  
(Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R.  
§966.4; HRS §§356D-4, 356D-13, 356D-31)

## SUBCHAPTER 2

### ELIGIBILITY

**§17-2028-21 Applicants.** (a) A person seeking admission to a public housing project shall electronically submit a [completed] pre-application form to the authority's prescribed online application portal. ~~[prepared by the authority. The applicant may file at any of the authority's in-take offices and apply for one of the geographic waiting list areas prescribed in section 17-2028-36.]~~

(b) ~~[The applicant shall be preliminarily placed on a waiting list upon submission of a completed pre-application form.]~~ Selection for placement on the waiting list shall not be deemed a determination on eligibility or admission.

(c) An applicant who has misrepresented material information in an application for any of the authority's programs shall not be eligible to file an application with the authority for twelve months from the date of written notification from the authority. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ]  
(Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §§960.202, 960.203; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-22 Eligibility for admission and participation.** (a) To be eligible for participation in the program, applicant and ~~[household]~~family members shall meet all of the requirements of the pre-application and final application phases as set forth below:

- (1) During the pre-application phase, the applicant and adult ~~[household]~~family members shall:
  - (A) Qualify as a family;

- (B) Be income eligible as determined under section 17-2028-3;
- (C) Not have an outstanding debt owed to the authority as a participant in any of its programs;
- (D) Not have an outstanding liability for unpaid rent or damages incurred while previously participating in any section 8 rental subsidy program or any HUD rental assistance program;
- (E) Provide a social security number for all family members or certify that the person does not have a social security number;
- (F) Not have been evicted since March 1, 1985, from a public housing program administered by the authority or any of its predecessors, the housing and community development corporation of Hawaii or Hawaii housing authority with the exception of evictions solely due to failure to pay rent, in which case, the applicant can be admitted upon payment in full of the unpaid amounts due to the agency;
- (G) Not have been evicted from assisted housing by reason of drug-related criminal activity for a three-year period beginning on the date of the eviction unless the evicted tenant successfully completes a supervised drug rehabilitation program approved by the authority;
- (H) Not have committed fraud, bribery, or any other corrupt or criminal act in connection with any federal or state housing program;
- (I) Not be currently engaging in illegal use of a drug or give the authority reasonable cause to believe that a household member's illegal use (or pattern of illegal use) of a drug or

abuse (or pattern of abuse) of alcohol may interfere with the health, safety, or right to peaceful enjoyment of the premises by other tenants. For the purposes of this subsection:

- (i) "Currently engaged in" means the person has engaged in the behavior recently enough to justify a reasonable belief that the behavior is current; and
  - (ii) In determining whether to deny eligibility based on a pattern of illegal use of a drug or a pattern of abuse of alcohol by a household member, the authority may consider rehabilitation as provided for under 42 U.S.C. §13661(b)(2)(A)-(C) as it existed on ~~March 28, 2013~~October 20, 2022.
- (J) Not currently or during a three year period preceding the date when the applicant household would otherwise be selected for admission be engaged in any drug-related criminal activity or violent criminal activity or other criminal activity involving assault, terroristic threatening, firearms, dangerous weapons, harassment, kidnapping, sexual assault, extortion, forgery, burglary, unauthorized entry into a dwelling, unauthorized entry into motor vehicle, criminal property damage, criminal trespass on public housing property, disorderly conduct, child pornography, and consuming liquor on public housing property, which is considered as reasonably likely to adversely affect the health, safety, right to peaceful enjoyment of the premises by other tenants, the authority, or staff;

- (K) Not have been convicted of drug-related criminal activity for the manufacture, production, or distribution of methamphetamines;
  - (L) Not subject to lifetime registration requirements under any state sex offender's registration program;
  - (M) Disclose tobacco use of all family members within the household.
- (2) During the final application phase, the applicant and all adult household members shall meet the requirements as set forth in (1), above, as well as the following requirements:
- (A) Not engage in or threaten abusive or violent behavior toward the authority's staff. For purposes of this subsection, "threaten" means an oral or written threat or physical gestures that communicate intent to abuse or commit violence. Abusive or violent behavior may be verbal or physical and include use of expletives that are generally considered insulting, racial epithets, or other language, written or oral, that is customarily used to insult or intimidate; and
  - (B) Furnish evidence of citizenship or eligible immigrant status as provided for in 24 C.F.R. §5.508 as it existed on ~~[March 28, 2013]~~ October 20, 2022.
- (b) An applicant's past performance in meeting financial obligations, especially rent, may be considered by the authority in its selection of families for admission into its federally-assisted public housing program.
- (c) An applicant who is continuously assisted under the United States Housing Act of 1937, as amended, shall be admitted to the program as though the applicant was already a program participant. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; am 3/15/19; comp 2/17/22;

am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 42 U.S.C. §13661; 24 C.F.R. §§5.216, 960.201, 960.202, 960.203, 960.204, 960.205; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-23 Eligibility for a live-in aide.**

(a) For a person to be eligible to live in a public housing project as a live-in aide solely to assist a family member with disabilities in daily living activities, such as bathing, meal preparation and delivery, medicinal care, transportation, and physical activities, an applicant or family member must have a request for a live-in aide approved by the authority. The proposed live-in aide shall meet the requirements set forth below:

- (1) The proposed live-in aide shall:
  - (A) Not have an outstanding debt owed to the authority;
  - (B) Not have been evicted from a public housing program administered by the authority. If the proposed live-in aide was evicted solely due to failure to pay rent, the proposed live-in aide can only be added to the household upon payment in full of the unpaid amount owed to the authority;
  - (C) Not have committed fraud, bribery, or any other corrupt or criminal act in connection with any federal or state housing program;
  - (D) Not have been convicted of drug-related criminal activity for the manufacture, production, or distribution of methamphetamines;
  - (E) Not currently or during a three-year period preceding the date when the household requested approval for the proposed live-in aide, be engaged in criminal actively involving crimes against persons or property that is a

threat to the health, safety, or property of others. For purposes of this subsection, in determining eligibility, the authority shall consider whether a person convicted for such a crime has successfully completed a rehabilitation program approved by the authority, or whether the circumstances leading to the criminal conviction no longer exist;

- (F) Not have been evicted from assisted housing by reason of drug-related criminal activity for a three-year period beginning on the date of the eviction unless the evicted proposed live-in aide successfully completes a supervised drug rehabilitation program approved by the authority.
- (G) Not currently or during a three-year period preceding the date of the request for a live-in aide engage in any drug-related criminal activity or violent criminal activity or other criminal activity involving assault, terroristic threatening, firearms, dangerous weapons, harassment, kidnapping, sexual assault, extortion, forgery, burglary, unauthorized entry into a dwelling, unauthorized entry into a motor vehicle, criminal property damage, criminal trespass on public housing property, disorderly conduct, child pornography, and consuming liquor on public housing property, which is considered as reasonably likely to adversely affect the health, safety, right to peaceful enjoyment of the premises by other tenants, the authority, or staff;
- (H) Not be currently engaging in the illegal use of a drug or give the authority reasonable cause to believe

that the proposed live-in aide's illegal use or pattern of illegal use of a drug or abuse of alcohol may interfere with the health, safety or right to peaceful enjoyment of the premises by other tenants. For purposes of this subsection:

- (i) "Currently engaging in" means the person has engaged in the behavior recently enough to justify a reasonable belief that the behavior is present and ongoing; and
- (ii) In determining whether to deny eligibility based on a pattern of illegal use of a drug or a pattern of abuse of alcohol, the authority may consider rehabilitation as provided for under 42 U.S.C. §13661(b)(2)(A)-(C)
- (I) Not be subject to any lifetime requirement in any state for any state sex offender's program.
- (J) Provide a social security number or certify that the proposed live-in aide does not have a social security number;
- (K) Disclose the proposed live-in aide's tobacco use;
- (L) Not engage in or threaten abusive or violent behavior toward the authority's staff. For purpose of this subsection, "threaten" means an oral or written threat or physical gestures that communicate intent to abuse or commit violence. Abusive or violent behavior may be verbal or physical and include use of expletives that are generally considered insulting, racial epithets, or other language, written or oral, that is customarily used to insult, intimidate, or threaten;



- (M) Furnish evidence that the proposed live-in aide is a resident as defined in section 17-2035-2; and
- (N) Not have or bring any pet or animal, into the dwelling unit on a temporary or permanent basis. [Eff ] (Auth: HRS §§356D-4, 356D-13) (Imp: 42 U.S.C. §13661; 24 C.F.R.

**§17-2028-24 Notification of eligibility.**

(a) [~~Upon making a determination of eligibility, the authority shall mail or cause to be delivered a written notification to an applicant. The notification shall specifically state the reasons for the determination.~~] Applicants who are selected for placement on the waiting list shall be notified by e-mail at the e-mail address provided in the application that the applicant has been selected and placed on the waiting list within ten business days of the date the lottery occurs. Applicants who are not selected by the lottery shall be informed by e-mail at the e-mail address provided in the application that the applicant has not been selected for placement on the waiting list within fifteen business days of the date the lottery occurs.

(b) [~~An applicant determined to be ineligible for admission or participation in the program shall be provided an opportunity for an informal hearing pursuant to section 17-2028-24.] Applicants who were either not selected to participate in the lottery, or whose application has expired, do not qualify for an informal hearing.~~

(c) All other determinations of eligibility shall be made in writing by the authority and shall state the reason for the determination.

(d) An applicant determined to be ineligible for admission or participation in the program shall be provided an opportunity for an informal hearing pursuant to section 17-2028-24. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp

2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §960.208; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-25 Informal hearing for applicants determined to be ineligible for admission.** (a) An applicant determined to be ineligible for admission or participation in the program may request an informal hearing by submitting a written request within fourteen calendar days from the date of notification of ineligibility.

(b) The informal hearing shall be scheduled within twenty-one calendar days from the date the written request is received and shall be conducted by any person or persons designated by the authority, but shall not be a person who made or approved the determination of ineligibility or a subordinate of such person.

(c) The applicant shall be given the opportunity to present evidence, which shall be considered by the hearing officer, along with the data compiled by the authority.

(d) A written notice of the hearing officer's decision shall be mailed to the applicant within twenty-one calendar days after the hearing. The notice shall include an explanation of the reasons for decision. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §960.208; HRS §§356D-4, 356D-13, 356D-31)

SUBCHAPTER 3

TENANT SELECTION

**§17-2028-31 Nondiscrimination.** Tenant selection and assignment shall be made without regard to race, color, sex, religion, marital status, creed, national or ethnic origin, age, familial status, gender identity, sexual orientation, handicap or disability or HIV infection. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §960.103; HRS §§356D-4, 356D-13, 356D-31, 515-3)

**§17-2028-32 Income targeting.** (a) Not less than forty per cent of families admitted to the program during the fiscal year from the waiting list shall be extremely low income families.

(b) To the extent allowed by 24 C.F.R. §960.202(b)(2) as it existed on ~~[March 28, 2013]~~ October 20, 2022, admission of extremely low income families to the authority's Section 8 voucher program during the authority's fiscal year shall be credited against the targeting requirement in subsection (a). [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §960.202; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-33 Deconcentration.** (a) For federally-assisted public housing projects, the authority shall give priority to applicants to ensure that, to the maximum extent feasible, the housing

projects will include families with a broad range of income generally representative of low income families in the authority's area of operation. The authority shall not allow dwelling units to remain vacant awaiting an applicant who meets the appropriate income range.

(b) The authority may not concentrate very low-income families in dwelling units in certain public housing projects or certain buildings within projects. Additionally, the authority may not concentrate higher income families in dwelling units in certain housing projects or certain buildings within projects.

(c) In order to effectuate the policies stated in this section, the authority may reserve a certain percentage of dwelling units for applicant placement for applicants who do not qualify for a preference as described in section 17-2028-34. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §§5.607, 903.1, 903.2, 960.204, 960.205, 960.206; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-34 Local preferences.** (a) Subject to section 17-2028-33(c), eligible applicants shall be given preference for admission in the program in the applicable order ~~[of the dates of their applications]~~ assigned during random selection of the lottery if, at the time they are seeking housing assistance, they fall within the following preference priority groups:

- (1) Involuntarily displaced;
- (2) Victims of domestic violence who are participating in a program with case management through a domestic violence shelter, program, or clearinghouse; or
- (3) Homeless persons who are participating in a federally or state funded homeless transitional shelter or program, and who are in compliance with a social service plan.

(b) Subject to section 17-2028-33(c), each preference in each priority group is of equal weight and an applicant who qualifies for any of the preferences shall receive assistance before any other applicant who is not so qualified regardless of:

- (1) Place on the waiting list; [~~or~~]
- (2) Date or time of submission of an application[~~-~~]or

(3) Order placement in the lottery.

(c) A single applicant who is elderly, disabled or displaced shall be given preference over all other single applicants, regardless of the other single applicant's local preference.

(d) An applicant shall not receive preference if any adult member of the applicant family is a person who was evicted or terminated from any federally-assisted housing or state-aided public housing program operated by the authority for a three-year period beginning on the date of eviction because of drug-related criminal activities unless the adult member has successfully completed a rehabilitation program approved by the authority. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4; 356D-13) (Imp: 24 C.F.R. §960.204, 960.206; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-35 Loss of preference.** An applicant who declines one offer of a [~~housing~~]dwelling unit, without good cause, or who voluntarily requests cancellation of the application, shall lose all preferences for a period of twelve months from the date the offer was declined or from the date of the request for cancellation. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: 24 C.F.R. §960.206; HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §960.206; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-36 Waiting list.** (a) The authority shall maintain fifteen geographical waiting lists, which are community wide in scope and consist of all eligible applicants as follows:

- (1) City and County of Honolulu
  - (A) Honolulu ~~[waitlist]~~waiting list which is comprised of Ka'ahumanu Homes, Kalakaua Homes, Kalihi Valley Homes, Kamehameha Homes, Kuhio Homes, Mayor Wright Homes, Palolo Valley Homes, Punchbowl Homes, Pu'uwai Momi, Salt Lake Apartments, Spencer House, Kalanihuia, Makamae, Makua Ali'i, Paoakalani, and Pumehana;
  - (B) Central Oahu waitlist which is comprised of Kauhale Nani, Wahiawa Terrace, and Kupuna Home O'Waialua;
  - (C) Windward Oahu waitlist which is comprised of Ho'okipa Kahalu'u, Kaneohe Apartments, Kauhale O'hana, Ko'olau Village, and Waimanalo Homes; and
  - (D) Leeward Oahu waitlist which is comprised of Hale Laulima, Kau'iokalani, Maili I & II, Nanakuli Homes, Waimaha - Sunflower, and Waipahu I & II.
- (2) County of Hawaii
  - (A) Hilo waitlist which is comprised of Lanakila Homes, Punahele Homes, Pomaikai Homes, Hale Aloha O Puna, Hale Olaloa, Kauhale O'Hanakahi;
  - (B) Honoka'a waitlist which is comprised of Hale Hauoli;
  - (C) Ka'u waitlist which is comprised of Pahala;
  - (D) Kona waitlist which is comprised of Ka Hale Kahalu'u, Hale Ho'okipa, Kaimalino, Kealakehe, and Nani Olu;
  - (E) Waikoloa waitlist which is comprised of Ke Kumu 'Ekolu; and
  - (F) Waimea waitlist which is comprised of Noelani I & II.

(3) County of Maui(A) East Maui waitlist which is comprised of Kahekili Terrace and Makani Kai Hale;

(B) West Maui waitlist which is comprised of Pi'ilani Homes and David Malo Circle; and

(C) Molokai waitlist which is comprised of Kahale Mua.

(4) County of Kauai

(A) East Kauai waitlist which is comprised of Hui O Hanama'ulu, Kapa'a, Hale Nana Kai O Kea, and Hale Ho'olulu; and

(B) West Kauai waitlist which is comprised of Ele'ele Homes, Hale Ho'onanea, Kalaheo Homes, Kekaha Ha'aheo, Kawailehua, and Home Nani.

(b) Applicants shall be notified of the opportunity to apply online to ~~[for and]~~ be placed on one of the waiting lists through notices posted in a conspicuous place at the authority's offices that accept applications, the authority's website, and printed statements in the authority's informational material on its application process.

(c) Placement ~~[of applications]~~ on the waiting list may be based upon the following:

(1) Size of dwelling unit required based on occupancy standards;

(2) Type of dwelling unit required (e.g., accessible for persons with disabilities);

(3) Local preference subject to income targeting and deconcentration policies and goals; and

(4) Date and time of receipt of application~~[-]~~; or

(5) Lottery selection, so long as all adopted preferences are considered.

(d) An applicant cannot remain on a waiting list if they are currently a tenant in any federal public housing program.

~~(e) [An applicant shall notify the authority of any change which will affect applicant's place on the waiting list and the authority's ability to contact~~

~~applicant. Changes include, but are not limited to, family status, financial status, preference status, mailing address, and current residence.] The notice to open the waiting list shall include information on what procedures shall be used to place applicants on the waiting list, how to apply, the date and time of the application and selection process. If lottery selection is used, the notice will also include the number of applicants who will be selected by the lottery.~~

~~(f) [An applicant may elect to change from one geographic waiting list to another geographic waiting list while maintaining the original date and time of their application upon proper written notice to the authority.] The authority may accept applications from applicants with a preference, without a preference, or a combination of both, which will be specified in the notice of opening of the wait list.~~

~~(g) Selection of applicants from the waiting list shall be based upon:~~

- ~~(1) Date and time; or~~
- ~~(2) A randomly assigned number based on the number of applicants who were selected by the lottery; and~~
- ~~(3) Applicable local preference.~~

~~(h) An applicant shall update on the authority's portal electronically, at least once a year, any change that may affect the applicant's place on the waiting list and the authority's ability to contact the applicant. Changes include, but are not limited to, family status, financial status, preference status, mailing address, phone number, and current residence.~~

~~(i) Applications will be active for eighteen months from the date of placement on the waiting list and will then expire. Applicants still on the waitlist at eighteen months will receive a letter informing them that their application has expired. [Eff 7/21/05; am and comp 9/4/07; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: 24 C.F.R. §§960.206; HRS §§356D-4; 356D-13) (Imp: 24 C.F.R. §960.206; HRS §§356D-4, 356D-13, 356D-31)~~



**§17-2028-37 Removal from waiting list.** An applicant shall not be removed from the waiting list unless:

(a) The applicant requests that applicant's name be removed;

(b) The applicant fails to notify the authority of applicant's continued interest for housing at least once every twelve months;

(c) The applicant no longer meets the eligibility criteria set forth in section 17-2028-22;

(d) The applicant fails to respond to the authority's reasonable contact efforts. Correspondence to either the last known address or last known email address will constitute reasonable effort to contact;

(e) The applicant fails without good cause to keep a scheduled interview or to provide requested information necessary to determine eligibility[~~;-or~~]. Good cause may include, but is not limited to, the following:

(1) The applicant is unable to obtain transportation or childcare and notified the authority prior to the start of the scheduled interview;

(2) The applicant is sick and requests to reschedule the interview prior to the start of the scheduled interview; or

(3) A court verifies that the applicant is serving on a jury which has been sequestered;

(f) The applicant misrepresents any material information to the authority in the application or otherwise[~~-~~]; or

(g) An applicant, who applied for a local preference, is unable to verify their qualification for meeting a preference within ten business days may be removed from the waiting list. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §§960.206, 960.208; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-38 Closing the waiting list.** (a) The authority, at its discretion, may restrict acceptance of applications, and close the waiting list in whole or in part, when it determines that it will be unable to assist all the applicants on the waiting list within a reasonable period of time.

(b) The authority shall announce any closure and reopening of the application process through notices posted in a conspicuous place at the authority's offices that accept applications and on the authority's website.

(c) During periods when application acceptance is closed and until it is reopened, the authority shall not maintain a list of persons to be notified when application acceptance is reopened. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/40/14; comp 1/20/19; comp 2/17/22; am and comp ]  
(Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §960.202, 960.206; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-39 Offers.** (a) An applicant shall be afforded one offer to rent a suitable dwelling unit.

(b) The offer to eligible applicants shall be made in sequence based upon the following:

- (1) Size of dwelling unit required;
- (2) Type of dwelling unit required (e.g. accessible dwelling units for the mobility, hearing or visually impaired);
- (3) Local preferences, subject to income targeting and deconcentration policies and goals; and
- (4) Date and time the application was received[-]; or
- (5) Lottery selection, so long as all adopted preferences are considered.

(c) Upon refusal of one offer, without good cause, the applicant's name will be [~~cancelled~~] removed from the waiting list on which the applicant's name has been placed.

(d) An applicant shall not be considered to have been offered a dwelling unit if an offer has been declined for good cause. Good cause may include, but is not limited to the following:

- (1) The dwelling unit is not of the proper size or type and the applicant would be able to reside there only temporarily (e.g., a specially designed dwelling unit that is awaiting a person with a disability needing such a dwelling unit);
- (2) The dwelling unit offered is unsuitable for health or safety reasons for the applicant;
- (3) The applicant is unable to move at the time of the offer and presents clear evidence which substantiates this to the authority's satisfaction, including, but not limited to:
  - (A) A doctor verifies that the applicant has just undergone major surgery and needs a period of time to recuperate;
  - (B) A court verifies that the applicant is serving on a jury which has been sequestered; or
  - (C) A landlord verifies that the applicant has an existing rental agreement that cannot be breached without causing undue financial hardship.
- (4) The applicant's acceptance of the offer would result in undue hardship not related to consideration of race, color, national origin, or language and the applicant presents evidence which substantiates this to the authority's satisfaction (e.g., inaccessibility to source of current employment or day care facilities).

(e) Not less than fifty per cent of all available dwelling units shall be for applicants without preference and up to fifty per cent of available dwelling units shall be for applicants with preference. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R.

§§960.202, 960.203, 960.206, 960.208; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-40 Occupancy of accessible dwelling units.** (a) The authority shall take the following nondiscriminatory steps to maximize the utilization of accessible dwelling units by eligible individuals whose disability requires the accessibility features of the particular dwelling unit. When an accessible dwelling unit becomes vacant the authority shall, before offering such dwelling units to an applicant without a disability, offer such dwelling unit:

- (1) First, to a current occupant of another dwelling unit of the same project or other projects within the same housing program, having disabilities requiring the accessibility features of the vacant dwelling unit and occupying a dwelling unit not having such features, or, if no such occupant exists, then
- (2) To an eligible qualified applicant on the waiting list having a disability requiring the accessibility features of the vacant dwelling unit.

(b) When an applicant accepts an accessible dwelling unit, and the applicant does not have a disability that requires the accessibility features of the dwelling unit, the applicant shall be required to agree to move to a non-accessible dwelling unit when one becomes available. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: §§356D-4, 356D-13) (Imp: 24 C.F.R. §8.27, ; HRS §§356D-4, 356D-13, 356D-31)

SUBCHAPTER 4

OCCUPANCY AND RENTAL AGREEMENT

**§17-2028-51 Rental agreement.** (a) A tenant shall enter into a rental agreement with the authority that sets forth the conditions of occupancy for the tenant including, but not limited to, the rental terms, security deposit, smoking prohibitions, eligibility reexaminations and rental adjustments, and for welfare recipients, authorization for the authority to draw rental payments directly from their EBT or bank accounts.

(b) No tenant shall be permitted to remain in a housing project without a valid rental agreement.  
[Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ]  
(Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §966.4; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-52 Eligibility for continued occupancy.**

(a) To be eligible for continued occupancy in a housing project, the tenant shall:

- (1) Qualify as a family;
- (2) Conform to the occupancy standards;
- (3) Abide by smoking prohibitions pursuant to section 17-2028-60;
- (4) Not have a record of conduct or behavior which may be detrimental to the project, its tenants or employees of the authority; and
- (5) Except for an exempt individual, conform to the following community service and economic self-sufficiency requirements:
  - (A) Contribute eight hours per month of community service (not including political activities);

- (B) Participate in an economic self-sufficiency program for eight hours per month; or
- (C) Perform eight hours per month of combined activities as described in paragraphs (A) and (B), above.

(b) Except for a newborn child of a tenant or family member, adopted minor child, a minor child who is domiciled with the tenant or family member because tenant or family member was awarded custody by the court or is the legal guardian of the child, foster children, hanai children, or a child who is domiciled with, and for whom an adult member of the current household is caring for with written or unwritten permission from the legal parent or other person having legal custody, or child domiciled with, and for whom an adult member of the current family is in the process of securing custody, [a] no person, including live-in aides, shall [not] be permitted to join or rejoin the [family] household until:

- (1) [t]The authority verifies that the person joining or rejoining the household meets the eligibility requirements set forth in section 17-2028-21 or 17-2028-22, [and approves of the family's request to add a family member as an occupant of the unit.] and that household meets the eligibility requirements set forth in section 17-2028-52(a); and
- (2) The authority approves of the tenant's request to add a household member as an occupant of the dwelling unit.

(c) The authority will not approve the addition of household members where the occupancy standards would require a larger size dwelling unit with the exception of adding a new spouse or partner or live-in aide.

(d) All changes to a household composition must be reported to the authority within ten business days.  
 [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ]  
 (Auth: HRS §§356D-4, 356D-13) (Imp: C.F.R.

§17-2028-52

§§960.603, 966.4; HRS §§356D-4, 356D-6.5, 356D-13, 356D-31)

**§17-2028-53 Reexamination.** (a) For families who pay an income-based rent, the authority shall reexamine a tenant's annual income, assets, family composition, and any other matter necessary to determine a tenant's rent and eligibility for continued occupancy at least once every twelve months.

(b) For families who pay a flat rent pursuant to section 17-2028-62, the authority shall conduct reexaminations as follows:

(1) At least once every twelve months, the authority shall reexamine the family's composition and any other matter necessary to determine the family's eligibility for continued occupancy; and

(2) At least once every three years, the authority shall reexamine the family's annual income, assets and any other matter necessary to determine the family's eligibility for continued occupancy.

(c) For all families who include non-exempt individuals, the authority shall also annually reexamine compliance with community service and economic self-sufficiency requirements. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §§960.257, 966.4; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-54 Reexamination results.** (a) A family shall be given written notification within a reasonable time, after determination by the staff, of both the family's eligibility for continued occupancy and rent schedule.

(b) A family found ineligible for continued occupancy by the staff shall be required to vacate the

dwelling unit unless the ineligibility is due to noncompliance with community service requirements pursuant to 24 C.F.R. Part 960, Subpart F as it existed on ~~[March 28, 2013]~~ October 20, 2022. In such cases of noncompliance with community service requirements, the rental agreement shall not be renewed at the end of the twelve month term unless:

- (1) The tenant, and any other noncompliant family member, enter into a written agreement with the authority, in the form and manner required by the authority, to cure such noncompliance in accordance with such agreement; or
- (2) The family provides written assurance satisfactory to the authority that the tenant or other noncompliant family member no longer resides in the dwelling unit.

(c) A family aggrieved by the reexamination results may request a hearing pursuant to the authority's grievance procedure as provided in chapter 17-2021. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §§960.257, 960.607, 966.4, 966.51; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-55 Special reexamination.** If at the time of admission or reexamination, a family's income cannot be reasonably anticipated for the next twelve month period, the authority may schedule a special reexamination at any time prior to the next annual reexamination when deemed necessary. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §5.609; HRS §§356D-4, 356D-13, 356D-31)



**§17-2028-56 Interim rent adjustment.** (a) The authority may adjust a family's rent between reexamination if a tenant reports a change in family income. However, adjustments to rent shall not be made for covered families with reduced welfare benefit payments resulting from welfare sanctions for noncompliance with welfare self-sufficiency and work activity requirements. Adjustments, reflecting a lower rent, shall be made effective on the first of the month following the month the report was made. The authority will not process the rent adjustment if it confirms that the decrease in income will last less than thirty calendar days.

(b) A tenant who has obtained a decrease in rent under this section shall report all income increases to the authority which occur prior to the next reexamination within ten business days of when tenant knows the increase will occur, and rent shall be readjusted accordingly. Any increase in rent shall be effective on the first day of the second month following the month in which the change occurred.

(c) A tenant who fails to report any increase in income after obtaining a decrease in rent under this section shall be subject to a back rent charge retroactive to the month in which the rent increase should have been made pursuant to section 17-2028-58.

(d) A tenant shall report to the authority any changes in family composition. Rent adjustment shall be made between reexaminations when a person with income is added to the family and the rent adjustment shall be effective on the first of the second month following the approved inclusion. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §§5.615, 960.257, 966.4; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-57 Tenant transfers.** (a) Tenant transfers shall be made without regard to race, sex, color, creed, age, religion, gender identity, sexual

orientation, handicap, national origin, or familial status.

(b) The authority may transfer a family to another dwelling unit:

- (1) To prevent overcrowding or underutilization of a dwelling unit as determined by the authority at the time of the annual or interim reexamination;
- (2) To preserve the purpose for which a project or dwelling unit was specifically developed or designed such as to meet the needs of the elderly or persons with disabilities;
- (3) Based on an emergency where conditions of the dwelling unit, building or project pose an immediate, verifiable threat to life, health or safety of the family;
- (4) For economic reasons affecting the tenant or the authority;
- (5) For administrative reasons determined by the authority including, but not limited to, permitting modernization, renovation, or rehabilitation work and transferring eligible tenants with disabilities from State-aided public housing projects to federally-assisted public housing projects; or
- (6) As a reasonable accommodation.

(c) Tenant transfers may take priority over new admissions.

(d) A family shall be afforded one offer to transfer to a dwelling unit that meets the criteria set forth in subsection (b) above within the same housing project in which the family resides. If such dwelling unit is not available, the family may then be offered a dwelling unit in another housing project under the control of the management unit. If such a dwelling unit is not available, the family may then be offered a suitable dwelling unit on the island on which the family resides. Declining an offer to transfer for good cause as determined by the authority shall not be considered a refusal.

(e) A family requesting a transfer shall not be transferred during periods when eviction proceedings have been initiated or are in process against such family, which includes the issuance of a notice of violation of the rental agreement by the authority for which the authority is seeking eviction, or scheduling a grievance hearing related to same or during any periods of conditional deferment of eviction action against such family.

(f) A family requesting a transfer, who is not current with rent or other charges, and who does not have an approved payment arrangement shall not be transferred until the situation is resolved to the satisfaction of the authority.

(g) A family shall not be transferred between any federally-assisted housing programs.

(h) The authority may terminate the rental agreement of a family who refuses to transfer as required by the authority. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §966.4; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-58 Back charges.** (a) A family shall pay in full any back charges within ninety days from the date of notification of the back charge; provided that where the family timely reports a change in income to the authority and a back charge results from an increase in income, payment for any back charges shall not be due until ninety days from the date of a completed reexamination or interim rent adjustment. Failure to do so shall result in the termination of the rental agreement.

(b) The authority may, in its discretion, elect to negotiate a reasonable payment arrangement with a family to ensure payment in full of any back charges. When the authority determines not to exercise this discretion, the family shall be responsible for the full balance of back charges as stated in subsection

(a) above. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §966.4; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-59 Rental agreement termination.**

(a) A family shall give the authority at least twenty-eight days written notice that the family will vacate the family's dwelling unit prior to the vacate date.

(b) The authority may terminate a rental agreement when the tenant, any member of the tenant's household, or any guest or other person under the tenant's control:

(1) Fails to observe or perform any covenant or obligation of the rental agreement, or rule of the authority or housing project, or law or ordinance of a governmental agency that pertains to or establishes standards of occupancy. This includes but is not limited to the following:

- (A) Serious or repeated violation of the material terms of the rental agreement, including failure to make payments due or fulfill household obligations set forth in the rental agreement;
- (B) Failure to provide family income, assets, employment and composition information and documentation to enable the authority to determine the family's rental rate and eligibility for continued occupancy;
- (C) Family no longer conforms to the occupancy limits as established by the authority for the dwelling unit occupied by the family and the family refuses to move to the first appropriate size dwelling unit offered;

- (D) When requested by the authority due to health and safety, repair, abatement, construction or renovation of the dwelling unit, the family refuses to move;
  - (E) Family is ineligible for continued occupancy;
  - (F) Failure of a family member to comply with community service requirement provisions of 24 C.F.R. part 960, subpart F as it existed [~~March 28, 2013~~] October 20, 2022, provided that such failure shall result in non-renewal of rental agreement and termination of tenancy at the end of the twelve-month rental agreement term;
  - (G) At the time of admission, reexamination, interim or at any other time, the family has submitted false information or has withheld valuable information or has made [~~wilful~~] willful misstatements; and
  - (H) Family fails to accept the authority's offer of a revision to the existing rental agreement.
- (2) Engages in the illegal use of a drug or gives the authority reasonable cause to believe that the illegal use (or pattern of illegal use) of a drug or abuse (or pattern of abuse) of alcohol may interfere with the health, safety, or right to peaceful enjoyment of the premises by other tenants;
  - (3) Who the authority determines engages in any criminal activity that threatens the health, safety, or right to peaceful enjoyment of the premises by other tenants;
  - (4) Who the authority determines engages in any drug-related criminal activity on or near the authority's premises;
  - (5) Threatens the health or safety of an employee, contractor or agent of the authority or State;

- (6) Violates the smoking prohibitions pursuant to section 17-2028-60 on more than three occasions and receives written notice of said violations; provided that if tenant, any member of the tenant's household, or any guest or other person under the tenant's control receives only one violation of section 17-2028-60 in one year, and participates in and completes a smoking cessation service program within the same year, the authority will clear the one violation and shall not deem the incident as a violation for the following year;
  - (7) Fails to maintain utility services;
  - (8) Has been convicted of a felony during the term of the tenancy, and the felony is related to the authority's property or funds, the resident association or tenant association's property or funds, homicide, assault, terroristic threatening, firearms, dangerous weapons, kidnapping, sexual assault, extortion, burglary, unauthorized control of propelled vehicle, and criminal property damage. This subsection does not apply to tenant's guest or other person under tenant's control;
  - (9) Flees to avoid prosecution, or custody or confinement after conviction, for a crime, or attempt to commit a crime, that is a felony under the laws of the place from which the individual flees;
  - (10) Violates a condition of probation or parole imposed under federal or state law; or
  - (11) Engages in ~~[wilful]~~ willful damage to the authority's property.
- (c) The authority shall give a tenant written notice of the proposed termination of the rental agreement that conforms to 24 C.F.R. §966.4 as it existed on ~~[March 28, 2013]~~ October 20, 2022, such as:
- (1) Fourteen days in the case of failure to pay rent except for nonpayment of minimum rent during the ninetyday period beginning the

month following the family's request for a financial hardship exemption pursuant to section 17-2028-61(b);

- (2) A reasonable time commensurate with the exigencies of the situation in the case of creation or maintenance of a threat to the health or safety of other tenants or project employees; or

- (3) Thirty days in all other cases.

The authority shall terminate a rental agreement in accordance with chapter 356D, HRS.

(d) The authority may terminate a rental agreement if any member of the family engages in the use of marijuana, even if pursuant to a lawful prescription under part IX of the Hawaii uniform controlled substances act as it existed on ~~[March 28, 2013]~~ October 20, 2022. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22;

am and comp ] (Auth: 24 C.F.R. §966.4; §§356D-4, 356D-13; 356D-98) (Imp: 24 C.F.R. §966.4; HRS §§356D-4, 356D-13, 356D-31, 356D-92)

**§17-2028-60 Smoking prohibited.** (a) Smoking is prohibited in all public housing projects, or portions of public housing projects, including inside dwelling units, unless specifically exempted by the authority in the ACOP, including:

- (1) In all common areas, community facilities, administrative offices or maintenance areas in and around the authority's public housing projects, including vehicles owned or leased by the authority. The authority may designate additional common areas ~~[in the ACOP]~~; and
- (2) Within a presumptively reasonable minimum distance of twenty five feet from entrances, exits, and windows that open to common areas, community facilities, and dwelling units, and ventilation intakes that serve

common areas, community facilities, and dwelling units, including enclosed or partially enclosed areas where smoking is prohibited.

(b) This prohibition applies to the use of marijuana, even if its use is pursuant to a lawful prescription under part IX of the Hawaii uniform controlled substances act as it existed on ~~[March 28, 2013]~~ October 20, 2022 that was given subsequent to tenant placement in the dwelling unit.

~~[(c) Where smoking is not prohibited in a dwelling unit pursuant to subsection (a) and the household includes a person who smokes as disclosed pursuant to section 17-2028-22, the family shall pay a non-refundable monthly fee of \$5.00.~~

~~(d) The authority may discontinue the monthly fee required in subsection (c) when a family can demonstrate to the authority reasonable cause to believe that no member of the household continues to smoke. For the purposes of this subsection:~~

- ~~(1) "Reasonable cause to believe" means by a preponderance of the evidence; and~~
- ~~(2) In determining whether to discontinue charging the monthly fee, the authority may consider completion of a smoking cessation program.] [Eff and comp 5/24/14, am and comp 1/20/19; comp 2/17/22; am and comp ] (Auth: §§356D-4, 356D-6.5, 356D-13, 328J-2) (Imp: 24 C.F.R. §§903.7, 966.3; HRS §§356D-4, 356D-6.5, SLH 2018, Act 127, §1, 356D-13, 356D-31)~~



SUBCHAPTER 5

RENTS, SECURITY DEPOSITS, and OTHER CHARGES

**§17-2028-61 Minimum rents.** (a) There is established a minimum rent of \$50.00 per month.

(b) The authority shall grant an exemption from payment of minimum rent if the family is unable to pay the minimum rent because of financial hardship attributable only to the following situations:

- (1) The family has lost eligibility for or is awaiting an eligibility determination for a Federal, State, or local assistance program;
- (2) The family would be evicted because it is unable to pay the minimum rent;
- (3) The income of the family has decreased because of changed circumstances, including loss of employment;
- (4) A death has occurred in the family; and
- (5) Other circumstances determined by the authority or HUD.

(c) If a family requests a financial hardship exemption, the authority shall suspend the minimum rent requirement beginning the month following the family's request for a hardship exemption, and continuing until the authority determines whether there is a qualifying financial hardship and whether it is temporary or long term.

(d) When the authority determines that a qualifying financial hardship is temporary, the authority shall reinstate the minimum rent from the beginning of the suspension of the minimum rent ninety days after receiving the exemption request. The authority shall offer a reasonable payment arrangement to the family to ensure payment in full of any back charges.

(e) When the authority determines a qualifying financial hardship is long term, the authority shall exempt the family from the minimum rent requirements

so long as such hardship continues. Such exemption shall apply from the beginning of the month following the family's request for a hardship exemption until the end of the qualifying financial hardship.

(f) When the authority determines that there is no qualifying financial hardship exemption, the authority shall reinstate the minimum rent, including back rent owed from the beginning of the suspension. The family shall be responsible for back charges as established in section 17-2028-58 and shall not be eligible for payment arrangements as provided under section 17-2028-58(b). [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. 5.630; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-62 Choice of rent.** Once a year, the authority shall give each family the opportunity to choose between two methods of determining the monthly tenant rent. The family may choose to pay either a flat rent or income-based rent.

(a) The flat rent shall be the fair market rents ("FMRs") that are determined by HUD, at least annually, pursuant to 24 C.F.R. §888.113 as it existed on ~~March 28, 2013~~ October 20, 2022. These FMRs, which include utilities (exclusive of telephone and cable television), are established for dwelling units of various bedroom sizes. Because the FMRs are determined by HUD and the authority has no discretion to amend or change the FMRs, the FMRs shall be established without a public hearing as provided in Section 91-3(d), HRS.

(b) The income-based rent is based on thirty per cent of the family's monthly adjusted income or ten per cent of the family's monthly income, or the minimum rent set forth in section 17-2028-61, whichever is greater.

(1) The income-based rent does not include charges for excess utility consumption or other charges.

- (2) The income-based rent shall not exceed the total tenant payment pursuant to 24 C.F.R. §5.628 as it existed on ~~[March 28, 2013]~~October 20, 2022, for the family minus any applicable utility allowance for tenant-paid utilities. If the utility allowance exceeds the total tenant payment, the authority shall pay such excess amount (the utility reimbursement) either to the family or directly to the utility supplier to pay the utility bill on behalf of the family. If the authority pays the utility supplier, the authority shall notify the family of the amount of the utility reimbursement paid to the supplier.
- (3) For purposes of establishing the income-based rent, the authority shall exclude from annual income the earned income of previously unemployed family members and increases in earnings of a family member during participation in any economic self-sufficiency or other job training program as provided for in 24 C.F.R. §960.255 as it existed on ~~[March 28, 2013]~~October 20, 2022 and the PHA plan.

(c) If a family is unable to pay the flat rent because of financial hardship, the family may at any time request a switch to payment of income-based rent prior to the next annual option to select the type of rent. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §356D-15) (Imp: HRS §§356D-4, 356D-13; 24 C.F.R. §§5.628, 960.253, 960.255; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-63 Security deposits.** (a) Prior to admission to a housing project, a family shall pay a security deposit in an amount not to exceed one month's rent. The security deposit may be applied to rent or

used to repay charges owed to the authority upon the termination of the rental agreement.

(b) ~~[Where smoking is not prohibited in a dwelling unit pursuant to section 17-2028-60(c) and the household includes a person who smokes as disclosed pursuant to section 17-2028-22, the family shall pay an initial refundable smoking deposit of \$75.00.~~

(c)] The authority may charge a non-refundable community facilities maintenance fee of not less than one per cent of the community facilities expenses for rental and use for private functions. Resident associations that are duly recognized by the authority shall be exempt from the payment of this deposit.  
[Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ]  
(Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §966.4; HRS §§356D-4, 356D-13, 356D-31).

**§17-2028-64 Other Charges.** The authority may charge a family, in addition to monthly rent and applicable utility charges, the following:

(a) A late fee of \$25.00 if the monthly rent is paid after the seventh business day of that month;

(b) A dishonored check fee of \$25.00 for every check made payable to the authority that is returned for insufficient funds; and

(c) Maintenance costs which includes repair costs related to damages to the dwelling unit or appliances or equipment furnished by the authority, in excess of ordinary wear and tear, and for any repairs to project buildings, facilities, or common areas required because of the wrongful act or negligence of the family or the family's guest or visitor.

[Eff 5/24/14; comp 1/20/19; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §966.4; HRS §§356D-4, 356D-13, 356D-31).

SUBCHAPTER 6

FAMILY SELF-SUFFICIENCY PROGRAM

**§17-2028-71 Family self-sufficiency program.**

The objective of the authority's family self-sufficiency (FSS) program is to reduce the dependency of low-income families on welfare assistance, section 8, public housing, or any federal, state, or local rent or homeownership subsidies. Under the family self-sufficiency program, low-income families are provided opportunities for education, job training, counseling, and other forms of social service assistance, while living in assisted housing, so that they may obtain the education, employment, and business and social skills necessary to achieve self-sufficiency. [Eff 7/21/05; am and comp 9/4/07; comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. Part 984; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-72 Eligibility.** (a) Tenants in the authority's federal public housing program are eligible to participate in the family self-sufficiency program.

(b) Preference shall be given to applicants who already receive family self-sufficiency-related support services for fifty per cent or less of the allocations. [Eff 7/21/05; am and comp 9/4/07; comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. Part 984; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-73 Recruitment and outreach.** (a) The authority shall conduct outreach programs to recruit participants for the family self-sufficiency program.

(b) Outreach efforts may include the following:

- (1) Sending informational brochures to each family participating in the authority federal public housing program;
- (2) Conducting orientation sessions for families who express an interest in participating in the family self-sufficiency program; and
- (3) Identifying and targeting potential families in the authority's caseloads.

[Eff 7/21/05; am and comp 9/4/07; comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. Part 984; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-74 Selection.** (a) Families will be selected without regard to race, color, religion, sex, disability, gender identity, sexual orientation, familial status, or national origin.

(b) Families will be selected by date of receipt of the family self-sufficiency application.

(c) In the event there are more applicants than family self-sufficiency allocations available, the authority shall conduct a lottery to determine placement on the waiting list.

(d) Initially, up to twenty-five tenants may be selected to participate in the family self-sufficiency program. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. Part 984; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-75 Termination or withholding of service.** (a) The authority shall monitor and assess the family self-sufficiency participant's progress and

compliance with the goals set forth in the contract of participation. When the authority determines that the family self-sufficiency participant is not making progress or complying with the goals of the contract of participation, the authority shall notify the family self-sufficiency participant of such determination and provide the family self-sufficiency participant six months to demonstrate compliance with the plan of the contract of participation.

(b) If no progress has been made or the family self-sufficiency participant is still not complying with the contract of participation after the six-month period, the authority shall provide the family self-sufficiency participant with a written notice of intent to terminate or withhold services and of the opportunity to request an informal hearing.

[Eff 7/21/05; am and comp 9/4/07; comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. Part 984; HRS §§356D-4, 356D-13, 356D-31)

## SUBCHAPTER 7

### SPECIAL PROGRAMS

**§17-2028-81 Special programs.** The authority may administer programs that are created for special or specific purposes to benefit specific categories of persons pursuant to HUD regulations governing those programs. This may include selection from wait lists and lists of participants using criteria that are different from those provided in this chapter.  
[Eff 7/21/05; am and comp 9/4/07; comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. 960.505; HRS §§356D-4, 356D-13, 356D-31)

### **§17-2028-82 Occupancy by police officers.**

(a) ~~[For purposes of this section, "police officer" means a person determined by the authority to be, during the period of residence of that person in public housing, employed on a full-time basis as a duly licensed professional police officer by a federal, State or local government or by any agency of these governments.]~~

(b) For the purpose of increasing security for tenants of a public housing project, the authority may allow police officers that would not otherwise be eligible for occupancy in public housing, to reside in a public housing dwelling unit.

(c) The authority shall include in the PHA annual plan or supporting documents the number and location of the dwelling units to be occupied by police officers, and the terms and conditions of their tenancies; and a statement that such occupancy is needed to increase security for public housing tenants.



§17-2028-82

(d) Occupancy by police officers shall be carried out pursuant to 24 C.F.R. §960.505, as it existed on [~~March 28, 2013~~]October 20, 2022. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §960.505; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-83 Designated housing.** (a) The authority may designate public housing projects, or portions of public housing projects, for occupancy by disabled families, elderly families, or mixed populations of disabled and elderly families.

(b) The authority shall designate public housing projects, or portions of public housing projects in accordance with 24 C.F.R. Part 945 as it existed on [~~March 28, 2013~~]October 20, 2022. The authority shall also include a description of the designation activity in the PHA plan. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; am and comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. Part 945; HRS §§356D-4, 356D-13, 356D-31)

SUBCHAPTER 8

HOUSEHOLD PETS

**§17-2028-91 Pet ownership.** (a) The authority may permit pet ownership by tenants of public housing, subject to compliance with the authority's pet policy established in the PHA plan.

(b) This subchapter does not apply to animals that assist, support or provide service to persons with disabilities. [Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: 24 C.F.R. §§960.705, 960.707; HRS §§356D-4, 356D-13, 356D-31)

**§17-2028-92 Conditions for pet ownership.**

(a) A tenant shall comply with the authority's reasonable conditions for pet ownership that include, but are not limited to, the following:

- (1) Obtaining a permit from the authority to own a pet pursuant to the requirements set forth in the authority's pet policy established in the PHA plan; and
- (2) Complying with the authority's rules for pet ownership.

(b) The authority may revoke a pet permit for the following reasons:

- (1) The authority determines that the pet is not properly cared for;
- (2) The pet presents a threat to the safety and security of other tenants, employees of the authority, contractors and others on the premises;
- (3) The pet is destructive or causes an infestation;

- (4) The pet disturbs other tenants for reasons including, but not limited to, noise, odor, cleanliness, sanitation, and allergic reactions;
- (5) The pet owner fails to provide an annual update on the pet as required in the pet rules;
- (6) The resident association or project pet committee, which consists of tenants with and without a pet, recommends to the authority that the pet permit be revoked due to a demonstrated lack of cooperation and responsibility in maintaining the pet; or
- (7) Tenant fails to pay on a timely basis the following applicable pet fees:
  - (A) An initial pet deposit of \$75.00 or an amount equal to the total tenant payment, whichever is lower; and
  - (B) For owners of a dog or cat, a non-refundable monthly fee of \$5.00. This fee shall not apply to residents of projects for the elderly and persons with disabilities.

[Eff 7/21/05; am and comp 9/4/07; am and comp 5/24/14; comp 1/20/19; comp 2/17/22;  
comp ] (Auth: HRS §§356D-4, 356D-13)  
(Imp: 24 C.F.R. §§5.318, 960.705, 960.707; HRS §§356D-4, 356D-13, 356D-31)

SUBCHAPTER 9

MISCELLANEOUS PROVISIONS

**§17-2028-101 Severability.** If any part, section, sentence, clause, or phrase of this chapter, or its application to any person or transaction or other circumstances, is for any reason held to be unconstitutional or invalid, the remaining parts, sections, sentences, clauses, and phrases of this chapter, or the application of this chapter to other persons or transactions or circumstances, shall not be affected. [Eff 7/21/05; am and comp 9/4/07; comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §§356D-4, 356D-13) (Imp: HRS §1-23)

**§17-2028-102 Number and gender.** Words in the singular or plural number and masculine gender shall have the same meaning as defined in section 1-17, HRS." [Eff 7/21/05; am and comp 9/4/07; comp 5/24/14; comp 1/20/19; comp 2/17/22; comp ] (Auth: HRS §356D-4, 356D-13) (Imp: HRS §1-17)

2. Material, except source notes and other, to be repealed is bracketed and stricken. New material is underscored.
3. Additions to update source notes and other notes to reflect these amendments and compilation are not underscored.
4. These amendments to and compilation of Chapter 17-2028, Hawaii Administrative Rules shall take effect ten days after filing with the Office of the Lieutenant Governor.

I certify that the foregoing are copies of the rules, drafted in the Ramseyer format pursuant to the requirements of section 91-4.1, Hawaii Revised Statutes, which were adopted on \_\_\_\_\_ and filed with the Office of the Lieutenant Governor.

\_\_\_\_\_  
Robert J. Hall, Chairperson  
Board of Directors  
Hawaii Public Housing Authority

APPROVED AS TO FORM:

\_\_\_\_\_  
Deputy Attorney General

Filed: \_\_\_\_\_

## EXHIBIT A

### OCCUPANCY GUIDELINES

The authority does not determine who shares a bedroom/sleeping room, but there must be at least one person per bedroom. The Occupancy Guidelines for determining dwelling unit size shall be applied in a manner consistent with Fair Housing guidelines.

For occupancy guidelines, an adult is a person 18 years or older.

All guidelines relate to the number of bedrooms in the dwelling unit. Dwelling units will be so assigned that:

One bedroom will be generally assigned for every two family members. The authority shall consider factors such as family characteristics including sex, age, or relationship, the number of bedrooms and the size of sleeping areas or bedrooms and the overall size of the dwelling unit. Consideration shall also be given for medical reasons and the presence of a live-in aide.

Single person families shall be allocated one bedroom.

#### GUIDELINES FOR DETERMINING BEDROOM SIZE FOR WAIT LIST

| Bedroom Size | Persons in Household:<br>(Minimum #) | Persons in Household:<br>(Maximum #) |
|--------------|--------------------------------------|--------------------------------------|
| 0 Bedroom    | 1                                    | 1                                    |
| 1 Bedroom    | 1                                    | 2                                    |
| 2 Bedrooms   | 2                                    | 4                                    |
| 3 Bedrooms   | 3                                    | 6                                    |
| 4 Bedrooms   | 4                                    | 8                                    |
| 5 Bedrooms   | 6                                    | 10                                   |

## FOR ACTION

- MOTION:** To (1) Approve the Repeal of Hawaii Public Housing Authority's (HPHA) Chapter 185 of Title 15, Hawaii Administrative Rules ("HAR"), Entitled "Section 8 – Housing Choice Voucher Program";
- (2) Approve to Go Out for Public Hearing Proposed Chapter 2031 of Title 17, HAR, Entitled "Section 8 – Housing Choice Voucher and Project Based Voucher Program", Which Sets Forth the Rules and Requirements for the Hawaii Public Housing Authority's ("HPHA") Section 8 Program and is Substantially Based on Chapter 15-185, HAR, and Includes the Following Changes:
- (a) Changing the Title Numbers from Title 15, HAR, to Title 17, HAR; Changing Subtitle Numbers from Subtitle 14, HAR, to Subtitle 5, HAR, and Changing Chapter Numbers from Chapter 185, HAR, to Chapter 2031, HAR;
  - (b) Changing the State Department of to Which HPHA is Administratively Attached from the Department of Business, Economic Development and Tourism to the Department of Human Services;
  - (c) Changing the HAR Title Name from "Section 8 – Housing Choice Voucher Program" to "Section 8 – Housing Choice Voucher and Project Based Voucher Program";
  - (d) Section 17-2031-1, HAR [Purpose]: Clarifying that the Rules Set Forth Some of HPHA's Administrative Plan, Which is a Requirement by the U.S. Department of Housing and Urban Development ("HUD"), and Clarifies the Rules Apply for Both the Tenant Based Housing Choice Voucher and Project Based Voucher Programs;
  - (e) Amending the Definitions in Section 17-2031-3 to:
    - i. Specify That the Definitions for "Adjusted income", "Annual income", "Assets", "Drug related criminal activity", "HAP", and "Involuntarily displaced" Meet the HUD Definition as Defined as of October 20, 2022;
    - ii. Adding definitions for "Authority", "Child", "Criminal activity", "Disability", "Drug", "Foster Child", "Foster parent", "Gender identity or expression", "Hanai child", "Household", "Near elderly", "PBRA", "PBV", "RAD", and "Sexual orientation";
    - iii. Removing the definition of "Corporation" and "Certificate" in its entirety;
    - iv. Clarifying the Physical Location of a Families Residence as a Dwelling Unit under "Domestic violence", and "Domiciled";

- v. Clarifying that "Family" Includes Foster Children and Hanai Children. Further Clarifies that a Child Temporarily Placed in Foster Care is Considered a Member of the Family;
- vi. Expands the Definition of "Live-in aide" to Include Additional Eligibility Requirements;
- vii. Expanding the Definition of "Resident" to Include United States Nationals or Eligible Immigrant Under 42 U.S.C. §1436a(a), as it existed on October 20, 2022;
- (f) Section 17-2031-5, HAR [Participation by owners and others]: Clarify That this Section Applies to "Dwelling" Units;
- (g) Section 17-2031-8, HAR [Subsidy and occupancy standards]: Clarify That this Section Applies to "Dwelling" Units;
- (h) Section 17-2031-9, HAR [Allowances for utilities and other services]: Clarify That Reasonable Accommodations for Utility Allowances are Set in Accordance with 24 C.F.R. Part 8, as it Existed on October 20, 2022;
- (i) Section 17-2031-21, HAR [Applications]: Clarify that misrepresentation of materials in pre-applications, applications, and all Other HPHA Inquiries Shall Make an Applicant Ineligible to Submit an Application for Twelve Months;
- (j) Section 17-2031-22, HAR [Eligibility for admission and participation]: Clarify -
  - i. Applicant and Family Members Must Meet all Application Requirements for Admission;
  - ii. Requirements for Providing a social security number and alternatives for children under six who have not been assigned a social security number at the time of admission;
  - iii. Applicants Shall Not Have Been Evicted Since March 1, 1985 from a Public Housing Program Administered by the Authority or Any of its Predecessors, Unless for Failure to Pay Rent If the Applicant Pays All Amounts in Full to the Authority;
  - iv. Consideration of Rehabilitation Shall be Based on 42 C.F.R. §13661(b)(2)(A)-(C) as it Existed on October 20, 2022;
  - v. Evidence of Eligibility Status Shall be Based on 24 C.F.R. §5.508 as it Existed on October 20, 2022;
- (k) Section 17-2031-25, HAR [Local preferences]:
  - i. Clarify Each First Priority Preference;
  - ii. Establish Each Priority Group is of Equal Weight Regardless of Lottery Position;
  - iii. Delete Section Stating an Elderly, Disabled or Displaced Family With Up to Two Members Shall be Given Preference Over All Other Single Applicants, Regardless of the Other Single Applicant's Local Preference;
- (l) Section 17-2031-26, HAR [Waiting list]: Establishes a Lottery Selection Process;



- (m) Section 17-2031-29, HAR [Final application process – selection and certification]:
  - i. Specify Selection Off the Waiting List May be by Date and Time or Lottery Selection;
  - ii. Clarify Communication May be Through Electronic Contact;
  - iii. Clarify That this Section Applies to Dwelling Units;
  - iv. Specify Some Tenancy History May Be Provided to A Prospective Landlord Provided There Has Been a Criminal Conviction;
- (n) Section 17-2031-30, HAR [Special admission and exception for designated programs]: Clarify that this Section Applies to Dwelling Units, and that the Authority Shall Maintain Records Showing a Family was Admitted Through HUD-Targeted Assistance;
- (o) Section 17-2031-31, HAR [Annual Income]:
  - i. Clarify that the Determination of Annual Income is Pursuant to 24 C.F.R. §5.609, as it Existed on October 20, 2022;
  - ii. Specify Dwelling Unit Inspections Will be Conducted Every Other Year, Except Under Certain Circumstances;
- (p) Section 17-2031-42, HAR [Special admission and exception for designated programs]: Clarify that this Section Applies to Dwelling Units;
- (q) Section 17-2031-53, HAR [Total tenant payment]: Specify Minimum Rent at \$50 and Clarify Financial Hardship Shall be Determined Based Upon 24 C.F.R. §5.630, as it Existed on October 20, 2022;
- (r) Section 17-2031-54, HAR [Rent]: Clarify that the Reasonable Accommodations for Fair Market Rents Shall be in Accordance with 24 C.F.R. Part 8, as it Existed on October 20, 2022, and Removal of Reference to Discontinued Certificate Program;
- (s) Section 17-2031-55, HAR [Payment standard]: Specify the Use of Small Area Fair Market Rents and Exceptions to the Payment Standard Range May be Subject to HUD Approval or Waiver;
- (t) Section 17-2031-61, HAR [Inspections]: Clarify that this Section Applies to Dwelling Units;
- (u) Section 17-2031-64, HAR [Transfers]: Remove Reference to Discontinued Certificate Program;
- (v) Section 17-2031-65, HAR [Eviction – termination of tenancy by owner]:
  - i. Clarify Violations of Federal, State or Local Laws;
  - ii. Clarify that this Section Applies to Dwelling Units;
  - iii. Removal out Discontinued Certificate Program;
  - iv. Clarify that Notice of Grounds for Termination Shall Comply with 24 C.F.R. 982.310(e)(1)(ii), as it Existed on October 20, 2022;
- (w) Section 17-2031-66, HAR [Termination of participation]:
  - i. Clarify that Termination Due to Failure to Meet Eligibility Requirements for Higher Education Shall Meet the Specification of 24 C.F.R. §5.612, as it Existed on October 20, 2022;

- ii. Clarify that this Section Applies to Dwelling Units;
- iii. Clarify that Consideration of Rehabilitation When Considering Termination for Certain Offenses Shall be Provided under 42 U.S.C. §13661(b)(2)(A)-(C), as it Existed on October 20, 2022;
- iv. Specify a Lottery System Will be Used to Terminate a Family's Participation if the Authority Must Terminate Housing Assistance Due to Insufficient Funds, Providing for Specific Participant Exclusions;
- (x) Section 17-2031-71, HAR [Informal review process for applicants]: Clarify that the Opportunity for Informal Review Shall be Pursuant to 24 C.F.R. §982.554, and Informal Hearing Shall be Pursuant to 24 C.F.R. §5.514, as they Existed on October 20, 2022;
- (y) Section 17-2031-72 [Informal hearing process for participants]:
  - i. Clarify that this Section Applies to Dwelling Units;
  - ii. Removal out Discontinued Certificate Program;
  - iii. Clarify the Opportunity for an Informal Hearing Shall be Pursuant to 24 C.F.R. §5.514, as they Existed on October 20, 2022;
  - iv. Sections 17-2031-91 to 17-2031-93, HAR [Purpose; Eligible projects; Notification of project-based assistance]: Clarify That these Sections Apply to Dwelling Units;
  - v. Section 17-2031-94, HAR [Applications for project-based assistance; information required]: Clarify the Applicant to Manage Project-Based Assistance Shall be Referred to as the Housing Provider or Owner;
  - vi. Adding Section 17-2031-99, HAR [Dwelling unit cap on project-based dwelling units by project] to Clarify a Project-Based Assistance Cap and When the Authority May Exceed the Cap;
  - vii. Adding Sections 17-2031-100 to 17-2031-110, HAR to Establish a Rental Assistance Demonstration Program; and

**(3)** Authorize the Executive Director to Conduct a Public Hearing and Undertake All Other Actions Necessary Under Chapter 91, Hawaii Revised Statutes (HRS), and Administrative Directive No. 18-02 to Implement the Repeal and Adoption of New Hawaii Administrative Rules (HAR), Including Making Non-Substantive Revisions to Formatting as May be Required

## **I. FACTS**

- A. The Hawaii Public Housing Authority's (HPHA) programs are governed by a variety of federal, state, and agency statutes and rules, such as the United States Code, the Code of Federal Regulations (CFR), and Chapter 365D, Hawaii Revised Statutes (HRS).

- B. Section 356D-4 and 356D-13, HRS, authorize the HPHA to adopt administrative rules with the force and effect of law to govern its federal programs.
- C. The HPHA has consistently managed the Housing Choice Voucher and Project Based Voucher Programs in accordance with Chapter 15-185, Hawaii administrative Rules (HAR), “Section 8 – Housing Choice Voucher Program”.

## II. DISCUSSION

- A. Act 196, Session Laws of Hawaii (SLH) 2005, as amended by Act 180, SLH 2006, separated the housing financing and development functions from the Housing and Community Development Corporation of Hawaii (HC DCH) resulting in the creation of the Hawaii Housing Finance and Development Corporation (HHFDC) and the Hawaii Public Housing Authority. Act 196 became effective on July 1, 2006. Act 196 provided that all HCDCH administrative rules would remain in effect until amended.
- B. Due to the extensive amendments to Chapter 15-185, HAR, it was determined that a repeal of Chapter 15-185, HAR, and the adoption of new proposed Chapter 17-2031, HAR, to be adopted as a new chapter under Title 17, was appropriate, which includes but is not limited to:
  - (1) Changing the Title Numbers from Title 15, HAR, to Title 17, HAR; Changing Subtitle Numbers from Subtitle 14, HAR, to Subtitle 5, HAR, and Changing Chapter Numbers from Chapter 185, HAR, to Chapter 2031, HAR, to represent that these rules are part of rules adopted under the Department of Human Services;
  - (2) Changing the State Department of to Which HPHA is Administratively Attached from the Department of Business, Economic Development and Tourism to the Department of Human Services;
  - (3) Changing the HAR Title Name from “Section 8 – Housing Choice Voucher Program” to “Section 8 – Housing Choice Voucher and Project Based Voucher Program”;
  - (4) Section 17-2031-1, HAR [Purpose]: Clarifying that the Rules Set Forth Some of HPHA’s Administrative Plan, Which is a Requirement by the U.S. Department of Housing and Urban Development (“HUD”), and Clarifies the Rules Apply for Both the Tenant Based Housing Choice Voucher and Project Based

Voucher Programs, to avoid confusion between the HAR and Administrative Plan;

- (5) Amending the Definitions in Section 17-2031-3 to:
  - i. Specify That the Definitions for "Adjusted income", "Annual income", "Assets", "Drug related criminal activity", "HAP", and "Involuntarily displaced" Meet the HUD Definition as Defined as of October 20, 2022;
  - ii. Adding definitions for "Authority", "Child", "Criminal activity", "Disability", "Drug", "Foster Child", "Foster parent", "Gender identity or expression", "Hanai child", "Household", "Near elderly", "PBRA", "PBV", "RAD", and "Sexual orientation";
  - iii. Removing the definition of "Corporation" and "Certificate" in its entirety;
  - iv. Clarifying the Physical Location of a Families Residence as a Dwelling Unit under "Domestic violence", and "Domiciled";
  - v. Clarifying that "Family" Includes Foster Children and Hanai Children. Further Clarifies that a Child Temporarily Placed in Foster Care is Considered a Member of the Family;
  - vi. Expands the Definition of "Live-in aide" to Include Additional Eligibility Requirements;
  - vii. Expanding the Definition of "Resident" to Include United States Nationals or Eligible Immigrant Under 42 U.S.C. §1436a(a), as it existed on October 20, 2022;
- (6) Section 17-2031-5, HAR [Participation by owners and others]: Clarify That this Section Applies to "Dwelling" Units;
- (7) Section 17-2031-8, HAR [Subsidy and occupancy standards]: Clarify That this Section Applies to "Dwelling" Units;
- (8) Section 17-2031-9, HAR [Allowances for utilities and other services]: Clarify That Reasonable Accommodations for Utility Allowances are Set in Accordance with 24 C.F.R. Part 8, as it Existed on October 20, 2022;
- (9) Section 17-2031-21, HAR [Applications]: Clarify that misrepresentation of materials in pre-applications, applications, and all Other HPHA Inquiries Shall Make an Applicant Ineligible to Submit an Application for Twelve Months;
- (10) Section 17-2031-22, HAR [Eligibility for admission and participation]: Clarify -
  - i. Applicant and Family Members Must Meet all Application Requirements for Admission;

- ii. Requirements for Providing a social security number and alternatives for children under six who have not been assigned a social security number at the time of admission;
  - iii. Applicants Shall Not Have Been Evicted Since March 1, 1985 from a Public Housing Program Administered by the Authority or Any of its Predecessors, Unless for Failure to Pay Rent If the Applicant Pays All Amounts in Full to the Authority;
  - iv. Consideration of Rehabilitation Shall be Based on 42 C.F.R. §13661(b)(2)(A)-(C) as it Existed on October 20, 2022;
  - v. Evidence of Eligibility Status Shall be Based on 24 C.F.R. §5.508 as it Existed on October 20, 2022
- (11) Section 17-2031-25, HAR [Local preferences]:
  - i. Clarify Each First Priority Preference;
  - ii. Establish Each Priority Group is of Equal Weight Regardless of Lottery Position;
  - iii. Delete Section Stating an Elderly, Disabled or Displaced Family With Up to Two Members Shall be Given Preference Over All Other Single Applicants, Regardless of the Other Single Applicant's Local Preference;
- (12) Section 17-2031-26, HAR [Waiting list]: Establishes a Lottery Selection Process, as allowed under HUD rules;
- (13) Section 17-2031-29, HAR [Final application process – selection and certification]:
  - i. Specify Selection Off the Waiting List May be by Date and Time or Lottery Selection;
  - ii. Clarify Communication May be Through Electronic Contact;
  - iii. Clarify That this Section Applies to Dwelling Units;
  - iv. Specify Some Tenancy History May Be Provided to A Prospective Landlord Provided There Has Been a Criminal Conviction;
- (14) Section 17-2031-30, HAR [Special admission and exception for designated programs]: Clarify that this Section Applies to Dwelling Units, and that the Authority Shall Maintain Records Showing a Family was Admitted Through HUD-Targeted Assistance;
- (15) Section 17-2031-31, HAR [Annual Income]:
  - i. Clarify that the Determination of Annual Income is Pursuant to 24 C.F.R. §5.609, as it Existed on October 20, 2022;
  - ii. Specify Dwelling Unit Inspections Will be Conducted Every Other Year, Except Under Certain Circumstances;

- (16) Section 17-2031-42, HAR [Special admission and exception for designated programs]: Clarify that this Section Applies to Dwelling Units;
- (17) Section 17-2031-53, HAR [Total tenant payment]: Specify Minimum Rent at \$50 and Clarify Financial Hardship Shall be Determined Based Upon 24 C.F.R. §5.630, as it Existed on October 20, 2022;
- (18) Section 17-2031-54, HAR [Rent]: Clarify that the Reasonable Accommodations for Fair Market Rents Shall be in Accordance with 24 C.F.R. Part 8, as it Existed on October 20, 2022 and Removal of Reference to Discontinued Certificate Program;
- (19) Section 17-2031-55, HAR [Payment standard]: Specify the Use of Small Area Fair Market Rents and Exceptions to the Payment Standard Range May be Subject to HUD Approval or Waiver;
- (20) Section 17-2031-61, HAR [Inspections]: Clarify that this Section Applies to Dwelling Units;
- (21) Section 17-2031-64, HAR [Transfers]: Remove outdated program vouchers;
- (22) Section 17-2031-65, HAR [Eviction – termination of tenancy by owner]:
  - i. Clarify Violations of Federal, State or Local Laws;
  - ii. Clarify that this Section Applies to Dwelling Units;
  - iii. Removal out Discontinued Certificate Program;
  - iv. Clarify that Notice of Grounds for Termination Shall Comply with 24 C.F.R. 982.310(e)(1)(ii), as it Existed on October 20, 2022;
- (23) Section 17-2031-66, HAR [Termination of participation]:
  - i. Clarify that Termination Due to Failure to Meet Eligibility Requirements for Higher Education Shall Meet the Specification of 24 C.F.R. §5.612, as it Existed on October 20, 2022;
  - ii. Clarify that this Section Applies to Dwelling Units;
  - iii. Clarify that Consideration of Rehabilitation When Considering Termination for Certain Offenses Shall be Provided under 42 U.S.C. §13661(b)(2)(A)-(C), as it Existed on October 20, 2022;
  - iv. Specify a Lottery System Will be Used to Terminate a Family's Participation if the Authority Must Terminate Housing Assistance Due to Insufficient Funds, Providing for Specific Participant Exclusions;
- (24) Section 17-2031-71, HAR [Informal review process for applicants]: Clarify that the Opportunity for Informal Review Shall be Pursuant

to 24 C.F.R. §982.554, and Informal Hearing Shall be Pursuant to 24 C.F.R. §5.514, as they Existed on October 20, 2022;

- (25) Section 17-2031-72 [Informal hearing process for participants]:
    - i. Clarify that this Section Applies to Dwelling Units;
    - ii. Removal out Discontinued Certificate Program;
    - iii. Clarify the Opportunity for an Informal Hearing Shall be Pursuant to 24 C.F.R. §5.514, as they Existed on October 20, 2022;
  - (26) Sections 17-2031-91 to 17-2031-93, HAR [Purpose; Eligible projects; Notification of project-based assistance]: Clarify That these Sections Apply to Dwelling Units;
  - (27) Section 17-2031-94, HAR [Applications for project-based assistance; information required]: Clarify the Applicant to Manage Project-Based Assistance Shall be Referred to as the Housing Provider or Owner;
  - (28) Adding Section 17-2031-99, HAR [Dwelling unit cap on project-based dwelling units by project] to Clarify a Project-Based Assistance Cap and When the Authority May Exceed the Cap; and
  - (29) Adding Sections 17-2031-100 to 17-2031-110, HAR to Establish a Rental Assistance Demonstration Program.
- C. Once approved by the HPHA Board of Directors to go out for public hearing, the agency must request permission from the Governor to take the proposed Rules to a public hearing. The HPHA staff must give a 30-day notice to the public that a public hearing will be held.
- D. Following approval from the Governor to hold a public hearing on the proposed rules, the Executive Director will hold a public hearing at a date and online location to be determined.
- E. The HPHA is required to comply 91-4.2 HRS when formatting, drafting, and processing administrative rules and must follow the Legislative Reference Bureau's (LRB) Hawaii Administrative Rules Drafting Manual as a guide. The Executive Director may make technical, non-substantive amendments to either draft prior to or following the public hearing to comply with LRB requirements.
- F. After the public hearing, the Executive Director will transmit the proposed draft to the Governor for final approval, provided that no substantive amendments are made.

- G. Staff anticipate the following schedule for the draft's approval:

| <u>Action</u>                          | <u>Timeframe</u> |
|----------------------------------------|------------------|
| Board for Action (adopt amendments)    | October 20, 2022 |
| Request to Governor for public hearing | October 21, 2022 |
| Receive Governor authorization         | October 27, 2022 |
| Publish hearing notice (30-day notice) | November 3, 2022 |
| Public Hearing                         | December 5, 2022 |
| Finalize rules & transmit to Governor  | December 8, 2022 |
| Rules effective                        | January 7, 2023  |

- H. Information regarding the proposed administrative rules and the public hearings will be sent to all RAB members, Resident Associations and Asset Management Project (AMP) property offices and will be included in the November monthly rent billing statement mailed to all public housing households.
- I. To notify the public of the hearings, notices will be published in the Honolulu Star-Advertiser, The Garden Island (Kauai), The Maui News, West Hawaii Today (Kailua-Kona), and the Hawaii Tribune Herald (Hilo) upon Board Approval.
- J. The proposed administrative rules can be viewed on the HPHA's website at [http://www.hpha.hawaii.gov/referenceinformation/admin\\_rule.htm](http://www.hpha.hawaii.gov/referenceinformation/admin_rule.htm), through the Resident Advisory Board, and at the HPHA's offices and properties listed below:

Hawaii Public Housing Authority  
1002 North School Street, Bldg. E  
Honolulu, Hawaii 96817

Palolo Valley Homes  
2129 Ahe Street  
Honolulu, Hawaii 96819

Puuwai Momi  
99-132 Kohomua Street  
Aiea, Hawaii 96701

Kalihi Valley Homes  
2250 Kalena Drive  
Honolulu, Hawaii 96819

Mayor Wright Homes  
521 N. Kukui Street  
Honolulu, Hawaii 96817

Kalakaua Homes  
1545 Kalakaua Ave.  
Honolulu, Hawaii 96826

Kalaniihuia  
1220 Aala Street  
Honolulu, Hawaii 96817

Lanakila Homes  
600 Wailoa Street  
Hilo, Hawaii 96720

Kapaa  
4726 Malu Road  
Kapaa, Hawaii 96746

Kahekili Terrace  
2015 Holowai Place  
Wailuku, Hawaii 96793



Kuhio Homes  
1410 Ahonui Street  
Honolulu, Hawaii 96819

Ka Hale Kahaluu  
78-6725 Makolea Street  
Kailua-Kona, Hawaii 96740

Waimaha-Sunflower  
85-186 McArthur Street  
Waianae, Hawaii 96792

Koolau Village  
45-1027 Kamau Place  
Kaneohe, Hawaii 96744

Noelani II  
65-1191 Opelo Road  
Kamuela, Hawaii 96743

Kauhale Nani  
310 North Cane Street  
Wahiawa, Hawaii 96786

- K. Copies of the amended administrative rules can also be requested from the HPHA by emailing a request to [hpha@hawaii.gov](mailto:hpha@hawaii.gov).

### III. RECOMMENDATION

That the Board of Directors **(1)** Approve the Repeal of Hawaii Public Housing Authority's (HPHA) Chapter 185 of Title 15, Hawaii Administrative Rules ("HAR"), Entitled "Section 8 – Housing Choice Voucher Program";

**(2)** Approve to Go Out for Public Hearing Proposed Chapter 2031 of Title 17, HAR, Entitled "Section 8 – Housing Choice Voucher and Project Based Voucher Program", Which Sets Forth the Rules and Requirements for the Hawaii Public Housing Authority's ("HPHA") Section 8 Program and is Substantially Based on Chapter 15-185, HAR, and Includes the Following Changes:

- (a) Changing the Title Numbers from Title 15, HAR, to Title 17, HAR; Changing Subtitle Numbers from Subtitle 14, HAR, to Subtitle 5, HAR, and Changing Chapter Numbers from Chapter 185, HAR, to Chapter 2031, HAR;
- (b) Changing the State Department of to Which HPHA is Administratively Attached from the Department of Business, Economic Development and Tourism to the Department of Human Services;
- (c) Changing the HAR Title Name from "Section 8 – Housing Choice Voucher Program" to "Section 8 – Housing Choice Voucher and Project Based Voucher Program";
- (d) Section 17-2031-1, HAR [Purpose]: Clarifying that the Rules Set Forth Some of HPHA's Administrative Plan, Which is a Requirement by the U.S. Department of Housing and Urban Development ("HUD"), and Clarifies the Rules Apply for Both the Tenant Based Housing Choice Voucher and Project Based Voucher Programs;
- (e) Amending the Definitions in Section 17-2031-3 to:
  - i. Specify That the Definitions for "Adjusted income", "Annual income", "Assets", "Drug related criminal activity", "HAP", and "Involuntarily

- displaced" Meet the HUD Definition as Defined as of October 20, 2022;
- ii. Adding definitions for "Authority", "Child", "Criminal activity", "Disability", "Drug", "Foster Child", "Foster parent", "Gender identity or expression", "Hanai child", "Household", "Near elderly", "PBRA", "PBV", "RAD", and "Sexual orientation";
- iii. Removing the definition of "Corporation" and "Certificate" in its entirety;
- iv. Clarifying the Physical Location of a Families Residence as a Dwelling Unit under "Domestic violence", and "Domiciled";
- v. Clarifying that "Family" Includes Foster Children and Hanai Children. Further Clarifies that a Child Temporarily Placed in Foster Care is Considered a Member of the Family;
- vi. Expands the Definition of "Live-in aide" to Include Additional Eligibility Requirements;
- vii. Expanding the Definition of "Resident" to Include United States Nationals or Eligible Immigrant Under 42 U.S.C. §1436a(a), as it existed on October 20, 2022;
- (f) Section 17-2031-5, HAR [Participation by owners and others]: Clarify That this Section Applies to "Dwelling" Units;
- (g) Section 17-2031-8, HAR [Subsidy and occupancy standards]: Clarify That this Section Applies to "Dwelling" Units;
- (h) Section 17-2031-9, HAR [Allowances for utilities and other services]: Clarify That Reasonable Accommodations for Utility Allowances are Set in Accordance with 24 C.F.R. Part 8, as it Existed on October 20, 2022;
- (i) Section 17-2031-21, HAR [Applications]: Clarify that misrepresentation of materials in pre-applications, applications, and all Other HPHA Inquiries Shall Make an Applicant Ineligible to Submit an Application for Twelve Months;
- (j) Section 17-2031-22, HAR [Eligibility for admission and participation]: Clarify -
  - i. Applicant and Family Members Must Meet all Application Requirements for Admission;
  - ii. Requirements for Providing a social security number and alternatives for children under six who have not been assigned a social security number at the time of admission;
  - iii. Applicants Shall Not Have Been Evicted Since March 1, 1985 from a Public Housing Program Administered by the Authority or Any of its Predecessors, Unless for Failure to Pay Rent If the Applicant Pays All Amounts in Full to the Authority;
  - iv. Consideration of Rehabilitation Shall be Based on 42 C.F.R. §13661(b)(2)(A)-(C) as it Existed on October 20, 2022;
  - v. Evidence of Eligibility Status Shall be Based on 24 C.F.R. §5.508 as it Existed on October 20, 2022;
- (k) Section 17-2031-25, HAR [Local preferences]:
  - i. Clarify Each First Priority Preference;

- ii. Establish Each Priority Group is of Equal Weight Regardless of Lottery Position;
  - iii. Delete Section Stating an Elderly, Disabled or Displaced Family With Up to Two Members Shall be Given Preference Over All Other Single Applicants, Regardless of the Other Single Applicant's Local Preference;
- (l) Section 17-2031-26, HAR [Waiting list]: Establishes a Lottery Selection Process;
- (m) Section 17-2031-29, HAR [Final application process – selection and certification]:
  - i. Specify Selection Off the Waiting List May be by Date and Time or Lottery Selection;
  - ii. Clarify Communication May be Through Electronic Contact;
  - iii. Clarify That this Section Applies to Dwelling Units;
  - iv. Specify Some Tenancy History May Be Provided to A Prospective Landlord Provided There Has Been a Criminal Conviction;
- (n) Section 17-2031-30, HAR [Special admission and exception for designated programs]: Clarify that this Section Applies to Dwelling Units, and that the Authority Shall Maintain Records Showing a Family was Admitted Through HUD-Targeted Assistance;
- (o) Section 17-2031-31, HAR [Annual Income]:
  - i. Clarify that the Determination of Annual Income is Pursuant to 24 C.F.R. §5.609, as it Existed on October 20, 2022;
  - ii. Specify Dwelling Unit Inspections Will be Conducted Every Other Year, Except Under Certain Circumstances;
- (p) Section 17-2031-42, HAR [Special admission and exception for designated programs]: Clarify that this Section Applies to Dwelling Units;
- (q) Section 17-2031-53, HAR [Total tenant payment]: Specify Minimum Rent at \$50 and Clarify Financial Hardship Shall be Determined Based Upon 24 C.F.R. §5.630, as it Existed on October 20, 2022;
- (r) Section 17-2031-54, HAR [Rent]: Clarify that the Reasonable Accommodations for Fair Market Rents Shall be in Accordance with 24 C.F.R. Part 8, as it Existed on October 20, 2022, and Removal of Reference to Discontinued Certificate Program;
- (s) Section 17-2031-55, HAR [Payment standard]: Specify the Use of Small Area Fair Market Rents and Exceptions to the Payment Standard Range May be Subject to HUD Approval or Waiver;
- (t) Section 17-2031-61, HAR [Inspections]: Clarify that this Section Applies to Dwelling Units;
- (u) Section 17-2031-64, HAR [Transfers]: Remove Reference to Discontinued Certificate Program;
- (v) Section 17-2031-65, HAR [Eviction – termination of tenancy by owner]:
  - i. Clarify Violations of Federal, State or Local Laws;
  - ii. Clarify that this Section Applies to Dwelling Units;
  - iii. Removal out Discontinued Certificate Program;

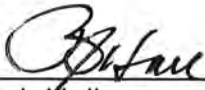
- iv. Clarify that Notice of Grounds for Termination Shall Comply with 24 C.F.R. 982.310(e)(1)(ii), as it Existed on October 20, 2022;
- (w) Section 17-2031-66, HAR [Termination of participation]:
  - i. Clarify that Termination Due to Failure to Meet Eligibility Requirements for Higher Education Shall Meet the Specification of 24 C.F.R. §5.612, as it Existed on October 20, 2022;
  - ii. Clarify that this Section Applies to Dwelling Units;
  - iii. Clarify that Consideration of Rehabilitation When Considering Termination for Certain Offenses Shall be Provided under 42 U.S.C. §13661(b)(2)(A)-(C), as it Existed on October 20, 2022;
  - iv. Specify a Lottery System Will be Used to Terminate a Family's Participation if the Authority Must Terminate Housing Assistance Due to Insufficient Funds, Providing for Specific Participant Exclusions;
- (x) Section 17-2031-71, HAR [Informal review process for applicants]: Clarify that the Opportunity for Informal Review Shall be Pursuant to 24 C.F.R. §982.554, and Informal Hearing Shall be Pursuant to 24 C.F.R. §5.514, as they Existed on October 20, 2022;
- (y) Section 17-2031-72 [Informal hearing process for participants]:
  - i. Clarify that this Section Applies to Dwelling Units;
  - ii. Removal out Discontinued Certificate Program;
  - iii. Clarify the Opportunity for an Informal Hearing Shall be Pursuant to 24 C.F.R. §5.514, as they Existed on October 20, 2022;
  - iv. Sections 17-2031-91 to 17-2031-93, HAR [Purpose; Eligible projects; Notification of project-based assistance]: Clarify That these Sections Apply to Dwelling Units;
  - v. Section 17-2031-94, HAR [Applications for project-based assistance; information required]: Clarify the Applicant to Manage Project-Based Assistance Shall be Referred to as the Housing Provider or Owner;
  - vi. Adding Section 17-2031-99, HAR [Dwelling unit cap on project-based dwelling units by project] to Clarify a Project-Based Assistance Cap and When the Authority May Exceed the Cap;
  - vii. Adding Sections 17-2031-100 to 17-2031-110, HAR to Establish a Rental Assistance Demonstration Program; and

**(3) Authorize the Executive Director to Conduct a Public Hearing and Undertake All Other Actions Necessary Under Chapter 91, Hawaii Revised Statutes (HRS), and Administrative Directive No. 18-02 to Implement the Repeal and Adoption of New Hawaii Administrative Rules (HAR), Including Making Non-Substantive Revisions to Formatting as May be Required**

(End of Section)

Attachment A: Standard format draft of Chapter 17-2031, HAR  
Attachment B: Ramseyer format draft of Chapter 17, 2031, HAR  
Prepared by: Sarah Beamer, Compliance Specialist SD

Approved by the Board of Directors  
on the date set forth above  
[ ☒ ] As Presented [ ☐ ] As Amended

  
\_\_\_\_\_  
Robert J. Hall  
Chairperson

DEPARTMENT OF HUMAN SERVICES

Repeal of Chapter 15-185 and  
Adoption of Chapter 17-2031  
Hawaii Administrative Rules

(date)

1. Chapter 185 of Title 15, Hawaii Administrative Rules, entitled "Section 8 - Housing Choice Voucher Program", is repealed.

2. Chapter 2031 of Title 17, Hawaii Administrative Rules, entitled "Section 8 - Housing Choice Voucher and Project Based Voucher Program", is adopted to read as follows:

HAWAII ADMINISTRATIVE RULES

TITLE 15

DEPARTMENT OF BUSINESS, ECONOMIC DEVELOPMENT AND  
TOURISM

SUBTITLE 14

HOUSING AND COMMUNITY DEVELOPMENT CORPORATION OF  
HAWAII

CHAPTER 185

SECTION 8 – HOUSING CHOICE VOUCHER PROGRAM

Repealed

§§15-185-1 to 15-185-202 Repealed.

HAWAII ADMINISTRATIVE RULES

TITLE 17

DEPARTMENT OF HUMAN SERVICES

SUBTITLE 5

HAWAII PUBLIC HOUSING AUTHORITY

CHAPTER 2031

SECTION 8 - HOUSING CHOICE VOUCHER AND PROJECT BASED  
VOUCHER PROGRAM

SUBCHAPTER 1 General Provisions

|                            |                                            |
|----------------------------|--------------------------------------------|
| §17-2031-1                 | Purpose                                    |
| §17-2031-2                 | Nondiscrimination                          |
| §17-2031-3                 | Definitions                                |
| §17-2031-4                 | Public notice to lower-income families     |
| §17-2031-5                 | Participation by owners and others         |
| §17-2031-6                 | Income limits                              |
| §17-2031-7                 | Assets                                     |
| §17-2031-8                 | Subsidy and occupancy standards            |
| §17-2031-9                 | Allowance for utilities and other services |
| §17-2031-10                | Verification of information                |
| §§17-2031-11 to 17-2031-20 | (Reserved)                                 |

SUBCHAPTER 2 Eligibility

|             |              |
|-------------|--------------|
| §17-2031-21 | Applications |
|-------------|--------------|



§17-2031-22 Eligibility for admission and participation  
 §17-2031-23 Income targeting  
 §17-2031-24 Notification of eligibility  
 §17-2031-25 Local preferences]  
 §17-2031-26 Waiting list  
 §17-2031-27 Removal from the waiting list  
 §17-2031-28 Closing and reopening the waiting list  
 §17-2031-29 Final application process - selection and certification  
 §17-2031-30 Exception for designated programs  
 §17-2031-31 Annual income  
 §17-2031-32 Reexaminations  
 §17-2031-33 Interim rent adjustment  
 §17-2031-34 Continued assistance  
 §§17-2031-35 to 17-2031-40 (Reserved)

#### SUBCHAPTER 3 Lease

§17-2031-41 Request for lease approval  
 §17-2031-42 Dwelling unit inspection  
 §17-2031-43 Lease requirements  
 §17-2031-44 Lease approval  
 §§17-2031-45 to 17-2031-50 (Reserved)

#### SUBCHAPTER 4 Housing Assistance Payments and Rent

§17-2031-51 Housing assistance payments  
 §17-2031-52 Contract rents  
 §17-2031-53 Total tenant payment  
 §17-2031-54 Rent  
 §17-2031-55 Payment standard  
 §17-2031-56 Security deposits  
 §17-2031-57 Ownership change  
 §§17-2031-58 to 17-2031-60 (Reserved)

#### SUBCHAPTER 5 Operations

§17-2031-61 Inspections

§17-2031-62 Overcrowded or under occupied dwelling  
units  
§17-2031-63 Portability  
§17-2031-64 Transfers  
§17-2031-65 Eviction - termination of tenancy by  
owner  
§17-2031-66 Termination of participation  
§§17-2031-67 to 17-2031-70 (Reserved)

#### SUBCHAPTER 6 Informal Reviews and Hearings

§17-2031-71 Informal review process for applicants  
§17-2031-72 Informal hearing process for  
participants  
§§17-2031-73 to 17-2031-80 (Reserved)

#### SUBCHAPTER 7 Family Self-Sufficiency Program

§17-2031-81 Family self-sufficiency program  
§17-2031-82 Eligibility  
§17-2031-83 Recruitment and outreach  
§17-2031-84 Selection  
§17-2031-85 Termination or withholding of service  
§§17-2031-86 to 17-2031-90 (Reserved)

#### SUBCHAPTER 8 Project-Based Section 8 Program

§17-2031-91 Purpose  
§17-2031-92 Eligible projects  
§17-2031-93 Notification of project-based  
assistance  
§17-2031-94 Applications for project-based  
assistance; information required  
§17-2031-95 Review and screening of applications  
§17-2031-96 Selection of project applications  
§17-2031-97 Agreement to enter into housing  
assistance contract  
§17-2031-98 Selection of eligible tenants

|              |                                                                |
|--------------|----------------------------------------------------------------|
| §17-2031-99  | Dwelling unit cap on project-based dwelling units by building. |
| §17-2031-100 | Rental assistance demonstration                                |
| §17-2031-101 | Term of the RAD PBV contract                                   |
| §17-2031-102 | Contract rents                                                 |
| §17-2031-103 | Re-determining rent to owner – rent reasonableness             |
| §17-2031-104 | Conversion from public housing to RAD PBV                      |
| §17-2031-105 | Phase-in of tenant rent increases                              |
| §17-2031-106 | Termination notification requirements                          |
| §17-2031-107 | Grievance process                                              |
| §17-2031-108 | Establishment of waiting list                                  |
| §17-2031-109 | Resident participation and funding                             |
| §17-2031-110 | Voucher inventory cap                                          |

#### SUBCHAPTER 9 Miscellaneous Provisions

|              |              |
|--------------|--------------|
| §17-2031-201 | Severability |
| §17-2031-202 | Number       |

Historical Note: Chapter 2031 of Title 17, Hawaii Administrative Rules, is substantially based upon Chapter 17-511, Hawaii Administrative Rules [Eff 2/18/82; am 10/31/88; R 12/3/01]; and Chapter 15-185, Hawaii Administrative Rules. [Eff 12/3/01;  
R ]

SUBCHAPTER 1

GENERAL PROVISIONS

**§17-2031-1 Purpose.** These rules are adopted under chapter 91, HRS, and shall govern the implementation of the management requirements of the tenant based housing choice voucher program and the project based voucher program authorized by the United States Housing Act of 1937, as amended by the Housing and Community Development Act of 1974, the Quality Housing Work Responsibility Act (QHWRA) of 1998, and the Housing and Economic Recovery Act of 2008 (HERA) and establish the role and responsibility of the participants and the Hawaii public housing authority. These rules set forth some of the authority's administrative plan that a public housing agency is required to adopt pursuant to the U.S. Department of Housing and Urban development section 8 program regulations in 24 C.F.R. Chapter IX Part 982 ("Administrative Plan") as it existed on October 20, 2022. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; C.F.R. §982.54)

**§17-2031-2 Nondiscrimination.** (a) The authority shall not deny any family or individual the opportunity to apply for or receive assistance under this chapter on the basis of race, color, sex, religion, marital status, creed, national or ethnic origin, age, familial status, handicap or disability or HIV infection.

(b) The authority shall comply with federal and state nondiscrimination laws and with rules and regulations governing fair housing and equal opportunity in the administration of the program. The authority shall provide a family with the United States Department of Housing and Urban Development

discrimination complaint form and information on how to file a fair housing complaint if the family claims that discrimination prevented them from finding or leasing a suitable dwelling unit under the program.

[Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-7; 24 C.F.R. §§982.53, 982.304)

**§17-2031-3 Definitions.** As used in this chapter:

"Adjusted income" means "annual income" of the members of the family residing or intending to reside in the dwelling unit minus any HUD allowable expenses and deductions as defined in 24 C.F.R. §5.611, as it existed on October 20, 2022, which is incorporated by reference and attached as exhibit A.

"Annual income" means the gross amount of income anticipated to be received by the family during the twelve months after certification or recertification. Gross income is the amount of income prior to any HUD allowable expenses or deductions and does not include income which has been excluded by HUD, as defined in 24 C.F.R. §5.609, as it existed on October 20, 2022.

"Applicant" means an individual or family that submits an application for admission to the program but is not yet a participant in the program.

"Assets" or "net family assets" means net cash value after deducting reasonable costs that would be incurred in disposing of real property, savings, stocks, bonds, and other forms of capital investment as defined in 24 C.F.R. §5.603, as it existed on October 20, 2022.

"Authority" means the Hawaii public housing authority.

"Board" means the board of directors of the Hawaii public housing authority.

"C.F.R. " means the United States Code of Federal Regulations.

"Child" means a person who is born alive and is less than eighteen years of age.

"Community wide" means inclusive of any location that is under the jurisdiction of the authority.

"Continuously assisted" means that the applicant is currently receiving assistance under any program of the U.S. Housing Act of 1937, as amended, and there is no break in assistance to the family.

"Contract rent" means the total rent payable to the owner of a dwelling unit through a housing assistance payments contract.

"Covered families" means families who receive welfare assistance or other public assistance benefits ("welfare benefits") from a State or other public agency ("welfare agency") under a program for which federal, State, or local law requires that a member of the family must participate in an economic self-sufficiency program as a condition for such assistance.

"Criminal activity" means any conduct that is prohibited by any criminal laws, whether federal, state or county, regardless of whether there has been an arrest or conviction and without satisfying the standard of proof for a criminal conviction.

"Disability" means having a physical or mental impairment which substantially limits one or more major life activities, having a record of such an impairment, or being regarded as having such an impairment, including persons who have human immunodeficiency virus (HIV) or AIDs. The term does not include current illegal use or addition to a controlled substance or alcohol or drug abuse that threatens the property or safety of others. Disabled individual or family includes:

- (1) A single individual who or a family whose head or spouse is unable to engage in any substantial, gainful activity by reason of any medically determinable physical or mental impairment which can be expected to result in indefinite duration; or
- (2) A single individual who or a family whose head or spouse has a physical impairment which is expected to be of long, continued and indefinite duration and which

substantially impedes the ability to live independently, and which is of a nature that the ability could be improved by suitable housing conditions.

"Disabled family" means a family whose head, spouse, or sole member is a person with disabilities; or two or more persons with disabilities living together; or one or more persons with disabilities living with one or more live-in aides.

"Domestic violence" means the actual or threatened physical violence directed against a family member by a spouse or other household member who lives in the dwelling unit with the family.

"Domiciled" means physically residing in the dwelling unit with intent to remain.

"Drug" means a controlled substance as defined in section 102 of the Controlled Substances Act (21 U.S.C. §802) as it existed on October 20, 2022.

"Drug related criminal activity" means the manufacture, sale, distribution, use or possession with intent to manufacture, sell, distribute or use a controlled substance as defined in 21 U.S.C. 802, as it existed on October 20, 2022, and which activity is conducted on or near the premises of the assisted dwelling unit.

"Dwelling unit" means a residential unit accepted for lease in the program.

"Economic self-sufficiency program" means any program designed to encourage, assist, train, or facilitate the economic independence of HUD-assisted families or to provide work for such families.

"Elderly" or "elderly family" means a family whose head, spouse, or sole member is a person who is at least sixty-two years of age; or two or more persons who are at least sixty-two years of age living together; or one or more persons who are at least sixty-two years of age living with one or more live-in aides.

"Eligible family" means a family that meets the qualifications and requirements of the program.

"Executive director" means the executive director of the authority or the executive director's designated representative.

"Extremely low income family" means a family whose annual income does not exceed thirty per cent of the median income for the area, as determined by HUD, with adjustments for smaller and larger families, except that HUD may establish income ceilings higher or lower than thirty per cent of the median income for the area [may be established] if HUD finds that such variations are necessary because of unusually high or low family incomes.

"Fair market rent" or "FMR" means the rent including the cost of utilities (except telephone or cable television), as established by HUD for dwelling units of varying sizes (by number of bedrooms), that must be paid in the housing market area to rent privately owned, existing, decent, safe and sanitary rental housing of modest (non-luxury) nature with suitable amenities.

"Family" means regardless of actual or perceived sexual orientation, gender identity, or marital status:

- (1) Two or more persons who live or intend to live together and whose income and resources are available to meet the family's needs and who may be related by blood, marriage, or operation of law and whose head of family has reached the age of majority. A child who is temporarily away from the home because of placement in foster care is considered a member of the family. Family may include foster children and hanai children or a child who is domiciled with, and for whom an adult member of the current household is caring for with written or unwritten permission from the legal parent or other person having legal custody, or child domiciled with, and for whom an adult member of the current household is in the process of securing custody;
- (2) An elderly family;



- (3) A disabled family;
- (4) A displaced family;
- (5) The remaining member of a tenant family who is recorded as an authorized occupant on the current list of household members and who has reached the age of majority; or
- (6) A single person who is not an elderly or displaced person, or a person with disabilities, or the remaining member of a tenant family.

"Family self sufficiency program" or "FSS program" means the program establish by the authority in accordance with 24 C.F.R. Part 984 to promote self-sufficiency of assisted families, including the coordination of supportive services.

"Foster child" or " Foster children" means a person or persons under eighteen years of age who is or are provided foster care by a foster parent pursuant to Chapter 587A, HRS.

"Foster parent" means any adult person licensed by the department of human services or another authorized agency to provide foster care services for a child or children under Chapter 587A, HRS.

"Gender identity or expression" includes a person's actual or perceived gender, as well as a person's gender identity, gender-related self-image, gender-related appearance, or gender-related expression, regardless of whether that gender identity, gender-related self-image, gender-related appearance, or gender-related expression is different from that traditionally associated with the person's sex at birth.

"Gross rent" means the contract rent plus allowances for utilities and other services.

"Hanai child" or "Hanai children" means a child who is taken permanently to reside, be educated, and reared by someone other than the natural parents, traditionally a grandparent or other relative, with the written or unwritten permission of the natural parents.

"HAP" means the monthly housing assistance payment by the authority as defined in 24 C.F.R. §982.4, as it existed on October 20, 2022, which includes:

- (1) A payment to the owner for rent under the family's lease and
- (2) Any additional payment to the family if the total assistance payment exceeds the rent to the owner.

"HAP contract" means housing assistance payments contract.

"HCV" means Housing Choice Voucher

"Household" means the family and the authority-approved live-in aide.

"HRS" means Hawaii Revised Statutes.

"Housing quality standards" means the HUD minimum quality standards for housing assisted under the tenant-based programs.

"HUD" means the United States Department of Housing and Urban Development.

"Imputed welfare income" means the amount of annual income not actually received by a family, as a result of a specified welfare benefit reduction, that is nonetheless included in the family's annual income for purposes of determining rent.

"Involuntarily displaced" means an applicant who has vacated or may have to vacate the dwelling unit where the applicant lives because of one or more of the following:

- (1) Displacement by disaster;
- (2) Displacement by governmental action; or
- (3) Displacement by action of housing owner for reasons beyond the applicant's control and despite the applicant meeting all previously imposed conditions of occupancy. The action taken by the owner is for reasons other than rent increase.

"Landlord" means either the owner of the property or his or her representative or the managing agent or his or her representative, as shall be designated by the owner.

"Live-in aide" means a person who resides with one or more elderly persons, or near elderly persons, or persons with disabilities, and who:

- (1) Is eighteen years of age or older;
- (2) Is determined by the authority to be essential to the care and well-being of the elder or elderly family member or the family member with disabilities;
- (3) Is not obligated for the support of the elder or the elderly family member or family member with disabilities;
- (4) Would not be living in the dwelling unit except to provide the necessary support services;
- (5) Is not a tenant; and
- (6) Notwithstanding any other rule, has no rights of tenancy, continued occupancy of dwelling unit, and is not a remaining member of the household and shall cease to be an occupant therein upon the recovery of the dwelling unit by the authority, or removal from the project of the elder or elderly family member or a family member with disabilities who required the live-in aide.

"Near elderly" means a family whose head, spouse, or solo member is at least fifty years of age but below the age of sixty two.

"Owner" means any persons or entity having the legal right to lease or sublease a residential dwelling unit to a participant and includes, when applicable, a mortgagee.

"Participant" or "tenant" means a person or family that is receiving rental assistance in the program. Participation begins on the first day of the approved lease term.

"Payment standard" means the maximum monthly assistance payment for a family assisted in the voucher program before deducting the total tenant payment by the family.

"PBRA" means Project-Based Rental Assistance.

"PBV" means Project-Based Voucher.

"Portability" means the right to receive Section 8 tenant-based assistance outside of the jurisdiction of the initial public housing agency.

"Program" means the tenant-based Section 8 rental and voucher programs.

"RAD" means Rental Assistance Demonstration.

"Resident" for the purpose of conducting eligibility means a United States citizen or national or an eligible immigrant under one of the categories set forth in 42 U.S.C. §1436a(a), as it existed on October 20, 2022, also known as "noncitizen", who is able to demonstrate his or her intent to reside in Hawaii. Under one of these categories, one eligible immigrant is an alien who is a lawful resident in the United States and its territories and possessions under section 141 of the Compacts of the Free Association between the Government of the Republic of the Marshall Islands, the Federal States of Micronesia (48 U.S.C. 1901 note), and the Republic of Palau (48 U.S.C. 931 note) while the applicable section is in effect, also known as "COFA" resident. Intent to reside in Hawaii may be demonstrated by the following: length of time spent in Hawaii; leasing or renting of a home in Hawaii; filing of personal Hawaii income tax returns; registering to vote in Hawaii; Hawaii driver's license; record of Hawaii motor vehicle registration; notification of hire to work in Hawaii; record of employment in Hawaii; military records substantiating Hawaii residency; record of Hawaii residency; enrollment of minor children in Hawaii schools; establishment of bank accounts and other accounts in Hawaii; written reference from Hawaii residents, relatives, or social agencies; and any other indicia which could substantiate a claim of an intent to reside in Hawaii.

"Security deposit" means the deposit required by an owner from a participant as defined in the Residential Landlord-Tenant Code, §521-44, HRS, as it existed on October 20, 2022.

"Sexual orientation" means having a preference for heterosexuality, homosexuality, or bisexuality, having a history of any one or more of the

preferences, or being identified with any one of more of these preferences, "sexual orientation" shall not be construed to protect conduct otherwise proscribed by law.

"Utility allowance" means the value of utilities such as electricity, gas, and water costs that are included in the gross rent of the participant. This does not include telephone or cable TV services.

"Veteran" means a person who has served in the active military or naval service of the United States at any time and who shall have been discharged or released from active service under conditions other than dishonorable.

"Violent criminal activity" means any criminal activity that has as one of its elements the use, attempted use, or threatened use of physical force substantial enough to cause, or be reasonably likely to cause, serious bodily injury or property damage.

"Voucher" means a document issued by the authority to a family selected for admission to a voucher program.

"Voucher holder" means an applicant who has a valid voucher but not an approved lease.

[Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. Parts 5 and 982)

**§17-2031-4 Public notice to lower-income families.** The authority shall inform the public of the availability and nature of housing assistance for families within allowed income limits through publications of general circulation and shall ensure wide and appropriate coverage. [Eff ]  
(Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.206)

**§17-2031-5 Participation by owners and others.** The authority shall invite eligible owners, including owners of suitable dwelling units located outside of

poverty or racially concentrated areas, to make dwelling units available for leasing by eligible families and to expand opportunities for disabled persons.

[Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §§ 982.1, 982.54, 982.306)

**§17-2031-6 Income limits.** (a) Income limits for a family's participation in the program shall be the same income limits established by HUD for its section 8 tenant-based housing choice voucher program, which are incorporated by reference and attached as exhibit C.

(b) Applicable income limits as provided in subsection (a) shall be published once per year in a publication with wide circulation, be posted at all times in a conspicuous place at the authority's offices that accept applications, on the authority's website, and printed in the [corporation's] authority's informational materials on eligibility for the programs. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.201)

**§17-2031-7 Assets.** All assets held by each member of an eligible family shall be used to determine annual income. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §5.609)

**§17-2031-8 Subsidy and occupancy standards.**

(a) The authority shall establish subsidy standards that shall provide for a minimum commitment of subsidy while avoiding overcrowding. The subsidy

standards are incorporated by reference and attached as exhibit D.

(b) The standards determine the number of bedrooms to be entered on the voucher and not a family's actual living arrangement.

(c) The authority's occupancy standards follow the occupancy codes of the County in which the dwelling unit is located. The occupancy standards are incorporated by reference and attached as exhibit E.

[Eff \_\_\_\_\_] (Auth: HRS §356D-13) (Imp: HRS §356D-31; 24 C.F.R. §§982.54(d)(9), 982.401, 982.402)

**§17-2031-9 Allowance for utilities and other services.** (a) The authority shall maintain a utility allowance schedule for utilities and other services that shall be coordinated with the allowance schedules of the respective counties. The utility allowance schedules are incorporated by reference and attached as exhibit F.

(b) On request from a family that includes a person with disabilities, the authority shall approve a utility allowance which is higher than the applicable amount in the utility allowance schedule if a higher utility allowance is needed as a reasonable accommodation in accordance with 24 C.F.R. part 8, as it existed on October 20, 2022, to make the program accessible to and usable by the family member with a disability.

(c) A participant shall receive a utility reimbursement when the utility allowance exceeds the total tenant payment. [Eff \_\_\_\_\_] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.517)

**§17-2031-10 Verification of information.** (a) The authority shall require an applicant or participant to provide documentation verifying

information provided by the family relating to the program.

(b) An applicant or participant who fails to provide documentation to verify information requested by staff shall be ineligible for participation in the program.

(c) Verification documents shall be valid for the following lengths of time:

(1) For applicants, sixty days before the voucher is issued to the applicant.

(2) For participants, one hundred twenty days from the date received by the authority.

[Eff: 1/1/2018] (Auth: HRS §356D-13)  
(Imp: HRS §356D-13; 24 C.F.R. §§982.201,  
982.551; 982.552; 982.553)



SUBCHAPTER 2

ELIGIBILITY

**§17-2031-21 Applications.** (a) A family seeking to participate in the program shall submit a completed pre-application form prepared by the authority. The applicant is permitted to file a pre-application on the authority's application portal, or through reasonable accommodation in person, by mail, or at any of the authority's section 8 applications offices for any and all waiting list areas prescribed in section 17-2031-26.

(b) The initial pre-application review shall not require an interview. Only applicants who are determined eligible in the initial review shall be placed on the waiting list. A final eligibility review shall be conducted when the applicant reaches the top of the waiting list.

(c) An applicant who has misrepresented material information in a pre-application, application, or other inquiry for any of the authority's programs shall not be eligible to file an application with the authority for twelve months from the date of written notification from the authority. [Eff

] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §§982.201, 982.202)

**§17-2031-22 Eligibility for admission and participation.** (a) To be eligible for participation in the program, an applicant and family members shall meet all of the requirements of the pre-application and final-application phases as set forth below:

- (1) During the pre-application phase, the applicant and adult family members shall:
  - (A) Qualify as a family;

- (B) Be income eligible as determined under section 17-2031-6;
- (C) Not have an outstanding debt owed to the authority as a participant in any of its programs;
- (D) Not have an outstanding liability for unpaid rent or damages incurred while previously participating in any section 8 rental subsidy program;
- (E) Provide a social security number for all family members who are at least six years of age or under the age of six and has an assigned social security number. If a family member is under the age of six and has not been assigned a social security number, the applicant or participant shall provide for each new child within ninety calendar days of being added to the household, a valid social security number issued by the social security administration, or an original document issued by a federal or state government agency, which contains the name of the individual and the social security number, along with other identifying information of the individual;
- (F) Not have been evicted since March 1, 1985 from a public housing program administered by the authority or any of its predecessors, the housing and community development corporation of Hawaii or Hawaii housing authority with the exception of evictions solely due to failure to pay a debt to the authority, in which case, the applicant can be admitted upon payment in full of the unpaid amounts due to the agency;
- (G) Not have been terminated for assistance under the program;
- (H) Not have committed fraud, bribery, or any other corrupt or criminal act in

- connection with any federal housing program;
- (I) Within one year of the projected date of voucher award, not have been engaged in any drug-related or violent criminal activity or other criminal activity which would adversely affect the health, safety, right of peaceful enjoyment of the premises by other residents, the owner, or authority employees;
  - (J) Not be illegally using a controlled substance or give the authority a reasonable cause to believe that the illegal use (or pattern of illegal use) of a controlled substance or abuse of alcohol (or pattern of abuse) may interfere with the health, safety, or right to peaceful enjoyment of a rental premises by other residents;
    - (i) For the purposes of this subsection, "reasonable cause to believe" means by a preponderance of the evidence;
    - (ii) For the purposes of this subsection, in determining whether to deny eligibility based on a pattern of illegal use of a controlled substance or a pattern of abuse of alcohol, the authority may consider rehabilitation as provided for under 42 U.S.C. §13661(b)(2)(A)-(C), as it existed on October 20, 2022, which is incorporated by reference and attached as exhibit G;
  - (K) Not be engaged in any drug-related criminal activity or violent criminal activity which would adversely affect the health, safety, right to peaceful enjoyment of the premises by other

- residents, the owner, or authority employees;
  - (L) Not have been convicted of the manufacture, production, or distribution of methamphetamines; and
  - (M) Not subject to lifetime registration requirements under any State sex offender's registration program.
- (2) During the final application phase the applicant and all adult household members shall meet the requirements set forth in subsection 17-2031-22(a)(1), as well as the following requirements:
- (A) Not have engaged in or threatened abusive or violent behavior toward the authority's personnel. For purposes of this subsection, "threatened" means an oral or written threat or physical gestures that communicate an intent to abuse or commit violence. Abusive or violent behavior may be verbal or physical and include use of expletives that are generally considered insulting, racial epithets, or other language, written or oral, that is customarily used to insult or intimidate; and
  - (B) Furnish evidence of citizenship or eligible immigrant status as provided for in 24 C.F.R. §5.508, as it existed on October 20, 2022, which is incorporated by reference and attached as exhibit H.
- (b) An applicant who is continuously assisted under the U.S. Housing Act of 1937 shall be admitted to the program as though the applicant was already a program participant.
- (c) A participant shall not receive a voucher at the same time as other rent supplement or housing benefits including state rent supplement payments authorized under section 356D-151, HRS.

§17-2031-22

(d) Before the authority denies or terminates assistance on the basis of a criminal record, the authority shall provide the applicant or participant with a copy of the criminal record and an opportunity to dispute the accuracy and relevance of that record pursuant to section 17-2031-71 or 17-2031-72. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §§5.216, 982.201, 982.202, 982.307, 982.551, 982.552, 982.553)

**§17-2031-23 Income targeting.** At least seventy five per cent of families admitted to the program during the fiscal year from the waiting list shall be extremely low income families. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.201)

**§17-2031-24 Notification of eligibility.**

(a) An applicant shall be mailed or sent a written or electronic notification after an eligibility determination is made. The notification shall specifically state the reasons for the determination.

(b) An eligible applicant shall be placed on the waiting list.

(c) An applicant determined to be ineligible for admission or participation in the program shall be accorded an opportunity to request for an informal review as set forth in section 17-2031-71. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §§982.201, 982.204, 982.554)

**§17-2031-25 Local preferences.** (a) Eligible applicants shall be given preference for certification in the program if, at the time they are seeking

housing assistance, they fall within the following preference categories:

- (1) The following preferences shall be given first priority but have equal weight within this group:
  - (A) Involuntarily displaced, including public housing families subject to relocation due to modernization activity, or based on an emergency where conditions of the public housing dwelling unit, building, or project pose an immediate, verifiable threat to life, health or safety of the family, and the family cannot be relocated to another public housing dwelling unit in the same program, meeting their needs;
  - (B) Victims of domestic violence, including public housing tenants that are victims of stalking, or reprisals, or hate crimes, and cannot be safely transferred to another public housing dwelling unit in the same program; or
  - (C) Homeless; or
  - (D) Public housing families that exceed the largest public housing dwelling unit size on the island where they reside; or Public housing tenants who are approved for a reasonable accommodation for a dwelling unit with special features and have not been offered a dwelling unit in the public housing program that meets the family's needs and have waited over one year.
- (2) The following preferences shall be given second priority but have equal weight within this group:
  - (A) Living in substandard housing; or
  - (B) Paying more than fifty per cent of annual income for rent.
- (3) The following are other preferences that have equal weight:

- (A) Working families and those unable to work because of age or disability;
  - (B) Veterans and veterans' surviving spouse;
  - (C) Residents who live or work in the jurisdiction (by county); or
  - (D) Victims of reprisals or hate crimes.
- (b) Each preference in each priority group is of equal weight and an applicant who qualifies for any of the preferences shall receive assistance before any other applicant who is not so qualified regardless of:
- (1) Place on the waiting list;
  - (2) Date or time of submission of an application; or
  - (3) Lottery position.
- (c) An applicant shall not receive preference if any adult member of the applicant family is a person who was evicted or terminated from any housing program operated by the authority during the past three years because of drug-related criminal activities unless the adult member has successfully completed a rehabilitation program approved by the authority.
- [Eff \_\_\_\_\_] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.203, 982.207)]

**S17-2031-26 Waiting list.** (a) The authority shall maintain a separate waiting list for each of its housing choice voucher or project-based voucher programs.

- (b) Placement on the waiting list may be by:
  - (1) Date and time; or
  - (2) Random lottery selection, so long as all adopted preferences are considered.
- (c) Applicants shall be notified of the opportunity to apply for vouchers and of the procedure to be used to be placed on the waiting lists through notices posted in a conspicuous place at the authority's offices that accept section 8 applications, the authority's website, and in a

printed statement in the authority's information material on its application process.

(d) The notice to open the waiting list shall include information on what procedure shall be used to place applicants on the waiting list, how to apply, the date and time of the lottery selection and the number of applicants that will be selected by the lottery, if applicable.

(e) The authority may accept applications from applicants with and without a preference, or solely based on preference, which will be specified in the notice of opening of the wait list.

(f) Applicants who are selected for placement on the waiting list shall be notified in writing, through mail or electronic communication, of their selection on the waiting list approximately ten business days after the waiting list has closed.

(g) Selection of applicants from the waiting list shall be based upon:

- (1) A randomly assigned number based on the number of applicants that were selected by the lottery; or
- (2) Date and time of the application; and
- (3) Applicable local preference.

(h) An applicant must notify the authority, at least annually, of any change that may affect the applicant's place on the waiting list and the authority's ability to contact applicant. Changes include, but are not limited to, familial status, financial status, mailing address and current residence.

(i) An applicant may continue to be on the waiting list even though the applicant is a tenant in or receiving housing assistance from another housing program.

(j) Applications for the housing choice voucher program will be active for eighteen months from the date of placement on the waiting list and then will expire. Applicants on the waitlist at eighteen months will receive a letter informing them that their application has expired within ten business days.



(k) When the authority opens the waiting list for applicants and limits applications to those with local preferences, any applicant who is unable to verify their preference within ten business days shall be removed from the waiting list.

(l) Applicants who were either not selected to participate in the lottery, or whose application has expired, will not qualify for an informal hearing.  
[Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.204, 982.205, 982.206)

**§17-2031-27 Removal from the waiting list.** An applicant shall be removed from the waiting list for any one of the following reasons:

- (1) The applicant requests that applicant's name be removed;
  - (2) The applicant fails to notify the authority of applicant's continued interest for housing at least once every twelve months;
  - (3) The applicant no longer meets the eligibility criteria set forth in section 17-2031-22;
  - (4) The applicant fails to respond to the authority's reasonable contact efforts. Two written or electronic notices to the last known address shall constitute reasonable effort to contact;
  - (5) The applicant fails without good cause to keep a scheduled interview or to provide requested information necessary to determine eligibility;
  - (6) The applicant refuses a voucher for housing assistance; or
  - (7) The applicant misrepresents any material information to the authority on the application or otherwise.
- [Eff ] (Auth: HRS §356D-13)  
(Imp: HRS §356D-13; 24 C.F.R. §982.204)

**§17-2031-28 Closing and reopening the waiting list.** (a) The authority may suspend the acceptance of applications and close the waiting list, in whole or in part, when it is determined that there are enough applicants on the waiting list to fill anticipated openings for the next twenty-four months.

(b) The authority may publicly announce any closure and reopening of the application taking process pursuant to section 17-2031-4. If the list is opened for only a limited time, the opening announcement shall include the closing date and not require further notice. Publicly announce may include, but is not limited to, publishing notices in a newspaper of general circulation and minority newspapers or notifying social service organizations.

(c) During periods when the waiting list is closed, the authority is not required to maintain a list of persons to be notified when application taking is reopened. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.206)

**§17-2031-29 Final application process - selection and certification.** (a) Selection for certification shall be from the established waiting list and shall be based on:

- (1) Applicable local preferences; and
- (2) Lottery placement; or
- (3) Date and time of receipt of application.

(b) The authority shall contact applicants selected off the waiting list in writing through mail, electronic or other virtual written communication.

(c) Completed applications will be processed as they are returned on a first come, first served basis.

(d) Following initial contact with an applicant from the waiting list, housing assistance will be offered to applicants in the order in which they completed the application process.

(e) Applicants shall be provided with a briefing packet containing all required materials and shall be informed of their responsibilities prior to acceptance

of a voucher. A voucher shall not be issued unless the applicant or an authorized representative attends a briefing and signs the voucher.

(d) A voucher holder shall be responsible for finding a qualified dwelling unit of appropriate size prior to the expiration of the voucher.

(e) A voucher shall expire at the end of sixty days from issuance unless within that timeframe, the family submits a request for lease approval, in which case the sixty day time limit shall be suspended while the authority determines whether to approve the lease.

(f) An applicant may request an extension to the initial sixty day time period if the voucher is about to expire. The request for extension shall be in writing and be received by the authority or postmarked no later than the last day of the voucher term. The extension request shall include an explanation for the request and a progress report on efforts made to locate a suitable dwelling unit.

(g) An applicant may request an extension beyond one hundred twenty days provided there are verifiable circumstances beyond the applicant's control that hinder the applicant from locating a suitable dwelling unit. The request for extension shall be in writing and be received by the authority or postmarked no later than the last day of the voucher term. The extension request shall include an explanation for the request and a progress report on efforts made to locate a suitable dwelling unit. If an extension is granted, the authority shall recertify the applicant's eligibility and income.

(h) Upon request from a prospective landlord, the authority may furnish the current address and the name and address of any current or prior landlord of the voucher holder as shown in the authority's records. Also upon request from the prospective landlord, the authority may furnish other information about the tenancy history of family members, or about drug trafficking by family members, provided that there has been a criminal conviction.

[Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §§ 982.204, 982.301, 982.302, 982.303, 982.305, 982.306, 982.307)

**§17-2031-30 Special admission and exception for designated programs.** (a) The authority may admit families not on the established waiting list, or without considering the family's waiting list position, that are targeted for specific funding awards from HUD, including, but not limited to:

- (1) A family displaced because of modernization, demolition or disposition of a public or Indian housing project;
- (2) A family residing in a multifamily rental housing project when HUD sells, forecloses or demolishes the project;
- (3) Housing covered by the Low Income Housing Preservation and Resident Homeownership Act of 1990;
- (4) A family residing in a project covered by a section 8 project-based housing assistance payment contract at or near the end of the housing assistance payment contract term; or
- (5) A non-purchasing family residing in a HOPE 1 or HOPE 2 project; or
- (6) A family that resides or will reside in a dwelling unit covered by a project-based section 8 housing assistance payment contract.

(b) The authority shall admit families on the established waiting list who qualify for special funding awards from HUD including, but not limited to:

- (1) The Mainstream Housing Opportunities for Persons with Disabilities program and
- (2) The Welfare-to-Work or similar self-sufficiency programs.

(c) This section shall also apply to a family displaced because of demolition or disposition of an authority owned housing project that is not federally assisted.

(d) A family may be admitted under this section without qualifying for any preferences, or without being on the program waiting list.

(e) The authority shall maintain records showing the family was admitted through HUD-targeted assistance. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.203)

**§17-2031-31 Annual income.** The authority shall determine each applicant's and participant's annual income pursuant to 24 C.F.R. §5.609, as it existed on October 20, 2022, which is incorporated by reference and attached as exhibit B.  
[Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. § 5.609)

**§17-2031-32 Reexaminations.** (a) At least once every twelve months, the authority may reexamine a family's income, composition and any other matter necessary to determine the participant's rent and eligibility for continued housing assistance.

(b) If at the time of admission or reexamination, a family's income cannot be reasonably anticipated for the next twelve-month period, the authority may schedule a special reexamination at any time prior to the next annual reexamination when deemed necessary.

(c) The participant and owner shall be notified in writing by the authority of the results of any reexamination within a reasonable time.  
[Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.516)

**§17-2031-33 Interim rent adjustment.** (a) The authority may adjust a participant's rent between reexaminations if a participant reports a change in income.

(b) Adjustments reflecting a lower rent shall be made effective on the first day of the month following the month the report was made. A participant who has obtained a decrease in rent under this section, shall report all income increases which occur prior to the next reexamination and rent may be readjusted accordingly.

(c) A rent adjustment shall be made between reexaminations when a participant's income increases as a result of the inclusion of additional persons with income to the family, and such adjustment shall be made effective on the first day of the second month following the inclusion.

(d) The participant and owner shall be notified in writing by the authority of the results of any reexamination within a reasonable time.

[Eff \_\_\_\_\_] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.516)

**§17-2031-34 Continued assistance.**

(a) When one family splits into two eligible families, both families wish to continue assistance, and there is no court order, the authority shall decide to continue assistance to one family instead of the other if that family:

- (1) Retains the children or includes any disabled or elderly members. Children subject to a joint custody agreement but live with one parent for a cumulative period of at least one hundred eighty three days of the year shall be considered a member of that household;
- (2) Includes the family member that applied as head of household;

- (3) Excludes the responsible party for domestic violence which caused the split of the family;
- (4) Is subject to other factors specified by the authority; or
- (5) Is recommended by social service agencies or qualified professionals to retain assistance. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.315)

## SUBCHAPTER 3

### LEASE

**§17-2031-41 Request for lease approval.** Upon finding a dwelling unit that an owner is willing to lease, the family shall submit a request to have the lease approved by the authority. [Eff ]  
(Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.305)

**§17-2031-42 Dwelling unit inspection.**

(a) Prior to approving a lease, the authority shall inspect the dwelling unit within a reasonable time after receipt of the owner's inspection request.

(b) Dwelling units approved for lease in the program shall meet minimum housing quality standards.

(c) Inspections will occur every other year, except in circumstances where the authority may determine a need for an annual inspection. Situations may include, but not be limited to:

- (1) If a dwelling unit does not pass an initial or annual inspection the first time;
- (2) The dwelling unit fails a quality control inspection; or
- (3) The participant or landlord requests a special inspection between the scheduled inspection.

[Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §§982.305, 982.401)

**§17-2031-43 Lease requirements.** (a) The authority shall review the lease, particularly noting compliance with HUD regulations and state and local



law. The participant also must have legal capacity to enter a lease under state and local law.

(b) The family and owner must submit a standard form lease used in the locality and that is generally used for other unassisted tenants in the premises by the owner. The terms and conditions of the lease must be consistent with state and local law. The lease must specify what utilities and appliances are to be supplied by the owner, and what utilities and appliances are to be supplied by the family. The HUD prescribed tenancy addendum must be included in the lease word-for-word before the lease is executed. The HUD tenancy addendum is incorporated by reference and attached as exhibit I. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.308)

**§17-2031-44 Lease approval.** (a) If the authority determines that a dwelling unit is suitable for the program and the lease meets the requirements of the program, the owner and family shall be notified, and a contract executed.

(b) The initial lease shall be for at least one year.

(c) If the authority determines that a lease cannot be approved for any reason, the owner and family shall be notified in writing.

[Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §§982.308, 982.309)

SUBCHAPTER 4

HOUSING ASSISTANCE PAYMENTS AND RENT

**§17-2031-51 Housing assistance payments.** The authority shall make housing assistance payments to the owner on behalf of an eligible family.  
[Eff \_\_\_\_\_] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.311)

**§17-2031-52 Contract rents.** (a) The contract rent for a dwelling unit in the program shall be determined on a case-by-case basis. The approved rent shall be reasonable in comparison to rent for other comparable unassisted dwelling units in the housing market.

(b) Contract rents may be adjusted at each annual anniversary date of the HAP contract at the request of the owner. [Eff \_\_\_\_\_] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.507)

**§17-2031-53 Total tenant payment.**

(a) The authority shall compute the total tenant payment.

(b) There shall be an established minimum rent of \$50.00 per month. Exception to the application of the minimum monthly rental amount shall apply if the family is unable to pay because of financial hardship which is determined pursuant to 24 C.F.R. §5.630, as it existed on October 20, 2022, and includes the following situations:

- (1) The family has lost eligibility or is awaiting an eligibility determination for federal, state, or local assistance;

- (2) The family would be evicted as a result of the imposition of the minimum rent requirement;
- (3) The income of the family has decreased because of changed circumstances, including:
  - (A) Loss of employment;
  - (B) An income producing family member dies; and
  - (C) Other circumstances beyond the family's control as determined by the authority.

[Eff: 10/1/13] (Auth: HRS §356D-13) (Imp: HRS §356D-13 ; 24 C.F.R. §§5.628, 5.630)

**S17-2031-54 Rent.** (a) Voucher rents are based on the payment standard as set by the authority on an annual basis and are guided by the fair market rents published annually by HUD. On request from the family that includes a person with disabilities, the authority shall approve an exception rent of up to one hundred twenty per cent of the fair market rent if the exception rent is needed as a reasonable accommodation so that the program is readily accessible to and usable by persons with disabilities in accordance with 24 C.F.R. Part 8, as it existed on October 20, 2022.

(b) The small area fair market rent, which includes utilities and is established for dwelling units of various bedroom sizes, is determined by HUD. [Eff \_\_\_\_\_] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §888.111, 982.503, 982.504, 982.507)

**§17-2031-55 Payment standard.** (a) The maximum monthly subsidy payment for a family before deducting the family contribution is set by the authority between ninety per cent and one hundred ten per cent of the HUD determined small area fair market rent. The authority may establish a payment standard amount

that is higher or lower than the basic range subject to HUD approval or waiver.

(b) The authority may approve a higher payment standard within the basic range to reasonably accommodate a family that includes a person with disabilities which may be subject to HUD approval. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.503)

**§17-2031-56 Security deposits.** (a) The participant shall be responsible for the payment of a security and utility deposit as directed by their lease.

(b) The authority shall not be responsible for the payment of security and utility deposits. [Eff ] (Auth: HRS §§356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.313)

**§17-2031-57 Ownership change.** (a) A change in ownership of a dwelling unit under a HAP contract does not require execution of a new contract or lease. The authority may approve the assignment of the HAP contract at the previous owner's request.

(b) The owner who is selling the dwelling unit shall provide written notice to the authority at least thirty days prior to the sale closing.

(c) The new owner shall provide documents to verify the sale and other information requested by the authority.

(d) Housing assistance payments to the owner who is selling the dwelling unit shall be suspended effective the first of the month following the receipt of the notification of the sale of the dwelling unit and when the assignment of the HAP contract to the new owner is approved by the authority. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §§982.305, 982.306)

SUBCHAPTER 5

OPERATIONS

**§17-2031-61 Inspections.** (a) The authority shall annually inspect each dwelling unit leased to a participant of the program utilizing inspection standards required by HUD.

(b) The authority may conduct special inspections upon written notification by the participant or owner that the dwelling unit does not meet housing quality standards or based on information from third parties such as neighbors or public officials.

[Eff \_\_\_\_\_] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.405)

**§17-2031-62 Overcrowded or under occupied dwelling units.** A participant shall be issued a new voucher if the authority determines that the dwelling unit does not meet the authority's subsidy standards for occupancy. [Eff \_\_\_\_\_] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.403)

**§17-2031-63 Portability.** (a) The authority may require applicants who were nonresidents at the time of application to live in its jurisdiction during the first twelve-month period.

(b) The authority shall not absorb a family under portability assistance into its program unless funds are available and there is no applicant with a preference on the applicable waiting list.

[Eff \_\_\_\_\_] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §§982.353, 982.354, 982.355)

**§17-2031-64 Transfers.** (a) A family may terminate its lease with the landlord at any time after the first twelve months as provided by the rental agreement with the landlord and shall provide a copy of the notice to the authority.

(b) The authority shall deny permission to move if:

- (1) There are insufficient program funds for continued assistance;
  - (2) The participant has violated a family obligation listed on the voucher;
  - (3) The participant owes the authority money; or
  - (4) The participant has moved or has been issued a voucher within the last twelve months.
- [Eff \_\_\_\_\_] (Auth: HRS §356D-13)  
(Imp: HRS §356D-13; 24 C.F.R. §§982.354, 982.552)

**§17-2031-65 Eviction - termination of tenancy by owner.** (a) If the owner wishes to terminate the lease, the owner is required to provide proper notice as provided in the lease and the Hawaii Residential Landlord-Tenant Code.

(b) During the term of the lease the owner may only evict for:

- (1) Serious or repeated violations of the lease, including but not limited to failure to pay rent or other amounts due under the lease, or repeated violation of the terms and conditions of the lease;
- (2) Violations of federal, state or local law that imposes obligations on the tenant in connection with the occupancy or use of the premises, such as failure to comply with all obligations, restrictions, whether demonstrated by the landlord as rules or otherwise, which are in accordance with section 521-52, HRS, and which the landlord can demonstrate are

reasonably necessary for the preservation of the property or protection of the persons of the landlord, other tenants, or any other person;

- (3) Criminal activity by the tenant, any member of the household, a guest or another person under the tenant's control that threatens the health, safety or right to peaceful enjoyment of the premises by the other residents, or persons residing in the immediate vicinity of the premises or any drug-related criminal activity on or near the premises; or

- (4) Other good cause.

(c) During the initial term of the lease, the owner may not terminate the tenancy for "other good cause" unless the owner is terminating the tenancy because of something the family did or failed to do.

(d) The owner shall provide the tenant a written notice specifying the grounds for termination of tenancy pursuant to chapter 521, HRS, before the commencement of the eviction action. The notice of grounds provided in 982.310(e)(1)(ii), CFR, as it existed on October 20, 2022, may be included in, or may be combined with, any owner eviction notice to the tenant. The owner eviction notice means a notice to vacate, or a complaint, or other initial pleading used under State or local law to commence an eviction action.

(e) Housing assistance payments are paid to the owner under the terms of the HAP contract. If the owner has begun eviction and the family continues to reside in the dwelling unit, the authority shall continue to make housing assistance payments to the owner until the owner has obtained a court judgment or other process allowing the owner to evict the tenant. The authority may continue housing assistance payments until the family moves or is evicted from the dwelling unit. If the action is finalized in court, the owner must provide the authority with the documentation, including notice of the date of physical eviction.

(f) The authority shall continue making housing assistance payments to the owner in accordance with the contract as long as the tenant continues to occupy the dwelling unit in accordance with the terms of the lease. By endorsing the monthly check from the authority, the owner certifies that the tenant is still in the dwelling unit, and that the rent is reasonable and in compliance with the contract.

(g) If an eviction is not due to a serious or repeated violation of the lease, and if the authority has no other grounds for termination of assistance, the authority may issue a new voucher so that the family can move with continued assistance.

(h) The family is not responsible for payment of the portion of the rent to owner covered by the housing assistance payment under HAP contract between the owner and the authority. The authority's failure to pay the housing assistance payment to the owner is not a violation of the lease between the tenant and the owner. During the term of the lease, the owner may not terminate the tenancy of the family for nonpayment of the authority's housing assistance payment. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §§982.310, 982.455)

**§17-2031-66 Termination of participation.**

(a) The authority shall terminate a family's participation in the program when:

- (1) The family has been evicted from housing assistance under the program for serious violation of the lease;
- (2) Any member of the family fails to sign and submit consent forms for obtaining information in accordance with the program; or
- (3) The family does not submit required evidence of citizenship or eligible immigration status.
- (4) Any family member fails to meet the eligibility requirements concerning



- individuals enrolled at an institution of higher education as specified in 24 C.F.R. 5.612, as it existed on October 20, 2022.
- (b) The authority may terminate a family's participation in the program when:
    - (1) The family fails to fulfill their obligations under the program;
    - (2) Any member of the family has committed fraud, bribery, or any other corrupt or criminal act in connection with any federal housing program;
    - (3) The family is under contract and one hundred and eighty days have elapsed since the last housing assistance payment was made due to housing assistance payment being zero dollars, or other participant related reason;
    - (4) The family has not reimbursed any public housing agency for amounts paid to an owner under a HAP contract on behalf of the family for rent, damages to the dwelling unit, or other amounts owed by the family under the lease;
    - (5) The family breaches an agreement with the authority to pay amounts owed to the authority, or amounts paid to an owner by the authority;
    - (6) Any member of the family has engaged in or threatened abusive or violent behavior toward the authority's personnel. Threatened means an oral or written threat or physical gestures that communicate an intent to abuse or commit violence. Abusive or violent behavior may be verbal or physical and include use of expletives that are generally considered insulting, racial epithets, or other language, written or oral, that is customarily used to insult or intimidate;
    - (7) Any member of the family has engaged in any drug-related criminal activity or violent criminal activity. For the purpose of this

subsection, "violent criminal activity" means any illegal criminal activity that has as one of its elements the use, attempted use, or threatened use of physical force against the person or property of another;

- (8) Any member of the family is illegally using a controlled substance or whose illegal use or pattern of abuse of a controlled substance, or whose abuse of alcohol or pattern of abuse of alcohol is determined by the authority to interfere with the health, safety, or right to peaceful enjoyment of a rental premises by other residents. In determining whether to terminate assistance based on a pattern of illegal use of a controlled substance or a pattern of abuse of alcohol by a household member, the authority may consider rehabilitation as provided for under 42 U.S.C.

§13661(b)(2)(A)-(C), as it existed on October 20, 2022, which is incorporated by reference and attached as exhibit G;

- (9) A family participating in the family self-sufficiency program fails to comply, without good cause, with the family's family self-sufficiency contract of participation; or
- (10) Welfare-to-work family fails, willfully and persistently, to fulfill its obligations under the welfare-to-work voucher program.

(c) The authority may implement a lottery system to terminate a family's participation in the program if the authority must terminate housing assistance payment contracts due to insufficient funds. Families will be randomly chosen to be terminated from the housing choice voucher program. Individuals who are elderly, disabled, victims of domestic violence, or VASH participants shall be excluded from the lottery.

(d) A participant found to be ineligible for continued participation in the program shall be notified in writing by the authority and be accorded an opportunity to request an informal hearing as set forth in these rules. Such notice shall state the

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reasons for the authority's determination and that the participant has the opportunity to request an informal hearing. [Eff ] (Auth: HRS §356D-13)  
(Imp: HRS §356D-13; 24 C.F.R. §§982.551, 982.552, 982.553)

SUBCHAPTER 6

INFORMAL REVIEWS

**§17-2031-71 Informal review process for applicants.** (a) An applicant who has been denied assistance by the authority shall have an opportunity for an informal review pursuant to 24 C.F.R. §982.554, as it existed on October 20, 2022.

(b) The applicant shall provide the authority with a request for an informal review within fifteen days from the date of the authority's notification of denial of assistance.

(c) The informal review shall be scheduled within fifteen days from the date the written request is received by the authority and shall be conducted by any person or persons designated by the authority, but shall not be a person who made or approved the decision under review or a subordinate of this person.

(d) The applicant shall be given the opportunity to present oral or written objections to the authority's denial of assistance. Both the authority and the applicant may present evidence and witnesses. The applicant may be assisted by an attorney or other representative at his or her own expense.

(e) The informal review may be conducted by mail, video conference or telephone if acceptable to both parties.

(f) A written notice of the review of findings shall be provided to the applicant within thirty days after the review. The notice shall include the decision of the hearing officer and an explanation of the reasons for decision.

(g) An applicant who is denied assistance for citizen or immigrant status shall have an opportunity for an informal hearing pursuant to 24 C.F.R. §5.514, as it existed on October 20, 2022. [Eff  
] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §§982.54(d)(12), 982.554)

**§17-2031-72 Informal hearing process for participants.** (a) The authority shall give a participant an opportunity for an informal hearing to consider whether the following authority decisions relating to the individual circumstances of a participant family are in accordance with the law, HUD regulations and authority rules pursuant to:

- (1) A determination of the family's annual or adjusted income and the use of such income to compute the housing assistance payment;
- (2) A determination of the appropriate utility allowance, if any, for tenant-paid utilities from the authority's utility allowance schedule;
- (3) A determination of the family dwelling unit size under the authority's subsidy standards;
- (4) A determination that a family is residing in a dwelling unit with a larger number of bedrooms than appropriate for the family dwelling unit size under the authority's subsidy standards, or the authority's determination to deny the family's request for an exception from the standards;
- (5) A determination to terminate assistance for a participant family because of the family's action or failure to act;
- (6) A determination to terminate assistance because the participant family has been absent from the assisted dwelling unit for longer than the maximum period permitted; or
- (7) A determination to terminate a family's family self-sufficiency contract, withhold supportive services, or propose forfeiture of the family's escrow account.

(b) The opportunity for informal hearing shall be provided to participants prior to the termination of assistance.

(c) The participant shall provide the authority with a written request for an informal hearing within fifteen days of the authority's notification of determination.

(d) The informal hearing shall be scheduled within fifteen days from the date the written request is received and shall be conducted by any person or persons designated by the authority, but shall not be a person who made or approved the decision under review or a subordinate of this person.

(e) Prior to the informal hearing:

- (1) The participant shall be given the opportunity to examine any authority documents that are directly relevant to the hearing. The participant may copy any relevant document at the participant's expense.
- (2) The authority shall be given the opportunity to examine any family documents that are directly relevant to the hearing. The authority may copy any relevant document at the authority's expense.

(f) The participant and the authority shall be given the opportunity to present evidence and may question witnesses. Evidence may be considered without regard to admissibility under the rules of evidence applicable to judicial proceedings.

(g) The participant may be assisted by an attorney or other representative at the participant's expense.

(h) A written notice of the findings of the hearing officer shall be provided to the authority and participant within ten days upon conclusion of the informal hearing. The notice shall include:

- (1) A summary of the decision and reasons for the decision;
- (2) The amount owed and documentation of the calculation of monies owed and
- (3) The effective date of the decision.

(i) The authority shall not be bound by the decision of the hearing officer that:

- (1) Concerns matters in which the authority is not required to provide an opportunity for a hearing or that otherwise exceeds the authority of the hearing; or

- (2) Is contrary to HUD regulations or requirements, or otherwise contrary to federal, State, or local law.
- (3) If the authority determines that it is not bound by a decision of the hearing officer, the authority shall send a letter to the participant within thirty days of its determination. The letter shall state the reasons for the determination.

(j) A participant who is determined to be ineligible for assistance due to citizen or immigration status shall have an opportunity for an informal hearing pursuant to 24 C.F.R. §5.514, as it existed on October 20, 2022.

[Eff ] (Auth: 356D-13) (Imp: HRS §356D-13; 24 C.F.R. §§5.514, 982.54(d)(13), 982.555)

SUBCHAPTER 7

FAMILY SELF-SUFFICIENCY PROGRAM

**§17-2031-81 Family self-sufficiency program.**

The objective of the authority's family self-sufficiency ("FSS") program is to reduce the dependency of low-income families on welfare assistance and to reduce Section 8, public housing, or any federal, state, and local rent or homeownership subsidies. Under the family self-sufficiency program, low-income families are provided opportunities for education, job training, counseling, and other forms of social service assistance, while living in assisted housing, so that they may obtain the education, employment, and business and social skills necessary. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. Part 984)

**§17-2031-82 Eligibility.**

(a) Participants in the authority's Section 8 tenant-based program are eligible to participate in the family self-sufficiency program.

(b) Preference shall be given to applicants who already receive family self-sufficiency-related support services for fifty per cent or less of the allocations. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. Part 984)

**§17-2031-83 Recruitment and outreach.**

(a) The authority shall conduct outreach programs to recruit family self-sufficiency participants.

(b) Outreach efforts may include the following:



- (1) Sending informational brochures to each family participating in the authority's Section 8 program;
- (2) Conducting orientation sessions for families who express an interest in participating in the family self-sufficiency program; and
- (3) Identifying and targeting potential families in the authority's caseloads.  
[Eff \_\_\_\_\_] (Auth: HRS §356D-13)  
(Imp: HRS §356D-13; 24 C.F.R. Part 984)

**§17-2031-84 Selection.** (a) Families shall be selected without regard to race, color, religion, sex, handicap, familial status, or national origin.

(b) Families may be selected by date of receipt of application.

(c) In the event there are more applicants than family self-sufficiency allocations, the authority shall conduct a lottery to determine placement on the waiting list.

(d) Initially, up to one hundred thirty-six Section 8 participants shall be selected to participate in the family self-sufficiency program.

[Eff \_\_\_\_\_] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. Part 984)

**§17-2031-85 Termination or withholding services.**

(a) The authority shall monitor and assess the family self-sufficiency participant's progress and compliance with the goals set forth in the contract of participation. When the authority determines that the family self-sufficiency participant is not making progress or complying with the goals set forth in the contract of participation, the authority shall notify the family self-sufficiency participant of such determination and provide the family self-sufficiency participant six months to demonstrate compliance with the plan of the contract of participation.

(b) If no progress has been made or the family self-sufficiency participant is still not complying with the contract of participation after the six-month period, the authority shall provide the family self-sufficiency participant with a written notice of intent to terminate or withhold services and of the opportunity to request an informal hearing.

[Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. Part 984)

SUBCHAPTER 8

SECTION 8 PROJECT-BASED VOUCHER PROGRAM

**§17-2031-91 Purpose.** The purpose of this subchapter is to establish a procedure for the selection of dwelling units to which the authority may attach Section 8 voucher assistance. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. Part 983)

**§17-2031-92 Eligible projects.** (a) The authority may attach Section 8 voucher assistance to dwelling units in newly constructed and existing structures of various types including single-family housing and multifamily structures.

(b) The authority may not attach Section 8 voucher assistance to dwelling units in the following types of housing:

- (1) Owner occupied dwelling units; however, cooperatives are considered to be rental housing for purposes of this subchapter;
- (2) Mobile or manufactured homes;
- (3) Shared housing, nursing homes, and facilities providing continual psychiatric, medical, nursing services, board and care or intermediate care;
- (4) Except for existing dwelling units, housing for which the construction or rehabilitation has started prior to execution of an agreement with the authority;
- (5) Dwelling units within the grounds of penal, reformatory, medical, mental, and similar public or private institutions;
- (6) Housing located in an area that has been identified by the Federal Emergency Management Agency as having special flood

- hazards unless the community in which the area is situated is participating in the National Flood Insurance Program;
- (7) Housing located in the coastal barrier resources system designated under the Coastal Barrier Resources Act;
  - (8) College or other school dormitories;
  - (9) Dwelling units subsidized under other federal housing programs including:
    - (i) Public housing;
    - (ii) A dwelling unit subsidized by any other form of section 8 assistance;
    - (iii) A dwelling unit subsidized with any local or state rent subsidy;
    - (iv) A section 236 project or a dwelling unit subsidized with section 236 rental assistance payments;
    - (v) A Rural Development Administration section 515 project;
    - (vi) A dwelling unit subsidized with rental assistance payments under section 521 of the Housing Act of 1949 (a Rural Development Administration Program);
    - (vii) Housing assisted under former section 23 of the United States Housing Act of 1937 (before amendment by the Housing and Community Development Act of 1974);
    - (viii) A section 221(d)(3) project;
    - (ix) A project with a section 202 loan;
    - (x) A section 202 project for non-elderly persons with disabilities;
    - (xi) Section 202 supportive housing for the elderly;
    - (xii) Section 811 supportive housing for persons with disabilities;
    - (xiii) A section 101 rent supplement project;
    - (xiv) A dwelling unit subsidized with tenant-based assistance under the HOME program, or any dwelling unit with any other duplicative federal, state, or local housing subsidy, as determined by HUD.

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[Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §§983.52, 983.53)

**§17-2031-93 Notification of project-based assistance.** (a) The authority shall publish requests for proposals to participate in the Section 8 project-based voucher program in a newspaper of general circulation once a week for three consecutive weeks. The advertisement shall state the number of vouchers available for project-based assistance; whether proposals will be accepted for rehabilitation, new construction, or existing dwelling units; state the selection criteria; and specify an application deadline of at least thirty days after the date the advertisement is last published.

(b) The authority may select dwelling units to which assistance is to be attached, without advertising under paragraph (a) of this section and without applying the selection factors otherwise required under section 17-2031-95, if attachment of project-based assistance would further the purposes of the sale of a public housing project to a resident management corporation under section 21 of the United States Housing Act of 1937. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §983.51)

**§17-2031-94 Applications for project-based assistance; information required.**

(a) Housing providers or agencies desiring Section 8 project-based voucher assistance shall submit to the authority a proposal, in the format prescribed by the authority, along with any additional information that the authority determines to be applicable.

(b) Housing provider or agency information may include, but is not limited to the following:

- (1) Name and address of the eligible housing provider or owner and other project principals and officers and principal members, shareholders, investors, and other parties having a substantial interest in the ownership of the project, and evidence of the applicant's status as a corporation, partnership, joint venture or other business organization;
- (2) Certification showing that the above-mentioned parties are not on the United States General Services Administration list of parties excluded from federal procurement and non-procurement programs or the State list of parties debarred or suspended; a disclosure of any possible conflict of interest by any of these parties that would be a violation of the agreement or the housing assistance payments contract;
- (3) To the extent available, certified copies of the housing provider's or owner's organizational documents, including its articles of incorporation and bylaws, declaration of trust, partnership or limited partnership agreement, together with all amendments thereto and, in the case of nonprofit organizations, a copy of the determination letter from the Internal Revenue Service as to recognition of exemption from federal income taxation;
- (4) A resume of the housing provider's experience in the construction or rehabilitation of rental housing projects including a list and a brief description of the projects in which the applicant participated;
- (5) A resume of the housing provider's or owner's experience in the management of rental housing projects including a list and a brief description of the projects which the applicant manages;

- (6) The name, title, address, and telephone number of the person to whom communications should be addressed;
  - (7) Evidence of the housing provider's or owner's legal authority to incur obligations and to sign and deliver such documents as may be necessary to finance, construct, or rehabilitate the project;
  - (8) A current certificate of good standing from the State department of commerce and consumer affairs and tax clearance from the State department of taxation;
  - (9) Evidence of the housing provider's or owner's ability to develop, own, market, manage, and provide appropriate services in connection with housing project;
  - (10) Evidence of the housing provider's or owner's financial ability to complete the project;
  - (11) The housing provider's or owner's ties to the community and support from local community groups;
  - (12) A description of any financial default, modification of terms and conditions of financing, or legal action taken or pending against the applicant or its principals;
  - (13) A description of the housing provider's or owner's experience or involvement in the provision of supportive services;
  - (14) A statement of the housing provider's or owner's past or current involvement with the authority or its predecessors, the housing finance and development corporation, the Hawaii housing authority or the housing and community development corporation of Hawaii, and the assistance, if any, received from those entities.
- (c) Project information may include, but is not limited to the following:
- (1) A description of the proposed housing project, including the number of dwelling units by square footage, bedroom count,

- bathroom count, sketches of the proposed building, dwelling units plans, listing of amenities and services, and the estimated date of completion;
- (2) Identification and description of the proposed site, site plan, and neighborhood characteristics;
  - (3) Identification of the census tract in which the project is located;
  - (4) Evidence of site control, such as a deed, agreement of sale, commitment letter, or development agreement;
  - (5) Availability of public services and facilities, such as schools, sewers, parks, and fire protection, and the adequacy thereof;
  - (6) If applicable, evidence that the proposed new construction is permitted by current zoning ordinances or regulations or evidence to indicate that the needed re-zoning is likely and will not delay the project;
  - (7) The proposed contract rent per dwelling unit, including an indication of which utilities, services, and equipment are included in the rent and which are not included. For those utilities that are not included in the rent, an estimate of the average monthly cost for each dwelling unit type for the first year of occupancy;
  - (8) A signed certification of the owner's intention to comply with all applicable federal requirements referenced in 24 CFR 983.4, as it existed on October 20, 2022;
  - (9) A statement from the owner certifying the number of persons, businesses, non-profit corporations occupying the property on the date of submission of the application; the number of persons displaced, temporarily relocated or moved permanently within the building complex; estimated cost of relocation payments and services; the funding source of relocation activities; and



- the name of the organization that will carry out the relocation activities;
- (10) The owner's plan for managing and maintaining the dwelling units;
  - (11) Evidence of financing or lender interest and the proposed terms of financing;
  - (12) The proposed term of the housing assistance payments contract;
  - (13) If applicable, a relocation plan that includes steps that will be taken to minimize the displacement of households, businesses, nonprofit organizations, and farms as a result of the project; and
  - (14) Such other information as the authority deems necessary. [Eff \_\_\_\_\_] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §§983.3, 983.6, 983.51)

**§17-2031-95 Review and screening of applications.**

(a) Applications shall be time and date stamped and assigned a number.

(b) Applications shall be screened for completeness, i.e., submission of information required under sections 17-2031-92 and 94. Applications that do not meet the application submission deadline or information requirements shall be rejected by the executive director.

(c) The authority shall review each application and any additional information submitted by the applicant or obtained from other sources in its review of each application. Additional information or data may be requested and the authority may independently verify any or all information supplied by the applicant. [Eff \_\_\_\_\_] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §983.51)

**§17-2031-96 Selection of project applications.**

(a) Based upon the review of the applications,

documents, and any additional information submitted by the applicants or obtained from other sources by the authority, the executive director shall prepare a recommendation to the board to attach Section 8 voucher assistance to specific projects.

(b) The board shall review the recommendation of the executive director and, if the board determines that the project-basing of Section 8 voucher assistance for a specific project is consistent with the public housing agency plan and the goals of deconcentrating poverty and expanding housing and economic opportunities, it may approve the application and authorize the executive director to allocate an appropriate amount of Section 8 voucher funding, subject to such terms and conditions as it deems necessary or appropriate to assure compliance with 24 C.F.R. part 983, as it existed on October 20, 2022 and these rules.

(c) Upon the board's approval to allocate Section 8 voucher funding to an applicant, the executive director shall notify the applicant of the allocation. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §983.52)

**§17-2031-97 Agreement to enter into housing assistance contract.** (a) The authority shall enter into an agreement with the selected project owner prior to the start of any new construction or rehabilitation.

(b) After the agreement has been executed, the owner shall promptly proceed with the construction or rehabilitation work as provided for in the agreement. If the work is not promptly commenced, diligently continued, or completed, the authority may terminate the agreement or take other appropriate action. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §983.101; Pub. Law 106-377, 114 Stat. 1441)

**§17-2031-98 Eligibility and selection of**

**tenants.** (a) Tenants in a section 8 project-based voucher assisted dwelling unit shall meet the eligibility criteria set forth in section 17-2031-22.

(b) The authority may use the section 8 tenant-based waiting list as set forth in section 17-2031-26. [Eff \_\_\_\_\_] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §983.203)

**§17-2031-99 Dwelling unit cap on project-based dwelling units by project**

(a) The authority may not select a proposal to provide project-based voucher assistance for dwelling units in a project or enter into an agreement or HAP contract to provide PBV assistance for dwelling units in a project, if the total number of dwelling units in the project that will receive PBV assistance during the term of the PBV HAP is more than 25 percent of the number of dwelling units, either assisted or unassisted, in the project.

(b) Exceptions to the 25 percent cap per project are permitted, where PBV dwelling units are not counted against the cap, when:

- (1) The dwelling units are in a single-family project, comprising one to four dwelling units; or
- (2) The dwelling units are excepted dwelling units in a multifamily project because they are made available for elderly or disabled families receiving supportive services, also known as qualifying families.

(c) The approved services are not required to be provide at or near the project.

(d) To qualify, a family must have at least one member receiving at least one qualifying supportive service. The authority shall not require participation in medical or disability-related services other than drug and alcohol treatment in the case of current abusers as a condition of living in an excepted dwelling unit, although such services may be offered. The following services may be offered to

families for a project to qualify for the 25 percent cap, depending on the needs of the family:

- (1) Palolo Valley Homes, Ohana Learning Center, 2170 Ahe Street, Honolulu, HI 96816; Owner: Mutual Housing Association of Hawaii:
  - (A) Computer access for the community to use for job search, printing documents, internet access, etc;
  - (B) University student assist children with homework;
  - (C) Resident services department provides referrals to available services in the community;
  - (D) Music lab;
  - (E) Reading room;
  - (F) Demonstration kitchen for children's cooking lessons;
  - (G) Nurses station/health room;
  - (H) HCAP education programs;
  - (I) Iolani School programs, STEM, Kai program; and
  - (J) Foodbank;
- (2) Towers of Kuhio Park, 1475 Linapuni Street #100, Honolulu, HI 96819; Owner: Michaels Development Company:
  - (A) Early childcare development preschools;
  - (B) Case management and referral services;
  - (C) Food bank and food programs;
  - (D) Out of school teen programming;
  - (E) Mental and behavioral health;
  - (F) Domestic violence prevention and intervention;
  - (G) Child abuse prevention and intervention;
  - (H) Child sex trafficking intervention;
  - (I) Community computer and resource centers;
  - (J) Educational and vocational financial aid;
  - (K) Parenting training;
  - (L) Job training and placement;
  - (M) Emergency financial support;

- (N) Financial literacy;
- (O) Housing navigation;
- (P) Gang and bullying prevention;
- (Q) Interpretation services;
- (R) Skills training and makers space;
- (S) Substance abuses referral services;
- (T) Community building and family engagement;
- (U) Acculturation services;
- (V) Walking school bus; and
- (W) English as a second language.

(e) A dwelling unit shall continue to count as an excepted dwelling unit for as long as the family resides in the dwelling unit, if a family at the time of initial tenancy is receiving, and while the resident of an excepted dwelling unit has received, FSS supportive services or any other supportive services as defined by the rules above, and successfully completes the FSS contract of participation or the supportive services requirement.

(f) On an annual basis, the authority will monitor all families receiving services to determine if such families will be allowed to continue receiving PBV assistance.

- (1) The authority will require families receiving services to provide written evidence from each provider confirming that the family has received all of the required services in the statement of family obligations or FSS contract of family participation; or
- (2) Alternatively, each service provider will submit a report to the management of the property, identifying the services received by each family. The property owner will submit the report to the authority, who will verify that all services required in the statement of family obligation or FSS contract of participation received.

[Eff \_\_\_\_\_] (Auth: HRS §356D-13)  
(Imp: HRS §356D-13; 24 C.F.R. §983.56)

**§17-2031-100 Rental assistance demonstration.**

Where the authority chooses to convert public housing projects to Rental Assistance Demonstration (RAD) Section 8 Project Based Voucher (PBV) the provisions of this section and its subsections will apply. In the event of a conflict between applicable RAD notices and guidance issued by HUD and the following provisions, applicable RAD notices and guidance apply. When future notices or amendments are issued by HUD and create a conflict, the authority shall amend its rules to comply with the new HUD requirements. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; HUD Notice H-2019-09 PIH-2019-23(HA) issued 9/5/2019 (RAD Notice))

**§17-2031-101 Term of the RAD PBV contract.**

(a) The initial contract will be for a period of at least fifteen years. The initial contract may be up to twenty years upon request of the project owner and with approval by the authority.

(b) Upon expiration of the initial contract, the authority must offer, and the project owner must accept, renewal of the contract subject to the terms and conditions applicable at the time of renewal and the availability of appropriated funds and the owner's satisfactory RAD PBV program performance, for such periods as the authority deems appropriate and in accordance with HUD instructions. [Eff

] (Auth: HRS §356D-13) (Imp: HRS §356D-13; HUD Notice H-2019-09 PIH-2019-23(HA) issued 9/5/2019 (RAD Notice) section 1.6.B.1-2)

**§17-2031-102 Contract rents.**

The initial rent to project owner will be provided by HUD based on the level of public housing capital and operating subsidies and tenant rents, and shall be further constrained by the reasonable rent and as otherwise provided in RAD program requirements.

§17-2031-102

[Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; HUD Notice H-2019-09 PIH-2019-23(HA) issued 9/5/2019 (RAD Notice) section 1.6.B.5)

**§17-2031-103 Re-determining rent to owner - rent reasonableness.** (a) Contract rents will be adjusted only by HUD's OCAF at each anniversary of the HAP contract, subject to the availability of appropriations for each year of the contract term.

(1) OCAF means "an operating cost adjustment factor established by HUD that is applied to the current contract rent, less the portion of the rent paid for debt service".

(b) The rent to project owner may at no time exceed the reasonable rent charged for comparable unassisted dwelling units in the private market, as determined by the authority in accordance with 24 CFR 983.303, as it existed on October 20, 2022. However, the rent to project owner shall not be reduced below the initial rent to owner for dwelling units under the initial HAP contract.

[Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; HUD Notice H-2019-09 PIH-2019-23(HA) issued 9/5/2019 (RAD Notice) section 1.6.B.6)

**§17-2031-104 Conversion from public housing to RAD.** (a) At conversion, current public housing households are not subject to rescreening, income eligibility, or income targeting. These households will be grandfathered for conditions that occurred prior to conversion, but will be subject to any ongoing eligibility requirements for actions that occur after conversion.

(b) Once any such household moves out, the dwelling unit must be leased to an eligible family. To facilitate the right to return to the assisted property, this provision shall apply to current public housing residents of the converting project that will

reside in non-RAD PBV dwelling units placed on a project site that contains RAD PBV dwelling units or PBRA dwelling units. Such families and such contract dwelling units otherwise will be subject to all requirements of the PBV program, except as may be modified by any RAD requirements.

(c) Households at project sites converting to RAD who were not public housing residents that will reside in non-RAD PBV dwelling units also will be subject to any applicable RAD requirements, to the extent such requirements modify otherwise applicable PBV requirements. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; HUD Notice H-2019-09 PIH-2019-23(HA) issued 9/5/2019 (RAD Notice) section 1.6. C.1)

**§17-2031-105 Phase-in of tenant rent increases.**

(a) If a tenant's monthly rent increases by more than the greater of ten percent or \$25 purely as a result of conversion, the rent increase will be phased in over 3 or 5 years.

(b) For each RAD transaction, the authority shall specify prior to conversion whether the length of the tenant rent phase-in will be 3 or 5 years, or a combination depending on circumstances. The authority will communicate the policy in writing to affected residents.

(c) The public housing dwelling units at Kuhio Park Towers, owned and managed by project owner KPT Towers 1, LLC, located at 1475 Linapuni Street #100, Honolulu, HI 96819, are converting to RAD. Upon conversion to RAD, if the tenant's monthly rent increases by more than the greater of ten percent or \$25 purely as a result of conversion, the rent increase shall be phased in over three (3) years. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; HUD Notice H-2019-09 PIH-2019-23(HA) issued 9/5/2019 (RAD Notice) section 1.6. C.3)



**§17-2031-106 Termination notification requirements.** (a) In addition to the regulations at 24 CFR 983.257, as it existed on October 20, 2022, related to project owner termination of tenancy and eviction, the termination procedure for RAD conversions to PBV will require adequate written notice of termination of the lease which shall be:

- (1) A reasonable period of time, but not to exceed 30 days:
  - (A) If the health or safety of other tenants, project owner employees, or persons residing in the immediate vicinity of the premises is threatened; or
  - (B) In the event of any drug-related or violent criminal activity or any felony conviction;
- (2) Not less than fourteen days in the case of nonpayment of rent;
- (3) Not less than thirty days in any other case, except that if a State or local law provides for a shorter period of time, such shorter period shall apply.

[Eff ] (Auth: HRS §356D-13)  
(Imp: HRS §356D-13; HUD Notice H-2019-09  
PIH-2019-23(HA) issued 9/5/2019 (RAD Notice)  
section 1.6. C.6)

**§17-2031-107 Grievance process.** (a) For the termination of assistance and several other authority determinations, the PBV program rules require the authority to provide an opportunity for an informal hearing, as outlined in 24 CFR 982.555, as it existed on October 20, 2022. RAD specifies alternative requirements for 24 CFR 982.555(b), as it existed on October 20, 2022, in part, to require that:

- (1) In addition to reasons that require an opportunity for an informal hearing given in 24 CFR 982.555(a)(1)(i)-(vi), as it existed on October 20, 2022, an opportunity for an

informal hearing must be given to families for any dispute that a family may have with respect to a project owner action in accordance with the family's lease or the authority in accordance with RAD PBV requirements that adversely affect the family's rights, obligations, welfare, or status.

- (A) For any hearing required under 24 CFR 982.555(a)(1)(i)-(vi), as it existed on October 20, 2022, the authority will perform the hearing, as is the current standard in the program. The hearing officer must be selected in accordance with 24 CFR 982.555(e)(4)(i), as it existed on October 20, 2022.
  - (B) For any additional hearings required under RAD, the project owner will perform the hearing.
- (1) There is no right to an informal hearing for class grievances or to disputes between families not involving the project owner or the authority.
  - (2) The project owner gives families notice of their ability to request an informal hearing as outlined in 24 CFR 982.555(c)(1), as it existed on October 20, 2022, for informal hearings that will address circumstances that fall outside of the scope of 24 CFR 982.555(a)(1)(i)-(vi), as it existed on October 20, 2022.
  - (3) The project owner provides opportunity for an informal hearing before an eviction.  
 [Eff ] (Auth: HRS §356D-13)  
 (Imp: HRS §356D-13; HUD Notice H-2019-09  
 PIH-2019-23(HA) issued 9/5/2019 (RAD Notice)  
 section 1.6. C.6)

**§17-2031-108 Establishment of waiting list.**

(a) For public housing projects converting to Section 8 assistance through the RAD program, there shall be a preference established on the RAD waiting list for applicants currently on the public housing waiting list wishing to be added to the RAD or PBV site based waiting list for the converting dwelling units.

(b) Individuals on the public housing waiting list who wish to be added to the RAD waiting list shall maintain their original public housing application date. The authority considers this the best means to transition applicants from the current public housing waiting list as provided by RAD Notice 2019-23 as amended or superseded from time to time.

(c) At conversion, the authority will inform applicants on the applicable geographic or site based public housing waiting list via electronic or written notice of the availability of the PBV waiting list. The authority will inform individuals of the opening of the waiting list consistent with 24 CFR 983.251, as it existed on October 20, 2022, and these rules.

(d) The authority shall maintain its waiting list in accordance with all applicable civil rights and fair housing laws and regulations. [Eff

] (Auth: HRS §356D-13) (Imp: HRS §356D-13; HUD Notice H-2019-09 PIH-2019-23(HA) issued 9/5/2019 (RAD Notice) section 1.6. D.4)

**§17-2031-109 Resident participation and funding.**

For public housing conversions to long-term, project-based Section 8 voucher rental assistance contracts, including RAD, residents will have the right to establish and operate a resident organization for the purpose of addressing issues related to their living environment and be eligible for resident participation funding. Project owners must provide \$25 per occupied replacement PBV dwelling unit annually for resident participation, of which at least \$15 per occupied

dwelling unit shall be provided to the legitimate resident organization at the property.  
[Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; HUD Notice H-2019-09 PIH-2019-23(HA) issued 9/5/2019 (RAD Notice) section 1.6. C.5)

**§17-2031-110 Voucher inventory turnover cap.**  
The authority shall not have a voucher turnover cap.  
[Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; HUD Notice H-2019-09 PIH-2019-23(HA) issued 9/5/2019 (RAD Notice) section 1.6. D.8)

SUBCHAPTER 9

MISCELLANEOUS PROVISIONS

**§17-2031-201 Severability.** If any part, section, sentence, clause, or phrase of this chapter, of its application to any person or transaction or other circumstances is for any reason held to be unconstitutional or invalid, the remaining parts, sections, sentences, clauses, and phrases of this chapter, or the application of this chapter to other persons or transactions or circumstances shall not be affected. [Eff: \_\_\_\_\_] (Auth: HRS §356D-13) (Imp: HRS §356D-13)

**§17-2031-202 Number.** The use of all words used in the singular shall extend to and include the plural. [Eff: \_\_\_\_\_] (Auth: HRS §356D-13) (Imp: HRS §1-17)

DEPARTMENT OF HUMAN SERVICES

The repeal of Chapter 15-185, Hawaii Administrative Rules, and the adoption of Chapter 17-2031, Hawaii Administrative Rules, on the Summary page dated \_\_\_\_\_, was adopted on \_\_\_\_\_, following a public hearing held on \_\_\_\_\_, after public notice was given in the Honolulu Star-Advertiser, Hawaii Tribune Herald, West Hawaii Today, Maui News, and The Garden Island on \_\_\_\_\_.

The repeal and adoption shall take effect ten days after filing with the Office of the Lieutenant Governor.

\_\_\_\_\_  
Robert J. Hall, Chairperson  
Board of Directors  
Hawaii Public Housing  
Authority

APPROVED AS TO FORM:

\_\_\_\_\_  
Deputy Attorney General

\_\_\_\_\_  
David Y. Ige  
Governor  
State of Hawaii

Date:

\_\_\_\_\_  
Filed



Displaying title 24, up to date as of 10/05/2022. Title 24 was last amended 9/26/2022.

## Title 24 - Housing and Urban Development

### Subtitle A - Office of the Secretary, Department of Housing and Urban Development

#### Part 5 - General HUD Program Requirements; Waivers

##### Subpart F

#### - Section 8 and Public Housing, and Other HUD Assisted Housing Serving Persons with Disabilities: Family Income and Family Payment; Occupancy Requirements for Section 8 Project-Based Assistance Family Income

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##### EDITORIAL NOTE ON PART 5

**Editorial Note:** Nomenclature changes to part 5 appear at 65 FR 16715, Mar. 29, 2000.

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### § 5.611 Adjusted income.

Adjusted income means annual income (as determined by the responsible entity, defined in § 5.100 and § 5.603) of the members of the family residing or intending to reside in the dwelling unit, after making the following deductions:

- (a) **Mandatory deductions.** In determining adjusted income, the responsible entity must deduct the following amounts from annual income:
  - (1) \$480 for each dependent;
  - (2) \$400 for any elderly family or disabled family;
  - (3) The sum of the following, to the extent the sum exceeds three percent of annual income:
    - (i) Unreimbursed medical expenses of any elderly family or disabled family; and
    - (ii) Unreimbursed reasonable attendant care and auxiliary apparatus expenses for each member of the family who is a person with disabilities, to the extent necessary to enable any member of the family (including the member who is a person with disabilities) to be employed. This deduction may not exceed the earned income received by family members who are 18 years of age or older and who are able to work because of such attendant care or auxiliary apparatus; and
  - (4) Any reasonable child care expenses necessary to enable a member of the family to be employed or to further his or her education.
- (b) **Additional deductions.**
  - (1) For public housing, a PHA may adopt additional deductions from annual income. The PHA must establish a written policy for such deductions.
  - (2) For the HUD programs listed in § 5.601(d), the responsible entity shall calculate such other deductions as required and permitted by the applicable program regulations.

[66 FR 6223, Jan. 19, 2001]



Displaying title 24, up to date as of 10/05/2022. Title 24 was last amended 9/26/2022.

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##### EDITORIAL NOTE ON PART 5

**Editorial Note:** Nomenclature changes to part 5 appear at 65 FR 16715, Mar. 29, 2000.

### § 5.609 Annual income.

(a) *Annual income* means all amounts, monetary or not, which:

- (1) Go to, or on behalf of, the family head or spouse (even if temporarily absent) or to any other family member; or
- (2) Are anticipated to be received from a source outside the family during the 12-month period following admission or annual reexamination effective date; and
- (3) Which are not specifically excluded in paragraph (c) of this section.
- (4) Annual income also means amounts derived (during the 12-month period) from assets to which any member of the family has access.

§ 5.609(b) ) Annual income includes, but is not limited to:

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- (1) The full amount, before any payroll deductions, of wages and salaries, overtime pay, commissions, fees, tips and bonuses, and other compensation for personal services;
- (2) The net income from the operation of a business or profession. Expenditures for business expansion or amortization of capital indebtedness shall not be used as deductions in determining net income. An allowance for depreciation of assets used in a business or profession may be deducted, based on straight line depreciation, as provided in Internal Revenue Service regulations. Any withdrawal of cash or assets from the operation of a business or profession will be included in income, except to the extent the withdrawal is reimbursement of cash or assets invested in the operation by the family;
- (3) Interest, dividends, and other net income of any kind from real or personal property. Expenditures for amortization of capital indebtedness shall not be used as deductions in determining net income. An allowance for depreciation is permitted only as authorized in paragraph (b)(2) of this section. Any withdrawal of cash or assets from an investment will be included in income, except to the extent the withdrawal is reimbursement of cash or assets invested by the family. Where the family has net family assets in excess of \$5,000, annual income shall include the greater of the actual income derived from all net family assets or a percentage of the value of such assets based on the current passbook savings rate, as determined by HUD;
- (4) The full amount of periodic amounts received from Social Security, annuities, insurance policies, retirement funds, pensions, disability or death benefits, and other similar types of periodic receipts, including a lump-sum amount or prospective monthly amounts for the delayed start of a periodic amount (except as provided in paragraph (c)(14) of this section);
- (5) Payments in lieu of earnings, such as unemployment and disability compensation, worker's compensation and severance pay (except as provided in paragraph (c)(3) of this section);
- (6) *Welfare assistance payments.*
  - (i) Welfare assistance payments made under the Temporary Assistance for Needy Families (TANF) program are included in annual income only to the extent such payments:



- (A) Qualify as assistance under the TANF program definition at 45 CFR 260.31; and
  - (B) Are not otherwise excluded under paragraph (c) of this section.
- (ii) If the welfare assistance payment includes an amount specifically designated for shelter and utilities that is subject to adjustment by the welfare assistance agency in accordance with the actual cost of shelter and utilities, the amount of welfare assistance income to be included as income shall consist of:
- (A) The amount of the allowance or grant exclusive of the amount specifically designated for shelter or utilities; plus
  - (B) The maximum amount that the welfare assistance agency could in fact allow the family for shelter and utilities. If the family's welfare assistance is ratably reduced from the standard of need by applying a percentage, the amount calculated under this paragraph shall be the amount resulting from one application of the percentage.
- (7) Periodic and determinable allowances, such as alimony and child support payments, and regular contributions or gifts received from organizations or from persons not residing in the dwelling;
- (8) All regular pay, special pay and allowances of a member of the Armed Forces (except as provided in paragraph (c)(7) of this section).
- (9) For section 8 programs only and as provided in 24 CFR 5.612, any financial assistance, in excess of amounts received for tuition and any other required fees and charges, that an individual receives under the Higher Education Act of 1965 (20 U.S.C. 1001 *et seq.*), from private sources, or from an institution of higher education (as defined under the Higher Education Act of 1965 (20 U.S.C. 1002)), shall be considered income to that individual, except that financial assistance described in this paragraph is not considered annual income for persons over the age of 23 with dependent children. For purposes of this paragraph, "financial assistance" does not include loan proceeds for the purpose of determining income.
- (c) Annual income does not include the following:
- (1) Income from employment of children (including foster children) under the age of 18 years;
  - (2) Payments received for the care of foster children or foster adults (usually persons with disabilities, unrelated to the tenant family, who are unable to live alone);
  - (3) Lump-sum additions to family assets, such as inheritances, insurance payments (including payments under health and accident insurance and worker's compensation), capital gains and settlement for personal or property losses (except as provided in paragraph (b)(5) of this section);
  - (4) Amounts received by the family that are specifically for, or in reimbursement of, the cost of medical expenses for any family member;
  - (5) Income of a live-in aide, as defined in § 5.403;
  - (6) Subject to paragraph (b)(9) of this section, the full amount of student financial assistance paid directly to the student or to the educational institution;
  - (7) The special pay to a family member serving in the Armed Forces who is exposed to hostile fire;
  - (8)
    - (i) Amounts received under training programs funded by HUD;
    - (ii) Amounts received by a person with a disability that are disregarded for a limited time for purposes of Supplemental Security Income eligibility and benefits because they are set aside for use under a Plan to Attain Self-Sufficiency (PASS);
    - (iii) Amounts received by a participant in other publicly assisted programs which are specifically for or in reimbursement of out-of-pocket expenses incurred (special equipment, clothing, transportation, child care, etc.) and which are made solely to allow participation in a specific program;
    - (iv) Amounts received under a resident service stipend. A resident service stipend is a modest amount (not to exceed \$200 per month) received by a resident for performing a service for the PHA or owner, on a part-time basis, that enhances the quality of life in the development. Such services may include, but are not limited to, fire patrol, hall

monitoring, lawn maintenance, resident initiatives coordination, and serving as a member of the PHA's governing board. No resident may receive more than one such stipend during the same period of time;

- (v) Incremental earnings and benefits resulting to any family member from participation in qualifying State or local employment training programs (including training programs not affiliated with a local government) and training of a family member as resident management staff. Amounts excluded by this provision must be received under employment training programs with clearly defined goals and objectives, and are excluded only for the period during which the family member participates in the employment training program;
  - (9) Temporary, nonrecurring or sporadic income (including gifts);
  - (10) Reparation payments paid by a foreign government pursuant to claims filed under the laws of that government by persons who were persecuted during the Nazi era;
  - (11) Earnings in excess of \$480 for each full-time student 18 years old or older (excluding the head of household and spouse);
  - (12) Adoption assistance payments in excess of \$480 per adopted child;
  - (13) [Reserved]
  - (14) Deferred periodic amounts from supplemental security income and Social Security benefits that are received in a lump sum amount or in prospective monthly amounts, or any deferred Department of Veterans Affairs disability benefits that are received in a lump sum amount or in prospective monthly amounts.
  - (15) Amounts received by the family in the form of refunds or rebates under State or local law for property taxes paid on the dwelling unit;
  - (16) Amounts paid by a State agency to a family with a member who has a developmental disability and is living at home to offset the cost of services and equipment needed to keep the developmentally disabled family member at home; or
  - (17) Amounts specifically excluded by any other Federal statute from consideration as income for purposes of determining eligibility or benefits under a category of assistance programs that includes assistance under any program to which the exclusions set forth in 24 CFR 5.609(c) apply. A notice will be published in the *FEDERAL REGISTER* and distributed to PHAs and housing owners identifying the benefits that qualify for this exclusion. Updates will be published and distributed when necessary.
- (d) **Annualization of income.** If it is not feasible to anticipate a level of income over a 12-month period (e.g., seasonal or cyclic income), or the PHA believes that past income is the best available indicator of expected future income, the PHA may annualize the income anticipated for a shorter period, subject to a redetermination at the end of the shorter period.

[61 FR 54498, Oct. 18, 1996, as amended at 65 FR 16716, Mar. 29, 2000; 67 FR 47432, July 18, 2002; 70 FR 77743, Dec. 30, 2005; 79 FR 36164, June 25, 2014; 81 FR 12370, Mar. 8, 2016]

## INCOME LIMITS

Income Limits for Admission  
(Effective April 18, 2022)

|                                    | 1<br>Person | 2<br>Persons | 3<br>Persons | 4<br>Persons | 5<br>Persons | 6<br>Persons | 7<br>Persons | 8<br>Persons |
|------------------------------------|-------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| City &<br>County<br>of<br>Honolulu | \$45,750    | \$52,250     | \$54,800     | \$65,300     | \$70,550     | \$75,750     | \$81,000     | \$86,200     |
| County<br>Of<br>Hawaii             | \$33,350    | \$38,100     | \$42,850     | \$47,600     | \$51,450     | \$55,250     | \$59,050     | \$62,850     |
| County<br>of Kauai                 | \$39,900    | \$45,600     | \$51,300     | \$57,000     | \$61,600     | \$66,150     | \$70,700     | \$75,250     |
| County<br>of Maui                  | \$39,950    | \$45,650     | \$51,350     | \$57,050     | \$61,650     | \$66,200     | \$70,750     | \$75,350     |

## EXHIBIT D

### "Subsidy Standards"

In determining the appropriate dwelling unit size to be entered on the voucher, the following criteria shall be applied:

1. The smallest dwelling unit suitable for the family size shall be assigned.
2. Each bedroom shall be occupied by at least one person and no more than two persons shall be assigned to a bedroom.
3. Every member of the family, regardless of age, shall be counted as a person; except that a child not yet born by a pregnant household member shall not be counted as a person in determining dwelling unit size.
4. Persons of the opposite sex (other than spouses) over the age of three, and unrelated adults shall be allocated separate bedrooms;
5. A foster child shall be included in determining dwelling unit size only if the child shall remain in the dwelling unit for more than six months.
6. A live-in aide shall be provided a separate bedroom; however, no additional bedrooms shall be provided for a live-in aide's family.
7. Exceptions are allowed for verifiable health and safety reasons.

Application of the above criteria results in the following subsidy standards:

| Voucher<br>Size | Minimum Number<br>of Persons in<br>Household | Maximum Number<br>of Persons in<br>Household |
|-----------------|----------------------------------------------|----------------------------------------------|
| 0               | 1                                            | 1                                            |
| 1               | 1*                                           | 2                                            |
| 2               | 2                                            | 4                                            |
| 3               | 4                                            | 6                                            |
| 4               | 6                                            | 8                                            |
| 5               | 8                                            | 10                                           |

## EXHIBIT D

\*A voucher for a 1 bedroom dwelling unit would be issued to a single person household only when there are no (0/studio) bedroom dwellings available in the area.

In the inspection of a dwelling unit before leasing, the dwelling unit must meet the Occupancy Standards set by the respective county. See Exhibit E, "HPHA OCCUPANCY STANDARDS", which shall be incorporated as part of this subsection.



- B. Efficiency Dwelling Units (studios)  
 Measure living room area (do not include kitchen area, but may include dining space if in one area)
- |                             |                          |
|-----------------------------|--------------------------|
| 1st 70 sq. ft.              | 2 persons                |
| each additional 100 sq. ft. | 1 person per 100 sq. ft. |

### III. County of Kauai

- A. One (1) or more bedrooms
1. Living Room - Cannot be used as a sleeping area
  2. Bedroom #1  
 Measure bedroom area (do not include closet, halls, bathrooms)
- |                            |                         |
|----------------------------|-------------------------|
| 1st 120 sq. ft.            | 2 persons               |
| each additional 50 sq. ft. | 1 person per 50 sq. ft. |
3. Bedroom #2  
 Measure bedroom area (do not include closet, halls, bathrooms)
- |                            |                         |
|----------------------------|-------------------------|
| 1st 70 sq. ft.             | 2 persons               |
| each additional 50 sq. ft. | 1 person per 50 sq. ft. |
4. Bedroom #3 and on  
 Measure bedroom area (do not include closet, halls, bathrooms)
- |                            |                         |
|----------------------------|-------------------------|
| 1st 80 sq. ft.             | 2 persons               |
| each additional 50 sq. ft. | 1 person per 50 sq. ft. |
- B. Efficiency Dwelling Units (studios)  
 Measure living room area (do not include kitchen area, but may include dining space if in one area)
- |                             |                          |
|-----------------------------|--------------------------|
| 1st 70 sq. ft.              | 2 persons                |
| each additional 100 sq. ft. | 1 person per 100 sq. ft. |

## IV. County of Hawaii

- A. One (1) or more bedrooms (Housing Code states that overcrowding is prohibited)
1. Living Room - (must be 120 sq. ft. minimum)
  2. Bedroom #1 - (must be 120 sq. ft. minimum)
  3. Bedroom #2 - (must be 80 sq. ft. minimum)
- B. Efficiency Dwelling Units (studios)  
Measure living room area (do not include kitchen area, but may include dining space if in one area)
- |                             |                          |
|-----------------------------|--------------------------|
| 1st 70 sq. ft.              | 2 persons                |
| each additional 100 sq. ft. | 1 person per 100 sq. ft. |



## EXHIBIT F

## Utility Allowance Schedule

See Public Reporting and Instructions on back.

U.S Department of Housing and

Urban Development

Office of Public and Indian Housing

OMB Approval No. 2577-0169

exp. 7/31/2022

The following allowances are used to determine the total cost of tenant-furnished utilities and appliances.

| Locality/PHA<br><b>Hawaii Public Housing Authority</b>                                                       |                      |       | Unit Type<br><b>Apartment/Duplex/Townhome</b> |       |                           |       | Date (mm/dd/yyyy)<br><b>8/1/2022</b> |  |
|--------------------------------------------------------------------------------------------------------------|----------------------|-------|-----------------------------------------------|-------|---------------------------|-------|--------------------------------------|--|
| Utility or Service                                                                                           | Fuel Type            | 0 BR  | 1 BR                                          | 2 BR  | 3 BR                      | 4 BR  | 5 BR                                 |  |
| Heating                                                                                                      | Natural Gas          |       |                                               |       |                           |       |                                      |  |
|                                                                                                              | Bottled Gas          |       |                                               |       |                           |       |                                      |  |
|                                                                                                              | Electric             |       |                                               |       |                           |       |                                      |  |
|                                                                                                              | Electric – Heat Pump |       |                                               |       |                           |       |                                      |  |
|                                                                                                              | Fuel Oil             |       |                                               |       |                           |       |                                      |  |
|                                                                                                              | Other                |       |                                               |       |                           |       |                                      |  |
| Cooking                                                                                                      | Natural Gas          | \$16  | \$19                                          | \$28  | \$37                      | \$45  | \$54                                 |  |
|                                                                                                              | Bottled Gas          |       |                                               |       |                           |       |                                      |  |
|                                                                                                              | Electric             | \$27  | \$32                                          | \$47  | \$62                      | \$77  | \$91                                 |  |
|                                                                                                              | Other                |       |                                               |       |                           |       |                                      |  |
| Other Electric                                                                                               |                      | \$120 | \$141                                         | \$197 | \$252                     | \$308 | \$365                                |  |
| Air Conditioning                                                                                             |                      |       |                                               |       |                           |       |                                      |  |
| Water Heating                                                                                                | Natural Gas          | \$38  | \$45                                          | \$65  | \$85                      | \$105 | \$125                                |  |
|                                                                                                              | Bottled Gas          |       |                                               |       |                           |       |                                      |  |
|                                                                                                              | Electric             | \$68  | \$81                                          | \$104 | \$127                     | \$149 | \$172                                |  |
|                                                                                                              | Fuel Oil             |       |                                               |       |                           |       |                                      |  |
| Water                                                                                                        |                      | \$45  | \$49                                          | \$77  | \$118                     | \$160 | \$214                                |  |
| Sewer                                                                                                        |                      | \$97  | \$101                                         | \$125 | \$160                     | \$196 | \$231                                |  |
| Trash Collection                                                                                             |                      |       |                                               |       |                           |       |                                      |  |
| Other – specify                                                                                              |                      |       |                                               |       |                           |       |                                      |  |
| Range/Microwave                                                                                              |                      | \$20  | \$20                                          | \$20  | \$20                      | \$20  | \$20                                 |  |
| Refrigerator                                                                                                 |                      | \$21  | \$21                                          | \$21  | \$21                      | \$21  | \$21                                 |  |
| <b>Actual Family Allowances</b> – May be used by the family to compute allowance while searching for a unit. |                      |       |                                               |       | Utility/Service/Appliance |       | Allowance                            |  |
|                                                                                                              |                      |       |                                               |       | Heating                   |       |                                      |  |
| Head of Household Name                                                                                       |                      |       |                                               |       | Cooking                   |       |                                      |  |
|                                                                                                              |                      |       |                                               |       | Other Electric            |       |                                      |  |
|                                                                                                              |                      |       |                                               |       | Air Conditioning          |       |                                      |  |
|                                                                                                              |                      |       |                                               |       | Water Heating             |       |                                      |  |
| Unit Address                                                                                                 |                      |       |                                               |       | Water                     |       |                                      |  |
|                                                                                                              |                      |       |                                               |       | Sewer                     |       |                                      |  |
|                                                                                                              |                      |       |                                               |       | Trash Collection          |       |                                      |  |
|                                                                                                              |                      |       |                                               |       | Other                     |       |                                      |  |
|                                                                                                              |                      |       |                                               |       | Range/Microwave           |       |                                      |  |
| Number of Bedrooms                                                                                           |                      |       |                                               |       | Refrigerator              |       |                                      |  |
|                                                                                                              |                      |       |                                               |       | Total                     |       |                                      |  |

The following allowances are used to determine the total cost of tenant-furnished utilities and appliances.

| Locality/PHA<br><b>Hawaii Public Housing Authority</b>                                                       |                      | Unit Type<br><b>Single Family</b> |       |       |                           |       | Date (mm/dd/yyyy)<br><b>8/1/2022</b> |
|--------------------------------------------------------------------------------------------------------------|----------------------|-----------------------------------|-------|-------|---------------------------|-------|--------------------------------------|
| Utility or Service                                                                                           | Fuel Type            | 0 BR                              | 1 BR  | 2 BR  | 3 BR                      | 4 BR  | 5 BR                                 |
| Heating                                                                                                      | Natural Gas          |                                   |       |       |                           |       |                                      |
|                                                                                                              | Bottled Gas          |                                   |       |       |                           |       |                                      |
|                                                                                                              | Electric             |                                   |       |       |                           |       |                                      |
|                                                                                                              | Electric – Heat Pump |                                   |       |       |                           |       |                                      |
|                                                                                                              | Fuel Oil             |                                   |       |       |                           |       |                                      |
|                                                                                                              | Other                |                                   |       |       |                           |       |                                      |
| Cooking                                                                                                      | Natural Gas          | \$16                              | \$19  | \$28  | \$37                      | \$45  | \$54                                 |
|                                                                                                              | Bottled Gas          |                                   |       |       |                           |       |                                      |
|                                                                                                              | Electric             | \$27                              | \$32  | \$47  | \$62                      | \$77  | \$91                                 |
|                                                                                                              | Other                |                                   |       |       |                           |       |                                      |
| Other Electric                                                                                               |                      | \$152                             | \$179 | \$249 | \$320                     | \$392 | \$463                                |
| Air Conditioning                                                                                             |                      |                                   |       |       |                           |       |                                      |
| Water Heating                                                                                                | Natural Gas          | \$41                              | \$48  | \$70  | \$91                      | \$113 | \$134                                |
|                                                                                                              | Bottled Gas          |                                   |       |       |                           |       |                                      |
|                                                                                                              | Electric             | \$73                              | \$87  | \$111 | \$136                     | \$160 | \$184                                |
|                                                                                                              | Fuel Oil             |                                   |       |       |                           |       |                                      |
| Water                                                                                                        |                      | \$45                              | \$49  | \$77  | \$118                     | \$160 | \$214                                |
| Sewer                                                                                                        |                      | \$97                              | \$101 | \$125 | \$160                     | \$196 | \$231                                |
| Trash Collection                                                                                             |                      |                                   |       |       |                           |       |                                      |
| Other – specify                                                                                              |                      |                                   |       |       |                           |       |                                      |
| Range/Microwave                                                                                              |                      | \$20                              | \$20  | \$20  | \$20                      | \$20  | \$20                                 |
| Refrigerator                                                                                                 |                      | \$21                              | \$21  | \$21  | \$21                      | \$21  | \$21                                 |
| <b>Actual Family Allowances</b> – May be used by the family to compute allowance while searching for a unit. |                      |                                   |       |       | Utility/Service/Appliance |       | Allowance                            |
| Head of Household Name                                                                                       |                      |                                   |       |       | Heating                   |       |                                      |
|                                                                                                              |                      |                                   |       |       | Cooking                   |       |                                      |
|                                                                                                              |                      |                                   |       |       | Other Electric            |       |                                      |
|                                                                                                              |                      |                                   |       |       | Air Conditioning          |       |                                      |
| Unit Address                                                                                                 |                      |                                   |       |       | Water Heating             |       |                                      |
|                                                                                                              |                      |                                   |       |       | Water                     |       |                                      |
|                                                                                                              |                      |                                   |       |       | Sewer                     |       |                                      |
|                                                                                                              |                      |                                   |       |       | Trash Collection          |       |                                      |
|                                                                                                              |                      |                                   |       |       | Other                     |       |                                      |
| Number of Bedrooms                                                                                           |                      |                                   |       |       | Range/Microwave           |       |                                      |
|                                                                                                              |                      |                                   |       |       | Refrigerator              |       |                                      |
|                                                                                                              |                      |                                   |       |       | Total                     |       |                                      |

**42 USC 13661: Screening of applicants for federally assisted housing**

Text contains those laws in effect on October 6, 2022

**From Title 42-THE PUBLIC HEALTH AND WELFARE**CHAPTER 135-RESIDENCY AND SERVICE REQUIREMENTS IN FEDERALLY ASSISTED HOUSING  
SUBCHAPTER V-SAFETY AND SECURITY IN PUBLIC AND ASSISTED HOUSING**Jump To:**[Source Credit](#)[Miscellaneous](#)[Codification](#)[Effective Date](#)**§13661. Screening of applicants for federally assisted housing****(a) Ineligibility because of eviction for drug crimes**

Any tenant evicted from federally assisted housing by reason of drug-related criminal activity (as such term is defined in section 1437a(b) of this title) shall not be eligible for federally assisted housing during the 3-year period beginning on the date of such eviction, unless the evicted tenant successfully completes a rehabilitation program approved by the public housing agency (which shall include a waiver of this subsection if the circumstances leading to eviction no longer exist).

**(b) Ineligibility of illegal drug users and alcohol abusers****(1) In general**

Notwithstanding any other provision of law, a public housing agency or an owner of federally assisted housing, as determined by the Secretary, shall establish standards that prohibit admission to the program or admission to federally assisted housing for any household with a member-

(A) who the public housing agency or owner determines is illegally using a controlled substance; or

(B) with respect to whom the public housing agency or owner determines that it has reasonable cause to believe that such household member's illegal use (or pattern of illegal use) of a controlled substance, or abuse (or pattern of abuse) of alcohol, may interfere with the health, safety, or right to peaceful enjoyment of the premises by other residents.

**(2) Consideration of rehabilitation**

In determining whether, pursuant to paragraph (1)(B), to deny admission to the program or federally assisted housing to any household based on a pattern of illegal use of a controlled substance or a pattern of abuse of alcohol by a household member, a public housing agency or an owner may consider whether such household member-

(A) has successfully completed a supervised drug or alcohol rehabilitation program (as applicable) and is no longer engaging in the illegal use of a controlled substance or abuse of alcohol (as applicable);

(B) has otherwise been rehabilitated successfully and is no longer engaging in the illegal use of a controlled substance or abuse of alcohol (as applicable); or

(C) is participating in a supervised drug or alcohol rehabilitation program (as applicable) and is no longer engaging in the illegal use of a controlled substance or abuse of alcohol (as applicable).

**(c) Authority to deny admission to criminal offenders**

Except as provided in subsections (a) and (b) of this section and in addition to any other authority to screen applicants, in selecting among applicants for admission to the program or to federally assisted housing, if the public housing agency or owner of such housing (as applicable) determines that an applicant or any member of the applicant's household is or was, during a reasonable time preceding the date when the applicant household would otherwise be selected for admission, engaged in any drug-related or violent criminal activity or other criminal activity which would adversely affect the health, safety, or right to peaceful enjoyment of the premises by other residents, the owner, or public housing agency employees, the public housing agency or owner may-

(1) deny such applicant admission to the program or to federally assisted housing; and

(2) after the expiration of the reasonable period beginning upon such activity, require the applicant, as a condition of admission to the program or to federally assisted housing, to submit to the public housing agency or owner evidence sufficient (as the Secretary shall by regulation provide) to ensure that the individual or individuals in the applicant's household who engaged in criminal activity for which denial was made under paragraph (1) have not engaged in any criminal activity during such reasonable period.

( Pub. L. 105-276, title V, §576, Oct. 21, 1998, 112 Stat. 2639 .)

### **CODIFICATION**

Section was enacted as part of the Quality Housing and Work Responsibility Act of 1998, and not as part of subtitles C to F of title VI of Pub. L. 102–550 which comprise this chapter.

Section is comprised of section 576 of Pub. L. 105–276. Subsec. (d) of section 576 of Pub. L. 105–276 amended sections 1437d and 1437n of this title.

### **STATUTORY NOTES AND RELATED SUBSIDIARIES**

#### **EFFECTIVE DATE**

Section effective and applicable beginning upon Oct. 1, 1999, except as otherwise provided, with provision that Secretary may implement any provision of this section before such date, except to extent otherwise provided, see section 503 of Pub. L. 105–276, set out as an Effective Date of 1998 Amendment note under section 1437 of this title.



Displaying title 24, up to date as of 10/05/2022. Title 24 was last amended 9/26/2022.

## Title 24 - Housing and Urban Development

### Subtitle A - Office of the Secretary, Department of Housing and Urban Development

#### Part 5 - General HUD Program Requirements; Waivers

#### Subpart E - Restrictions on Assistance to Noncitizens

#### EDITORIAL NOTE ON PART 5

**Editorial Note:** Nomenclature changes to part 5 appear at 65 FR 16715, Mar. 29, 2000.

#### § 5.508 Submission of evidence of citizenship or eligible immigration status.

- (a) **General.** Eligibility for assistance or continued assistance under a Section 214 covered program is contingent upon a family's submission to the responsible entity of the documents described in paragraph (b) of this section for each family member. If one or more family members do not have citizenship or eligible immigration status, the family members may exercise the election not to contend to have eligible immigration status as provided in paragraph (e) of this section, and the provisions of §§ 5.516 and 5.518 shall apply.
- (b) **Evidence of citizenship or eligible immigration status.** Each family member, regardless of age, must submit the following evidence to the responsible entity.
  - (1) For U.S. citizens or U.S. nationals, the evidence consists of a signed declaration of U.S. citizenship or U.S. nationality. The responsible entity may request verification of the declaration by requiring presentation of a United States passport or other appropriate documentation, as specified in HUD guidance.
  - (2) For noncitizens who are 62 years of age or older or who will be 62 years of age or older and receiving assistance under a Section 214 covered program on September 30, 1996 or applying for assistance on or after that date, the evidence consists of:
    - (i) A signed declaration of eligible immigration status; and
    - (ii) Proof of age document.
  - (3) For all other noncitizens, the evidence consists of:
    - (i) A signed declaration of eligible immigration status;
    - (ii) One of the INS documents referred to in § 5.510; and
    - (iii) A signed verification consent form.
- (c) **Declaration.**
  - (1) For each family member who contends that he or she is a U.S. citizen or a noncitizen with eligible immigration status, the family must submit to the responsible entity a written declaration, signed under penalty of perjury, by which the family member declares whether he or she is a U.S. citizen or a noncitizen with eligible immigration status.
    - (i) For each adult, the declaration must be signed by the adult.
    - (ii) For each child, the declaration must be signed by an adult residing in the assisted dwelling unit who is responsible for the child.
  - (2) **For Housing covered programs:** The written declaration may be incorporated as part of the application for housing assistance or may constitute a separate document.
- (d) **Verification consent form -**
  - (1) **Who signs.** Each noncitizen who declares eligible immigration status (except certain noncitizens who are 62 years of age or older as described in paragraph (b)(2) of this section) must sign a verification consent form as follows.
    - (i) For each adult, the form must be signed by the adult.

- (ii) For each child, the form must be signed by an adult residing in the assisted dwelling unit who is responsible for the child.
- (2) **Notice of release of evidence by responsible entity.** The verification consent form shall provide that evidence of eligible immigration status may be released by the responsible entity without responsibility for the further use or transmission of the evidence by the entity receiving it, to:
  - (i) HUD, as required by HUD; and
  - (ii) The INS for purposes of verification of the immigration status of the individual.
- (3) **Notice of release of evidence by HUD.** The verification consent form also shall notify the individual of the possible release of evidence of eligible immigration status by HUD. Evidence of eligible immigration status shall only be released to the INS for purposes of establishing eligibility for financial assistance and not for any other purpose. HUD is not responsible for the further use or transmission of the evidence or other information by the INS.
- (e) **Individuals who do not contend that they have eligible status.** If one or more members of a family elect not to contend that they have eligible immigration status, and other members of the family establish their citizenship or eligible immigration status, the family may be eligible for assistance under §§ 5.516 and 5.518, or § 5.520, despite the fact that no declaration or documentation of eligible status is submitted for one or more members of the family. The family, however, must identify in writing to the responsible entity, the family member (or members) who will elect not to contend that he or she has eligible immigration status.
- (f) **Notification of requirements of Section 214 -**
  - (1) **When notice is to be issued.** Notification of the requirement to submit evidence of citizenship or eligible immigration status, as required by this section, or to elect not to contend that one has eligible status as provided by paragraph (e) of this section, shall be given by the responsible entity as follows:
    - (i) **Applicant's notice.** The notification described in paragraph (f)(1) of this section shall be given to each applicant at the time of application for assistance. Applicants whose applications are pending on June 19, 1995, shall be notified of the requirement to submit evidence of eligible status as soon as possible after June 19, 1995.
    - (ii) **Notice to tenants.** The notification described in paragraph (f)(1) of this section shall be given to each tenant at the time of, and together with, the responsible entity's notice of regular reexamination of income, but not later than one year following June 19, 1995.
    - (iii) **Timing of mortgagor's notice.** A mortgagor receiving Section 235 assistance must be provided the notification described in paragraph (f)(1) of this section and any additional requirements imposed under the Section 235 Program.
  - (2) **Form and content of notice.** The notice shall:
    - (i) State that financial assistance is contingent upon the submission and verification, as appropriate, of evidence of citizenship or eligible immigration status as required by paragraph (a) of this section;
    - (ii) Describe the type of evidence that must be submitted, and state the time period in which that evidence must be submitted (see paragraph (g) of this section concerning when evidence must be submitted); and
    - (iii) State that assistance will be prorated, denied or terminated, as appropriate, upon a final determination of ineligibility after all appeals have been exhausted (see § 5.514 concerning INS appeal, and informal hearing process) or, if appeals are not pursued, at a time to be specified in accordance with HUD requirements. Tenants also shall be informed of how to obtain assistance under the preservation of families provisions of §§ 5.516 and 5.518.
- (g) **When evidence of eligible status is required to be submitted.** The responsible entity shall require evidence of eligible status to be submitted at the times specified in paragraph (g) of this section, subject to any extension granted in accordance with paragraph (h) of this section.
  - (1) **Applicants.** For applicants, responsible entities must ensure that evidence of eligible status is submitted not later than the date the responsible entity anticipates or has knowledge that verification of other aspects of eligibility for assistance will occur (see § 5.512(a)).
  - (2) **Tenants.** For tenants, evidence of eligible status is required to be submitted as follows:

- (i) For financial assistance under a Section 214 covered program, with the exception of Section 235 assistance payments, the required evidence shall be submitted at the first regular reexamination after June 19, 1995, in accordance with program requirements.
  - (ii) For financial assistance in the form of Section 235 assistance payments, the mortgagor shall submit the required evidence in accordance with requirements imposed under the Section 235 Program.
- (3) **New occupants of assisted units.** For any new occupant of an assisted unit (e.g., a new family member comes to reside in the assisted unit), the required evidence shall be submitted at the first interim or regular reexamination following the person's occupancy.
- (4) **Changing participation in a HUD program.** Whenever a family applies for admission to a Section 214 covered program, evidence of eligible status is required to be submitted in accordance with the requirements of this subpart unless the family already has submitted the evidence to the responsible entity for a Section 214 covered program.
- (5) **One-time evidence requirement for continuous occupancy.** For each family member, the family is required to submit evidence of eligible status only one time during continuously assisted occupancy under any Section 214 covered program.
- (h) **Extensions of time to submit evidence of eligible status -**
  - (1) **When extension must be granted.** The responsible entity shall extend the time, provided in paragraph (g) of this section, to submit evidence of eligible immigration status if the family member:
    - (i) Submits the declaration required under § 5.508(a) certifying that any person for whom required evidence has not been submitted is a noncitizen with eligible immigration status; and
    - (ii) Certifies that the evidence needed to support a claim of eligible immigration status is temporarily unavailable, additional time is needed to obtain and submit the evidence, and prompt and diligent efforts will be undertaken to obtain the evidence.
  - (2) **Thirty-day extension period.** Any extension of time, if granted, shall not exceed thirty (30) days. The additional time provided should be sufficient to allow the individual the time to obtain the evidence needed. The responsible entity's determination of the length of the extension needed shall be based on the circumstances of the individual case.
  - (3) **Grant or denial of extension to be in writing.** The responsible entity's decision to grant or deny an extension as provided in paragraph (h)(1) of this section shall be issued to the family by written notice. If the extension is granted, the notice shall specify the extension period granted (which shall not exceed thirty (30) days). If the extension is denied, the notice shall explain the reasons for denial of the extension.
    - (i) **Failure to submit evidence or to establish eligible status.** If the family fails to submit required evidence of eligible immigration status within the time period specified in the notice, or any extension granted in accordance with paragraph (h) of this section, or if the evidence is timely submitted but fails to establish eligible immigration status, the responsible entity shall proceed to deny, prorate or terminate assistance, or provide continued assistance or temporary deferral of termination of assistance, as appropriate, in accordance with the provisions of §§ 5.514, 5.516, and 5.518.
    - (ii) [Reserved]

[61 FR 13616, Mar. 27, 1996, as amended at 61 FR 60538, Nov. 29, 1996; 64 FR 25731, May 12, 1999]

**TENANCY ADDENDUM**  
**Section 8 Tenant-Based Assistance**  
**Housing Choice Voucher Program**  
 (To be attached to Tenant Lease)

U.S. Department of Housing  
 and Urban Development  
 Office of Public and Indian Housing

OMB Approval No. 2577-0169  
 exp. 7/31/2022

The Tenancy Addendum is part of the HAP contract and lease. Public reporting burden for this collection of information is estimated to average 0.5 hours. This includes the time for collection, reviewing and reporting the data. The information is being collected as required by 24 CFR 982.451 which in part states the PHA must pay the housing assistance payment promptly. This agency may not conduct or sponsor, and a person is not required to respond to a collection of information unless there is a valid OMB number. Assurances of confidentiality are not provided under this section.

HUD is committed to protecting the privacy of an individual's information stored electronically or in paper form in accordance with federal privacy laws, guidance and best practices. HUD expects its third-party business partners including Public Housing Authorities who collect, use, maintain, or disseminate HUD information to protect the privacy of that information in accordance with applicable law.

**1. Section 8 Voucher Program**

- a. The owner is leasing the contract unit to the tenant for occupancy by the tenant's family with assistance for a tenancy under the Section 8 housing choice voucher program (voucher program) of the United States Department of Housing and Urban Development (HUD).
- b. The owner has entered into a Housing Assistance Payments Contract (HAP contract) with the PHA under the voucher program. Under the HAP contract, the PHA will make housing assistance payments to the owner to assist the tenant in leasing the unit from the owner.

**2. Lease**

- a. The owner has given the PHA a copy of the lease, including any revisions agreed by the owner and the tenant. The owner certifies that the terms of the lease are in accordance with all provisions of the HAP contract and that the lease includes the tenancy addendum.
- b. The tenant shall have the right to enforce the tenancy addendum against the owner. If there is any conflict between the tenancy addendum and any other provisions of the lease, the language of the tenancy addendum shall control.

**3. Use of Contract Unit**

- a. During the lease term, the family will reside in the contract unit with assistance under the voucher program.
- b. The composition of the household must be approved by the PHA. The family must promptly inform the PHA of the birth, adoption or court-awarded custody of a child. Other persons may not be added to the household without prior written approval of the owner and the PHA.
- c. The contract unit may only be used for residence by the PHA-approved household members. The unit must be the family's only residence. Members of the household may engage in legal profit making activities incidental to primary use of the unit for residence by members of the family.
- d. The tenant may not sublease or let the unit.
- e. The tenant may not assign the lease or transfer the unit.

**4. Rent to Owner**

- a. The initial rent to owner may not exceed the amount approved by the PHA in accordance with HUD requirements.
- b. Changes in the rent to owner shall be determined by the provisions of the lease. However, the owner may not raise the rent during the initial term of the lease.
- c. During the term of the lease (including the initial term of the lease and any extension term), the rent to owner may at no time exceed:

- (1) The reasonable rent for the unit as most recently determined or redetermined by the PHA in accordance with HUD requirements, or
- (2) Rent charged by the owner for comparable unassisted units in the premises.

**5. Family Payment to Owner**

- a. The family is responsible for paying the owner any portion of the rent to owner that is not covered by the PHA housing assistance payment.
- b. Each month, the PHA will make a housing assistance payment to the owner on behalf of the family in accordance with the HAP contract. The amount of the monthly housing assistance payment will be determined by the PHA in accordance with HUD requirements for a tenancy under the Section 8 voucher program.
- c. The monthly housing assistance payment shall be credited against the monthly rent to owner for the contract unit.
- d. The tenant is not responsible for paying the portion of rent to owner covered by the PHA housing assistance payment under the HAP contract between the owner and the PHA. A PHA failure to pay the housing assistance payment to the owner is not a violation of the lease. The owner may not terminate the tenancy for nonpayment of the PHA housing assistance payment.
- e. The owner may not charge or accept, from the family or from any other source, any payment for rent of the unit in addition to the rent to owner. Rent to owner includes all housing services, maintenance, utilities and appliances to be provided and paid by the owner in accordance with the lease.
- f. The owner must immediately return any excess rent payment to the tenant.

**6. Other Fees and Charges**

- a. Rent to owner does not include cost of any meals or supportive services or furniture which may be provided by the owner.
- b. The owner may not require the tenant or family members to pay charges for any meals or supportive services or furniture which may be provided by the owner. Nonpayment of any such charges is not grounds for termination of tenancy.
- c. The owner may not charge the tenant extra amounts for items customarily included in rent to owner in the locality, or provided at no additional cost to unsubsidized tenants in the premises.



## 7. Maintenance, Utilities, and Other Services

### a. Maintenance

- (1) The owner must maintain the unit and premises in accordance with the HQS.
- (2) Maintenance and replacement (including redecoration) must be in accordance with the standard practice for the building concerned as established by the owner.

### b. Utilities and appliances

- (1) The owner must provide all utilities needed to comply with the HQS.
- (2) The owner is not responsible for a breach of the HQS caused by the tenant's failure to:
  - (a) Pay for any utilities that are to be paid by the tenant.
  - (b) Provide and maintain any appliances that are to be provided by the tenant.

c. **Family damage.** The owner is not responsible for a breach of the HQS because of damages beyond normal wear and tear caused by any member of the household or by a guest.

d. **Housing services.** The owner must provide all housing services as agreed to in the lease.

## 8. Termination of Tenancy by Owner

a. **Requirements.** The owner may only terminate the tenancy in accordance with the lease and HUD requirements.

b. **Grounds.** During the term of the lease (the initial term of the lease or any extension term), the owner may only terminate the tenancy because of:

- (1) Serious or repeated violation of the lease;
- (2) Violation of Federal, State, or local law that imposes obligations on the tenant in connection with the occupancy or use of the unit and the premises;
- (3) Criminal activity or alcohol abuse (as provided in paragraph c); or
- (4) Other good cause (as provided in paragraph d).

### c. Criminal activity or alcohol abuse

- (1) The owner may terminate the tenancy during the term of the lease if any member of the household, a guest or another person under a resident's control commits any of the following types of criminal activity:
  - (a) Any criminal activity that threatens the health or safety of, or the right to peaceful enjoyment of the premises by, other residents (including property management staff residing on the premises);
  - (b) Any criminal activity that threatens the health or safety of, or the right to peaceful enjoyment of their residences by, persons residing in the immediate vicinity of the premises;
  - (c) Any violent criminal activity on or near the premises; or
  - (d) Any drug-related criminal activity on or near the premises.
- (2) The owner may terminate the tenancy during the term of the lease if any member of the household is:

(a) Fleeing to avoid prosecution, or custody or confinement after conviction, for a crime, or attempt to commit a crime, that is a felony under the laws of the place from which the individual flees, or that, in the case of the State of New Jersey, is a high misdemeanor; or

(b) Violating a condition of probation or parole under Federal or State law.

(3) The owner may terminate the tenancy for criminal activity by a household member in accordance with this section if the owner determines that the household member has committed the criminal activity, regardless of whether the household member has been arrested or convicted for such activity.

(4) The owner may terminate the tenancy during the term of the lease if any member of the household has engaged in abuse of alcohol that threatens the health, safety or right to peaceful enjoyment of the premises by other residents.

### d. Other good cause for termination of tenancy

(1) During the initial lease term, other good cause for termination of tenancy must be something the family did or failed to do.

(2) During the initial lease term or during any extension term, other good cause may include:

- (a) Disturbance of neighbors,
- (b) Destruction of property, or
- (c) Living or housekeeping habits that cause damage to the unit or premises.

(3) After the initial lease term, such good cause may include:

- (a) The tenant's failure to accept the owner's offer of a new lease or revision;
- (b) The owner's desire to use the unit for personal or family use or for a purpose other than use as a residential rental unit; or
- (c) A business or economic reason for termination of the tenancy (such as sale of the property, renovation of the unit, the owner's desire to rent the unit for a higher rent).

(4) The examples of other good cause in this paragraph do not preempt any State or local laws to the contrary.

## 9. Protections for Victims of Domestic Violence, Dating Violence, Sexual Assault, or Stalking

a. **Purpose:** This section incorporates the protections for victims of domestic violence, dating violence, sexual assault, or stalking in accordance with subtitle N of the Violence Against Women Act of 1994, as amended (codified as amended at 42 U.S.C. 14043e et seq.) (VAWA) and implementing regulations at 24 CFR part 5, subpart L.

b. **Conflict with other Provisions:** In the event of any conflict between this provision and any other provisions included in Part C of the HAP contract, this provision shall prevail.

c. **Effect on Other Protections:** Nothing in this section shall be construed to supersede any provision of any Federal, State, or local law that provides greater protection than this section for victims of domestic violence, dating violence, sexual assault, or stalking.

d. **Definition:** As used in this Section, the terms “actual and imminent threat,” “affiliated individual,” “bifurcate,” “dating violence,” “domestic violence,” “sexual assault,” and “stalking” are defined in HUD’s regulations at 24 CFR part 5, subpart L. The terms “Household” and “Other Person Under the Tenant’s Control” are defined at 24 CFR part 5, subpart A.

e. **VAWA Notice and Certification Form:** The PHA shall provide the tenant with the “Notice of Occupancy Rights under VAWA and the certification form described under 24 CFR 5.2005(a)(1) and (2).

f. **Protection for victims of Domestic Violence, Dating Violence, Sexual Assault, or Stalking:**

(1) The landlord or the PHA will not deny admission to, deny assistance under, terminate from participation in, or evict the Tenant on the basis of or as a direct result of the fact that the Tenant is or has been a victim of domestic violence, dating violence, sexual assault, or stalking, if the Tenant otherwise qualifies for admission, assistance, participation, or occupancy. 24 CFR 5.2005(b)(1).

(2) The tenant shall not be denied tenancy or occupancy rights solely on the basis of criminal activity engaged in by a member of the Tenant’s Household or any guest or Other Person Under the Tenant’s Control, if the criminal activity is directly related to domestic violence, dating violence, sexual assault, or stalking, and the Tenant or an Affiliated Individual of the Tenant is the victim or the threatened victim of domestic violence, dating violence, sexual assault, or stalking. 24 CFR 5.2005(b)(2).

(3) An incident or incidents of actual or threatened domestic violence, dating violence, sexual assault or stalking will not be construed as serious or repeated violations of the lease by the victim or threatened victim of the incident. Nor shall it not be construed as other “good cause” for termination of the lease, tenancy, or occupancy rights of such a victim or threatened victim. 24 CFR 5.2005(c)(1) and (c)(2).

g. **Compliance with Court Orders:** Nothing in this Addendum will limit the authority of the landlord, when notified by a court order, to comply with the court order with respect to the rights of access or control of property (including civil protection orders issued to protect a victim of domestic violence, dating violence, sexual assault, or stalking) or with respect to the distribution or possession of property among members of the Tenant’s Household. 24 CFR 5.2005(d)(1).

h. **Violations Not Premised on Domestic Violence, Dating Violence, Sexual Assault, or Stalking:** Nothing in this section shall be construed to limit any otherwise available authority of the Landlord to evict or the public housing authority to terminate the assistance of a Tenant for any violation not premised on an act of domestic violence, dating violence, sexual assault, or stalking that is in question against the Tenant or an Affiliated Individual of the Tenant. However, the Landlord or the PHA will not subject the tenant, who is or has been a victim of domestic violence, dating violence, sexual assault, or stalking, to a more demanding standard than other tenants in determining whether to evict or terminate assistance. 24 CFR 5.2005(d)(2).

i. **Actual and Imminent Threats:**

(1) Nothing in this section will be construed to limit the authority of the Landlord to evict the Tenant if the Landlord can demonstrate that an “actual and imminent threat” to other tenants or those employed at or providing service to the property would be present if the Tenant or lawful occupant is not evicted. In this context, words, gestures, actions, or other indicators will be construed as an actual and imminent threat if they meet the following standards for an actual and imminent threat: “Actual and imminent threat” refers to a physical danger that is real, would occur within an immediate time frame, and could result in death or serious bodily harm. In determining whether an individual would pose an actual and imminent threat, the factors to be considered include: the duration of the risk, the nature and severity of the potential harm, the likelihood that the potential harm will occur, and the length of time before the potential harm would occur. 24 CFR 5.2005(d)(3).

(2) If an actual and imminent threat is demonstrated, eviction should be used only when there are no other actions that could be taken to reduce or eliminate the threat, including, but not limited to, transferring the victim to a different unit, barring the perpetrator from the property, contacting law enforcement to increase police presence, developing other plans to keep the property safe, or seeking other legal remedies to prevent the perpetrator from acting on a threat. Restrictions predicated on public safety cannot be based on stereotypes, but must be tailored to particularized concerns about individual residents. 24 CFR 5.2005(d)(4).

j. **Emergency Transfer:** A tenant who is a victim of domestic violence, dating violence, sexual assault, or stalking may request an emergency transfer in accordance with the PHA’s emergency transfer plan. 24 CFR 5.2005(e). The PHA’s emergency transfer plan must be made available upon request, and incorporate strict confidentiality measures to ensure that the PHA does not disclose a tenant’s dwelling unit location to a person who committed or threatened to commit an act of domestic violence, dating violence, sexual assault, or stalking against the tenant;

For transfers in which the tenant would not be considered a new applicant, the PHA must ensure that a request for an emergency transfer receives, at a minimum, any applicable additional priority that is already provided to other types of emergency transfer requests. For transfers in which the tenant would be considered a new applicant, the plan must include policies for assisting a tenant with this transfer.

k. **Bifurcation:** Subject to any lease termination requirements or procedures prescribed by Federal, State, or local law, if any member of the Tenant’s Household engages in criminal activity directly relating to domestic violence, dating violence, sexual assault, or stalking, the Landlord may “bifurcate” the Lease, or remove that Household member from the Lease, without regard to whether that Household member is a signatory to the Lease, in order to evict, remove, or terminate the occupancy rights of that Household member without evicting, removing, or otherwise penalizing the victim of the criminal activity who is also a tenant or lawful occupant. Such eviction, removal, termination of occupancy rights, or termination of assistance shall be effected in accordance with the procedures prescribed by Federal, State, and local law for the termination of leases or assistance under the housing choice voucher program. 24 CFR 5.2009(a).

If the Landlord bifurcates the Lease to evict, remove, or terminate assistance to a household member, and that household member is the sole tenant eligible to receive assistance, the landlord shall provide any remaining tenants or residents a period of 30 calendar days from the date of bifurcation of the lease to:

- (1) Establish eligibility for the same covered housing program under which the evicted or terminated tenant was the recipient of assistance at the time of bifurcation of the lease;
  - (2) Establish eligibility under another covered housing program; or
  - (3) Find alternative housing.
- l. **Family Break-up:** If the family break-up results from an occurrence of domestic violence, dating violence, sexual assault, or stalking, the PHA must ensure that the victim retains assistance. 24 CFR 982.315.
- m. **Move with Continued Assistance:** The public housing agency may not terminate assistance to a family or member of the family that moves out of a unit in violation of the lease, with or without prior notification to the public housing agency if such a move occurred to protect the health or safety of a family member who is or has been a victim of domestic violence, dating violence, sexual assault, or stalking; and who reasonably believed they were imminently threatened by harm from further violence if they remained in the dwelling unit, or if any family member has been the victim of sexual assault that occurred on the premises during the 90-calendar-day period preceding the family's request to move.
- (1) The move is needed to protect the health or safety of the family or family member who is or has been a victim of domestic violence dating violence, sexual assault or stalking; and
  - (2) The family or member of the family reasonably believes that he or she was threatened with imminent harm from further violence if he or she remained in the dwelling unit. However, any family member that has been the victim of a sexual assault that occurred on the premises during the 90-calendar day period preceding the family's move or request to move is not required to believe that he or she was threatened with imminent harm from further violence if he or she remained in the dwelling unit. 24 CFR 982.354.
- n. **Confidentiality.**
- (1) The Landlord shall maintain in strict confidence any information the Tenant (or someone acting on behalf of the Tenant) submits to the Landlord concerning incidents of domestic violence, dating violence, sexual assault or stalking, including the fact that the tenant is a victim of domestic violence, dating violence, sexual assault, or stalking.
  - (2) The Landlord shall not allow any individual administering assistance on its behalf, or any persons within its employ, to have access to confidential information unless explicitly authorized by the Landlord for reasons that specifically call for these individuals to have access to the information pursuant to applicable Federal, State, or local law.
  - (3) The Landlord shall not enter confidential information into any shared database or disclose such information to any other entity or individual, except to the extent that the disclosure is requested or consented to in writing by the individual in a time-limited release; required for use in an eviction proceeding; or is required by applicable law.

## 10. Eviction by court action

The owner may only evict the tenant by a court action.

## 11. Owner notice of grounds

- a. At or before the beginning of a court action to evict the tenant, the owner must give the tenant a notice that specifies the grounds for termination of tenancy. The notice may be included in or combined with any owner eviction notice.
- b. The owner must give the PHA a copy of any owner eviction notice at the same time the owner notifies the tenant.
- c. Eviction notice means a notice to vacate, or a complaint or other initial pleading used to begin an eviction action under State or local law.

## 12. Lease: Relation to HAP Contract

If the HAP contract terminates for any reason, the lease terminates automatically.

## 13. PHA Termination of Assistance

The PHA may terminate program assistance for the family for any grounds authorized in accordance with HUD requirements. If the PHA terminates program assistance for the family, the lease terminates automatically.

## 14. Family Move Out

The tenant must notify the PHA and the owner before the family moves out of the unit.

## 15. Security Deposit

- a. The owner may collect a security deposit from the tenant. (However, the PHA may prohibit the owner from collecting a security deposit in excess of private market practice, or in excess of amounts charged by the owner to unassisted tenants. Any such PHA-required restriction must be specified in the HAP contract.)
- b. When the family moves out of the contract unit, the owner, subject to State and local law, may use the security deposit, including any interest on the deposit, as reimbursement for any unpaid rent payable by the tenant, any damages to the unit or any other amounts that the tenant owes under the lease.
- c. The owner must give the tenant a list of all items charged against the security deposit, and the amount of each item. After deducting the amount, if any, used to reimburse the owner, the owner must promptly refund the full amount of the unused balance to the tenant.
- d. If the security deposit is not sufficient to cover amounts the tenant owes under the lease, the owner may collect the balance from the tenant.

## 16. Prohibition of Discrimination

In accordance with applicable equal opportunity statutes, Executive Orders, and regulations, the owner must not discriminate against any person because of race, color, religion, sex, national origin, age, familial status or disability in connection with the lease. Eligibility for HUD's programs must be made without regard to actual or perceived sexual orientation, gender identity, or marital status.

## 17. Conflict with Other Provisions of Lease

- a. The terms of the tenancy addendum are prescribed by HUD in accordance with Federal law and regulation, as a condition for Federal assistance to the tenant and tenant's family under the Section 8 voucher program.
- b. In case of any conflict between the provisions of the tenancy addendum as required by HUD, and any other provisions of the lease or any other agreement between the owner and the tenant, the requirements of the HUD-required tenancy addendum shall control.

## 18. Changes in Lease or Rent

- a. The tenant and the owner may not make any change in the tenancy addendum. However, if the tenant and the owner agree to any other changes in the lease, such changes must be in writing, and the owner must immediately give the PHA a copy of such changes. The lease, including any changes, must be in accordance with the requirements of the tenancy addendum.
- b. In the following cases, tenant-based assistance shall not be continued unless the PHA has approved a new tenancy in accordance with program requirements and has executed a new HAP contract with the owner:
  - (1) If there are any changes in lease requirements governing tenant or owner responsibilities for utilities or appliances;
  - (2) If there are any changes in lease provisions governing the term of the lease;
  - (3) If the family moves to a new unit, even if the unit is in the same building or complex.
- c. PHA approval of the tenancy, and execution of a new HAP contract, are not required for agreed changes in the lease other than as specified in paragraph b.
- d. The owner must notify the PHA of any changes in the amount of the rent to owner at least sixty days before any such changes go into effect, and the amount of the rent to owner following any such agreed change may not exceed the reasonable rent for the unit as most recently determined or redetermined by the PHA in accordance with HUD requirements.

## 19. Notices

Any notice under the lease by the tenant to the owner or by the owner to the tenant must be in writing.

## 20. Definitions

**Contract unit.** The housing unit rented by the tenant with assistance under the program.

**Family.** The persons who may reside in the unit with assistance under the program.

**HAP contract.** The housing assistance payments contract between the PHA and the owner. The PHA pays housing assistance payments to the owner in accordance with the HAP contract.

**Household.** The persons who may reside in the contract unit. The household consists of the family and any PHA-approved live-in aide. (A live-in aide is a person who resides in the unit to provide necessary supportive services for a member of the family who is a person with disabilities.)

**Housing quality standards (HQS).** The HUD minimum quality standards for housing assisted under the Section 8 tenant-based programs.

**HUD.** The U.S. Department of Housing and Urban Development.

**HUD requirements.** HUD requirements for the Section 8 program. HUD requirements are issued by HUD headquarters, as regulations, Federal Register notices or other binding program directives.

**Lease.** The written agreement between the owner and the tenant for the lease of the contract unit to the tenant. The lease includes the tenancy addendum prescribed by HUD.

**PHA.** Public Housing Agency.

**Premises.** The building or complex in which the contract unit is located, including common areas and grounds.

**Program.** The Section 8 housing choice voucher program.

**Rent to owner.** The total monthly rent payable to the owner for the contract unit. The rent to owner is the sum of the portion of rent payable by the tenant plus the PHA housing assistance payment to the owner.

**Section 8.** Section 8 of the United States Housing Act of 1937 (42 United States Code 1437f).

**Tenant.** The family member (or members) who leases the unit from the owner.

**Voucher program.** The Section 8 housing choice voucher program. Under this program, HUD provides funds to a PHA for rent subsidy on behalf of eligible families. The tenancy under the lease will be assisted with rent subsidy for a tenancy under the voucher program.

DEPARTMENT OF HUMAN SERVICES

Repeal of Chapter 15-185 and  
Adoption of Chapter 17-2031  
Hawaii Administrative Rules

(date)

1. Chapter 185 of Title 15, Hawaii Administrative Rules, entitled "Section 8 - Housing Choice Voucher Program", is repealed.

2. Chapter 2031 of Title 17, Hawaii Administrative Rules, entitled "Section 8 - Housing Choice Voucher and Project Based Voucher Program", is adopted to read as follows:

HAWAII ADMINISTRATIVE RULES

TITLE 15

DEPARTMENT OF BUSINESS, ECONOMIC DEVELOPMENT AND  
TOURISM

SUBTITLE 14

HOUSING AND COMMUNITY DEVELOPMENT CORPORATION OF  
HAWAII

CHAPTER 185

SECTION 8 – HOUSING CHOICE VOUCHER PROGRAM

Repealed

§§15-185-1 to 15-185-202 Repealed.

"HAWAII ADMINISTRATIVE RULES

TITLE 17

DEPARTMENT OF HUMAN SERVICES

SUBTITLE 5

HAWAII PUBLIC HOUSING AUTHORITY

CHAPTER 2031

SECTION 8 - HOUSING CHOICE VOUCHER AND PROJECT BASED  
VOUCHER PROGRAM

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Historical Note: Chapter 2031 of Title 17, Hawaii Administrative Rules, is substantially based upon Chapter 17-511, Hawaii Administrative Rules [Eff 2/18/82; am 10/31/88; R 12/3/01]; and Chapter 15-185, Hawaii Administrative Rules. [Eff 12/3/01;  
R ]

## SUBCHAPTER 1

### GENERAL PROVISIONS

**§17-2031-1 Purpose.** These rules are adopted under chapter 91, HRS, and shall govern the implementation of the management requirements of the tenant based housing choice voucher program and the project based voucher program authorized by the United States Housing Act of 1937, as amended by the Housing and Community Development Act of 1974, the Quality Housing Work Responsibility Act (QHWRA) of 1998, and the Housing and Economic Recovery Act of 2008 (HERA) and establish the role and responsibility of the participants and the Hawaii public housing authority. These rules set forth some of the authority's administrative plan that a public housing agency is required to adopt pursuant to the U.S. Department of Housing and Urban development section 8 program regulations in 24 C.F.R. Chapter IX Part 982 ("Administrative Plan") as it existed on October 20, 2022. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; C.F.R. §982.54)

**§17-2031-2 Nondiscrimination.** (a) The authority shall not deny any family or individual the opportunity to apply for or receive assistance under this chapter on the basis of race, color, sex, religion, marital status, creed, national or ethnic origin, age, familial status, handicap or disability or HIV infection.

(b) The authority shall comply with federal and state nondiscrimination laws and with rules and regulations governing fair housing and equal opportunity in the administration of the program. The authority shall provide a family with the United States Department of Housing and Urban Development

discrimination complaint form and information on how to file a fair housing complaint if the family claims that discrimination prevented them from finding or leasing a suitable dwelling unit under the program. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-7; 24 C.F.R. §§982.53, 982.304)

**§17-2031-3 Definitions.** As used in this chapter:

"Adjusted income" means "annual income" of the members of the family residing or intending to reside in the dwelling unit minus any HUD allowable expenses and deductions as defined in 24 C.F.R. §5.611, as it existed on October 20, 2022, which is incorporated by reference and attached as exhibit A.

"Annual income" means the gross amount of income anticipated to be received by the family during the twelve months after certification or recertification. Gross income is the amount of income prior to any HUD allowable expenses or deductions and does not include income which has been excluded by HUD, as defined in 24 C.F.R. §5.609, as it existed on October 20, 2022.

"Applicant" means an individual or family that submits an application for admission to the program but is not yet a participant in the program.

"Assets" or "net family assets" means net cash value after deducting reasonable costs that would be incurred in disposing of real property, savings, stocks, bonds, and other forms of capital investment as defined in 24 C.F.R. §5.603, as it existed on October 20, 2022.

"Authority" means the Hawaii public housing authority.

"Board" means the board of directors of the Hawaii public housing authority.

"C.F.R. " means the United States Code of Federal Regulations.

"Child" means a person who is born alive and is less than eighteen years of age.

"Community wide" means inclusive of any location that is under the jurisdiction of the authority.

"Continuously assisted" means that the applicant is currently receiving assistance under any program of the U.S. Housing Act of 1937, as amended, and there is no break in assistance to the family.

"Contract rent" means the total rent payable to the owner of a dwelling unit through a housing assistance payments contract.

"Covered families" means families who receive welfare assistance or other public assistance benefits ("welfare benefits") from a State or other public agency ("welfare agency") under a program for which federal, State, or local law requires that a member of the family must participate in an economic self-sufficiency program as a condition for such assistance.

"Criminal activity" means any conduct that is prohibited by any criminal laws, whether federal, state or county, regardless of whether there has been an arrest or conviction and without satisfying the standard of proof for a criminal conviction.

"Disability" means having a physical or mental impairment which substantially limits one or more major life activities, having a record of such an impairment, or being regarded as having such an impairment, including persons who have human immunodeficiency virus (HIV) or AIDs. The term does not include current illegal use or addition to a controlled substance or alcohol or drug abuse that threatens the property or safety of others. Disabled individual or family includes:

- (1) A single individual who or a family whose head or spouse is unable to engage in any substantial, gainful activity by reason of any medically determinable physical or mental impairment which can be expected to result in indefinite duration; or
- (2) A single individual who or a family whose head or spouse has a physical impairment which is expected to be of long, continued and indefinite duration and which

substantially impedes the ability to live independently, and which is of a nature that the ability could be improved by suitable housing conditions.

"Disabled family" means a family whose head, spouse, or sole member is a person with disabilities; or two or more persons with disabilities living together; or one or more persons with disabilities living with one or more live-in aides.

"Domestic violence" means the actual or threatened physical violence directed against a family member by a spouse or other household member who lives in the dwelling unit with the family.

"Domiciled" means physically residing in the dwelling unit with intent to remain.

"Drug" means a controlled substance as defined in section 102 of the Controlled Substances Act (21 U.S.C. §802) as it existed on October 20, 2022.

"Drug related criminal activity" means the manufacture, sale, distribution, use or possession with intent to manufacture, sell, distribute or use a controlled substance as defined in 21 U.S.C. 802, as it existed on October 20, 2022, and which activity is conducted on or near the premises of the assisted dwelling unit.

"Dwelling unit" means a residential unit accepted for lease in the program.

"Economic self-sufficiency program" means any program designed to encourage, assist, train, or facilitate the economic independence of HUD-assisted families or to provide work for such families.

"Elderly" or "elderly family" means a family whose head, spouse, or sole member is a person who is at least sixty-two years of age; or two or more persons who are at least sixty-two years of age living together; or one or more persons who are at least sixty-two years of age living with one or more live-in aides.

"Eligible family" means a family that meets the qualifications and requirements of the program.

"Executive director" means the executive director of the authority or the executive director's designated representative.

"Extremely low income family" means a family whose annual income does not exceed thirty per cent of the median income for the area, as determined by HUD, with adjustments for smaller and larger families, except that HUD may establish income ceilings higher or lower than thirty per cent of the median income for the area [may be established] if HUD finds that such variations are necessary because of unusually high or low family incomes.

"Fair market rent" or "FMR" means the rent including the cost of utilities (except telephone or cable television), as established by HUD for dwelling units of varying sizes (by number of bedrooms), that must be paid in the housing market area to rent privately owned, existing, decent, safe and sanitary rental housing of modest (non-luxury) nature with suitable amenities.

"Family" means regardless of actual or perceived sexual orientation, gender identity, or marital status:

- (1) Two or more persons who live or intend to live together and whose income and resources are available to meet the family's needs and who may be related by blood, marriage, or operation of law and whose head of family has reached the age of majority. A child who is temporarily away from the home because of placement in foster care is considered a member of the family. Family may include foster children and hanai children or a child who is domiciled with, and for whom an adult member of the current household is caring for with written or unwritten permission from the legal parent or other person having legal custody, or child domiciled with, and for whom an adult member of the current household is in the process of securing custody;
- (2) An elderly family;

- (3) A disabled family;
- (4) A displaced family;
- (5) The remaining member of a tenant family who is recorded as an authorized occupant on the current list of household members and who has reached the age of majority; or
- (6) A single person who is not an elderly or displaced person, or a person with disabilities, or the remaining member of a tenant family.

"Family self sufficiency program" or "FSS program" means the program establish by the authority in accordance with 24 C.F.R. Part 984 to promote self-sufficiency of assisted families, including the coordination of supportive services.

"Foster child" or " Foster children" means a person or persons under eighteen years of age who is or are provided foster care by a foster parent pursuant to Chapter 587A, HRS.

"Foster parent" means any adult person licensed by the department of human services or another authorized agency to provide foster care services for a child or children under Chapter 587A, HRS.

"Gender identity or expression" includes a person's actual or perceived gender, as well as a person's gender identity, gender-related self-image, gender-related appearance, or gender-related expression, regardless of whether that gender identity, gender-related self-image, gender-related appearance, or gender-related expression is different from that traditionally associated with the person's sex at birth.

"Gross rent" means the contract rent plus allowances for utilities and other services.

"Hanai child" or "Hanai children" means a child who is taken permanently to reside, be educated, and reared by someone other than the natural parents, traditionally a grandparent or other relative, with the written or unwritten permission of the natural parents.



"HAP" means the monthly housing assistance payment by the authority as defined in 24 C.F.R. §982.4, as it existed on October 20, 2022, which includes:

- (1) A payment to the owner for rent under the family's lease and
- (2) Any additional payment to the family if the total assistance payment exceeds the rent to the owner.

"HAP contract" means housing assistance payments contract.

"HCV" means Housing Choice Voucher

"Household" means the family and the authority-approved live-in aide.

"HRS" means Hawaii Revised Statutes.

"Housing quality standards" means the HUD minimum quality standards for housing assisted under the tenant-based programs.

"HUD" means the United States Department of Housing and Urban Development.

"Imputed welfare income" means the amount of annual income not actually received by a family, as a result of a specified welfare benefit reduction, that is nonetheless included in the family's annual income for purposes of determining rent.

"Involuntarily displaced" means an applicant who has vacated or may have to vacate the dwelling unit where the applicant lives because of one or more of the following:

- (1) Displacement by disaster;
- (2) Displacement by governmental action; or
- (3) Displacement by action of housing owner for reasons beyond the applicant's control and despite the applicant meeting all previously imposed conditions of occupancy. The action taken by the owner is for reasons other than rent increase.

"Landlord" means either the owner of the property or his or her representative or the managing agent or his or her representative, as shall be designated by the owner.

"Live-in aide" means a person who resides with one or more elderly persons, or near elderly persons, or persons with disabilities, and who:

- (1) Is eighteen years of age or older;
- (2) Is determined by the authority to be essential to the care and well-being of the elder or elderly family member or the family member with disabilities;
- (3) Is not obligated for the support of the elder or the elderly family member or family member with disabilities;
- (4) Would not be living in the dwelling unit except to provide the necessary support services;
- (5) Is not a tenant; and
- (6) Notwithstanding any other rule, has no rights of tenancy, continued occupancy of dwelling unit, and is not a remaining member of the household and shall cease to be an occupant therein upon the recovery of the dwelling unit by the authority, or removal from the project of the elder or elderly family member or a family member with disabilities who required the live-in aide.

"Near elderly" means a family whose head, spouse, or solo member is at least fifty years of age but below the age of sixty two.

"Owner" means any persons or entity having the legal right to lease or sublease a residential dwelling unit to a participant and includes, when applicable, a mortgagee.

"Participant" or "tenant" means a person or family that is receiving rental assistance in the program. Participation begins on the first day of the approved lease term.

"Payment standard" means the maximum monthly assistance payment for a family assisted in the voucher program before deducting the total tenant payment by the family.

"PBRA" means Project-Based Rental Assistance.

"PBV" means Project-Based Voucher.

"Portability" means the right to receive Section 8 tenant-based assistance outside of the jurisdiction of the initial public housing agency.

"Program" means the tenant-based Section 8 rental and voucher programs.

"RAD" means Rental Assistance Demonstration.

"Resident" for the purpose of conducting eligibility means a United States citizen or national or an eligible immigrant under one of the categories set forth in 42 U.S.C. §1436a(a), as it existed on October 20, 2022, also known as "noncitizen", who is able to demonstrate his or her intent to reside in Hawaii. Under one of these categories, one eligible immigrant is an alien who is a lawful resident in the United States and its territories and possessions under section 141 of the Compacts of the Free Association between the Government of the Republic of the Marshall Islands, the Federal States of Micronesia (48 U.S.C. 1901 note), and the Republic of Palau (48 U.S.C. 931 note) while the applicable section is in effect, also known as "COFA" resident. Intent to reside in Hawaii may be demonstrated by the following: length of time spent in Hawaii; leasing or renting of a home in Hawaii; filing of personal Hawaii income tax returns; registering to vote in Hawaii; Hawaii driver's license; record of Hawaii motor vehicle registration; notification of hire to work in Hawaii; record of employment in Hawaii; military records substantiating Hawaii residency; record of Hawaii residency; enrollment of minor children in Hawaii schools; establishment of bank accounts and other accounts in Hawaii; written reference from Hawaii residents, relatives, or social agencies; and any other indicia which could substantiate a claim of an intent to reside in Hawaii.

"Security deposit" means the deposit required by an owner from a participant as defined in the Residential Landlord-Tenant Code, §521-44, HRS, as it existed on October 20, 2022.

"Sexual orientation" means having a preference for heterosexuality, homosexuality, or bisexuality, having a history of any one or more of the

preferences, or being identified with any one of more of these preferences, "sexual orientation" shall not be construed to protect conduct otherwise proscribed by law.

"Utility allowance" means the value of utilities such as electricity, gas, and water costs that are included in the gross rent of the participant. This does not include telephone or cable TV services.

"Veteran" means a person who has served in the active military or naval service of the United States at any time and who shall have been discharged or released from active service under conditions other than dishonorable.

"Violent criminal activity" means any criminal activity that has as one of its elements the use, attempted use, or threatened use of physical force substantial enough to cause, or be reasonably likely to cause, serious bodily injury or property damage.

"Voucher" means a document issued by the authority to a family selected for admission to a voucher program.

"Voucher holder" means an applicant who has a valid voucher but not an approved lease.

[Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. Parts 5 and 982)

**§17-2031-4 Public notice to lower-income families.** The authority shall inform the public of the availability and nature of housing assistance for families within allowed income limits through publications of general circulation and shall ensure wide and appropriate coverage. [Eff ]  
(Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.206)

**§17-2031-5 Participation by owners and others.** The authority shall invite eligible owners, including owners of suitable dwelling units located outside of

poverty or racially concentrated areas, to make dwelling units available for leasing by eligible families and to expand opportunities for disabled persons.

[Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §§ 982.1, 982.54, 982.306)

**§17-2031-6 Income limits.** (a) Income limits for a family's participation in the program shall be the same income limits established by HUD for its section 8 tenant-based housing choice voucher program, which are incorporated by reference and attached as exhibit C.

(b) Applicable income limits as provided in subsection (a) shall be published once per year in a publication with wide circulation, be posted at all times in a conspicuous place at the authority's offices that accept applications, on the authority's website, and printed in the [corporation's] authority's informational materials on eligibility for the programs. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.201)

**§17-2031-7 Assets.** All assets held by each member of an eligible family shall be used to determine annual income. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §5.609)

**§17-2031-8 Subsidy and occupancy standards.**

(a) The authority shall establish subsidy standards that shall provide for a minimum commitment of subsidy while avoiding overcrowding. The subsidy

standards are incorporated by reference and attached as exhibit D.

(b) The standards determine the number of bedrooms to be entered on the voucher and not a family's actual living arrangement.

(c) The authority's occupancy standards follow the occupancy codes of the County in which the dwelling unit is located. The occupancy standards are incorporated by reference and attached as exhibit E.

[Eff \_\_\_\_\_] (Auth: HRS §356D-13) (Imp: HRS §356D-31; 24 C.F.R. §§982.54(d)(9), 982.401, 982.402)

**§17-2031-9 Allowance for utilities and other services.** (a) The authority shall maintain a utility allowance schedule for utilities and other services that shall be coordinated with the allowance schedules of the respective counties. The utility allowance schedules are incorporated by reference and attached as exhibit F.

(b) On request from a family that includes a person with disabilities, the authority shall approve a utility allowance which is higher than the applicable amount in the utility allowance schedule if a higher utility allowance is needed as a reasonable accommodation in accordance with 24 C.F.R. part 8, as it existed on October 20, 2022, to make the program accessible to and usable by the family member with a disability.

(c) A participant shall receive a utility reimbursement when the utility allowance exceeds the total tenant payment. [Eff \_\_\_\_\_] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.517)

**§17-2031-10 Verification of information.** (a) The authority shall require an applicant or participant to provide documentation verifying

information provided by the family relating to the program.

(b) An applicant or participant who fails to provide documentation to verify information requested by staff shall be ineligible for participation in the program.

(c) Verification documents shall be valid for the following lengths of time:

(1) For applicants, sixty days before the voucher is issued to the applicant.

(2) For participants, one hundred twenty days from the date received by the authority.

[Eff: 1/1/2018] (Auth: HRS §356D-13)  
(Imp: HRS §356D-13; 24 C.F.R. §§982.201,  
982.551; 982.552; 982.553)

SUBCHAPTER 2

ELIGIBILITY

**§17-2031-21 Applications.** (a) A family seeking to participate in the program shall submit a completed pre-application form prepared by the authority. The applicant is permitted to file a pre-application on the authority's application portal, or through reasonable accommodation in person, by mail, or at any of the authority's section 8 applications offices for any and all waiting list areas prescribed in section 17-2031-26.

(b) The initial pre-application review shall not require an interview. Only applicants who are determined eligible in the initial review shall be placed on the waiting list. A final eligibility review shall be conducted when the applicant reaches the top of the waiting list.

(c) An applicant who has misrepresented material information in a pre-application, application, or other inquiry for any of the authority's programs shall not be eligible to file an application with the authority for twelve months from the date of written notification from the authority. [Eff

] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §§982.201, 982.202)

**§17-2031-22 Eligibility for admission and participation.** (a) To be eligible for participation in the program, an applicant and family members shall meet all of the requirements of the pre-application and final-application phases as set forth below:

- (1) During the pre-application phase, the applicant and adult family members shall:
  - (A) Qualify as a family;



- (B) Be income eligible as determined under section 17-2031-6;
- (C) Not have an outstanding debt owed to the authority as a participant in any of its programs;
- (D) Not have an outstanding liability for unpaid rent or damages incurred while previously participating in any section 8 rental subsidy program;
- (E) Provide a social security number for all family members who are at least six years of age or under the age of six and has an assigned social security number. If a family member is under the age of six and has not been assigned a social security number, the applicant or participant shall provide for each new child within ninety calendar days of being added to the household, a valid social security number issued by the social security administration, or an original document issued by a federal or state government agency, which contains the name of the individual and the social security number, along with other identifying information of the individual;
- (F) Not have been evicted since March 1, 1985 from a public housing program administered by the authority or any of its predecessors, the housing and community development corporation of Hawaii or Hawaii housing authority with the exception of evictions solely due to failure to pay a debt to the authority, in which case, the applicant can be admitted upon payment in full of the unpaid amounts due to the agency;
- (G) Not have been terminated for assistance under the program;
- (H) Not have committed fraud, bribery, or any other corrupt or criminal act in

- connection with any federal housing program;
- (I) Within one year of the projected date of voucher award, not have been engaged in any drug-related or violent criminal activity or other criminal activity which would adversely affect the health, safety, right of peaceful enjoyment of the premises by other residents, the owner, or authority employees;
  - (J) Not be illegally using a controlled substance or give the authority a reasonable cause to believe that the illegal use (or pattern of illegal use) of a controlled substance or abuse of alcohol (or pattern of abuse) may interfere with the health, safety, or right to peaceful enjoyment of a rental premises by other residents;
    - (i) For the purposes of this subsection, "reasonable cause to believe" means by a preponderance of the evidence;
    - (ii) For the purposes of this subsection, in determining whether to deny eligibility based on a pattern of illegal use of a controlled substance or a pattern of abuse of alcohol, the authority may consider rehabilitation as provided for under 42 U.S.C. §13661(b)(2)(A)-(C), as it existed on October 20, 2022, which is incorporated by reference and attached as exhibit G;
  - (K) Not be engaged in any drug-related criminal activity or violent criminal activity which would adversely affect the health, safety, right to peaceful enjoyment of the premises by other

- residents, the owner, or authority employees;
  - (L) Not have been convicted of the manufacture, production, or distribution of methamphetamines; and
  - (M) Not subject to lifetime registration requirements under any State sex offender's registration program.
- (2) During the final application phase the applicant and all adult household members shall meet the requirements set forth in subsection 17-2031-22(a)(1), as well as the following requirements:
- (A) Not have engaged in or threatened abusive or violent behavior toward the authority's personnel. For purposes of this subsection, "threatened" means an oral or written threat or physical gestures that communicate an intent to abuse or commit violence. Abusive or violent behavior may be verbal or physical and include use of expletives that are generally considered insulting, racial epithets, or other language, written or oral, that is customarily used to insult or intimidate; and
  - (B) Furnish evidence of citizenship or eligible immigrant status as provided for in 24 C.F.R. §5.508, as it existed on October 20, 2022, which is incorporated by reference and attached as exhibit H.
- (b) An applicant who is continuously assisted under the U.S. Housing Act of 1937 shall be admitted to the program as though the applicant was already a program participant.
- (c) A participant shall not receive a voucher at the same time as other rent supplement or housing benefits including state rent supplement payments authorized under section 356D-151, HRS.

§17-2031-22

(d) Before the authority denies or terminates assistance on the basis of a criminal record, the authority shall provide the applicant or participant with a copy of the criminal record and an opportunity to dispute the accuracy and relevance of that record pursuant to section 17-2031-71 or 17-2031-72. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §§5.216, 982.201, 982.202, 982.307, 982.551, 982.552, 982.553)

**§17-2031-23 Income targeting.** At least seventy five per cent of families admitted to the program during the fiscal year from the waiting list shall be extremely low income families. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.201)

**§17-2031-24 Notification of eligibility.**

(a) An applicant shall be mailed or sent a written or electronic notification after an eligibility determination is made. The notification shall specifically state the reasons for the determination.

(b) An eligible applicant shall be placed on the waiting list.

(c) An applicant determined to be ineligible for admission or participation in the program shall be accorded an opportunity to request for an informal review as set forth in section 17-2031-71. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §§982.201, 982.204, 982.554)

**§17-2031-25 Local preferences.** (a) Eligible applicants shall be given preference for certification in the program if, at the time they are seeking

housing assistance, they fall within the following preference categories:

- (1) The following preferences shall be given first priority but have equal weight within this group:
  - (A) Involuntarily displaced, including public housing families subject to relocation due to modernization activity, or based on an emergency where conditions of the public housing dwelling unit, building, or project pose an immediate, verifiable threat to life, health or safety of the family, and the family cannot be relocated to another public housing dwelling unit in the same program, meeting their needs;
  - (B) Victims of domestic violence, including public housing tenants that are victims of stalking, or reprisals, or hate crimes, and cannot be safely transferred to another public housing dwelling unit in the same program; or
  - (C) Homeless; or
  - (D) Public housing families that exceed the largest public housing dwelling unit size on the island where they reside; or Public housing tenants who are approved for a reasonable accommodation for a dwelling unit with special features and have not been offered a dwelling unit in the public housing program that meets the family's needs and have waited over one year.
- (2) The following preferences shall be given second priority but have equal weight within this group:
  - (A) Living in substandard housing; or
  - (B) Paying more than fifty per cent of annual income for rent.
- (3) The following are other preferences that have equal weight:

- (A) Working families and those unable to work because of age or disability;
  - (B) Veterans and veterans' surviving spouse;
  - (C) Residents who live or work in the jurisdiction (by county); or
  - (D) Victims of reprisals or hate crimes.
- (b) Each preference in each priority group is of equal weight and an applicant who qualifies for any of the preferences shall receive assistance before any other applicant who is not so qualified regardless of:
- (1) Place on the waiting list;
  - (2) Date or time of submission of an application; or
  - (3) Lottery position.
- (c) An applicant shall not receive preference if any adult member of the applicant family is a person who was evicted or terminated from any housing program operated by the authority during the past three years because of drug-related criminal activities unless the adult member has successfully completed a rehabilitation program approved by the authority.
- [Eff \_\_\_\_\_] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.203, 982.207)]

**§17-2031-26 Waiting list.** (a) The authority shall maintain a separate waiting list for each of its housing choice voucher or project-based voucher programs.

- (b) Placement on the waiting list may be by:
- (1) Date and time; or
  - (2) Random lottery selection, so long as all adopted preferences are considered.
- (c) Applicants shall be notified of the opportunity to apply for vouchers and of the procedure to be used to be placed on the waiting lists through notices posted in a conspicuous place at the authority's offices that accept section 8 applications, the authority's website, and in a

printed statement in the authority's information material on its application process.

(d) The notice to open the waiting list shall include information on what procedure shall be used to place applicants on the waiting list, how to apply, the date and time of the lottery selection and the number of applicants that will be selected by the lottery, if applicable.

(e) The authority may accept applications from applicants with and without a preference, or solely based on preference, which will be specified in the notice of opening of the wait list.

(f) Applicants who are selected for placement on the waiting list shall be notified in writing, through mail or electronic communication, of their selection on the waiting list approximately ten business days after the waiting list has closed.

(g) Selection of applicants from the waiting list shall be based upon:

- (1) A randomly assigned number based on the number of applicants that were selected by the lottery; or
- (2) Date and time of the application; and
- (3) Applicable local preference.

(h) An applicant must notify the authority, at least annually, of any change that may affect the applicant's place on the waiting list and the authority's ability to contact applicant. Changes include, but are not limited to, familial status, financial status, mailing address and current residence.

(i) An applicant may continue to be on the waiting list even though the applicant is a tenant in or receiving housing assistance from another housing program.

(j) Applications for the housing choice voucher program will be active for eighteen months from the date of placement on the waiting list and then will expire. Applicants on the waitlist at eighteen months will receive a letter informing them that their application has expired within ten business days.

(k) When the authority opens the waiting list for applicants and limits applications to those with local preferences, any applicant who is unable to verify their preference within ten business days shall be removed from the waiting list.

(l) Applicants who were either not selected to participate in the lottery, or whose application has expired, will not qualify for an informal hearing.  
[Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.204, 982.205, 982.206)

**§17-2031-27 Removal from the waiting list.** An applicant shall be removed from the waiting list for any one of the following reasons:

- (1) The applicant requests that applicant's name be removed;
  - (2) The applicant fails to notify the authority of applicant's continued interest for housing at least once every twelve months;
  - (3) The applicant no longer meets the eligibility criteria set forth in section 17-2031-22;
  - (4) The applicant fails to respond to the authority's reasonable contact efforts. Two written or electronic notices to the last known address shall constitute reasonable effort to contact;
  - (5) The applicant fails without good cause to keep a scheduled interview or to provide requested information necessary to determine eligibility;
  - (6) The applicant refuses a voucher for housing assistance; or
  - (7) The applicant misrepresents any material information to the authority on the application or otherwise.
- [Eff ] (Auth: HRS §356D-13)  
(Imp: HRS §356D-13; 24 C.F.R. §982.204)



**§17-2031-28 Closing and reopening the waiting list.** (a) The authority may suspend the acceptance of applications and close the waiting list, in whole or in part, when it is determined that there are enough applicants on the waiting list to fill anticipated openings for the next twenty-four months.

(b) The authority may publicly announce any closure and reopening of the application taking process pursuant to section 17-2031-4. If the list is opened for only a limited time, the opening announcement shall include the closing date and not require further notice. Publicly announce may include, but is not limited to, publishing notices in a newspaper of general circulation and minority newspapers or notifying social service organizations.

(c) During periods when the waiting list is closed, the authority is not required to maintain a list of persons to be notified when application taking is reopened. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.206)

**§17-2031-29 Final application process - selection and certification.** (a) Selection for certification shall be from the established waiting list and shall be based on:

- (1) Applicable local preferences; and
- (2) Lottery placement; or
- (3) Date and time of receipt of application.

(b) The authority shall contact applicants selected off the waiting list in writing through mail, electronic or other virtual written communication.

(c) Completed applications will be processed as they are returned on a first come, first served basis.

(d) Following initial contact with an applicant from the waiting list, housing assistance will be offered to applicants in the order in which they completed the application process.

(e) Applicants shall be provided with a briefing packet containing all required materials and shall be informed of their responsibilities prior to acceptance

of a voucher. A voucher shall not be issued unless the applicant or an authorized representative attends a briefing and signs the voucher.

(d) A voucher holder shall be responsible for finding a qualified dwelling unit of appropriate size prior to the expiration of the voucher.

(e) A voucher shall expire at the end of sixty days from issuance unless within that timeframe, the family submits a request for lease approval, in which case the sixty day time limit shall be suspended while the authority determines whether to approve the lease.

(f) An applicant may request an extension to the initial sixty day time period if the voucher is about to expire. The request for extension shall be in writing and be received by the authority or postmarked no later than the last day of the voucher term. The extension request shall include an explanation for the request and a progress report on efforts made to locate a suitable dwelling unit.

(g) An applicant may request an extension beyond one hundred twenty days provided there are verifiable circumstances beyond the applicant's control that hinder the applicant from locating a suitable dwelling unit. The request for extension shall be in writing and be received by the authority or postmarked no later than the last day of the voucher term. The extension request shall include an explanation for the request and a progress report on efforts made to locate a suitable dwelling unit. If an extension is granted, the authority shall recertify the applicant's eligibility and income.

(h) Upon request from a prospective landlord, the authority may furnish the current address and the name and address of any current or prior landlord of the voucher holder as shown in the authority's records. Also upon request from the prospective landlord, the authority may furnish other information about the tenancy history of family members, or about drug trafficking by family members, provided that there has been a criminal conviction.

[Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §§ 982.204, 982.301, 982.302, 982.303, 982.305, 982.306, 982.307)

**§17-2031-30 Special admission and exception for designated programs.** (a) The authority may admit families not on the established waiting list, or without considering the family's waiting list position, that are targeted for specific funding awards from HUD, including, but not limited to:

- (1) A family displaced because of modernization, demolition or disposition of a public or Indian housing project;
- (2) A family residing in a multifamily rental housing project when HUD sells, forecloses or demolishes the project;
- (3) Housing covered by the Low Income Housing Preservation and Resident Homeownership Act of 1990;
- (4) A family residing in a project covered by a section 8 project-based housing assistance payment contract at or near the end of the housing assistance payment contract term; or
- (5) A non-purchasing family residing in a HOPE 1 or HOPE 2 project; or
- (6) A family that resides or will reside in a dwelling unit covered by a project-based section 8 housing assistance payment contract.

(b) The authority shall admit families on the established waiting list who qualify for special funding awards from HUD including, but not limited to:

- (1) The Mainstream Housing Opportunities for Persons with Disabilities program and
- (2) The Welfare-to-Work or similar self-sufficiency programs.

(c) This section shall also apply to a family displaced because of demolition or disposition of an authority owned housing project that is not federally assisted.

(d) A family may be admitted under this section without qualifying for any preferences, or without being on the program waiting list.

(e) The authority shall maintain records showing the family was admitted through HUD-targeted assistance. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.203)

**§17-2031-31 Annual income.** The authority shall determine each applicant's and participant's annual income pursuant to 24 C.F.R. §5.609, as it existed on October 20, 2022, which is incorporated by reference and attached as exhibit B. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. § 5.609)

**§17-2031-32 Reexaminations.** (a) At least once every twelve months, the authority may reexamine a family's income, composition and any other matter necessary to determine the participant's rent and eligibility for continued housing assistance.

(b) If at the time of admission or reexamination, a family's income cannot be reasonably anticipated for the next twelve-month period, the authority may schedule a special reexamination at any time prior to the next annual reexamination when deemed necessary.

(c) The participant and owner shall be notified in writing by the authority of the results of any reexamination within a reasonable time. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.516)

**§17-2031-33 Interim rent adjustment.** (a) The authority may adjust a participant's rent between reexaminations if a participant reports a change in income.

(b) Adjustments reflecting a lower rent shall be made effective on the first day of the month following the month the report was made. A participant who has obtained a decrease in rent under this section, shall report all income increases which occur prior to the next reexamination and rent may be readjusted accordingly.

(c) A rent adjustment shall be made between reexaminations when a participant's income increases as a result of the inclusion of additional persons with income to the family, and such adjustment shall be made effective on the first day of the second month following the inclusion.

(d) The participant and owner shall be notified in writing by the authority of the results of any reexamination within a reasonable time.

[Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.516)

**§17-2031-34 Continued assistance.**

(a) When one family splits into two eligible families, both families wish to continue assistance, and there is no court order, the authority shall decide to continue assistance to one family instead of the other if that family:

- (1) Retains the children or includes any disabled or elderly members. Children subject to a joint custody agreement but live with one parent for a cumulative period of at least one hundred eighty three days of the year shall be considered a member of that household;
- (2) Includes the family member that applied as head of household;

- (3) Excludes the responsible party for domestic violence which caused the split of the family;
- (4) Is subject to other factors specified by the authority; or
- (5) Is recommended by social service agencies or qualified professionals to retain assistance. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.315)

### SUBCHAPTER 3

#### LEASE

**§17-2031-41 Request for lease approval.** Upon finding a dwelling unit that an owner is willing to lease, the family shall submit a request to have the lease approved by the authority. [Eff ]  
(Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.305)

**§17-2031-42 Dwelling unit inspection.**

(a) Prior to approving a lease, the authority shall inspect the dwelling unit within a reasonable time after receipt of the owner's inspection request.

(b) Dwelling units approved for lease in the program shall meet minimum housing quality standards.

(c) Inspections will occur every other year, except in circumstances where the authority may determine a need for an annual inspection. Situations may include, but not be limited to:

- (1) If a dwelling unit does not pass an initial or annual inspection the first time;
- (2) The dwelling unit fails a quality control inspection; or
- (3) The participant or landlord requests a special inspection between the scheduled inspection.

[Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §§982.305, 982.401)

**§17-2031-43 Lease requirements.** (a) The authority shall review the lease, particularly noting compliance with HUD regulations and state and local

law. The participant also must have legal capacity to enter a lease under state and local law.

(b) The family and owner must submit a standard form lease used in the locality and that is generally used for other unassisted tenants in the premises by the owner. The terms and conditions of the lease must be consistent with state and local law. The lease must specify what utilities and appliances are to be supplied by the owner, and what utilities and appliances are to be supplied by the family. The HUD prescribed tenancy addendum must be included in the lease word-for-word before the lease is executed. The HUD tenancy addendum is incorporated by reference and attached as exhibit I. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.308)

**§17-2031-44 Lease approval.** (a) If the authority determines that a dwelling unit is suitable for the program and the lease meets the requirements of the program, the owner and family shall be notified, and a contract executed.

(b) The initial lease shall be for at least one year.

(c) If the authority determines that a lease cannot be approved for any reason, the owner and family shall be notified in writing.

[Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §§982.308, 982.309)



SUBCHAPTER 4

HOUSING ASSISTANCE PAYMENTS AND RENT

**§17-2031-51 Housing assistance payments.** The authority shall make housing assistance payments to the owner on behalf of an eligible family.  
[Eff \_\_\_\_\_] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.311)

**§17-2031-52 Contract rents.** (a) The contract rent for a dwelling unit in the program shall be determined on a case-by-case basis. The approved rent shall be reasonable in comparison to rent for other comparable unassisted dwelling units in the housing market.

(b) Contract rents may be adjusted at each annual anniversary date of the HAP contract at the request of the owner. [Eff \_\_\_\_\_] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.507)

**§17-2031-53 Total tenant payment.**

(a) The authority shall compute the total tenant payment.

(b) There shall be an established minimum rent of \$50.00 per month. Exception to the application of the minimum monthly rental amount shall apply if the family is unable to pay because of financial hardship which is determined pursuant to 24 C.F.R. §5.630, as it existed on October 20, 2022, and includes the following situations:

- (1) The family has lost eligibility or is awaiting an eligibility determination for federal, state, or local assistance;

**§17-2031-54 Rent.** (a) Voucher rents are based on the payment standard as set by the authority on an annual basis and are guided by the fair market rents published annually by HUD. On request from the family that includes a person with disabilities, the authority shall approve an exception rent of up to one hundred twenty per cent of the fair market rent if the exception rent is needed as a reasonable accommodation so that the program is readily accessible to and usable by persons with disabilities in accordance with 24 C.F.R. Part 8, as it existed on October 20, 2022.

(b) The small area fair market rent, which includes utilities and is established for dwelling units of various bedroom sizes, is determined by HUD. [Eff \_\_\_\_\_] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §888.111, 982.503, 982.504, 982.507)

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that is higher or lower than the basic range subject to HUD approval or waiver.

(b) The authority may approve a higher payment standard within the basic range to reasonably accommodate a family that includes a person with disabilities which may be subject to HUD approval. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.503)

**§17-2031-56 Security deposits.** (a) The participant shall be responsible for the payment of a security and utility deposit as directed by their lease.

(b) The authority shall not be responsible for the payment of security and utility deposits. [Eff ] (Auth: HRS §§356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.313)

**§17-2031-57 Ownership change.** (a) A change in ownership of a dwelling unit under a HAP contract does not require execution of a new contract or lease. The authority may approve the assignment of the HAP contract at the previous owner's request.

(b) The owner who is selling the dwelling unit shall provide written notice to the authority at least thirty days prior to the sale closing.

(c) The new owner shall provide documents to verify the sale and other information requested by the authority.

(d) Housing assistance payments to the owner who is selling the dwelling unit shall be suspended effective the first of the month following the receipt of the notification of the sale of the dwelling unit and when the assignment of the HAP contract to the new owner is approved by the authority. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §§982.305, 982.306)

SUBCHAPTER 5

OPERATIONS

**§17-2031-61 Inspections.** (a) The authority shall annually inspect each dwelling unit leased to a participant of the program utilizing inspection standards required by HUD.

(b) The authority may conduct special inspections upon written notification by the participant or owner that the dwelling unit does not meet housing quality standards or based on information from third parties such as neighbors or public officials.

[Eff \_\_\_\_\_] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.405)

**§17-2031-62 Overcrowded or under occupied dwelling units.** A participant shall be issued a new voucher if the authority determines that the dwelling unit does not meet the authority's subsidy standards for occupancy. [Eff \_\_\_\_\_] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §982.403)

**§17-2031-63 Portability.** (a) The authority may require applicants who were nonresidents at the time of application to live in its jurisdiction during the first twelve-month period.

(b) The authority shall not absorb a family under portability assistance into its program unless funds are available and there is no applicant with a preference on the applicable waiting list.

[Eff \_\_\_\_\_] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §§982.353, 982.354, 982.355)

**§17-2031-64 Transfers.** (a) A family may terminate its lease with the landlord at any time after the first twelve months as provided by the rental agreement with the landlord and shall provide a copy of the notice to the authority.

(b) The authority shall deny permission to move if:

- (1) There are insufficient program funds for continued assistance;
  - (2) The participant has violated a family obligation listed on the voucher;
  - (3) The participant owes the authority money; or
  - (4) The participant has moved or has been issued a voucher within the last twelve months.
- [Eff \_\_\_\_\_] (Auth: HRS §356D-13)  
(Imp: HRS §356D-13; 24 C.F.R. §§982.354, 982.552)

**§17-2031-65 Eviction - termination of tenancy by owner.** (a) If the owner wishes to terminate the lease, the owner is required to provide proper notice as provided in the lease and the Hawaii Residential Landlord-Tenant Code.

(b) During the term of the lease the owner may only evict for:

- (1) Serious or repeated violations of the lease, including but not limited to failure to pay rent or other amounts due under the lease, or repeated violation of the terms and conditions of the lease;
- (2) Violations of federal, state or local law that imposes obligations on the tenant in connection with the occupancy or use of the premises, such as failure to comply with all obligations, restrictions, whether demonstrated by the landlord as rules or otherwise, which are in accordance with section 521-52, HRS, and which the landlord can demonstrate are

reasonably necessary for the preservation of the property or protection of the persons of the landlord, other tenants, or any other person;

- (3) Criminal activity by the tenant, any member of the household, a guest or another person under the tenant's control that threatens the health, safety or right to peaceful enjoyment of the premises by the other residents, or persons residing in the immediate vicinity of the premises or any drug-related criminal activity on or near the premises; or

- (4) Other good cause.

(c) During the initial term of the lease, the owner may not terminate the tenancy for "other good cause" unless the owner is terminating the tenancy because of something the family did or failed to do.

(d) The owner shall provide the tenant a written notice specifying the grounds for termination of tenancy pursuant to chapter 521, HRS, before the commencement of the eviction action. The notice of grounds provided in 982.310(e)(1)(ii), CFR, as it existed on October 20, 2022, may be included in, or may be combined with, any owner eviction notice to the tenant. The owner eviction notice means a notice to vacate, or a complaint, or other initial pleading used under State or local law to commence an eviction action.

(e) Housing assistance payments are paid to the owner under the terms of the HAP contract. If the owner has begun eviction and the family continues to reside in the dwelling unit, the authority shall continue to make housing assistance payments to the owner until the owner has obtained a court judgment or other process allowing the owner to evict the tenant. The authority may continue housing assistance payments until the family moves or is evicted from the dwelling unit. If the action is finalized in court, the owner must provide the authority with the documentation, including notice of the date of physical eviction.

(f) The authority shall continue making housing assistance payments to the owner in accordance with the contract as long as the tenant continues to occupy the dwelling unit in accordance with the terms of the lease. By endorsing the monthly check from the authority, the owner certifies that the tenant is still in the dwelling unit, and that the rent is reasonable and in compliance with the contract.

(g) If an eviction is not due to a serious or repeated violation of the lease, and if the authority has no other grounds for termination of assistance, the authority may issue a new voucher so that the family can move with continued assistance.

(h) The family is not responsible for payment of the portion of the rent to owner covered by the housing assistance payment under HAP contract between the owner and the authority. The authority's failure to pay the housing assistance payment to the owner is not a violation of the lease between the tenant and the owner. During the term of the lease, the owner may not terminate the tenancy of the family for nonpayment of the authority's housing assistance payment. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §§982.310, 982.455)

**§17-2031-66 Termination of participation.**

(a) The authority shall terminate a family's participation in the program when:

- (1) The family has been evicted from housing assistance under the program for serious violation of the lease;
- (2) Any member of the family fails to sign and submit consent forms for obtaining information in accordance with the program; or
- (3) The family does not submit required evidence of citizenship or eligible immigration status.
- (4) Any family member fails to meet the eligibility requirements concerning

- individuals enrolled at an institution of higher education as specified in 24 C.F.R. 5.612, as it existed on October 20, 2022.
- (b) The authority may terminate a family's participation in the program when:
    - (1) The family fails to fulfill their obligations under the program;
    - (2) Any member of the family has committed fraud, bribery, or any other corrupt or criminal act in connection with any federal housing program;
    - (3) The family is under contract and one hundred and eighty days have elapsed since the last housing assistance payment was made due to housing assistance payment being zero dollars, or other participant related reason;
    - (4) The family has not reimbursed any public housing agency for amounts paid to an owner under a HAP contract on behalf of the family for rent, damages to the dwelling unit, or other amounts owed by the family under the lease;
    - (5) The family breaches an agreement with the authority to pay amounts owed to the authority, or amounts paid to an owner by the authority;
    - (6) Any member of the family has engaged in or threatened abusive or violent behavior toward the authority's personnel. Threatened means an oral or written threat or physical gestures that communicate an intent to abuse or commit violence. Abusive or violent behavior may be verbal or physical and include use of expletives that are generally considered insulting, racial epithets, or other language, written or oral, that is customarily used to insult or intimidate;
    - (7) Any member of the family has engaged in any drug-related criminal activity or violent criminal activity. For the purpose of this



subsection, "violent criminal activity" means any illegal criminal activity that has as one of its elements the use, attempted use, or threatened use of physical force against the person or property of another;

- (8) Any member of the family is illegally using a controlled substance or whose illegal use or pattern of abuse of a controlled substance, or whose abuse of alcohol or pattern of abuse of alcohol is determined by the authority to interfere with the health, safety, or right to peaceful enjoyment of a rental premises by other residents. In determining whether to terminate assistance based on a pattern of illegal use of a controlled substance or a pattern of abuse of alcohol by a household member, the authority may consider rehabilitation as provided for under 42 U.S.C.

§13661(b)(2)(A)-(C), as it existed on October 20, 2022, which is incorporated by reference and attached as exhibit G;

- (9) A family participating in the family self-sufficiency program fails to comply, without good cause, with the family's family self-sufficiency contract of participation; or
- (10) Welfare-to-work family fails, willfully and persistently, to fulfill its obligations under the welfare-to-work voucher program.

(c) The authority may implement a lottery system to terminate a family's participation in the program if the authority must terminate housing assistance payment contracts due to insufficient funds. Families will be randomly chosen to be terminated from the housing choice voucher program. Individuals who are elderly, disabled, victims of domestic violence, or VASH participants shall be excluded from the lottery.

(d) A participant found to be ineligible for continued participation in the program shall be notified in writing by the authority and be accorded an opportunity to request an informal hearing as set forth in these rules. Such notice shall state the

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reasons for the authority's determination and that the participant has the opportunity to request an informal hearing. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §§982.551, 982.552, 982.553)

SUBCHAPTER 6

INFORMAL REVIEWS

**§17-2031-71 Informal review process for applicants.** (a) An applicant who has been denied assistance by the authority shall have an opportunity for an informal review pursuant to 24 C.F.R. §982.554, as it existed on October 20, 2022.

(b) The applicant shall provide the authority with a request for an informal review within fifteen days from the date of the authority's notification of denial of assistance.

(c) The informal review shall be scheduled within fifteen days from the date the written request is received by the authority and shall be conducted by any person or persons designated by the authority, but shall not be a person who made or approved the decision under review or a subordinate of this person.

(d) The applicant shall be given the opportunity to present oral or written objections to the authority's denial of assistance. Both the authority and the applicant may present evidence and witnesses. The applicant may be assisted by an attorney or other representative at his or her own expense.

(e) The informal review may be conducted by mail, video conference or telephone if acceptable to both parties.

(f) A written notice of the review of findings shall be provided to the applicant within thirty days after the review. The notice shall include the decision of the hearing officer and an explanation of the reasons for decision.

(g) An applicant who is denied assistance for citizen or immigrant status shall have an opportunity for an informal hearing pursuant to 24 C.F.R. §5.514, as it existed on October 20, 2022. [Eff  
] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §§982.54(d)(12), 982.554)

**§17-2031-72 Informal hearing process for participants.** (a) The authority shall give a participant an opportunity for an informal hearing to consider whether the following authority decisions relating to the individual circumstances of a participant family are in accordance with the law, HUD regulations and authority rules pursuant to:

- (1) A determination of the family's annual or adjusted income and the use of such income to compute the housing assistance payment;
- (2) A determination of the appropriate utility allowance, if any, for tenant-paid utilities from the authority's utility allowance schedule;
- (3) A determination of the family dwelling unit size under the authority's subsidy standards;
- (4) A determination that a family is residing in a dwelling unit with a larger number of bedrooms than appropriate for the family dwelling unit size under the authority's subsidy standards, or the authority's determination to deny the family's request for an exception from the standards;
- (5) A determination to terminate assistance for a participant family because of the family's action or failure to act;
- (6) A determination to terminate assistance because the participant family has been absent from the assisted dwelling unit for longer than the maximum period permitted; or
- (7) A determination to terminate a family's family self-sufficiency contract, withhold supportive services, or propose forfeiture of the family's escrow account.

(b) The opportunity for informal hearing shall be provided to participants prior to the termination of assistance.

(c) The participant shall provide the authority with a written request for an informal hearing within fifteen days of the authority's notification of determination.

(d) The informal hearing shall be scheduled within fifteen days from the date the written request is received and shall be conducted by any person or persons designated by the authority, but shall not be a person who made or approved the decision under review or a subordinate of this person.

(e) Prior to the informal hearing:

- (1) The participant shall be given the opportunity to examine any authority documents that are directly relevant to the hearing. The participant may copy any relevant document at the participant's expense.
- (2) The authority shall be given the opportunity to examine any family documents that are directly relevant to the hearing. The authority may copy any relevant document at the authority's expense.

(f) The participant and the authority shall be given the opportunity to present evidence and may question witnesses. Evidence may be considered without regard to admissibility under the rules of evidence applicable to judicial proceedings.

(g) The participant may be assisted by an attorney or other representative at the participant's expense.

(h) A written notice of the findings of the hearing officer shall be provided to the authority and participant within ten days upon conclusion of the informal hearing. The notice shall include:

- (1) A summary of the decision and reasons for the decision;
- (2) The amount owed and documentation of the calculation of monies owed and
- (3) The effective date of the decision.

(i) The authority shall not be bound by the decision of the hearing officer that:

- (1) Concerns matters in which the authority is not required to provide an opportunity for a hearing or that otherwise exceeds the authority of the hearing; or

- (2) Is contrary to HUD regulations or requirements, or otherwise contrary to federal, State, or local law.
- (3) If the authority determines that it is not bound by a decision of the hearing officer, the authority shall send a letter to the participant within thirty days of its determination. The letter shall state the reasons for the determination.

(j) A participant who is determined to be ineligible for assistance due to citizen or immigration status shall have an opportunity for an informal hearing pursuant to 24 C.F.R. §5.514, as it existed on October 20, 2022.

[Eff ] (Auth: 356D-13) (Imp: HRS §356D-13; 24 C.F.R. §§5.514, 982.54(d)(13), 982.555)

SUBCHAPTER 7

FAMILY SELF-SUFFICIENCY PROGRAM

**§17-2031-81 Family self-sufficiency program.**

The objective of the authority's family self-sufficiency ("FSS") program is to reduce the dependency of low-income families on welfare assistance and to reduce Section 8, public housing, or any federal, state, and local rent or homeownership subsidies. Under the family self-sufficiency program, low-income families are provided opportunities for education, job training, counseling, and other forms of social service assistance, while living in assisted housing, so that they may obtain the education, employment, and business and social skills necessary. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. Part 984)

**§17-2031-82 Eligibility.**

(a) Participants in the authority's Section 8 tenant-based program are eligible to participate in the family self-sufficiency program.

(b) Preference shall be given to applicants who already receive family self-sufficiency-related support services for fifty per cent or less of the allocations. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. Part 984)

**§17-2031-83 Recruitment and outreach.**

(a) The authority shall conduct outreach programs to recruit family self-sufficiency participants.

(b) Outreach efforts may include the following:

- (1) Sending informational brochures to each family participating in the authority's Section 8 program;
- (2) Conducting orientation sessions for families who express an interest in participating in the family self-sufficiency program; and
- (3) Identifying and targeting potential families in the authority's caseloads.  
[Eff \_\_\_\_\_] (Auth: HRS §356D-13)  
(Imp: HRS §356D-13; 24 C.F.R. Part 984)

**§17-2031-84 Selection.** (a) Families shall be selected without regard to race, color, religion, sex, handicap, familial status, or national origin.

(b) Families may be selected by date of receipt of application.

(c) In the event there are more applicants than family self-sufficiency allocations, the authority shall conduct a lottery to determine placement on the waiting list.

(d) Initially, up to one hundred thirty-six Section 8 participants shall be selected to participate in the family self-sufficiency program.

[Eff \_\_\_\_\_] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. Part 984)

**§17-2031-85 Termination or withholding services.**

(a) The authority shall monitor and assess the family self-sufficiency participant's progress and compliance with the goals set forth in the contract of participation. When the authority determines that the family self-sufficiency participant is not making progress or complying with the goals set forth in the contract of participation, the authority shall notify the family self-sufficiency participant of such determination and provide the family self-sufficiency participant six months to demonstrate compliance with the plan of the contract of participation.



(b) If no progress has been made or the family self-sufficiency participant is still not complying with the contract of participation after the six-month period, the authority shall provide the family self-sufficiency participant with a written notice of intent to terminate or withhold services and of the opportunity to request an informal hearing.

[Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. Part 984)

SUBCHAPTER 8

SECTION 8 PROJECT-BASED VOUCHER PROGRAM

**§17-2031-91 Purpose.** The purpose of this subchapter is to establish a procedure for the selection of dwelling units to which the authority may attach Section 8 voucher assistance. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. Part 983)

**§17-2031-92 Eligible projects.** (a) The authority may attach Section 8 voucher assistance to dwelling units in newly constructed and existing structures of various types including single-family housing and multifamily structures.

(b) The authority may not attach Section 8 voucher assistance to dwelling units in the following types of housing:

- (1) Owner occupied dwelling units; however, cooperatives are considered to be rental housing for purposes of this subchapter;
- (2) Mobile or manufactured homes;
- (3) Shared housing, nursing homes, and facilities providing continual psychiatric, medical, nursing services, board and care or intermediate care;
- (4) Except for existing dwelling units, housing for which the construction or rehabilitation has started prior to execution of an agreement with the authority;
- (5) Dwelling units within the grounds of penal, reformatory, medical, mental, and similar public or private institutions;
- (6) Housing located in an area that has been identified by the Federal Emergency Management Agency as having special flood

- hazards unless the community in which the area is situated is participating in the National Flood Insurance Program;
- (7) Housing located in the coastal barrier resources system designated under the Coastal Barrier Resources Act;
  - (8) College or other school dormitories;
  - (9) Dwelling units subsidized under other federal housing programs including:
    - (i) Public housing;
    - (ii) A dwelling unit subsidized by any other form of section 8 assistance;
    - (iii) A dwelling unit subsidized with any local or state rent subsidy;
    - (iv) A section 236 project or a dwelling unit subsidized with section 236 rental assistance payments;
    - (v) A Rural Development Administration section 515 project;
    - (vi) A dwelling unit subsidized with rental assistance payments under section 521 of the Housing Act of 1949 (a Rural Development Administration Program);
    - (vii) Housing assisted under former section 23 of the United States Housing Act of 1937 (before amendment by the Housing and Community Development Act of 1974);
    - (viii) A section 221(d)(3) project;
    - (ix) A project with a section 202 loan;
    - (x) A section 202 project for non-elderly persons with disabilities;
    - (xi) Section 202 supportive housing for the elderly;
    - (xii) Section 811 supportive housing for persons with disabilities;
    - (xiii) A section 101 rent supplement project;
    - (xiv) A dwelling unit subsidized with tenant-based assistance under the HOME program, or any dwelling unit with any other duplicative federal, state, or local housing subsidy, as determined by HUD.

§17-2031-92

[Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §§983.52, 983.53)

**§17-2031-93 Notification of project-based assistance.** (a) The authority shall publish requests for proposals to participate in the Section 8 project-based voucher program in a newspaper of general circulation once a week for three consecutive weeks. The advertisement shall state the number of vouchers available for project-based assistance; whether proposals will be accepted for rehabilitation, new construction, or existing dwelling units; state the selection criteria; and specify an application deadline of at least thirty days after the date the advertisement is last published.

(b) The authority may select dwelling units to which assistance is to be attached, without advertising under paragraph (a) of this section and without applying the selection factors otherwise required under section 17-2031-95, if attachment of project-based assistance would further the purposes of the sale of a public housing project to a resident management corporation under section 21 of the United States Housing Act of 1937. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §983.51)

**§17-2031-94 Applications for project-based assistance; information required.**

(a) Housing providers or agencies desiring Section 8 project-based voucher assistance shall submit to the authority a proposal, in the format prescribed by the authority, along with any additional information that the authority determines to be applicable.

(b) Housing provider or agency information may include, but is not limited to the following:

- (1) Name and address of the eligible housing provider or owner and other project principals and officers and principal members, shareholders, investors, and other parties having a substantial interest in the ownership of the project, and evidence of the applicant's status as a corporation, partnership, joint venture or other business organization;
- (2) Certification showing that the above-mentioned parties are not on the United States General Services Administration list of parties excluded from federal procurement and non-procurement programs or the State list of parties debarred or suspended; a disclosure of any possible conflict of interest by any of these parties that would be a violation of the agreement or the housing assistance payments contract;
- (3) To the extent available, certified copies of the housing provider's or owner's organizational documents, including its articles of incorporation and bylaws, declaration of trust, partnership or limited partnership agreement, together with all amendments thereto and, in the case of nonprofit organizations, a copy of the determination letter from the Internal Revenue Service as to recognition of exemption from federal income taxation;
- (4) A resume of the housing provider's experience in the construction or rehabilitation of rental housing projects including a list and a brief description of the projects in which the applicant participated;
- (5) A resume of the housing provider's or owner's experience in the management of rental housing projects including a list and a brief description of the projects which the applicant manages;

- (6) The name, title, address, and telephone number of the person to whom communications should be addressed;
  - (7) Evidence of the housing provider's or owner's legal authority to incur obligations and to sign and deliver such documents as may be necessary to finance, construct, or rehabilitate the project;
  - (8) A current certificate of good standing from the State department of commerce and consumer affairs and tax clearance from the State department of taxation;
  - (9) Evidence of the housing provider's or owner's ability to develop, own, market, manage, and provide appropriate services in connection with housing project;
  - (10) Evidence of the housing provider's or owner's financial ability to complete the project;
  - (11) The housing provider's or owner's ties to the community and support from local community groups;
  - (12) A description of any financial default, modification of terms and conditions of financing, or legal action taken or pending against the applicant or its principals;
  - (13) A description of the housing provider's or owner's experience or involvement in the provision of supportive services;
  - (14) A statement of the housing provider's or owner's past or current involvement with the authority or its predecessors, the housing finance and development corporation, the Hawaii housing authority or the housing and community development corporation of Hawaii, and the assistance, if any, received from those entities.
- (c) Project information may include, but is not limited to the following:
- (1) A description of the proposed housing project, including the number of dwelling units by square footage, bedroom count,

- bathroom count, sketches of the proposed building, dwelling units plans, listing of amenities and services, and the estimated date of completion;
- (2) Identification and description of the proposed site, site plan, and neighborhood characteristics;
  - (3) Identification of the census tract in which the project is located;
  - (4) Evidence of site control, such as a deed, agreement of sale, commitment letter, or development agreement;
  - (5) Availability of public services and facilities, such as schools, sewers, parks, and fire protection, and the adequacy thereof;
  - (6) If applicable, evidence that the proposed new construction is permitted by current zoning ordinances or regulations or evidence to indicate that the needed re-zoning is likely and will not delay the project;
  - (7) The proposed contract rent per dwelling unit, including an indication of which utilities, services, and equipment are included in the rent and which are not included. For those utilities that are not included in the rent, an estimate of the average monthly cost for each dwelling unit type for the first year of occupancy;
  - (8) A signed certification of the owner's intention to comply with all applicable federal requirements referenced in 24 CFR 983.4, as it existed on October 20, 2022;
  - (9) A statement from the owner certifying the number of persons, businesses, non-profit corporations occupying the property on the date of submission of the application; the number of persons displaced, temporarily relocated or moved permanently within the building complex; estimated cost of relocation payments and services; the funding source of relocation activities; and

- the name of the organization that will carry out the relocation activities;
- (10) The owner's plan for managing and maintaining the dwelling units;
  - (11) Evidence of financing or lender interest and the proposed terms of financing;
  - (12) The proposed term of the housing assistance payments contract;
  - (13) If applicable, a relocation plan that includes steps that will be taken to minimize the displacement of households, businesses, nonprofit organizations, and farms as a result of the project; and
  - (14) Such other information as the authority deems necessary. [Eff \_\_\_\_\_] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §§983.3, 983.6, 983.51)

**§17-2031-95 Review and screening of applications.**

(a) Applications shall be time and date stamped and assigned a number.

(b) Applications shall be screened for completeness, i.e., submission of information required under sections 17-2031-92 and 94. Applications that do not meet the application submission deadline or information requirements shall be rejected by the executive director.

(c) The authority shall review each application and any additional information submitted by the applicant or obtained from other sources in its review of each application. Additional information or data may be requested and the authority may independently verify any or all information supplied by the applicant. [Eff \_\_\_\_\_] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §983.51)

**§17-2031-96 Selection of project applications.**

(a) Based upon the review of the applications,



documents, and any additional information submitted by the applicants or obtained from other sources by the authority, the executive director shall prepare a recommendation to the board to attach Section 8 voucher assistance to specific projects.

(b) The board shall review the recommendation of the executive director and, if the board determines that the project-basing of Section 8 voucher assistance for a specific project is consistent with the public housing agency plan and the goals of deconcentrating poverty and expanding housing and economic opportunities, it may approve the application and authorize the executive director to allocate an appropriate amount of Section 8 voucher funding, subject to such terms and conditions as it deems necessary or appropriate to assure compliance with 24 C.F.R. part 983, as it existed on October 20, 2022 and these rules.

(c) Upon the board's approval to allocate Section 8 voucher funding to an applicant, the executive director shall notify the applicant of the allocation. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §983.52)

**§17-2031-97 Agreement to enter into housing assistance contract.** (a) The authority shall enter into an agreement with the selected project owner prior to the start of any new construction or rehabilitation.

(b) After the agreement has been executed, the owner shall promptly proceed with the construction or rehabilitation work as provided for in the agreement. If the work is not promptly commenced, diligently continued, or completed, the authority may terminate the agreement or take other appropriate action. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §983.101; Pub. Law 106-377, 114 Stat. 1441)

**§17-2031-98 Eligibility and selection of**

**tenants.** (a) Tenants in a section 8 project-based voucher assisted dwelling unit shall meet the eligibility criteria set forth in section 17-2031-22.

(b) The authority may use the section 8 tenant-based waiting list as set forth in section 17-2031-26. [Eff \_\_\_\_\_] (Auth: HRS §356D-13) (Imp: HRS §356D-13; 24 C.F.R. §983.203)

**§17-2031-99 Dwelling unit cap on project-based dwelling units by project**

(a) The authority may not select a proposal to provide project-based voucher assistance for dwelling units in a project or enter into an agreement or HAP contract to provide PBV assistance for dwelling units in a project, if the total number of dwelling units in the project that will receive PBV assistance during the term of the PBV HAP is more than 25 percent of the number of dwelling units, either assisted or unassisted, in the project.

(b) Exceptions to the 25 percent cap per project are permitted, where PBV dwelling units are not counted against the cap, when:

- (1) The dwelling units are in a single-family project, comprising one to four dwelling units; or
- (2) The dwelling units are excepted dwelling units in a multifamily project because they are made available for elderly or disabled families receiving supportive services, also known as qualifying families.

(c) The approved services are not required to be provide at or near the project.

(d) To qualify, a family must have at least one member receiving at least one qualifying supportive service. The authority shall not require participation in medical or disability-related services other than drug and alcohol treatment in the case of current abusers as a condition of living in an excepted dwelling unit, although such services may be offered. The following services may be offered to

families for a project to qualify for the 25 percent cap, depending on the needs of the family:

- (1) Palolo Valley Homes, Ohana Learning Center, 2170 Ahe Street, Honolulu, HI 96816; Owner: Mutual Housing Association of Hawaii:
  - (A) Computer access for the community to use for job search, printing documents, internet access, etc;
  - (B) University student assist children with homework;
  - (C) Resident services department provides referrals to available services in the community;
  - (D) Music lab;
  - (E) Reading room;
  - (F) Demonstration kitchen for children's cooking lessons;
  - (G) Nurses station/health room;
  - (H) HCAP education programs;
  - (I) Iolani School programs, STEM, Kai program; and
  - (J) Foodbank;
- (2) Towers of Kuhio Park, 1475 Linapuni Street #100, Honolulu, HI 96819; Owner: Michaels Development Company:
  - (A) Early childcare development preschools;
  - (B) Case management and referral services;
  - (C) Food bank and food programs;
  - (D) Out of school teen programming;
  - (E) Mental and behavioral health;
  - (F) Domestic violence prevention and intervention;
  - (G) Child abuse prevention and intervention;
  - (H) Child sex trafficking intervention;
  - (I) Community computer and resource centers;
  - (J) Educational and vocational financial aid;
  - (K) Parenting training;
  - (L) Job training and placement;
  - (M) Emergency financial support;

- (N) Financial literacy;
- (O) Housing navigation;
- (P) Gang and bullying prevention;
- (Q) Interpretation services;
- (R) Skills training and makers space;
- (S) Substance abuses referral services;
- (T) Community building and family engagement;
- (U) Acculturation services;
- (V) Walking school bus; and
- (W) English as a second language.

(e) A dwelling unit shall continue to count as an excepted dwelling unit for as long as the family resides in the dwelling unit, if a family at the time of initial tenancy is receiving, and while the resident of an excepted dwelling unit has received, FSS supportive services or any other supportive services as defined by the rules above, and successfully completes the FSS contract of participation or the supportive services requirement.

(f) On an annual basis, the authority will monitor all families receiving services to determine if such families will be allowed to continue receiving PBV assistance.

- (1) The authority will require families receiving services to provide written evidence from each provider confirming that the family has received all of the required services in the statement of family obligations or FSS contract of family participation; or
  - (2) Alternatively, each service provider will submit a report to the management of the property, identifying the services received by each family. The property owner will submit the report to the authority, who will verify that all services required in the statement of family obligation or FSS contract of participation received.
- [Eff \_\_\_\_\_] (Auth: HRS §356D-13)  
(Imp: HRS §356D-13; 24 C.F.R. §983.56)

**§17-2031-100 Rental assistance demonstration.**

Where the authority chooses to convert public housing projects to Rental Assistance Demonstration (RAD) Section 8 Project Based Voucher (PBV) the provisions of this section and its subsections will apply. In the event of a conflict between applicable RAD notices and guidance issued by HUD and the following provisions, applicable RAD notices and guidance apply. When future notices or amendments are issued by HUD and create a conflict, the authority shall amend its rules to comply with the new HUD requirements. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; HUD Notice H-2019-09 PIH-2019-23(HA) issued 9/5/2019 (RAD Notice))

**§17-2031-101 Term of the RAD PBV contract.**

(a) The initial contract will be for a period of at least fifteen years. The initial contract may be up to twenty years upon request of the project owner and with approval by the authority.

(b) Upon expiration of the initial contract, the authority must offer, and the project owner must accept, renewal of the contract subject to the terms and conditions applicable at the time of renewal and the availability of appropriated funds and the owner's satisfactory RAD PBV program performance, for such periods as the authority deems appropriate and in accordance with HUD instructions. [Eff

] (Auth: HRS §356D-13) (Imp: HRS §356D-13; HUD Notice H-2019-09 PIH-2019-23(HA) issued 9/5/2019 (RAD Notice) section 1.6.B.1-2)

**§17-2031-102 Contract rents.**

The initial rent to project owner will be provided by HUD based on the level of public housing capital and operating subsidies and tenant rents, and shall be further constrained by the reasonable rent and as otherwise provided in RAD program requirements.

§17-2031-102

[Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; HUD Notice H-2019-09 PIH-2019-23(HA) issued 9/5/2019 (RAD Notice) section 1.6.B.5)

**§17-2031-103 Re-determining rent to owner - rent reasonableness.** (a) Contract rents will be adjusted only by HUD's OCAF at each anniversary of the HAP contract, subject to the availability of appropriations for each year of the contract term.

(1) OCAF means "an operating cost adjustment factor established by HUD that is applied to the current contract rent, less the portion of the rent paid for debt service".

(b) The rent to project owner may at no time exceed the reasonable rent charged for comparable unassisted dwelling units in the private market, as determined by the authority in accordance with 24 CFR 983.303, as it existed on October 20, 2022. However, the rent to project owner shall not be reduced below the initial rent to owner for dwelling units under the initial HAP contract.

[Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; HUD Notice H-2019-09 PIH-2019-23(HA) issued 9/5/2019 (RAD Notice) section 1.6.B.6)

**§17-2031-104 Conversion from public housing to RAD.** (a) At conversion, current public housing households are not subject to rescreening, income eligibility, or income targeting. These households will be grandfathered for conditions that occurred prior to conversion, but will be subject to any ongoing eligibility requirements for actions that occur after conversion.

(b) Once any such household moves out, the dwelling unit must be leased to an eligible family. To facilitate the right to return to the assisted property, this provision shall apply to current public housing residents of the converting project that will

reside in non-RAD PBV dwelling units placed on a project site that contains RAD PBV dwelling units or PBRA dwelling units. Such families and such contract dwelling units otherwise will be subject to all requirements of the PBV program, except as may be modified by any RAD requirements.

(c) Households at project sites converting to RAD who were not public housing residents that will reside in non-RAD PBV dwelling units also will be subject to any applicable RAD requirements, to the extent such requirements modify otherwise applicable PBV requirements. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; HUD Notice H-2019-09 PIH-2019-23(HA) issued 9/5/2019 (RAD Notice) section 1.6. C.1)

**§17-2031-105 Phase-in of tenant rent increases.**

(a) If a tenant's monthly rent increases by more than the greater of ten percent or \$25 purely as a result of conversion, the rent increase will be phased in over 3 or 5 years.

(b) For each RAD transaction, the authority shall specify prior to conversion whether the length of the tenant rent phase-in will be 3 or 5 years, or a combination depending on circumstances. The authority will communicate the policy in writing to affected residents.

(c) The public housing dwelling units at Kuhio Park Towers, owned and managed by project owner KPT Towers 1, LLC, located at 1475 Linapuni Street #100, Honolulu, HI 96819, are converting to RAD. Upon conversion to RAD, if the tenant's monthly rent increases by more than the greater of ten percent or \$25 purely as a result of conversion, the rent increase shall be phased in over three (3) years. [Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; HUD Notice H-2019-09 PIH-2019-23(HA) issued 9/5/2019 (RAD Notice) section 1.6. C.3)

**§17-2031-106 Termination notification requirements.** (a) In addition to the regulations at 24 CFR 983.257, as it existed on October 20, 2022, related to project owner termination of tenancy and eviction, the termination procedure for RAD conversions to PBV will require adequate written notice of termination of the lease which shall be:

- (1) A reasonable period of time, but not to exceed 30 days:
  - (A) If the health or safety of other tenants, project owner employees, or persons residing in the immediate vicinity of the premises is threatened; or
  - (B) In the event of any drug-related or violent criminal activity or any felony conviction;
- (2) Not less than fourteen days in the case of nonpayment of rent;
- (3) Not less than thirty days in any other case, except that if a State or local law provides for a shorter period of time, such shorter period shall apply.

[Eff ] (Auth: HRS §356D-13)  
(Imp: HRS §356D-13; HUD Notice H-2019-09  
PIH-2019-23(HA) issued 9/5/2019 (RAD Notice)  
section 1.6. C.6)

**§17-2031-107 Grievance process.** (a) For the termination of assistance and several other authority determinations, the PBV program rules require the authority to provide an opportunity for an informal hearing, as outlined in 24 CFR 982.555, as it existed on October 20, 2022. RAD specifies alternative requirements for 24 CFR 982.555(b), as it existed on October 20, 2022, in part, to require that:

- (1) In addition to reasons that require an opportunity for an informal hearing given in 24 CFR 982.555(a)(1)(i)-(vi), as it existed on October 20, 2022, an opportunity for an



informal hearing must be given to families for any dispute that a family may have with respect to a project owner action in accordance with the family's lease or the authority in accordance with RAD PBV requirements that adversely affect the family's rights, obligations, welfare, or status.

- (A) For any hearing required under 24 CFR 982.555(a)(1)(i)-(vi), as it existed on October 20, 2022, the authority will perform the hearing, as is the current standard in the program. The hearing officer must be selected in accordance with 24 CFR 982.555(e)(4)(i), as it existed on October 20, 2022.
- (B) For any additional hearings required under RAD, the project owner will perform the hearing.
- (1) There is no right to an informal hearing for class grievances or to disputes between families not involving the project owner or the authority.
- (2) The project owner gives families notice of their ability to request an informal hearing as outlined in 24 CFR 982.555(c)(1), as it existed on October 20, 2022, for informal hearings that will address circumstances that fall outside of the scope of 24 CFR 982.555(a)(1)(i)-(vi), as it existed on October 20, 2022.
- (3) The project owner provides opportunity for an informal hearing before an eviction.  
 [Eff ] (Auth: HRS §356D-13)  
 (Imp: HRS §356D-13; HUD Notice H-2019-09  
 PIH-2019-23(HA) issued 9/5/2019 (RAD Notice)  
 section 1.6. C.6)

**§17-2031-108 Establishment of waiting list.**

(a) For public housing projects converting to Section 8 assistance through the RAD program, there shall be a preference established on the RAD waiting list for applicants currently on the public housing waiting list wishing to be added to the RAD or PBV site based waiting list for the converting dwelling units.

(b) Individuals on the public housing waiting list who wish to be added to the RAD waiting list shall maintain their original public housing application date. The authority considers this the best means to transition applicants from the current public housing waiting list as provided by RAD Notice 2019-23 as amended or superseded from time to time.

(c) At conversion, the authority will inform applicants on the applicable geographic or site based public housing waiting list via electronic or written notice of the availability of the PBV waiting list. The authority will inform individuals of the opening of the waiting list consistent with 24 CFR 983.251, as it existed on October 20, 2022, and these rules.

(d) The authority shall maintain its waiting list in accordance with all applicable civil rights and fair housing laws and regulations. [Eff

] (Auth: HRS §356D-13) (Imp: HRS §356D-13; HUD Notice H-2019-09 PIH-2019-23(HA) issued 9/5/2019 (RAD Notice) section 1.6. D.4)

**§17-2031-109 Resident participation and funding.**

For public housing conversions to long-term, project-based Section 8 voucher rental assistance contracts, including RAD, residents will have the right to establish and operate a resident organization for the purpose of addressing issues related to their living environment and be eligible for resident participation funding. Project owners must provide \$25 per occupied replacement PBV dwelling unit annually for resident participation, of which at least \$15 per occupied

dwelling unit shall be provided to the legitimate resident organization at the property.  
[Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; HUD Notice H-2019-09 PIH-2019-23(HA) issued 9/5/2019 (RAD Notice) section 1.6. C.5)

**§17-2031-110 Voucher inventory turnover cap.**  
The authority shall not have a voucher turnover cap.  
[Eff ] (Auth: HRS §356D-13) (Imp: HRS §356D-13; HUD Notice H-2019-09 PIH-2019-23(HA) issued 9/5/2019 (RAD Notice) section 1.6. D.8)

SUBCHAPTER 9

MISCELLANEOUS PROVISIONS

**§17-2031-201 Severability.** If any part, section, sentence, clause, or phrase of this chapter, of its application to any person or transaction or other circumstances is for any reason held to be unconstitutional or invalid, the remaining parts, sections, sentences, clauses, and phrases of this chapter, or the application of this chapter to other persons or transactions or circumstances shall not be affected. [Eff: ] (Auth: HRS §356D-13) (Imp: HRS §356D-13)

**§17-2031-202 Number.** The use of all words used in the singular shall extend to and include the plural." [Eff: ] (Auth: HRS §356D-13) (Imp: HRS §1-17)

2. The repeal of Chapter 15-185 shall take effect ten days after filing with the Office of the Lieutenant Governor.
3. The adoption of Chapter 17-2031, Hawaii Administrative Rules, shall take effect ten days after filing with the Office of the Lieutenant Governor.

I certify that the foregoing are copies of the rules drafted in the Ramseyer format, pursuant to the requirements of section 91-4.1, Hawaii Revised Statutes, which were adopted on \_\_\_\_\_, and files with the Office of the Lieutenant Governor.

\_\_\_\_\_  
Robert J. Hall, Chairperson  
Board of Directors  
Hawaii Public Housing  
Authority

APPROVED AS TO FORM:

\_\_\_\_\_  
Deputy Attorney General



Displaying title 24, up to date as of 10/05/2022. Title 24 was last amended 9/26/2022.

## Title 24 - Housing and Urban Development

### Subtitle A - Office of the Secretary, Department of Housing and Urban Development

#### Part 5 - General HUD Program Requirements; Waivers

##### Subpart F

#### - Section 8 and Public Housing, and Other HUD Assisted Housing Serving Persons with Disabilities: Family Income and Family Payment; Occupancy Requirements for Section 8 Project-Based Assistance Family Income

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##### EDITORIAL NOTE ON PART 5

**Editorial Note:** Nomenclature changes to part 5 appear at 65 FR 16715, Mar. 29, 2000.

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### § 5.611 Adjusted income.

Adjusted income means annual income (as determined by the responsible entity, defined in § 5.100 and § 5.603) of the members of the family residing or intending to reside in the dwelling unit, after making the following deductions:

- (a) **Mandatory deductions.** In determining adjusted income, the responsible entity must deduct the following amounts from annual income:
  - (1) \$480 for each dependent;
  - (2) \$400 for any elderly family or disabled family;
  - (3) The sum of the following, to the extent the sum exceeds three percent of annual income:
    - (i) Unreimbursed medical expenses of any elderly family or disabled family; and
    - (ii) Unreimbursed reasonable attendant care and auxiliary apparatus expenses for each member of the family who is a person with disabilities, to the extent necessary to enable any member of the family (including the member who is a person with disabilities) to be employed. This deduction may not exceed the earned income received by family members who are 18 years of age or older and who are able to work because of such attendant care or auxiliary apparatus; and
  - (4) Any reasonable child care expenses necessary to enable a member of the family to be employed or to further his or her education.
- (b) **Additional deductions.**
  - (1) For public housing, a PHA may adopt additional deductions from annual income. The PHA must establish a written policy for such deductions.
  - (2) For the HUD programs listed in § 5.601(d), the responsible entity shall calculate such other deductions as required and permitted by the applicable program regulations.

[66 FR 6223, Jan. 19, 2001]



Displaying title 24, up to date as of 10/05/2022. Title 24 was last amended 9/26/2022.

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##### EDITORIAL NOTE ON PART 5

**Editorial Note:** Nomenclature changes to part 5 appear at 65 FR 16715, Mar. 29, 2000.

### § 5.609 Annual income.

(a) *Annual income* means all amounts, monetary or not, which:

- (1) Go to, or on behalf of, the family head or spouse (even if temporarily absent) or to any other family member; or
- (2) Are anticipated to be received from a source outside the family during the 12-month period following admission or annual reexamination effective date; and
- (3) Which are not specifically excluded in paragraph (c) of this section.
- (4) Annual income also means amounts derived (during the 12-month period) from assets to which any member of the family has access.

§ 5.609(b) ) Annual income includes, but is not limited to:

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- (1) The full amount, before any payroll deductions, of wages and salaries, overtime pay, commissions, fees, tips and bonuses, and other compensation for personal services;
- (2) The net income from the operation of a business or profession. Expenditures for business expansion or amortization of capital indebtedness shall not be used as deductions in determining net income. An allowance for depreciation of assets used in a business or profession may be deducted, based on straight line depreciation, as provided in Internal Revenue Service regulations. Any withdrawal of cash or assets from the operation of a business or profession will be included in income, except to the extent the withdrawal is reimbursement of cash or assets invested in the operation by the family;
- (3) Interest, dividends, and other net income of any kind from real or personal property. Expenditures for amortization of capital indebtedness shall not be used as deductions in determining net income. An allowance for depreciation is permitted only as authorized in paragraph (b)(2) of this section. Any withdrawal of cash or assets from an investment will be included in income, except to the extent the withdrawal is reimbursement of cash or assets invested by the family. Where the family has net family assets in excess of \$5,000, annual income shall include the greater of the actual income derived from all net family assets or a percentage of the value of such assets based on the current passbook savings rate, as determined by HUD;
- (4) The full amount of periodic amounts received from Social Security, annuities, insurance policies, retirement funds, pensions, disability or death benefits, and other similar types of periodic receipts, including a lump-sum amount or prospective monthly amounts for the delayed start of a periodic amount (except as provided in paragraph (c)(14) of this section);
- (5) Payments in lieu of earnings, such as unemployment and disability compensation, worker's compensation and severance pay (except as provided in paragraph (c)(3) of this section);
- (6) *Welfare assistance payments.*
  - (i) Welfare assistance payments made under the Temporary Assistance for Needy Families (TANF) program are included in annual income only to the extent such payments:

- (A) Qualify as assistance under the TANF program definition at 45 CFR 260.31; and
  - (B) Are not otherwise excluded under paragraph (c) of this section.
- (ii) If the welfare assistance payment includes an amount specifically designated for shelter and utilities that is subject to adjustment by the welfare assistance agency in accordance with the actual cost of shelter and utilities, the amount of welfare assistance income to be included as income shall consist of:
- (A) The amount of the allowance or grant exclusive of the amount specifically designated for shelter or utilities; plus
  - (B) The maximum amount that the welfare assistance agency could in fact allow the family for shelter and utilities. If the family's welfare assistance is ratably reduced from the standard of need by applying a percentage, the amount calculated under this paragraph shall be the amount resulting from one application of the percentage.
- (7) Periodic and determinable allowances, such as alimony and child support payments, and regular contributions or gifts received from organizations or from persons not residing in the dwelling;
- (8) All regular pay, special pay and allowances of a member of the Armed Forces (except as provided in paragraph (c)(7) of this section).
- (9) For section 8 programs only and as provided in 24 CFR 5.612, any financial assistance, in excess of amounts received for tuition and any other required fees and charges, that an individual receives under the Higher Education Act of 1965 (20 U.S.C. 1001 *et seq.*), from private sources, or from an institution of higher education (as defined under the Higher Education Act of 1965 (20 U.S.C. 1002)), shall be considered income to that individual, except that financial assistance described in this paragraph is not considered annual income for persons over the age of 23 with dependent children. For purposes of this paragraph, "financial assistance" does not include loan proceeds for the purpose of determining income.
- (c) Annual income does not include the following:
- (1) Income from employment of children (including foster children) under the age of 18 years;
  - (2) Payments received for the care of foster children or foster adults (usually persons with disabilities, unrelated to the tenant family, who are unable to live alone);
  - (3) Lump-sum additions to family assets, such as inheritances, insurance payments (including payments under health and accident insurance and worker's compensation), capital gains and settlement for personal or property losses (except as provided in paragraph (b)(5) of this section);
  - (4) Amounts received by the family that are specifically for, or in reimbursement of, the cost of medical expenses for any family member;
  - (5) Income of a live-in aide, as defined in § 5.403;
  - (6) Subject to paragraph (b)(9) of this section, the full amount of student financial assistance paid directly to the student or to the educational institution;
  - (7) The special pay to a family member serving in the Armed Forces who is exposed to hostile fire;
  - (8)
    - (i) Amounts received under training programs funded by HUD;
    - (ii) Amounts received by a person with a disability that are disregarded for a limited time for purposes of Supplemental Security Income eligibility and benefits because they are set aside for use under a Plan to Attain Self-Sufficiency (PASS);
    - (iii) Amounts received by a participant in other publicly assisted programs which are specifically for or in reimbursement of out-of-pocket expenses incurred (special equipment, clothing, transportation, child care, etc.) and which are made solely to allow participation in a specific program;
    - (iv) Amounts received under a resident service stipend. A resident service stipend is a modest amount (not to exceed \$200 per month) received by a resident for performing a service for the PHA or owner, on a part-time basis, that enhances the quality of life in the development. Such services may include, but are not limited to, fire patrol, hall



monitoring, lawn maintenance, resident initiatives coordination, and serving as a member of the PHA's governing board. No resident may receive more than one such stipend during the same period of time;

- (v) Incremental earnings and benefits resulting to any family member from participation in qualifying State or local employment training programs (including training programs not affiliated with a local government) and training of a family member as resident management staff. Amounts excluded by this provision must be received under employment training programs with clearly defined goals and objectives, and are excluded only for the period during which the family member participates in the employment training program;
  - (9) Temporary, nonrecurring or sporadic income (including gifts);
  - (10) Reparation payments paid by a foreign government pursuant to claims filed under the laws of that government by persons who were persecuted during the Nazi era;
  - (11) Earnings in excess of \$480 for each full-time student 18 years old or older (excluding the head of household and spouse);
  - (12) Adoption assistance payments in excess of \$480 per adopted child;
  - (13) [Reserved]
  - (14) Deferred periodic amounts from supplemental security income and Social Security benefits that are received in a lump sum amount or in prospective monthly amounts, or any deferred Department of Veterans Affairs disability benefits that are received in a lump sum amount or in prospective monthly amounts.
  - (15) Amounts received by the family in the form of refunds or rebates under State or local law for property taxes paid on the dwelling unit;
  - (16) Amounts paid by a State agency to a family with a member who has a developmental disability and is living at home to offset the cost of services and equipment needed to keep the developmentally disabled family member at home; or
  - (17) Amounts specifically excluded by any other Federal statute from consideration as income for purposes of determining eligibility or benefits under a category of assistance programs that includes assistance under any program to which the exclusions set forth in 24 CFR 5.609(c) apply. A notice will be published in the FEDERAL REGISTER and distributed to PHAs and housing owners identifying the benefits that qualify for this exclusion. Updates will be published and distributed when necessary.
- (d) **Annualization of income.** If it is not feasible to anticipate a level of income over a 12-month period (e.g., seasonal or cyclic income), or the PHA believes that past income is the best available indicator of expected future income, the PHA may annualize the income anticipated for a shorter period, subject to a redetermination at the end of the shorter period.

[61 FR 54498, Oct. 18, 1996, as amended at 65 FR 16716, Mar. 29, 2000; 67 FR 47432, July 18, 2002; 70 FR 77743, Dec. 30, 2005; 79 FR 36164, June 25, 2014; 81 FR 12370, Mar. 8, 2016]

## INCOME LIMITS

Income Limits for Admission  
(Effective April 18, 2022)

|                                    | 1<br>Person | 2<br>Persons | 3<br>Persons | 4<br>Persons | 5<br>Persons | 6<br>Persons | 7<br>Persons | 8<br>Persons |
|------------------------------------|-------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| City &<br>County<br>of<br>Honolulu | \$45,750    | \$52,250     | \$54,800     | \$65,300     | \$70,550     | \$75,750     | \$81,000     | \$86,200     |
| County<br>Of<br>Hawaii             | \$33,350    | \$38,100     | \$42,850     | \$47,600     | \$51,450     | \$55,250     | \$59,050     | \$62,850     |
| County<br>of Kauai                 | \$39,900    | \$45,600     | \$51,300     | \$57,000     | \$61,600     | \$66,150     | \$70,700     | \$75,250     |
| County<br>of Maui                  | \$39,950    | \$45,650     | \$51,350     | \$57,050     | \$61,650     | \$66,200     | \$70,750     | \$75,350     |

## EXHIBIT D

### "Subsidy Standards"

In determining the appropriate dwelling unit size to be entered on the voucher, the following criteria shall be applied:

1. The smallest dwelling unit suitable for the family size shall be assigned.
2. Each bedroom shall be occupied by at least one person and no more than two persons shall be assigned to a bedroom.
3. Every member of the family, regardless of age, shall be counted as a person; except that a child not yet born by a pregnant household member shall not be counted as a person in determining dwelling unit size.
4. Persons of the opposite sex (other than spouses) over the age of three, and unrelated adults shall be allocated separate bedrooms;
5. A foster child shall be included in determining dwelling unit size only if the child shall remain in the dwelling unit for more than six months.
6. A live-in aide shall be provided a separate bedroom; however, no additional bedrooms shall be provided for a live-in aide's family.
7. Exceptions are allowed for verifiable health and safety reasons.

Application of the above criteria results in the following subsidy standards:

| Voucher<br>Size | Minimum Number<br>of Persons in<br>Household | Maximum Number<br>of Persons in<br>Household |
|-----------------|----------------------------------------------|----------------------------------------------|
| 0               | 1                                            | 1                                            |
| 1               | 1*                                           | 2                                            |
| 2               | 2                                            | 4                                            |
| 3               | 4                                            | 6                                            |
| 4               | 6                                            | 8                                            |
| 5               | 8                                            | 10                                           |

## EXHIBIT D

\*A voucher for a 1 bedroom dwelling unit would be issued to a single person household only when there are no (0/studio) bedroom dwellings available in the area.

In the inspection of a dwelling unit before leasing, the dwelling unit must meet the Occupancy Standards set by the respective county. See Exhibit E, "HPHA OCCUPANCY STANDARDS", which shall be incorporated as part of this subsection.



- B. Efficiency Dwelling Units (studios)  
 Measure living room area (do not include kitchen area, but may include dining space if in one area)
- |                             |                          |
|-----------------------------|--------------------------|
| 1st 70 sq. ft.              | 2 persons                |
| each additional 100 sq. ft. | 1 person per 100 sq. ft. |

### III. County of Kauai

- A. One (1) or more bedrooms
1. Living Room - Cannot be used as a sleeping area
  2. Bedroom #1  
 Measure bedroom area (do not include closet, halls, bathrooms)
- |                            |                         |
|----------------------------|-------------------------|
| 1st 120 sq. ft.            | 2 persons               |
| each additional 50 sq. ft. | 1 person per 50 sq. ft. |
3. Bedroom #2  
 Measure bedroom area (do not include closet, halls, bathrooms)
- |                            |                         |
|----------------------------|-------------------------|
| 1st 70 sq. ft.             | 2 persons               |
| each additional 50 sq. ft. | 1 person per 50 sq. ft. |
4. Bedroom #3 and on  
 Measure bedroom area (do not include closet, halls, bathrooms)
- |                            |                         |
|----------------------------|-------------------------|
| 1st 80 sq. ft.             | 2 persons               |
| each additional 50 sq. ft. | 1 person per 50 sq. ft. |
- B. Efficiency Dwelling Units (studios)  
 Measure living room area (do not include kitchen area, but may include dining space if in one area)
- |                             |                          |
|-----------------------------|--------------------------|
| 1st 70 sq. ft.              | 2 persons                |
| each additional 100 sq. ft. | 1 person per 100 sq. ft. |

## IV. County of Hawaii

- A. One (1) or more bedrooms (Housing Code states that overcrowding is prohibited)
1. Living Room - (must be 120 sq. ft. minimum)
  2. Bedroom #1 - (must be 120 sq. ft. minimum)
  3. Bedroom #2 - (must be 80 sq. ft. minimum)
- B. Efficiency Dwelling Units (studios)  
Measure living room area (do not include kitchen area, but may include dining space if in one area)
- |                             |                          |
|-----------------------------|--------------------------|
| 1st 70 sq. ft.              | 2 persons                |
| each additional 100 sq. ft. | 1 person per 100 sq. ft. |

## EXHIBIT F

## Utility Allowance Schedule

See Public Reporting and Instructions on back.

U.S Department of Housing and

Urban Development

Office of Public and Indian Housing

OMB Approval No. 2577-0169

exp. 7/31/2022

The following allowances are used to determine the total cost of tenant-furnished utilities and appliances.

| Locality/PHA<br><b>Hawaii Public Housing Authority</b>                                                       |                      | Unit Type<br><b>Apartment/Duplex/Townhome</b> |       |       |                           |       | Date (mm/dd/yyyy)<br><b>8/1/2022</b> |
|--------------------------------------------------------------------------------------------------------------|----------------------|-----------------------------------------------|-------|-------|---------------------------|-------|--------------------------------------|
| Utility or Service                                                                                           | Fuel Type            | 0 BR                                          | 1 BR  | 2 BR  | 3 BR                      | 4 BR  | 5 BR                                 |
| Heating                                                                                                      | Natural Gas          |                                               |       |       |                           |       |                                      |
|                                                                                                              | Bottled Gas          |                                               |       |       |                           |       |                                      |
|                                                                                                              | Electric             |                                               |       |       |                           |       |                                      |
|                                                                                                              | Electric – Heat Pump |                                               |       |       |                           |       |                                      |
|                                                                                                              | Fuel Oil             |                                               |       |       |                           |       |                                      |
|                                                                                                              | Other                |                                               |       |       |                           |       |                                      |
| Cooking                                                                                                      | Natural Gas          | \$16                                          | \$19  | \$28  | \$37                      | \$45  | \$54                                 |
|                                                                                                              | Bottled Gas          |                                               |       |       |                           |       |                                      |
|                                                                                                              | Electric             | \$27                                          | \$32  | \$47  | \$62                      | \$77  | \$91                                 |
|                                                                                                              | Other                |                                               |       |       |                           |       |                                      |
| Other Electric                                                                                               |                      | \$120                                         | \$141 | \$197 | \$252                     | \$308 | \$365                                |
| Air Conditioning                                                                                             |                      |                                               |       |       |                           |       |                                      |
| Water Heating                                                                                                | Natural Gas          | \$38                                          | \$45  | \$65  | \$85                      | \$105 | \$125                                |
|                                                                                                              | Bottled Gas          |                                               |       |       |                           |       |                                      |
|                                                                                                              | Electric             | \$68                                          | \$81  | \$104 | \$127                     | \$149 | \$172                                |
|                                                                                                              | Fuel Oil             |                                               |       |       |                           |       |                                      |
| Water                                                                                                        |                      | \$45                                          | \$49  | \$77  | \$118                     | \$160 | \$214                                |
| Sewer                                                                                                        |                      | \$97                                          | \$101 | \$125 | \$160                     | \$196 | \$231                                |
| Trash Collection                                                                                             |                      |                                               |       |       |                           |       |                                      |
| Other – specify                                                                                              |                      |                                               |       |       |                           |       |                                      |
| Range/Microwave                                                                                              |                      | \$20                                          | \$20  | \$20  | \$20                      | \$20  | \$20                                 |
| Refrigerator                                                                                                 |                      | \$21                                          | \$21  | \$21  | \$21                      | \$21  | \$21                                 |
| <b>Actual Family Allowances</b> – May be used by the family to compute allowance while searching for a unit. |                      |                                               |       |       | Utility/Service/Appliance |       | Allowance                            |
|                                                                                                              |                      |                                               |       |       | Heating                   |       |                                      |
| Head of Household Name                                                                                       |                      |                                               |       |       | Cooking                   |       |                                      |
|                                                                                                              |                      |                                               |       |       | Other Electric            |       |                                      |
|                                                                                                              |                      |                                               |       |       | Air Conditioning          |       |                                      |
|                                                                                                              |                      |                                               |       |       | Water Heating             |       |                                      |
| Unit Address                                                                                                 |                      |                                               |       |       | Water                     |       |                                      |
|                                                                                                              |                      |                                               |       |       | Sewer                     |       |                                      |
|                                                                                                              |                      |                                               |       |       | Trash Collection          |       |                                      |
|                                                                                                              |                      |                                               |       |       | Other                     |       |                                      |
|                                                                                                              |                      |                                               |       |       | Range/Microwave           |       |                                      |
| Number of Bedrooms                                                                                           |                      |                                               |       |       | Refrigerator              |       |                                      |
|                                                                                                              |                      |                                               |       |       | Total                     |       |                                      |



The following allowances are used to determine the total cost of tenant-furnished utilities and appliances.

| Locality/PHA<br><b>Hawaii Public Housing Authority</b>                                                       |                      | Unit Type<br><b>Single Family</b> |       |       |                           |       | Date (mm/dd/yyyy)<br><b>8/1/2022</b> |
|--------------------------------------------------------------------------------------------------------------|----------------------|-----------------------------------|-------|-------|---------------------------|-------|--------------------------------------|
| Utility or Service                                                                                           | Fuel Type            | 0 BR                              | 1 BR  | 2 BR  | 3 BR                      | 4 BR  | 5 BR                                 |
| Heating                                                                                                      | Natural Gas          |                                   |       |       |                           |       |                                      |
|                                                                                                              | Bottled Gas          |                                   |       |       |                           |       |                                      |
|                                                                                                              | Electric             |                                   |       |       |                           |       |                                      |
|                                                                                                              | Electric – Heat Pump |                                   |       |       |                           |       |                                      |
|                                                                                                              | Fuel Oil             |                                   |       |       |                           |       |                                      |
|                                                                                                              | Other                |                                   |       |       |                           |       |                                      |
| Cooking                                                                                                      | Natural Gas          | \$16                              | \$19  | \$28  | \$37                      | \$45  | \$54                                 |
|                                                                                                              | Bottled Gas          |                                   |       |       |                           |       |                                      |
|                                                                                                              | Electric             | \$27                              | \$32  | \$47  | \$62                      | \$77  | \$91                                 |
|                                                                                                              | Other                |                                   |       |       |                           |       |                                      |
| Other Electric                                                                                               |                      | \$152                             | \$179 | \$249 | \$320                     | \$392 | \$463                                |
| Air Conditioning                                                                                             |                      |                                   |       |       |                           |       |                                      |
| Water Heating                                                                                                | Natural Gas          | \$41                              | \$48  | \$70  | \$91                      | \$113 | \$134                                |
|                                                                                                              | Bottled Gas          |                                   |       |       |                           |       |                                      |
|                                                                                                              | Electric             | \$73                              | \$87  | \$111 | \$136                     | \$160 | \$184                                |
|                                                                                                              | Fuel Oil             |                                   |       |       |                           |       |                                      |
| Water                                                                                                        |                      | \$45                              | \$49  | \$77  | \$118                     | \$160 | \$214                                |
| Sewer                                                                                                        |                      | \$97                              | \$101 | \$125 | \$160                     | \$196 | \$231                                |
| Trash Collection                                                                                             |                      |                                   |       |       |                           |       |                                      |
| Other – specify                                                                                              |                      |                                   |       |       |                           |       |                                      |
| Range/Microwave                                                                                              |                      | \$20                              | \$20  | \$20  | \$20                      | \$20  | \$20                                 |
| Refrigerator                                                                                                 |                      | \$21                              | \$21  | \$21  | \$21                      | \$21  | \$21                                 |
| <b>Actual Family Allowances</b> – May be used by the family to compute allowance while searching for a unit. |                      |                                   |       |       | Utility/Service/Appliance |       | Allowance                            |
| Head of Household Name                                                                                       |                      |                                   |       |       | Heating                   |       |                                      |
|                                                                                                              |                      |                                   |       |       | Cooking                   |       |                                      |
|                                                                                                              |                      |                                   |       |       | Other Electric            |       |                                      |
|                                                                                                              |                      |                                   |       |       | Air Conditioning          |       |                                      |
| Unit Address                                                                                                 |                      |                                   |       |       | Water Heating             |       |                                      |
|                                                                                                              |                      |                                   |       |       | Water                     |       |                                      |
|                                                                                                              |                      |                                   |       |       | Sewer                     |       |                                      |
|                                                                                                              |                      |                                   |       |       | Trash Collection          |       |                                      |
|                                                                                                              |                      |                                   |       |       | Other                     |       |                                      |
| Number of Bedrooms                                                                                           |                      |                                   |       |       | Range/Microwave           |       |                                      |
|                                                                                                              |                      |                                   |       |       | Refrigerator              |       |                                      |
|                                                                                                              |                      |                                   |       |       | Total                     |       |                                      |

**42 USC 13661: Screening of applicants for federally assisted housing**

Text contains those laws in effect on October 6, 2022

**From Title 42-THE PUBLIC HEALTH AND WELFARE**CHAPTER 135-RESIDENCY AND SERVICE REQUIREMENTS IN FEDERALLY ASSISTED HOUSING  
SUBCHAPTER V-SAFETY AND SECURITY IN PUBLIC AND ASSISTED HOUSING**Jump To:**[Source Credit](#)[Miscellaneous](#)[Codification](#)[Effective Date](#)**§13661. Screening of applicants for federally assisted housing****(a) Ineligibility because of eviction for drug crimes**

Any tenant evicted from federally assisted housing by reason of drug-related criminal activity (as such term is defined in section 1437a(b) of this title) shall not be eligible for federally assisted housing during the 3-year period beginning on the date of such eviction, unless the evicted tenant successfully completes a rehabilitation program approved by the public housing agency (which shall include a waiver of this subsection if the circumstances leading to eviction no longer exist).

**(b) Ineligibility of illegal drug users and alcohol abusers****(1) In general**

Notwithstanding any other provision of law, a public housing agency or an owner of federally assisted housing, as determined by the Secretary, shall establish standards that prohibit admission to the program or admission to federally assisted housing for any household with a member-

(A) who the public housing agency or owner determines is illegally using a controlled substance; or

(B) with respect to whom the public housing agency or owner determines that it has reasonable cause to believe that such household member's illegal use (or pattern of illegal use) of a controlled substance, or abuse (or pattern of abuse) of alcohol, may interfere with the health, safety, or right to peaceful enjoyment of the premises by other residents.

**(2) Consideration of rehabilitation**

In determining whether, pursuant to paragraph (1)(B), to deny admission to the program or federally assisted housing to any household based on a pattern of illegal use of a controlled substance or a pattern of abuse of alcohol by a household member, a public housing agency or an owner may consider whether such household member-

(A) has successfully completed a supervised drug or alcohol rehabilitation program (as applicable) and is no longer engaging in the illegal use of a controlled substance or abuse of alcohol (as applicable);

(B) has otherwise been rehabilitated successfully and is no longer engaging in the illegal use of a controlled substance or abuse of alcohol (as applicable); or

(C) is participating in a supervised drug or alcohol rehabilitation program (as applicable) and is no longer engaging in the illegal use of a controlled substance or abuse of alcohol (as applicable).

**(c) Authority to deny admission to criminal offenders**

Except as provided in subsections (a) and (b) of this section and in addition to any other authority to screen applicants, in selecting among applicants for admission to the program or to federally assisted housing, if the public housing agency or owner of such housing (as applicable) determines that an applicant or any member of the applicant's household is or was, during a reasonable time preceding the date when the applicant household would otherwise be selected for admission, engaged in any drug-related or violent criminal activity or other criminal activity which would adversely affect the health, safety, or right to peaceful enjoyment of the premises by other residents, the owner, or public housing agency employees, the public housing agency or owner may-

(1) deny such applicant admission to the program or to federally assisted housing; and

(2) after the expiration of the reasonable period beginning upon such activity, require the applicant, as a condition of admission to the program or to federally assisted housing, to submit to the public housing agency or owner evidence sufficient (as the Secretary shall by regulation provide) to ensure that the individual or individuals in the applicant's household who engaged in criminal activity for which denial was made under paragraph (1) have not engaged in any criminal activity during such reasonable period.

( Pub. L. 105-276, title V, §576, Oct. 21, 1998, 112 Stat. 2639 .)

### **CODIFICATION**

Section was enacted as part of the Quality Housing and Work Responsibility Act of 1998, and not as part of subtitles C to F of title VI of Pub. L. 102–550 which comprise this chapter.

Section is comprised of section 576 of Pub. L. 105–276. Subsec. (d) of section 576 of Pub. L. 105–276 amended sections 1437d and 1437n of this title.

### **STATUTORY NOTES AND RELATED SUBSIDIARIES**

#### **EFFECTIVE DATE**

Section effective and applicable beginning upon Oct. 1, 1999, except as otherwise provided, with provision that Secretary may implement any provision of this section before such date, except to extent otherwise provided, see section 503 of Pub. L. 105–276, set out as an Effective Date of 1998 Amendment note under section 1437 of this title.



Displaying title 24, up to date as of 10/05/2022. Title 24 was last amended 9/26/2022.

## Title 24 - Housing and Urban Development

### Subtitle A - Office of the Secretary, Department of Housing and Urban Development

#### Part 5 - General HUD Program Requirements; Waivers

#### Subpart E - Restrictions on Assistance to Noncitizens

#### EDITORIAL NOTE ON PART 5

**Editorial Note:** Nomenclature changes to part 5 appear at 65 FR 16715, Mar. 29, 2000.

#### § 5.508 Submission of evidence of citizenship or eligible immigration status.

- (a) **General.** Eligibility for assistance or continued assistance under a Section 214 covered program is contingent upon a family's submission to the responsible entity of the documents described in paragraph (b) of this section for each family member. If one or more family members do not have citizenship or eligible immigration status, the family members may exercise the election not to contend to have eligible immigration status as provided in paragraph (e) of this section, and the provisions of §§ 5.516 and 5.518 shall apply.
- (b) **Evidence of citizenship or eligible immigration status.** Each family member, regardless of age, must submit the following evidence to the responsible entity.
  - (1) For U.S. citizens or U.S. nationals, the evidence consists of a signed declaration of U.S. citizenship or U.S. nationality. The responsible entity may request verification of the declaration by requiring presentation of a United States passport or other appropriate documentation, as specified in HUD guidance.
  - (2) For noncitizens who are 62 years of age or older or who will be 62 years of age or older and receiving assistance under a Section 214 covered program on September 30, 1996 or applying for assistance on or after that date, the evidence consists of:
    - (i) A signed declaration of eligible immigration status; and
    - (ii) Proof of age document.
  - (3) For all other noncitizens, the evidence consists of:
    - (i) A signed declaration of eligible immigration status;
    - (ii) One of the INS documents referred to in § 5.510; and
    - (iii) A signed verification consent form.
- (c) **Declaration.**
  - (1) For each family member who contends that he or she is a U.S. citizen or a noncitizen with eligible immigration status, the family must submit to the responsible entity a written declaration, signed under penalty of perjury, by which the family member declares whether he or she is a U.S. citizen or a noncitizen with eligible immigration status.
    - (i) For each adult, the declaration must be signed by the adult.
    - (ii) For each child, the declaration must be signed by an adult residing in the assisted dwelling unit who is responsible for the child.
  - (2) **For Housing covered programs:** The written declaration may be incorporated as part of the application for housing assistance or may constitute a separate document.
- (d) **Verification consent form -**
  - (1) **Who signs.** Each noncitizen who declares eligible immigration status (except certain noncitizens who are 62 years of age or older as described in paragraph (b)(2) of this section) must sign a verification consent form as follows.
    - (i) For each adult, the form must be signed by the adult.

- (ii) For each child, the form must be signed by an adult residing in the assisted dwelling unit who is responsible for the child.
- (2) **Notice of release of evidence by responsible entity.** The verification consent form shall provide that evidence of eligible immigration status may be released by the responsible entity without responsibility for the further use or transmission of the evidence by the entity receiving it, to:
  - (i) HUD, as required by HUD; and
  - (ii) The INS for purposes of verification of the immigration status of the individual.
- (3) **Notice of release of evidence by HUD.** The verification consent form also shall notify the individual of the possible release of evidence of eligible immigration status by HUD. Evidence of eligible immigration status shall only be released to the INS for purposes of establishing eligibility for financial assistance and not for any other purpose. HUD is not responsible for the further use or transmission of the evidence or other information by the INS.
- (e) **Individuals who do not contend that they have eligible status.** If one or more members of a family elect not to contend that they have eligible immigration status, and other members of the family establish their citizenship or eligible immigration status, the family may be eligible for assistance under §§ 5.516 and 5.518, or § 5.520, despite the fact that no declaration or documentation of eligible status is submitted for one or more members of the family. The family, however, must identify in writing to the responsible entity, the family member (or members) who will elect not to contend that he or she has eligible immigration status.
- (f) **Notification of requirements of Section 214 -**
  - (1) **When notice is to be issued.** Notification of the requirement to submit evidence of citizenship or eligible immigration status, as required by this section, or to elect not to contend that one has eligible status as provided by paragraph (e) of this section, shall be given by the responsible entity as follows:
    - (i) **Applicant's notice.** The notification described in paragraph (f)(1) of this section shall be given to each applicant at the time of application for assistance. Applicants whose applications are pending on June 19, 1995, shall be notified of the requirement to submit evidence of eligible status as soon as possible after June 19, 1995.
    - (ii) **Notice to tenants.** The notification described in paragraph (f)(1) of this section shall be given to each tenant at the time of, and together with, the responsible entity's notice of regular reexamination of income, but not later than one year following June 19, 1995.
    - (iii) **Timing of mortgagor's notice.** A mortgagor receiving Section 235 assistance must be provided the notification described in paragraph (f)(1) of this section and any additional requirements imposed under the Section 235 Program.
  - (2) **Form and content of notice.** The notice shall:
    - (i) State that financial assistance is contingent upon the submission and verification, as appropriate, of evidence of citizenship or eligible immigration status as required by paragraph (a) of this section;
    - (ii) Describe the type of evidence that must be submitted, and state the time period in which that evidence must be submitted (see paragraph (g) of this section concerning when evidence must be submitted); and
    - (iii) State that assistance will be prorated, denied or terminated, as appropriate, upon a final determination of ineligibility after all appeals have been exhausted (see § 5.514 concerning INS appeal, and informal hearing process) or, if appeals are not pursued, at a time to be specified in accordance with HUD requirements. Tenants also shall be informed of how to obtain assistance under the preservation of families provisions of §§ 5.516 and 5.518.
- (g) **When evidence of eligible status is required to be submitted.** The responsible entity shall require evidence of eligible status to be submitted at the times specified in paragraph (g) of this section, subject to any extension granted in accordance with paragraph (h) of this section.
  - (1) **Applicants.** For applicants, responsible entities must ensure that evidence of eligible status is submitted not later than the date the responsible entity anticipates or has knowledge that verification of other aspects of eligibility for assistance will occur (see § 5.512(a)).
  - (2) **Tenants.** For tenants, evidence of eligible status is required to be submitted as follows:

- (i) For financial assistance under a Section 214 covered program, with the exception of Section 235 assistance payments, the required evidence shall be submitted at the first regular reexamination after June 19, 1995, in accordance with program requirements.
  - (ii) For financial assistance in the form of Section 235 assistance payments, the mortgagor shall submit the required evidence in accordance with requirements imposed under the Section 235 Program.
- (3) **New occupants of assisted units.** For any new occupant of an assisted unit (e.g., a new family member comes to reside in the assisted unit), the required evidence shall be submitted at the first interim or regular reexamination following the person's occupancy.
- (4) **Changing participation in a HUD program.** Whenever a family applies for admission to a Section 214 covered program, evidence of eligible status is required to be submitted in accordance with the requirements of this subpart unless the family already has submitted the evidence to the responsible entity for a Section 214 covered program.
- (5) **One-time evidence requirement for continuous occupancy.** For each family member, the family is required to submit evidence of eligible status only one time during continuously assisted occupancy under any Section 214 covered program.
- (h) **Extensions of time to submit evidence of eligible status -**
  - (1) **When extension must be granted.** The responsible entity shall extend the time, provided in paragraph (g) of this section, to submit evidence of eligible immigration status if the family member:
    - (i) Submits the declaration required under § 5.508(a) certifying that any person for whom required evidence has not been submitted is a noncitizen with eligible immigration status; and
    - (ii) Certifies that the evidence needed to support a claim of eligible immigration status is temporarily unavailable, additional time is needed to obtain and submit the evidence, and prompt and diligent efforts will be undertaken to obtain the evidence.
  - (2) **Thirty-day extension period.** Any extension of time, if granted, shall not exceed thirty (30) days. The additional time provided should be sufficient to allow the individual the time to obtain the evidence needed. The responsible entity's determination of the length of the extension needed shall be based on the circumstances of the individual case.
  - (3) **Grant or denial of extension to be in writing.** The responsible entity's decision to grant or deny an extension as provided in paragraph (h)(1) of this section shall be issued to the family by written notice. If the extension is granted, the notice shall specify the extension period granted (which shall not exceed thirty (30) days). If the extension is denied, the notice shall explain the reasons for denial of the extension.
    - (i) **Failure to submit evidence or to establish eligible status.** If the family fails to submit required evidence of eligible immigration status within the time period specified in the notice, or any extension granted in accordance with paragraph (h) of this section, or if the evidence is timely submitted but fails to establish eligible immigration status, the responsible entity shall proceed to deny, prorate or terminate assistance, or provide continued assistance or temporary deferral of termination of assistance, as appropriate, in accordance with the provisions of §§ 5.514, 5.516, and 5.518.
    - (ii) [Reserved]

[61 FR 13616, Mar. 27, 1996, as amended at 61 FR 60538, Nov. 29, 1996; 64 FR 25731, May 12, 1999]

**TENANCY ADDENDUM**  
**Section 8 Tenant-Based Assistance**  
**Housing Choice Voucher Program**  
 (To be attached to Tenant Lease)

U.S. Department of Housing  
 and Urban Development  
 Office of Public and Indian Housing

OMB Approval No. 2577-0169  
 exp. 7/31/2022

The Tenancy Addendum is part of the HAP contract and lease. Public reporting burden for this collection of information is estimated to average 0.5 hours. This includes the time for collection, reviewing and reporting the data. The information is being collected as required by 24 CFR 982.451 which in part states the PHA must pay the housing assistance payment promptly. This agency may not conduct or sponsor, and a person is not required to respond to a collection of information unless there is a valid OMB number. Assurances of confidentiality are not provided under this section.

HUD is committed to protecting the privacy of an individual's information stored electronically or in paper form in accordance with federal privacy laws, guidance and best practices. HUD expects its third-party business partners including Public Housing Authorities who collect, use, maintain, or disseminate HUD information to protect the privacy of that information in accordance with applicable law.

**1. Section 8 Voucher Program**

- a. The owner is leasing the contract unit to the tenant for occupancy by the tenant's family with assistance for a tenancy under the Section 8 housing choice voucher program (voucher program) of the United States Department of Housing and Urban Development (HUD).
- b. The owner has entered into a Housing Assistance Payments Contract (HAP contract) with the PHA under the voucher program. Under the HAP contract, the PHA will make housing assistance payments to the owner to assist the tenant in leasing the unit from the owner.

**2. Lease**

- a. The owner has given the PHA a copy of the lease, including any revisions agreed by the owner and the tenant. The owner certifies that the terms of the lease are in accordance with all provisions of the HAP contract and that the lease includes the tenancy addendum.
- b. The tenant shall have the right to enforce the tenancy addendum against the owner. If there is any conflict between the tenancy addendum and any other provisions of the lease, the language of the tenancy addendum shall control.

**3. Use of Contract Unit**

- a. During the lease term, the family will reside in the contract unit with assistance under the voucher program.
- b. The composition of the household must be approved by the PHA. The family must promptly inform the PHA of the birth, adoption or court-awarded custody of a child. Other persons may not be added to the household without prior written approval of the owner and the PHA.
- c. The contract unit may only be used for residence by the PHA-approved household members. The unit must be the family's only residence. Members of the household may engage in legal profit making activities incidental to primary use of the unit for residence by members of the family.
- d. The tenant may not sublease or let the unit.
- e. The tenant may not assign the lease or transfer the unit.

**4. Rent to Owner**

- a. The initial rent to owner may not exceed the amount approved by the PHA in accordance with HUD requirements.
- b. Changes in the rent to owner shall be determined by the provisions of the lease. However, the owner may not raise the rent during the initial term of the lease.
- c. During the term of the lease (including the initial term of the lease and any extension term), the rent to owner may at no time exceed:

- (1) The reasonable rent for the unit as most recently determined or redetermined by the PHA in accordance with HUD requirements, or
- (2) Rent charged by the owner for comparable unassisted units in the premises.

**5. Family Payment to Owner**

- a. The family is responsible for paying the owner any portion of the rent to owner that is not covered by the PHA housing assistance payment.
- b. Each month, the PHA will make a housing assistance payment to the owner on behalf of the family in accordance with the HAP contract. The amount of the monthly housing assistance payment will be determined by the PHA in accordance with HUD requirements for a tenancy under the Section 8 voucher program.
- c. The monthly housing assistance payment shall be credited against the monthly rent to owner for the contract unit.
- d. The tenant is not responsible for paying the portion of rent to owner covered by the PHA housing assistance payment under the HAP contract between the owner and the PHA. A PHA failure to pay the housing assistance payment to the owner is not a violation of the lease. The owner may not terminate the tenancy for nonpayment of the PHA housing assistance payment.
- e. The owner may not charge or accept, from the family or from any other source, any payment for rent of the unit in addition to the rent to owner. Rent to owner includes all housing services, maintenance, utilities and appliances to be provided and paid by the owner in accordance with the lease.
- f. The owner must immediately return any excess rent payment to the tenant.

**6. Other Fees and Charges**

- a. Rent to owner does not include cost of any meals or supportive services or furniture which may be provided by the owner.
- b. The owner may not require the tenant or family members to pay charges for any meals or supportive services or furniture which may be provided by the owner. Nonpayment of any such charges is not grounds for termination of tenancy.
- c. The owner may not charge the tenant extra amounts for items customarily included in rent to owner in the locality, or provided at no additional cost to unsubsidized tenants in the premises.

## 7. Maintenance, Utilities, and Other Services

### a. Maintenance

- (1) The owner must maintain the unit and premises in accordance with the HQS.
- (2) Maintenance and replacement (including redecoration) must be in accordance with the standard practice for the building concerned as established by the owner.

### b. Utilities and appliances

- (1) The owner must provide all utilities needed to comply with the HQS.
- (2) The owner is not responsible for a breach of the HQS caused by the tenant's failure to:
  - (a) Pay for any utilities that are to be paid by the tenant.
  - (b) Provide and maintain any appliances that are to be provided by the tenant.

c. **Family damage.** The owner is not responsible for a breach of the HQS because of damages beyond normal wear and tear caused by any member of the household or by a guest.

d. **Housing services.** The owner must provide all housing services as agreed to in the lease.

## 8. Termination of Tenancy by Owner

a. **Requirements.** The owner may only terminate the tenancy in accordance with the lease and HUD requirements.

b. **Grounds.** During the term of the lease (the initial term of the lease or any extension term), the owner may only terminate the tenancy because of:

- (1) Serious or repeated violation of the lease;
- (2) Violation of Federal, State, or local law that imposes obligations on the tenant in connection with the occupancy or use of the unit and the premises;
- (3) Criminal activity or alcohol abuse (as provided in paragraph c); or
- (4) Other good cause (as provided in paragraph d).

### c. Criminal activity or alcohol abuse

- (1) The owner may terminate the tenancy during the term of the lease if any member of the household, a guest or another person under a resident's control commits any of the following types of criminal activity:
  - (a) Any criminal activity that threatens the health or safety of, or the right to peaceful enjoyment of the premises by, other residents (including property management staff residing on the premises);
  - (b) Any criminal activity that threatens the health or safety of, or the right to peaceful enjoyment of their residences by, persons residing in the immediate vicinity of the premises;
  - (c) Any violent criminal activity on or near the premises; or
  - (d) Any drug-related criminal activity on or near the premises.
- (2) The owner may terminate the tenancy during the term of the lease if any member of the household is:

(a) Fleeing to avoid prosecution, or custody or confinement after conviction, for a crime, or attempt to commit a crime, that is a felony under the laws of the place from which the individual flees, or that, in the case of the State of New Jersey, is a high misdemeanor; or

(b) Violating a condition of probation or parole under Federal or State law.

(3) The owner may terminate the tenancy for criminal activity by a household member in accordance with this section if the owner determines that the household member has committed the criminal activity, regardless of whether the household member has been arrested or convicted for such activity.

(4) The owner may terminate the tenancy during the term of the lease if any member of the household has engaged in abuse of alcohol that threatens the health, safety or right to peaceful enjoyment of the premises by other residents.

### d. Other good cause for termination of tenancy

(1) During the initial lease term, other good cause for termination of tenancy must be something the family did or failed to do.

(2) During the initial lease term or during any extension term, other good cause may include:

- (a) Disturbance of neighbors,
- (b) Destruction of property, or
- (c) Living or housekeeping habits that cause damage to the unit or premises.

(3) After the initial lease term, such good cause may include:

- (a) The tenant's failure to accept the owner's offer of a new lease or revision;
- (b) The owner's desire to use the unit for personal or family use or for a purpose other than use as a residential rental unit; or
- (c) A business or economic reason for termination of the tenancy (such as sale of the property, renovation of the unit, the owner's desire to rent the unit for a higher rent).

(4) The examples of other good cause in this paragraph do not preempt any State or local laws to the contrary.

## 9. Protections for Victims of Domestic Violence, Dating Violence, Sexual Assault, or Stalking

a. **Purpose:** This section incorporates the protections for victims of domestic violence, dating violence, sexual assault, or stalking in accordance with subtitle N of the Violence Against Women Act of 1994, as amended (codified as amended at 42 U.S.C. 14043e et seq.) (VAWA) and implementing regulations at 24 CFR part 5, subpart L.

b. **Conflict with other Provisions:** In the event of any conflict between this provision and any other provisions included in Part C of the HAP contract, this provision shall prevail.

c. **Effect on Other Protections:** Nothing in this section shall be construed to supersede any provision of any Federal, State, or local law that provides greater protection than this section for victims of domestic violence, dating violence, sexual assault, or stalking.



d. **Definition:** As used in this Section, the terms “actual and imminent threat,” “affiliated individual,” “bifurcate,” “dating violence,” “domestic violence,” “sexual assault,” and “stalking” are defined in HUD’s regulations at 24 CFR part 5, subpart L. The terms “Household” and “Other Person Under the Tenant’s Control” are defined at 24 CFR part 5, subpart A.

e. **VAWA Notice and Certification Form:** The PHA shall provide the tenant with the “Notice of Occupancy Rights under VAWA and the certification form described under 24 CFR 5.2005(a)(1) and (2).

f. **Protection for victims of Domestic Violence, Dating Violence, Sexual Assault, or Stalking:**

(1) The landlord or the PHA will not deny admission to, deny assistance under, terminate from participation in, or evict the Tenant on the basis of or as a direct result of the fact that the Tenant is or has been a victim of domestic violence, dating violence, sexual assault, or stalking, if the Tenant otherwise qualifies for admission, assistance, participation, or occupancy. 24 CFR 5.2005(b)(1).

(2) The tenant shall not be denied tenancy or occupancy rights solely on the basis of criminal activity engaged in by a member of the Tenant’s Household or any guest or Other Person Under the Tenant’s Control, if the criminal activity is directly related to domestic violence, dating violence, sexual assault, or stalking, and the Tenant or an Affiliated Individual of the Tenant is the victim or the threatened victim of domestic violence, dating violence, sexual assault, or stalking. 24 CFR 5.2005(b)(2).

(3) An incident or incidents of actual or threatened domestic violence, dating violence, sexual assault or stalking will not be construed as serious or repeated violations of the lease by the victim or threatened victim of the incident. Nor shall it not be construed as other “good cause” for termination of the lease, tenancy, or occupancy rights of such a victim or threatened victim. 24 CFR 5.2005(c)(1) and (c)(2).

g. **Compliance with Court Orders:** Nothing in this Addendum will limit the authority of the landlord, when notified by a court order, to comply with the court order with respect to the rights of access or control of property (including civil protection orders issued to protect a victim of domestic violence, dating violence, sexual assault, or stalking) or with respect to the distribution or possession of property among members of the Tenant’s Household. 24 CFR 5.2005(d)(1).

h. **Violations Not Premised on Domestic Violence, Dating Violence, Sexual Assault, or Stalking:** Nothing in this section shall be construed to limit any otherwise available authority of the Landlord to evict or the public housing authority to terminate the assistance of a Tenant for any violation not premised on an act of domestic violence, dating violence, sexual assault, or stalking that is in question against the Tenant or an Affiliated Individual of the Tenant. However, the Landlord or the PHA will not subject the tenant, who is or has been a victim of domestic violence, dating violence, sexual assault, or stalking, to a more demanding standard than other tenants in determining whether to evict or terminate assistance. 24 CFR 5.2005(d)(2).

i. **Actual and Imminent Threats:**

(1) Nothing in this section will be construed to limit the authority of the Landlord to evict the Tenant if the Landlord can demonstrate that an “actual and imminent threat” to other tenants or those employed at or providing service to the property would be present if the Tenant or lawful occupant is not evicted. In this context, words, gestures, actions, or other indicators will be construed as an actual and imminent threat if they meet the following standards for an actual and imminent threat: “Actual and imminent threat” refers to a physical danger that is real, would occur within an immediate time frame, and could result in death or serious bodily harm. In determining whether an individual would pose an actual and imminent threat, the factors to be considered include: the duration of the risk, the nature and severity of the potential harm, the likelihood that the potential harm will occur, and the length of time before the potential harm would occur. 24 CFR 5.2005(d)(3).

(2) If an actual and imminent threat is demonstrated, eviction should be used only when there are no other actions that could be taken to reduce or eliminate the threat, including, but not limited to, transferring the victim to a different unit, barring the perpetrator from the property, contacting law enforcement to increase police presence, developing other plans to keep the property safe, or seeking other legal remedies to prevent the perpetrator from acting on a threat. Restrictions predicated on public safety cannot be based on stereotypes, but must be tailored to particularized concerns about individual residents. 24 CFR 5.2005(d)(4).

j. **Emergency Transfer:** A tenant who is a victim of domestic violence, dating violence, sexual assault, or stalking may request an emergency transfer in accordance with the PHA’s emergency transfer plan. 24 CFR 5.2005(e). The PHA’s emergency transfer plan must be made available upon request, and incorporate strict confidentiality measures to ensure that the PHA does not disclose a tenant’s dwelling unit location to a person who committed or threatened to commit an act of domestic violence, dating violence, sexual assault, or stalking against the tenant;

For transfers in which the tenant would not be considered a new applicant, the PHA must ensure that a request for an emergency transfer receives, at a minimum, any applicable additional priority that is already provided to other types of emergency transfer requests. For transfers in which the tenant would be considered a new applicant, the plan must include policies for assisting a tenant with this transfer.

k. **Bifurcation:** Subject to any lease termination requirements or procedures prescribed by Federal, State, or local law, if any member of the Tenant’s Household engages in criminal activity directly relating to domestic violence, dating violence, sexual assault, or stalking, the Landlord may “bifurcate” the Lease, or remove that Household member from the Lease, without regard to whether that Household member is a signatory to the Lease, in order to evict, remove, or terminate the occupancy rights of that Household member without evicting, removing, or otherwise penalizing the victim of the criminal activity who is also a tenant or lawful occupant. Such eviction, removal, termination of occupancy rights, or termination of assistance shall be effected in accordance with the procedures prescribed by Federal, State, and local law for the termination of leases or assistance under the housing choice voucher program. 24 CFR 5.2009(a).

If the Landlord bifurcates the Lease to evict, remove, or terminate assistance to a household member, and that household member is the sole tenant eligible to receive assistance, the landlord shall provide any remaining tenants or residents a period of 30 calendar days from the date of bifurcation of the lease to:

- (1) Establish eligibility for the same covered housing program under which the evicted or terminated tenant was the recipient of assistance at the time of bifurcation of the lease;
  - (2) Establish eligibility under another covered housing program; or
  - (3) Find alternative housing.
- l. **Family Break-up:** If the family break-up results from an occurrence of domestic violence, dating violence, sexual assault, or stalking, the PHA must ensure that the victim retains assistance. 24 CFR 982.315.
- m. **Move with Continued Assistance:** The public housing agency may not terminate assistance to a family or member of the family that moves out of a unit in violation of the lease, with or without prior notification to the public housing agency if such a move occurred to protect the health or safety of a family member who is or has been a victim of domestic violence, dating violence, sexual assault, or stalking; and who reasonably believed they were imminently threatened by harm from further violence if they remained in the dwelling unit, or if any family member has been the victim of sexual assault that occurred on the premises during the 90-calendar-day period preceding the family's request to move.
- (1) The move is needed to protect the health or safety of the family or family member who is or has been a victim of domestic violence dating violence, sexual assault or stalking; and
  - (2) The family or member of the family reasonably believes that he or she was threatened with imminent harm from further violence if he or she remained in the dwelling unit. However, any family member that has been the victim of a sexual assault that occurred on the premises during the 90-calendar day period preceding the family's move or request to move is not required to believe that he or she was threatened with imminent harm from further violence if he or she remained in the dwelling unit. 24 CFR 982.354.
- n. **Confidentiality.**
- (1) The Landlord shall maintain in strict confidence any information the Tenant (or someone acting on behalf of the Tenant) submits to the Landlord concerning incidents of domestic violence, dating violence, sexual assault or stalking, including the fact that the tenant is a victim of domestic violence, dating violence, sexual assault, or stalking.
  - (2) The Landlord shall not allow any individual administering assistance on its behalf, or any persons within its employ, to have access to confidential information unless explicitly authorized by the Landlord for reasons that specifically call for these individuals to have access to the information pursuant to applicable Federal, State, or local law.
  - (3) The Landlord shall not enter confidential information into any shared database or disclose such information to any other entity or individual, except to the extent that the disclosure is requested or consented to in writing by the individual in a time-limited release; required for use in an eviction proceeding; or is required by applicable law.

## 10. Eviction by court action

The owner may only evict the tenant by a court action.

## 11. Owner notice of grounds

- a. At or before the beginning of a court action to evict the tenant, the owner must give the tenant a notice that specifies the grounds for termination of tenancy. The notice may be included in or combined with any owner eviction notice.
- b. The owner must give the PHA a copy of any owner eviction notice at the same time the owner notifies the tenant.
- c. Eviction notice means a notice to vacate, or a complaint or other initial pleading used to begin an eviction action under State or local law.

## 12. Lease: Relation to HAP Contract

If the HAP contract terminates for any reason, the lease terminates automatically.

## 13. PHA Termination of Assistance

The PHA may terminate program assistance for the family for any grounds authorized in accordance with HUD requirements. If the PHA terminates program assistance for the family, the lease terminates automatically.

## 14. Family Move Out

The tenant must notify the PHA and the owner before the family moves out of the unit.

## 15. Security Deposit

- a. The owner may collect a security deposit from the tenant. (However, the PHA may prohibit the owner from collecting a security deposit in excess of private market practice, or in excess of amounts charged by the owner to unassisted tenants. Any such PHA-required restriction must be specified in the HAP contract.)
- b. When the family moves out of the contract unit, the owner, subject to State and local law, may use the security deposit, including any interest on the deposit, as reimbursement for any unpaid rent payable by the tenant, any damages to the unit or any other amounts that the tenant owes under the lease.
- c. The owner must give the tenant a list of all items charged against the security deposit, and the amount of each item. After deducting the amount, if any, used to reimburse the owner, the owner must promptly refund the full amount of the unused balance to the tenant.
- d. If the security deposit is not sufficient to cover amounts the tenant owes under the lease, the owner may collect the balance from the tenant.

## 16. Prohibition of Discrimination

In accordance with applicable equal opportunity statutes, Executive Orders, and regulations, the owner must not discriminate against any person because of race, color, religion, sex, national origin, age, familial status or disability in connection with the lease. Eligibility for HUD's programs must be made without regard to actual or perceived sexual orientation, gender identity, or marital status.

## 17. Conflict with Other Provisions of Lease

- a. The terms of the tenancy addendum are prescribed by HUD in accordance with Federal law and regulation, as a condition for Federal assistance to the tenant and tenant's family under the Section 8 voucher program.
- b. In case of any conflict between the provisions of the tenancy addendum as required by HUD, and any other provisions of the lease or any other agreement between the owner and the tenant, the requirements of the HUD-required tenancy addendum shall control.

## 18. Changes in Lease or Rent

- a. The tenant and the owner may not make any change in the tenancy addendum. However, if the tenant and the owner agree to any other changes in the lease, such changes must be in writing, and the owner must immediately give the PHA a copy of such changes. The lease, including any changes, must be in accordance with the requirements of the tenancy addendum.
- b. In the following cases, tenant-based assistance shall not be continued unless the PHA has approved a new tenancy in accordance with program requirements and has executed a new HAP contract with the owner:
  - (1) If there are any changes in lease requirements governing tenant or owner responsibilities for utilities or appliances;
  - (2) If there are any changes in lease provisions governing the term of the lease;
  - (3) If the family moves to a new unit, even if the unit is in the same building or complex.
- c. PHA approval of the tenancy, and execution of a new HAP contract, are not required for agreed changes in the lease other than as specified in paragraph b.
- d. The owner must notify the PHA of any changes in the amount of the rent to owner at least sixty days before any such changes go into effect, and the amount of the rent to owner following any such agreed change may not exceed the reasonable rent for the unit as most recently determined or redetermined by the PHA in accordance with HUD requirements.

## 19. Notices

Any notice under the lease by the tenant to the owner or by the owner to the tenant must be in writing.

## 20. Definitions

**Contract unit.** The housing unit rented by the tenant with assistance under the program.

**Family.** The persons who may reside in the unit with assistance under the program.

**HAP contract.** The housing assistance payments contract between the PHA and the owner. The PHA pays housing assistance payments to the owner in accordance with the HAP contract.

**Household.** The persons who may reside in the contract unit. The household consists of the family and any PHA-approved live-in aide. (A live-in aide is a person who resides in the unit to provide necessary supportive services for a member of the family who is a person with disabilities.)

**Housing quality standards (HQS).** The HUD minimum quality standards for housing assisted under the Section 8 tenant-based programs.

**HUD.** The U.S. Department of Housing and Urban Development.

**HUD requirements.** HUD requirements for the Section 8 program. HUD requirements are issued by HUD headquarters, as regulations, Federal Register notices or other binding program directives.

**Lease.** The written agreement between the owner and the tenant for the lease of the contract unit to the tenant. The lease includes the tenancy addendum prescribed by HUD.

**PHA.** Public Housing Agency.

**Premises.** The building or complex in which the contract unit is located, including common areas and grounds.

**Program.** The Section 8 housing choice voucher program.

**Rent to owner.** The total monthly rent payable to the owner for the contract unit. The rent to owner is the sum of the portion of rent payable by the tenant plus the PHA housing assistance payment to the owner.

**Section 8.** Section 8 of the United States Housing Act of 1937 (42 United States Code 1437f).

**Tenant.** The family member (or members) who leases the unit from the owner.

**Voucher program.** The Section 8 housing choice voucher program. Under this program, HUD provides funds to a PHA for rent subsidy on behalf of eligible families. The tenancy under the lease will be assisted with rent subsidy for a tenancy under the voucher program.

## FOR ACTION

**MOTION:** To Authorize the Executive Director to Execute a Termination for Convenience Compensation Agreement and Release Between the Hawaii Public Housing Authority and MWH Partners, LLC, a Delaware Limited Liability Company and to Undertake All Actions Necessary, including but not Limited to Reimbursement of Reasonable and Proper Costs, to Effectuate the Agreement and Release Between the Hawaii Public Housing Authority and MWH Partners, LLC, Relating to the Redevelopment and Revitalization of Mayor Wright Homes (Tax Map Key: 1-7-029-003-0000)

(The Board may go into executive session pursuant to Hawaii Revised Statutes sections 92-4 and 92-5(a)(4) to consult with the Board's attorneys on questions and issues pertaining to the Board's powers, duties, privileges, immunities, and liabilities related to this agenda item.)

### I. FACTS

- A. Mayor Wright Homes is a federal public housing development located in the Kalihi/Palama neighborhood bordered by Vineyard Blvd., N. King Street and Liliha Street consisting of 364 units in 25 walkup and 11 townhouse buildings.
- B. Mayor Wright Homes was built in 1953 and modernized in 1984. The development has significant deferred maintenance due to inadequate funding. A Physical Needs Assessment completed in May 2009 shows a substantial amount of funds are needed to complete repairs and upgrades to the Mayor Wright Homes.
- C. On July 11, 2014, the Authority issued "RFQ OED-2014-33 Request for Qualifications for Master Developer for the Mixed Income Transit Oriented Development Redevelopment of Mayor Wright Homes" (the "RFQ") and the team of the Hunt Development Group, LLC, McCormack Baron Salazar, Inc., and Vitus Group (the "Hunt Team") submitted certain qualifications and proposals for the development of the Property.
- D. The RFQ selection committee selected the Hunt Team and by action of the Board of Directors on November 20, 2014, the HPHA elected to commence preliminary negotiations with the Hunt Team regarding the terms and conditions for developing the property. After the selection, Hunt informed

the HPHA that McCormack Baron Salazar, Inc. and the Vitus Group were no longer part of the Hunt Team

- E. The Hunt Team formed MWH Partners, LLC ("MWH Partners") to serve as a single purpose entity, and MWH Partners and the Authority entered into that certain Predevelopment Agreement dated March 24, 2016 (the "Predevelopment Agreement") under which MWH Partners agreed to undertake, at its sole cost and expense (to be reimbursed as specified in Section 6.1), certain master planning and environmental review activities. Specifically, the parties engaged in a master planning process with residents and community stakeholders in order to develop a comprehensive revitalization strategy for the redevelopment of the Property involving: (i) public and private investment in and around the Property and the future Iwilei elevated rail station; (ii) a plan for a mixed-income, mixed-finance and mixed-use development consistent with the Honolulu Downtown Transit Oriented Development ("TOD") Plan; and (iii) a plan that is neighborhood-focused and includes residential and non-residential uses, including community space and commercial uses, and the replacement of the existing public housing units one-for-one with similarly deeply subsidized units integrated into a mixed-income development plan, as further described in this Agreement.
- F. The Predevelopment Agreement terminated upon the execution of a Master Development Agreement ("MDA") for the Development and all remaining obligations of MWH Partners under the Predevelopment Agreement were to be completed by the Developer in accordance with the terms of the MDA.
- G. The HPHA and MWH Partners executed an MDA relating to the redevelopment of the Project dated December 29, 2017.
- H. Continued delays resulting in multiple failures of the MWH Partners to meet certain required schedule milestones as required under the MDA led the HPHA to evaluate its options under the MDA in the interest of the state, its taxpayers, the agency, and its residents.
- I. On July 16, 2020, the Board voted unanimously to approve a motion "To Authorize the Executive Director to terminate the MDA Between the HPHA and MWH Partners, for convenience and to authorize the Executive Director to undertake all actions necessary to effectuate the termination of the MDA for convenience between the HPHA and MWH Partners relating to the redevelopment and revitalization of Mayor Wright Homes."
- J. The HPHA notified MWH Partners of the termination for convenience by letter dated July 20, 2020.

- K. MWH Partners submitted a claim for certain costs related to predevelopment activities, a portion of which was not agreed to by the HPHA. See Attachment D Schedule of Approved Expenses.
- L. HPHA continues its due diligence to ensure that every claim was and is properly documented, supported, related to the MWH redevelopment, and constitutes reimbursement of reasonable and proper costs and invoices paid by MWH Partners and that MWH Partners transfers and assigns all associated work product pursuant to Section 15.2 of the MDA. Hunt initially provided a reimbursement request totaling \$4,902,476.41. The HPHA thoroughly reviewed Hunt's document submission and informed Hunt, and Hunt subsequently agreed, that the HPHA will not reimburse Hunt the amount of \$1,734,521.56 as these costs were not reasonable or proper (e.g., payments that are not related to pre-development and due diligence activities). See Attachment D Schedule of Approved Expenses which sets forth reimbursable and non-reimbursable costs.
- M. The HPHA and MWH Partners agreed to fully resolve this matter and release all claims that they may have against each subject to the terms and conditions outlined in the attached Agreement and subject to approval by the HPHA's Board of Directors and execution of the related attachments.

### **III. RECOMMENDATION**

That the Board of Directors Authorize the Executive Director to Execute a Termination for Convenience Compensation Agreement and Release Between the Hawaii Public Housing Authority and MWH Partners, LLC, a Delaware Limited Liability Company and to Undertake All Actions Necessary, including but not Limited to Reimbursement of Reasonable and Proper Costs, to Effectuate the Agreement and Release Between the Hawaii Public Housing Authority and MWH Partners, LLC, Relating to the Redevelopment and Revitalization of Mayor Wright Homes (Tax Map Key: 1-7-029-003-0000)

(End of Section)

Attachment A: Termination for Convenience Compensation Agreement and Release  
Between the Hawaii Public Housing Authority and MWH Partners, LLC  
Attachment B: Exhibit A – First Amendment to Memorandum of Agreement Regarding  
the Demolition and Redevelopment of the Mayor Wright Homes Public  
Housing Development  
Attachment C: Exhibit B - Schedule of Work Product  
Attachment D: Schedule of Approved Expenses  
Prepared by: Kevin Auger, Redevelopment Officer KA

Approved by the Board of Directors  
on the date set forth above  
[ ☒ ] As Presented [ ☐ ] As Amended



Robert J. Hall  
Chairperson

## **TERMINATION FOR CONVENIENCE COMPENSATION AGREEMENT AND RELEASE**

This TERMINATION FOR CONVENIENCE COMPENSATION AGREEMENT AND RELEASE (this “Agreement”) is entered into as of \_\_\_\_\_, 2022, (the “Effective Date”), by and between HAWAII PUBLIC HOUSING AUTHORITY, a public body and a body corporate and politic existing under the laws of the State of Hawaii (“the Authority”) and MWH PARTNERS, LLC, a Delaware limited liability company (the “Developer”), each a “Party” and together the “Parties.”

### **WITNESS**

**WHEREAS**, the Parties entered into that certain Master Development Agreement for the Redevelopment of Mayor Wright Homes, a 364-unit public housing development owned by the Authority, on December 29, 2017 (the “Master Development Agreement”); and

**WHEREAS**, on July 16, 2020, the Board of Directors of the Authority voted unanimously to terminate the Master Development Agreement for convenience. The Authority notified the Developer of the termination for convenience by letter dated July 20, 2020 (the “Termination Date”); and

**WHEREAS**, the Developer has submitted a properly documented claim for the payment of reasonable and proper costs resulting from such termination, pursuant to Section 15.2 of the Master Development Agreement, in the amount of \_\_\_\_\_ Dollars and \_\_\_/100 (\$ \_\_\_\_\_), which the Authority has accepted; and

**WHEREAS**, the Parties have agreed to fully resolve this matter and release all claims that Parties may have against each other upon the following terms and conditions.

**NOW, THEREFORE**, for good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the parties agree as follows:

1. **Payment.** Pursuant to Section 15.2 of the Master Development Agreement, the Authority agrees to pay the Developer the sum of \_\_\_\_\_ Dollars and \_\_\_/100 (\$ \_\_\_\_\_) (the “Payment”) upon (a) the delivery of fully executed Assignments of Work Product and Consents to Assignment in the forms provided at Section 4 of this Agreement, (b) the delivery of the fully executed MOA Amendment as described in Section 3 of this Agreement, and (c) the delivery of this Agreement fully executed. The Payment constitutes payment in full and complete settlement of the amount due to the Developer for reasonable and proper costs resulting from the termination for convenience of the Master Development Agreement.

2. **Release and Settlement.** Pursuant to Section 15.3 of the Master Development Agreement, the Developer agrees to release all claims as follows:



(a) The Developer hereby knowingly and voluntarily releases and forever discharges the Authority, its successors, assigns, officers, directors, employees, and agents from all claims, demands, rights and causes of action of any kind, whether known or unknown, arising from or relating to the negotiation, execution, delivery, administration, or termination of the Master Development Agreement.

(b) The Authority hereby knowingly and voluntarily releases and forever discharges Developer its successors, assigns, officers, directors, employees, and agents from any claims that Developer breached its contractual obligations under the Master Development Agreement.

(c) Notwithstanding the foregoing releases, the Parties do not release each other from their respective duties and obligations arising under the terms of this Agreement, nor from the surviving obligations of the Master Development Agreement, as provided in Section 15.3 therein.

3. Amendment of Certain Project Contract. The Developer will, concurrently with the execution of this Agreement, execute the Amendment to the Memorandum of Agreement between the Authority and the State Historic Preservation Office Regarding the Demolition and Redevelopment of the Mayor Wright Homes Public Housing Development, dated as of November 13, 2019 (“MOA”), to which the Developer is an invited signatory party, (the “MOA Amendment,” attached hereto as **Exhibit A**) and further cooperate as may be necessary to effect the removal of the Developer from the duties and obligations of the MOA and the release and termination of the Developer’s responsibilities and obligations under the Master Development Agreement.

4. Work Product of the Developer. Pursuant to Section 15.2 of the Master Development Agreement, the Developer hereby transfers and assigns to the Authority all Work Product, as defined in the Master Development Agreement in Section 1.1(xxx) and as more fully described in **Exhibit B** attached hereto, as follows:

(a) The Developer will transfer, convey, and assign to the Authority all the right, title and interest in any Work Product prepared pursuant to the Master Development Agreement, whether prepared by the Developer, a subcontractor of the Developer, or another third party in accordance with the form of Assignment and Assumption Agreement included in this Agreement at **Exhibits C-1**.

(b) If the transfer and assignment of the Work Product requires consent from any party, the Developer shall deliver evidence of receipt of the required consent by delivering to the Authority fully executed Contractor Consent to Assignment of Work Product in the form provided at **Exhibit C-2**. The list of consenting parties, if any, is provided in **Exhibit C-3**;

(c) The Developer certifies that all Work Product prepared pursuant to the Master Development Agreement has been provided to the Authority prior to the Effective Date,

including all Work Product prepared pursuant to the Master Development Agreement at the direction of Developer by subcontractors, vendors, or other parties.

5. Covenant Not-To-Sue. The parties agree and covenant that they shall not in the future file any claim that is released by this Agreement to recover any damages or other relief.

6. Mutual Non-Disparagement. The Parties agree that they will not make or cause to be made any false, denigrating, or disparaging statements about each other. The Parties further agree that they will not encourage or incite other current or former employees, officers, or board members of the Authority or any related entity, successor, or assign to disparage each other. Nothing in this Section 6 shall limit the Authority's reporting obligations pursuant to federal, state, or local laws or regulations, the Authority responding to federal or state legislative or government executive officials, the Authority's board members, or the U.S. Department of Housing and Urban Development, or the Authority responding to Freedom of Information Act (FOIA) or Uniform Information Practices Act (UIPA) requests under Hawaii Revised Statutes Chapter 92F; nor shall any such statements or disclosure of public records violate this Section 6.

7. Governing Law. This Agreement shall be governed by and construed in accordance with the laws of the State of Hawaii.

8. Entire Agreement. This Agreement constitutes the entire agreement between the Authority and the Developer and supersedes any prior discussions or agreements, whether oral or written. This Agreement cannot be modified, amended, or otherwise changed without a written agreement signed by both Parties.

9. Binding Effect. This Agreement shall be binding upon and inure to the benefit or detriment of the Authority and the Developer, and their lawful successors, agents, and assigns.

10. Counterparts. This Agreement may be executed in counterparts or electronically, each of which shall be deemed to be an original and all of which together shall constitute and be considered one and the same Agreement.

[Signature Page Follows]

IN WITNESS WHEREOF, the Parties have executed this document as of the Effective Date.

**THE AUTHORITY:**

**HAWAII PUBLIC HOUSING AUTHORITY,**  
a public body and a body corporate and politic existing  
under the laws of the State of Hawaii

By: \_\_\_\_\_  
Hakim Ouansafi  
Executive Director

Date: \_\_\_\_\_

**THE DEVELOPER:**

**MWH PARTNERS, LLC,**  
a Delaware limited liability company

By: \_\_\_\_\_  
Steve Colon  
President

Date: \_\_\_\_\_

## EXHIBIT A

### **FIRST AMENDMENT TO MEMORANDUM OF AGREEMENT REGARDING THE DEMOLITION AND REDEVELOPMENT OF THE MAYOR WRIGHT HOMES PUBLIC HOUSING DEVELOPMENT**

THIS FIRST AMENDMENT TO MEMORANDUM OF AGREEMENT (this “**Amendment**”) is made and entered into as of \_\_\_\_\_, 2022 (the “**Effective Date**”), by and between the State of Hawaii as the Responsible Entity (the “**Governor**”), the Hawaii Public Housing Authority, a public body and a body corporate and politic existing under the laws of the State of Hawaii (“**HPHA**”), the Hawaii State Historic Preservation Division, a division of the Department of Land and Natural Resources of the State of Hawaii (“**SHPD**”), and MWH Partners, a Delaware limited liability company (the “**Developer**”) (collectively the “**Signatory Parties**”).

### **RECITALS**

**WHEREAS**, pursuant to 24 C.F.R. Part 58 and Section 106 of the National Historic Preservation Act (54 U.S.C. § 306108), the Signatory Parties entered into that certain Memorandum of Agreement, dated November 13, 2019 (the “**Agreement**”), for the development of the 364-unit public housing development owned by HPHA, commonly known as Mayor Wrights Home (the “**Project**”).

**WHEREAS**, on July 20, 2020, HPHA terminated for convenience that certain Master Development Agreement, dated as of December 29, 2017, by and between HPHA and the Developer for the development of the Project (the “**Master Development Agreement**”).

**WHEREAS**, by this Amendment, the Signatory Parties desire to remove the Developer as a Signatory Party to the Agreement.

**WHEREAS**, the Governor, as the Responsible Entity under 24 C.F.R. Part 58, will send a copy of this executed amendment to the Advisory Council on Historic Preservation (“**ACHP**”).

**NOW, THEREFORE**, in accordance with Stipulation XI of the Agreement, the Signatory Parties agree to amend the Agreement as follows:

### **AMENDMENTS TO THE AGREEMENT**

The Developer is hereby removed as a Signatory Party to the Agreement and all references to the Developer as a Signatory Party in the Agreement are hereby deleted.

Any capitalized terms not defined herein shall have the same meaning as set forth in the Agreement.

All provisions of the Agreement which are not specifically amended by this Amendment shall remain unchanged and in full force and effect according to their terms.

[signature pages follow]

IN WITNESS WHEREOF, the parties hereto have executed this Amendment as of the day and date first above written.

**GOVERNOR**

By: \_\_\_\_\_

**DAVID Y. IGE**  
Governor, State of Hawaii  
As Responsible Entity

Date: \_\_\_\_\_

**HPHA:**

**HAWAII PUBLIC HOUSING AUTHORITY,**  
a public body and a body corporate and politic existing  
under the laws of the State of Hawaii

By: \_\_\_\_\_

Hakim Ouansafi  
Executive Director

Date: \_\_\_\_\_

**SHPD**

**Hawaii State Historic Preservation Officer,**  
a division of the Department of Land and Natural Resources of the  
State of Hawaii

By: \_\_\_\_\_

**Dr. Alan Downer**  
Deputy State Historic Preservation Officer

Date: \_\_\_\_\_

**DEVELOPER:**

**MWH PARTNERS, LLC,**  
a Delaware limited liability company

By: \_\_\_\_\_  
Steve Colon  
President

Date: \_\_\_\_\_

## EXHIBIT B

### Work Product

| Vendor                               | Work Product                                                                                                                                                                               |
|--------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| ADA-R/C Palama Inv MayorWright Total | Not Applicable – Costs Not Approved                                                                                                                                                        |
| Ainsa Hutson Total                   | Not Applicable – Costs Not Approved                                                                                                                                                        |
| American Express Travel Relate Total | Not Applicable – Costs Not Approved                                                                                                                                                        |
| <b>Architects Hawaii Ltd. Total</b>  | <b>1. Phase 1B2 100% Schematic Design Plans</b>                                                                                                                                            |
| Ballard Spahr LLP Total              | Not Applicable – No Work Product Generated                                                                                                                                                 |
| Bowen Hunsaker Total                 | Not Applicable – Not Work Product Generated                                                                                                                                                |
| Capitol Consultants of Hawaii Total  | Not Applicable – Costs Not Approved                                                                                                                                                        |
| Case Lombardi & Pettit Total         | Not Applicable – Costs Not Approved                                                                                                                                                        |
| <b>Cassiday, Paul Total</b>          | <b>1. Mayor Wright Redevelopment Market Study (DRAFT) dated 11/18/16</b><br><b>2. Comparable Project Data dated 08/01/18 (DRAFT)</b><br><b>3. Demand Study Data dated 08/22/18 (DRAFT)</b> |
| Catering Connection, Inc, The Total  | Not Applicable – No Work Product Generated                                                                                                                                                 |
| Cheung, Jinny Total                  | Not Applicable – No Work Product Generated                                                                                                                                                 |
| Colon, Steven W. Total               | Not Applicable – Costs Not Approved                                                                                                                                                        |
| Davids, Emily E Total                | Not Applicable – No Work Product Generated                                                                                                                                                 |
| <b>Design Partners Inc. Total</b>    | <b>1. Phase 1B2 100% Schematic Design Plans</b><br><b>2. Phase 1 A1 Conceptual Design Plans</b>                                                                                            |
| Dumas, Betty Total                   | Not Applicable – No Work Product Generated                                                                                                                                                 |
| ES&A, Inc., A Law Corporation Total  | Not Applicable – Costs Not Approved                                                                                                                                                        |
| Friends of Rail Total                | Not Applicable – Costs Not Approved                                                                                                                                                        |



|                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|--------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Hawaii Engineering Group Total</b>                  | <ol style="list-style-type: none"> <li><b>Topographic Survey Worksheet (Mayor Wright Homes Site) dated November 21, 2018 (5 Sheets)</b></li> <li><b>Topographic Survey Worksheet (Mayor Wright Homes Site) dated August 26, 2016 (5 Sheets)</b></li> <li><b>ALTA/ACSM Land Title Survey (Mayor Wright Homes) dated October 3, 2016</b></li> <li><b>Aerial Survey dated November 15, 2018 (.tif and .jpg)</b></li> <li><b>Drone Photos</b></li> </ol> |
| Hawaii Housing Finance & Development Corporation Total | Not Applicable – No Work Product Generated                                                                                                                                                                                                                                                                                                                                                                                                           |
| <b>Hawaii Private Locators LLC Total</b>               | <b>1. Utility Toning Survey</b>                                                                                                                                                                                                                                                                                                                                                                                                                      |
| Honblue Total                                          | Not Applicable – No Work Product Generated                                                                                                                                                                                                                                                                                                                                                                                                           |
| Hunt Building Corp Total                               | Not Applicable – Costs Not Approved                                                                                                                                                                                                                                                                                                                                                                                                                  |
| Hunt Companies Business Service Total                  | Not Applicable – Costs Not Approved                                                                                                                                                                                                                                                                                                                                                                                                                  |
| Iriarte, Kathleen Total                                | Not Applicable – No Work Product Generated                                                                                                                                                                                                                                                                                                                                                                                                           |
| Jackson, Kelly Total                                   | Not Applicable – No Work Product Generated                                                                                                                                                                                                                                                                                                                                                                                                           |
| Kaimana Hila Total                                     | Not Applicable – Costs Not Approved                                                                                                                                                                                                                                                                                                                                                                                                                  |
| <b>Kaleonahe Communications, LLC Total</b>             | <b>1. Website (login/password)</b>                                                                                                                                                                                                                                                                                                                                                                                                                   |
| Kim, Jennifer Total                                    | Not Applicable – No Work Product Generated                                                                                                                                                                                                                                                                                                                                                                                                           |
| Language Services Hawaii LLC Total                     | Not Applicable – No Work Product Generated                                                                                                                                                                                                                                                                                                                                                                                                           |
| Lee, Thomas W. Total                                   | Not Applicable – Costs Not Approved                                                                                                                                                                                                                                                                                                                                                                                                                  |
| Linda S. Congleton & Associates Total                  | Not Applicable – Costs Not Approved                                                                                                                                                                                                                                                                                                                                                                                                                  |
| <b>Meyers Research LLC Total</b>                       | <b>1. Market Study (Mayor Wright Homes) dated January 2019</b>                                                                                                                                                                                                                                                                                                                                                                                       |
| Moss & Associates Total                                | Not Applicable – Costs Not Approved                                                                                                                                                                                                                                                                                                                                                                                                                  |
| MWH Partners LLC Total                                 | Not Applicable – No Work Product Generated                                                                                                                                                                                                                                                                                                                                                                                                           |

|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
|-------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Northern Real Estate Urban Ventures LLC Total   | Not Applicable – Costs Not Approved                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
| Oahu Print Company Inc Total                    | Not Applicable – No Work Product Generated                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| <b>Overland, Pacific &amp; Cutler LLC Total</b> | <ol style="list-style-type: none"> <li>1. Mayor Wright Homes Draft Relocation Plan dated December 2018</li> <li>2. Housing Map</li> <li>3. Relocation Process Timeline</li> </ol>                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| <b>PBR Hawaii &amp; Associates, Inc. Total</b>  | <ol style="list-style-type: none"> <li>1. Preliminary Redevelopment Master Plan (Mayor Wright Homes) dated July 2017</li> <li>2. 343 Environmental Impact Statement</li> <li>3. NEPA Environmental Assessment</li> <li>4. Reconnaissance Level Survey (Fung &amp; Associates)</li> <li>5. 201H Application (Draft)</li> <li>6. Human Capital Report (Concordia)</li> </ol>                                                                                                                                                                                                                                                                         |
| Peters Communications, LLC Total                | Not Applicable – Costs Not Approved                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
| Professional Image, Inc. (HI) Total             | Not Applicable – No Work Product Generated                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| <b>R.M. Towill Corporation Total</b>            | <ol style="list-style-type: none"> <li>1. Preliminary Engineering Report dated January 5, 2018</li> <li>2. Preliminary Engineering Report dated April 8, 2020</li> <li>3. Sewer Connection Application – Phase 1</li> <li>4. Preliminary Subdivision Map dated December 12, 2018</li> <li>5. Infrastructure Overlays –dated August 8, 2018</li> <li>6. Utility Plans – dated June 25, 2018</li> <li>7. Memorandum from R.M. Towill Corporation re: Site Infrastructure Systems dated December 12, 2016</li> <li>8. Off-Site Electrical Plan (DRAFT) (undated)</li> <li>9. Letter to HECO dated November 18, 2016 re: Utility Assessment</li> </ol> |

|                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
|--------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                            | <b>10. ALTA/ACSM Land Title Survey highlighting HECO power lines (undated)</b><br><b>11. Photos re HECO Pole Lines (undated)</b><br><b>12. Electric and Telecommunications Overall Map – HECO 138KV (undated)</b><br><b>13. Existing Electric System Map (undated)</b><br><b>14. Mayor Wright Homes Redevelopment Phased Load Growth dated July 20, 2017</b>                                                                                            |
| <b>Roberts, Ronald L Total</b>             | Not Applicable – Costs Not Approved                                                                                                                                                                                                                                                                                                                                                                                                                     |
| <b>Settle Meyer Law Total</b>              | Not Applicable – No Work Product Generated                                                                                                                                                                                                                                                                                                                                                                                                              |
| <b>Smith, Susanne Total</b>                | Not Applicable – No Work Product Generated                                                                                                                                                                                                                                                                                                                                                                                                              |
| <b>Title Guaranty of Hawaii Inc. Total</b> | <b>1. Preliminary Title Report dated May 2, 2016</b>                                                                                                                                                                                                                                                                                                                                                                                                    |
| <b>Torti Gallas &amp; Partners Total</b>   | <b>1. Rendering – Updated Rendered Plan (Cropped Orange) dated July 13, 2020 (.jpg and .pdf)</b><br><b>2. Rendering – Updated Rendered Plan Cropped dated July 13, 2020 (.jpg and .pdf)</b><br><b>3. Rendering – Updated Rendered Plan Orange dated July 13, 2020 (.jpg and .pdf)</b><br><b>4. Rendering – Updated Rendered Plan dated July 13, 2020 (.jpg and .pdf)</b><br><b>5. A1 Aerial Color (undated)</b><br><b>6. A1 Mauka View Color (2020)</b> |
| <b>Vaughn, Robin Total</b>                 | Not Applicable – Costs Not Approved                                                                                                                                                                                                                                                                                                                                                                                                                     |
| <b>Weston Solutions, Inc. Total</b>        | <b>1. Phase I Environmental Site Assessment dated July 2016</b><br><b>2. Phase II Environmental Site Assessment dated July 5, 2018</b><br><b>3. Memo from Weston Solutions re: Brownfield Assessment dated February 2018</b><br><b>4. Analytical Report (Hawaii Analytical Laboratory) dated</b>                                                                                                                                                        |

|  |                                                                                                                                                                                                                               |
|--|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|  | <p><b>April 5, 2018 (Soil Laboratory Reports and Chain of Custodies)</b></p> <p><b>5. Groundwater Laboratory Reports and Chain of Custodies dated April 26, 2018</b></p> <p><b>6. Spreadsheet re TBA Issues (undated)</b></p> |
|--|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

## **EXHIBIT C-1**

### **Assignment and Assumption Agreement**

**ASSIGNMENT AND ASSUMPTION AGREEMENT**  
**(Mayor Wright Homes)**

This ASSIGNMENT AND ASSUMPTION AGREEMENT (this “Assignment”) is made and entered into as of \_\_\_\_\_ 2022, by and between **MWH PARTNERS, LLC**, a Delaware limited liability company authorized to do business in the State of Hawaii (“Assignor”), and the **HAWAII PUBLIC HOUSING AUTHORITY**, a public body and a body corporate and politic existing under the laws of the State of Hawaii (“Assignee”).

**RECITALS:**

This Assignment is made with reference to the following facts:

WHEREAS, the Assignor and Assignee are parties to that certain Master Development Agreement dated December 29, 2017 (the “Master Development Agreement”), relating to the redevelopment of an approximately 364-unit public housing development located at 521 North Kukui Street, Honolulu, Hawaii, 96817 owned by the Assignee, known as the Mayor Wright Homes, and more particularly described in Exhibit A to the Master Development Agreement (the “Authority Property”), attached hereto; and

WHEREAS, Assignee has terminated the Master Development Agreement pursuant to Article 15, which allows Assignee to terminate the Master Development Agreement for convenience; and

WHEREAS, pursuant to this Section 15 of the Master Development Agreement, Assignor agreed to transfer and assign to Assignee all work product funded by Assignor for the redevelopment of the Authority Property.

WHEREAS, as described in this Assignment, Assignor is conveying and assigning to Assignee all of Assignor’s right, title, and interest in all work product funded by Assignor for the development of the Authority Property;

NOW, THEREFORE, in consideration of the foregoing, and for other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the parties hereto, intending to be legally bound hereby, agree as follows:

1. **Defined Terms.**

(a) Capitalized terms used herein that are not otherwise defined in this Assignment shall have the same meanings herein as set forth in the Master Development Agreement.

(b) “Development” shall mean the mixed-use, mixed-income project that shall result from the redevelopment of Mayor Wright Homes under the Master Development Agreement in accordance with the Final Master Development Plan.

(c) “Work Product” shall mean all tangible and digital material or its intangible equivalent—in unwritten or oral form—that was prepared by or for Assignor and funded by Assignor for the Development.

2. Work Product. Assignor hereby represents and warrants that it retained \_\_\_\_\_ (“Contractor”) to provide services for the Development, and which resulted in Work Product, as more particularly described in Exhibit B (the “Contractor Work Product”). Assignor hereby represents and warrants that Exhibit B is a complete and accurate list of the Contractor Work Product, in all respects, as of the date hereof. Assignor hereby warrants and represents that it has delivered to Assignee all of the Contractor Work Product had in its possession. Assignor further warrants and affirms that it has disclosed to Assignee all actual reasonable and proper costs resulting from the Contractor Work Product (“Work Product Charges”). Assignee shall not be responsible or liable for Work Product Charges that are disclosed after the date this Assignment is executed.

3. Assignment. Assignor hereby sells, transfers, assigns and delegates unto Assignee, its successors and assigns, all of Assignor’s right, title, interest in and obligations under the Contractor Work Product. Assignor further warrants and agrees that Assignor shall provide to Assignee a signed copy of the Contractor Consent to Assignment, which is attached hereto, unsigned, as Exhibit C. Assignor’s obligations pursuant to this Section shall not be deemed complete or satisfied until such signed Contractor Consent to Assignment is delivered to Assignee. Assignee shall not be responsible or liable for any Work Product Charges unless and until (1) the Work Product is assigned pursuant to the Contractor Consent to Assignment and (2) the executed Contractor Consent to Assignment is delivered to Assignee within 30 days of the date this Assignment is executed, time being of the essence.

4. Further Assurances. Assignor agrees to reasonably assist Assignee, or its designees, in every proper way to secure Assignee’s rights in the Contractor Work Product, including the execution of all applications, specifications, oaths, assignments and all other instruments that Assignee may deem necessary in order to apply for and obtain such rights and in order to assign and convey to Assignee, its successors and assigns the sole and exclusive right, title and interest in and to all the Contractor Work Product.

5. Assignment Acceptance. Assignee hereby accepts the assignment of the Contractor Work Product and agrees to assume and perform any and all covenants and obligations required by the Contractor Work Product.

6. Warranties. Assignor hereby assigns to Assignee, without recourse, to the extent assignable, and Assignee hereby accepts the assignment of, all of Assignor’s right, title and interest in and to all assignable warranties related to, or arising from, the Contractor Work Product. To the extent permitted by law or by the express terms of such warranties, Assignee shall have the right in its own name to enforce, make a claim under, or file a suit on any warranty assigned hereby. Assignor hereby represents and warrants that it has delivered to Assignee all written warranty agreements assigned hereby.

7. Governing Law. This Assignment shall be governed by and construed in accordance with the laws of the State of Hawaii.

8. Mutual Cooperation. The parties hereto agree to execute such further documents and agreements as may be reasonably necessary or appropriate to effectuate the purposes of this Assignment.

9. Binding Effect. This Assignment shall be binding upon and inure to the benefit or detriment of Assignor and Assignee, and their lawful successors, agents, and assigns.

10. Counterparts. This Assignment may be executed in counterparts or electronically, each of which shall be deemed to be an original and all of which together shall constitute and be considered one and the same Assignment.

[SIGNATURE PAGE FOLLOWS]



IN WITNESS WHEREOF, the parties hereto have executed this Assignment under seal as of the date first above written.

ASSIGNOR:

**MWH PARTNERS, LLC,**  
a Delaware limited liability company

By: \_\_\_\_\_

Steven W. Colón  
Executive Vice President

ASSIGNEE:

**HAWAII PUBLIC HOUSING AUTHORITY,**  
a public body corporate and politic existing under  
the laws of the State of Hawaii

By: \_\_\_\_\_

Hakim Ouansafi  
Executive Director

## EXHIBIT A

### PROPERTY

All of that certain parcel of land (being portions of the land(s) described in and covered by Royal Patent (none), Land Commission Award Number 8525-B to Julia Alapai Kauwa; Royal Patent Number 4423, Land Commission Award Number 605, Apana 2 to Kalunaaina no Lupe; Royal Patent Number 1982, Land Commission Award Number 1285, Apana 4 to W. Kaluau; Royal Patent Number 5572, Land Commission Award Number 2072, Apana 3 to Kapaalua; Royal Patent Number 4423, Land Commission Award Number 605, Apana 3 to Kalunaaina no Lupe; Land Patent Number 8293, Land Commission Award Number 8520, Apana 1, Part 3 to Iosua Kaeo; Land Patent Number 8197, Land Commission Award Number 8520, Apana 1 to Iosua Kaeo; Royal Patent Number 4528, Land Commission Award Number 2107, Apana 2 to Kahina; Land Patent Grant Number 9375 to Hattie K. Vivichaves; Royal Patent (none), Land Commission Award Number 6236 to Kaaiawaawa; Royal Patent Grant Number 2065 to Napehe; Land Patent Number 8239, Land Commission Award Number 640 to Kamahalo; Royal Patent Number 5553, Land Commission Award Number 1405, Apana 4 to Pihiliilii; Royal Patent Number 1226, Land Commission Award Number 933, Apana 3 to Kamae; Royal Patent Number 2102, Land Commission Award Number 2 F.L. to Kamoku; Royal Patent Number 2684, Land Commission Award Number 3 F.L. to Kapo; Royal Patent Grant Number 2063 to Panio; Royal Patent Grant Number 2346, Apana 2 to Kaona; and being all of the land(s) described in and covered by Royal Patent Number 5553, Land Commission Award Number 1405, Apana 1 to Pihiliilii; Royal Patent Number 4393, Land Commission Award Number 1078 to Naili no Kanui; Royal Patent Number 4528, Land Commission Award Number 2107, Apana 1 to Kahina; Royal Patent Number 2681, Land Commission Award Number 1362 to Naholowaa no Hoa; Royal Patent Number 7446, Land Commission Award Number 8613, Apana 2 to Keonekapu; Royal Patent Number 1226, Land Commission Award Number 933, Apana 2 to Kamae; Royal Patent Number 5610, Land Commission Award Number 4747, Apana 2 to Kama; and Royal Patent Number 4518, Land Commission Award Number 25 F.L. to Kukui) situate, lying and being at Hauhaukoi, Kapahaha, Keoneula, Kahawali, Koiuiu, Aala and Kuaiula, City and County of Honolulu, State of Hawaii, being PROJECT NO. HA-1-3, formerly identified as PROJECT TH-1-3 of the HAWAII HOUSING AUTHORITY, MAYOR WRIGHT HOMES, bearing Tax Key designation (1) 1-7-029-003 and containing an area of 646,654 square feet, more or less.

The above described parcel of land comprising, as a part thereof, all of the lands covered by each of the following Land Court Applications, filed in the Land Court of the State of Hawaii, and all of the lands described in each of the following Transfer Certificate of Title of the said Land Court issued to HAWAII PUBLIC HOUSING AUTHORITY, as follows:

(A) Land Court Application No. 836 of Henry Atkinson Nye, Map 1, Transfer Certificate of Title No. 26,705;

(B) Land Court Application No. 1192 of Union Trust Company, Limited, LOTS 1, 2 and 3 as shown on Map 2, Transfer Certificate of Title No. 26,706;

(C) Land Court Application No. 126 of John Vivichaves, Map 1, Transfer Certificate of Title No. 26,707;

(D) Land Court Application No. 667 of Annie K. Wong Leong, Map 1, Transfer Certificate of Title No. 26,746;

(E) Land Court Application No. 170 of Bernhard Rudolph Banning, LOTS 1-A and 2-A as shown on Map 2, Transfer Certificate of Title No. 26,747; and

(F) Land Court Application No. 463 of William Kahlbaum, Map 1, Transfer Certificate of Title No. 26,748.

**EXHIBIT B**

CONTRACTOR WORK PRODUCT

SPECIMEN

**EXHIBIT C**

**CONTRACTOR CONSENT TO ASSIGNMENT**

SPECIMEN



## CONTRACTOR CONSENT TO ASSIGNMENT

\_\_\_\_\_, (“Contractor”) hereby expressly consents to all of the terms and conditions of the Assignment and Assumption Agreement (“Assignment”), dated on \_\_\_\_\_, 2022 and executed by and between **MWH PARTNERS, LLC**, a Delaware limited liability company authorized to do business in the State of Hawaii, (the “Assignor”), and **HAWAII PUBLIC HOUSING AUTHORITY**, a public body and a body corporate and politic existing under the laws of the State of Hawaii (“Assignee”). Capitalized terms not specifically defined herein shall have the meaning given such terms in the Assignment.

Contractor agrees as follows:

1. Contractor hereby acknowledges and warrants that Contractor has the right to assign the Contractor Work Product, as more particularly described in Exhibit A of the Assignment.
2. Contractor hereby acknowledges and warrants that it has received from Assignor a complete payment and/or settlement with respect to the Contractor Work Product. Contractor further acknowledges and warrants that as of the date hereof, Contractor has no claim, action, charges, causes of actions, debts, or damages against Assignor.
3. Contractor shall provide to Assignee all Contractor Work Product. Assignee shall have all the rights and remedies afforded to Assignor under any agreement or covenants between Assignor and Contractor, and Contractor shall provide its services and Work Product pursuant to the same terms and conditions as set forth in any agreement with Assignor. If requested by the Assignee, Contractor shall continue to perform on all of its agreements, covenants and obligations that remain owed to Assignor solely for the benefit of Assignee and the Development.
4. This Consent to Assignment shall be binding upon and inure to the benefit or detriment of the Contractor, and their lawful successors, agents, and assigns. To the extent allowed by law and subject to Section 3 above, Contractor hereby waives and agrees not to assert against Assignee any rights or defenses arising out of Assignor’s conduct prior to Assignee’s exercise of its rights under the Assignment.
5. This Consent to Assignment shall be governed by and construed in accordance with the laws of the State of Hawaii.
6. This Consent to Assignment cannot be modified, amended or otherwise changed without a written amendment signed by Contractor and Assignee.
7. The invalidity or unenforceability of any provision of this Consent to Assignment shall not affect the validity or enforceability of any other provision of this Consent to Assignment, all of which shall remain in full force and effect. This Consent to Assignment contains the complete and entire agreement and understanding by Contractor.

[SIGNATURE PAGE FOLLOWS]

IN WITNESS WHEREOF, the Contractor has executed this Consent to Assignment as of the date set forth above.

**CONTRACTOR:**

\_\_\_\_\_

By: \_\_\_\_\_

Dated: [\_\_\_\_\_]

SPECIMEN

## **EXHIBIT A**

Contractor Work Product

SPECIMEN



## **EXHIBIT C-2**

### **Contractor Consent to Assignment**

## CONTRACTOR CONSENT TO ASSIGNMENT

\_\_\_\_\_, (“Contractor”) hereby expressly consents to all of the terms and conditions of the Assignment and Assumption Agreement (“Assignment”), dated on \_\_\_\_\_, 2022 and executed by and between **MWH PARTNERS, LLC**, a Delaware limited liability company authorized to do business in the State of Hawaii, (the “Assignor”), and **HAWAII PUBLIC HOUSING AUTHORITY**, a public body and a body corporate and politic existing under the laws of the State of Hawaii (“Assignee”). Capitalized terms not specifically defined herein shall have the meaning given such terms in the Assignment.

Contractor agrees as follows:

1. Contractor hereby acknowledges and warrants that Contractor has the right to assign the Contractor Work Product, as more particularly described in Exhibit A of the Assignment.
2. Contractor hereby acknowledges and warrants that it has received from Assignor a complete payment and/or settlement with respect to the Contractor Work Product. Contractor further acknowledges and warrants that as of the date hereof, Contractor has no claim, action, charges, causes of actions, debts, or damages against Assignor.
3. Contractor shall provide to Assignee all Contractor Work Product. Assignee shall have all the rights and remedies afforded to Assignor under any agreement or covenants between Assignor and Contractor, and Contractor shall provide its services and Work Product pursuant to the same terms and conditions as set forth in any agreement with Assignor. If requested by the Assignee, Contractor shall continue to perform on all of its agreements, covenants and obligations that remain owed to Assignor solely for the benefit of Assignee and the Development.
4. This Consent to Assignment shall be binding upon and inure to the benefit or detriment of the Contractor, and their lawful successors, agents, and assigns. To the extent allowed by law and subject to Section 3 above, Contractor hereby waives and agrees not to assert against Assignee any rights or defenses arising out of Assignor’s conduct prior to Assignee’s exercise of its rights under the Assignment.
5. This Consent to Assignment shall be governed by and construed in accordance with the laws of the State of Hawaii.
6. This Consent to Assignment cannot be modified, amended or otherwise changed without a written amendment signed by Contractor and Assignee.
7. The invalidity or unenforceability of any provision of this Consent to Assignment shall not affect the validity or enforceability of any other provision of this Consent to Assignment, all of which shall remain in full force and effect. This Consent to Assignment contains the complete and entire agreement and understanding by Contractor.

[SIGNATURE PAGE FOLLOWS]

IN WITNESS WHEREOF, the Contractor has executed this Consent to Assignment as of the date set forth above.

**CONTRACTOR:**

\_\_\_\_\_

By: \_\_\_\_\_

Dated: [ \_\_\_\_\_ ]

## **EXHIBIT A**

Contractor Work Product

SPECIMEN

## **EXHIBIT C-3**

### List of Consenting Parties

Attachment D  
Schedule of Approved Expenses

| Vendor                                   | Total of Invoices Submitted | HPHA Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Invoices/Costs Approved | Invoices/Cost Not Approved |
|------------------------------------------|-----------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------|----------------------------|
| R.M. Towill Corporation      Total       | \$      108,478.26          | On April 8, 2020, The Developer provided a confirmed schedule of its Master Planning costs actually incurred which included \$31,020 in expenses related to RM Towill, which were 100% the responsibility of the Developer and \$89,411 in Exhibit G expenses to be shared 50:50 between the Developer and the HPHA. The total costs the Developer previously confirmed for RM Towill totalled \$80, 589 vs. \$108,4878 the Developer is now claiming. <b>Based on the submission of additional documentation (evidence of payment, and delivery of all work product and instruments of service prepared by the consultant), HPHA has approved the requested amount.</b> | \$      108,478.26      |                            |
| Hawaii Engineering Group      Total      | \$      128,433.87          | On April 8, 2020, The Developer provided a confirmed schedule of its Master Planning costs actually incurred which included \$94,298 in expenses related toHawaii Engineering Group, which were 100% the responsibility of the Developer and \$49, 569 in Exhibit G expenses to be shared 50:50 between the Developer and the HPHA. <b>Based on the submission of additional documentation (evidence of payment, and delivery of all work product and instruments of service prepared by the consultant), HPHA has approved the requested amount.</b>                                                                                                                    | \$      128,433.87      |                            |
| PBR Hawaii & Associates, Inc.      Total | \$      1,539,374.42        | On April 8, 2020, The Developer provided a confirmed schedule of its Master Planning costs actually incurred which included \$1,440,026 in expenses related to PBR Hawaiiil, which were 100% the responsibility of the Developer. The develper is now claiming \$1,539,374. In the spirit of settling this claim expeditiously and amicably, the Agency approves these costs. However, the HPHA requires delivery and assignment of all work product and instruments of service prepared by the consultant and assignment of these materials to the HPHA for potential future use on the Project.                                                                        | \$      1,539,374.42    |                            |

Attachment D  
Schedule of Approved Expenses

| Vendor                                                 | Total of Invoices Submitted | HPHA Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Invoices/Costs Approved | Invoices/Cost Not Approved |
|--------------------------------------------------------|-----------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------|----------------------------|
| <b>Weston Solutions, Inc.</b> <b>Total</b>             | <b>\$ 51,979.00</b>         | On April 8, 2020, The Developer provided a confirmed schedule of its Master Planning costs actually incurred which included \$51,979 in expenses paid to Weston Solutions related to environmental studies and Master Planning which were 100% the responsibility of the Developer. In the spirit of settling this claim expeditiously and amicably, the Agency approves these costs. However, the HPHA requires delivery and assignment of all work product and instruments of service prepared by the consultant and assignment of these materials to the HPHA for potential future use on the Project.                                                                 | <b>\$ 51,979.00</b>     |                            |
| <b>Meyers Research LLC</b> <b>Total</b>                | <b>\$ 38,559.89</b>         | On April 8, 2020, The Developer provided a confirmed schedule of Exhibit G related expenses to be shared 50:50 between the Developer and the HPHA. The total costs the Developer previously confirmed related to Meyers Research totalled \$38, 560, which the Agency approved. In the spirit of settling this claim expeditiously and amicably, the Agency approves these costs. However, the HPHA requires delivery and assignment of all work product and instruments of service prepared by the consultant and assignment of these materials to the HPHA for potential future use on the Project.                                                                     | <b>\$ 38,559.89</b>     |                            |
| <b>Overland, Pacific &amp; Cutler LLC</b> <b>Total</b> | <b>\$ 13,345.15</b>         | On April 8, 2020, The Developer provided a confirmed schedule of Exhibit G related expenses to be shared 50:50 between the Developer and the HPHA. The total costs the Developer previously confirmed related to Overland, Pacific & Cutler LLC totalled \$11,113 which the Agency approved. The Developer is now claiming total costs of \$13,345. In the spirit of settling this claim expeditiously and amicably, the Agency approves these costs. However, the HPHA requires delivery and assignment of all work product and instruments of service prepared by the consultant and assignment of these materials to the HPHA for potential future use on the Project. | <b>\$ 13,345.15</b>     |                            |

Attachment D  
Schedule of Approved Expenses

| Vendor                            | Total of Invoices Submitted | HPHA Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Invoices/Costs Approved | Invoices/Cost Not Approved |
|-----------------------------------|-----------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------|----------------------------|
| Architects Hawaii Ltd. Total      | \$ 573,823.01               | These expenses relate to architectural fees for the residential tower component of the first phase of the redevelopment of Mayor Wright Homes. As noted to the Developer multiple times, in writing, the Developer retained this consultant, incurring fees and costs prior the Agency reviewing and approving the selection of this consultant and reviewing and approving a contract with this consultant in violation of the Master Development Agreement. The Agency further notes that a contract with this consultant was never completed and executed. In the spirit of settling this claim expeditiously and amicably, the Agency approves these costs. However, the HPHA requires delivery and assignment of all work product and instruments of service prepared by the consultant and assignment of these materials to the HPHA for potential future use on the Project. | \$ 573,823.01           |                            |
| Design Partners Inc. Total        | \$ 516,392.10               | These expenses relate to architectural fees for the the first phase of the redevelopment of Mayor Wright Homes. As noted to the Developer multiple times in writing, the Developer retained this consultant, incurring fees and costs prior the Agency review and approval of the proposed contract with this consultant in violation of the Master Development Agreement. The Agency further notes that a contract with this consultant was never completed and executed. In the spirit of settling this claim expeditiously and amicably, the Agency approves these costs. However, the HPHA requires delivery and assignment of all work product and instruments of service prepared by the consultant and assignment of these materials to the HPHA for potential future use on the Project.                                                                                    | \$ 516,392.10           |                            |
| Cassiday, Paul Total              | \$ 31,249.80                | This expense does not appear on the Developer's April 8,2020 confirmed schedule of Expenses. In the spirit of settling this claim expeditiously and amicably, the Agency approves these costs. However, the HPHA requires delivery and assignment of all work product and instruments of service prepared by the consultant and assignment of these materials to the HPHA for potential future use on the Project.                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | \$ 31,249.80            |                            |
| Hawaii Private Locators LLC Total | \$ 1,550.00                 | This expense does not appear on the Developer's April 8,2020 confirmed schedule of Expenses. In the spirit of settling this claim expeditiously and amicably, the Agency approves these costs. However, the HPHA requires delivery and assignment of all work product and instruments of service prepared by the consultant and assignment of these materials to the HPHA for potential future use on the Project.                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | \$ 1,550.00             |                            |



Attachment D  
Schedule of Approved Expenses

| Vendor                                                                   | Total of Invoices Submitted | HPHA Response                                                                                                                                                                                                                                                                                                                                                                                                          | Invoices/Costs Approved | Invoices/Cost Not Approved |
|--------------------------------------------------------------------------|-----------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------|----------------------------|
| <b>Torti Gallas &amp; Partners</b> <b>Total</b>                          | <b>\$ 12,000.00</b>         | This expense does not appear on the Developer's April 8,2020 confirmed schedule of Expenses. In the spirit of settling this claim expeditiously and amicably, the Agency will consider the additional costs, however, the HPHA requests a detailed explanation of the cost, evidence of payment, and delivery and assignment of all work product and instruments of serves prepared by the consultant for its own use. | <b>\$ 12,000.00</b>     |                            |
| <b>Oahu Print Company Inc</b> <b>Total</b>                               | <b>\$ 190.66</b>            | This expense does not appear on the Developer's April 8,2020 confirmed schedule of Expenses. In the spirit of settling this claim expeditiously and amicably,The Agency will approves this cost.                                                                                                                                                                                                                       | <b>\$ 190.66</b>        |                            |
| <b>Professional Image, Inc. (HI)</b> <b>Total</b>                        | <b>\$ 166.24</b>            | This expense does not appear on the Developer's April 8,2020 confirmed schedule of Expenses. In the spirit of settling this claim expeditiously and amicably,The Agency approves this cost.                                                                                                                                                                                                                            | <b>\$ 166.24</b>        |                            |
| <b>Honblue</b> <b>Total</b>                                              | <b>\$ 515.35</b>            | This expense does not appear on the Developer's April 8,2020 confirmed schedule of Expenses. In the spirit of settling this claim expeditiously and amicably,The Agency will approve this cost.                                                                                                                                                                                                                        | <b>\$ 515.35</b>        |                            |
| <b>Title Guaranty of Hawaii Inc.</b> <b>Total</b>                        | <b>\$ 572.91</b>            | This expense does not appear on the Developer's April 8,2020 confirmed schedule of Expenses. In the spirit of settling this claim expeditiously and amicably,The Agency will approve this cost.                                                                                                                                                                                                                        | <b>\$ 572.91</b>        |                            |
| <b>Hawaii Housing Finance &amp; Development Corporation</b> <b>Total</b> | <b>\$ 500.00</b>            | This expense does not appear on the Developer's April 8,2020 confirmed schedule of Expenses. In the spirit of settling this claim expeditiously and amicably,The Agency will approve this cost.                                                                                                                                                                                                                        | <b>\$ 500.00</b>        |                            |
| <b>Language Services Hawaii LLC</b> <b>Total</b>                         | <b>\$ 3,245.01</b>          | This expense does not appear on the Developer's April 8,2020 confirmed schedule of Expenses. In the spirit of settling this claim expeditiously and amicably,The Agency will approve this cost.                                                                                                                                                                                                                        | <b>\$ 3,245.01</b>      |                            |
| <b>Bowen Hunsaker</b> <b>Total</b>                                       | <b>\$ 5,000.00</b>          | The Agency approves this cost.                                                                                                                                                                                                                                                                                                                                                                                         | <b>\$ 5,000.00</b>      |                            |
| <b>Catering Connection, Inc, The</b> <b>Total</b>                        | <b>\$ 3,847.85</b>          | These expenses appear to be for catering provided for Mayor Wright Homes design Charettes, however it does not appear on the Developer's April 8,2020 confirmed schedule of Expenses. In the spirit of attempting to resolve this matter expeditiously and amicably, the Agency will approve these costs.                                                                                                              | <b>\$ 3,847.85</b>      |                            |

Attachment D  
Schedule of Approved Expenses

| Vendor                                        | Total of Invoices Submitted | HPHA Response                                                                                                                                                                                                                                                                                                                                                                                                                                    | Invoices/Costs Approved | Invoices/Cost Not Approved |
|-----------------------------------------------|-----------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------|----------------------------|
| Kaleonahe Communications, LLC Total           | \$ 2,850.00                 | This expense appears to be for work related to the Mayor Wright Homes website, however it does not appear on the Developer's April 8,2020 confirmed schedule of Expenses. In the spirit of settling this claim expeditiously and amicably, the Agency approves these costs.                                                                                                                                                                      | \$ 2,850.00             |                            |
| Linda S. Congleton & Associates Total         | \$ 25,000.00                | This expense does not appear on the Developer's April 8,2020 confirmed schedule of Expenses, the Agency is not familiar with this consultant, did not request its services and will not reimburse the Developer for this cost.                                                                                                                                                                                                                   |                         | \$ 25,000.00               |
| Northern Real Estate Urban Ventures LLC Total | \$ 27,638.11                | This expense does not appear on the Developer's April 8,2020 confirmed schedule of Expenses, the Agency is not familiar with this consultant, did not request its services, did not review or approve a contract for the work and will not reimburse the Developer for this cost.                                                                                                                                                                |                         | \$ 27,638.11               |
| Friends of Rail Total                         | \$ 5,000.00                 | This expense does not appear on the Developer's April 8,2020 confirmed schedule of Expenses, and appears to be for a charitable contribution. State taxpayers should not be expected to fund the Developer's philanthropy. The Agency will not reimburse the Developer for this cost.                                                                                                                                                            |                         | \$ 5,000.00                |
| ADA-R/C Palama Inv MayorWright Total          | \$ 1,250.00                 | This expense does not appear on the Developer's April 8,2020 confirmed schedule of Expenses, and appears to be for a charitable contribution. State taxpayers should not be expected to fund the Developers philanthropy. The Agency will not reimburse the Developer for this cost.                                                                                                                                                             |                         | \$ 1,250.00                |
| American Express Travel Relate Total          | \$ 8,007.34                 | This expense does not appear on the Developer's April 8,2020 confirmed schedule of Expenses, and appears to be miscellaneous costs billed to a company credit card. The Agency will not reimburse the Developer for this cost.                                                                                                                                                                                                                   |                         | \$ 8,007.34                |
| Capitol Consultants of Hawaii Total           | \$ 138,219.84               | These expense does not appear on the Developer's April 8,2020 confirmed schedule of Expenses, the Agency is familiar with these consultants, who are lobbyists. The Agency did not request these services, did not review or approve a contract for retaining these consultants, and has specifically communicated to Developer on multiple occasions, in writing, that it would not reimburse the Developer for such costs, and that such costs |                         | \$ 138,219.84              |
| Peters Communications, LLC Total              | \$ 125,654.40               |                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                         | \$ 125,654.40              |

Attachment D  
Schedule of Approved Expenses

| Vendor                                                                                 | Total of Invoices Submitted | HPHA Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Invoices/Costs Approved | Invoices/Cost Not Approved |
|----------------------------------------------------------------------------------------|-----------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------|----------------------------|
| <b>Kaimana Hila</b> <span style="float: right;"><b>Total</b></span>                    | <b>\$ 2,984.29</b>          | would be the sole responsibility of the Developer. State taxpayers should not be expected to fund the Developers lobbying efforts and the Agency will certainly not reimburse the Developer for its lobbying efforts against the Agency.                                                                                                                                                                                                                                                                                                                                            |                         | <b>\$ 2,984.29</b>         |
| <b>Moss &amp; Associates</b> <span style="float: right;"><b>Total</b></span>           | <b>\$ 449,065.95</b>        | This expense does not appear on the Developer's April 8,2020 confirmed schedule of Expenses, the Agency is familiar with this consultant, who has an identity of interest with the Developer. The Agency did request its services, did not review or approve a contract for its work, has specifically communicated to Developer on multiple occasions, that it would not reimburse the Developer for expenses related to Moss & Associates, who is basically performing the same function the Developer is responsible for under its Master Development Agreement with the Agency. |                         | <b>\$ 449,065.95</b>       |
| <b>Hunt Building Corp</b> <span style="float: right;"><b>Total</b></span>              | <b>\$ 2,622.73</b>          | This expense does not appear on the Developer's April 8,2020 confirmed schedule of Expenses, and appears to be an internal allocation within the Developer's organization. The Agency did not request this services, did not review or approve a contract for the work related to the invoice and will not reimburse the Developer for this cost.                                                                                                                                                                                                                                   |                         | <b>\$ 2,622.73</b>         |
| <b>Hunt Companies Business Service</b> <span style="float: right;"><b>Total</b></span> | <b>\$ 60.08</b>             | This expense does not appear on the Developer's April 8,2020 confirmed schedule of Expenses, and appears to be an internal allocation within the Developer's organization. The Agency did not request this services, did not review or approve a contract for the work related to the invoice and will not reimburse the Developer for this cost.                                                                                                                                                                                                                                   |                         | <b>\$ 60.08</b>            |
| <b>Colon, Steven W.</b> <span style="float: right;"><b>Total</b></span>                | <b>\$ 841.44</b>            | This request relates to expenses incurred by Mr. Colon and submitted to the Hunt Organization for reimbursement. These expenses related to meals incurred by Mr. Colon. One item representing the majority of the this expense (\$727.10) catagorized as "Meal Expense Onsite Billable" appears to be for a group dinner among a number of Hunt employees. We note that the meal included prime ribeye, numerous glasses of Scotch Whiskey and a \$95 bottle of wine. The Agency certainly did not approve this expense. The Agency will not reimburse these Developer costs.       |                         | <b>\$ 841.44</b>           |

Attachment D  
Schedule of Approved Expenses

| Vendor                                                     | Total of Invoices Submitted | HPHA Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Invoices/Costs Approved | Invoices/Cost Not Approved |
|------------------------------------------------------------|-----------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------|----------------------------|
| Lee, Thomas W. <span style="float: right;">Total</span>    | \$ 1,213.30                 | This request relates to expenses incurred by Mr. Lee and submitted to the Hunt Organization for reimbursement. The majority of these expenses appear to related to meals with other Hunt employees. The Agency will not reimburse these Developer costs.                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                         | \$ 1,213.30                |
| Vaughn, Robin <span style="float: right;">Total</span>     | \$ 82,079.88                | This request relates to expenses incurred by Mr. Vaughn and submitted to the Hunt Organization for reimbursement. The majority of these expenses appear to relate to Mr. Vaughn's travel, meals and entertainment for his trips to/from Hawaii and the Mainland, where Mr. Vaughn's offices are located. As the Agency is aware that Mr. Vaughn represents Hunt's interest in numerous other transactons in Hawaii, the Agency did not specifically request Mr. Vaughn to be physically present in Hawaii, Mr. Vaughn's contributions to the Mayor Wright Redevelopment effort could have (and were) easily accomplished via email, telephone, conference call or virtual.The HPHA will not reimburse these Developer costs. |                         | \$ 82,079.88               |
| Roberts, Ronald L <span style="float: right;">Total</span> | \$ 7,640.62                 | This request appears to relate to expenses incurred by Mr. Roberts and submitted to the Hunt Organization for reimbursement and appear to be related to travel, meals and entertainment for his trips to/from Hawaii and the Mainland. The Agency does not know who Mr. Roberts is, what his role in the Hunt Organization is, and more importantly, what his role was/is relating to the Mayor Wright Homes redevelopment effort. The Agency did not specifically request Mr. Roberts to be physically present in Hawaii and the Agency will not reimburse these Developer costs.                                                                                                                                           |                         | \$ 7,640.62                |
| Smith, Susanne <span style="float: right;">Total</span>    | \$ 77.00                    | This request appears to related to expenses incurred by a Hunt employee and submitted to the Hunt Organization for reimbursement for filing fees for DCCA registration. The agency will approve this expense.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | \$ 77.00                |                            |
| Jackson, Kelly <span style="float: right;">Total</span>    | \$ 10.74                    | This request appears to related to expenses incurred by a Hunt employee and submitted to the Hunt Organization for reimbursement for and app. It is unclear how this expense relates to Mayor Wright, however, given the deminimus nature of the expense and the agencies desire to resolve this matter expeditiously and amicably, the Agency will approve this expense.                                                                                                                                                                                                                                                                                                                                                    | \$ 10.74                |                            |

Attachment D  
Schedule of Approved Expenses

| Vendor            | Total of Invoices Submitted | HPHA Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Invoices/Costs Approved | Invoices/Cost Not Approved |
|-------------------|-----------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------|----------------------------|
| Cheung, Jinny     | Total \$ 4.60               | This request appears to relate to expenses incurred by a Hunt employee and submitted to the Hunt Organization for reimbursement relating to mileage reimbursement for two meetings attended at HPHA. It is unclear why the agency would reimburse Hunt employees for mileage, however, given the de minimis nature of the expense and the agencies desire to resolve this matter expeditiously and amicably, the Agency will approve this expense.                                                                                                                                                                          | \$ 4.60                 |                            |
| Dumas, Betty      | Total \$ 5,645.72           | This request appears to relate to expenses incurred by a Hunt employee and submitted to the Hunt Organization for reimbursement relating to various items purchased for the Mayor Wright Homes Design Charettes in 2016, other meeting and domain name expenses. These expense does not appear on the Developer's April 8,2020 confirmed schedule of Expenses and we noted reimbursement sought for two meals for internal meetings totalling \$33.00 and \$50.00. <b>However, the Agency will approve these expenses less \$83.00 for internal Developer expenses that state taxpayers should not be required to fund.</b> | \$ 5,562.72             | \$ 83.00                   |
| Davids, Emily E   | Total \$ 1,346.80           | This request appears to relate to expenses incurred by a Hunt employee and submitted to the Hunt Organization for reimbursement relating to various items purchased for the Mayor Wright Homes Design Charettes in 2016 and other meeting expenses. These expense does not appear on the Developer's April 8,2020 confirmed schedule of Expenses. However, in the spirit of attempting to resolve this matter expeditiously and amicably, the Agency will approve this expense.                                                                                                                                             | \$ 1,346.80             |                            |
| Iriarte, Kathleen | Total \$ 607.37             | This request appears to relate to expenses incurred by a Hunt employee and submitted to the Hunt Organization for reimbursement relating to meals purchased for the Mayor Wright Homes Design Charette in 2016. This expense does not appear on the Developer's April 8,2020 confirmed schedule of Expenses. However, in the spirit of attempting to resolve this matter expeditiously and amicably, the Agency will approve this expense.                                                                                                                                                                                  | \$ 607.37               |                            |

Attachment D  
Schedule of Approved Expenses

| Vendor                        | Total of Invoices Submitted | HPHA Response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Invoices/Costs Approved | Invoices/Cost Not Approved |
|-------------------------------|-----------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------|----------------------------|
| Kim, Jennifer <b>Total</b>    | \$ 396.11                   | This request appears to relate to expenses incurred by a Hunt employee and submitted to the Hunt Organization for reimbursement. The expense package includes a significant number of purchases unrelated to Mayor Wright Homes. The expenses relating to Mayor Wright Homes include domain name and other subscription fees. The Agency notes a three expenses for internal meals of \$52.20, \$26.00 and \$74.15 totalling \$152.65. The states taxpayers should not be expected to pay for internal entertainment of Hunt employees. <b>The agency will agree to pay \$396.11 less \$152.65 for a total of \$243.46</b> | \$ 243.46               | \$ 152.65                  |
| MWH Partners LLC <b>Total</b> | \$ 657,127.76               | Hunt is proposing a 15% fee relying on HUD Safe Harbors for closed LIHTC transactions. After reviewing the average developer fees approved by HHFDC, and in an effort to propose a reasonable and principled compromise, HPHA is willing to include a 6% fee on the \$1,617,323 predevelopment expenses that Hunt confirmed in April 2020), which results in a total fee of \$97,040.                                                                                                                                                                                                                                      | \$ 97,040.00            | \$ 560,087.76              |
| <b>Total</b>                  | \$ 4,574,567.60             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | \$ 3,136,966.21         | \$ 1,437,601.39            |
| <b>Legal Fees</b>             |                             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                         |                            |
| Settle Meyer Law              | 306,871.03                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 29,759.52               | 277,111.51                 |
| Ballard Sphar                 | 11,439.29                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 1,229.12                | 10,210.17                  |
| Ainsa Hutson                  | 45.71                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | -                       | 45.71                      |
| ES&A                          | 9,552.78                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | -                       | 9,552.78                   |
| <b>Total Legal Fees</b>       | \$ 327,908.81               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | \$ 30,988.64            | \$ 296,920.17              |
| <b>Final Total</b>            | \$ 4,902,476.41             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | \$ 3,167,954.85         | \$ 1,734,521.56            |

***Hawaii Public Housing Authority  
Report for the Month of September 2022***

**I. Planning and Evaluation**

**A. Yes In My Backyard (YIMBY) Statewide Working Group**

- HB 1837, HD1, SD2, CD1 was signed into law by Governor David Y. Ige as Act 305 on July 12, 2022. The law establishes the (YIMBY) statewide working group on affordable housing to foster increased inter-agency coordination on housing and zoning issues, raise public awareness of ongoing state and county efforts to reduce barriers to affordable housing development, and propose legislation. The HPHA and HHFDC are co-chairs of this working group.
- The YIMBY statewide working group held its kickoff meeting on September 28, 2022 and will hold its first meeting on October 11, 2022.

**B. Moving To Work (MTW Designation)**

On September 7, 2022, the HPHA held two MTW community engagement meetings with public housing and Section 8 participants to discuss the incentives and received feedback on the Agency-Specific waiver, and all other MTW waiver activities.

**C. Supportive Housing Work Group**

- On September 20, 2022, the HPHA attended the Supportive Housing Work Group meeting to address the supportive housing needs for our disadvantaged community members.
- The Supportive Housing Work Group received presentations about NIBY-ism from:
  - o Lorraine Coleman, Senior Vice President of Development, Policy, & Planning at Acacia Network
  - o Nicky Winter, Executive Director of Achieve Zero
  - o Kimi Palacio, Director of Operations for Going Home Hawaii
  - o Greg Payton, CEO of Mental Health Kokua
- The HPHA will continue to collaborate with the Supportive Housing Work Group in creating a brief report on group findings to frame for our legislative leaders and the new incoming State administration.

#### **D. Hawaii Interagency Council on Homelessness**

- On September 19, 2022, the HPHA attended the Hawaii Interagency Council on Homelessness Meeting and discussed the utilization of Emergency Housing Vouchers (EHVs) statewide. Presentations were provided by the Oahu Continuum of Care and Bridging the Gap. Additionally, a discussion regarding homelessness awareness and educational activities for Homelessness Awareness Month and Hunger and Homeless Awareness Week which will take place in November.

## **II. Fiscal Management**

### **A. Variance Report for August 2022**

#### **1. Revenue for the Month of August 2022**

**CFP Grant Income** \$26,999 higher than budget

The Public Housing Capital Fund Program (“CFP”) is granted by the U.S. Department of Housing and Urban Development (HUD) for capital and management activities including modernization and development of public housing. CFP drawdowns for the expenditures that are not capitalized are reported on this line as operating income. The amount of capitalized CFP expenditures is reported in the Balance Sheet under construction in progress.

\$26,999 of CFP drawdown during the current month was for the expenditures not to be capitalized. The amount was reported as operating income on this line.

**Grant Income** \$59,535 lower than budget

The unfavorable variance of \$59,535 was due to a smaller amount of the state general fund grants allotted for the month.

**Other Income** \$314,408 lower than budget

The unfavorable variance of \$314,408 was because the front-line service fees generated by Multi-Skilled Workers Pilot Program was much lower than the amount budgeted.

#### **2. Expenses for the Month of August 2022**

**Administrative** \$220,391 lower than budget



The favorable variance of \$220,391 was due to:

- \$153,446 lower HPHA administrative payroll expenses,
- \$14,750 higher private management company's administrative payroll expenses,
- \$1,029 audit fee budgeted but not paid yet,
- \$27,436 less front-line service fees charged by the Application, Hearings and Compliance offices,
- \$25,853 lower legal expenses,
- \$6,763 less travel expenses,
- \$3,316 lower management agent fees,
- \$47,799 lower consultant and other professional service expenses,
- \$6,086 higher expenses on office supplies, and
- \$24,416 higher expenses of the items not specified above (training, computer software, automobile, etc.).

**Tenant Services \$7,963 higher than budget**

The unfavorable variance of \$7,963 was because:

- Tenant relocation cost was \$976 higher than budget.
- \$5,813 budgeted for tenant participation expense did not occur.
- The emergency housing voucher program expended \$25,287 more for tenant service.
- All other tenant service cost was \$12,487 less than budget.

**Maintenance \$432,183 lower than budget**

The \$432,183 favorable variance was due to:

- \$95,189 lower salaries and fringe benefits of HPHA maintenance employees,
- \$29,736 smaller expense of wages and benefits paid to maintenance employees of the private management company,
- \$101,105 less expense on furniture, appliance, and equipment,
- \$62,010 higher expense on materials and supplies used for building, ground, safety, painting, electrical, janitorial maintenances, etc.,
- \$267,856 lower front-line service fees billed by the Multi-Skilled Workers Pilot Program team, and
- \$307 lower expense paid for contracted repairs and services including refuse collection, sewer system repair, plumbing repair, pest control service, building and unit repair, tree trimming service, vehicle and equipment rental, janitorial service, elevator maintenance, fire extinguisher service, appliance repair, electrical repair, HVAC repair, etc.

**Protective Services** \$160,410 lower than budget

The \$160,410 favorable variance was due to:

- The expense of outsourced security services was \$150,984 lower, and
- \$9,426 budgeted for security equipment installation/maintenance did not occur.

**Bad Debt Expense** \$124,992 higher than budget

The \$124,992 unfavorable variance was the result of month end reconciliation of tenant accounts receivable and adjustments of allowances for doubtful accounts.

**General Expenses** \$127,044 higher than budget

The \$127,044 unfavorable variance was mainly due to construction project written off.

3. Revenue year to date

**CFP Grant Income** \$32,207 higher than budget

\$32,207 of CFP drawdown year to date was for the expenditures not to be capitalized. The amount was reported as operating income on this line.

**Grant Income** \$119,070 lower than budget

The unfavorable variance of \$119,070 was due to a smaller amount of the state general fund grants allotted year to date.

**Other Income** \$727,158 lower than budget

The unfavorable variance of \$727,158 was because the front-line service fees generated by the Multi-Skilled Workers Pilot Program was much lower than the amount budgeted.

4. Expenses year to date

**Administrative** \$658,493 lower than budget

The favorable variance of \$658,493 was due to:

- \$392,968 lower payroll expenses of HPHA administrative employees,
- \$13,317 higher administrative payroll expenses of the private management company,

- \$1,029 audit fee budgeted but not paid yet,
- \$46,426 lower front-line service fees charged by the Application Services Unit, Hearings and Compliance offices,
- \$74,831 less legal expenses,
- \$15,459 lower travel expenses,
- \$5,484 higher management agent fees,
- \$103,853 lower consultant and other professional service expenses,
- \$25,867 lower expenses on office supplies, and
- \$16,861 lower expenses of the items not specified above (training, computer software, automobile, etc.)

**Tenant Services \$9,334 lower than budget**

The favorable variance of \$9,334 was because:

- Tenant relocation cost was \$721 lower than budget.
- \$11,625 budgeted for tenant participation expense did not occur.
- The emergency housing voucher program expended \$25,287 more for tenant service.
- All other tenant service cost was \$22,287 less than budget.

**Maintenance \$1,518,137 lower than budget**

The \$1,518,137 favorable variance was due to:

- \$319,703 lower salaries and fringe benefits of HPHA maintenance employees,
- \$33,663 smaller expenses of wages and benefits paid to maintenance employees of the private management company,
- \$238,020 less expenses on furniture, appliance, and equipment,
- \$46,106 lower expenses on materials and supplies used for building, ground, safety, painting, electric, janitorial maintenances, etc.,
- \$353,712 lower front-line service fees billed by the Multi-Skilled Workers Pilot Program team, and
- \$344,930 lower expenses paid for contracted services including refuse collection, sewer, plumbing, pest control, building, tree trimming, vehicle and equipment rental, janitorial, elevator, fire extinguisher, appliance, electric, HVAC, etc.

**Protective Services \$144,938 lower than budget**

The favorable variance of \$144,938 was due to:

- \$123,127 lower expenses of outsourced security services for the housing programs, and
- \$21,811 budgeted for security equipment installation/maintenance was not incurred.

**Bad Debt Expense** \$400,867 higher than budget

The unfavorable variance of \$400,867 was the result of the reconciliation of accounts receivable and adjustments of allowances for bad debt.

**General Expenses** \$143,186 higher than budget

The \$143,186 unfavorable variance was due to the following factors.

- \$17,885 of expenses paid by Pcard was not identified and booked to proper expense accounts yet.
- Section 8 expended \$20,676 for port-out voucher admin fees and the cost of late annual certifications.
- \$94,094 of construction projects was written off.
- \$10,531 of unexpected general expenses occurred.

**B. HUD Coronavirus Aid, Relief, and Economic Security (CARES) Act Monitoring Review**

The HUD Honolulu Field Office conducted a virtual HUD CARES Act monitoring review. The review examined HPHA's use of CARES Act funds for the Public Housing Programs. The review started on August 3, 2022 and ended on September 30, 2022. The review resulted in zero findings, zero observation, and zero recommendations.



**U.S. Department of Housing and Urban Development**

Honolulu Field Office  
1003 Bishop Street, Suite 2100  
Honolulu, Hawaii 96813  
[www.hud.gov](http://www.hud.gov)  
[www.espanol.hud.gov](http://www.espanol.hud.gov)

September 30, 2022

Hakim Ouansafi  
Executive Director  
Hawaii Public Housing Authority  
1002 North School Street  
Honolulu, HI 96813

Dear Director Ouansafi:

This letter documents the conclusion of the U.S. Department of Housing and Urban Development (HUD) Coronavirus Aid, Relief, and Economic Security (CARES) Act monitoring review. Thank you for your participation to administer these critical funds and to assist in HUD's requirement to provide oversight.

The review resulted in zero findings, zero observations, and zero recommendations.

**Monitoring Review**

The monitoring review was conducted remotely, beginning with an entrance conference on August 3, 2022 at 10:00am and has concluded with an exit conference that was scheduled on September 21, 2022 at 11:30am. The review examined a sample of documents related to waiver documentation, eligible services, and timeliness of funds spent.

At the exit conference, HUD discussed the findings, observations, and recommendations documented below with the following invited PHA representatives.

- Hakim Ouansafi, Barbara Arashiro, Bennett Liu, Jennifer Sugita, Stephanie Fo, and Ryan Akamine.

**Findings, Observations, and Recommendations**

There were no findings, observations or recommendations.

If there are any questions regarding the conclusion of the CARES review in this letter, please contact Katie Pierce by email at [Vy-Thao.T.Pierce@hud.gov](mailto:Vy-Thao.T.Pierce@hud.gov) or at (808) 457-4670.

Sincerely,

**JESSE WU**

Jesse Wu  
Director  
Office of Public Housing

Digitally signed by: JESSE WU  
DN: CN = JESSE WU C = US O = U.  
S. Government OU = Department of  
Housing and Urban Development,  
Office of Public and Indian Housing  
Date: 2022.09.30 09:33:38 -10'00'

cc: Marcie Chavez, HUD Regional Public Housing Director

**HAWAII PUBLIC HOUSING AUTHORITY**  
**Agency Total**  
**Actual vs Budget Comparison**  
**For the Month of August 2022, and the 2 Months ended August 31, 2022**  
(Amounts in Full Dollars)

| Month of August 2022 |             |           |       |                             | Year To Date ended August 31, 2022 |             |             |       |             |             |        |
|----------------------|-------------|-----------|-------|-----------------------------|------------------------------------|-------------|-------------|-------|-------------|-------------|--------|
| Actual               | Budget      | Variance  |       |                             | Actual                             | Budget      | Variance    |       | Prior Year  | Variance    |        |
|                      |             | Amount    | %     |                             |                                    |             | Amount      | %     |             |             |        |
|                      |             |           |       | REVENUES                    |                                    |             |             |       |             |             |        |
| 2,006,907            | 2,028,967   | (22,060)  | -1%   | Dwelling Rental Income      | 4,009,838                          | 4,057,002   | (47,164)    | -1%   | 3,925,779   | 84,060      | 2%     |
| 10,042,539           | 10,566,933  | (524,394) | -5%   | HUD Operating Grants        | 20,509,491                         | 21,111,846  | (602,355)   | -3%   | 20,576,674  | (67,183)    | 0%     |
| 26,999               | -           | 26,999    | 100%  | CFP Grant Income            | 32,207                             | -           | 32,207      | 100%  | -           | 32,207      | 100%   |
| 495,276              | 468,851     | 26,425    | 6%    | COCC Fee Income             | 992,012                            | 936,974     | 55,038      | 6%    | 832,614     | 159,397     | 19%    |
| -                    | -           | -         | 0%    | State CIP Fund              | -                                  | -           | -           | 0%    | -           | -           | 0%     |
| 445,060              | 504,595     | (59,535)  | -12%  | Grant Income                | 890,120                            | 1,009,190   | (119,070)   | -12%  | 950,555     | (60,435)    | -6%    |
| 241,255              | 555,663     | (314,408) | -57%  | Other Income                | 452,307                            | 1,113,176   | (660,869)   | -59%  | 712,922     | (260,615)   | -37%   |
| \$ 13,258,037        | 14,125,009  | (866,972) | -6%   | Total Revenues              | \$ 26,885,975                      | 28,228,188  | (1,342,213) | -5%   | 26,998,544  | (112,569)   | 0%     |
|                      |             |           |       | EXPENSES                    |                                    |             |             |       |             |             |        |
| 1,971,219            | 2,191,610   | (220,391) | -10%  | Administrative              | 3,747,857                          | 4,406,350   | (658,493)   | -15%  | 3,416,567   | 331,290     | 10%    |
| -                    | -           | -         | 0%    | Asset Management Fees       | -                                  | -           | -           | 0%    | -           | -           | 0%     |
| 427,259              | 399,867     | 27,392    | 7%    | Management Fees             | 855,963                            | 799,023     | 56,940      | 7%    | 702,079     | 153,885     | 22%    |
| 68,017               | 70,721      | (2,704)   | -4%   | Bookkeeping Fees            | 136,048                            | 141,224     | (5,176)     | -4%   | 130,535     | 5,513       | 4%     |
| 8,108,453            | 7,919,222   | 189,231   | 2%    | Housing Assistance Payments | 16,130,902                         | 15,819,301  | 311,601     | 2%    | 14,885,078  | 1,245,824   | 8%     |
| 31,413               | 23,450      | 7,963     | 34%   | Tenant Services             | 38,461                             | 47,795      | (9,334)     | -20%  | 29,155      | 9,306       | 32%    |
| 1,192,006            | 1,149,995   | 42,011    | 4%    | Utilities                   | 2,411,991                          | 2,299,990   | 112,001     | 5%    | 2,206,200   | 205,790     | 9%     |
| 2,075,592            | 2,507,775   | (432,183) | -17%  | Maintenance                 | 3,766,280                          | 5,284,414   | (1,518,134) | -29%  | 4,249,833   | (483,553)   | -11%   |
| 162,205              | 322,615     | (160,410) | -50%  | Protective Services         | 506,292                            | 651,230     | (144,938)   | -22%  | 493,907     | 12,385      | 3%     |
| 63,063               | 59,946      | 3,117     | 5%    | Insurance                   | 125,255                            | 119,892     | 5,363       | 4%    | 124,260     | 995         | 1%     |
| 1,976,271            | 1,976,271   | -         | 0%    | Depreciation Expense        | 3,960,666                          | 3,960,666   | -           | 0%    | 3,947,701   | 12,965      | 0%     |
| 144,310              | 19,318      | 124,992   | >100% | Bad Debt Expense            | 439,503                            | 38,636      | 400,867     | >100% | 214,090     | 225,413     | >100%  |
| 127,204              | 160         | 127,044   | >100% | General Expenses            | 143,506                            | 320         | 143,186     | >100% | 422,910     | (279,403)   | -66%   |
| 16,347,011           | 16,640,950  | (293,939) | -2%   | Total Expenses              | 32,262,726                         | 33,568,841  | (1,306,115) | 4%    | 30,822,316  | 1,440,410   | 5%     |
| \$ (3,088,974)       | (2,515,941) | (573,033) | -23%  | Net Income(Loss)            | \$ (5,376,751)                     | (5,340,653) | (36,098)    | -1%   | (3,823,772) | (1,552,979) | -41%   |
|                      |             |           |       | CASH BASIS                  |                                    |             |             |       |             |             |        |
| (3,088,974)          | (2,515,941) | (573,033) | -23%  | Net Income(loss) per Above  | (5,376,751)                        | (5,340,653) | (36,098)    | -1%   | (3,823,772) | (1,552,979) | -41%   |
|                      |             |           |       | Add back non cash items:    |                                    |             |             |       |             |             |        |
| 1,976,271            | -           | 1,976,271 | n/a   | Depreciation Expense        | 3,960,666                          | -           | 3,960,666   | n/a   | 3,947,701   | 12,965      | 0%     |
| 144,310              | 19,318      | 124,992   | >100% | Bad Debt Expense            | 439,503                            | 38,636      | 400,867     | >100% | 214,090     | 225,413     | >100%  |
| \$ (968,393)         | (2,496,623) | 1,528,230 | 61%   | TOTAL CASH BASIS            | \$ (976,582)                       | (5,302,017) | 4,325,435   | 82%   | 338,019     | (1,314,601) | <-100% |

HAWAII PUBLIC HOUSING AUTHORITY

Consolidated Balance Sheet

Agency Total

As fo August 31, 2022 and July 31, 2022

|                                                                           | As of August 31, 2022 | As of July 31, 2022   | Increase<br>(Decrease) |
|---------------------------------------------------------------------------|-----------------------|-----------------------|------------------------|
| <b>ASSETS:</b>                                                            |                       |                       |                        |
| Cash                                                                      | 175,639,194           | 177,945,323           | (2,306,129)            |
| Receivables:                                                              |                       |                       |                        |
| Tenant Receivables                                                        | 5,066,636             | 5,007,584             | 59,053                 |
| Other                                                                     | 1,046,226             | 1,297,288             | (251,063)              |
| Less Allowance for Doubtful Accounts                                      | (4,999,867)           | (4,885,443)           | (114,424)              |
| Accounts receivable (net of allowance)                                    | 1,112,995             | 1,419,429             | (306,434)              |
| Accrued Interest                                                          | 156,314               | 156,314               | -                      |
| Prepaid Expenses                                                          | 624,915               | 614,910               | 10,005                 |
| Inventories                                                               | 780,620               | 778,792               | 1,829                  |
| <b>Total Current Assets</b>                                               | <b>178,314,038</b>    | <b>180,914,768</b>    | <b>(2,600,730)</b>     |
| Property, Plant & Equipment:                                              |                       |                       |                        |
| Land                                                                      | 25,339,610            | 25,339,610            | -                      |
| Buildings                                                                 | 802,178,615           | 802,178,615           | -                      |
| Furniture & Equipment                                                     | 8,827,280             | 8,827,280             | -                      |
| Motor vehicles                                                            | 5,429,726             | 5,429,726             | -                      |
| Construction in Progress                                                  | 40,846,243            | 40,870,053            | (23,810)               |
| Less: Accumulated Depreciation                                            | (519,600,222)         | (517,623,951)         | (1,976,271)            |
| Notes, Loans & Mortgage Receivable-Non Current                            | 9,146,051             | 9,146,051             | -                      |
| Other Long Term Assets                                                    | 109,673               | 75,825                | 33,848                 |
| Deferred Outflows of Resources                                            | 10,194,485            | 10,194,485            | -                      |
| <b>Total Assets &amp; Deferred Outflow of Resources</b>                   | <b>\$ 560,785,499</b> | <b>\$ 565,352,462</b> | <b>(4,566,963)</b>     |
| <b>LIABILITIES AND NET POSITION</b>                                       |                       |                       |                        |
| Accounts Payable                                                          | 6,209,020             | 6,399,201             | (190,181)              |
| Accrued Salaries & Wages                                                  | 1,041,383             | 1,041,383             | -                      |
| Tenant Security Deposits                                                  | 1,491,959             | 1,504,112             | (12,153)               |
| Other Liabilities & Deferred Income                                       | 5,021,895             | 6,267,352             | (1,245,458)            |
| <b>Total Current Liabilities</b>                                          | <b>13,764,257</b>     | <b>15,212,049</b>     | <b>(1,447,792)</b>     |
| Net Pension Liability                                                     | 44,224,998            | 44,224,998            | -                      |
| Net OPEB Liability                                                        | 37,602,457            | 37,602,457            | -                      |
| Other Long Term Liabilities                                               | 1,748,763             | 1,752,667             | (3,904)                |
| Deferred Inflows of Resources                                             | 4,188,766             | 4,188,766             | -                      |
| <b>Net Assets</b>                                                         |                       |                       |                        |
| Investment in capital assets                                              | 363,021,252           | 365,021,333           | (2,000,081)            |
| Restricted Net Assets                                                     | 1,294,153             | 1,294,153             | -                      |
| Unrestricted Net Assets                                                   | 100,317,605           | 98,343,816            | 1,973,788              |
| Net Income Year to Date                                                   | (5,376,751)           | (2,287,777)           | (3,088,974)            |
| <b>Total Net Assets</b>                                                   | <b>459,256,258</b>    | <b>462,371,525</b>    | <b>(3,115,266)</b>     |
| <b>Total Liabilities, Deferred Inflow of Resources &amp; Net Position</b> | <b>\$ 560,785,499</b> | <b>565,352,462</b>    | <b>(4,566,963)</b>     |

**HAWAII PUBLIC HOUSING AUTHORITY**  
Federal Low Rent Program

**Actual vs Budget Comparison**

For the Month of August 2022, and the 2 Months ended August 31, 2022

(Amounts in Full Dollars)

| Month of August 2022 |                  |                |            |
|----------------------|------------------|----------------|------------|
| Actual               | Budget           | Variance       |            |
|                      |                  | Amount         | %          |
| 1,681,087            | 1,668,881        | 12,206         | 1%         |
| 2,393,793            | 2,212,438        | 181,355        | 8%         |
| 26,999               | -                | 26,999         | 100%       |
| -                    | -                | -              | 0%         |
| -                    | -                | -              | 0%         |
| 757,846              | 195,487          | 562,359        | >100%      |
| 80,386               | 50,175           | 30,211         | 60%        |
| <b>\$ 4,940,111</b>  | <b>4,126,981</b> | <b>813,130</b> | <b>20%</b> |

|                     |                  |                  |                  |
|---------------------|------------------|------------------|------------------|
| 791,734             | 809,447          | (17,713)         | -2%              |
| -                   | -                | -                | 0%               |
| 313,522             | 285,176          | 28,346           | 10%              |
| 33,593              | 35,223           | (1,631)          | -5%              |
| 140                 | 3,658            | (3,518)          | -96%             |
| 4,702               | 19,279           | (14,578)         | -76%             |
| 949,798             | 930,698          | 19,100           | 2%               |
| 1,540,033           | 1,975,357        | (435,324)        | -22%             |
| 160,583             | 305,468          | (144,885)        | -47%             |
| 48,650              | 45,763           | 2,887            | 6%               |
| 1,643,500           | -                | 1,643,500        | 100%             |
| 147,119             | 15,556           | 131,563          | >100%            |
| 116,444             | -                | 116,444          | 100%             |
| <b>5,749,816</b>    | <b>4,425,625</b> | <b>1,324,191</b> | <b>30%</b>       |
| <b>\$ (809,704)</b> | <b>(298,644)</b> | <b>(511,060)</b> | <b>&lt;-100%</b> |

|                   |                  |                  |                  |
|-------------------|------------------|------------------|------------------|
| <b>(809,704)</b>  | <b>(298,644)</b> | <b>(511,060)</b> | <b>&lt;-100%</b> |
| 1,643,500         | -                | 1,643,500        | 100%             |
| 147,119           | 15,556           | 131,563          | >100%            |
| <b>\$ 980,915</b> | <b>(283,088)</b> | <b>1,264,003</b> | <b>&gt;100%</b>  |

**REVENUES**

Dwelling Rental Income  
HUD Operating Grants  
CFP Grant Income  
COCC Fee Income  
State CIP Fund  
Grant Income  
Other Income

**Total Revenues**

**EXPENSES**

Administrative  
Asset Management Fees  
Management Fees  
Bookkeeping Fees  
Housing Assistance Payments  
Tenant Services  
Utilities  
Maintenance  
Protective Services  
Insurance  
Depreciation Expense  
Bad Debt Expense  
General Expenses

**Total Expenses**

**Net Income(Loss)**

**CASH BASIS:**

Net Income(loss) per Above  
Add back non cash items:  
Depreciation Expense  
Bad Debt Expense

| Year To Date ended August 31, 2022 |                  |                |           |                  |               |           |
|------------------------------------|------------------|----------------|-----------|------------------|---------------|-----------|
| Actual                             | Budget           | Variance       |           | Prior Year       | Variance      |           |
|                                    |                  | Amount         | %         |                  | Amount        | %         |
| 3,357,876                          | 3,336,830        | 21,046         | 1%        | 3,285,121        | 72,755        | 2%        |
| 4,787,586                          | 4,424,876        | 362,710        | 8%        | 4,850,204        | (62,618)      | -1%       |
| 32,207                             | -                | 32,207         | 100%      | -                | 32,207        | 100%      |
| -                                  | -                | -              | 0%        | -                | -             | 0%        |
| -                                  | -                | -              | 0%        | -                | -             | 0%        |
| 242,014                            | 390,974          | (148,960)      | -38%      | 253,962          | (11,948)      | -5%       |
| 141,999                            | 100,350          | 41,649         | 42%       | 95,178           | 46,821        | 49%       |
| <b>8,561,682</b>                   | <b>8,253,030</b> | <b>308,652</b> | <b>4%</b> | <b>8,484,464</b> | <b>77,218</b> | <b>1%</b> |

|                   |                  |                  |             |                   |                 |            |
|-------------------|------------------|------------------|-------------|-------------------|-----------------|------------|
| 1,502,266         | 1,623,233        | (120,967)        | -7%         | 1,311,133         | 191,133         | 15%        |
| -                 | -                | -                | 0%          | -                 | -               | 0%         |
| 628,481           | 570,216          | 58,265           | 10%         | 545,076           | 83,405          | 15%        |
| 67,320            | 70,431           | (3,111)          | -4%         | 68,355            | (1,035)         | -2%        |
| 280               | 7,316            | (7,036)          | -96%        | 5,662             | (5,382)         | -95%       |
| 11,085            | 39,508           | (28,423)         | -72%        | 28,195            | (17,110)        | -61%       |
| 1,927,438         | 1,861,396        | 66,042           | 4%          | 1,782,054         | 145,384         | 8%         |
| 2,803,550         | 4,188,048        | (1,384,498)      | -33%        | 3,284,320         | (480,770)       | -15%       |
| 502,590           | 616,936          | (114,346)        | -19%        | 491,070           | 11,519          | 2%         |
| 97,301            | 91,526           | 5,775            | 6%          | 96,172            | 1,129           | 1%         |
| 3,295,248         | -                | 3,295,248        | 100%        | 3,294,496         | 752             | 0%         |
| 426,082           | 31,112           | 394,970          | >100%       | 190,455           | 235,628         | >100%      |
| 120,143           | -                | 120,143          | 100%        | 359,865           | (239,723)       | -67%       |
| <b>11,381,784</b> | <b>9,099,722</b> | <b>2,282,062</b> | <b>-25%</b> | <b>11,456,854</b> | <b>(75,070)</b> | <b>-1%</b> |

**(2,820,102) (846,692) (1,973,410) <-100% (2,972,390) 152,288 5%**

|                    |                  |                    |                  |                    |                |            |
|--------------------|------------------|--------------------|------------------|--------------------|----------------|------------|
| <b>(2,820,102)</b> | <b>(846,692)</b> | <b>(1,973,410)</b> | <b>&lt;-100%</b> | <b>(2,972,390)</b> | <b>152,288</b> | <b>5%</b>  |
| 3,295,248          | -                | 3,295,248          | 100%             | 3,294,496          | 752            | 0%         |
| 426,082            | 31,112           | 394,970            | >100%            | 190,455            | 235,628        | >100%      |
| <b>901,228</b>     | <b>(815,580)</b> | <b>1,716,808</b>   | <b>&gt;100%</b>  | <b>512,561</b>     | <b>388,668</b> | <b>76%</b> |



HAWAII PUBLIC HOUSING AUTHORITY  
Federal Low Rent Program

Actual vs Budget Comparison

For the Month of August 2022, and the 2 Months ended August 31, 2022

(Amounts in Full Dollars)

| Month of August 2022 |           |           |        | ACCRUAL BASIS                 | Year To Date ended August 31, 2022 |           |             |        |             |           |       |
|----------------------|-----------|-----------|--------|-------------------------------|------------------------------------|-----------|-------------|--------|-------------|-----------|-------|
| Actual               | Budget    | Variance  |        |                               | Actual                             | Budget    | Variance    |        | Prior Year  | Variance  |       |
|                      |           | Amount    | %      |                               |                                    |           | Amount      | %      |             | Amount    | %     |
|                      |           |           |        | REVENUES                      |                                    |           |             |        |             |           |       |
| 347,313              | 334,886   | 12,427    | 4%     | Asset Management Project - 30 | 635,371                            | 669,772   | (34,401)    | -5%    | 671,655     | (36,284)  | -5%   |
| 575,076              | 414,724   | 160,352   | 39%    | Asset Management Project - 31 | 840,004                            | 829,448   | 10,556      | 1%     | 805,544     | 34,461    | 4%    |
| 741,052              | 418,407   | 322,645   | 77%    | Asset Management Project - 32 | 907,746                            | 836,814   | 70,932      | 8%     | 793,170     | 114,576   | 14%   |
| 377,264              | 310,192   | 67,072    | 22%    | Asset Management Project - 33 | 603,881                            | 620,384   | (16,503)    | -3%    | 588,802     | 15,079    | 3%    |
| 478,993              | 464,106   | 14,887    | 3%     | Asset Management Project - 34 | 922,597                            | 928,212   | (5,615)     | -1%    | 881,244     | 41,353    | 5%    |
| 557,519              | 476,251   | 81,268    | 17%    | Asset Management Project - 35 | 934,127                            | 952,502   | (18,375)    | -2%    | 926,789     | 7,338     | 1%    |
| 249,297              | 230,371   | 18,926    | 8%     | Asset Management Project - 37 | 496,224                            | 460,742   | 35,482      | 8%     | 471,433     | 24,791    | 5%    |
| 297,958              | 240,815   | 57,143    | 24%    | Asset Management Project - 38 | 602,609                            | 481,630   | 120,979     | 25%    | 523,450     | 79,159    | 15%   |
| 186,340              | 156,607   | 29,733    | 19%    | Asset Management Project - 39 | 359,618                            | 312,282   | 47,336      | 15%    | 341,049     | 18,570    | 5%    |
| 203,358              | 203,749   | (391)     | 0%     | Asset Management Project - 40 | 411,126                            | 407,498   | 3,628       | 1%     | 388,195     | 22,930    | 6%    |
| 180,091              | 155,853   | 24,238    | 16%    | Asset Management Project - 43 | 353,793                            | 311,706   | 42,087      | 14%    | 321,412     | 32,382    | 10%   |
| 228,385              | 226,783   | 1,602     | 1%     | Asset Management Project - 44 | 450,951                            | 453,566   | (2,615)     | -1%    | 429,079     | 21,872    | 5%    |
| 171,372              | 184,944   | (13,572)  | -7%    | Asset Management Project - 45 | 358,421                            | 369,888   | (11,467)    | -3%    | 367,110     | (8,689)   | -2%   |
| 90,838               | 73,852    | 16,986    | 23%    | Asset Management Project - 46 | 179,644                            | 147,704   | 31,940      | 22%    | 144,017     | 35,627    | 25%   |
| 139,029              | 126,753   | 12,276    | 10%    | Asset Management Project - 49 | 276,815                            | 253,506   | 23,309      | 9%     | 250,635     | 26,180    | 10%   |
| 116,227              | 108,688   | 7,539     | 7%     | Asset Management Project - 50 | 228,755                            | 217,376   | 11,379      | 5%     | 207,417     | 21,338    | 10%   |
| -                    | -         | -         | 0%     | Asset Management Project - 52 | -                                  | -         | -           | 0%     | 373,463     | (373,463) | -100% |
| \$ 4,940,111         | 4,126,981 | 813,130   | 20%    | Total Revenues                | \$ 8,561,682                       | 8,253,030 | 308,652     | 4%     | 8,484,464   | 77,218    | 1%    |
|                      |           |           |        | NET INCOME(LOSS)              |                                    |           |             |        |             |           |       |
| (53,278)             | (19,584)  | (33,694)  | <-100% | Asset Management Project - 30 | (173,734)                          | (129,969) | (43,765)    | -34%   | (182,859)   | 9,125     | 5%    |
| (4,705)              | (20,805)  | 16,100    | 77%    | Asset Management Project - 31 | (344,452)                          | (57,899)  | (286,553)   | <-100% | (468,099)   | 123,648   | 26%   |
| 357,572              | (3,749)   | 361,321   | >100%  | Asset Management Project - 32 | 45,402                             | (39,672)  | 85,074      | >100%  | 103,739     | (58,337)  | -56%  |
| 20,296               | (6,188)   | 26,484    | >100%  | Asset Management Project - 33 | (108,917)                          | 6,152     | (115,069)   | <-100% | (127,139)   | 18,223    | 14%   |
| (153,304)            | (111,512) | (41,792)  | -37%   | Asset Management Project - 34 | (244,926)                          | (171,123) | (73,803)    | -43%   | (218,415)   | (26,510)  | -12%  |
| (119,744)            | (60,642)  | (59,102)  | -97%   | Asset Management Project - 35 | (347,342)                          | (164,727) | (182,615)   | <-100% | (218,488)   | (128,855) | -59%  |
| (208,656)            | (5,075)   | (203,581) | <-100% | Asset Management Project - 37 | (425,687)                          | (10,150)  | (415,537)   | <-100% | (669,916)   | 244,229   | 36%   |
| (105,727)            | (17,885)  | (87,842)  | <-100% | Asset Management Project - 38 | (220,420)                          | (35,769)  | (184,651)   | <-100% | (184,782)   | (35,638)  | -19%  |
| (134,817)            | (51,486)  | (83,331)  | <-100% | Asset Management Project - 39 | (238,061)                          | (91,218)  | (146,843)   | <-100% | (224,837)   | (13,224)  | -6%   |
| (92,569)             | (24,955)  | (67,614)  | <-100% | Asset Management Project - 40 | (144,467)                          | (59,703)  | (84,764)    | <-100% | (100,955)   | (43,512)  | -43%  |
| (25,111)             | 4,885     | (29,996)  | <-100% | Asset Management Project - 43 | (57,727)                           | (2,798)   | (54,929)    | <-100% | (71,447)    | 13,720    | 19%   |
| (30,708)             | 34,175    | (64,883)  | <-100% | Asset Management Project - 44 | (63,106)                           | 59,213    | (122,319)   | <-100% | (79,981)    | 16,874    | 21%   |
| (57,016)             | 24,128    | (81,144)  | <-100% | Asset Management Project - 45 | (85,361)                           | (15,488)  | (69,873)    | <-100% | (68,052)    | (17,309)  | -25%  |
| (64,227)             | (17,326)  | (46,901)  | <-100% | Asset Management Project - 46 | (125,808)                          | (53,760)  | (72,048)    | <-100% | (158,007)   | 32,199    | 20%   |
| (57,703)             | (19,100)  | (38,603)  | <-100% | Asset Management Project - 49 | (125,480)                          | (61,377)  | (64,103)    | <-100% | (146,131)   | 20,651    | 14%   |
| (80,006)             | (3,525)   | (76,481)  | <-100% | Asset Management Project - 50 | (160,017)                          | (18,404)  | (141,613)   | <-100% | (175,698)   | 15,681    | 9%    |
| -                    | -         | -         | 0%     | Asset Management Project - 52 | -                                  | -         | -           | 0%     | 18,676      | (18,676)  | -100% |
| \$ (809,704)         | (298,644) | (511,060) | <-100% | Total Net Income(Loss)        | \$ (2,820,102)                     | (846,692) | (1,973,410) | <-100% | (2,972,390) | 152,288   | 5%    |

**HAWAII PUBLIC HOUSING AUTHORITY**  
Federal Low Rent Program

**Actual vs Budget Comparison**

For the Month of August 2022, and the 2 Months ended August 31, 2022

(Amounts in Full Dollars)

| Month of August 2022 |           |           |        | CASH BASIS                    | Year To Date ended August 31, 2022 |           |           |       |            |           |        |
|----------------------|-----------|-----------|--------|-------------------------------|------------------------------------|-----------|-----------|-------|------------|-----------|--------|
| Actual               | Budget    | Variance  |        |                               | Actual                             | Budget    | Variance  |       | Prior Year | Variance  |        |
|                      |           | Amount    | %      |                               |                                    |           | Amount    | %     |            | Amount    | %      |
|                      |           |           |        | REVENUES                      |                                    |           |           |       |            |           |        |
| 347,313              | 334,886   | 12,427    | 4%     | Asset Management Project - 30 | 635,371                            | 669,772   | (34,401)  | -5%   | 671,655    | (36,284)  | -5%    |
| 575,076              | 414,724   | 160,352   | 39%    | Asset Management Project - 31 | 840,004                            | 829,448   | 10,556    | 1%    | 805,544    | 34,461    | 4%     |
| 741,052              | 418,407   | 322,645   | 77%    | Asset Management Project - 32 | 907,746                            | 836,814   | 70,932    | 8%    | 793,170    | 114,576   | 14%    |
| 377,264              | 310,192   | 67,072    | 22%    | Asset Management Project - 33 | 603,881                            | 620,384   | (16,503)  | -3%   | 588,802    | 15,079    | 3%     |
| 478,993              | 464,106   | 14,887    | 3%     | Asset Management Project - 34 | 922,597                            | 928,212   | (5,615)   | -1%   | 881,244    | 41,353    | 5%     |
| 557,519              | 476,251   | 81,268    | 17%    | Asset Management Project - 35 | 934,127                            | 952,502   | (18,375)  | -2%   | 926,789    | 7,338     | 1%     |
| 249,297              | 230,371   | 18,926    | 8%     | Asset Management Project - 37 | 496,224                            | 460,742   | 35,482    | 8%    | 471,433    | 24,791    | 5%     |
| 297,958              | 240,815   | 57,143    | 24%    | Asset Management Project - 38 | 602,609                            | 481,630   | 120,979   | 25%   | 523,450    | 79,159    | 15%    |
| 186,340              | 156,607   | 29,733    | 19%    | Asset Management Project - 39 | 359,618                            | 312,282   | 47,336    | 15%   | 341,049    | 18,570    | 5%     |
| 203,358              | 203,749   | (391)     | 0%     | Asset Management Project - 40 | 411,126                            | 407,498   | 3,628     | 1%    | 388,195    | 22,930    | 6%     |
| 180,091              | 155,853   | 24,238    | 16%    | Asset Management Project - 43 | 353,793                            | 311,706   | 42,087    | 14%   | 321,412    | 32,382    | 10%    |
| 228,385              | 226,783   | 1,602     | 1%     | Asset Management Project - 44 | 450,951                            | 453,566   | (2,615)   | -1%   | 429,079    | 21,872    | 5%     |
| 171,372              | 184,944   | (13,572)  | -7%    | Asset Management Project - 45 | 358,421                            | 369,888   | (11,467)  | -3%   | 367,110    | (8,689)   | -2%    |
| 90,838               | 73,852    | 16,986    | 23%    | Asset Management Project - 46 | 179,644                            | 147,704   | 31,940    | 22%   | 144,017    | 35,627    | 25%    |
| 139,029              | 126,753   | 12,276    | 10%    | Asset Management Project - 49 | 276,815                            | 253,506   | 23,309    | 9%    | 250,635    | 26,180    | 10%    |
| 116,227              | 108,688   | 7,539     | 7%     | Asset Management Project - 50 | 228,755                            | 217,376   | 11,379    | 5%    | 207,417    | 21,338    | 10%    |
| -                    | -         | -         | 0%     | Asset Management Project - 52 | -                                  | -         | -         | 0%    | 373,463    | (373,463) | -100%  |
| \$ 4,940,111         | 4,126,981 | 813,130   | 20%    | Total Revenues                | \$ 8,561,682                       | 8,253,030 | 308,652   | 4%    | 8,484,464  | 77,218    | 1%     |
|                      |           |           |        | NET INCOME(LOSS)              |                                    |           |           |       |            |           |        |
| 59,951               | (19,584)  | 79,535    | >100%  | Asset Management Project - 30 | 71,710                             | (129,969) | 201,679   | >100% | 61,378     | 10,331    | 17%    |
| 234,520              | (19,305)  | 253,825   | >100%  | Asset Management Project - 31 | 138,530                            | (54,899)  | 193,429   | >100% | (20,542)   | 159,072   | >100%  |
| 417,789              | (3,582)   | 421,371   | >100%  | Asset Management Project - 32 | 207,260                            | (39,338)  | 246,598   | >100% | 220,795    | (13,535)  | -6%    |
| 123,906              | (6,021)   | 129,927   | >100%  | Asset Management Project - 33 | 102,294                            | 6,486     | 95,808    | >100% | 83,926     | 18,368    | 22%    |
| (17,098)             | (110,887) | 93,789    | 85%    | Asset Management Project - 34 | 16,989                             | (169,873) | 186,862   | >100% | 55,904     | (38,916)  | -70%   |
| 19,854               | (58,344)  | 78,198    | >100%  | Asset Management Project - 35 | (63,288)                           | (160,131) | 96,843    | 60%   | 52,038     | (115,326) | <-100% |
| 19,312               | (2,993)   | 22,305    | >100%  | Asset Management Project - 37 | 38,533                             | (5,986)   | 44,519    | >100% | (247,946)  | 286,478   | >100%  |
| 44,424               | (16,635)  | 61,059    | >100%  | Asset Management Project - 38 | 104,595                            | (33,269)  | 137,864   | >100% | 96,448     | 8,147     | 8%     |
| 1,271                | (47,736)  | 49,007    | >100%  | Asset Management Project - 39 | 22,150                             | (83,718)  | 105,868   | >100% | 15,754     | 6,395     | 41%    |
| (69,212)             | (24,205)  | (45,007)  | <-100% | Asset Management Project - 40 | (90,701)                           | (58,203)  | (32,498)  | -56%  | (58,893)   | (31,808)  | -54%   |
| 36,538               | 5,685     | 30,853    | >100%  | Asset Management Project - 43 | 80,884                             | (1,198)   | 82,082    | >100% | 53,596     | 27,288    | 51%    |
| 82,560               | 34,592    | 47,968    | >100%  | Asset Management Project - 44 | 149,019                            | 60,047    | 88,972    | >100% | 102,346    | 46,674    | 46%    |
| 16,309               | 24,128    | (7,819)   | -32%   | Asset Management Project - 45 | 70,763                             | (15,488)  | 86,251    | >100% | 83,341     | (12,578)  | -15%   |
| 2,048                | (17,326)  | 19,374    | >100%  | Asset Management Project - 46 | 19,544                             | (53,760)  | 73,304    | >100% | (19,847)   | 39,391    | >100%  |
| (8,222)              | (17,850)  | 9,628     | 54%    | Asset Management Project - 49 | (11,463)                           | (58,877)  | 47,414    | 81%   | (5,487)    | (5,975)   | <-100% |
| 16,966               | (3,025)   | 19,991    | >100%  | Asset Management Project - 50 | 44,409                             | (17,404)  | 61,813    | >100% | 21,074     | 23,335    | >100%  |
| -                    | -         | -         | 0%     | Asset Management Project - 52 | -                                  | -         | -         | 0%    | 18,676     | (18,676)  | -100%  |
| \$ 980,915           | (283,088) | 1,264,003 | >100%  | Total Net Income(Loss)        | \$ 901,228                         | (815,580) | 1,716,808 | >100% | 512,561    | 388,668   | 76%    |

**HAWAII PUBLIC HOUSING AUTHORITY**  
**Housing Assistance Voucher Programs**

**Actual vs Budget Comparison**

For the Month of August 2022, and the 2 Months ended August 31, 2022

(Amounts in Full Dollars)

| Month of August 2022 |                  |                  |             |
|----------------------|------------------|------------------|-------------|
| Actual               | Budget           | Variance         |             |
|                      |                  | Amount           | %           |
| -                    | -                | -                | 0%          |
| 3,922,080            | 4,634,858        | (712,778)        | -15%        |
| -                    | -                | -                | 0%          |
| -                    | -                | -                | 0%          |
| -                    | -                | -                | 0%          |
| -                    | -                | -                | 0%          |
| 30,735               | 18,551           | 12,184           | 66%         |
| <b>\$ 3,952,815</b>  | <b>4,653,409</b> | <b>(700,594)</b> | <b>-15%</b> |

|                     |                  |                  |                  |
|---------------------|------------------|------------------|------------------|
| 210,853             | 310,530          | (99,677)         | -32%             |
| -                   | -                | -                | 0%               |
| 77,868              | 83,393           | (5,525)          | -7%              |
| 28,020              | 28,613           | (593)            | -2%              |
| 4,436,972           | 4,217,891        | 219,081          | 5%               |
| 25,967              | 336              | 25,631           | >100%            |
| 1,394               | 1,936            | (542)            | -28%             |
| 778                 | 1,441            | (663)            | -46%             |
| 168                 | 229              | (61)             | -27%             |
| 1,340               | 1,227            | 113              | 9%               |
| 2,509               | -                | 2,509            | 100%             |
| -                   | -                | -                | 0%               |
| 8,072               | -                | 8,072            | 100%             |
| <b>4,793,941</b>    | <b>4,645,596</b> | <b>148,345</b>   | <b>3%</b>        |
| <b>\$ (841,126)</b> | <b>7,813</b>     | <b>(848,939)</b> | <b>&lt;-100%</b> |

|                     |              |                  |                  |
|---------------------|--------------|------------------|------------------|
| <b>(841,126)</b>    | <b>7,813</b> | <b>(848,939)</b> | <b>&lt;-100%</b> |
| 2,509               | -            | 2,509            | 100%             |
| -                   | -            | -                | 0%               |
| <b>\$ (838,617)</b> | <b>7,813</b> | <b>(846,430)</b> | <b>&lt;-100%</b> |

**REVENUES**

|                        |           |           |             |      |
|------------------------|-----------|-----------|-------------|------|
| Dwelling Rental Income | -         | -         | -           | 0%   |
| HUD Operating Grants   | 8,226,308 | 9,247,696 | (1,021,388) | -11% |
| CFP Grant Income       | -         | -         | -           | 0%   |
| COCC Fee Income        | -         | -         | -           | 0%   |
| State CIP Fund         | -         | -         | -           | 0%   |
| Grant Income           | -         | -         | -           | 0%   |
| Other Income           | 40,920    | 37,102    | 3,818       | 10%  |

**Total Revenues**

| Year To Date ended August 31, 2022 |           |             |      |            |           |      |
|------------------------------------|-----------|-------------|------|------------|-----------|------|
| Actual                             | Budget    | Variance    |      | Prior Year | Variance  |      |
|                                    |           | Amount      | %    |            | Amount    | %    |
| -                                  | -         | -           | 0%   | -          | -         | 0%   |
| 8,226,308                          | 9,247,696 | (1,021,388) | -11% | 8,601,155  | (374,847) | -4%  |
| -                                  | -         | -           | 0%   | -          | -         | 0%   |
| -                                  | -         | -           | 0%   | -          | -         | 0%   |
| -                                  | -         | -           | 0%   | -          | -         | 0%   |
| -                                  | -         | -           | 0%   | -          | -         | 0%   |
| 40,920                             | 37,102    | 3,818       | 10%  | 149,874    | (108,954) | -73% |
| 8,267,228                          | 9,284,798 | (1,017,570) | -11% | 8,751,029  | (483,801) | -6%  |

**EXPENSES**

|                             |           |           |           |       |
|-----------------------------|-----------|-----------|-----------|-------|
| Administrative              | 391,506   | 621,060   | (229,554) | -37%  |
| Asset Management Fees       | -         | -         | -         | 0%    |
| Management Fees             | 155,652   | 166,211   | (10,559)  | -6%   |
| Bookkeeping Fees            | 55,905    | 57,023    | (1,118)   | -2%   |
| Housing Assistance Payments | 8,725,701 | 8,416,639 | 309,062   | 4%    |
| Tenant Services             | 26,044    | 672       | 25,372    | >100% |
| Utilities                   | 4,528     | 3,872     | 656       | 17%   |
| Maintenance                 | 1,565     | 2,882     | (1,317)   | -46%  |
| Protective Services         | 540       | 458       | 82        | 18%   |
| Insurance                   | 2,681     | 2,454     | 227       | 9%    |
| Depreciation Expense        | 4,890     | -         | 4,890     | 100%  |
| Bad Debt Expense            | -         | -         | -         | 0%    |
| General Expenses            | 20,676    | -         | 20,676    | 100%  |

**Total Expenses**

**Net Income(Loss)**

|                    |                  |                    |                  |                  |                    |                  |
|--------------------|------------------|--------------------|------------------|------------------|--------------------|------------------|
| 391,506            | 621,060          | (229,554)          | -37%             | 428,834          | (37,328)           | -9%              |
| -                  | -                | -                  | 0%               | -                | -                  | 0%               |
| 155,652            | 166,211          | (10,559)           | -6%              | 99,393           | 56,259             | 57%              |
| 55,905             | 57,023           | (1,118)            | -2%              | 49,186           | 6,719              | 14%              |
| 8,725,701          | 8,416,639        | 309,062            | 4%               | 7,768,858        | 956,843            | 12%              |
| 26,044             | 672              | 25,372             | >100%            | 163              | 25,881             | >100%            |
| 4,528              | 3,872            | 656                | 17%              | 3,754            | 774                | 21%              |
| 1,565              | 2,882            | (1,317)            | -46%             | 2,387            | (822)              | -34%             |
| 540                | 458              | 82                 | 18%              | 557              | (17)               | -3%              |
| 2,681              | 2,454            | 227                | 9%               | 2,455            | 226                | 9%               |
| 4,890              | -                | 4,890              | 100%             | 4,763            | 127                | 3%               |
| -                  | -                | -                  | 0%               | -                | -                  | 0%               |
| 20,676             | -                | 20,676             | 100%             | 53,708           | (33,032)           | -62%             |
| <b>9,389,688</b>   | <b>9,271,271</b> | <b>118,417</b>     | <b>-1%</b>       | <b>8,414,059</b> | <b>975,630</b>     | <b>12%</b>       |
| <b>(1,122,460)</b> | <b>13,527</b>    | <b>(1,135,987)</b> | <b>&lt;-100%</b> | <b>336,970</b>   | <b>(1,459,430)</b> | <b>&lt;-100%</b> |

**CASH BASIS:**

|                            |             |        |             |        |         |             |        |
|----------------------------|-------------|--------|-------------|--------|---------|-------------|--------|
| Net Income(loss) per Above | (1,122,460) | 13,527 | (1,135,987) | <-100% | 336,970 | (1,459,430) | <-100% |
| Add back non cash items:   |             |        |             |        |         |             |        |
| Depreciation Expense       | 4,890       | -      | 4,890       | 100%   | 4,763   | 127         | 3%     |
| Bad Debt Expense           | -           | -      | -           | 0%     | -       | -           | 0%     |

|                    |               |                    |                  |                |                    |                  |
|--------------------|---------------|--------------------|------------------|----------------|--------------------|------------------|
| <b>(1,122,460)</b> | <b>13,527</b> | <b>(1,135,987)</b> | <b>&lt;-100%</b> | <b>336,970</b> | <b>(1,459,430)</b> | <b>&lt;-100%</b> |
| 4,890              | -             | 4,890              | 100%             | 4,763          | 127                | 3%               |
| -                  | -             | -                  | 0%               | -              | -                  | 0%               |
| <b>(1,117,570)</b> | <b>13,527</b> | <b>(1,131,097)</b> | <b>&lt;-100%</b> | <b>341,733</b> | <b>(1,459,303)</b> | <b>&lt;-100%</b> |

HAWAII PUBLIC HOUSING AUTHORITY

State Low Rent

Actual vs Budget Comparison

For the Month of August 2022, and the 2 Months ended August 31, 2022

(Amounts in Full Dollars)

| Month of August 2022 |                |                  |             |   |
|----------------------|----------------|------------------|-------------|---|
| Actual               | Budget         | Variance         |             |   |
|                      |                | Amount           | %           | % |
| 107,422              | 115,534        | (8,112)          | -7%         |   |
| -                    | -              | -                | 0%          |   |
| -                    | -              | -                | 0%          |   |
| -                    | -              | -                | 0%          |   |
| -                    | -              | -                | 0%          |   |
| 69,959               | 178,321        | (108,362)        | -61%        |   |
| 4,286                | 1,699          | 2,587            | >100%       |   |
| <b>\$ 181,667</b>    | <b>295,554</b> | <b>(113,887)</b> | <b>-39%</b> |   |

|                     |                |                  |                  |  |
|---------------------|----------------|------------------|------------------|--|
| 40,651              | 44,566         | (3,915)          | -9%              |  |
| -                   | -              | -                | 0%               |  |
| 19,942              | 18,705         | 1,237            | 7%               |  |
| 1,965               | 2,032          | (67)             | -3%              |  |
| -                   | -              | -                | 0%               |  |
| 22                  | 248            | (226)            | -91%             |  |
| 72,577              | 71,333         | 1,244            | 2%               |  |
| 100,746             | 125,439        | (24,693)         | -20%             |  |
| -                   | 15,804         | (15,804)         | -100%            |  |
| 2,872               | 2,877          | (5)              | 0%               |  |
| 106,339             | -              | 106,339          | 100%             |  |
| (2,953)             | 3,012          | (5,965)          | <-100%           |  |
| -                   | -              | -                | 0%               |  |
| <b>342,160</b>      | <b>284,016</b> | <b>58,144</b>    | <b>20%</b>       |  |
| <b>\$ (160,493)</b> | <b>11,538</b>  | <b>(172,031)</b> | <b>&lt;-100%</b> |  |

|                    |               |                  |                  |  |
|--------------------|---------------|------------------|------------------|--|
| <b>(160,493)</b>   | <b>11,538</b> | <b>(172,031)</b> | <b>&lt;-100%</b> |  |
| 106,339            | -             | 106,339          | 100%             |  |
| (2,953)            | 3,012         | (5,965)          | <-100%           |  |
| <b>\$ (57,108)</b> | <b>14,550</b> | <b>(71,658)</b>  | <b>&lt;-100%</b> |  |

**REVENUES**

Dwelling Rental Income  
HUD Operating Grants  
CFP Grant Income  
COCC Fee Income  
State CIP Fund  
Grant Income  
Other Income

**Total Revenues**

**EXPENSES**

Administrative  
Asset Management Fees  
Management Fees  
Bookkeeping Fees  
Housing Assistance Payments  
Tenant Services  
Utilities  
Maintenance  
Protective Services  
Insurance  
Depreciation Expense  
Bad Debt Expense  
General Expenses

**Total Expenses**

**Net Income(Loss)**

**CASH BASIS:**

Net Income(loss) per Above  
Add back non cash items:  
Depreciation Expense  
Bad Debt Expense

| Year To Date ended August 31, 2022 |                |                  |             |                |                 |             |
|------------------------------------|----------------|------------------|-------------|----------------|-----------------|-------------|
| Actual                             | Budget         | Variance         |             | Prior Year     | Variance        |             |
|                                    |                | Amount           | %           |                | Amount          | %           |
| 215,560                            | 231,068        | (15,508)         | -7%         | 208,612        | 6,948           | 3%          |
| -                                  | -              | -                | 0%          | -              | -               | 0%          |
| -                                  | -              | -                | 0%          | -              | -               | 0%          |
| -                                  | -              | -                | 0%          | -              | -               | 0%          |
| -                                  | -              | -                | 0%          | -              | -               | 0%          |
| 144,472                            | 356,642        | (212,170)        | -59%        | 214,940        | (70,468)        | -33%        |
| 9,514                              | 3,398          | 6,116            | >100%       | 4,619          | 4,895           | >100%       |
| <b>369,546</b>                     | <b>591,108</b> | <b>(221,562)</b> | <b>-37%</b> | <b>428,171</b> | <b>(58,625)</b> | <b>-14%</b> |

|                |                |               |             |                |               |           |
|----------------|----------------|---------------|-------------|----------------|---------------|-----------|
| 80,525         | 90,168         | (9,643)       | -11%        | 74,515         | 6,010         | 8%        |
| -              | -              | -             | 0%          | -              | -             | 0%        |
| 39,964         | 37,410         | 2,554         | 7%          | 34,446         | 5,518         | 16%       |
| 3,938          | 4,064          | (127)         | -3%         | 3,945          | (8)           | 0%        |
| -              | -              | -             | 0%          | -              | -             | 0%        |
| 22             | 496            | (474)         | -95%        | -              | 22            | 100%      |
| 149,204        | 142,666        | 6,538         | 5%          | 139,387        | 9,817         | 7%        |
| 177,792        | 280,721        | (102,929)     | -37%        | 163,687        | 14,105        | 9%        |
| -              | 31,608         | (31,608)      | -100%       | -              | -             | 0%        |
| 5,747          | 5,754          | (7)           | 0%          | 5,751          | (4)           | 0%        |
| 212,677        | -              | 212,677       | 100%        | 210,458        | 2,219         | 1%        |
| 13,058         | 6,024          | 7,034         | >100%       | 21,234         | (8,175)       | -39%      |
| -              | -              | -             | 0%          | -              | -             | 0%        |
| <b>682,927</b> | <b>598,911</b> | <b>84,016</b> | <b>-14%</b> | <b>653,422</b> | <b>29,505</b> | <b>5%</b> |

|                  |                |                  |                  |                  |                 |             |
|------------------|----------------|------------------|------------------|------------------|-----------------|-------------|
| <b>(313,381)</b> | <b>(7,803)</b> | <b>(305,578)</b> | <b>&lt;-100%</b> | <b>(225,251)</b> | <b>(88,130)</b> | <b>-39%</b> |
|------------------|----------------|------------------|------------------|------------------|-----------------|-------------|

|                  |                |                  |                  |                  |                 |                  |
|------------------|----------------|------------------|------------------|------------------|-----------------|------------------|
| <b>(313,381)</b> | <b>(7,803)</b> | <b>(305,578)</b> | <b>&lt;-100%</b> | <b>(225,251)</b> | <b>(88,130)</b> | <b>-39%</b>      |
| 212,677          | -              | 212,677          | 100%             | 210,458          | 2,219           | 1%               |
| 13,058           | 6,024          | 7,034            | >100%            | 21,234           | (8,175)         | -39%             |
| <b>(87,646)</b>  | <b>(1,779)</b> | <b>(85,867)</b>  | <b>&lt;-100%</b> | <b>6,440</b>     | <b>(94,086)</b> | <b>&lt;-100%</b> |

**HAWAII PUBLIC HOUSING AUTHORITY**  
**State Elderly Program**  
**Actual vs Budget Comparison**  
**For the Month of August 2022, and the 2 Months ended August 31, 2022**  
(Amounts in Full Dollars)

| Month of August 2022 |                |                 |            |   |
|----------------------|----------------|-----------------|------------|---|
| Actual               | Budget         | Variance        |            |   |
|                      |                | Amount          | %          | 6 |
| 175,400              | 180,617        | (5,217)         | -3%        |   |
| -                    | -              | -               | 0%         |   |
| -                    | -              | -               | 0%         |   |
| -                    | -              | -               | 0%         |   |
| -                    | -              | -               | 0%         |   |
| -                    | -              | -               | 0%         |   |
| 3,053                | 13,845         | (10,793)        | -78%       |   |
| <b>\$ 178,453</b>    | <b>194,462</b> | <b>(16,010)</b> | <b>-8%</b> |   |

|                     |                  |                  |                  |  |
|---------------------|------------------|------------------|------------------|--|
| 55,808              | 61,797           | (5,989)          | -10%             |  |
| -                   | -                | -                | 0%               |  |
| 15,342              | 11,744           | 3,598            | 31%              |  |
| 4,073               | 4,321            | (249)            | -6%              |  |
| -                   | -                | -                | 0%               |  |
| -                   | 3,087            | (3,087)          | -100%            |  |
| 144,256             | 120,025          | 24,231           | 20%              |  |
| 96,230              | 110,274          | (14,044)         | -13%             |  |
| 267                 | -                | 267              | 100%             |  |
| 4,716               | 4,683            | 33               | 1%               |  |
| 151,430             | -                | 151,430          | 100%             |  |
| 144                 | 750              | (606)            | -81%             |  |
| -                   | -                | -                | 0%               |  |
| <b>472,265</b>      | <b>316,681</b>   | <b>155,584</b>   | <b>49%</b>       |  |
| <b>\$ (293,812)</b> | <b>(122,219)</b> | <b>(171,593)</b> | <b>&lt;-100%</b> |  |

|                     |                  |                  |                  |  |
|---------------------|------------------|------------------|------------------|--|
| <b>(293,812)</b>    | <b>(122,219)</b> | <b>(171,593)</b> | <b>&lt;-100%</b> |  |
| 151,430             | -                | 151,430          | 100%             |  |
| 144                 | 750              | (606)            | -81%             |  |
| <b>\$ (142,238)</b> | <b>(121,469)</b> | <b>(20,769)</b>  | <b>-17%</b>      |  |

**REVENUES**

Dwelling Rental Income  
HUD Operating Grants  
CFP Grant Income  
COCC Fee Income  
State CIP Fund  
Grant Income  
Other Income

**Total Revenues**

**EXPENSES**

Administrative  
Asset Management Fees  
Management Fees  
Bookkeeping Fees  
Housing Assistance Payments  
Tenant Services  
Utilities  
Maintenance  
Protective Services  
Insurance  
Depreciation Expense  
Bad Debt Expense  
General Expenses

**Total Expenses**

**Net Income(Loss)**

**CASH BASIS:**

Net Income(loss) per Above  
Add back non cash items:  
Depreciation Expense  
Bad Debt Expense

| Year To Date ended August 31, 2022 |                |                 |            |                |                |            |
|------------------------------------|----------------|-----------------|------------|----------------|----------------|------------|
| Actual                             | Budget         | Variance        |            | Prior Year     | Variance       |            |
|                                    |                | Amount          | %          |                | Amount         | %          |
| 350,074                            | 361,234        | (11,160)        | -3%        | 351,109        | (1,035)        | 0%         |
| -                                  | -              | -               | 0%         | -              | -              | 0%         |
| -                                  | -              | -               | 0%         | -              | -              | 0%         |
| -                                  | -              | -               | 0%         | -              | -              | 0%         |
| -                                  | -              | -               | 0%         | -              | -              | 0%         |
| -                                  | -              | -               | 0%         | -              | -              | 0%         |
| 15,272                             | 27,690         | (12,418)        | -45%       | 19,253         | (3,981)        | -21%       |
| <b>365,346</b>                     | <b>388,924</b> | <b>(23,578)</b> | <b>-6%</b> | <b>370,362</b> | <b>(5,016)</b> | <b>-1%</b> |

|                  |                  |                  |                  |                  |                 |             |
|------------------|------------------|------------------|------------------|------------------|-----------------|-------------|
| 118,386          | 121,094          | (2,708)          | -2%              | 103,915          | 14,470          | 14%         |
| -                | -                | -                | 0%               | -                | -               | 0%          |
| 30,684           | 23,488           | 7,196            | 31%              | 21,745           | 8,940           | 41%         |
| 8,145            | 8,642            | (497)            | -6%              | 8,160            | (15)            | 0%          |
| -                | -                | -                | 0%               | -                | -               | 0%          |
| -                | 6,119            | (6,119)          | -100%            | -                | -               | 0%          |
| 264,130          | 240,050          | 24,080           | 10%              | 229,194          | 34,936          | 15%         |
| 183,867          | 220,548          | (36,681)         | -17%             | 186,161          | (2,294)         | -1%         |
| 534              | -                | 534              | 100%             | 88               | 446             | >100%       |
| 9,500            | 9,366            | 134              | 1%               | 9,276            | 224             | 2%          |
| 302,860          | -                | 302,860          | 100%             | 293,722          | 9,138           | 3%          |
| 362              | 1,500            | (1,138)          | -76%             | 2,402            | (2,040)         | -85%        |
| -                | -                | -                | 0%               | -                | -               | 0%          |
| <b>918,467</b>   | <b>630,807</b>   | <b>287,660</b>   | <b>-46%</b>      | <b>854,663</b>   | <b>63,805</b>   | <b>7%</b>   |
| <b>(553,121)</b> | <b>(241,883)</b> | <b>(311,238)</b> | <b>&lt;-100%</b> | <b>(484,301)</b> | <b>(68,821)</b> | <b>-14%</b> |

|                  |                  |                  |                  |                  |                 |             |
|------------------|------------------|------------------|------------------|------------------|-----------------|-------------|
| <b>(553,121)</b> | <b>(241,883)</b> | <b>(311,238)</b> | <b>&lt;-100%</b> | <b>(484,301)</b> | <b>(68,821)</b> | <b>-14%</b> |
| 302,860          | -                | 302,860          | 100%             | 293,722          | 9,138           | 3%          |
| 362              | 1,500            | (1,138)          | -76%             | 2,402            | (2,040)         | -85%        |
| <b>(249,899)</b> | <b>(240,383)</b> | <b>(9,516)</b>   | <b>-4%</b>       | <b>(188,177)</b> | <b>(61,722)</b> | <b>-33%</b> |

**HAWAII PUBLIC HOUSING AUTHORITY**  
**State Rent Supplement Program**  
**Actual vs Budget Comparison**  
**For the Month of August 2022, and the 2 Months ended August 31, 2022**  
(Amounts in Full Dollars)

| Month of August 2022 |                |                 |             |  |
|----------------------|----------------|-----------------|-------------|--|
| Actual               | Budget         | Variance        |             |  |
|                      |                | Amount          | %           |  |
| -                    | -              | -               | 0%          |  |
| -                    | -              | -               | 0%          |  |
| -                    | -              | -               | 0%          |  |
| -                    | -              | -               | 0%          |  |
| -                    | -              | -               | 0%          |  |
| 86,597               | 124,787        | (38,190)        | -31%        |  |
| 25                   | 3              | 22              | >100%       |  |
| <b>\$ 86,622</b>     | <b>124,790</b> | <b>(38,168)</b> | <b>-31%</b> |  |

|                    |                |                 |                  |  |
|--------------------|----------------|-----------------|------------------|--|
| 9,128              | 6,252          | 2,876           | 46%              |  |
| -                  | -              | -               | 0%               |  |
| 585                | 849            | (264)           | -31%             |  |
| 367                | 532            | (165)           | -31%             |  |
| 86,949             | 115,464        | (28,515)        | -25%             |  |
| -                  | -              | -               | 0%               |  |
| 99                 | 62             | 37              | 60%              |  |
| 34                 | 44             | (10)            | -22%             |  |
| 7                  | 9              | (2)             | -22%             |  |
| 42                 | 46             | (4)             | -10%             |  |
| -                  | -              | -               | 0%               |  |
| -                  | -              | -               | 0%               |  |
| -                  | -              | -               | 0%               |  |
| <b>97,211</b>      | <b>123,258</b> | <b>(26,047)</b> | <b>-21%</b>      |  |
| <b>\$ (10,589)</b> | <b>1,532</b>   | <b>(12,121)</b> | <b>&lt;-100%</b> |  |

|                    |              |                 |                  |  |
|--------------------|--------------|-----------------|------------------|--|
| <b>(10,589)</b>    | <b>1,532</b> | <b>(12,121)</b> | <b>&lt;-100%</b> |  |
| -                  | -            | -               | 0%               |  |
| -                  | -            | -               | 0%               |  |
| <b>\$ (10,589)</b> | <b>1,532</b> | <b>(12,121)</b> | <b>&lt;-100%</b> |  |

**REVENUES**

|                        |         |         |          |       |
|------------------------|---------|---------|----------|-------|
| Dwelling Rental Income | -       | -       | -        | 0%    |
| HUD Operating Grants   | -       | -       | -        | 0%    |
| CFP Grant Income       | -       | -       | -        | 0%    |
| COCC Fee Income        | -       | -       | -        | 0%    |
| State CIP Fund         | -       | -       | -        | 0%    |
| Grant Income           | 173,194 | 249,574 | (76,380) | -31%  |
| Other Income           | 25      | 6       | 19       | >100% |

**Total Revenues**

**EXPENSES**

|                             |         |         |          |      |
|-----------------------------|---------|---------|----------|------|
| Administrative              | 14,855  | 12,504  | 2,351    | 19%  |
| Asset Management Fees       | -       | -       | -        | 0%   |
| Management Fees             | 1,182   | 1,698   | (516)    | -30% |
| Bookkeeping Fees            | 741     | 1,064   | (323)    | -30% |
| Housing Assistance Payments | 175,114 | 230,928 | (55,814) | -24% |
| Tenant Services             | -       | -       | -        | 0%   |
| Utilities                   | 195     | 124     | 71       | 57%  |
| Maintenance                 | 73      | 88      | (15)     | -17% |
| Protective Services         | 22      | 18      | 4        | 21%  |
| Insurance                   | 83      | 92      | (9)      | -10% |
| Depreciation Expense        | -       | -       | -        | 0%   |
| Bad Debt Expense            | -       | -       | -        | 0%   |
| General Expenses            | -       | -       | -        | 0%   |

**Total Expenses**

**Net Income(Loss)**

**CASH BASIS:**

|                            |          |       |          |        |
|----------------------------|----------|-------|----------|--------|
| Net Income(loss) per Above | (19,045) | 3,064 | (22,109) | <-100% |
| Add back non cash items:   |          |       |          |        |
| Depreciation Expense       | -        | -     | -        | 0%     |
| Bad Debt Expense           | -        | -     | -        | 0%     |

| Year To Date ended August 31, 2022 |                |                 |             |                |                 |             |
|------------------------------------|----------------|-----------------|-------------|----------------|-----------------|-------------|
| Actual                             | Budget         | Variance        |             | Prior Year     | Variance        |             |
|                                    |                | Amount          | %           |                | Amount          | %           |
| -                                  | -              | -               | 0%          | -              | -               | 0%          |
| -                                  | -              | -               | 0%          | -              | -               | 0%          |
| -                                  | -              | -               | 0%          | -              | -               | 0%          |
| -                                  | -              | -               | 0%          | -              | -               | 0%          |
| -                                  | -              | -               | 0%          | -              | -               | 0%          |
| 173,194                            | 249,574        | (76,380)        | -31%        | 247,868        | (74,674)        | -30%        |
| 25                                 | 6              | 19              | >100%       | 7              | 18              | >100%       |
| <b>173,219</b>                     | <b>249,580</b> | <b>(76,361)</b> | <b>-31%</b> | <b>247,875</b> | <b>(74,656)</b> | <b>-30%</b> |

|                 |                |                 |                  |                |                 |                  |
|-----------------|----------------|-----------------|------------------|----------------|-----------------|------------------|
| 14,855          | 12,504         | 2,351           | 19%              | 11,635         | 3,219           | 28%              |
| -               | -              | -               | 0%               | -              | -               | 0%               |
| 1,182           | 1,698          | (516)           | -30%             | 1,419          | (237)           | -17%             |
| 741             | 1,064          | (323)           | -30%             | 889            | (149)           | -17%             |
| 175,114         | 230,928        | (55,814)        | -24%             | 200,838        | (25,724)        | -13%             |
| -               | -              | -               | 0%               | -              | -               | 0%               |
| 195             | 124            | 71              | 57%              | 127            | 68              | 53%              |
| 73              | 88             | (15)            | -17%             | 84             | (11)            | -13%             |
| 22              | 18             | 4               | 21%              | 22             | (0)             | -2%              |
| 83              | 92             | (9)             | -10%             | 88             | (5)             | -6%              |
| -               | -              | -               | 0%               | -              | -               | 0%               |
| -               | -              | -               | 0%               | -              | -               | 0%               |
| -               | -              | -               | 0%               | -              | -               | 0%               |
| <b>192,264</b>  | <b>246,516</b> | <b>(54,252)</b> | <b>22%</b>       | <b>215,103</b> | <b>(22,839)</b> | <b>-11%</b>      |
| <b>(19,045)</b> | <b>3,064</b>   | <b>(22,109)</b> | <b>&lt;-100%</b> | <b>32,772</b>  | <b>(51,817)</b> | <b>&lt;-100%</b> |

|                 |              |                 |                  |               |                 |                  |
|-----------------|--------------|-----------------|------------------|---------------|-----------------|------------------|
| <b>(19,045)</b> | <b>3,064</b> | <b>(22,109)</b> | <b>&lt;-100%</b> | <b>32,772</b> | <b>(51,817)</b> | <b>&lt;-100%</b> |
| -               | -            | -               | 0%               | -             | -               | 0%               |
| -               | -            | -               | 0%               | -             | -               | 0%               |
| <b>(19,045)</b> | <b>3,064</b> | <b>(22,109)</b> | <b>&lt;-100%</b> | <b>32,772</b> | <b>(51,817)</b> | <b>&lt;-100%</b> |

**HAWAII PUBLIC HOUSING AUTHORITY**  
**Section 8 Contract Administration**  
**Actual vs Budget Comparison**  
**For the Month of August 2022, and the 2 Months ended August 31, 2022**

(Amounts in Full Dollars)

| Month of August 2022 |                  |              |           |  |
|----------------------|------------------|--------------|-----------|--|
| Actual               | Budget           | Variance     |           |  |
|                      |                  | Amount       | %         |  |
| -                    | -                | -            | 0%        |  |
| 3,726,666            | 3,719,637        | 7,029        | 0%        |  |
| -                    | -                | -            | 0%        |  |
| -                    | -                | -            | 0%        |  |
| -                    | -                | -            | 0%        |  |
| -                    | -                | -            | 0%        |  |
| 35                   | 33               | 2            | 6%        |  |
| <b>\$ 3,726,701</b>  | <b>3,719,670</b> | <b>7,031</b> | <b>0%</b> |  |

|                  |                  |              |            |  |
|------------------|------------------|--------------|------------|--|
| 89,756           | 92,077           | (2,321)      | -3%        |  |
| -                | -                | -            | 0%         |  |
| -                | -                | -            | 0%         |  |
| -                | -                | -            | 0%         |  |
| 3,584,392        | 3,582,209        | 2,183        | 0%         |  |
| -                | -                | -            | 0%         |  |
| -                | -                | -            | 0%         |  |
| -                | -                | -            | 0%         |  |
| -                | -                | -            | 0%         |  |
| 604              | 622              | (18)         | -3%        |  |
| -                | -                | -            | 0%         |  |
| -                | -                | -            | 0%         |  |
| -                | -                | -            | 0%         |  |
| <b>3,674,752</b> | <b>3,674,908</b> | <b>(156)</b> | <b>0%</b>  |  |
| <b>\$ 51,949</b> | <b>44,762</b>    | <b>7,187</b> | <b>16%</b> |  |

|                  |               |              |            |  |
|------------------|---------------|--------------|------------|--|
| 51,949           | 44,762        | 7,187        | 16%        |  |
| -                | -             | -            | 0%         |  |
| -                | -             | -            | 0%         |  |
| <b>\$ 51,949</b> | <b>44,762</b> | <b>7,187</b> | <b>16%</b> |  |

**REVENUES**

Dwelling Rental Income  
HUD Operating Grants  
CFP Grant Income  
COCC Fee Income  
State CIP Fund  
Grant Income  
Other Income

**Total Revenues**

**EXPENSES**

Administrative  
Asset Management Fees  
Management Fees  
Bookkeeping Fees  
Housing Assistance Payments  
Tenant Services  
Utilities  
Maintenance  
Protective Services  
Insurance  
Depreciation Expense  
Bad Debt Expense  
General Expenses

**Total Expenses**

**Net Income(Loss)**

**CASH BASIS:**

Net Income(loss) per Above  
Add back non cash items:  
Depreciation Expense  
Bad Debt Expense

| Year To Date ended August 31, 2022 |                  |               |           |                  |                |           |
|------------------------------------|------------------|---------------|-----------|------------------|----------------|-----------|
| Actual                             | Budget           | Variance      |           | Prior Year       | Variance       |           |
|                                    |                  | Amount        | %         |                  | Amount         | %         |
| -                                  | -                | -             | 0%        | -                | -              | 0%        |
| 7,495,597                          | 7,439,274        | 56,323        | 1%        | 7,125,316        | 370,281        | 5%        |
| -                                  | -                | -             | 0%        | -                | -              | 0%        |
| -                                  | -                | -             | 0%        | -                | -              | 0%        |
| -                                  | -                | -             | 0%        | -                | -              | 0%        |
| -                                  | -                | -             | 0%        | -                | -              | 0%        |
| 69                                 | 66               | 3             | 5%        | 62               | 7              | 11%       |
| <b>7,495,666</b>                   | <b>7,439,340</b> | <b>56,326</b> | <b>1%</b> | <b>7,125,379</b> | <b>370,287</b> | <b>5%</b> |

|                  |                  |                 |             |                  |                |            |
|------------------|------------------|-----------------|-------------|------------------|----------------|------------|
| 185,310          | 184,154          | 1,156           | 1%          | 163,112          | 22,197         | 14%        |
| -                | -                | -               | 0%          | -                | -              | 0%         |
| -                | -                | -               | 0%          | -                | -              | 0%         |
| -                | -                | -               | 0%          | -                | -              | 0%         |
| 7,229,807        | 7,164,418        | 65,389          | 1%          | 6,909,720        | 320,087        | 5%         |
| -                | -                | -               | 0%          | -                | -              | 0%         |
| -                | -                | -               | 0%          | -                | -              | 0%         |
| -                | -                | -               | 0%          | -                | -              | 0%         |
| -                | -                | -               | 0%          | -                | -              | 0%         |
| 1,208            | 1,244            | (36)            | -3%         | 1,185            | 22             | 2%         |
| -                | -                | -               | 0%          | -                | -              | 0%         |
| -                | -                | -               | 0%          | -                | -              | 0%         |
| -                | -                | -               | 0%          | -                | -              | 0%         |
| <b>7,416,324</b> | <b>7,349,816</b> | <b>66,508</b>   | <b>-1%</b>  | <b>7,074,018</b> | <b>342,307</b> | <b>5%</b>  |
| <b>79,342</b>    | <b>89,524</b>    | <b>(10,182)</b> | <b>-11%</b> | <b>51,361</b>    | <b>27,981</b>  | <b>54%</b> |

|               |               |                 |             |               |               |            |
|---------------|---------------|-----------------|-------------|---------------|---------------|------------|
| 79,342        | 89,524        | (10,182)        | -11%        | 51,361        | 27,981        | 54%        |
| -             | -             | -               | 0%          | -             | -             | 0%         |
| -             | -             | -               | 0%          | -             | -             | 0%         |
| <b>79,342</b> | <b>89,524</b> | <b>(10,182)</b> | <b>-11%</b> | <b>51,361</b> | <b>27,981</b> | <b>54%</b> |

HAWAII PUBLIC HOUSING AUTHORITY

Central Office Cost Center

Actual vs Budget Comparison

For the Month of August 2022, and the 2 Months ended August 31, 2022

(Amounts in Full Dollars)

| Month of August 2022 |                |                  |             |
|----------------------|----------------|------------------|-------------|
| Actual               | Budget         | Variance         |             |
|                      |                | Amount           | %           |
| -                    | -              | -                | 0%          |
| -                    | -              | -                | 0%          |
| -                    | -              | -                | 0%          |
| 495,276              | 468,851        | 26,425           | 6%          |
| -                    | -              | -                | 0%          |
| -                    | 6,000          | (6,000)          | -100%       |
| 113,961              | 471,353        | (357,392)        | -76%        |
| <b>\$ 609,237</b>    | <b>946,204</b> | <b>(336,967)</b> | <b>-36%</b> |

|                     |                  |                  |                  |
|---------------------|------------------|------------------|------------------|
| 755,535             | 848,834          | (93,299)         | -11%             |
| -                   | -                | -                | 0%               |
| -                   | -                | -                | 0%               |
| -                   | -                | -                | 0%               |
| -                   | -                | -                | 0%               |
| 722                 | 500              | 222              | 44%              |
| 7,839               | 13,203           | (5,364)          | -41%             |
| 333,185             | 287,310          | 45,875           | 16%              |
| 1,180               | 1,105            | 75               | 7%               |
| 2,937               | 2,953            | (16)             | -1%              |
| 6,940               | -                | 6,940            | 100%             |
| -                   | -                | -                | 0%               |
| 2,688               | 160              | 2,528            | >100%            |
| <b>1,111,027</b>    | <b>1,154,065</b> | <b>(43,038)</b>  | <b>-4%</b>       |
| <b>\$ (501,790)</b> | <b>(207,861)</b> | <b>(293,929)</b> | <b>&lt;-100%</b> |

|                     |                  |                  |                  |
|---------------------|------------------|------------------|------------------|
| (501,790)           | (207,861)        | (293,929)        | <-100%           |
| 6,940               | -                | 6,940            | 100%             |
| -                   | -                | -                | 0%               |
| <b>\$ (494,850)</b> | <b>(207,861)</b> | <b>(286,989)</b> | <b>&lt;-100%</b> |

**REVENUES**

|                        |         |         |           |       |
|------------------------|---------|---------|-----------|-------|
| Dwelling Rental Income | -       | -       | -         | 0%    |
| HUD Operating Grants   | -       | -       | -         | 0%    |
| CFP Grant Income       | -       | -       | -         | 0%    |
| COCC Fee Income        | 992,012 | 936,974 | 55,038    | 6%    |
| State CIP Fund         | -       | -       | -         | 0%    |
| Grant Income           | -       | 12,000  | (12,000)  | -100% |
| Other Income           | 220,448 | 944,556 | (724,108) | -77%  |

**Total Revenues**

**EXPENSES**

|                             |           |           |           |       |
|-----------------------------|-----------|-----------|-----------|-------|
| Administrative              | 1,419,503 | 1,717,923 | (298,420) | -17%  |
| Asset Management Fees       | -         | -         | -         | 0%    |
| Management Fees             | -         | -         | -         | 0%    |
| Bookkeeping Fees            | -         | -         | -         | 0%    |
| Housing Assistance Payments | -         | -         | -         | 0%    |
| Tenant Services             | 1,310     | 1,000     | 310       | 31%   |
| Utilities                   | 33,950    | 26,406    | 7,544     | 29%   |
| Maintenance                 | 590,263   | 576,307   | 13,956    | 2%    |
| Protective Services         | 2,607     | 2,210     | 397       | 18%   |
| Insurance                   | 5,874     | 5,906     | (32)      | -1%   |
| Depreciation Expense        | 13,883    | -         | 13,883    | 100%  |
| Bad Debt Expense            | -         | -         | -         | 0%    |
| General Expenses            | 2,688     | 320       | 2,368     | >100% |

**Total Expenses**

**Net Income(Loss)**

**CASH BASIS:**

|                            |           |           |           |      |
|----------------------------|-----------|-----------|-----------|------|
| Net Income(loss) per Above | (857,617) | (436,542) | (421,075) | -96% |
| Add back non cash items:   |           |           |           |      |
| Depreciation Expense       | 13,883    | -         | 13,883    | 100% |
| Bad Debt Expense           | -         | -         | -         | 0%   |

| Year To Date ended August 31, 2022 |           |           |       |            |           |      |
|------------------------------------|-----------|-----------|-------|------------|-----------|------|
| Actual                             | Budget    | Variance  |       | Prior Year | Variance  |      |
|                                    |           | Amount    | %     |            | Amount    | %    |
| -                                  | -         | -         | 0%    | -          | -         | 0%   |
| -                                  | -         | -         | 0%    | -          | -         | 0%   |
| -                                  | -         | -         | 0%    | -          | -         | 0%   |
| 992,012                            | 936,974   | 55,038    | 6%    | 832,614    | 159,397   | 19%  |
| -                                  | -         | -         | 0%    | -          | -         | 0%   |
| -                                  | 12,000    | (12,000)  | -100% | -          | -         | 0%   |
| 220,448                            | 944,556   | (724,108) | -77%  | 425,753    | (205,305) | -48% |
| 1,212,460                          | 1,893,530 | (681,070) | -36%  | 1,258,367  | (45,907)  | -4%  |

|                  |                  |                  |             |                  |                  |             |
|------------------|------------------|------------------|-------------|------------------|------------------|-------------|
| 1,419,503        | 1,717,923        | (298,420)        | -17%        | 1,289,144        | 130,359          | 10%         |
| -                | -                | -                | 0%          | -                | -                | 0%          |
| -                | -                | -                | 0%          | -                | -                | 0%          |
| -                | -                | -                | 0%          | -                | -                | 0%          |
| -                | -                | -                | 0%          | -                | -                | 0%          |
| 1,310            | 1,000            | 310              | 31%         | 797              | 513              | 64%         |
| 33,950           | 26,406           | 7,544            | 29%         | 26,619           | 7,331            | 28%         |
| 590,263          | 576,307          | 13,956           | 2%          | 604,938          | (14,675)         | -2%         |
| 2,607            | 2,210            | 397              | 18%         | 2,170            | 437              | 20%         |
| 5,874            | 5,906            | (32)             | -1%         | 5,928            | (54)             | -1%         |
| 13,883           | -                | 13,883           | 100%        | 13,008           | 875              | 7%          |
| -                | -                | -                | 0%          | -                | -                | 0%          |
| 2,688            | 320              | 2,368            | >100%       | 9,528            | (6,841)          | -72%        |
| <b>2,070,077</b> | <b>2,330,072</b> | <b>(259,995)</b> | <b>11%</b>  | <b>1,952,132</b> | <b>117,945</b>   | <b>6%</b>   |
| <b>(857,617)</b> | <b>(436,542)</b> | <b>(421,075)</b> | <b>-96%</b> | <b>(693,765)</b> | <b>(163,852)</b> | <b>-24%</b> |

|                  |                  |                  |             |                  |                  |             |
|------------------|------------------|------------------|-------------|------------------|------------------|-------------|
| (857,617)        | (436,542)        | (421,075)        | -96%        | (693,765)        | (163,852)        | -24%        |
| 13,883           | -                | 13,883           | 100%        | 13,008           | 875              | 7%          |
| -                | -                | -                | 0%          | -                | -                | 0%          |
| <b>(843,734)</b> | <b>(436,542)</b> | <b>(407,192)</b> | <b>-93%</b> | <b>(680,757)</b> | <b>(162,977)</b> | <b>-24%</b> |



| FEDERAL BUDGET/OBLIGATION: Capital Fund Program (CFP) (Operations, Admin, Mgt Improv) |                            |                                                    |                                 |                                                    |                                        |                                     |               |             |                        |                                  |                        |
|---------------------------------------------------------------------------------------|----------------------------|----------------------------------------------------|---------------------------------|----------------------------------------------------|----------------------------------------|-------------------------------------|---------------|-------------|------------------------|----------------------------------|------------------------|
|                                                                                       | Total CFP<br>Appropriation | Budget<br>Construction<br>Activities<br>(BLI 1480) | Budget Operations<br>(BLI 1406) | Budget<br>Management<br>Improvements<br>(BLI 1408) | Budget<br>Administration<br>(BLI 1410) | Budget<br>Contingency<br>(BLI 1502) | CFP Obligated | % Obligated | Unobligated<br>Balance | Obligation<br>Deadline           | Notes                  |
| CFP 727                                                                               | \$9,198,304                | 6,316,454                                          | 1,839,660                       | 122,359                                            | 919,830                                | -                                   | 9,198,304     | 100.00%     | -                      | 8/15/21                          | LOCCS created 07-06-17 |
| CFP 728                                                                               | \$13,501,112               | 9,250,778                                          | 2,700,222                       | 200,000                                            | 1,350,111                              | -                                   | 13,501,112    | 100.00%     | -                      | 5/28/22                          | LOCCS created 05-22-18 |
| CFP 729                                                                               | \$13,394,883               | 9,372,142                                          | 2,681,649                       | -                                                  | 1,341,092                              | -                                   | 6,808,361     | 50.83%      | 6,586,522              | 4/15/23                          | LOCCS created 04-11-19 |
| CFP 730                                                                               | \$13,799,958               | 9,646,353                                          | 2,759,992                       | -                                                  | 1,379,996                              | 13,617                              | 761,377       | 5.52%       | 13,038,581             | 3/25/24                          | LOCCS created 04-06-20 |
| CFP 731                                                                               | \$13,862,820               | 4,330,085                                          | 2,772,564                       | -                                                  | 1,386,282                              | -                                   | 366,470       | 2.64%       | 13,496,350             | 2/22/23                          | LOCCS created 02-23-21 |
| CFP 732                                                                               | \$14,983,151               | 9,328,974                                          | 2,996,630                       | -                                                  | 1,498,315                              | 1,159,232                           | -             | 0.00%       | 14,983,151             | 5/11/24                          | LOCCS created 05-12-22 |
| CFP Budget Totals                                                                     | \$78,740,228               | 48,244,787                                         | 15,750,718                      | 322,359                                            | 7,875,626                              | 1,172,849                           | 30,635,625    | 38.91%      | 48,104,603             | TOTALS FOR ALL ACTIVE CFP GRANTS |                        |

| FEDERAL EXPENDITURE: Capital Fund Program (CFP) (Operations, Admin, Mgt Improv) |                            |                                                      |                                      |                                                      |                                          |                                       |                                    |            |                       |                                  |                        |
|---------------------------------------------------------------------------------|----------------------------|------------------------------------------------------|--------------------------------------|------------------------------------------------------|------------------------------------------|---------------------------------------|------------------------------------|------------|-----------------------|----------------------------------|------------------------|
|                                                                                 | Total CFP<br>Appropriation | Expended<br>Construction<br>Activities<br>(BLI 1480) | Expended<br>Operations<br>(BLI 1406) | Expended<br>Management<br>Improvements<br>(BLI 1408) | Expended<br>Administration<br>(BLI 1410) | Expended<br>Contingency<br>(BLI 1502) | Expended to<br>Date Total<br>Funds | % Expended | Unexpended<br>Balance | Expenditure<br>Deadline          | Notes                  |
| CFP 727                                                                         | \$9,198,304                | 6,316,454                                            | 1,839,660                            | 107,301                                              | 919,830                                  | -                                     | 9,183,246                          | 99.84%     | 15,058                | 8/15/23                          | LOCCS created 07-06-17 |
| CFP 728                                                                         | \$13,501,112               | 4,203,510                                            | 2,676,264                            | 200,000                                              | 1,338,132                                | -                                     | 8,417,905                          | 62.35%     | 5,083,207             | 5/8/24                           | LOCCS created 05-22-18 |
| CFP 729                                                                         | \$13,394,883               | 1,103,396                                            | 2,665,614                            | -                                                    | 1,332,807                                | -                                     | 5,101,817                          | 38.09%     | 8,293,066             | 4/15/25                          | LOCCS created 04-11-19 |
| CFP 730                                                                         | \$13,799,958               | 42,138                                               | -                                    | -                                                    | -                                        | -                                     | 42,138                             | 0.31%      | 13,757,820            | 3/25/26                          | LOCCS created 04-06-20 |
| CFP 731                                                                         | \$13,862,820               | -                                                    | -                                    | -                                                    | -                                        | -                                     | 273,889                            | 1.98%      | 13,588,931            | 2/22/25                          | LOCCS created 02-23-21 |
| CFP 732                                                                         | \$14,983,151               | -                                                    | -                                    | -                                                    | -                                        | -                                     | -                                  | 0.00%      | 14,983,151            | 5/11/26                          | LOCCS created 05-12-22 |
| CFP Expenditure Totals                                                          | \$78,740,228               | 11,665,499                                           | 7,181,538                            | 307,301                                              | 3,590,769                                | -                                     | 23,018,996                         | 29.23%     | 55,721,232            | TOTALS FOR ALL ACTIVE CFP GRANTS |                        |

STATE: Capital Improvement Program (CIP)

|                                  | State GO Bond<br>Appropriation | HPHA<br>Budget | HPHA<br>Encumbered | HPHA<br>Expended | HPHA<br>%<br>Expended/Budget | HPHA<br>Balance<br>Expended/Budget | CIP<br>Contract<br>Encumbrance<br>Deadline | Notes                                                   | ACT/SLH                                 |
|----------------------------------|--------------------------------|----------------|--------------------|------------------|------------------------------|------------------------------------|--------------------------------------------|---------------------------------------------------------|-----------------------------------------|
| FY 15-16 Lump Sum CIP            | 4,150,000                      | 4,105,000.00   | 4,150,000.00       | 3,911,946.64     | 95.30%                       | 193,053.36                         | 6/30/18                                    | Allotment Granted - Blanket Encumbrance (1) & (2) & (3) | ACT 119/2015                            |
| FY 15-16 Wages & Fringe Benefits | 850,000                        | 850,000.00     | -                  | -                | 0.00%                        | 850,000.00                         | 6/30/18                                    | Allotment Granted - Blanket Encumbrance (1) & (2) & (3) | ACT 119/2015                            |
| FY 16-17 Lump Sum CIP            | 29,150,000                     | 28,920,313.00  | 28,706,929.35      | 26,634,776.30    | 92.10%                       | 2,285,536.70                       | 6/30/18                                    | Allotment Granted - Blanket Encumbrance (1) & (2) & (3) | ACT 119/2015 as amended by ACT 124/2016 |
| FY 16-17 Wages & Fringe Benefits | 560,000                        | 560,000.00     | -                  | -                | 0.00%                        | 560,000.00                         | 6/30/18                                    | Allotment Granted - Blanket Encumbrance (1) & (2) & (3) | ACT 119/2015 as amended by ACT 124/2016 |
| FY 16-17 Vacant Unit Repairs and | 6,000,000                      | 5,997,000.00   | 5,997,000.00       | 5,997,000.00     | 100.00%                      | -                                  | 6/30/18                                    | Allotment Granted - Blanket Encumbrance (1) & (2) & (3) | ACT 119/2015 as amended by ACT 124/2016 |
| FY 17-18 Lump Sum CIP            | 17,675,000                     | 17,587,313.00  | 17,658,557.83      | 4,382,836.25     | 24.92%                       | 13,204,476.75                      | 6/30/20                                    | Allotment Granted - Blanket Encumbrance (1) & (2)       | ACT 49/2017                             |
| FY 17-18 Security CIP            | 2,500,000                      | 2,500,000.00   | 2,500,000.00       | 2,232,362.56     | 89.29%                       | 267,637.44                         | 6/30/20                                    | Allotment Granted - Blanket Encumbrance (1) & (2)       | ACT 49/2017                             |
| FY 17-18 La`a Kea CIP GRANT      | 300,000                        | 300,000.00     | -                  | -                | 0.00%                        | 300,000.00                         | 6/30/20                                    | Allotment Granted - Blanket Encumbrance (1) & (2)       | ACT 49/2017                             |
| FY 18-19 Lump Sum CIP            | 21,500,000                     | 20,268,875.00  | 20,291,800.61      | 10,808,624.60    | 53.33%                       | 9,460,250.40                       | 6/30/20                                    | Allotment Granted - Blanket Encumbrance (1) & (2)       | ACT 49/2017 as amended by ACT 53/2018   |
| FY 18-19 Mayor Wright Homes      | 4,500,000                      | 4,497,000.00   | 900,000.00         | 298,321.54       | 6.63%                        | 4,198,678.46                       | 6/30/20                                    | Allotment Granted - Blanket Encumbrance (1) & (2)       | ACT 49/2017 as amended by ACT 53/2018   |
| FY 19-20 Lump Sum CIP            | 20,000,000                     | 20,000,000.00  | 3,487,700.20       | 373,074.95       | 1.87%                        | 19,626,925.05                      | 6/30/22                                    | Allotment Granted                                       | ACT 40/2019                             |
| FY 20-21 Lump Sum CIP            | 5,135,000                      | 5,135,000      | -                  | -                | 0.00%                        | 5,135,000.00                       | 6/30/22                                    | Allotment Granted                                       | ACT 40/2019 as ammended by ACT 6/2020   |
| FY 20-21 HPHA School Street      | 2,500,000                      | 2,500,000      | 2,500,000.00       | 1,535,371.80     | 61.41%                       | 964,628.20                         | 6/30/22                                    | Allotment Granted                                       | ACT 40/2019 as ammended by ACT 6/2020   |
| FY 20-21 TOD Planning Lanakila   | 550,000                        | 550,000        | -                  | -                | 0.00%                        | 550,000.00                         | 6/30/22                                    | Allotment Granted                                       | ACT 40/2019 as ammended by ACT 6/2020   |
| FY 21-22 Lump Sum CIP            | 10,000,000                     | 10,000,000     | -                  | -                | 0.00%                        | 10,000,000.00                      | 6/30/24                                    | Allotment Granted                                       | ACT 88/2021                             |
| FY 21-22 TOD Planning Puuwai     | 625,000                        | 625,000        | -                  | -                | 0.00%                        | 625,000.00                         | 6/30/24                                    | Allotment Granted                                       | ACT 88/2021                             |
| FY 22-23 Hale Poai Modernization | 500,000                        | 500,000        | -                  | -                | 0.00%                        | 500,000.00                         | 6/30/24                                    |                                                         | ACT 88/2021 as ammended by ACT 248/2022 |
| FY 22-23 Lump Sum                | 10,000,000                     | 10,000,000     | -                  | -                | 0.00%                        | 10,000,000.00                      | 6/30/24                                    |                                                         | ACT 88/2021 as ammended by ACT 248/2022 |
| FY 22-23 Palolo Valley Homes     | 3,970,000                      | 3,970,000      | -                  | -                | 0.00%                        | 3,970,000.00                       | 6/30/24                                    |                                                         | ACT 88/2021 as ammended by ACT 248/2022 |
| FY 22-23 Kahale Mua              | 650,000                        | 650,000        | -                  | -                | 0.00%                        | 650,000.00                         | 6/30/24                                    |                                                         | ACT 88/2021 as ammended by ACT 248/2022 |
| FY 22-23 Puahala Homes           | 600,000                        | 600,000        | -                  | -                | 0.00%                        | 600,000.00                         | 6/30/24                                    |                                                         | ACT 88/2021 as ammended by ACT 248/2022 |
| FY 22-23 Kahekili Terrace        | 4,280,000                      | 4,280,000      | -                  | -                | 0.00%                        | 4,280,000.00                       | 6/30/24                                    |                                                         | ACT 88/2021 as ammended by ACT 248/2022 |
| FY 22-23 ACT 253 Vacant Units    | 5,000,000                      | 5,000,000      | -                  | -                | 0.00%                        | 5,000,000.00                       | 6/30/23                                    |                                                         | ACT 253/2022                            |
| STATE CIP TOTALS                 | 362,747,000                    | 347,038,290.56 | 288,683,266.35     | 253,285,897.36   | 72.99%                       | 93,752,393.20                      | TOTAL ACTIVE STATE CIP APPROPRIATIONS      |                                                         |                                         |

|             |                                                                |
|-------------|----------------------------------------------------------------|
| K<br>E<br>Y | 1406 - Operations                                              |
|             | 1408 - Management Improvements                                 |
|             | 1410 - Administration                                          |
|             | 1480 - General Capital Activity                                |
|             | 1492 - Moving to Work Demo                                     |
|             | 1501 - Collater Exp/Debt Srv                                   |
|             | 1502 - Contingency                                             |
|             | 1503 - RAD-CFP                                                 |
|             | 1504 - RAD Investment Activity                                 |
|             | 1505 - RAD-CPT                                                 |
|             | 1509 - Preparing for, Preventing and Responding to Coronavirus |

| Federal Capital Fund Program Budget                                                                                                                                                                                                                                                |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| These are HPHA CFP budget numbers a/o the upper left corner date. The rows reflect the CFP fund grant, the columns represent the manner in which the funds are currently budgeted. The obligation deadline indicates the date by which these funds must be at least 92% obligated. |
| Federal Capital Fund Program Actual                                                                                                                                                                                                                                                |
| These are HPHA CFP actual expenditures a/o the upper left corner date. The rows reflect the CFP fund grant, the columns represent the manner in which these funds are currently being expended. The expenditure deadline indicates the date by which these funds must be expended. |
| State Capital Improvement Program Budget and Expenditure                                                                                                                                                                                                                           |
| These are HPHA CIP budget and actual expenditures a/o the upper left corner date. The rows reflect the CIP fund appropriation, the columns represent budget, encumbrance and expenditures. The encumbrance deadline indicates the date by which the funds must be encumbered.      |

### III. Procurement

#### A. Solicitation(s) Issued in September 2022:

| Title                                                                                                                                                            | Due Date           |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------|
| Solicitation No. RFQ-Q23000484<br><br>Provide Carpet Material for Building A at the Hawaii Public Housing Authority on Oahu                                      | September 16, 2022 |
| Solicitation No. RFQ-CMB-2022-37<br><br>Provide Mold Remediation Services at Kawailehua (Federal) and Hui O Hanamaulu Under Asset Management Project 38 on Kauai | September 16, 2022 |
| Solicitation No. RFQ-CMB-2022-36<br><br>Replacement of Barrier Gate Arms at Kalihi Valley Homes Under Asset Management Project 31 on Oahu                        | September 28, 2022 |
| Solicitation No. IFB-CMB-2021-31<br><br>Lead-Based Paint Abatement at David Malo Circle; HPHA Job No. 16-023-116                                                 | November 10, 2022  |
| Solicitation No. IFB-CMB-2021-32<br><br>Lead-Based Paint Abatement at Kapaa Homes and Hui O Hanamaulu; HPHA Job No. 16-023-118 & 121                             | November 10, 2022  |

#### B. Contract(s) Executed in September 2022:

**Ron N.S. Ho & Associates, Inc. Contract No.: CMS 21-11-SC01**  
Provide Additional Design and Consultant Services and Time Extension of 365 Calendar Days for Upgrade to Fire Alarm System at Punchbowl Homes (AMP 35) on Oahu

End Date: March 4, 2026  
Suppl Amount: \$4,655.00  
Total Amount: \$162,825.00

**MEI Corporation Contract No.: CMS 20-11-SC05**

Provide Additional Labor, Material and Equipment and Time Extension of 240 Calendar Days for Site and Dwelling Improvements at Piilani Homes (AMP 39) on Maui

Completion Date: April 19, 2023

Suppl Amount: \$205,226.00

Total Amount: \$7,433,490.00

**HDR Architecture, Inc. Contract No.: DEV 22-01**

Provide Planning Services for the Lanakila Homes (AMP 37) and County of Hawaii Multi-Modal Transportation Project on Hawaii Island

End Date: 153 Calendar Days from NTP

Total Amount: \$435,305.59

**Govolution, LLC Contract No.: FMO 22-01**

Provision of Online Tenant Payment Services for the Hawaii Public Housing Authority

End Date: April 30, 2023

Total Amount: \$5,400.00

**Garden Isle Disposal, Inc. Contract No.: PMB 22-05**

Furnish Refuse Collection Services at Kawailehua – State and Kawailehua – Federal (AMP 38) on Kauai

End Date: August 31, 2023

Total Amount: \$52,379.08

**Pacific Appliance Group, Inc. Contract No.: PMB 22-04**

Provision of Refrigerators for State and Federal Low Income Public Housing Properties on Oahu, Kauai, Maui, Molokai and Hawaii Island

End Date: June 30, 2023

Total Amount: \$1,007,088.69

**Honolulu Disposal Service, Inc. Contract No.: PMB 20-10-SC02**

Continue to Furnish Refuse Collection Services at the Ka Hale O Kamehaikana Community Resource Center on Oahu

End Date: June 30, 2023

Suppl Amount: \$6,810.66

Total Amount: \$18,653.40

**West Oahu Aggregate Co., Inc. Contract No.:** PMB 20-09-SC04  
Continue to Furnish Refuse Collection Services at Kalihi Valley Homes, Hauiki Homes, Puahala Homes (AMP 31), Kaahumanu Homes and Kamehameha Homes (AMP 33) on Oahu

End Date: June 30, 2023  
Suppl Amount: \$482,314.56  
Total Amount: \$1,457,713.88

**Aloha Waste Systems of Honolulu, Inc. Contract No.:** PMB 20-04-SC04  
Continue to Furnish Refuse Collection Services at Puuwai Momi, Hale Laulima, Waipahu I, Waipahu II (AMP 30), Mayor Wright Homes (AMP 32), Kalakaua Homes, Makua Alii, Paoakalani (AMP 34), Punchbowl Homes, Pumehana, Spencer House, Makamae and Kalanihuia (AMP 35) on Oahu

End Date: June 30, 2023  
Suppl Amount: \$435,617.80  
Total Amount: \$1,208,607.02

**Pacific Waste, Inc. Contract No.:** PMB 20-02-SC02  
Continue to Furnish Refuse Collection Services at Lanakila Homes, Hale Aloha O Puna, Hale Olaloa, Kauhale O Hanakahi, Pahala, Pomaikai, Punahale Homes and Lokahi (AMP 37) on Hawaii Island

End Date: June 30, 2023  
Suppl Amount: \$125,884.30  
Total Amount: \$360,132.99

**Standard Management LLC Contract No.:** PMB 20-01-SC02  
Continue to Provide Property Management and Maintenance Services at the Ka Hale O Kamehaikana Community Resource Center on Oahu

End Date: May 31, 2023  
Suppl Amount: \$269,844.87  
Total Amount: \$793,780.93

C. Planned Solicitation/Contract Activities for October / November 2022

Solicitation(s):

- Invitation-for-Bids for Preventive Maintenance Services to Fire Alarm Systems at AMP 35 on Oahu
- Invitation-for-Bids for Laundry Services at AMP 39 on Maui and AMP 37, AMP 43, and AMP 46 on Hawaii Island

Contract(s):

- Execute New/Supplemental Contracts for various services on an ongoing basis as determined necessary and in the best interest of the State. Contract extensions may include services such as property management, preventive maintenance, security, refuse collection, and custodial services.

#### **IV. Development**

**A. Kuhio Park Terrace/Kuhio Low-Rises and Homes – Phase II**

- The project's 201H application for entitlement, zoning and waivers was completed and submitted to the City and County of Honolulu Department of Planning and Permitting (DPP) on June 30, 2022. The application was accepted by DPP on July 14, 2022. The City and County of Honolulu City Council (City Council) has 90 days thereafter to accept or reject the application. We expect the application to be heard at the City Council Zoning and Planning meeting scheduled for October 20, 2022.
- State Historic Preservation and Federal Environmental review (NEPA) work and related/required studies continue to be finalized.
- Schematic Design for the first phase of the project, which will deliver approximately 260 units has been completed and submitted to the HPHA for review.
- The Michael's Organization and the HPHA continue to refine the financial modeling and unit programming for the first phase of phase of the development.

**B. School Street Elderly Housing Redevelopment**

- On May 12, 2022, HPHA's Board approved RHF Partners (Developer) request for an extension of the construction commencement deadline in Act 88 (SLH 2021) for Phase 1A of the project and an extension of the closing date for Hawaii Housing Finance and Development Corporation's (HHFDC) \$40M Rental Housing Revolving Fund (RHRF). HHFDC's board approved this request on June 9, 2022, extending the closing date for the RHRF Loan until August 25, 2023, and the construction commencement date for phase 1A of the project until August 31, 2023.

- The Developer also requested a similar extension of HHFDC Resolution No. 163 relating to the issuance of \$71.5M of Hula Mae Multi-Family Tax Exempt Revenue Bonds to coincide with the extension of the RHRF award. HPHA's Board approved this request on July 16, 2022. HHFDC's board approved this request on September 8, 2022.
- The Developer also recently submitted a request to DPP on September 6, 2022, seeking an additional one-year extension of the approved 201H construction commencement date in case any unforeseen issues should arise. However, the Developer has assured the HPHA that it stands by the August 25, 2023, closing date for the RHRF loan and construction commencement of phase 1A by August 31, 2023.
- The construction deadline for File No. 2020/GEN-10(AB) Resolution 20-251, CD1, FD1 ("Resolution") states: "...this resolution is null and void unless construction of the Project commences no later than 24 months after the approval date of this resolution." As the Resolution was approved by the City Council on November 5, 2020, the 24-month deadline for commencement of construction is thus November 5, 2022.
- The request for the extension of the construction deadline was heard and approved at the City Council's September 22, 2022, Zoning & Planning Committee Meeting and will be placed on the agenda for full City Council approval October 5, 2022.
- Construction permits for the project continue to be processed by the DPP.
- On September 13, 2022, RHF submitted to the HPHA for consideration a "revised" Master Development Agreement (MDA). The proposed revised agreement that RHF submitted to the HPHA represents a substantial revision of the existing MDA and its fundamental business and economic terms. The HPHA is currently reviewing this document with the Department of the Attorney General's and Reno & Cavanaugh, HPHA's specialized legal counsel.
- There are no new updates to the project since our last report.

#### C. Mayor Wright Homes

Land and Housing Development Program Administrative Rules for Developer Partners are being crafted and a developer Request for Qualifications ("RFQ") is being finalized. There are no further updates.

D. Puuwai Momi

- As previously reported to the Board, the HPHA's Puuwai Momi project had been awarded a \$400,000 State TOD CIP Planning Grant by the State Office of Planning and Sustainable Development (OPSD). A Memorandum of Agreement ("MOA") authorizing the delegation and transfer of \$400,000 in State TOD CIP Planning funds to HPHA for preliminary master planning of the project was approved by the HPHA Board at its December 16, 2021, meeting.
- The HPHA was recently informed that the Governor did not approve the delegation and transfer based on the Department of Budget and Finance that the property would not have sufficient infrastructure in place to justify the redevelopment for approximately 15 years. As this is a crucial development to provide much needed affordable housing in the area, the HPHA continues to discuss the new development with many entities and will provide further updates.

E. The HPHA is working with Mutual Housing Association of Hawaii, Inc. on a possible extension of the Ground Lease for Palolo Valley Homes in relation to a possible re-syndication of the project's Low Income Housing Tax Credits.

F. Kamehameha Homes & Ka'ahumanu Homes

On August 25, 2022, The HPHA submitted a proposal to The Office of Planning & Sustainable Development (OPSD) for funding under Act 248, Session Laws of Hawai'i 2022, Section 5, Item K.2 appropriating \$2 million in CIP funds to OPSD for State TOD planning and implementation statewide. On September 9, 2022, the HPHA was informed that it was awarded a CIP Planning Grant of \$350,000 for preliminary master planning for Kamehameha Homes & Ka'ahumanu Homes.

G. Hawai'i County - Lanakila Homes Project

Contract negotiations with the procured bidder for the preliminary master planning study have been completed and a Notice to Proceed has been delivered to the consultant and an initial project kick-off meeting was held on September 8, 2022.

H. Maui County – Kahekili Terrace Project

A RFQ for professional services to complete preliminary master planning is currently being drafted for internal and Attorney General review. There are no further updates regarding this project.

## **V. Property Management and Maintenance Services Branch**

|                               |          |
|-------------------------------|----------|
| Total Move Ins for September  | 30 units |
| Total Move Outs for September | 28 units |

Asset Management Project (AMP) Managers and Deputy Managers received training from the PMMSB Branch Chief regarding Criminal Trespass laws and Issuing Trespass Warnings, differences and relationship between Hawaii Administrative Rules (HAR) vs. Admissions and Continued Occupancy Policy (ACOP), preparing cases for eviction and responding to and handling eyewitnesses to rental agreement violations, and premises liability and accident prevention measures. Addressed issues arising under HPHA Reasonable Accommodation Policy and federal and state discrimination laws and applicability of policy and laws to all HPHA programs, specifically live-in aides and assistance animals. Managers provided Department of Health contact information to assist residents with mental health/disabilities. Discussed HIOSH requirements, need to follow the SDS book (instead of MSDS) and HPHA Safety & Health Manual, and having the manual easily available and accessible for staff and HIOSH inspectors, with Managers.

Due to short and stretched staff between vacant unit turnovers, REAC inspections and work orders, we are prioritizing our limited resources to concentrate on making sure that the occupied units are kept safe, decent, and sanitary.

### **In Process for October 2022**

- Occupy all vacant units that are ready.
- Review delinquent accounts, recertifications, and payables.
- Follow up with AMP Managers regarding the U.S. Department of Housing and Urban Development (HUD) Real Estate Assessment Center (REAC) inspection findings.

### **Completed Activities for September 2022**

In the month of September, HPHA completed 375 annual reexaminations, 190 interim reexaminations, and 16 new admissions.

## **VI. Construction Management**

### **A. Program Activities and Major Projects**

#### **Vacant Units Undergoing Modernization as of September 30, 2022**



- Summary status totals by State and Federal Vacant Units under construction or design:

|                |           |
|----------------|-----------|
| <b>State</b>   | 20        |
| <b>Federal</b> | 49        |
| <b>Total</b>   | <b>69</b> |

- Summary status of total Vacant Units overseen by the Construction Management Branch by units made vacant for Modernization projects including demolition/disposition and vacant units by Type C (repairs requiring more than routine maintenance):

|                 | Modernization           |              |                | Sub Total | Type C   | Total     |
|-----------------|-------------------------|--------------|----------------|-----------|----------|-----------|
|                 | Demolition/<br>Disposal | Construction | Design/Bidding |           | C-Design |           |
| <b>Oahu</b>     | 4                       | 53           | 0              | <b>57</b> | 1        | <b>58</b> |
| <b>Maui</b>     | 0                       | 10           | 0              | <b>10</b> | 1        | <b>11</b> |
| <b>Subtotal</b> | <b>4</b>                | <b>63</b>    | <b>0</b>       | <b>67</b> | <b>2</b> | <b>69</b> |

#### Multi-Site/Statewide Projects:

- Lead-Based Paint (LBP) Risk Assessment and Abatement – The design of the LBP Assessment and Abatement project for Kuhio Homes (O`ahu), Hui O Hanama`ulu and Kapa`a (Kaua`i), and David Malo (Maui) is divided into three projects by island. Both Maui and Kaua`i projects are currently scheduled to open bids on November 10, 2022. The Oahu project scheduled to go out to bid in October 2022.
- Upgrade to Emergency Generators at AMP 34, 35 and 42 Projects: The construction contract is routing for review and execution. The building permit is routing through the building department and is expected to be approved at the end of the year.
- 2021-2025 Environmental Reviews (ER)  
The ER of seven federal sites in the HPHA inventory (Paoakalani, Hale Hau`oli, Makamae, Pumehana, Pahala, Home Nani and Lanakila II) were posted on the HUD Environmental Review System (HEROS) website for comment. After the comment period closes on October 8<sup>th</sup>, the ER process will be complete once the Governor,

as the certifying officer who is statutorily responsible to respond on behalf of HPHA, submits the Request Release Of Funds (RROF) to HUD and HUD issues the Authority to Use Grant Funds (AUGF). The RROF and AUGF process both have statutorily required comment periods. The RROF is scheduled to be submitted in Mid-November with the AUGF to be issued in Mid-December. Remaining federal site Pi'ilani Homes is still undergoing State Historic Preservation Department (SHPD) consultation.

#### **State Elderly Projects (MU 42):**

1. Hale Po'ai – Site and Building Improvements  
Work continues in the first stack of units and parking garage which has been hampered by the availability of materials due to COVID as well as unforeseen utility (sewer, electrical, drain line) routing issues. There have been multiple underground electrical lines that were not installed as required during construction of the building in 1987 which requires consultation and approval with the building department as well as re-alignment of proposed drain lines.
2. La'iola – Reroofing, Exterior Building Repairs and Site Improvements. The design is approximately 50% complete.

#### **O'ahu Projects:**

1. Punchbowl Homes
  - a. Exterior Repairs, Re-roofing, Site and ADA Improvements  
Lead removal in the elevator lobbies is complete. The fire alarm inspection is scheduled for the earliest date in September. The ADA ramp is completed. Work on the ADA parking stalls is in progress.
  - b. Upgrade to the Fire Alarm System  
A Supplemental Contract to include the necessary State Chapter 6E Historic Preservation Act consultation is routing for signature.
2. Pumehana and Kalanihūia – Security Upgrades.  
The final inspections for the security system have occurred. Several punchlist items are pending.
3. Ho'okipa Kahalu'u – Accessibility and Site Improvements  
HPHA is reviewing the final DPP comments on the drawings, working with the AMP staff to relocate tenants and the contractor to mobilize.

4. Waipahu I & II - Design of Structural Repairs, Security Improvements, and Lead Based Paint Removal.  
The bid was opened on Friday, June 24, 2022, with one bid received. HPHA analyzed the bid and determined the lone bidder did not submit a responsive bid. HPHA is reviewing the bid drawings with the consultant and will re-issue the bid at a later date.
5. AMP 33 – Upgrade to water heating systems at Ka’ahumanu Homes and Kamehameha Homes.  
The contract to the lowest responsible and responsive bidder is routing for execution.
6. AMP 34
  - a. Paoakalani and Makua Ali`i – Building and ADA Improvements  
The Paoakalani units passed the electrical inspection. Work on leveling the floors, roughing in the plumbing and exterior spall repair for Paoakalani is ongoing.
  - b. Makua Ali`i Security Measures and Burned Unit 1802  
The consultant contract was executed, and the consultant is accelerating the design documents. The plans for HPHA review are being sent October 3.

#### **Hawai`i County Projects:**

1. Pahala - Utility Improvements  
Contract was executed on August 16, 2022. The pre-construction meeting is being scheduled.
2. Kaimalino – Full Modernization  
The site visit on September 16, 2022, is prompting re-evaluation of the construction budget as well as scope adjustments.

#### **Mau`i County Projects:**

1. Pi`ilani Homes – Physical Improvements  
Phase 2 plumbing and electrical rough-in work is complete. Drywall is being installed. The replacement sewer main for buildings B and G have been installed. The ADA sidewalk for Building B is complete.
2. AMP 39 Molokai
  - a. Kahale Mua (Federal); Utility Improvements: The construction contract has been executed.

- b. Kahale Mua (State); Utility Improvements: A site coordination meeting with the consultant is being scheduled to confirm the schematic design scope.

#### **Kaua'i County Projects:**

##### Ele'ele – Building and Site Improvements

Comments on the fee proposal were submitted to the consultant for response.

#### **B. State Capital Improvement Projects (CIP) & Federal Capital Fund Program (CFP), Training, Staffing**

1. The State Capital Improvement Program (CIP)  
HPHA has formulated the CIP request for the next Legislative Session, and it is under review before submittal to the Department of Human Services for combination and submittal to the Budget and Finance Office in October.
2. The Federal Capital Fund Program (CFP)  
Additional Invitations to Bid are scheduled to be posted in September and October for the federal obligation deadline which was extended to early 2023 due to COVID and the Cares Act.

### **VII. Section 8 Subsidy Programs**

HPHA manages the Housing Choice Voucher Program (HCV), Project Based Voucher Program, Veteran's Affairs Supportive Housing (VASH), Non-Elderly Disabled Vouchers (NED), Mainstream Vouchers (MS), Performance Based Contract Administration (PBCA), State Rent Supplement Program (RSP) and Family Self-Sufficiency (FSS) Program.

#### **A. Program Activities for September 2022**

1. Voucher:  
HPHA expended a total of \$4,575,609 in housing assistance payments (HAP) to private landlords on behalf of 3,534 voucher holders. HPHA leased a total of 213 vouchers for Project Based, VASH, FYI, Mainstream, EHV and Port-ins.

502 VASH families were assisted, \$465,678 was paid in HAP.

2. Inspections update:

| <b>September 2022</b>                                     |            |
|-----------------------------------------------------------|------------|
| Housing Quality Standards (HQS) Inspections               | 252        |
| HQS Inspections Failed                                    | 59         |
| Quality Control Inspections                               | 0          |
| <b>Total Inspection completed from 9/1/2022-9/30/2022</b> | <b>252</b> |

|                                         |     |
|-----------------------------------------|-----|
| Total Rent comparable requests received | 105 |
| Approved                                | 57  |
| Denied                                  | 48  |

Landlords are provided 30 days to correct failed items during the annual inspection. Failed items are generally easy to fix. Historically, failed inspections have not been a cause for landlords to end program participation. Landlords have reported positive feedback to inspections as tenants do not always properly report issues with the unit.

3. Family Self Sufficiency (FSS) Program:

The FSS Program continues to offer employment case management, resources, and escrow savings to its 35 active participants. During the month of September 2022, the FSS Program had 0 new enrollments, 0 discharges and 0 graduates. The current total number of Section 8 graduates is 154 and the total number of LIPH graduates is 27 since the program's inception. Currently there are 8 of 24 Section 8 participants and 4 out of 11 LIPH participants eligible to receive monthly escrow credits. The total monthly escrow deposits for September 2022 totaled \$2,858.00.

4. Rent Supplement Program (RSP):

For September 2022, RSP made a payment of \$86,148 to landlords for 193 families.

5. Emergency Housing Vouchers

HPHA continues to work in collaboration with Partners in Care (PIC) to process and lease up new EHV participants. One (1) EHV voucher was issued in September 2022 and eleven (11) tenants leased up.

## **VIII. Compliance Office**

### **A. Program Activities for September 2022**

- Review programs for compliance with Federal and State requirements, and agency and Board policies and procedures.
- Review and process tenant requests and phone inquiries for reasonable accommodation and modification under Section 504 of the Rehabilitation Act and the Fair Housing Act. Requests include:
  - a. Installations of air conditioning;
  - b. Approvals for a live-in aide;
  - c. Transfers to accessible and/or ground floor units;
  - d. Approvals for assistance animals; and
  - e. Unit transfers.
- Review construction reports for ADA and compliance related issues.
- Continue review and revision of forms used to process reasonable accommodation and modification requests.
- Prepare responses to HUD and HCRC complaints and correspond with appropriate parties to resolve administrative matters.
- Monitor the HPHA's COVID-19 email hotline for tenant reporting of pending or positive COVID-19 test results.

### **B. Planned activities for October 2022**

- Facilitate file reviews by various tenants' legal representatives.
- Follow up with HUD complaints to resolve administrative matters.
- Review and process tenant requests for reasonable accommodation and modification, continue to strategize streamlining the process.
- Review programs for compliance, respond to program inquiries, and review construction reports for compliance related issues.
- Monitor the HPHA's COVID-19 email hotline.
- Update the HPHA Language Access Plan.
- Review issues regarding Declaration of Trust documentation.

## **IX. Human Resources**

### **A. Summary of Staffing:**

|                                                 |     |
|-------------------------------------------------|-----|
| Filled positions FTE:                           | 300 |
| Tenant Aide Program:                            | 12  |
| Vacancies & Positions on continuous recruitment | 84  |

### **B. Program Activities:**

1. Agency-wide interviews were conducted and/or hired for the following positions: Public Housing Supervisor V/IV, Housing Planner V, Compliance and Evaluation Specialist, Landlord Liaison, Human Resources Specialist III, Public Housing Specialist Is, Building Construction Inspector II, Secretary I, Building Maintenance Helper, Social Service Assistant IVs, General Laborer II/Is.
2. The HPHA is the process of screening and interviewing for various positions.
3. Staff participated in webinar training for Public Housing Authority Directors Association Legislative Forum, Public Housing Authority Disaster Readiness, Response, and Recovery Webinar, Safety Systems & Signs Fall Protection Training, Market Research Webinar, New Emergence Leaders Coaching, Driver's Safety-Defensive Driving Training Program, Bloodborne Pathogen & Adult and Pediatric First Aide, CPR & AED Course, Small Purchase Order Webinar.
4. HPHA conducted Back Safety and Proper Lifting Techniques in-house training with AMP 30 maintenance staff.
5. Workers Compensation: One (1) injury reported from AMP 30 with ten (10) days lost time.